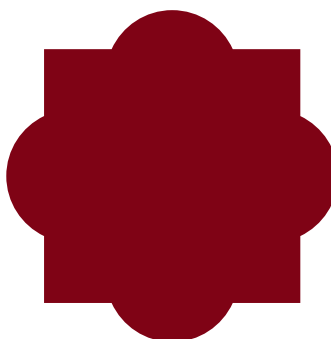
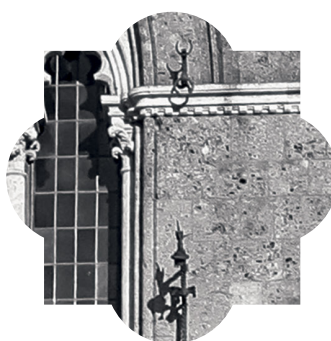
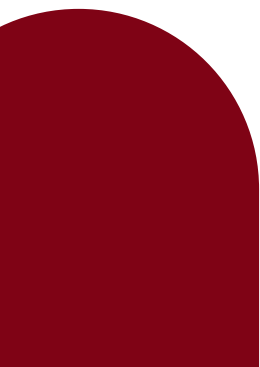




**MONTE
DEI PASCHI
DI SIENA**
BANK SINCE 1472



Monte dei Paschi di Siena Group
Annual Report

2021



Consolidated financial report as at 31 December 2021



Banca Monte dei Paschi di Siena S.p.a.

Registered Office in Piazza Salimbeni 3, Siena, Italy

Share Capital: € 9,195,012,196.85 fully paid in

Registered with the Arezzo-Siena Company Register – registration no. and tax code 00884060526

MPS VAT Group - VAT number 01483500524

Member of the Italian Interbank Deposit Protection Fund. Registered with the Register of Banks under no. 5274

Monte dei Paschi di Siena Banking Group, registered with the Register of Banking Groups.



This document in pdf format, does not fulfill the obligations deriving from Directive 2001/109/EC (the “Transparency Directive”) and Delegated Regulation (EU) 2019/815 (“ESEF Regulation – European Single Electronic Format”) for which a dedicated XHTML format has been prepared.



CONTENTS

GOVERNING AND CONTROL BODIES IN OFFICE AS AT 2 MARCH 2022	4
CONSOLIDATED REPORT ON OPERATIONS	5
CONSOLIDATED ANNUAL REPORT	155
CONSOLIDATED FINANCIAL STATEMENTS	156
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS	166
PUBLIC DISCLOSURE PURSUANT TO ART. 89 - COMMUNICATION BY COUNTRY - OF DIRECTIVE 2013/36/EU ("CRD IV")	565
CERTIFICATION OF THE CONSOLIDATED FINANCIAL STATEMENTS PURSUANT TO ART. 81-TER OF CONSOB REGULATION NO. 11971 OF 14 MAY 1999, AS SUBSEQUENTLY AMENDED AND SUPPLEMENTED	568
INDEPENDENT AUDITORS' REPORT ON THE FINANCIAL STATEMENTS	569
ANNEXES	583



GOVERNING AND CONTROL BODIES IN OFFICE AS AT 2 MARCH 2022

BOARD OF DIRECTORS

Maria Patrizia GRIECO	Chairman
Francesca BETTIO	Deputy Chairman
Rita Laura D'ECCLESIA	Deputy Chairman
Luigi LOVAGLIO *	Chief Executive Officer
Luca BADER	Director
Alessandra Giuseppina BARZAGHI	Director
Marco BASSILICHI	Director
Guido BASTIANINI*	Director
Francesco BOCHICCHIO	Director
Rosella CASTELLANO	Director
Paola DE MARTINI	Director
Raffaele DI RAIMO	Director
Marco GIORGINO	Director
Nicola MAIONE	Director
Roberto RAO	Director

BOARD OF STATUTORY AUDITORS

Enrico CIAI	Chairman
Luigi SOPRANO	Standing Auditor
Luisa CEVASCO	Standing Auditor

SENIOR MANAGEMENT

Luigi LOVAGLIO*	General Manager
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FINANCIAL REPORTING OFFICER

Nicola Massimo Clarelli

INDEPENDENT AUDITORS

PricewaterhouseCoopers SpA

* On 7 February 2022, the Board of Directors of the Parent Company resolved: i) the revocation of Mr. Guido Bastianini, as General Manager, Chief Executive Officer and Director in charge of the internal control and risk management system of Banca MPS, as well as all related powers, while the latter remains in office as a member of the Parent Company's Board of Directors; ii) the co-optation pursuant to and for the purposes of Article 2386 of the Italian Civil Code by Mr. Luigi Lovaglio, following the resignation of the Director Olga Cuccurullo, on 4 February 2022, and the appointment of the same as Chief Executive Officer and General Manager of the Parent Company.



CONSOLIDATED REPORT ON OPERATIONS

General accounting standards	6
Results in brief.....	7
Executive summary	10
Group overview	13
Shareholders	14
Information on the BMPS share.....	14
Organisational structure	16
Governance & control systems	17
Distribution channels	22
Customer base	24
Reference context	25
COVID-19	30
Significant events in 2021	33
Significant events after the end of the 2021 financial year.....	34
Human Resources.....	36
2017-2021 Restructuring Plan	42
2022-2026 Group Strategic Plan	43
Income statement and balance sheet reclassification principles.....	51
Reclassified income statement.....	55
Reclassified balance sheet.....	65
Research, Development and Innovation	85
Outsourced services	89
Information on legal, employment law, tax and complaints risks	90
Audits	93
Regulatory Developments	97
Main risks and uncertainties.....	105
Results by Operating Segment	112
Prospects and outlook on operations	144
Annexes	147



General accounting standards

The Consolidated Report on Operations as at 31 December 2021 provides a snapshot of the activities and results which largely characterised the Group's operations during the year, both as a whole and in the various business sectors.

In particular, economic and financial indicators, based on accounting data, are those used in internal performance management and management reporting systems, and are consistent with the most commonly used metrics within the banking industry, thereby ensuring the comparability of presented figures.

The income statement and balance sheet have been reclassified based on presentation criteria that are more suitable for representing the contents of the items according to consistent operational criteria.

In addition, the Report incorporates non-financial company information providing the details on the activities, capital, risks and relations that are significant to the Group's current and future performance. This information is also more thoroughly analysed in the corporate communications found on the Banca MPS website www.mps.it, such as: the "Consolidated Non-Financial Statement", "Report on Corporate Governance and Ownership Structure", the "Remuneration Report" and the "Pillar 3 Disclosure".



Results in brief

Below are the main economic and financial values of the Montepaschi Group as at 31 December 2021, compared with those for the previous year. In addition, the key economic and financial indicators¹ are provided, based on accounting data, corresponding to those used in internal performance management and management reporting systems, and consistent with the most commonly used metrics within the banking industry, thereby ensuring the comparability of reported figures.

The Alternative Performance Measures (APMs) provided in this section take into account the Guidelines provided by the European Securities and Markets Authority (ESMA) on 5 October 2015, which the Italian stock exchange regulator, Consob, has incorporated in its supervisory practices (Communication no. 0092543 of 3 December 2015). These Guidelines became applicable as of 3 July 2016. Please note that, in line with the instructions set forth in the update to the document “ESMA 32_51_370 – Question and answer – ESMA Guidelines on Alternative Performance Measures (APMs)” published on 17 April 2020, no changes have been made to the APMs in use in order to consider the effects of the COVID-19 crisis. It should be noted that, for each APM, information is provided on its definition and calculation methods, and the amounts used in the calculation may be identified through the information contained in the tables below or in the reclassified financial statements in this Consolidated Report on Operations.

INCOME STATEMENT AND BALANCE SHEET FIGURES			
MPS GROUP			
INCOME STATEMENT FIGURES (EUR mln)	31 12 2021	31 12 2020*	Chg.
Net interest income	1,221.5	1,290.6	-5.4%
Net fee and commission income	1,484.0	1,430.1	3.8%
Other income from banking business	310.8	272.2	14.2%
Other operating income and expenses	(36.5)	(50.5)	-27.8%
Total Revenues	2,979.8	2,942.4	1.3%
Operating expenses	(2,106.0)	(2,184.6)	-3.6%
Cost of customer credit	(250.0)	(772.7)	-67.6%
Other value adjustments	5.3	(5.4)	n.m.
Net operating income (loss)	629.2	(20.3)	n.m.
Non-operating items	(365.8)	(1,320.4)	-72.3%
Parent company's net profit (loss) for the year	309.5	(1,686.5)	n.m.
EARNINGS PER SHARE (EUR)	31 12 2021	31 12 2020*	Chg.
Basic earnings per share	0.314	(1.544)	n.m.
Diluted earnings per share	0.314	(1.544)	n.m.
CONSOLIDATED BALANCE SHEET FIGURES (EUR mln)	31 12 2021	31 12 2020*	Chg.
Total assets	137,868.6	150,345.0	-8.3%
Loans to customers	79,380.3	82,632.3	-3.9%
Direct funding	90,300.3	103,719.3	-12.9%
Indirect funding	104,429.7	102,067.3	2.3%
of which: assets under management	65,285.5	60,400.3	8.1%
of which: assets under custody	39,144.2	41,667.0	-6.1%
Group net equity	6,172.7	5,771.6	6.9%
OPERATING STRUCTURE	31 12 2021	31 12 2020	Chg.
Total headcount - end of period	21,244	21,432	(188)
Number of branches in Italy	1,368	1,418	(50)

* Balance sheet and income statement figures as at 31 December 2020 have been restated compared to those published at the reporting date following the retrospective application of the change in the approach for the valuation of investment property (pursuant to LAS 40). In addition, for the purposes of greater comparability, the write-downs of properties for business use (LAS 16) referring to 31 December 2020 were reclassified from the item “Net adjustments to property, plant and equipment and intangible assets” to the item “Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”. Lastly, the restatement also concerned the economic effects of securities deriving from the sale/securitisation of non-performing loans included in the item “Cost of customer credit”.

¹ The indicators are calculated using the reclassified data shown in the sections Reclassified Income Statement and Reclassified Balance Sheet.

² Please refer to the section “Income statement and balance sheet reclassification principles” for further information



ALTERNATIVE PERFORMANCE MEASURES			
MPS GROUP			
PROFITABILITY RATIOS (%)	31 12 2021	31 12 2020*	Chg.
Cost/Income ratio	70.7	74.2	-3.5
ROE (on average equity)	5.2	(24.0)	29.2
ROA	0.2	(1.1)	1.3
ROTE	5.3	(24.6)	29.9
CREDIT QUALITY RATIOS (%)	31 12 2021	31 12 2020*	Chg.
Net non-performing loans to customers / Loans to Customers (Net NPL ratio)	2.7	2.6	0.1
Gross NPL ratio	3.8	3.4	0.4
Rate of change of non-performing loans to customers	2.5	(64.8)	67.3
Bad loans to customers/ Loans to Customers	0.8	0.7	0.1
Loans to customers measured at amortised cost - Stage 2/Performing loans to customers measured at amortised cost	16.0	18.5	-2.5
Coverage of non-performing loans to customers	47.9	46.2	1.7
Coverage of bad loans to customers	63.7	62.3	1.4
Cost of customers loans/Customers loans (Provisioning)	0.31	0.93	-0.62
Texas Ratio	51.6	53.9	-2.3

* Balance sheet and income statement figures as at 31 December 2020 have been restated compared to those published at the reporting date following the retrospective application of the change in the approach for the valuation of investment property (pursuant to IAS 40). In addition, for the purposes of greater comparability, the write-downs of properties for business use (IAS 16) referring to 31 December 2020 were reclassified from the item "Net adjustments to property, plant and equipment and intangible assets" to the item "Net gains (losses) on property, plant and equipment and intangible assets measured at fair value". Lastly, the restatement also concerned the economic effects of securities deriving from the sale/ securitisation of non-performing loans included in the item "Cost of customer credit".

Cost/Income ratio: ratio between Operating expenses (Administrative expenses and Net value adjustments to property, plant and equipment and intangible assets) and Total revenues (for the composition of this aggregate, see the reclassified income statement).

Return On Equity (ROE): ratio between the Net profit (loss) for the year and the average between the Group shareholders' equity (including Profit and Valuation Reserves) at the end of the year and the Group shareholders' equity at the end of the previous year.

Return On Assets (ROA): ratio between the Net profit (loss) for the year and Total assets at the end of the year.

Return On Tangible Equity (ROTE): ratio between the Net profit (loss) for the year and the average between the tangible shareholders' equity⁴ at the end of year and that at the end of the previous year.

Gross NPL Ratio: gross impact of non-performing loans calculated based on the European Banking Authority (EBA) guidelines⁵ as the ratio between Gross non-performing loans to customers and banks, net of assets held for sale, and total Gross loans to customers and banks, net of assets held for sale.

Rate of change in non-performing loans to customers: represents the annual rate of growth in gross non-performing loans to customers based on the difference between annual balances.

Coverage of non-performing loans to customers and coverage of bad loans to customers: the coverage ratio on Non-performing loans to customers and bad loans to customers is calculated as the ratio between the relative loss provisions and the corresponding gross exposures.

Provisioning: ratio between the cost of customer credit and the sum of loans to customers and the value of securities deriving from sale/ securitisation of non-performing loans.

Texas Ratio: ratio between gross non-performing loans to customers and the sum, in the denominator, of the relative loss provisions and tangible shareholders' equity.

³ Please refer to the section "Income statement and balance sheet reclassification principles" for further information

⁴ Book value of Group shareholders' equity inclusive of profit (loss) for the year, cleared of goodwill and other intangible assets.

⁵ EBA GL/2018/10.



REGULATORY MEASURES			
MPS GROUP			
CAPITAL RATIOS (%)	31 12 2021	31 12 2020	Chg.
Common Equity Tier 1 (CET1) ratio - phase in	12.5	12.1	0.4
Common Equity Tier 1 (CET1) ratio - fully loaded	11.0	9.9	1.1
Total Capital ratio - phase in	16.1	15.8	0.3
Total Capital ratio - fully loaded	14.6	13.5	1.1
FINANCIAL LEVERAGE RATIO (%)	31 12 2021	31 12 2020	Chg.
Leverage ratio - transitional definition	4.7	4.4	0.3
Leverage ratio - fully phased	4.2	3.6	0.6
LIQUIDITY RATIO (%)	31 12 2021	31 12 2020	Chg.
LCR	172.7	196.7	-24.0
NSFR	129.6	123.8	5.8
Encumbered asset ratio	40.7	39.8	0.9
Loan to deposit ratio	87.9	79.7	8.2
Spot Counterbalancing capacity (bn of Eur)	25.4	33.1	-7.7

In determining the capital ratios, the **“phase-in”** (or **“transitional”**) version represents the application of calculation rules according to the regulatory framework in force at the reporting date, while the **“fully loaded”** version incorporates in the calculation the rules as envisaged at full implementation.

Common equity Tier 1 (CET1) ratio: ratio between primary quality capital⁶ and total risk-weighted assets (RWA)⁷.

Total Capital ratio: ratio between Own Funds and total RWAs.

Financial leverage ratio: indicator calculated as the ratio between Tier 1⁸ capital and total assets, introduced by Basel regulations with the objective of containing the increase in financial leverage in the banking sector and strengthening risk-based requirements through a different measure based on financial statement aggregates.

Liquidity Coverage Ratio (LCR): short-term liquidity indicator corresponding to the ratio between the amount of *High-quality liquid assets* and the total net cash outflows in the 30 calendar days subsequent to the reference date.

Net Stable Funding Ratio (NSFR): structural 12-month liquidity indicator corresponding to the ratio between the available stable funding amount and the required stable funding amount.

Encumbered asset ratio: ratio between carrying amount of encumbered assets and collateral and total assets and collateral (XVII, section 1.6, point 9, of Regulation (EU) 2015/79).

Loan to deposit ratio: ratio between net loans to customers and direct funding (deposits from customers and debt securities issued).

Spot counterbalancing capacity: sum of items that are certain and free from any commitment that the Group can use to meet its liquidity requirements, consisting of financial and commercial assets eligible for purposes of refinancing operations with the European Central Bank (“ECB”) and assets deposited in the collateralised interbank market (MIC) and not used, to which the haircut, published on a daily basis by the ECB, is prudentially applied.

⁶ Defined by art. 4 of Regulation EU/2013/575 (*Capital Requirements Regulation*, CRR). It consists of the eligible elements and capital instruments, net of the envisaged adjustments and deductions.

⁷ Risk-weighted assets: the result of the application of certain risk weights to exposures, determined according to supervisory rules.

⁸ Sum of Common Equity Tier 1 (CET1) and Additional Tier 1 (AT1) capital of the entity, as defined by art. 25 of Regulation (EU) no. 575/2013.



Executive summary

The changes in the key items of the Group's main aggregates recorded at 31 December 2021 are summarised below, noting that the results of 2020 were affected by the health emergency created by the spread of the COVID-19 virus which, as is well known, also concerned the entire 2021.

- a) **Net interest income**, equal to EUR 1,222 mln, decreased by 5.4% compared to 2020. The decline was driven (i) primarily by the lower contribution (about EUR 106 mln) of the *Non-performing* portfolio due mainly to the deconsolidation of the "Hydra M" portfolio in late 2020, as well as (ii) the higher cost of institutional funding linked to the issues carried out in the second half of 2020, (iii) the lower contribution of the BMPS securities portfolio, also following sales made in the course of 2020 which continued in 2021, (iv) the negative contribution of hedging derivatives and (v) the decline in returns due to interest rate trends and the restructuring of exposures, with a reduction in the short-term components and growth in the medium/long-term component. On the other hand, Net Interest Income benefited from the lower cost of commercial funding and the positive effects linked to access to the TLTRO III auctions for a total of EUR 279 mln, although partially offset by the cost of higher deposits at central banks of approximately EUR 93 mln. Excluding the estimate of the contribution of the Hydra portfolio, the net interest income would have grown by 2.2% on an annual basis.
- b) **Net fee and commission income**, equal to EUR 1,484 mln, was up compared to the previous year (+3.8%). The increase was due to higher income from asset management (+17.3%), due both to higher commissions on product placement and to higher continuing commissions, which benefited from an increase in average assets under management and average returns. On the other hand, commissions from traditional banking services decreased due to the reduction in commissions on receivables (-5.3%), also as a result of the restructuring of loans to longer-term loans.
- c) **Other revenues from financial management**, amounting to EUR 311 mln, recorded an increase of EUR 39 mln compared to the previous year, benefiting from the higher profits deriving from the sale of securities and the higher contribution generated by the partnership with AXA. On the other hand, the result of trading activities fell due to the lower contribution of MPS Capital Services.
- d) **Other operating income/expenses**, equal to EUR -36 mln, improved compared to the result recorded in 2020 (EUR -51 mln).
- e) As a result of the trends described above, **Total revenues** stood at EUR 2,980 mln, up by 1.3% compared to the previous year.
- f) **Operating expenses** amounted to EUR 2,106 mln, down 3.6% compared to the previous year. Within the aggregate, **Personnel Expenses**, amounting to EUR 1,428 mln, rose by 0.9% compared to 31 December 2020, despite the downward trend in the workforce (linked - first of all - to 560). terminations for Solidarity Fund recorded between 1 November 2020 and 1 January 2021), in relation to the contractual increases deriving from the renewal of the National Collective Labour Agreement and the lack of savings resulting from the non-renewal of the trade union agreement. **Other administrative expenses**, amounting to EUR 498 mln, decreased by EUR 65 mln compared to the previous year, mainly due to the savings actions implemented. **Net value adjustments to property, plant and equipment and intangible assets**, amounting to EUR 180 mln, were down compared to the previous year (-12.7%), also due to the effects of the introduction of fair value measurements of properties.
- g) The **Cost of Customer Credit** is equal to EUR 250 mln, against EUR 773 mln in the previous year. The 2021 figure includes:
 - a positive effect of approximately EUR 124 mln from reduced adjustments following the update of the macroeconomic scenarios;
 - a negative effect of EUR -136 mln from the update of the statistical valuation models (of which EUR -99 mln and EUR -37 respectively for the LGD and PD models update);
 - a negative impact of EUR -75 mln deriving from certain methodological refinements pertaining to the valuation of exposures covered by a State guarantee and of Unsecured Unlikely to Pay with a determined vintage.

The figure in 2020 included a negative effect of approximately EUR 348 mln due to the changed macroeconomic scenario resulting from the spread of the COVID-19 pandemic.

Even excluding these effects, the Cost of customer credit for 2021 was, in any case, down compared to 2020, mainly due to impairment reversals (about EUR 130 mln) on some significant positions, the risk profile of which has improved due to intervening corporate events. Moreover, the cost in 2021 also benefited from the



elimination of adjustments on the positions of the “Hydra M” portfolio, deconsolidated at the end of December 2020.

The **Provisioning Rate**⁹ was equal to **31 bps** (93 bps as at 31 December 2020).

- h) **Net operating income** stood at EUR 629 mln, compared to a negative value of EUR 20 mln in the previous year.
- i) In addition to the changes in these economic aggregates, there were non-operating components amounting to EUR -366 mln (EUR -1,320 mln in 2020). Notably, **Net provisions for risks and charges**, negative for EUR -99 million (EUR -984 mln in 2020), **Other gains (losses) on investments**, equal to EUR 2 mln (EUR +3 mln in 2020), **Restructuring/One-off costs**, equal to EUR -7 mln (EUR -154 mln in 2020), costs associated with **SRF (Single Resolution Fund)**, **DGS (Deposit Guarantee Systems)** and **similar schemes**, equal to EUR -169 mln (up compared to the EUR -140 mln in 2020), the **DTA fee** equal to EUR -63 mln (EUR -71 mln at 31 December 2020), the **Net gains (losses) on property, plant and equipment and intangible assets measured at fair value** equal to EUR -44 mln (EUR -28 mln at 31 December 2020) and **Gains (losses) on disposal of investments**, equal to EUR +14 mln (EUR +54 mln in 2020).
- j) As a result of these trends, together with the positive impact on **Taxes** of EUR 49 mln (EUR -342 mln as at 31 December 2020) and the net economic effects of the **PPA**, equal to EUR -3.6 mln (EUR -4.3 mln as at 31 December 2020), the Group posted a **Net Profit of EUR 310 mln** pertaining to the Parent Company, compared to a loss of EUR -1,687 mln posted in 2020.
- k) As at 31 December 2021 the Group's **Total Funding** was equal to **EUR 194.7 bn**, with a decrease in volumes of EUR 2.9 bn compared to 30 September 2021, due to the decrease in Direct Funding (EUR -2.6 bn). More specifically, the decrease in Direct Funding was mainly due to a decrease in repurchase agreements (EUR -2.7 bn), related to decreased activity by MPS Capital Services, only partially offset by the increase in current accounts (EUR +1.0 bn). There was also a decrease in time deposits (EUR -0.5 bn), Other forms of funding (EUR -0.4 bn) and bond issues (EUR -0.1 bn). As regards Indirect Funding, it was down by EUR 0.3 bn compared to 30 September 2021 due to the reduction in the Assets under Custody component (EUR -1.2 bn), impacted by negative net flows in part offset by a positive market effect. However, the Asset under Management component was up (EUR +0.9 bn), mainly due to a positive market effect.

Compared to 31 December 2020, Total Funding was down in volume terms by EUR 11.1 bn, due to the decrease in Direct Funding (EUR -13.4 bn), only partly offset by the increase in Indirect Funding (EUR +2.4 bn). Direct Funding was down on all aggregates, in particular, there was a decline in current accounts (EUR -1.8 bn) and term deposits (EUR -2.4 bn), driven by the continuation of actions, implemented by the Parent Company, to optimize the cost of funding. There was also a decrease in repurchase agreements (EUR -5.2 bn), a decrease in other forms of funding (EUR -2.2 bn) and a reduction in the bond segment (EUR -1.8 bn), the latter mainly due to the maturity of a covered bond. On the other hand, as regards Indirect Funding, it recorded an increase of EUR 2.4 bn compared to the figures as at 31 December 2020, attributable to the asset management component (EUR +4.9 bn), which benefited from positive net flows and a positive market effect. There was instead a contraction in the Assets under Custody component (EUR -2.5 bn), due to changes related to two major customers, partly offset by a positive market effect.

- l) **Loans to customers** amounted to approximately **EUR 79.4 bn** as at 31 December 2021, down compared to 30 September 2021 (EUR -1.8 bn) due to lower repurchase agreements (EUR -1.0 bn), due to the decline in mortgages (EUR -0.7 bn) and the decline in current accounts (EUR -0.2 bn). Other loans were up (EUR +0.2 bn).

Compared to the end of December 2020, Loans to customers were down by EUR 3.3 bn, mainly due to a decrease in repurchase agreements (EUR -3.5 bn), in Other loans (EUR -0.5 bn) and in current accounts (EUR -0.3 bn). However, the mortgage segment was up (EUR +1.1 bn), also as a result of the disbursements made under the government decrees issued following the COVID-19 emergency.

- m) As at 31 December 2021, the **percentage of coverage** of non-performing loans was 47.9%, up compared to 30 September 2021 (equal to 46.5%) mainly due to the increase in the percentage of coverage of unlikely to pay exposures (from 34.5% to 36.7%). The percentage of coverage of non-performing loans also recorded an increase compared to 31 December 2020 (equal to 46.2%) thanks above all to the increase in the percentage of coverage of bad loans (which went from 62.3% to 63.7%).

⁹ Calculated as the ratio between the cost of customer credit and the sum of loans to customer and securities deriving from the sale/securitisation of non-performing loans



With regard to capital ratios, as at 31 December 2021 the ***Common Equity Tier 1 Ratio*** stood at **12.5%** (compared to 12.1% at the end of 2020 and 12.3% as at 30 September 2021) and the ***Total Capital Ratio*** at **16.1%** (compared to 15.8% recorded at the end of 2020 and 15.9% as at 30 September 2021).



Group overview

The Montepaschi Group is the banking hub led by Banca Monte dei Paschi di Siena S.p.A, listed on the Electronic Stock Market (*Mercato Telematico Azionario* - MTA) organised and managed by Borsa Italiana S.p.A., with registered office in Piazza Salimbeni 3 Siena, whose activities are focused on traditional retail & commercial banking services carried out mainly in Italy.

The Group is also active through its specialised product companies in business areas such as leasing, factoring, corporate finance and investment banking. The insurance-pension sector is covered by a strategic partnership with AXA while asset management activities are based on the offer of investment products of independent third parties.

The Group combines traditional services offered through its network of branches and specialised centres with an innovative self-service and digital services system enhanced by the skills of the Widiba financial advisor network.

Foreign banking operations¹⁰ are focused on supporting the internationalisation processes of corporate clients in all major foreign financial markets.

COMPANY	ACTIVITIES
 MONTE DEI PASCHI DI SIENA BANCA DAL 1472	Banca Monte dei Paschi di Siena and its subsidiaries operate in the different segments of the banking and financial industry, with activities ranging from traditional banking to special purpose loans, assets under management, bancassurance and investment banking. The Bank performs functions of direction, coordination and control over the Group's companies, as part of the more general guidelines set out by the Board of Directors in compliance with the instructions provided by the Bank of Italy in the interest of the Banking Group's stability.
 MPS FIDUCIARIA	Monte Paschi Fiduciaria aims to satisfy the needs of individuals and legal entities wishing to have their assets managed with the utmost confidentiality. Monte Paschi Fiduciaria may take on the custody of assets in its capacity as a trustee and act as a protector in trusts.
 MPS CAPITAL SERVICES	MPS Capital Services Banca per le Imprese provides customers with solutions to financial and credit issues, focusing its business on medium-long term credit facilities, special purpose loans, corporate finance, capital markets and structured finance.
 MPS LEASING & FACTORING	MPS Leasing & Factoring is the Group bank specialised in developing an offer of integrated leasing and factoring packages for businesses, artisans and professionals.
 BANCA WIDIBA	Widiba (Wise-DIalog-BAnking) is the Group's bank that integrates a self-service offer with the competencies of MPS's financial advisor network.
 MPS CONSORZIO OPERATIVO	Consorzio Operativo is the centre for the development and management of ICT and telecommunication systems.
 MONTE PASCHI BANQUE	Monte Paschi Banque S.A. is the Group's bank that supports commercial trade and investments by Italian companies abroad.

In addition to the above, that is, the presence within the Group of a digital bank (Widiba), a bank for businesses (MPS Capital Services S.p.a.), a bank for financial services (MPS Leasing e Factoring S.p.a.) and a bank for fiduciary services (MPS Fiduciaria S.p.a.), there are companies operating in the viticulture (MPS Tenimenti Poggio Bonelli and Chigi Saracini Società Agricola S.p.a) and agricultural (Magazzini Generali) sectors.

¹⁰ For Monte Paschi Banque S.A., in 2018 the Parent Company resolved to launch the orderly winding-down process by drafting a plan in compliance with the indications contained in Commitment no. 14 "Disposal of participations and businesses", i.e., (i) progressive deleveraging of the current loan portfolio, (ii) acceptance of deposits only from existing customers, excluding the possibility of developing new business and entering new markets, (iii) compliance with regulatory restrictions in place. The performance of the subsidiary in 2021 is substantially in line with the provisions of the Commitment.



Intragroup transactions primarily regard the financial support from the Parent Company to other companies, both in the form of deposits as well as repurchase agreement transactions; structured finance transactions through the subsidiary MPS Capital Services; outsourcing services relative to the auxiliary activities provided by the Parent Company (administrative services and property administration) and by the Group Operating Consortium (IT services). The description of the main transactions carried out by the Parent Company with its subsidiaries and associates is provided in Part H of the Notes to the Separate Financial Statements of the Parent Company.

Shareholders

As at 31 December 2021, the share capital of the Parent Company Banca Monte dei Paschi di Siena was equal to EUR 9,195,012,196.85, divided into 1,002,405,887 ordinary shares. On 4 October 2021, the Bank concluded the sale of all treasury shares held by the Montepaschi Group (as at 31 December 2020, they amounted to 36,280,748, corresponding to 3.619% of the share capital).

According to the communications received pursuant to the applicable legislation and based on other information available, as well as based on information on CONSOB's institutional website, the entities that, as at 31 December 2021, directly and/or indirectly hold ordinary shares representing a shareholding exceeding 3% of the share capital of the Issuer and which do not fall under the cases of exemption set forth in art. 119-bis of the Issuers' Regulations are as follows:

Major BMPS shareholders as at 31 December 2021

Declarant	% of shares held on the ordinary share capital
Ministry of Economy and Finance	64.230%
Assicurazioni Generali S.p.A.*	4.319%

* Share held through subsidiaries, based on the communication as at 28 November 2017, received pursuant to current regulations

Information on the BMPS share

Share price and trends

Confidence in a full relaunch of the global economy, albeit held back on several occasions by the succession of new waves of COVID-19, was the factor that prevailed during 2021, leading to widespread increases on all the main world markets. In particular, the positive effect of the vaccination campaign, combined with the continuing accommodating policies of the central banks and national government support plans, especially on Western markets, contributed to a rebound in prices and economic indices compared to the drops recorded in 2020. These factors also made it possible to overcome a large part of the uncertainties linked to the unexpected higher inflation rates and the energy and raw materials crises, phenomena that occurred in the second half of the year.

In the United States, the fear of an early start of tapering by the Federal Reserve slowed down the S&P 500 index in the middle of the year, which, however, reacted positively in the last part of the year, closing with the best quarterly result of 2021, with a growth of 10.6%, which contributed to +26.9% for the year. On the other hand, the high expectations for 2021 linked to China, held back by doubts on economic growth and the crisis in the real estate sector, were partially disappointed, with the Shanghai index (SHCOMP) closing the year with a moderate increase of +4.8 % (+2.0% in the fourth quarter). In Japan, the year ended in partial retracement (-1.7% in the last quarter) for the Nikkei index, which in any case closed the year 2021 with an overall +10.1%.

In Europe, all the main markets recorded significant positive performances, driven by the approval and launch of projects linked to the "Next Generation EU" continental economic recovery plan. The stock exchange that recorded the greatest annual growth was that of Paris (CAC40), which closed at +28.9% (+9.7% in the fourth quarter), reacting sharply to the losses of 2020. Rising prices also for Germany, whose Frankfurt DAX index in 2021 recorded a +15.8% (+4.1% in the fourth quarter), and Great Britain with a positive London UKX index of



+14.3% (+4.2% in the fourth quarter). In partial contrast, however, the Madrid stock exchange, which in the last quarter saw a drop of -0.9% in the IBEX40 index, within a more cautious overall annual increase of +7.9%.

In Italy, the positive responses to the policies of the new government led by Mario Draghi, supported by a growth in GDP beyond expectations, led to an increase in the FTSE MIB equal to +23.0% on an annual basis (+6.5% in the last quarter). The IT8300 “*All Italian Banks*” index also recorded a positive last quarter of +1.2% compared to an overall figure of +35.9% in 2021.

The BMPS share closed 2021 at a value of EUR 0.89, with a decline of -17.5% in the quarter and a change of -14.5% on an annual basis. The average volume of trades on a daily basis was around 3.8 million over the quarter and around 4.5 million over the year.

SHARE PRICE SUMMARY STATISTICS (from 31/12/2020 to 31/12/2021)

Average	1.12
Minimum	0.81
Maximum	1.38

Rating

The ratings assigned by the rating agencies are provided below:

Rating agency	Short-term debt	Outlook	Long-term debt	Outlook	Last rating action (as at 31/12/21)
Moody's	(P) NP	-	Caa1	Rating Under Review UP	07/12/21
Fitch	B		B	Evolving	01/12/21
DBRS	R-4	Stable	B (High)	Stable	09/08/21

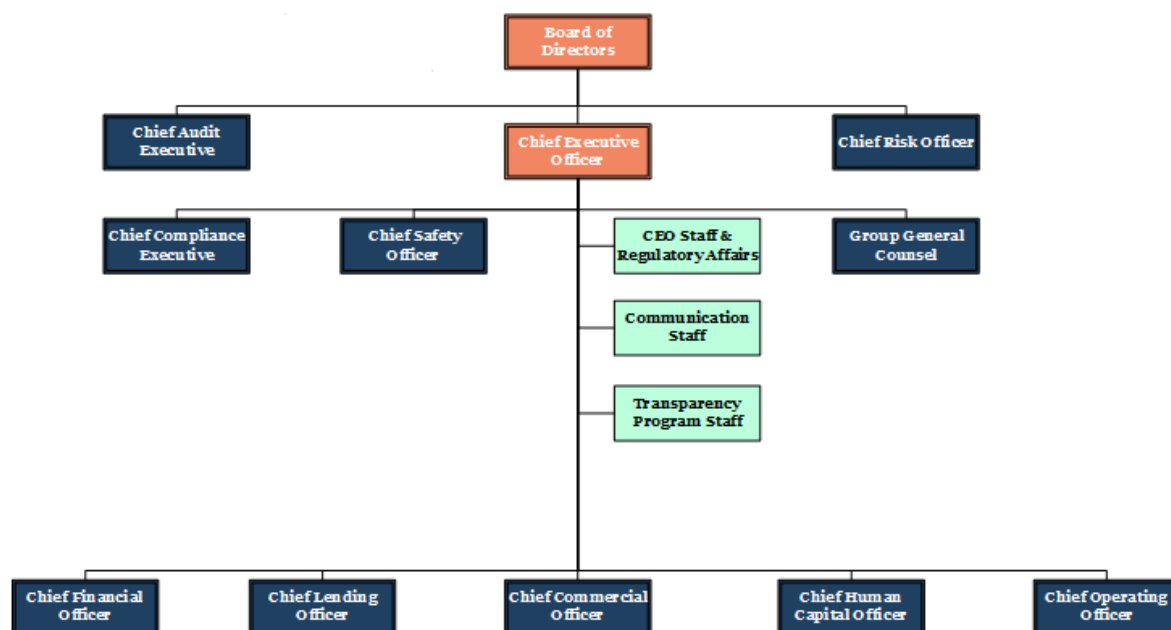
- On 7 December 2021, *Moody's Investors Service* extended the review period for possible upgrades on the *standalone Baseline Credit Assessment* (“b3”) and on the Bank's long-term ratings, including the *Long-Term Bank Deposits rating* (“B1”) and the *Long-Term Senior Unsecured rating* (“Caa1”).
- on 1 December 2021, the agency *Fitch Ratings* removed the “*negative rating watch*”, in place on the main ratings of the Bank, confirming all ratings, including the *standalone rating* (“*Viability Rating*”) at “b”, and the *Long-Term Issuer Default Rating* (“IDR”) at “B” with “evolving” outlook.
- On 16 June 2021, *DBRS Morningstar*, during the annual review, confirmed all BMPS ratings, including the *Long-Term Issuer Rating* at “B (high)”, the *Long-Term Senior Debt* at “B (high)” and *Long-Term Deposits* at “BB (low)”. The outlook for all ratings remained stable. Subsequently, on 9 August 2021, the agency revised the rating of the subordinated debt to “CCC” from “B (low)”, leaving the outlook unchanged.



Organisational structure

Through its General Management, Banca Monte dei Paschi di Siena performs functions of direction, coordination and control over the Group's companies, as part of the more general guidelines set out by the Board of Directors and in the interest of the Group's stability.

Organisational chart of the Parent Company's General Management as at 31 December 2021



The organisational history of 2021 was characterised by a thorough review of the organisational model of the General Management, with the objectives of simplifying operating processes and rationalising the number and types of structures. The Network, on the other hand, did not undergo significant organisational changes.

In March 2021, the corresponding functions of MPS Capital Services and MPS Leasing and Factoring were centralised on the Parent Company's Audit function (*Chief Audit Executive*) with a view to strengthening the Group's internal control system.

In April 2021, the corresponding functions of MPS Capital Services, MPS Leasing and Factoring, Widiba and MP Fiduciaria were centralised on the AML-CFT function of the Parent Company (*Chief Risk Officer*) with a view to single and centralised supervision of the anti-money laundering compliance governance system and fight against terrorism.

In June 2021, together with the revision of the organizational model and the reduction of structures from 562 to 266, the following were also eliminated:

- the Operations Department in the Chief Operating Officer department;
- the Performing and Non-Performing Departments in the Chief Lending Officer department;
- the Communications and Sustainability Department;
- the Network, Markets and Products and Wealth Management Departments in the Chief Commercial Officer department and the Regional Sales Areas do no longer report to the Network Department but report to the Chief Commercial Officer.

In the period July-December 2021, micro-adjustments were made to the internal structure of some offices but without particular situations worthy of note.

With respect to Network processes, actions continued to improve the quality of work, free up more time to be dedicated to sales activities and increase customer service quality, while reducing service response/provision times by streamlining "administrative" activities and document management costs, with a significant effort toward increasing digitalisation of processes.



Governance & control systems

Corporate governance

The Parent Company's corporate governance takes into account the objective of creating a system of coordinated rules and structures capable of guaranteeing transparent and accurate management of relations with shareholders as well as between them and the directors and top management.

The Parent Company's bodies work so as to pursue the overall proper functioning of the business.

The Parent Company's fair and transparent corporate governance system and shared Code of Ethics provide it with rules to ensure that the legitimate expectations of all stakeholders are incorporated within corporate objectives.

The overall system of corporate governance makes reference to the current regulations of the Code, banking and financial supervision, to the Corporate Governance Code, in order to ensure a clear distinction of roles and responsibilities, the appropriate balance of powers, the balanced composition of corporate bodies, the effectiveness of controls, the monitoring of company risks, the adequacy of information flows and corporate social responsibility.

In particular, the Parent Company's administration and control system includes the following: the Board of Directors, the Board of Statutory Auditors and the Shareholders' Meeting. In addition, the following were also present: the CEO, who is also General Manager, and four Board committees, specifically, the Risk and Sustainability Committee, the Nominations Committee, the Compensation Committee and Related-Party Transactions Committee.

On 17 December 2020, at the request of the independent directors, the Parent Company's Board of Directors unanimously appointed - with the abstention of the party concerned - the independent Director Nicola Maione, as the Bank's *Lead Independent Director*.

In compliance with the provisions of Italian Legislative Decree no. 231/2001, the Parent Company has also established a 231 Supervisory Body entrusted with the task of supervising the functioning and observance of the 231 Model, as well as managing its updating.

The Parent Company decided to assign the role of the 231 Supervisory Body to an ad hoc collegial structure separate from the Board of Statutory Auditors, which is "mixed" in nature and consists of three members, including two outside professionals and a director qualified as independent based on the requirements set forth in the Corporate Governance Code of listed companies.

The Parent Company's internal control system is meant to ensure that risks are identified, measured, managed and monitored in such a way so as to enable sound, proper business management in line with pre-established objectives.

Further information on governance, including with regard to the concept of diversity in corporate bodies, is available in the "Report on Corporate Governance and Ownership Structure", available on the Parent Company's website (<https://gruppomps.it/en/corporate-governance-report.html>).



Risk governance

Risk governance strategies are defined in line with the Group's business model, medium-term Restructuring Plan objectives and external regulatory and legal requirements.

Policies relating to the assumption, management, coverage, monitoring and control of risks are defined by the Board of Directors of the Parent Company. Specifically, the Board of Directors periodically defines and approves strategic risk management guidelines and quantitatively expresses the Group's overall risk appetite.

In fact, the Parent Company's Board of Directors defines the overall *Risk Appetite Framework* (RAF) for the Group and approves the "*Group Risk Appetite Statement*" (RAS) at least once per year.

The RAF Governance process is centralised within the Parent Company, which outlines its relevant perimeter at Group level and defines its structure in Group companies, according to the risks assumed, size and operational complexity of each legal entity. The RAF defines the roles of corporate bodies and functions involved in defining the "risk appetite" and the procedures to be implemented if it becomes necessary to restore the level of risk to the objective or within the pre-established limits.

The RAS represents an essential element in defining the Group's risk strategy. The RAS is the formal document that contains the explicit declaration of the risk/return objectives/limits (overall, by type and broken down by individual companies/business units) that the Bank intends to assume to pursue its strategies. Therefore, with the RAS, the risk objectives/restrictions are identified and the indicators are broken down by *Business Unit/Legal Entity* (known as "cascading down" of the Risk Appetite). The objective is to increase the Group's *Risk Culture* and fully instil accountability in all relevant Business Units with regard to respect and pursuit of the risk appetite objectives, as required by the regulations and recommended by best practices.

The Risk Appetite Process is structured so as to ensure consistency with the ICAAP (internal capital adequacy assessment process) and ILAAP (internal liquidity adequacy assessment process) as well as with Planning and Budget and Recovery processes, in terms of governance, roles, responsibilities, metrics, stress testing methods and monitoring of key risk indicators.

In compliance with the guidelines set forth by the Basel Committee and best practices, new prudential supervisory provisions for banks require credit institutions to carry out adequate stress test.

The Group regularly conducts stress tests on all risk factors. Stress tests are used to assess the Group's capacity to absorb large potential losses in extreme yet plausible market situations, so as to identify the measures necessary to reduce the risk profile and preserve assets.

The Group's methodological approach to stress-testing is based upon the identification of the main risk factors, both Pillar 1 and Pillar 2, with the objective of selecting events or combinations of events (scenarios) which reveal specific vulnerabilities at Group level.

The results from the stress tests are submitted to the Top Management and Board of Directors. They are formally examined by the Board of Directors as part of the ICAAP/ILAAP Annual Report approval process, with a view to providing a self-assessment of the current and prospective capital adequacy and liquidity of the Group.

Group Risk governance is provided centrally by the Parent Company's Board of Directors, which also supervises and is responsible for the updating and issue of internal policies and the main internal regulations in order to promote and guarantee a continuously greater and more widespread risk culture at all levels of the organisation. Awareness of risks and the correct knowledge and application of the internal processes and models governing those risks - first and foremost for those validated for regulatory purposes - are fundamental requirements for effective, sound and prudent business management.

The Risk Control Function is specifically assigned the task of monitoring the *Key Risk Indicators* (KRIs), drawing up a periodic report for the Board of Directors and implementing the escalation/authorisation processes in the event that thresholds are exceeded.

The incorporation of macro risk and risk-adjusted performance indicators, consistent with the RAF, within staff remuneration and incentive policies represents an additional tool to promote awareness of the behaviours of all resources and the cultivation of a healthy risk culture.

In reference to the Group's *Risk Culture*, during 2021 initiatives were pursued regarding corporate bodies (board induction cycles on specific issues for both the Parent Company and the Subsidiaries) as well as general training initiatives (on-line courses) for all personnel in the areas of risk management and mitigation. In collaboration with the *Chief Human Capital Officer* Department, the *Chief Risk Officer* Department, in continuity from the previous year, carried out a project for all Group personnel on the topic of "*Risk Culture*", through scheduled eLearning events



which featured typical operating situations for the Bank in which specific risks are generated. The interventions and related contents made available on the e-learning platform focused in particular on the issues of anti-money laundering, the determination of credit ratings, transparency and data protection.

Furthermore, during 2021 internal initiatives proceeded to ensure continued compliance with national and international regulatory provisions.

In addition, the ICAAP and ILAAP packages were sent to the *Regulator* in accordance with the ECB's regulatory prescriptions regarding the "*Technical implementation of the EBA Guidelines on ICAAP/ILAAP information for SREP (Supervisory Review and Evaluation Process) Purposes*", as well as in line with the "*ECB Guide to the Internal Capital and Liquidity Adequacy Assessment Process (ICAAP/ILAAP)*", issued in November 2018.

In January, as required in the ECB's final decision of 28 December 2020 regarding SREP capital requirements, the Parent Company approved and sent the Capital Plan to ECB.

2021 was also characterised by the execution and finalisation of the EBA 2021 Stress Test in which the MPS Group participated. The EU-wide 2021 stress test did not contain a pass / fail threshold and was instead designed to be used as an important source of information for SREP purposes. The outcomes of the exercise are consistent with the Capital Plan sent to the European Central Bank (ECB) on 29 January 2021. The envisaged capital strengthening operation is in any case subject to approval by DG Comp and the European Central Bank for the relevant aspects.

The Montepaschi Group is one of the Italian banks subject to the ECB's *Single Supervisory Mechanism*.



Compliance systems

Within the broader internal control system, the Compliance Function of the Parent Company autonomously and independently governs non-compliance risk at Group level, periodically reporting to top management and supervisory authorities on the overall status of compliance of systems, processes, and operations.

With implementation from 26 April 2021, the management reorganisation was completed resolved by the Board of Directors on 28 January 2021 in line with the guidelines for the simplification of the new organisational model of the General Management offices as defined in the context of the Corporate Strategic Plan. The remediation measures that emerged following the *Quality Assessment Review* (QAR) carried out on the Function in 2020, at the request of the Board of Statutory Auditors, were thus adopted.

The new organizational structure also took into account the considerations made following the on-site inspection conducted by the European Central Bank in 2019/20 on internal governance and internal control system issues.

During 2021, follow-up actions were carried out on the Transparency Program, a project launched in 2020 following the Bank of Italy's audits on Transparency and Fairness of relations with customers, which began in October 2019 and concluded in January 2020.

These actions were aimed at optimising customer relations management and ensuring greater monitoring of the matter by the functions involved in the end-to-end process. The adjustment program was structured on 3 areas of responsibility, focused respectively on:

1. strengthening of governance and organisational structures;
2. development of a dedicated technological platform;
3. adjustments made necessary for the subsidiary Widiba.

Lastly, additional project initiatives were carried out during the year, particularly in matters related to:

- the strengthening of the Compliance Function's role in certain processes considered particularly critical, including the internal regulation management process and the external communication process;
- strengthening of the regulatory alerting activities internal and external to the Compliance Function, for which the Function has adopted a structured process for the management of regulatory changes able to face and improve the efficiency of both the monitoring of the evolution of the relevant regulations on all the company levels and management of the prioritization of the internal adjustment, allowing the monitoring of the activation of the change management processes by the functions that own the processes impacted by the regulatory changes, in order to verify the actual adjustment;
- the increase in the level of digitisation of compliance operating processes, in particular: i) the development of an Artificial Intelligence solution (machine learning), for the identification of regulatory obligations and the automated identification of second-level controls; ii) the implementation of a dedicated compliance dashboard for independent access to data and the performance of compliance audits, with the aim of increasing the current span of control of continuous monitoring tools.



Remuneration Policy

The Group's remuneration and incentive policies are described every year in the "Remuneration and Compensation Policy Report", prepared under art. 123-ter of the Consolidated Law on Finance and subject to approval by the Shareholders' Meeting.

(<https://www.gruppomps.it/en/corporate-governance/remuneration.html>)

The enhancement of professional skills and adoption of management decisions aimed at long-term value creation reflect a corporate culture based on the ethics of responsibility, a strong sense of belonging and continuous focus on human capital growth, in compliance with prudent risk management policies. With this in mind, the Group approved a specific structured management plan so that the transition from business strategies to results is also guaranteed through the initiatives launched to ensure a continuous path of employee engagement, the enhancement of merit, opportunities for professional growth and distinctive and widespread leadership, as well as an ever greater remuneration consistency between comparable roles and responsibilities, with particular attention to the link between remuneration, risk and sustainability of performance.

Remunerations are defined in correlation to the applicable market practices, also through the weighting of company's position that allows to assess on an ongoing basis and more precisely both the internal equality, checking the consistency of the remuneration packages of the resources with the same classification levels, and the external competitiveness in comparison with the market.



Distribution channels

The Group operates with a view to developing and rationalising its distribution network, by combining regional coverage with the strengthening of innovative channels.

Traditional domestic branches are flanked by specialised shopping centres, which handle relational follow-up and the specific management of particular customer segments (e.g. Small and Medium Enterprises, Private, etc.) and by 538 Financial Advisors (521 as at 31 December 2020) who carry out their activities by having offices open to the public distributed throughout the country.

MONTEPASCHI GROUP - DISTRIBUTION NETWORK ITALY AS AT 31/12/2021									
Region									
	Domestic branches ^(*)	Inc.	Client Centres ^(**)					Financial Advisory Offices	Inc.
			SME	Family Office	Private	Tot.	Inc.		
Emilia Romagna	88	6.4%	5		6	11	8.7%	8	7.3%
Friuli Venezia Giulia	35	2.6%	3		1	4	3.2%	3	2.8%
Liguria	17	1.2%	1		1	2	1.6%	4	3.7%
Lombardia	189	13.8%	10	1	7	18	14.3%	10	9.2%
Piemonte	33	2.4%	2		1	3	2.4%	2	1.8%
Trentino Alto Adige	2	0.1%						1	0.9%
Valle d'Aosta	2	0.1%							
Veneto	180	13.2%	13	1	6	20	15.9%	5	4.6%
Northern Italy	546	39.9%	34	2	22	58	46.0%	33	30.3%
Abruzzo	27	2.0%	2		1	3	2.4%	3	2.8%
Lazio	113	8.3%	5	1	3	9	7.1%	11	10.1%
Marche	35	2.6%	4		1	5	4.0%	4	3.7%
Molise	4	0.3%						1	0.9%
Toscana	298	21.8%	11	1	8	20	15.9%	8	7.3%
Umbria	33	2.4%	2		2	4	3.2%	4	3.7%
Central Italy	510	37.3%	24	2	15	41	32.5%	31	28.4%
Basilicata	10	0.7%						2	1.8%
Calabria	37	2.7%	1			1	0.8%	2	1.8%
Campania	78	5.7%	4	1	3	8	6.3%	17	15.6%
Puglia	83	6.1%	6		4	10	7.9%	15	13.8%
Sardegna	10	0.7%	1		1	2	1.6%	2	1.8%
Sicilia	94	6.9%	3		3	6	4.8%	7	6.4%
Southern Italy and island	312	22.8%	15	1	11	27	21.4%	45	41.3%
Total	1,368	100.0%	73	5	48	126	100.0%	109	100.0%

(*) as reported to the Bank of Italy

(**) of which no.8 reported to the Bank of Italy as Office not having the same location of the branch

At the end of 2021, the **Italy Network** had **1,368 branches** overseen by the Supervisory Authority, with a reduction of 50 operating points compared to 31 December 2020, due to the closure of these operating points in December 2021.

The Group also makes use of **126 Specialised Centres** (140 as at 31 December 2020), of which 73 dedicated to Small and Medium Enterprises, 48 to Private customers and 5 to the Family Office.

The Group's **ATM** network comprises a total of **2,621 machines** (-26 compared to 31 December 2020), of which 2,074 coinciding with traditional branches (1,663 of these are located on premises with an independent entrance also accessible outside of branch hours) and 547 installed in public places with high operational potential, of which 92 in institutions/companies. The ATM machines with "cash in" functionality are 1,340 (of which 935 located in the Self Area and 405 within the branches), down by 26 units compared to 31 December 2020.

The Group has an international presence with a Foreign Network geographically distributed in major financial and economic markets and in several emerging countries with high growth rate, with significant trading relations with Italy, currently structured as follows:

- **1 operational branch** in Shanghai;
- **8 representative offices** in target areas of Europe, North Africa, India and China;



- **1 bank under foreign law**, and specifically Monte Paschi Banque SA, operating in France, for which the Parent Company resolved in 2018 the launch of the orderly winding-down process, drawing up a plan in compliance with the provisions of Commitment no. 14 “*Disposal of participations and businesses*”, i.e. (i) progressive deleverage of the current loan portfolio, (ii) acceptance of deposits only from existing customers, excluding the possibility of developing new businesses and entering new markets, (iii) compliance with other existing regulatory restrictions. The performance of the subsidiary in 2021 is substantially in line with the provisions of the *Commitment*.

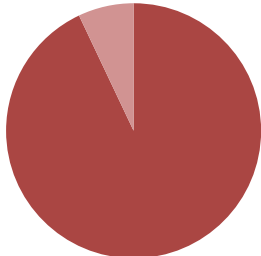
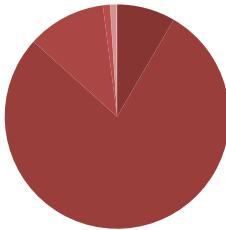
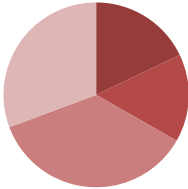
In addition to its physical presence across the country, the Parent Company offers banking services to customers through electronic channels, through internet banking products for *Retail* and *Corporate* customers. As at 31 December 2021, there were 1,318,150 active users (+107,717 compared to 31 December 2020). Internet banking services for *Retail* customers have 1,178,406 active users and those for *Corporate* customers have 139,744.



Customer base

As at 31 December 2021, the Group¹¹ had around 3.7 mln customers, compared to 3.9 mln as at 31 December 2020. Customers as at 31 December 2021 are broken down as follows:

- 3.4 mln (slightly down with respect to 31 December 2020) are managed by the Sales & Distribution Network of Banca Monte dei Paschi;
- 0.3 mln (essentially stable compared to 31 December 2020) are managed exclusively by Widiba, the Group's online bank.

<u>Customer Breakdown</u>	<u>Sales & Distribution Network</u>
Breakdown by type  ■ Distribution Network - 93% ■ Widiba - 7%	Breakdown by type  ■ Small Business - 8.4% ■ Valore - 78.2% ■ Premium - 11.3% ■ Private - 1% ■ Family Office - 0.06% ■ SMEs and other companies - 0.8% ■ Key Clients - 0.1% ■ Large Corporate - 0.03%
	Breakdown by geography  ■ North East - 17.9% ■ North West - 15.4% ■ Centre - 36.1% ■ South - 30.7%

At the end of 2021, the Retention and Acquisition indicators¹² stood at 92.8% and 4.4%, respectively, marking an improvement compared to 2020 (92.0% and 3.9%, respectively).

¹¹ Intended as the sum of the total MPS and Widiba Network, excluding the customers of the other Group companies.

¹² The indicators refer only to the Parent Company and have been cleared of the effect from the migration of customers to Widiba.



Reference context

The international scenario

After the 2020 recession, 2021 has closed with a strong rebound of the world economy in a phase of coexistence with the virus. Vaccinations were crucial to overcome the most acute phase of the health and economic crisis, but the uneven global coverage and a new increase in infections caused by the recent spread of the Omicron variant, do not allow to consider the pandemic emergency to be over. The different circulation of the virus, the degree of fiscal and monetary stimulus implemented by policy makers and the different national production structures made the recovery of the various countries heterogeneous during the year. In the context of a restart of post lockdown demand, characterised by the recovery of consumption and international trade, there were supply bottlenecks; geopolitical tensions, shortages in global supply chains and the rise in commodity prices (oil, gas) have led to higher production costs and generated tensions on prices. On the international stage, the West reacted to the armed invasion of Ukrainian territory by Russia by introducing heavy economic sanctions against Moscow, in a scenario of conflict between blocs with possible consequences on the resilience of the global recovery and the persistence of energy tensions. The strong inflation, which in the second half of the year was surprisingly constantly on the rise, puts central banks under pressure and, despite the uncertainty caused by the pandemic, they could be forced to react aggressively, impacting the current economic cycle.

In the United States, growth remained robust even if during the summer, thanks to a slowing down vaccination campaign, it was affected by the reintroduction of restrictive measures to contain contagion, recording a slowdown (+2.3% growth q/q, annualised in the third quarter compared to +6.7% in the second quarter), which was brilliantly exceeded in the fourth quarter (+6.9% annualised q/q). The huge fiscal stimulus plans for physical and human infrastructures wanted by the Biden Administration supported the recovery, however starting to replace the emergency support perspective with that of multi-year planning. Despite the improvement in the labour market, tensions persist especially on the supply side, with vacancies exceeding the number of unemployed and companies forced to increase wages and bonuses to keep / attract skilled workers. But it is inflation that is of greatest concern, with the CPI consumer price index rising to 7% on a trend basis in December and the core figure rose by 5.5% y/y, driven by second-level effects such as the increase in wages and rents. The persistence of high prices pushed the Fed to implement an exit strategy from the stimulus measures to the economy that had characterised its work so far, starting the tapering from November and signalling a squeeze on the cost of money in the short term.

In the Eurozone, after the marked rebound in the spring, growth in the second half of the year maintained a rather sustained pace of expansion (+4.6% in the fourth quarter), driven by domestic demand. However, the industrial sector is still suffering from the difficulties arising from supply chains and the increase in production costs. The spread of the new Omicron variant is also beginning to manifest its effects on the economy despite the fact that countries are getting used to living with the virus. At the resumption of infections, which occurred in the last part of the year, the responses were diverse and ranged from the introduction of light restrictions in countries with high levels of immunizations, to the introduction of new complete lockdowns (Netherlands, Austria) or measures aimed at non-vaccinated people (Germany). With the economic recovery underway, the labour market has improved and the labour supply has also increased, albeit not yet reaching pre-pandemic levels. In the wake of the rise in energy components, inflation in the Area gradually increased, reaching 5% on a trend basis at the end of the year (2.6% net of the more volatile components); this level is more than double the symmetrical medium-term target of the ECB and it opens the debate on possible future moves for the Authority should inflation persist at these levels.

The expansive fiscal policy was confirmed, thanks to the funds envisaged in the national budgets and the resources reserved by the *Next Generation EU* (NGEU) of EUR 750 bn (EUR 390 bn in non-repayable subsidies plus EUR 360 bn in loans): in the second half of the year, thanks to the presentation to the EU Commission and the approval of the respective National Recovery and Resilience Plans (NRRPs), pre-financing was granted to the participating countries; the disbursement of the due tranches will depend on the verification of compliance with the objectives agreed in the national NRRPs. At the end of the year, the debate began on possible changes to the Stability and Growth Pact, which regulates the indebtedness of governments and safeguards the value of the euro, currently suspended until 2023 due to the pandemic emergency.

The recovery of emerging economies varies and depends on the degree of diffusion of vaccinations. In addition, the rising global inflation puts pressure on the Central Banks of those countries pursuing price stability; these Authorities, in fact, by intervening aggressively to counteract inflationary pressures, risk further depressing economies already in difficulty; vice versa, by favouring growth support, they risk undermining the confidence of international investors with regard to the stability of domestic debts, fuelling capital flight and weakening national currencies. Economies that recorded, at the same time, low levels of vaccination and above target inflation are among those that have seen a decisive slowdown in growth in the second half of 2021: among them Russia and Brazil. In China, thanks to the strong rebound recorded in the first part of the year and the accommodating policies,



GDP growth for the whole of 2021 stood at 8.1%, exceeding the target that the Beijing government had prudently set at 6%; however, in the second half of the year there was an economic slowdown, due to tensions in the real estate sector and the strict application of restrictive measures in the presence of even minimal contagions.

Italy: economic context

Despite the negative effects of restrictions continued into the first few months of the year, also thanks to the success of the domestic vaccination campaign stimulated by the use of the green pass, 2021 marked the decisive recovery of the Italian economy: the strong rebound in the second quarter (+17.1% y/y) and a robust growth in the second part of the year allow GDP to reach 6.6% on average for the year. In the central quarters, the expansionary cycle was driven by the recovery of household spending, especially in services, after the end of restrictions and by the stability of investments in capital goods and in construction, the latter beneficiaries of tax incentives for restructuring. Despite the persistent difficulties in terms of procurement of semi-finished products and increasing pressures on costs, Italian production has returned to exceeding pre-crisis levels, benefiting from its production specialization: the transport sector, whose Italian manufacturing is more focussed on the production of spare parts, has suffered less from the ecological transition and the shortage of semiconductors. The Italian industry enjoyed a good performance in exports, including food, a sector in which it holds a comparative advantage and which was less affected during the pandemic. In the last part of the year, the restoration of some containment measures to counter the spread of the Omicron variant, together with persistent price tensions (inflation at 3.9% y/y in December) that risk being passed on in the various production stages, are impacting growth. The performance of the labour market continues to mirror, rather closely, the performance of economic activity, in a context in which the Government's initiatives have been essential to maintain employment levels. The Italian recovery, which has benefited throughout the year from Government support measures, depends on the National Recovery and Resilience Plan approved in June by the EU Commission. In August Italy received an advance payment of EUR 25 bn of the funds made available to fund the investments and reforms envisaged in the Plan. The EU Commission is examining the periodic report on the progress of the Italian NRRP (51 objectives agreed to be met in 2021), on whose verification depends the disbursement of the first tranche of funds of the Next Generation EU of EUR 24 bn. Towards the end of the year, Parliament approved a Budget Law which, in addition to support measures, pays attention to more structural measures, including the reform of social safety nets and the reduction of the tax burden.

The Government's action concerned a series of measures aimed, on the one hand, at mitigating the economic and social repercussions of the health emergency on households and businesses and, on the other, at strengthening actions to combat the pandemic in the health field.

In the first few months of the year, the Law converting the Milleproroghe Decree (Law no. 21/2021 converting Law Decree 183/2020), in force since 2 March and the Support Decree (Decree Law no. 41/2021) in force since 23 March, among the various measures introduced non-repayable contributions for VAT numbers, the extension of the freeze on dismissals, the refinancing of healthcare expenses. The Support-bis Decree, published in the Official Gazette on 25 May 2021 (converted into law by Parliament on 23 July), intervened with an allocation of around EUR 40 bn to expand and strengthen the instruments to combat the spread of the COVID-19 epidemic.

The Government's programmatic action was strengthened at the end of April, with the despatch to the European Commission of the Plan for the Recovery and Resilience of Italy (NRRP), which envisages EUR 68.9 bn in **grants** and EUR 122.6 bn in loans under the Plan. On 22 June 2021, the European Commission adopted a positive assessment on the **Italian NRRP**. The approval of the NRRP was preceded by the decree-law of 6 May 2021 (converted into Law no. 1 of 1 July 2021) containing "Urgent measures relating to the Supplementary Fund to the National Recovery and Resilience Plan and other urgent measures for investments", ordered the approval of the National Investment Plan, aimed at integrating national resources for a total of approximately EUR 30.6 bn with regard to the interventions of the NRRP for the years from 2021 to 2026. A further EUR 26 bn were also earmarked, by 2032, to be allocated to the realization of specific works and to replenish the resources of the Development and Cohesion Fund.

With regard to the resources of the NRRP, the Ministry of Economy and Finance adopted the ministerial decree (decree of 6 August 2021, published in the Official Gazette no. 229 on Friday 24 September) indicating 256 total expense items of investments and sub-investments divided among 23 central administrations.

With reference to the NRRP, on 23 December the Prime Minister announced the achievement by Italy of the first 51 objectives set out in the National Recovery and Resilience Plan within the year and the signing of the *Operational Arrangements* in which the periodic verification mechanisms are established (valid until 2026) relating to the achievement of all the *Milestones* and *Targets* necessary for the recognition of the six-monthly repayment instalments of the NRRP resources. The payment request relating to the first instalment of the funds to the European Commission was submitted by Italy on 31 December. The disbursement of resources by the Commission will take



place in the coming months as a result of the assessment process envisaged by the regulations on the achievement of the 51 measures. Finally, on 31 December 2021, Law no. 233 of 29 December 2021, containing “Urgent provisions for the implementation of the National Recovery and Resilience Plan (NRRP) and for the prevention of mafia infiltration”.

On 18 November 2021, with reference to European state aid rules, the extension to 30 June 2022 was approved with Communication C (2021) 8442, of the temporary Framework, adopted by the European Commission to allow Member States to make full use of the flexibility provided by state aid rules, defining at the same time a process for the gradual elimination of aids linked to the crisis in light of the recovery of the European economy. To this end, the Commission has decided to introduce two new measures to accompany businesses for a further limited period: direct incentives for private investments (eligible until 31 December 2022) and solvency support measures (eligible until 31 December 2023). On 16 December 2021, the Guidelines on state aid to promote investments for risk financing (Com 2021/C 508/01) were adopted. In this context, on 30 August the Commission approved an Italian EUR 520 mln package aimed at compensating companies operating in the trade fair and congress sector and related service providers. On 10 November 2021, the Commission approved an Italian package of EUR 4.5 bn to support businesses and the economy in the context of the coronavirus pandemic.

With regard to the measures concerning the organization of business activities, Law Decree no. 127 of 21 September 2021 (Employee Green Pass decree) came into effect. The provision introduces the obligation to show a green pass in order to access both public and private sector workplaces from 15 October. It also requires employers to verify compliance with the green pass obligation by adopting organizational measures. Employees without a green pass are considered to be absent without leave (and have no right to remuneration) until they provide the aforementioned certification, even if they are not subject to disciplinary sanctions and have the right to retain their job.

At the end of the year, with the resumption of contagions, further law decrees came into force in particular relating to health surveillance and the use of the green pass and masks. Law Decree 172 of 26 November 2021 (“DI Super Green pass”), provided for the introduction of a series of containment measures including the third vaccination dose, the extension of the obligation to vaccinate to new categories and the strengthening of the green pass measures. Law Decree 221 of 24 December 2021 “Extension of the national state of emergency and further measures to contain the spread of the COVID-19 epidemic” ordered the extension of the national state of emergency to 31 March 2022, the reduction of the duration of the vaccination green pass from 9 to 6 months and the possibility of anticipating the third vaccine dose from 5 to 4 months after completion of the primary vaccination cycle. Law Decree 229 of 30 December 2021 “Urgent measures to contain the spread of the COVID-19 epidemic and provisions on health surveillance” finally provided for new measures regarding the extension of the super green pass and quarantines for vaccinated people. Lastly, Law Decree no. 5 of 4 February 2022, indicated that the COVID-19 green pass issued after the third dose has an indefinite effectiveness without the need for new vaccinations, putting on the same level those who have had the third vaccine dose with those who contracted COVID and recovered after completion of the primary vaccination cycle. The same Decree eliminated the restrictions envisaged in the red zones for subjects with a super green pass.

With regard to the legislative measures implemented in the last part of the year with an impact on the banking, financial and entrepreneurial sector, please note that Law Decree no. 118 (Business Crisis Law Decree), of 24 August 2021, which introduced changes regarding business crises with regard to the increase in companies in difficulty or insolvent and the need to provide new and effective tools to prevent and deal with crisis situations. The Tax Decree published in the Official Gazette on last 20 December governed the so-called “Earmarked assets” established by the Relaunch decree (Law Decree no. 34/2020) within Cassa Depositi e Prestiti to carry out actions and operations to support and relaunch the Italian economic and production system. On 31 December, Law no. 234 (the “Budget Law”) of 30 December 2021 was also published in the Official Gazette. Its measures include: i) the extension of the Super bonus and the fight against fraud relating to the assignment of receivables; ii) the extension of the “Transition 4.0” capital goods tax credit and the refinancing of the “Nuova Sabatini” measure; iii) the strengthening of individual savings plans (PIR, *Piani individuali di risparmio*); iv) the extension to 30 June 2022 of the extraordinary intervention to guarantee the SME Guarantee Fund to support the liquidity of the companies affected by the COVID-19 emergency; v) the extension to 30 June 2022 of the rules on the extraordinary intervention under guarantee of SACE (“Guarantee Italy”) as well as the operation of the extraordinary SACE guarantee in favour of mid cap companies; vi) the extension to 31 December 2022 of certain provisions regarding the operation and extension of the access requirements of the Solidarity Fund for mortgages for the purchase of a first home (“Gasparrini Fund”); vii) the increase in the maximum shareholding of Bank of Italy from 3% to 5% and the determination of the tax regime for dividends received in 2022.

With regard to justice, among the reforms envisaged by the NRRP, Law no. 134, containing “Delegation to the Government for the efficiency of criminal proceedings as well as restorative justice and provisions for the rapid



settlement of judicial proceedings” was published in the Official Gazette on 27 September 2021. The law responds to the need to speed up the criminal proceedings, also through judicial deflation and digitisation. On 25 November, Parliament approved enabling law no. 206 of 2021 published in the Official Gazette of 9 December 2021 on the reform of the civil proceeding, which contains provisions aimed at simplifying first and second degree proceedings, strengthening the instruments of out-of-court settlement of disputes and digitalising the procedural process.

Financial markets and monetary policy

In the main advanced economies, share prices maintained a marked upward trend, despite some phases of turbulence recorded last summer in the wake, among other things, of the trend of contagions, the risk of default of the Chinese real estate giant Evergrande and the uncertainty on the tapering of the Fed and, again since last November, following the spread of the Omicron variant. From the beginning of the year to 31 December 2021, the FTSE Mib gained around 23%, the Euro Stoxx 21% and the S&P 500 almost 27%; the increase recorded by the Nikkei was lower (around +5%) while the Chinese Shenzhen recorded a decline of more than 5%, penalised by the tensions on the domestic real estate market and by the regulatory restrictions introduced on the markets by the Beijing government.

The tensions on gradually increasing prices, together with the uncertainty on the evolution of the contagions determined a fluctuating trend in the yields of government bonds during the year. The increases occurred at the beginning of 2021 foreshadowing a rising trend which, however, was interrupted several times during the year and which resumed with force in December on the expectations of an imminent rise in the cost of US money. After having exceeded 1.7% last April, the US ten-year rate returned to point towards those levels, closing the year at 1.51%, around 60 basis points higher than the value at the end of 2020; there was a similar trend for the German ten-year period, which as at 31 December 2021 rose to -0.18% from the -0.57% recorded on 31 December in the previous year (-0.10% in May 2021). The Italian ten-year period is more volatile, closing 2021 at 1.17% from 0.54% at the end of 2020 and after reaching around 1.20% at the beginning of November. The yield spread between BTP and ten-year Bund, which remained under little pressure for most of 2021, began to rise slightly from November, thanks to some tensions in the government majority in view of the elections of the President of the Republic, closing the year with a 135 basis points from 110 at the end of 2020.

The expansionary stance of monetary and tax policies continued throughout 2021 and strongly supported the economic recovery. However, although with a very different degree of urgency, the inflationary pressures that emerged during the year began to induce the Monetary Authorities to reshape their actions in an economic context still exposed to the pandemic. In particular, judging the price tensions to be persistent, last November the Fed kept the Fed Funds rate unchanged at 0.00-0.25%, but started the process of reducing (tapering) its program of purchases of bonds on the open market (quantitative easing) and, at the December meeting, increased the speed¹³ of withdrawal. Also in December, the Authority announced three increases in the reference rates for 2022. Moreover, the minutes of the last meeting of the year show the possibility of an even more restrictive approach in the short term, with some members of the FOMC, the Executive Committee of the FED, hoping for an even faster monetary tightening and a more accelerated liquidation of the monthly purchases of assets, as well as a reduction in the budget. At the end of the year, Jerome Powell was confirmed as Governor of the FED for the second consecutive term. In the Eurozone, the ECB remains patient in the face of inflation that, according to Eurotower estimates, is expected to remain high for a longer time, but in any case decreasing during 2022. In December, however, the Authority reduced the monetary stimulus that characterised its action throughout 2021, albeit to a limited extent. In the last meeting of the year, the Governing Council confirmed the policy rates unchanged (0% for the *main refinancing operations rate*, 0.25% for the *marginal lending facility rate* and -0.50% for the *deposit facility rate*), reiterating that these will remain at the current level, or lower, until the underlying inflation trend is deemed consistent with the new symmetrical inflation target of 2% over the medium term¹⁴. At the same time, the Authority announced the end of the pandemic program of assets purchases (PEPP) for next March, preceded by a slowdown in the pace of monthly purchases during the first quarter of 2022. The closure of the PEPP is mitigated by the commitment to reinvest the principal repayments on the securities in the portfolio at least until the end of 2024 and by a temporary strengthening of the *standard Quantitative Easing (Asset Purchase Program or APP)* in the second and third quarter of 2022. After this deadline, purchases via APP will return to the current rate of around EUR 20 bn per month for an indefinite period. Further flexibility is envisaged in the allocation of PEPP reinvestments among asset classes, durations and jurisdictions, opening up the possibility of a resumption of net

¹³ With the start of tapering, the Fed's QE, which envisaged purchases of USD 80 bn per month of securities issued by the federal Treasury and USD 40 bn of agency mortgage backed securities (securitisations of mortgage loans issued by federal agencies), was reduced in November by a monthly amount of USD 15 bn, up from last December to USD 30 bn per month; if this pace remained unchanged, the program would end by March 2022.

¹⁴ The ECB reviewed its monetary policy strategy at its July meeting



purchases of PEPP in case of need. At the same meeting, the ECB did not announce further TLTRO III auctions after the last one held at the end of the year, indicating that it will monitor the funding conditions of the banking system to ensure that the maturities of the previous transactions do not impact the monetary policy transmission mechanism. Also in December, the *Bank of England* (BoE) raised its reference rate from an all-time low of 0.10% to 0.25%



COVID-19

Summary of measures to support households and businesses

31 12 2021

Type of Loans	Gross exposures			Total impairment (losses)			New Loans	
	EBA Compliant-moratoria	EBA Non-compliant moratoria	Total Gross exposures	EBA Compliant-moratoria	EBA Non-compliant moratoria	Total impairment (losses)	Gross exposures	Total impairment (losses)
Performing exposures	115.9	1,779.6	1,895.5	1.2	46.4	47.6	10,219.0	27.6
Non performing exposures	6.2	266.6	272.8	2.0	68.1	70.1	125.3	22.5
Total 31 12 2021	122.1	2,046.2	2,168.3	3.2	114.5	117.7	10,344.3	50.1
stage 1	82.0	846.5	928.5	0.1	2.2	2.3	7,749.7	5.5
stage2	33.9	933.0	966.9	1.1	44.2	45.3	2,469.3	22.1
stage 3	6.2	266.6	272.8	2.0	68.1	70.1	125.3	22.5
Purchased or originated credit impaired financial assets	-	0.1	0.1	-	-	-	-	-

Performing exposures affected by moratorium measures in place were equal to about EUR 1.9 bn (about EUR 11.8 bn as at 31 December 2020), of which 49% and 51% are classified respectively in stage 1 and 2, and account for approximately 2.4% of the Group's performing loan portfolio. These exposures are mostly attributable to moratoria with a total suspension period exceeding the 9-month trigger set by the *EBA Guidelines on general payment moratoria*, in particular approximately EUR 1.3 bn are attributable to further extension of suspension period related to the principal amount pursuant to the "Sostegni Bis" Decree. The moratorium measures in place no longer compliant with the aforementioned guidelines, following the assessment of financial difficulty, were classified as forborne during 2021 and they were equal to approximately EUR 0.4 bn, of which 63% thanks to actions relating to portfolio review and verification of the company's control functions.

Non-performing exposures affected by current moratoria amounted to around EUR 273 mln at 31 December 2021.

As at 31 December 2021, there were also approximately EUR 10.1 bn in performing moratoria with expired grace periods, of which approximately EUR 8.7 bn affected by the resumption of payment plans.

As at 31 December 2021, income statement item 140 "Modification Gains/losses" includes a loss related to the COVID-19 suspensions for roughly EUR 4.7 mln.

In terms of the actions taken in application of the "Liquidity Decree", in line with its credit policy guidelines, the Group continued to accelerate the deployment of guaranteed support measures. During 2021 additional loans of roughly EUR 4 bn were disbursed, for a total amount of loans guaranteed by the Central Guarantee Fund, ISMEA or SACE and granted from the start of the pandemic equal to around EUR 10.4 bn as at 31 December 2021. For the same period, further loans are being disbursed for approximately EUR 0.7 bn.

The total guaranteed disbursements are characterized for approximately 24% by exposures classified in stage 2, about 34% of which refer to disbursements made pursuant to letter E of the Liquidity Decree, the latter having a total exposure of EUR 3.2 bn as at 31 December 2021. Lastly, it should be noted that the coverage ratio of the guarantees over the total disbursed is approximately 88%, basically unchanged compared to the end of 2020.

Management of workplace safety in the context of the COVID-19 pandemic

The Group continued to work to ensure health and safety on the workplace, to prevent the risk of contagion and to guarantee business continuity, always in compliance with the government provisions in force at the time.

As part of the initiatives aimed at ensuring safe working conditions, the main changes as at 31 December 2021 consist of:

- adjustment of the measures envisaged for the duration and term of quarantine: based on Law Decree 229 of 30 December 2021 and the Circular of the Ministry of Health of 30 December, the Parent Company updated its provisions on the matter and a specific disclosure was sent to colleagues with instructions relating to the new provisions in force. In light of these new provisions, the Network facilities (Branches and Specialised Centres) were equipped with FFP2 masks, for the use of all colleagues. The obligation to



use them is intended only for colleagues in self-monitoring; other colleagues and other facilities for which the aforementioned masks have not yet been supplied may also use surgical masks.

- Control of possession and presentation of the green pass: the new INPS (the Italian Social Security Institute) methodology for the automated control of the Green Pass was activated. The check is carried out centrally by the Green Pass Reporting Function (CSO), whose members have been appropriately indicated among the company checkers on the INPS Portal by the Employer. This function daily views on the INPS website (without the option to download and archive) the results of the verification of the Green Pass possession that the Institute has acquired from the Platform of the Ministry of Health, containing the overall database of COVID-19 Green Passes, updated at midnight of the current day. The automated control supports the control methods currently in use (second level control). Lastly, on 1 February, Green Pass checking was also launched for customers accessing banking services.
- Suspension of Activities: due to the evolution of the pandemic, face-to-face training activities were suspended until mid-February 2022; from 28 December 2021, face-to-face meetings have not been permitted and business trips have been limited. In consideration of the evolution of the pandemic and the extension of the state of emergency to 31 March 2022 (with which all the terms related to it were also extended, including the rules on agile work), on 28 December the immediate suspension only for the month of January was communicated of the obligation of presence of at least one day a week, for the Central Structures, Regional Management and Regional Commercial and Credit Area in support of the Network.

Business Continuity Management

The business continuity management has:

- a) ensured operational continuity of critical and systemic processes by:
 - continuation of the performance of all the bank's critical processes, through activities mainly carried out in smart working mode, with restricted access to work sites;
 - gradual reopening, from the end of June 2021 of branches, with a reduction in smart working activities; following the regulatory provisions issued, branches and specialist centres follow the rules below:
 - red zone - receive by appointment with cash service only in the morning;
 - orange zone - opening without appointment only in the morning;
 - white or yellow zone - daily opening without appointment.
- b) the Crisis Management Committee (CGC) was convened and activated to monitor critical issues in January and April 2021, having level 2 confirmed (Ordinary with significant impacts). In the CGC held in June 2021, the reduction to emergency level 1 (Ordinary) was resolved, confirmed in the December 2021 session. In the last Committee meeting of the year, it was decided not to continue with predetermined meetings but only convening such meetings in case of strict need;
- c) participated regularly in institutional working teams created by CODISE (Service continuity for managing the banking system crisis led by Bank of Italy), ABI, COBAN, and the BCM Observatory.

Logical Security and Physical Security Management

In response to the extraordinary needs that emerged, in particular starting from the beginning of March 2020 and related to the COVID-19 emergency, the Group has:

- activated up to 1.000 "Citrix" licenses for secure connection to the corporate system using personal devices, subsequently available only in cases of actual need;
- enhanced infrastructure to support the expansion of corporate VPN services (reaching peaks of around 19 thousand users connected in agile work);
- strengthened security measures against cyber attacks, intensifying monitoring and control on the expanded network scope due to the large-scale use of VPN connectivity;
- continued with the plan for strengthening Physical Security with a particular focus on the measures for protection from ATM attacks (smoke bombs, cages, etc.) and ad hoc measures for the re-emergence of "black box" attacks (cryptography, etc.);
- introduced a new process for managing non-predatory attacks. The emergency situation has exacerbated "aggressive" behaviour of customers towards branch colleagues;



- continued to adopt extraordinary measures for managing customer flows in branches during peak periods (e.g., for pension payments);
- continued daily monitoring of the number of people in the Head Office buildings.



Significant events in 2021

On **11 January 2021**, the Board of Directors of MPS announced that it had appointed *Credit Suisse* as financial advisor with the task of assisting Mediobanca in the assessment of the strategic alternatives available to the Bank and of verifying market interest by operators of prime standing. This sounding was aimed at the subsequent opening of a data room.

On **28 January 2021**, the Parent Company approved the *Capital Plan* as required in the final ECB decision of 28 December 2020 regarding SREP capital requirements. On 29 January 2021, the Parent Company sent the *Capital Plan* to the ECB.

On **15 June 2021**, the MPS Board of Directors gave a mandate to the management of the Parent Company to review and potentially negotiate the strengthening of the existing partnership with Anima Holding S.p.A. in the asset management sector.

On **21 July 2021**, Fondazione Monte dei Paschi di Siena and the Parent Company announced that a preliminary agreement had been reached between the Parent Company and Fondazione regarding the out-of-court claims, mostly referring to the acquisition of Banca Antonveneta, the 2011 capital increase and the 2014-2015 capital increases. The preliminary agreement, approved by the Board of Directors of the Parent Company on 5 August 2021, envisaged a settlement that resolves once for all pending disputes. As a result of the preliminary agreement, Fondazione obtained, among other things, the payment of EUR 150 mln and a commitment to enhance the Parent Company's artistic heritage. Under the preliminary agreement, claims for compensation decreased by an amount of EUR 3.8 bn, which significantly helped with the main cause of uncertainty affecting the Parent Company's financial statements.

On **23 July 2021** the Montepaschi Group completed two synthetic securitization transactions concerning, respectively, a portfolio of loans granted by the Parent Company to Italian corporate clients/SMEs, mainly classified in stage 2, and a portfolio of specialised loans granted by MPS Capital Services Banca per le Imprese S.p.A., for a total amount equal to approximately EUR 1.4 bn. Due to these securitizations, the Junior (for the securitisation on specialised loans) and Mezzanine (for both transactions) risk of the two portfolios will be transferred to a third party (*Christofferson Robb & Company* Fund - "CRC"), through a guarantee contract. The transactions, notification of which was sent to the supervisory authority for evaluation, helped implementing the plan to boost the Group's capital strength indicators in 2021 and freed up resources to then provide new credit to the economic and productive sector.

On **30 July 2021** the results of the 2021 stress test were published, these were consistent with the Capital Plan sent to the ECB on 29 January 2021. The *Capital Plan* envisages a capital strengthening for EUR 2.5 bn and - as indicated in the Press Release issued on 30 June 2021 - the Bank sent the ECB - at their request - a draft plan under which the new shares would be issued no later than March/April 2022, specifying that, at present, any share capital increase - currently only hypothetical and in any case subject to approval by DG Comp and the European Central Bank for the relevant aspects - represents a fallback option with respect to the pursuit of the "structural solution".

In the Baseline scenario and in the Adverse scenario, the CET1/T1 ratios fell from 9.9% to 9.3% and from 5.0% to -0.1% respectively at the end of the three-year horizon, on a fully loaded basis.

On **5 October 2021**, the Parent Company completed the sale of 36,280,748 treasury shares (equal to approximately 3.62% of the share capital of BMPS) held by the Montepaschi Group, deriving from the capital strengthening measures carried out in 2017 pursuant to Law Decree no. 237/2016, converted with amendments by Law no. 15/2017, and the Decree of the Ministry of Economy and Finance published in the Official Gazette no. 175 on 28 July 2017, which provided, among other things, for the conversion into newly issued ordinary shares of class 1 (*Additional Tier 1*) and class 2 (*Tier 2*) equity instruments as part of the application of burden sharing measures.

The sale of these treasury shares (held, for 21,511,753 shares, directly by BMPS and for 14,768,995 shares, indirectly, through the subsidiary MPS Capital Services S.p.A.), was authorized by the Shareholders' Meeting of 18 May 2020.

The sale, started on 22 February 2021 and ended on 4 October 2021, took place on the Mercato Telematico Azionario of Borsa Italiana S.p.A. through the broker Equita SIM S.p.A., appointed to the purpose. Its total countervalue was around EUR 43 mln, with a positive impact on the 2021 CET1 of BMPS equal to 9 bps.

On **7 October 2021**, Fondazione Monte dei Paschi di Siena and the Parent Company finalised an agreement - already announced in its essential lines - to settle all outstanding disputes. As a result of the agreement, FMPS obtained, among other things, the payment of EUR 150 mln and commitments in regard to the enhancement of



the artistic heritage of the Parent Company and the use of the Rocca Salimbeni building, on which Fondazione was granted pre-emption rights.

On **24 October 2021**, UniCredit and the Ministry of Economy and Finance (MEF) communicated the interruption of negotiations relating to the potential acquisition of a defined perimeter of Banca Monte dei Paschi di Siena, despite the efforts made by both sides.

On **30 November 2021**, contacts were initiated with the Ministry of Economy and Finance, in order to restart discussions with the DG COMP (*Directorate-General for Competition*).

On **17 December 2021** the Board of Directors of MPS approved the 2022-2026 Strategic Plan (the “Plan”). The Plan fully replaces the previous 2021-2025 Strategic Plan, approved by the Bank in December 2020, which was drafted outlining a structural operation to be carried out in the short term.

The Plan was presented as part of the various information, approval and regulatory processes that the Bank has undertaken with the European Central Bank, the *Single Resolution Board* and the *DG Competition*.

Significant events after the end of the 2021 financial year

On **3 February 2022**, the Parent Company received the final decision of the European Central Bank (“ECB”) regarding the capital requirements to be met from 1 March 2022. According to this decision, the MPS Group - at consolidated level - must comply with a *Total SREP Capital Requirement* (TSCR) of 10.75%: this includes a minimum requirement in terms of own funds - Pillar 1 (“P1R”) of 8% (of which 4.50% in terms of CET1) and an additional Pillar 2 requirement (“P2R”) of 2.75%, which is unchanged with respect to 2021, to be held at least for 56.25% in the form of Common Equity Tier 1 capital - CET1 - and 75% in the form of Tier 1 capital. The overall minimum requirement in terms of *Total Capital ratio*, obtained by adding a *Combined Buffer Requirement* (CBR) of 2.75%¹⁵ to the TSCR, is 13.50%. The overall minimum requirement in terms of CET1 ratio is 8.80%, the sum of P1R (4.50%), P2R (1.55% 2) and CBR (2.75%); the overall minimum requirement in terms of Tier 1 is 10.82%, including P1R of 6%, P2R of 2.06% 3 and CBR of 2.75%. On the basis of the capital ratios in place as at 31 December 2020, in the context of the SREP decision, the ECB confirmed for BMPS the decision - already in force - to restrict dividends.

On **7 February 2022** the Board of Directors of the Parent Company unanimously resolved the revocation, with immediate effect, of Mr Guido Bastianini, as General Manager, Chief Executive Officer and Director in charge of the internal control and risk management system of Banca MPS, as well as all related delegated powers, while remaining in office as a member of the Parent Company’s Board of Directors. The appointment of the new Chief Executive Officer and General Manager will be subject to evaluation by the European Central Bank.

On **18 February 2022**, the Parent Company received from the Bank of Italy, in its capacity as Resolution Authority, the decision SRB/EES/2021/177 of the Single Resolution Committee on the calculation of the minimum requirement for own funds and eligible liabilities (“2021 MREL Decision”), which replaces the decision received in December 2020. Starting from 1 January 2024, the Parent Company must comply, on a consolidated basis, with an MREL (*Minimum Requirement for own funds and Eligible Liabilities*) of 23.32% in terms of TREAs (*Total Risk Exposure Amount*), to which the CBR applicable at that date must be added, and 7.22% in terms of LRE (*Leverage Ratio Exposure Measure*). To these must be added the additional subordinated MREL requirements, to be met with own funds and subordinated instruments, equal to 17.34% of TREAs, to which the CBR applicable at that date must be added, and 7.22% of LRE. In the transitional period, from 1 January 2022, the Parent Company will have to comply, on a consolidated basis, with an intermediate MREL of 18.95% in terms of TREAs, to which the CBR must be added (equal to 2.75% in 2022) and 6.22% in terms of LRE. To these must be added the additional subordinated MREL requirements, to be met with own funds and subordinated instruments, equal to 13.5% of TREAs, to which the CBR must be added, and 6.22% of LRE.

On **24 February 2022**, the President of the Russian Federation announced a military operation in Ukraine and the Russian Armed Forces began an attack on Ukraine. The decision came shortly after the official recognition of the separatist republics of Donbass located in the Ukrainian territory, Donetsk and Lugansk, and the sending of troops to the territory with the official motivation of a peacekeeping initiative. Various economic sanctions packages, against Russia, have been put in place at international level.

¹⁵ The *Combined Buffer Requirements* (CBR) includes the *Capital Conservation Buffer* (2.50%) + *O-SII Buffer* (0.25% compared to 0.19% in 2021) + *Countercyclical Capital Buffer* (0.003% compared to 0.001% in 2021).



On **1 March 2022**, Law Decree no. 17 relating to “Urgent measures for the containment of electricity and natural gas cost, the development of renewable energies and the relaunch of industrial policies” was published in the Official Gazette. In order to finance these measures, one of the provisions contained in the Law Decree provided for the deferral of the portion of 2021 deductible loans adjustment, pursuant to article 16 of Law Decree no. 83 of 27 June 2015, on a straight line basis over four years, starting from 2022 (in this regard, see the following paragraph “Regulatory developments – Tax news” of this consolidated report on operations. However, this deferral, which is potentially significant for the banking system, will have substantially insignificant effects on the balance sheet and income statements of the Group.



Human Resources

KPI as at 31.12.21

Indicators	31/12/2021	31/12/2020	31/12/2019	31/12/2018	31/12/2017	31/12/2016	31/12/2015
Headcount	21,244	21,432	22,040	23,129	23,463	25,566	25,731
<i>Operational location (%)</i>							
Head Offices*	25.7	25.9	26.4	25.8	22.3	22.5	22.6
Italy Network**	73.4	73.2	72.6	72.5	75.8	75.5	75.3
Foreign Network	0.9	0.9	1.0	1.7	1.9	2.0	2.1
<i>Professional/ occupational</i>							
Executives	1.1	1.2	1.3	1.2	1.2	1.2	1.4
Middle Managers	38.7	38.7	38.8	39.1	38.9	39.6	39.2
Professionals	60.2	60.1	59.9	59.7	59.9	59.2	59.4
Other indicators							
Training per capita (hours)***	44.0	47.2	48.9	45.9	41.9	46	37
Female staff (%)	51.7	51.4	50.8	50.0	49.7	48.0	47.8
Female executives (%)	16.5	15.7	14.2	10.3	8.2	7.8	7.1
* Bank Parent Company and Group companies, net of front-office units. ** Regional Areas. Credit Regional Areas. DT (local unit offices). Branches. Unit. Specialised Centres and sales & distribution units of the Group Companies. *** Banca MPS, COG, MPSCS, MPSFid, MPSLF, Widiba.							

Headcount changes

As at 31 December 2021, the Group had a total of 21,244 active employees¹⁶, down 188 compared to 31 December 2020. During 2021 there were:

- no. 143 hires, of which no. 3 in implementation of judicial measures and no. 1 following re-employment. In particular, 26 hires were made to comply with the commitments envisaged by the Law on Mandatory Placement and 39 are part of the portion of hires that the Group reserves annually to family members of personnel deceased while in service. The recruitment plan was aimed primarily at encouraging the entry of young people and strengthening the sales network (122 new hires);
- 431 terminations;
- a positive balance of 100 resources for other changes in the Group's scope of consolidation (the main changes concerned the returns of staff seconded to AMCO and Fruendo).

The 143 new hires consisted of 2 Executives, 2 Middle Managers and 139 Professionals, while terminations concerned 25 Executives, 180 Middle Managers and 226 Professionals.

The distribution at the end of 2021 of the workforce stands at 73.4% in front-office units (net of the foreign banking division which represents 0.9%) and 25.7% in Head Office units.

¹⁶ Instead, personnel on the payroll stood at 21,554 resources.



Personnel management initiatives

The personnel management policies support the reorganisation projects, in line with the Group Strategic Plan objectives, through mobility plans (geographical and professional) with a view to development opportunities for employees according to approaches based on transparency, participation and inclusion. The management initiatives are therefore supported: by a renewed *Performance Management* system; the Professional and Managerial Development plans aimed at guaranteeing, in a business continuity logic, adequate levels of quali-quantitative coverage of the workforce; training plans to strengthen skills, guide managerial development and support requalification processes; the engagement and motivation levers for resources (remuneration policies¹⁷, BMPS welfare system, internal communication plans). In particular, the Group approved a series of personnel engagement and development initiatives through specific programmes:

- **MPS Sviluppà**, dedicated to people development, which involves the clustering of the company population and the coherent and specific activation of initiatives for the development and enhancement of skills for each cluster, which therefore become levers of engagement with a view to merit and equal opportunities. With the aim of supporting and increasing the managers who have recently taken on roles of responsibility, development programmes have been launched which, after carrying out an assessment, define individual action plans designed to strengthen managerial skills. During 2021, the innovative and digital development methods introduced during the pandemic were maintained and consolidated, which allowed for a further expansion of the number of recipients of people development initiatives. Among the development tools that have benefited from this innovation, the proposal of digital *Coaching* is of particular importance, which recorded a very high approval rating in a considerably wider audience than that reached with more traditional methods. In 2021, a new edition of the GEA (*Growing Employees Accountability*) professional development paths towards the role of branch manager was launched, based on voluntary candidacy, which envisage growth towards the target role for resources who have passed the internal selection process through the transition to intermediate positions. The courses include specific digital initiatives of technical/managerial training and periodic verification of skills; a new performance evaluation system was introduced, characterized by a simpler language, a more concise and quicker compilation form and a greater possibility of differentiating the merit thanks to a wider scale of values (from 5 to 6); a new personal branding tool was launched, “*My Personal Story*”, which each person can use to detail the skills acquired and the experiences lived during their entire professional life; a structured “*Reskilling*” process was developed, with the aim of actively managing requalification towards new roles through the enhancement of the skills and experience of people involved and the definition of personalized training courses aimed at bridging the skills gaps identified; finally, a platform of constantly updated digital content was made available to all people, which allows the continuous enrichment of soft skills, usable both on a self-service basis and in combination with specific development initiatives.
- **MPS Academy**, the company’s permanent training institute that has supported the transformation of the MPS Group’s organisational models since 2012 through a risk-based approach, which identifies the main priorities for initiatives in the various training areas, responding proactively and dynamically to changes in the Group’s internal and external context. 2021 saw the activation of the new training platform promoting digital learning thanks to the innovative combination of technology, digital resources and educational methodologies with the aim of completing the transformation process from a delivery platform to platform for experience brokerage and training courses. With the continuation of the health emergency, multimedia training channels were strengthened and the teaching methods promoting distance learning were innovated.
- **Welfare**, which plays a central role in Level II Bargaining and consists of a set of constantly evolving contractual arrangements, differentiated on the basis of employees’ traditional and new needs in the areas of: supplementary pension schemes, income support (hiring a family member of deceased employees, meal voucher, favourable loan conditions), health (health and accident insurance coverage) in addition to measures to improve life-work balance with the introduction of innovative initiatives (agile work) and internal solidarity (MPSolidale) also thanks to the constant dialogue within the Joint *Welfare* Commission. The persistence of the epidemiological emergency has led to the emergence of new important needs in particular in the area of measures for the balance of life, work and health; also in 2021, access to agile work continued to represent one of the main tools for combining the needs of protecting people’s health, operational continuity and work/life balance; to protect health, in particular, insurance coverage of employees with specific measures was confirmed.

¹⁷ See “Report on the remuneration policy and remuneration paid” in the Corporate Governance section of the Parent Company’s website.



For the Group's Human Resources, listening to people is a fundamental element of the relationship with employees and is practiced on a continuous and structured basis through the use of different tools and channels. The positive experiences in the internal climate surveys carried out in 2018, 2019 and 2020 have evolved into a constant feedback mode, through questionnaires and forums on the company intranet, interaction functions in articles and newsletters (likes and moderated comments), focus groups and collaboration in the design phase of the main applications. All employees, with one or more of these methods, can express their opinion on working life within the Group, on the applications released and on the Bank's initiatives. At the same time, the structured and systematic practice of one-to-one meetings and interviews by Human Resources managers with employees continues, also carried out at the direct request of resources.

With a view to continuous updating and sharing of the most important and contingent issues, between May and June 2021, *C-levels* held 11 live stream meetings with all the colleagues of the respective Departments to share the purposes of the Parent Company's reorganisation of General Management. In order to allow people to better understand company results and objectives, the Chief Executive Officer continued to work on quarterly data with colleagues, immediately after presenting the figures to investors.

Mechanisms were also activated to ensure the enhancement of internal professional skills, professional and managerial job rotation, maintaining a limited use of recruitment through the external market.

The activities of the MPS *Diversity & Inclusion* Program continued with the aim of developing a culture of diversity and inclusion to enhance difference as a value and opportunity. An inclusive culture is valued by the Group, it develops flexibility and innovative skills, increases the motivation of people in the company and interest in new generations, with a consequent positive impact for the business. The Program's activities are subject to continuous discussion within the Equal Opportunities Commission. In particular, in order to disseminate the guiding principles of the Program, the training workshop "*Plural Management*" for all Resource Managers involved, in particular in 2021, the Network *Managers*; on specific gender issues, the "*Women Leadership Program*" continued a process aimed at women who hold positions of responsibility, the issue of Diverse Abilities was addressed with dedicated analyses (in particular as part of the "Disability and Work" research in collaboration with the Istud Foundation) through participation in the *Disability Lab* (intercompany laboratory created as a natural continuation of the "Disability and Work" research project). With regard to the issue of "generations", a structured listening activity was launched, in preparation for setting up appropriate future actions.

The initiatives of MPS *Orienta*, the programme encompassing all activities that Banca MPS dedicates to work guidance, development of transversal competences, financial education and generally to relationships with schools and universities, have been renewed and expanded. The program aims to promote employer branding, strengthen the link between study paths and the world of work, support the economic and social development of the country, contribute to sustainable growth strategies and consolidate the relationship with customers and the territory where the Group operates. The primary initiatives aimed at:

- develop partnerships with universities and specialization schools. In this context there are internships, co-teaching and targeted cooperation activities, participation in professional orientation events, the drawing up of degree theses in the company;
- promote training, guidance and financial education projects with primary, middle and high schools;
- design and implement career guidance and financial education activities to be promoted externally through workshops dedicated to specific targets.

Also in 2021, the management of Human Resources dealt with the health emergency from COVID-19, whose impact on the operations of the Network and Head-Office facilities, as well as on the personal and professional life of the Group resources, remained a variable to be considered in the implementation of each activity.

In particular, the monitoring of operational continuity was guaranteed, also in the case of shifts in the physical presence of resources, in compliance with both national and regional regulatory provisions and the ABI protocol and internal regulations issued by the *Chief Safety Officer*. The spread of access to agile work has confirmed the need for a flexible and timely approach to organizational and managerial needs, consolidating a culture oriented towards listening, even in a changing external context that is a harbinger of tensions.

At the same time, the need to remotely manage some of the "traditional" HR management activities, such as interviews with resources and/or structured meetings with managers, was confirmed.

During the year, professional and/or regional mobility plans involved roughly 6,000 Bank resources, based on an approach meant to ensure professional continuity and the best allocation of people with respect to corporate needs and the prospects of growth, development of skills and diversity of resources. In general, the higher job rotation compared to the previous year is due on the one hand to the weakening, in certain periods of the year, of the



constraints imposed by the COVID-19 health crisis, and on the other hand, to the impact of specific company projects, including:

- **evolution of the Entities and Public Administration Service Model**, aimed at rationalizing the monitoring of this market segment;
- **new Value Service Model**, aimed at better monitoring the mass market;
- **spin-off of 50 branches**, aimed at rationalising the branch network;
- **implementation of the Agevola+ Centres**, focused on supporting customers and the commercial network in relation to the business potential related to the NRRP (National Recovery and Resilience Plan).

In parallel with the “GM Simplification” project, the objective was to define a more streamlined General Management, based on a logic of greater efficiency in support of the business through a process of simplification and rationalization of the organizational structures, allowing greater operational flexibility and rapid decision-making, with the reduction of hierarchical levels and, horizontally, with the unification between units, with consequent streamlining of the supply chains and related processes.

In the various projects, the HR department has set itself the objective of pursuing the best allocation of resources and maximization of engagement, accompanying execution with the use of all internal communication channels to share the main rationale and expected benefits.

It was also possible to start structured reskilling actions to ensure the matching of the skills of resources with destination roles, in order to maximise the individual contribution to the company objectives.

MPS *Academy* supports the evolution of organisational models and supports people in professional development paths. With respect to training activities, more than 925,000 training hours were provided at MPS¹⁸ Group level in 2021, equal to 44 hours per capita. Training activities concerned about 99% of personnel and are subject to continuous joint follow-up with trade unions also within the Joint Training Body.

An in-depth review of the internal training models adopted by the Group was started some time ago, according to a risk-based and multi-dimensional approach aimed, among other things, at a more effective dissemination of the risk culture.

One of the cornerstones of the new training model is the annual training planning process, currently strongly permeated by a proactive and dynamic approach, aimed at supporting the new cognitive challenges posed by the continuous evolution of the banking system, business processes and related risks to be prevented and mitigated.

This process, which is based on the collaboration of various company functions involved in various capacities and on a structured methodology for prioritising training initiatives, requires that the results of the same - formalised in a specific Plan document - be submitted to the Board of Directors.

Therefore, with a view to promoting the spread of the risk culture and bringing out the value created by training initiatives in terms of process coverage and corporate risk management, a unitary Training Framework has been implemented for some years now, which makes it possible to associate to each training activity one or more business processes/risks from the design stage.

The MPS *Academy 3D Approach* training model allows training activities to be broken down in multiple dimensions, based on the following three dimensions:

1. processes: the various training initiatives are linked to the taxonomy of Group processes, with a view to assessing their relative level of coverage or guiding the planning of training initiatives aimed at bridging any gaps;
2. risks: the various training initiatives are linked to the identified business risks (Group Risk Map) in order to assess their benefit in terms of mitigating the risk inherent in the Group's operations, effectively responding to the requests of the Top Management and the *Regulator*/Supervisory Authorities;
3. areas: training initiatives are aggregated based on standardisation criteria which take into account a series of different components (business, risk, compliance, etc.).

The model made it possible to:

- make investment in training more efficient and personalize training courses with a view to continuous proactive alignment of skills;

¹⁸Group's consolidation perimeter: Banca MPS, COG, MPSCS, MPSFid, MPSLF, and Widiba



- overseeing the development of the skills of each individual in all *High Risk* areas;
- make the planning of training initiatives more efficient through the proactive detection (through an ad hoc process and procedure) of the business needs and regulatory discontinuities;
- prioritise training initiatives annually thanks to the systematic collaboration (prioritisation tool) of all company functions;
- represent in advance to the Board of Directors on an annual basis the “**coverage of the company processes**” and the “**risk mitigation**” by the training initiatives thanks to the interconnection of the latter with the taxonomy of the processes and the map of the company risks.

This model also guarantees a “tailor-made” programming on *High-risk* areas (such as Credit, Anti-Money Laundering and Financial Crimes, *Customer Protection* and Transparency, *Data Governance* and *Cyber Security*) conducted at the end of a *Risk Assessment* and *Skills Gap Analysis* exercise, which make it possible to determine the exposure to risk (“risk rating”) for each company role and the consequent specific training requirement, orienting training on the areas at greatest risk and on the most exposed company profiles and therefore requiring a greater need for knowledge. In 2021, the new model was applied in the Credit area (more than 5,000 Network resources involved), in the Anti-Money Laundering area for the entire Network (over 12,000 people involved) and in the context of *Customer Protection* and Transparency (over 12,000 people involved). For the “Datticredito” training project, the resulting planning of “personalised” courses started with virtual classroom training courses and operational coaching (1,400 people trained for at least 2 hours and 350 people receiving coaching) and online (over 5,000 people with training in progress for at least 2 hours per course on average). In the area of Anti-Money Laundering, the online training and micro-learning campaign launched in 2020 was completed, which involved over 10,000 people and the new training campaign was launched following the *Skill Gap Analysis* with the enrolment of over 2,000 resources in online pills and over 9,000 to the 2-hour online course. In addition, more than 2,000 people were enrolled in 3 new micro-learning modules dedicated to the COVID-19 emergency.

In terms of *Customer Protection* and Transparency, the results that emerged were used according to 2 guidelines:

- developing tailor-made training courses to cover the gaps that emerged on Transparency, carried out through 12 online training pills that cover the main operational aspects deriving from external and internal regulations in the field of transparency;
- orienting the planning of the 2021 refresher courses required by IVASS and CONSOB, within which ample space was given to the topics on which the greatest gaps emerged during the *Skill Gap Analysis*.

In the course of 2021, the risk-based and multi-dimensional model active in the Network was extended to the BMPS and COG Centres in order to identify the training needs and “made-to-measure” training offerings. The resulting training offer aims to create “basic contents” for each *Topic* in terms of knowledge and skills that involve the various professional families and sub-families, into which each GM role has been included.

In addition, by exploiting the potential of the 3D model and following its evolution, a new training system was developed on the 231/01 issue, which strengthens awareness and management of risk: **231 MPS Training Approach**. The interconnection of the Bank’s 231 model with the multidimensional and risk-based Training Framework made it possible to identify the topics relevant for the purposes of 231/01. It is now possible to reconstruct the geography of the 231 relevant training initiatives (over 50) organized by level of relevance. In the area of “Transparency, Consumer Protection and Prevention of Usury”, a series of initiatives were organized, in continuity with the activities started in the third quarter of 2020, in order to respond to recent/ongoing regulatory developments (transparency in financing services and payments; new reporting obligations for data on fraud; POG - *Product Oversight and Governance*; etc.) and the findings of the Bank of Italy inspections. These activities involved the entire company population for a total of approximately 80,000 training hours.

The *Product Governance* Certification Processes were completed: these were designed for resources employed by the General Management’s product factories. At the end, the examination will be validated by the Technical-Scientific Committee made up of representatives of the Risk and Sustainability Committee of Banca MPS, *Top Managers* of the Corporate Control Functions and of leading universities.

In the *Cyber Security* area, training activities focused, for all employees, on spreading knowledge of the main threats and on the correct use of passwords. For the Steering Committee, an ad hoc process was also created, divided into a quarter.

Also in 2021 MPS *Academy* proposed professional training courses (with final certification) and programs to prepare for international certifications for highly specialized roles (control functions, fraud prevention, cyber security, purchases, etc.).



In 2021, training on Health and Safety focused on the provision of specific courses for Emergency Workers, Supervisors and Managers, health and safety representatives, trade union representatives. Following the health emergency, consistently with the previous financial year, the initiatives aimed at raising the awareness of all Group employees on the risk of COVID-19 contagion, on the conduct to contain it, on the correct use of PPE (Personal Protective Equipment) and on the regulations issued by the Parent Company continued.

With the continuation of the health emergency, 2021 was also characterized by the prevalence of online distance training activities, webinars and operational coaching. The latter, thanks to the support of the permanent *Faculties* of internal trainers made up of experts in the field (Credit, Anti-Money Laundering and Financial/Insurance), who promote the dissemination of homogeneous guidelines and methods, virtual classrooms and ad personam structured coaching were conducted. To ensure this, the training of trainers continued on the use of delivery tools such as webinar platforms and on virtual classroom holding techniques.

The main projects were carried out with the objective of:

- boosting the level of personnel instruction and professionalism, also in line with European and national requirements (e.g. Mifid 2, IDD, Bankit Directive on Real Estate Credit);
- spreading a fair and effective risk culture;
- guaranteeing the effective coverage of roles within the company.
- increasing the orientation towards self-development and continuous professional training.

During 2021, multimedia tools were enhanced with the launch of the new training platform and tools with targeted and immediately usable content were strengthened, such as the Anti-Money Laundering *Wiki* (DARiO - Online Anti-Money Laundering Documentation) and the Credit *Wiki* (CIRO - Credit: Information on Risks and Operations), which are online encyclopaedias based on the structure of Wikipedia, with specialised content dedicated to regulations on anti-money laundering and fighting terrorism financing, and credit.

MPS *Academy* promotes the development of digital culture in the MPS Group through *The Digital Journey*, an exclusive app created ad hoc for all employees useful for updating on the transformations of the digital world and the development of new 4.0 “hard” and “soft” skills which in 2021 was renewed in style and expanded in content. Managerial training also makes use of new technologies. Since 2018, all managers, in addition to the training courses to support the role, have some dedicated apps that contain incentives to increase managerial skills in an innovative way, articles on the evolution of the reference scenario, video testimonies from leading speakers in the economic and financial world, both national and international. In addition, to support the main releases of new interfaces (*Digital Branch*), processes (*Remote collaboration*) and tools (*Ensofit* for digital signature), support training initiatives were launched; to facilitate the transition to digital management of services, a training program on cyber security was prepared, consisting of 19 courses that totalled more than 50,000 hours of training.

In order to provide support in the management of the new operations introduced by the National and European Plans to support the economic recovery, contamination programs were launched, in preparation for the massive 2022 training, on specialized resources on NRRP (National Recovery and Resilience Plan), tenders and facilitations and ESG (*Environmental, Social and Governance*) both on *Sustainable Lending* issues according to the EBA guidelines and on the impact of ESG criteria on the valuation of investments and the operational effects on product governance and the MIFID questionnaire.

MPS *Academy* also guaranteed to all employees the constant improvement of professional skills and opportunities for personal development through the learning of soft skills. In particular, specific training initiatives were proposed to each employee in relation to the requirements of the role (“push” training) and each employee was able to access the catalogue for specific training activities (“pull” training).

Specific training programs were activated when the role was changed: in particular, all managerial levels of the Network and of the governance structures participate in training courses on soft skills aimed at developing and consolidating the management and motivation skills of the team, with particular attention to spreading the culture of inclusion and diversity.

All employees took part in training initiatives, differentiated by role, in support of the new Performance and Talent Management. Lastly, specific courses were created for managers to develop “remote” communication skills.



2017-2021 Restructuring Plan

The 2017-2021 Restructuring Plan is subject to formal monitoring by the European Commission, through a *Monitoring Trustee*¹⁹. This monitoring assumes formal relevance in verifying compliance with the commitments only at specific deadlines agreed with the European Commission. Pursuant to art. 114, paragraph 5, of Legislative Decree 58/1998, the relative state of implementation as at 31 December 2021, the date relating to the last monitoring of the 2017-2021 Plan, is reported below. Of the total twenty-three *Commitments* borne by the Parent Company, the following present some points of attention / criticality:

- Commitment # 9 - Cost reduction measures:
 - the Group did not reach the targets set at the end of the Plan for some performance indicators (Net Margin, Cost Income Ratio, ROE) and for the number of employees. With regard to operating expenses, the Group would have reached the target set initially if this target had not been subsequently reduced by EUR 100 mln following the failure to achieve the 2019 performance targets;
 - by contrast, the objective of reducing the number of branches was achieved.
- Commitment # 14 - Sale of equity investments and companies:
 - in line with the objectives of commitment no. 14, the entire investment in Banca Monte dei Paschi Belgio S.A. (BMPB) was sold on 14 June 2019.
 - in compliance with the provisions of commitment no. 14, the Parent Company approved an orderly winding down procedure of the French subsidiary Monte Paschi Banque S.A. (MPB). This procedure, which became necessary once the attempts to sell the equity investment in MPB were unsuccessful within the timeframe set forth in the commitment, consists in limiting the activities of the subsidiary to those strictly aimed at the deleveraging of loans, excluding the development of new activities and the entry in new markets. In this context, MPB has focused its efforts on existing customers and activities. The performance of the subsidiary in 2021 is substantially in line with the provisions of the *Commitment*.
 - in relation to the deleverage of the lease portfolio, the Bank did not reach the set target of EUR 2.6 bn by the end of the Plan.
- Commitment # 17 - Sale of property assets:
 - the commitment calls for the closure of the Perimetro Consortium (concluded in 2019) as well as the disposal over the course of the Plan of owned properties for an equivalent value of EUR 500 mln. From the approval of the Plan (4 July 2017) to 31 December 2021, the Group sold properties for a value of approximately EUR 327.7 mln, including most of the properties in the scope of the sale to Ardian (including the prestigious offices in Milan, via S. Margherita, and Rome, via del Corso 232). Agreements were also signed for the sale of other properties for a total price of EUR 74.8 mln, against a total book value of EUR 67.3 mln as at 31 December 2021; these included the last two properties to be sold to Ardian (Rome, via del Corso 518/520 and Padua, via 8 Febbraio). At the end of 2021, in execution of the resolutions of the Board of Directors of the Parent Company, a new competitive process of public sale was activated on a perimeter of 29 properties owned by the Group.
- Commitment # 18 - Disposal of non-core equity investments:
 - the Parent Company did not complete the sale of the equity investments in Banca d'Italia, MPS Tenimenti Poggio Bonelli e Chigi Saracini S.p.A. and Immobiliare Novoli S.p.A. (on the other hand, the equity investments in Basilichi S.p.A., CO.EM S.p.A. and Consorzio Triveneto S.p.A., Banca Popolare di Spoleto S.p.A. and Intermonte SIM were sold, as required by the Commitment).
- Commitment # 19 - Sale of art collection:
 - on almost all the works there is the bond of the Superintendence of Cultural Heritage, which entails the exemption from the obligation to sell.

The remaining Commitments are deemed completed or addressed in accordance with expectations.

The Commitments requested by DG Comp also requires the MEF to dispose of its equity investment in the Parent Company by the end of the Restructuring Plan. Thus, the MEF should have submitted to the European Commission by the end of 2019 a plan to sell its stake in the Parent Company's capital. On 30 December 2019, the MEF announced that, in agreement with the services of the European Commission, the presentation of the plan for the disposal of the investment in MPS was postponed, also pending the completion of the Parent Company's derisking transaction, i.e. "Hydra-M" transaction. This transaction was designed and then

¹⁹ The Bank confirmed Degroof Petercam Finance as Monitoring Trustee, with the favourable opinion of the European Commission Directorate General for Competition - hereinafter "DG Comp".



planned also with the goal of creating the conditions for the sale of the equity investment. On 16 October 2020, by Prime Ministerial Decree, the MEF was authorised to proceed with extraordinary transactions functional to the disposal of the equity investment. In particular, the disposal of the equity investment held by the MEF in Banca MPS was authorised, which may be carried out in one or more phases through individual or joint recourse to: a public sale offer to investors in Italy and/or Italian and international institutional investors, direct negotiations to be carried out through transparent and non-discriminatory competitive procedures and one or more extraordinary transactions including a merger transaction. Unicredit carried out a due diligence process aimed at assessing the acquisition of a selected perimeter of Banca MPS, on the basis of certain assumptions agreed with the MEF. On 24 October 2021, Unicredit and MEF communicated the interruption of the negotiations. On 17 December 2021, the Board of Directors of the Parent Company approved the 2022-2026 Strategic Plan. Contacts are underway with the competent Authorities, i.e. with the ECB, with the SRB and - through the Ministry of Economy and Finance - with the DG Comp (Directorate-General for Competition) regarding the contents of the 2022 - 2026 Business Plan.

2022-2026 Group Strategic Plan

On 17 December 2021, the Board of Directors approved the 2022-2026 Strategic Plan. The Plan fully replaces the previous 2021-2025 Strategic Plan, approved by the Parent Company in December 2020, which was drafted intending a structural operation to be carried out in the short term. The 2022-2026 Plan confirms the size of the capital strengthening, already estimated in the 2021-2025 Plan to be equal to EUR 2.5 bn.

The Plan was presented to the European Central Bank, the *Single Resolution Board* and the *DG Competition* as part of the various information, approval and regulatory procedures, to which it is subject. The positions of the Authorities are a prerequisite for the capital strengthening operation.

The strategic objectives of the Plan include:

- a discontinuity of the business model to create the foundations of a new and more streamlined bank;
- a radical simplification of the Group's operating model and structure;
- the continuation of the Bank's de-risking and resilience process;
- the creation of value that allows adequate remuneration to shareholders;

For each of these strategic lines, priority was given to initiatives that: (i) create value already from the first year of the Plan and become fully operational by 2024; (ii) are under management control, thus reducing the execution risk; (iii) take advantage of the opportunities offered by the NRRP and the Sustainable Development Agenda, minimizing the capital requirement also thanks to partnerships. The Plan's strategic objectives are based on three pillars:

- refocusing on "core" customers (families and SMBs), taking advantage of the opportunities offered by the NRRP,
- radical simplification of the operating model, bringing it closer to customers through the network,
- investments in the digital roadmap focused on well-identified initiatives to ensure success in execution.

In order to be integrated within the Group, these objectives are based on the following enabling factors:

- further integration of ESG principles into the culture, processes and proposition of the Group;
- increase the value of MPS people, leveraging talent, new skills and inclusion;
- continue to preserve asset quality and complete risk normalization.

The projections of the Plan, as reported above, are based on a capital increase of 2.5 billion euro to be carried out in 2022; this increase will allow the Group to support IT investments and restructuring costs, as well as respond to the indications that emerged during the Stress Test 2021.

The interest margin will be supported by the launch of the consumer credit business, the continuous reduction in the cost of time deposits and the normalization of the cost of institutional funding. Commissions will benefit from the strong commercial momentum, and will be further supported by the reduced recourse to securitisations and the development of commercial activity thanks to the solid capital position. On the cost side, it is planned to activate a plan for voluntary staff departures. The Plan envisages initiatives to support growth, with immediate and tangible transformation efforts that will lead to constant profitability and financial benefits.

The Plan also provides:



- *Cost-income ratio* below 60% by 2024, with further reductions in subsequent years,
- *Cost of risk* around 50 bps,
- *ROTE* of approximately 8.5-9% in 2024, 11% in 2026,
- *CET1 Fully loaded ratio* higher than 14% in 2024 and equal to approximately 17.5% in 2026, before dividends and before the positive effect of the revaluation of the DTA deriving from the Plan,
- *Gross NPE ratio* of less than 4%,
- a continuous reduction of legal risks linked to financial reporting.

It should be noted that the Plan may have to incorporate any amendments and changes, including significant ones, to reflect what derives from the discussion with the competent Authorities, be subject to subsequent updates in light of the evolution of the changed economic scenario, also as a result of the military conflict between Russia and Ukraine, and could undergo changes if the conditions for the realization of a possible “structural solution” arise again through the implementation of an aggregative project, as required by the aforementioned Prime Ministerial Decree of 16 October 2020.

* * *

As mentioned above, the 2022-2026 Strategic Plan fully replaces the previous 2021-2025 Strategic Plan. Nevertheless, the analysis of the deviations of the final results compared to those envisaged in the 2021-2025 Strategic Plan is presented below.

In relation to the main operating and financial objectives of the aforementioned plan (approved in December 2020) for the year 2021, the operating result was higher than expected, benefiting above all from the dynamics linked to the cost of credit, lower than forecast due to lower flows of non-performing loans, due to write-backs (equal to approximately EUR 130 mln) recorded on some significant positions, for which corporate events occurred that improved the risk profile, and for further write-backs related to the improvement of the estimates of the evolution of the Gross Domestic Product. Some revenue components were also better than expected, both in terms of commissions, as an effect of the growth dynamics that concerned the asset management segment, and with reference to financial income components. The percentage of target achievement as at 31 December 2021 is as follows:

2021-2025 STRATEGIC PLAN TARGET			
MPS GROUP			
INCOME STATEMENT FIGURES (EUR mln)	31 12 2021	FY 2021 Plan	Deviation (%)
Total Revenues	2,980	2,895	-2.9%
Operating expenses	(2,106)	(2,156)	-2.3%
Cost of customer credit	(250)	(750)	-67%
Net profit (loss)	310	(562)	n.m.
CAPITAL RATIOS (%)	31 12 2021	FY 2021* Plan	Chg
Common Equity Tier 1 (CET1) ratio - phase in	12.5	12.1	0.4
Common Equity Tier 1 (CET1) ratio - fully loaded	11.0	10.9	0.1

* The FY2021 Plan indicators are calculated assuming capital strengthening measures for EUR 2.0 bn.

§ The indication of a negative deviation on the aggregates “Operating expenses” and “Cost of customer credit” is consistent with the sign considered in the financial statements on these aggregates. Therefore, although it is expressed with a negative sign, the percentage deviation on these aggregates indicates that they were better than expected.

* * *



Credit strategies

On 1 March 2021, the Board of Directors of the Parent Company approved the **2021 credit strategies**: the framework was developed with a view to supporting customers and in substantial continuity with the strategies in place in the second half of 2020, also considering the continuation of the pandemic crisis and the Italian government's decision to extend the economic support measures to the whole of 2021.

For **Business** counterparties, strategies were developed based on the impacts generated by the economic situation, not only in the economic sector to which the company belongs, but also on the company's quality in terms of resilience to the crisis. The methodology calls for the breakdown of companies into 4 clusters: each was associated with a predominant strategy which goes from ordinary growth, intended for customers not in difficulty, to selective management for customers with a high level of risk, moving through all of those intermediate situations where the intervention of the Parent Company is weighted on the basis of the cluster to which the customer belongs. Individual counterparties have the same strategic policy at Group level. In order to promptly detect any signs of further deterioration (or recovery), the strategies were made dynamic. The Parent Company has also refocused its interactions with customers, specifying the set of documents and instruments useful for an adequate credit assessment from a forward-looking perspective.

Given the impact of the crisis on natural persons as well, who benefited from moratoria and other support measures, the 2021 strategies were also defined for the **Consumer** customer category. The goal is to support the manager in identifying the best facility mix to be used for counterparty financing, in addition to the tools already available such as credit standards and acceptance algorithms. The methodology calls for a risk-based counterparty analysis (*low risk/high risk* and internal bank rating) combined with an analysis of external credit bureau information (*Delphi* score), with the resulting breakdown into 3 clusters associated with a specific strategic policy. The model is aimed at promptly capturing changes in the risk profile of the counterparty even if critical issues have not yet been identified in the relationship with the bank, preventing the "cliff effect", that is, preventing indication of deterioration from occurring only at the time the suspension measures come to an end.

Also in compliance with regulatory provisions (*Guidelines on Loan Origination and Monitoring* issued by the EBA in 2020), starting from 2021 **ESG metrics** strategies have been introduced into the policies, with a view to start also factoring within the Group's decision-making framework elements not directly linked to the company's creditworthiness but instead relating to the company's capacity to adapt to new environmental, social and ethically sustainable governance standards. The counterparties associated with a green rating calculated on the basis of a specific questionnaire (so-called ESG diagnostic) will be subject to dedicated strategic guidelines, defined on the basis of the ESG score level and the cluster to which they belong. In particular, on counterparties with a negative ESG score and a growth strategy, it will be recommended that new loans be focused on investments in the transition.

The monitoring of **lending strategies** showed trends that were on the whole consistent with the indications provided: credit production is in line with the budget and concentrated on loans backed by guarantees, without neglecting the customers with the greatest COVID impact, who were supported through the use of measures envisaged by the Liquidity Decree.

Despite the initial forecasts of negative impacts triggered by the COVID emergency on the cure rate and transfers from NPE status, monitoring showed that the trend of these aggregates has remained broadly consistent with the new targets set within the RAS. Through the new customer clustering/guidelines based on the new strategies, it was possible to contain the default flow, making it possible to maintain the risk objectives on the various portfolio segments. For more details on the default flow containment activities undertaken by the Group, please refer to Part E - Section 2 - Risk of prudential consolidation of these Notes to Consolidated financial Statements.

Retail & Corporate Banking strategy

The **2021 strategies for the renewal of the commercial approach**, in continuity with the path already started in 2020, aimed at ensuring the maximum proximity of the Group to customers in the current pandemic market context (e.g. solutions to suspend loans, expansions and innovations in insurance protection guarantees, etc.), as well as supporting the business in the **core areas** by relaunching the **economic performance** of the Group with projects aimed at:

- **offering support for the relaunch** of companies in our country, supporting them in the *post*-pandemic recovery process, supporting development projects and local activities, enhancing their peculiarities through specific initiatives and products, supporting and guiding the recovery towards a more sustainable development model, integrating environmental, social and governance (ESG) criteria into investment and



financing policies, continuously interpreting the Bank's historical role in supporting and enhancing the territory and local economies;

- **transforming climate problems** and environmental challenges into economic opportunities for a restart by exploiting the potential offered by the NRRP;
- **supporting the green projects** of companies with the Agreement signed in December 2021 between SACE and Banca Monte dei Paschi with the aim of encouraging projects aimed at reducing the environmental impact by initiating sustainable transformation. Overall, Banca Monte dei Paschi allocated a maximum of EUR 1.25 bn (corresponding to SACE Guarantees of up to EUR 1 bn) to be used by 2022, of which up to EUR 500 mln specifically targeted at the *Agrifood* sector production chains. SACE will intervene with green guarantees for up to 80% of the loans disbursed by Banca MPS to help companies in their sustainable transformation processes, in line with the guidelines of the NRRP;
- **defining a new value proposition in the agrifood sector**, by establishing the first 12 Specialised Centres, meant to provide an innovative offer of products by leveraging the opportunities of the government decrees to relaunch the economy, particularly as concerns the “farm to fork” and “green deal” programmes;
- **raising the service level offered through the Group's Advisory services**, to guarantee unique advisory content, increasing interaction with the Network and consolidation of the relationship of trust between customers and relationship managers, also facilitated by the continuous innovations in the front-end applications and in Digital Banking for an effective collaboration between branch and customer also remotely;
- **contain the cost of funding** through the introduction of a commission on liquidity in new current account contracts intended for “non-consumers” for deposits exceeding EUR 1 mln;
- **proposing investment solutions** aimed at satisfying both the needs of the most sophisticated customers and of customers of the private segment with continuous innovations in the range on offer including maturity funds, unit-linked funds of the “Progetto Protetto” family, bonds and certificates of international issuers variously indexed in order to seize the various opportunities that continuously emerge on the financial markets;
- **increase the offer of ESG solutions**, through the specific allocation and construction of portfolios of the asset management lines. This strategy was also pursued in the proposal of investment products, in particular with regard to UCITS, through the continuous review and innovation of the range of Funds available to customers that meet environmental, social and governance requirements and also with issue of dedicated maturity funds of Anima SGR and, in the Investment Policies segment, of AXA MPS Financial with new funds combined with unit-linked policies;
- **improve the customer experience and continue the digital transformation** through: i) the management of periodic contact initiatives with customers aimed at promoting awareness of the products/services offered, with a particular focus on the insurance protection range, the subject of recent innovation with the restyling of “Mia Protezione”, “Formula Benessere” and “Tutta la vita” as well as all of the Bank's pension solutions; ii) the continuation of customer journeys aimed at improving commercial proposition activities through the establishment of logical omnichannel contact paths, with particular reference to new customers and those at risk of leaving; iii) the assignment to *Digital Banking* of the role of Digital Identity, as a key to accessing an increasing number of functions related to advisory and investment services and to payment systems; iv) the renewal of the branch technology platform, with the development and release, progressively extended to the entire sales network and the main functions of the General Management, of a new interface (*Digital Branch*) that combines in a single approach the aspects of practicality, speed and efficiency in face-to-face customer service; v) the improvement of the user & digital customer experience for retail customers, thanks to the increasing and redesigned *Digital Banking* functions, with particular reference to the constant upgrade of the “Banca MPS” App, whose distribution is increasingly widespread; vi) the release of *Google Pay*, which allows payments to be made in physical stores and in Apps in a practical, fast and secure manner with the Bank's debit and credit cards. The digitalisation activities for the processes relating to the range of investment services and products also continued, with the gradual expansion of the products offer available through electronic signature methods, in particular with regard to Asset Management and Policies. Also in this context, a new process dedicated to the Out-of-Office Offering was released, completely revised and integrated into the advisory platforms, with the aim of simplifying and speeding up the use, by authorized operators, of the AMEX offer through the use of digital signatures in branch and the possibility of requesting the issue of a card through *Digital Banking*;



- **enhance the functions and services of Digital and Self Banking:** to the push towards **digitalisation**, triggered by the COVID-19 health emergency in 2020, the Bank continued to respond with the expansion of remote and autonomous services for customers with the finalization of investment proposals (*Web Collaboration*), the signing of deeds and contracts (*Remote Collaboration*), the exchange of documents, the wide availability of *ATM Cash In* in the self-service areas. Last but not least, the “Consultation of accounts and cards of other banks” service which, thanks to the openings granted by the Second Directive on Payment Systems (PSD2), may be a harbinger of new implementations in *Personal* and *Business Financial Management* (PFM and BFM) areas;
- **evolve towards the new Wealth Management Platform:** in 2020, the new *Wealth Management Platform* was activated, known as “MPS Athena”, whose migration process from “MPS Advice” was carried out in 2021 with the aim of completing its roll out and full use by 2022. The full knowledge and enhancement with customers of the new integrated Financial Advisory modules, including real estate, business, inheritance and pension analysis, will ensure high support and advisory levels to customers with a view to building the loyalty of the entire family unit and growth in income performance;
- **strengthen the advisory proposal** in a particularly complex market, characterized by an excess of unpaid liquidity and by negative or extremely low returns on the traditional bond segment, with the aim of accompanying customers towards financial instruments of asset management, starting from the Capital Accumulation Plans (PAC), allowing the customer to seize all opportunities by exploiting maximum diversification, in compliance with the customer’s risk profile, time horizon and investment objective;
- **support commercial processes with a view to customer centricity** through the enhancement of the innovations and opportunities offered by the release of the new commercial programming tool (*Toolbox*). Thanks to the introduction of an integrated workflow from planning to commercial execution, this tool makes it possible to better target the manager’s activities thanks to a customer-centric system that simplifies and improves the processing of campaigns. The *Toolbox* supports the Branch Manager in defining and guiding commercial planning, combined with an active role of managers in the commercial planning process. All with a customer-centric vision and greater depth on the level of customer knowledge, fundamental aspects to grow in commercial effectiveness and to fully satisfy the customer’s needs. The application also makes it possible to improve relationship management through a new tool (“Mappa”) that summarizes the customer’s main commercial aspects and identifies the “*Next Best Product*” (through predictive and ownership analysis);
- **accelerate growth in Bancassurance**, through the enhancement of range innovations, recently implemented in the private and corporate protection sector, as well as in the pension sector, with targets aimed at existing customers and with digital marketing actions on ATMs, website, posts on social media, etc. to reach new customers. The enhancement of the new “MPS Digital Auto” TPL policy also continued, structured through collaboration with Quixa, a company of the AXA Group, as a solution proposed in a totally digital mode: the new offer is aimed at increasing the penetration of the Parent Company in the motor policies, meeting the needs of customers more inclined to online purchases. The innovation of savings products also continued with new unit-linked *tranches* of the “Progetto Protetto” range, with the annual review of internal funds combined with traditional unit-linked products and with the expansion of ESG segments. Changes were made to the layout of the branches and updates to the operating and commercial model, which involved 394 branches in 2019-2020. With regard to branding, 69 branches were completed in 2020 (exterior only) after the 52 completed in 2019. In 2021, a further 75 branches were completed (distributed throughout the country) with external fittings and *Self Areas*;
- **accompany companies, households and local authorities in the process of relaunching and modernising**, and seize the opportunities envisaged by the Next Generation EU (NGEU) transition plan, with particular reference to the package of reforms and investments of the National Recovery and Resilience Plan (NRRP), also thanks to the first 10 new specialized MPS AgevolaPiù centres, each covering a specific regional area. The initiative is aimed at meeting the needs of medium, small and very small companies, as well as families and local authorities in a context of transformation such as the current one, accelerated by the COVID-19 emergency. The core of the project consists of specialized training and territorial enhancement through an intensification of the partnership with regional financial companies, trade associations and loan guarantee consortia (Confidi). After the first ten centres, others will gradually be opened to cover all regions. Additional openings are planned with the ultimate goal of supporting all areas with large urban and industrial settlements. The centres represent a real driving force for the development of the regional economies, working closely with customers by offering specialized



skills and constant strategic support. To facilitate commercial activity and promptly respond to market needs, a process of adjustment of the main loan products for corporate customers was completed in order to make their usage characteristics more flexible. In addition, the *Road Show* “Voyage in NRRP Italy and transition. An opportunity for growth for local businesses” was launched in November 2021 in order to promote specific knowledge of issues relating to NRRP also by end customers, which was organized with external partners and intended for the public and interested customers. In these events, the opportunities for Italy given by the PNRR were highlighted, deepening those dedicated to the business world, to be able to create a system and invest resources in the territory in an integrated manner;

- **absorb the Consumer Finance product factory into Banca MPS.** The consumer credit market recorded significant growth in the last pre-pandemic years, in terms of volumes disbursed (approx. +10% CAGR 2014-2019) mainly driven by personal loans, a trend confirmed also in 2021 after the sharp decline in 2020. The insourcing of a part of the production (the agreement with Compass will remain in place until 2024) will allow to optimise the profitability of the business net of the cost of the associated credit, maintaining a direct control on one of the main business levers; it will also allow to shorten the “transmission belt” with the distribution network, to make the launch of business initiatives more effective, so that personal loans may be used both as a vehicle to increase cross-selling on a captive customer base and as a tool for the acquisition of new customers. After a pilot phase of the new *Consumer Finance* platform called MPS Prestito, planned at the end of the year with the involvement of a limited group of branches, it will progressively be extended in the first part of 2022. The new Platform is designed to promote an excellent customer/manager user experience and the creation of *time-to-yes* and *time-to-cash* digital processes in line with market best practices;
- **optimise the monitoring of Entities and PA customers** by eliminating the Entity Service Model (ESM) and the territorial controls dedicated to it, with migration of customers to the other existing ESM (SMEs, Private/FO, SB and Value) depending on the complexity, relationship intensity and (current and prospective) profitability. The migration of customers was carried out on 12 July with the closure of 14 Centers and 34 Entity branches and the strengthening of the specialist chain of AT and GM dedicated to following up the Treasury, Public Administration and Third Sector; at the same time, 7 branches of small and peripheral SME Centers were also closed;
- **rationalise the Branch Network**, through the closure of 50 branches carried out in December 2021. In continuity with the numerous optimization operations carried out in previous years, the activity made it possible to further increase the efficiency of the Bank’s territorial coverage, eliminating some residual overlaps and some peripheral branches, in line with current market trends, which see the gradual migration of customer transactions on Internet Banking and ATMs. In 2021, a further 20 branch restyling interventions were carried out, in synergy with other projects, after the 55 large/highly visible branches implemented in 2020 in order to improve commercial proactivity with a focus on the Value line. These interventions, which will continue in 2022, are aimed at affecting the following performance drivers: increase in the privacy of the workstations, improvement of the usability of the spaces, of the decoration and of the brand identity. Lastly, the Parent Company has merged the Private Banking and Corporate markets into a single unit, “Companies and Private Banking Business”, to increase the synergy between the two businesses. The new unit is a practical response to the evolution of the needs of private customers, looking for support in their personal and business projects and thus gaining access to all the know-how of the two markets, which can, as a result of the strong synergy, offer dedicated specialised and consulting services. The new integrated advisory service model of the two businesses presents some innovations for Private Banking, such as the ability of responding to certain specific needs of business customers such as the optimisation of corporate liquidity with dedicated investment solutions, in terms of return targets, risk appetite and time horizon. The use of assets investment tools and solutions that can contribute to the development and support of the country’s real economy and strengthen the tools already available, such as PIRs, is also being studied.



Funding strategy and MREL capacity

With reference to funding, 2021 came to an end with a particularly robust liquidity position, with LCR/NSFR indicator levels that are significantly higher than regulatory and operational limits. The maturities in the 2022-2024 three-year period are represented primarily by the TLTRO III auctions, to which the Parent Company had access until June 2021, for a total of EUR 29.5 bn: EUR 4 bn maturing in 2022; EUR 20 bn maturing in 2023 and EUR 5.5 bn in 2024.

As part of the Group *Liquidity and Funding Strategy*, it is considered plausible that the Central Bank will continue to support the exit of European economies from the heavy crisis determined by the COVID-19 epidemic in the medium/long term, and that these transactions will initially be “replaced”, in whole or in part, by new auctions of the same type. If this does not take place, and the TLTRO III are not renewed (all or in part) or replaced by analogous instruments, the maturing auctions may in any event be repaid: i) for the share collateralised by government bonds, through financing in the market of the freed up securities and ii) for the share guaranteed by less liquid collateral (ABACO/CB&ABS retained), through initial refinancing with MRO auctions, to be replaced partially, and gradually, with subsequent issues of covered bonds in the market, public securitisations and/or bilateral funding transactions.

The amount of institutional bonds maturing in the 2022-2024 three-year period totalled EUR 4.3 bn, of which:

- EUR 1.25 bn in 2022 (EUR 0.75 bn in covered bonds, already redeemed in January 2022 and EUR 0.5 bn in senior unsecured bonds);
- EUR 3.1 bn maturing in 2024 (EUR 2.3 bn in covered bonds and EUR 0.75 bn in senior unsecured bonds).

A Tier 2 subordinated security issued in 2018 will also be called in 2023, for a nominal amount of EUR 750 mln.

Lastly, in the 2022-2024 three-year period, bilateral funding operations are maturing, totalling EUR 1.6 bn (of which EUR 0.6 bn with non-eligible ECB collateral).

In view of the envisaged maturities, the Group's funding strategies aim to maintain liquidity indicators at adequate levels, well above the regulatory limits, as well as to guarantee - with regard to public bond issuance plans in particular - compliance with MREL requirements. These strategies are defined in accordance with the strategic plans of the Group and, in this sense, their operational definition will be fully defined only following the approval of the 2022-2026 Strategic Plan, currently subjected to the required information, approval and regulatory procedures that the Bank initiated with the competent Authorities.

With regard to the MREL targets, on 18 February 2022 the Parent Company received from the Bank of Italy, in its capacity as Resolution Authority, decision SRB/EES/2021/177 of the Single Resolution Committee on the determination of the minimum own assets and eligible liabilities requirements (hereinafter “2021 MREL Decision”), which replaces the one received in December 2020.

Starting from 1 January 2024, the Parent Company must comply, on a consolidated basis, with an MREL of 23.32% in terms of TREA, to which the Combined Buffer Requirement (CBR) applicable at that date must be added, and 7.22% in terms of LRE (Leverage Ratio Exposure Measure). In addition to these, there are further subordinated MREL requirements, to be met with own funds and subordinated instruments, equal to 17.34% of TREA, plus the CBR applicable on that date, and 7.22% of LRE.

The requirement at 1 January 2024 were raised as a result of the update of MREL Policy by the Single Resolution Board (SRB) in May 2021

In the transitional period, from 1 January 2022, the Parent Company will have to comply, on a consolidated basis, with an intermediate MREL of 18.95% in terms of TREA, to which the CBR must be added (equal to 2.75% in 2022) and 6.22% in terms of LRE. To these, must be added the additional subordinated MREL requirements to be met with own funds and subordinated instruments, equal to 13.5% of TREA, to which the CBR applicable at that date must be added, and 6.22% of LRE.

Given the postponement of capital increase to 2022 and the absence of any debt issuance in 2021, the Parent Company reports a temporary breach of the existing MREL requirements as at 1 January 2022. In particular the breach concerns the CBR considered in addition to the requirement based on RWAs (equal to EUR -407mln and the Subordination requirement, the latter determined both on the RWAs and inclusive of the CBR (equal to EUR -325 mln) and on the *Leveraged Exposures* (equal to EUR -429 mln). That breach would be solved upon finalisation of the expected capital increase provided for in the 2022-2026 Strategic Plan. The funding strategies are defined in line with the Group's Strategic Plan and, their implementation will be fully defined only after the approval of the



aforementioned Plan, which is currently subject to required information, approval and regulatory procedures that the Bank has started with the competent Authorities.

With reference to liquidity, the health crisis generated by the COVID-19 pandemic, despite the fear of potential impacts on the sources of liquidity of the banks, has not yet affected the expected evolution of the Group's regulatory indicators (LCR - *Liquidity Coverage Ratio* and NSFR - *Net Stable Funding Ratio*). In this regard, the European Central Bank, on 17 December 2021, announced that it did not see the need to extend, beyond December 2021, the relief measure it had introduced in 2020 and which allowed banks to operate with LCR below the minimum threshold of 100%. Given the solid liquidity position established in previous years and the good level of its indicators (as at 31 December 2021 LCR of 172.7% and NSFR of 129.6%), the Group estimates that it will be able to maintain its targets higher than the respective minimum regulatory thresholds with an adequate buffer.



Income statement and balance sheet reclassification principles

As of 31 March 2021, limited to the property assets, the Group opted to modify the valuation approach subsequent to initial recognition, establishing:

- transition from the cost model to the revaluation model for properties for business use, based on the provisions of IAS 16 “Property, plant and equipment”;
- transition from the cost model to the fair value model for investment properties, based on the provisions of IAS 40 “Investment property”.

The income statement and balance sheet figures for 2020 have been reclassified compared to those published at the respective reporting dates, following the retrospective application of the change in the policy for the valuation of property held for investment purposes (pursuant to IAS 40). On the other hand, the change in the policy for valuation of properties for business use, pursuant to IAS 16, was prospectively applied starting from 31 March 2021, in compliance with the provisions of IAS 8.

Following the change in the policy for the valuation of property assets, starting from the disclosure as at 31 March 2021, it should be noted that:

- the balance sheet item “Property, plant and equipment” includes the valuation of properties for business use pursuant to IAS 16 and investment property pursuant to IAS 40, respectively at the “revalued amount” and “fair value”;
- the income statement item “Net value adjustments to property, plant and equipment and intangible assets” includes, as regards property assets, only depreciation relating to properties for business use, as investment property measured at fair value is not depreciated;
- the item “Net gains (losses) on property, plant and equipment and intangible assets measured at fair value” includes the result of the change in fair value of properties during the period, in compliance with the new accounting policy adopted.

It should also be noted that, to ensure better comparability, impairments of property for business use (pursuant to IAS 16) referring to 2020 were reclassified from “Net value adjustments to property, plant and equipment and intangible assets” to “Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”.

This means that the represented data are comparable with that of previous years, with the exception of the item “Property, plant and equipment” in the Balance Sheet and the items “Net value adjustments on property, plant and equipment and intangible assets”²⁰ and “Net gains (losses) on property, plant and equipment and intangible assets measured at fair value” in the Income Statement.

For more details on the change in the property valuation criterion, please refer to the specific section of the Notes to the consolidated financial statements.

It should also be noted that, starting from December 2021, the following changes were introduced:

- the economic effects relating to securities deriving from multi-originator sales of non-performing loan portfolios attributable to the transfer plan to (i) a mutual investment fund with allocation of the relative units to the transferring intermediaries or to (ii) a securitization vehicles pursuant to Law 130/99 with simultaneous subscription of the ABS securities by the transferring banks, and accounted for in item 110 “Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss”, were reclassified to item “Cost of customer credit”. This reclassification was also adopted for the previous quarters and for the previous year in order to allow homogeneous comparisons;
- in compliance with the 7th update of Bank of Italy Circular 262, the balances of on-demand loans with banks, previously recognised in the Balance Sheet under “Bank loans”, are recognised under the item “Cash and cash equivalents”²¹. The balance sheet data for the previous quarters and financial year have been reclassified in order to allow for homogeneous comparisons.

²⁰ With regard to the item “Net value adjustments on property, plant and equipment and intangible assets”, it is specified that, starting from the second quarter 2021, the depreciation relating to properties for business use pursuant to IAS 16 have been calculated on the basis of the so-called “revalued amount” and of the useful life restated upon the prospective change in the valuation method.

²¹ The disclosure on the composition of “fee and commission income” and “fee and commission expense”, revised by the 7th update of Bank of Italy Circular 262, had no effect on the reclassified income statement.



Income statement data

The following are the reclassification criteria adopted for drafting the reclassified income statement:

- Item **“Net interest income”** was cleared of the negative contribution (equal to EUR -4.4 mln) of the *Purchase Price Allocation* (PPA), referring to past business combinations, which was reclassified to a specific item.
- The item **“Net fee and commission income”** includes the balance of items 40 “Fee and commission income” and 50 “Fee and commission expense” and was cleared of the positive contribution (equal to EUR 0.1 mln), relating to a reversal of commission expense relating to the “Hydra M” transaction, which was allocated to the reclassified item “Restructuring costs/One-off costs”.
- Item **“Dividends, similar income and gains (losses) on investments”** incorporates item 70 “Dividends and similar income” and the relevant portion of profits from investments in the associate AXA, consolidated using the equity method, equivalent to EUR 104.4 mln, included in item 250 “Gains (losses) on investments”. The aggregate was also cleared of dividends earned on equity securities other than equity investments (EUR 4.7 mln), reclassified to item “Net profit (loss) from trading, the fair value measurement of assets/liabilities and gains from disposals/repurchases”.
- The item **“Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases”** includes the values of items 80 “Net profit (loss) from trading”, 100 “Gains/(losses) on disposal/repurchase”, net of the contribution of loans to customers (EUR -1.5 mln), posted to the reclassified item “Cost of customers credit”, and 110 “Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss”, net of contributions from loans to customers (EUR -10.1 mln) and securities deriving from sale/securitisation transactions of non-performing loans (EUR -38.4 mln) posted to the reclassified item “Cost of customer credit”. This item also incorporates dividends earned on securities other than equity investments (EUR 4.7 mln) and was cleared of the loss on the exposure to the Voluntary Scheme of FITD, the Italian interbank deposit protection fund (for around EUR 2.7 mln, reclassified to “Risks and charges associated with SRF, DGS and similar schemes”).
- Item **“Net profit (loss) from hedging”** includes financial statement item 90 “Net profit (loss) from hedging”.
- The item **“Other operating income/expenses”** includes the balance of item 230 “Other operating expenses/income” net of stamp duties and other expenses recovered from customers, which are included under the reclassified item “Other administrative expenses” (EUR 237.7 mln), net of other expense recoveries which are reclassified to the item “Net adjustments to property, plant and equipment and intangible assets” (EUR 20.2 mln) and net of releases on provisions allocated in previous years (EUR 1.9 mln) reclassified to the item “Restructuring costs/One-off costs”.
- The item **“Personnel expenses”** includes the balance of item 190a “Personnel expenses” from which costs of EUR 3.7 mln were separated, relating to costs for consensual terminations defined by the Group through bilateral agreements with employees partially offset by releases of provisions allocated in previous years, reclassified to the item “Restructuring costs/One-off costs”.
- Item **“Other administrative expenses”** includes the balance of financial statement item 190b “Other administrative expenses”, reduced by the following cost items:
 - expenses, amounting to EUR 166.6 mln, resulting from the EU *Deposit Guarantee Schemes Directive* (hereinafter “DGSD”) and *Bank Recovery Resolution Directive* (hereinafter “BRRD”) for the resolution of bank crises, posted under the reclassified item “Risks and charges associated with SRF, DGS and similar schemes”;
 - DTA fee, convertible into tax credit, for an amount of EUR 63.2 mln posted to the reclassified item “DTA fee”;
 - charges of EUR 4.3 mln, relating to initiatives also aimed at complying with the commitments undertaken with DG Comp, stated under reclassified item “Restructuring costs/One-off costs”.

This item also includes the portion of stamp duty and other expenses recovered from customers (EUR 237.7 mln) posted under item 230 “Other operating expenses/income”.

- Item **“Net value adjustments to property, plant and equipment and intangible assets”** includes the values of items 210 “Net value adjustments to (recoveries on) property, plant and equipment” and 220 “Net value adjustments to (recoveries on) intangible assets” and was cleared of the negative contribution (EUR -0.9 mln) referring to the *Purchase Price Allocation* (PPA), which was recognised in a specific item, while it incorporates the amount of the expense recovery (EUR 20.2 mln) that was recorded under item 230 “Other operating expenses/income”. The costs of EUR 0.7 mln relating to the branches closed during the year were also separated from the aggregate.
- The item **“Cost of customers credit”** includes the income statement components relating to loans to customers of items 100a “Gains/losses on disposal or repurchase of financial assets at amortized cost” (EUR -1.5 mln), 110b “Net profit (loss) from financial assets and liabilities mandatorily measured at fair value” (EUR



-10.1 mln), 130a "Net impairment (losses)/reversals for credit risk on financial assets measured at amortised cost" (EUR -198.9 mln) item 140 "Modification Gains/losses" (EUR -7.6 mln) and 200a "Net provisions for risks and charges for commitments and guarantees issued" (EUR +6.5 mln). The item also includes the income statement components relating to securities deriving from the sale / securitization of non -performing loans recorded in the balance sheet item 110b "Net profit (loss) from other financial assets mandatorily measured at fair value" (EUR -38.4 mln).

- The item **"Net impairment losses/reversals on securities and loans to banks"** includes the portion relating to securities (EUR 2.0 mln) and loans to banks (EUR +0.5 mln) of item 130a "Net impairment (losses)/reversals for credit risk of financial assets measured at amortised cost" and item 130b "Net impairment (losses)/reversals for credit risk of financial assets measured at fair value through other comprehensive income" (EUR +2.8 mln).
- The item **"Other net provisions for risks and charges"** includes the balance of item 200 "Net provisions for risks and charges" less the component relating to loans to customers of item 200a "Net provisions for risks and charges for commitments and guarantees issued" (EUR +6.5 mln), which was reclassified to the specific item "Cost of customer credit".
- Item **"Other gains (losses) on investments"** includes the balance of item 250 "Gains (losses) on investments", cleared of the portion of profit relative to the investments in the associate AXA, consolidated with the equity method, equal to EUR 104.4 mln, reclassified under item "Dividends, similar income and gains (losses) on equity investments".
- Item **"Restructuring costs/One-off costs"** includes the following amounts:
 - contribution of EUR 0.1 mln for the reversal of commission expenses relating to the "Hydra M" transaction, accounted for in the financial statements under item 60 "Net fee and commissions";
 - charges amounting to EUR 3.7 mln, recognised in the financial statements under item 190a "Personnel expenses";
 - charges of EUR 4.3 mln relating to project initiatives, also aimed at achieving the commitments undertaken with DG Comp, recognised in the financial statements under item 190b "Other administrative expenses";
 - charges of EUR 1.3 mln related to the branches closed during the year, recognised for EUR 0.6 mln under item 260 "Net gains (losses) on property, plant and equipment and intangible assets measured at fair value" and for EUR 0.7 mln under item 210 "Net adjustments to/recoveries on property, plant and equipment";
 - positive contribution of Eur 1.9 mln for releases to provisions set aside in previous years accounted for in the financial statements under item 230 "Other operating expenses / income".
- The item **"Risks and charges associated to SRF, DGS and similar schemes"** includes the charges deriving from the EU directives DGSD for the guarantee of deposits and BRRD for the resolution of bank crises, amounting to EUR 166.6 mln, recognised in the financial statements in the item 190b "Other administrative expenses", as well as the capital loss recognized on the exposure to the FTD Voluntary Scheme for EUR 2.7 mln, recognised in the financial statements under item 110 "Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss".
- Item **"DTA fee"** includes the expenses related to the fees paid on DTAs that can be converted into tax credit as set forth in art. 11 of Law Decree no. 59 of 3 May 2016, converted into Law no. 119, 30 June 2016, recognised in the financial statements under item 190b "Other administrative expenses", for EUR 63.2 mln.
- The item **"Net gains (losses) on property, plant and equipment and intangible assets measured at fair value"** includes the balance of item 260 "Net gains (losses) on property, plant and equipment and intangible assets measured at fair value", net of the negative contribution of EUR 0.6 mln upon closure of branches, which were recognised under "Restructuring costs/One-off costs".
- Item **"Gains (losses) on disposal of investments"** includes the balance of financial statement item 280 "Gains (losses) on disposal of investments".
- The item **"Income taxes for the year"** includes the balance of item 300 "Tax (expense)/recovery on income from continuing operations" and has been cleared of the theoretical tax component relating to the Purchase Price Allocation (PPA), reclassified to a specific item for an amount of EUR 1.7 mln.

The overall negative effects of the **Purchase Price Allocation (PPA)** were reclassified to a specific item, excluding them from affected income statement items (in particular "Net interest income" for EUR -4.4 mln and "Net value adjustments to property, plant and equipment and intangible assets" for EUR -0.9 mln, net of a theoretical tax burden of EUR +1.7 mln which was added to the item).

Balance sheet data

The following are the reclassification criteria adopted for drafting the reclassified balance sheet:



- asset item **“Loans to central banks”** includes the portion relating to operations with central banks of item 40 “Financial assets measured at amortised cost”;
- asset item **“Loans to banks”** includes the portion relating to operations with banks of item 40 “Financial assets measured at amortised cost” and item 20 “Financial assets measured at fair value through profit or loss”;
- asset item **“Loans to customers”** includes the portion relating to loans to customers of financial statement items 20 “Financial assets measured at fair value through profit or loss”, 40 “Financial assets measured at amortised cost” and 120 “Non-current assets held for sale and disposal groups”;
- asset item **“Securities assets”** includes the portion relating to securities of item 20 “Financial assets measured at fair value through profit or loss”, item 30 “Financial assets measured at fair value through other comprehensive income”, item 40 “Financial assets measured at amortised cost” and item 120 “Non-current assets held for sale and disposal groups”;
- the asset item **“Derivatives”** includes the portion relating to derivatives of items 20 “Financial assets measured at fair value through profit or loss” and 50 “Hedging derivatives”;
- asset item **“Equity investments”** includes item 70 “Equity Investments” and the portion related to investments in item 120 “Non-current assets held for sale and disposal groups”;
- asset item **“Property, plant and equipment and intangible assets”** includes item 90 “Property, plant and equipment”, item 100 “Intangible assets” and the amounts related to property, plant and equipment and intangible assets in item 120 “Non-current assets held for sale and disposal groups”;
- asset item **“Other assets”**, includes item 60 “Change in value of macro-hedged financial assets”, item 130 “Other assets”, and the amounts in item 120 “Non-current assets held for sale and disposal groups” not included in the previous items;
- the liability item **“Due to customers”**, includes financial statement item 10b “Financial liabilities measured at amortised cost – due to customers” and the component relating to customer securities of financial statement item 10c “Financial liabilities measured at amortised cost - Debt securities issued”;
- liability item **“Securities issued”** includes item 10c “Financial liabilities measured at amortised cost - Debt securities issued”, excluding the component relating to customer securities, and item 30 “Financial liabilities measured at fair value”;
- liability item **“Due to central banks”** includes the portion of item 10a “Financial liabilities measured at amortised cost –due to banks” relating to relations with central banks;
- liability item **“Due to banks”** includes the portion of item 10a “Financial liabilities measured at amortised cost – due to banks” relating to relations with banks (excluding central banks);
- liability item **“On-balance-sheet financial liabilities held for trading”** includes the portion of item 20 “Financial liabilities held for trading” net of the amounts relating to derivatives for trading;
- liability item **“Derivatives”** includes item 40 “Hedging derivatives” and the portion related to derivatives in item 20 “Financial liabilities held for trading”;
- liability item **“Provision for specific use”** includes item 90 “Employee severance pay” and item 100 “Provisions for risks and charges”;
- the liability item **“Other liabilities”** includes items 50 “Change in value of macro-hedged financial liabilities”, 70 “Liabilities associated with disposal group” and 80 “Other liabilities”;
- liability item **“Group Net Equity”** includes item 120 “Valuation reserves”, item 130 “Redeemable shares”, item 150 “Reserves”, item 170 “Share capital”, item 180 “Treasury shares” and item 200 “Profit (Loss) for the year”.



Reclassified income statement

It should be noted that the 2020 results had been influenced by the effects linked to the health crisis determined by the spread, starting from the end of February, of the COVID-19 virus which, as is well known, also affected 2021.

Reclassified Consolidated Income Statement				
MONTEPASCHI GROUP	31 12 2021	31 12 2020*	Change	
			Abs.	%
Net interest income	1,221.5	1,290.6	(69.1)	-5.4%
Net fee and commission income	1,484.0	1,430.1	53.9	3.8%
Income from banking activities	2,705.5	2,720.7	(15.2)	-0.6%
Dividends, similar income and gains (losses) on investments	113.4	101.0	12.4	12.3%
Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases	184.8	168.6	16.2	9.6%
Net profit (loss) from hedging	12.6	2.6	10.0	n.m.
Other operating income (expenses)	(36.5)	(50.5)	14.0	-27.8%
Total Revenues	2,979.8	2,942.4	37.4	1.3%
Administrative expenses:	(1,926.1)	(1,978.4)	52.4	-2.6%
a) personnel expenses	(1,428.0)	(1,415.1)	(12.9)	0.9%
b) other administrative expenses	(498.1)	(563.3)	65.2	-11.6%
Net value adjustments to property, plant and equipment and intangible assets	(179.9)	(206.2)	26.3	-12.7%
Operating expenses	(2,106.0)	(2,184.6)	78.6	-3.6%
Pre-Provision Operating Profit	873.8	757.8	116.1	15.3%
Cost of customer credit	(250.0)	(772.7)	522.7	-67.6%
Net impairment (losses)/reversals on securities and loans to banks	5.3	(5.4)	10.7	n.m.
Net operating income	629.2	(20.3)	649.5	n.m.
Net provisions for risks and charges	(99.0)	(984.0)	885.0	-89.9%
Other gains (losses) on equity investments	2.2	2.8	(0.6)	-21.1%
Restructuring costs / One-off costs	(7.3)	(153.7)	146.3	-95.2%
Risks and charges associated to the SRF, DGS and similar schemes	(169.3)	(140.3)	(29.0)	20.6%
DTA Fee	(63.2)	(71.0)	7.8	-11.0%
Net gains (losses) on property, plant and equipment and intangible assets measured at fair value	(43.5)	(27.6)	(15.9)	57.6%
Gains (losses) on disposal of investments	14.4	53.5	(39.1)	-73.1%
Profit (Loss) for the year before tax	263.4	(1,340.7)	1,604.1	n.m.
Tax (expense)/recovery on income from continuing operations	49.5	(341.6)	391.0	n.m.
Profit (Loss) after tax	312.9	(1,682.3)	1,995.1	n.m.
Net profit (loss) for the year including non-controlling interests	312.9	(1,682.3)	1,995.1	n.m.
Net profit (loss) attributable to non-controlling interests	(0.2)	(0.1)	(0.1)	n.m.
Parent Company's Profit (loss) for the year before PPA	313.1	(1,682.2)	1,995.2	n.m.
PPA (Purchase Price Allocation)	(3.6)	(4.3)	0.8	-18.3%
Parent company's net profit (loss) for the year	309.5	(1,686.5)	1,996.0	n.m.

* The income statement figures as at 31 December 2020 were restated, with respect to what was published, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40). In addition, for the purposes of greater comparability, the write-downs of properties for business use (LAS 16) as at 31 December 2020 were reclassified from the item "Net adjustments to property, plant and equipment and intangible assets" to the item "Net gains (losses) of property, plant and equipment and intangible assets measured at fair value". Lastly, the restatement also concerned the economic effects of securities deriving from sale/securitization transactions of non-performing loans included in the item "Cost of customer credit".



Quarterly trend in reclassified consolidated income statement								
MONTEPASCHI GROUP	2021				2020*			
	4°Q 2021	3°Q 2021	2°Q 2021	1°Q 2021	4°Q 2020	3°Q 2020	2°Q 2020	1°Q 2020
Net interest income	323.0	313.3	305.6	279.6	311.9	331.8	319.8	327.1
Net fee and commission income	371.2	358.3	382.5	372.0	380.4	355.4	324.4	369.9
Income from banking activities	694.2	671.6	688.1	651.6	692.3	687.3	644.1	697.0
Dividends, similar income and gains (losses) on investments	37.7	20.3	34.2	21.2	43.5	11.2	34.5	11.8
Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases	(5.9)	14.0	19.7	157.0	4.9	61.6	71.2	30.9
Net profit (loss) from hedging	4.9	5.8	0.3	1.6	1.6	0.5	3.3	(2.8)
Other operating income (expenses)	(10.6)	(13.4)	(1.8)	(10.7)	(10.1)	(12.9)	(21.0)	(6.5)
Total Revenues	720.3	698.3	740.5	820.7	732.2	747.6	732.2	730.4
Administrative expenses:	(471.3)	(470.0)	(492.0)	(492.9)	(514.7)	(490.6)	(480.2)	(493.0)
a) personnel expenses	(351.1)	(358.1)	(358.7)	(360.1)	(355.2)	(352.0)	(351.2)	(356.7)
b) other administrative expenses	(120.2)	(111.9)	(133.3)	(132.7)	(159.5)	(138.5)	(129.0)	(136.3)
Net value adjustments to property, plant and equipment and intangible assets	(47.9)	(43.5)	(41.0)	(47.5)	(51.0)	(51.3)	(52.9)	(51.0)
Operating expenses	(519.2)	(513.5)	(533.0)	(540.4)	(565.6)	(541.9)	(533.1)	(544.0)
Pre-Provision Operating Profit	201.1	184.8	207.5	280.4	166.5	205.7	199.0	186.5
Cost of customer credit	(222.3)	135.1	(88.9)	(73.9)	(141.7)	(101.7)	(213.8)	(315.5)
Net impairment (losses)/reversals on securities and loans to banks	2.4	1.2	5.4	(3.7)	1.2	(1.1)	(4.4)	(1.1)
Net operating income	(18.7)	321.1	124.0	202.7	26.0	103.0	(19.2)	(130.2)
Net provisions for risks and charges	(32.9)	(23.8)	(50.8)	8.5	(216.2)	(410.7)	(317.0)	(40.1)
Other gains (losses) on equity investments	(0.0)	2.4	2.6	(2.8)	1.7	0.4	0.5	0.2
Restructuring costs / One-off costs	0.8	(3.9)	(4.0)	(0.1)	(25.1)	(100.7)	(30.4)	2.6
Risks and charges associated to the SRF, DGS and similar schemes	(10.3)	(69.4)	(21.8)	(67.8)	(22.7)	(41.0)	(18.4)	(58.3)
DTA Fee	(15.8)	(15.8)	(15.9)	(15.7)	(17.8)	(17.8)	(17.7)	(17.8)
Net gains (losses) on property, plant and equipment and intangible assets measured at fair value	(15.3)	-	(0.4)	(27.8)	(28.9)	(3.1)	0.4	4.0
Gains (losses) on disposal of investments	-	-	(2.6)	17.0	53.9	0.3	(0.9)	0.2
Profit (Loss) for the year before tax	(92.3)	210.6	31.1	114.0	(229.0)	(469.6)	(402.7)	(239.4)
Tax (expense)/recovery on income from continuing operations	14.5	(23.7)	52.6	6.1	75.8	20.0	(439.0)	1.6
Profit (Loss) after tax	(77.8)	186.9	83.7	120.1	(153.2)	(449.6)	(841.7)	(237.8)
Net profit (loss) for the year including non-controlling interests	(77.8)	186.9	83.7	120.1	(153.2)	(449.6)	(841.7)	(237.8)
Net profit (loss) attributable to non-controlling interests	(0.1)	-	-	(0.1)	-	-	(0.1)	-
Parent Company's Profit (loss) for the year before PPA	(77.7)	186.9	83.7	120.2	(153.2)	(449.6)	(841.6)	(237.8)
PPA (Purchase Price Allocation)	(0.9)	(0.9)	(0.9)	(0.9)	(1.3)	(1.1)	(0.9)	(1.1)
Parent company's net profit (loss) for the year	(78.6)	186.0	82.8	119.3	(154.5)	(450.6)	(842.4)	(239.0)

* The income statement figures for 2020 have been restated compared to those published at the respective reporting dates, following the retrospective application of the change in the approach for the valuation of property held for investment purposes (pursuant to IAS 40). Furthermore, for the sake of greater comparability, impairments of property for business use (IAS 16) recorded in 2020 were reclassified from item "Net value adjustments to property, plant and equipment and intangible assets" to item "Net gains (losses) on property, plant and equipment and intangible assets measured at fair value". Lastly, the restatement also concerned the economic effects deriving from sale/securitization transactions of non-performing loans classified under the item "Cost of customer credit".



Revenue trends

As at 31 December 2021, the Group achieved total Revenues of **EUR 2,980 mln**, up by 1.3% compared to the previous year. Excluding the estimate of the contribution from the Hydra portfolio, growth would be 5.0%.

This trend is mainly attributable to the growth in net fee and commission income, mainly due to the higher income from asset management and, in particular, from the placement of products and the growth in Other revenues from financial management due to higher profits deriving from the sale of securities and for the greater contribution generated by the partnership with AXA in the *Bancassurance* area. There was instead a year-on-year decrease in net interest income, mainly due to the lower contribution (about EUR 106 mln) of the non-performing portfolio, notably as a result of the deconsolidation of the “Hydra M” portfolio in late 2020, as well as the decline in returns on assets due to interest rate trends and the shift of exposures, with a decrease in the on demand and short-term components and an increase in the medium/long-term component. On the other hand, Net Interest Income benefited from the lower cost of commercial funding as well as the positive effects linked to access to the TLTRO III auctions, although these were partly offset by the cost of increased deposits at central banks. Excluding the estimate of the contribution of the Hydra portfolio, the net interest income would have grown by 2.2% on an annual basis.

Revenues for the fourth quarter of 2021 recorded an increase of 3.2% compared to the previous quarter. In particular, there was an increase in Net interest income (+3.1%), which benefited from the continuation of the actions to optimize the cost of funding, and in net commissions (+3.6%), mainly referring to commissions on payment services. Other revenues from financial management were down compared to the previous quarter, affected by the worsening of the trading / hedging result. On the other hand, the contribution generated by the partnership with AXA in the *Bancassurance* area increased.

The table below shows the trend in revenues for each of the operating segments identified.

SEGMENT REPORTING		Operating Segments						Corporate Center		Total Montepaschi Group	
Primary segment		Retail banking		Wealth Management		Corporate banking					
(EUR mln)		31/12/21	Chg % Y/Y	31/12/21	Chg % Y/Y	31/12/21	Chg % Y/Y	31/12/21	Chg % Y/Y	31/12/21	Chg % Y/Y
PROFIT AND LOSS AGGREGATES											
Net interest income		335.5	-45.7%	1.5	-78.3%	587.9	-12.2%	296.5	n.m.	1,221.5	-5.4%
Net fee and commission income, of which		913.3	11.8%	123.6	12.5%	535.1	-3.5%	(88.0)	71.4%	1,484.0	3.8%
<i>Fee and commission income</i>		990.5	12.4%	124.6	12.4%	592.3	-1.8%	(10.8)	n.m.	1,696.6	6.3%
<i>Fee and commission expense</i>		(77.2)	20.8%	(0.9)	-4.5%	(57.2)	16.5%	(77.2)	49.7%	(212.6)	28.4%
Other Revenues from Banking and Insurance Business		78.4	14.3%	23.2	11.4%	27.6	-50.9%	181.6	43.6%	310.8	14.2%
Other operating expenses/income		(10.8)	1.1%	(1.3)	13.3%	(16.0)	-36.7%	(8.5)	-37.2%	(36.5)	-27.8%
Total Revenues		1,316.5	-11.8%	147.1	7.6%	1,134.7	-9.6%	381.6	n.m.	2,979.8	1.3%

NOTE: Following the structure reorganization of the Head Offices, implemented in June 2021, the results of the “Small Business” service model are now included in “Corporate Banking”, no longer in “Retail Banking”. The values of the previous year have been restated accordingly, therefore the comparison is made between homogeneous data.

Net interest income as at 31 December 2021 amounted to **EUR 1,222 mln**, down by 5.4% compared to 2020. The decrease was driven mainly by (i) the lower contribution (EUR 106 mln) of the non-performing portfolio specifically due to the deconsolidation of the “Hydra M” portfolio in late 2020, as well as (ii) the higher cost of institutional funding linked to the issues carried out in the second half of 2020, (iii) the lower contribution of the BMPS securities portfolio, also as a result of the sales started in 2020 and continued in 2021, (iv) the negative contribution of hedging derivatives and (v) the decrease in asset returns due to interest rate trends and the shift of exposures with a reduction in the on-demand and short-term components and an increase in the medium/long-term component. On the other hand, Net Interest Income benefited from the lower cost of commercial funding and the positive effects linked to access to the TLTRO III auctions for a total of EUR 279 mln, although partially offset by the cost of higher deposits at central banks of approximately EUR 93 mln. Excluding the estimate of the contribution of the Hydra portfolio, the net interest income would have grown by 2.2% on an annual basis.



Net Interest Income for the third quarter of 2021 was up compared to the previous quarter (+3.1%), mainly due to the continuation of the initiatives taken by the Parent Company to optimise the cost of customer funding and to the greater contribution from MPS Capital Services portfolio and the lower cost of deposits with central banks due to the declining average volumes.

Items	31 12 2021	31 12 2020	Chg. Y/Y		4°Q 2021	3°Q 2021	Chg. Q/Q	
			Abs.	%			Abs.	%
Loans to customers measured at amortised cost	1,241.3	1,358.1	(116.8)	-8.6%	312.7	314.7	(2.0)	-0.6%
Loans to Banks measured at amortised cost	(16.6)	(31.8)	15.2	-47.8%	(3.1)	(4.9)	1.8	-35.8%
Loans to Central banks	185.7	95.8	89.9	93.8%	57.2	52.3	4.9	9.5%
Government securities and other non-bank issuers at amortised cost	125.1	149.7	(24.6)	-16.4%	30.6	31.5	(0.9)	-2.9%
Securities issued	(338.4)	(338.2)	(0.2)	0.1%	(82.3)	(82.8)	0.5	-0.6%
Hedging derivatives	(60.2)	(26.6)	(33.6)	n.m.	(14.2)	(16.8)	2.6	-15.5%
Trading portfolios	37.0	35.6	1.4	3.9%	13.1	7.1	6.0	84.5%
Portfolios measured at fair value	5.3	7.4	(2.1)	-28.4%	1.6	1.3	0.3	23.1%
Financial assets measured at fair value through other comprehensive income	35.1	29.1	6.0	20.6%	5.2	8.2	(3.0)	-36.6%
Other financial assets and liabilities	7.2	11.5	(4.3)	-37.4%	2.2	2.7	(0.5)	-18.5%
Net interest income	1,221.5	1,290.6	(69.1)	-5.4%	323.0	313.3	9.7	3.1%
<i>of which: interest income on impaired financial assets</i>	<i>55.2</i>	<i>160.7</i>	<i>(105.5)</i>	<i>-65.7%</i>	<i>14.4</i>	<i>12.7</i>	<i>1.7</i>	<i>13.4%</i>

Net fee and commission income as at 31 December 2021, amounting to **EUR 1,484 mln**, was up compared to the previous year (+3.8%). The increase was due to higher income from asset management (+17.3%), due both to higher commissions on product placement and to higher continuing commissions, which benefited from an increase in average assets under management and in average returns. On the other hand, commissions from traditional banking services decreased due to the reduction in commissions on receivables (-5.3%), also as a result of the restructuring of loans to longer-term loans.

The contribution of the last quarter of the 2021 financial year is up in comparison with the previous quarter (+3.6%) thanks mainly to the increase in commissions from traditional banking services (+16 million euros) driven by income from payment.



Services/value	31 12 2021	31 12 2020	Change Y/Y		4°Q 2021	3°Q 2021	Change Y/Y	
			abs.	%			abs.	%
Assets under management fee	740.2	631.3	108.9	17.3%	179.4	179.3	0.0	0.0%
Product placement	253.9	192.4	61.5	31.9%	52.9	60.1	(7.2)	-11.9%
Continuing fees	399.5	348.7	50.9	14.6%	104.4	102.9	1.6	1.5%
Placement of securities	39.3	43.0	(3.7)	-8.6%	9.8	7.6	2.3	29.7%
Sales of Protection	47.5	47.2	0.3	0.6%	12.2	8.8	3.4	38.3%
Fee and commissions from traditional activities	849.2	865.2	(15.9)	-1.8%	224.2	208.4	15.8	7.6%
Credit fees	368.9	389.7	(20.8)	-5.3%	93.9	88.2	5.7	6.5%
Fees from foreign service	50.4	46.1	4.3	9.3%	12.9	12.8	0.1	0.8%
Other services	429.9	429.4	0.6	0.1%	117.3	107.4	10.0	9.3%
Other fee and commission income	(105.4)	(66.3)	(39.1)	59.0%	(32.3)	(29.5)	(2.9)	9.8%
Net fees and commission income	1,484.0	1,430.1	53.9	3.8%	371.2	358.3	12.9	3.6%

Dividends, similar income and gains (losses) on equity investments amounted to **EUR 113 mln**, up compared to 31 December 2020 (EUR +12 mln), thanks to the higher income generated by the partnership with AXA²² in the *Bancassurance* area, which also determined an increase in the fourth quarter of 2021 compared to the previous quarter.

Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains on disposals/repurchases as at 31 December 2021 amounted to **EUR 185 mln**, up by EUR 16 mln compared to the values recorded in the previous year. The contribution of the last quarter of 2021, on the other hand, is down by EUR 20 mln euros compared to the previous quarter. The analysis of the main aggregates shows the following:

- **Net profit from trading was EUR 25 mln**, down EUR 11 mln compared to the value recorded the previous year due to the lower contribution of the results of MPS Capital Services, which also led to a lower result for the fourth quarter of 2021 compared to the previous quarter (EUR -18 mln).
- **Net profit (loss) from other assets/liabilities measured at fair value through profit or loss was EUR 19 mln**, an improvement on the positive contribution of EUR 15 mln in the previous year, also thanks to the capital gains recorded on UCITS. The contribution of the fourth quarter of 2021 was **EUR 5 mln**; the contribution of the third quarter of 2021, which had been impacted by capital losses on debt securities, was substantially nil.
- **Net gains (losses) from disposal/repurchase** (excluding loans to customers at amortized cost) **were positive for EUR 141 mln**, up compared to the previous year (+19.6%) thanks to higher profits from the sale of securities. The contribution of the fourth quarter of 2021 was down compared to the previous quarter by EUR 7 mln due to lower profits from the sale of securities.

²² AXA-MPS was consolidated in the Group's financial statements using the equity method.



Items	31 12 2021	31 12 2020*	Chg. Y/Y		4°Q 2021	3°Q 2021	Chg. Q/Q	
			Abs.	%			Abs.	%
Financial assets held for trading	(52.1)	(2.1)	(50.1)	n.m.	(6.9)	(12.0)	5.1	-42.5%
Financial liabilities held for trading	103.5	(51.3)	154.8	n.m.	9.7	26.2	(16.5)	-63.0%
Exchange rate effects	14.7	21.7	(7.0)	-32.3%	7.0	2.8	4.2	n.m.
Derivatives	(41.6)	67.2	(108.8)	n.m.	(22.5)	(12.2)	(10.3)	84.4%
Trading results	24.5	35.6	(11.1)	-31.1%	(12.7)	4.8	(17.5)	n.m.
Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss	19.0	15.0	4.0	26.7%	5.2	0.3	4.9	n.m.
Disposal / repurchase (excluding loans to customers measured at amortised cost)	141.3	118.1	23.2	19.6%	1.6	8.9	(7.3)	-82.1%
Net profit (loss) from trading, the fair value measurement of assets/liabilities and Net gains (losses) on disposals/repurchases	184.8	168.7	16.1	9.6%	(5.9)	14.0	(19.9)	n.m.

* The income statement value as at 31 December 2020 were restated, with respect to those published at the reporting date, following the inclusion of the economic effects of securities deriving from the sale/securitization of non-performing loans in the item "Cost of customer credit".

The following items are also included in Revenues:

- **Net profit (loss) from hedging was EUR +13 mln**, up compared to 31 December 2020 (EUR +3 mln) and with a contribution of the fourth quarter of 2021 down compared to that of the previous quarter;
- **Other operating income/expenses were negative for EUR 36 mln**, an improvement compared to the amounts recorded in 2020 (EUR -51 mln) and with a contribution of the fourth quarter of 2021 (EUR -11 mln) up compared to the previous quarter (equal to EUR -13 mln).

Operating expenses

As at 31 December 2021, **Operating Expenses** amounted to **EUR 2,106 mln**, down compared to the previous year (-3.6%) and with an increase in the last quarter of 2021 up compared to the previous quarter (+1.1%). A closer look at the individual aggregates reveals the following:

- **Administrative expenses** stood at **EUR 1,926 mln**, down 2.6% compared to the previous year, with a contribution in the fourth quarter of 2021 substantially stable compared to the previous quarter. A breakdown of the aggregate shows:
 - **Personnel expenses**, which amounted to **EUR 1,428 mln**, were up by 0.9% compared to 31 December 2020, despite the downward trend in the workforce (linked - first of all - to the 560 terminations per the Solidarity fund recorded between 1 November 2020 and 1 January 2021), in relation to the contractual increases deriving from the renewal of the National Collective Labour Agreement and the lack of savings resulting from the non-renewal of the trade union agreement. The contribution of the fourth quarter of 2021 was down by 2% compared to the previous quarter.
 - **Other administrative expenses**, which amounted to **EUR 498 mln**, were down compared to the previous year (-11.6%), thanks to the savings achieved. The contribution of the last quarter of 2021 was up compared to the previous quarter (+7.4%) as a result of the typical acceleration of expenses at the end of the year.
- **Net value adjustments to property, plant and equipment and intangible assets** as at 31 December 2021 amounted to **EUR 180 mln** and were down compared to the previous year (-12.7%), also due to the effects of the introduction of fair value measurements of properties. The contribution of the fourth quarter was up compared to the previous quarter (+10.1%).



Type of transaction	31 12 2021	31 12 2020*	Chg Y/Y		4°Q 2021	3°Q 2021	Chg Q/Q	
			Abs.	%			Abs.	%
Wages and salaries	(1,036.7)	(1,019.4)	(17.3)	1.7%	(256.6)	(259.3)	2.7	-1.0%
Social-welfare charges	(282.8)	(275.7)	(7.1)	2.6%	(69.7)	(70.9)	1.2	-1.7%
Other personnel expenses	(108.5)	(120.0)	11.5	-9.6%	(24.8)	(27.9)	3.1	-11.1%
Personnel expenses	(1,428.0)	(1,415.1)	(12.9)	0.9%	(351.1)	(358.1)	7.0	-2.0%
Taxes	(220.9)	(219.7)	(1.2)	0.5%	(54.2)	(55.4)	1.2	-2.2%
Furnishing, real estate and security expenses	(73.9)	(75.9)	2.0	-2.6%	(10.2)	(20.8)	10.6	-51.0%
General operating expenses	(160.9)	(194.3)	33.4	-17.2%	(30.9)	(33.1)	2.2	-6.6%
Information technology expenses	(133.8)	(135.3)	1.5	-1.1%	(35.0)	(31.3)	(3.7)	11.8%
Legal and professional expenses	(83.5)	(134.5)	51.0	-37.9%	(31.3)	(17.9)	(13.4)	74.9%
Indirect personnel costs	(4.5)	(5.5)	1.0	-18.2%	(0.8)	(1.2)	0.4	-33.3%
Insurance	(41.3)	(47.5)	6.2	-13.1%	(8.6)	(8.8)	0.2	-2.3%
Advertising, sponsorship and promotions	(3.5)	(5.4)	1.9	-35.2%	(1.2)	(0.6)	(0.6)	100.0%
Other	(13.5)	(4.8)	(8.7)	n.m.	(9.2)	1.9	(11.1)	n.m.
Expenses recovery	237.7	259.6	(21.9)	-8.4%	61.2	55.3	5.9	10.7%
Other administrative expenses	(498.1)	(563.3)	65.2	-11.6%	(120.2)	(111.9)	(8.3)	7.4%
Property, plant and equipment	(113.3)	(131.7)	18.4	-14.0%	(30.5)	(27.7)	(2.8)	10.1%
Intangible assets	(66.6)	(74.5)	7.9	-10.6%	(17.4)	(15.8)	(1.6)	10.1%
Net value adjustments to property, plant and equipment and intangible assets	(179.9)	(206.2)	26.3	-12.7%	(47.9)	(43.5)	(4.4)	10.1%
Operating expenses	(2,106.0)	(2,184.6)	78.6	-3.6%	(519.2)	(513.5)	(5.7)	1.1%

* The income statement figures for 2020 have been restated compared to those published at the respective reporting dates, following the retrospective application of the change in the approach for the valuation of property held for investment purposes (pursuant to LAS 40). Furthermore, for the sake of greater comparability, impairments of property for business use (LAS 16) recorded in 2020 were reclassified from item "Net value adjustments to property, plant and equipment and intangible assets" to item "Net gains (losses) on property, plant and equipment and intangible assets measured at fair value".

As a result of the trends described above, the Group's **Gross Operating Income** amounted to **EUR 874 mln** (EUR 758 mln as at 31 December 2020), with an increase in the last quarter of 2021 of EUR 201 mln, up around EUR 16 mln compared to the previous quarter.

Cost of customer credit

As at 31 December 2021, the Group recorded a **Cost of Customer Credit** of **EUR -250 mln**, compared to EUR -773 mln in the previous year. The figure for 2021 includes:

- a positive effect of approximately EUR 124 mln from reduced adjustments following the update of the macroeconomic scenarios;
- a negative impact of EUR 136 mln deriving from the updating of the statistical evaluation models (of which EUR -99 mln and EUR -37 mln for the updating of the LGD and PD models respectively)²³;

²³ For further details, please refer to paragraph "2.3 Methods of measuring expected losses" of the Section 2 - Risks of prudential consolidation - Credit risk in the Notes to the consolidated financial statements.



- a negative impact of EUR -75 mln deriving from certain methodological refinements pertaining to the valuation of exposures covered by a State guarantee and of Unsecured Unlikely to Pay exposures with a determined vintage.

The figure in 2020 included a negative effect of approximately EUR 348 mln due to the changed macroeconomic scenario resulting from the spread of the COVID-19 pandemic.

Even excluding these effects, the aggregate was, in any case, down compared to 2020, mainly due to impairment reversals (about EUR 130 mln) on some significant positions, the risk profile of which has improved due to intervening corporate events. Lastly, the cost of customer credit in 2021 also benefited from the elimination of adjustments on the positions of the “Hydra M” portfolio, deconsolidated at the end of December 2020.

The cost of customer credit in the fourth quarter of 2021, equal to EUR 222 mln, worsened by EUR 357 mln compared to that of the previous quarter, which included the aforementioned i) releases for updating the macroeconomic scenarios (EUR +124 mln), ii) cost of updating LGD models (EUR -99 mln), iii) recoveries recorded on some significant positions (approximately EUR +130 mln). Even net of these components, the cost of the fourth quarter is, however, up compared to the previous quarter mainly due to the losses recorded on securities deriving from the sale/securitisation of non-performing loans, due to the effect of the aforementioned methodological refinement relating to the assessment of Unlikely to Pay loans and for higher default flows.

As at 31 December 2021, the ratio between the Cost of customer credit and the sum of Customer loans and the value of securities deriving from sale/securitization transactions of non-performing loans expresses a **Provisioning Rate of 31 bps** (93 bps as at 31 December 2020).

Items	31 12 2021	31 12 2020*	Chg. Y/Y		4°Q 2021	3°Q 2021	Chg. Q/Q	
			Abs.	%			Abs.	%
Loans to customers measured at amortised cost	(237.3)	(768.8)	531.5	-69.1%	(192.9)	115.7	(308.6)	n.m.
Modification gains/(losses)	(7.6)	(18.8)	11.2	-59.6%	(0.8)	(1.5)	0.7	-46.7%
Gains/(losses) on disposal/repurchase of loans to customers measured at amortised cost	(1.5)	0.4	(1.9)	n.m.	(1.1)	(0.2)	(0.9)	n.m.
Net change of Loans to customers mandatorily measured at fair value	(10.1)	(0.9)	(9.2)	n.m.	(4.1)	(1.1)	(3.0)	n.m.
Net provisions for risks and charges on commitments and guarantees issued	6.5	15.4	(8.9)	-57.8%	(23.4)	22.2	(45.6)	n.m.
Adjustments to cost of customer credit	(250.0)	(772.7)	522.7	-67.6%	(222.3)	135.1	(357.4)	n.m.

* The income statement values as at 31 December 2020 were restated, with respect to those published at the reporting date, following the inclusion of the economic effects of securities deriving from the sale/securitization of non-performing loans in the item “Cost of customer credit”.

The Group’s **Net Operating Income** as at 31 December 2021 was **positive for approximately EUR 629 mln**, compared to a negative value of EUR 20 mln in the previous year. The contribution of the last quarter of 2021, amounting to EUR -19 mln, was down compared to the previous quarter, which recorded a positive value of around EUR 321 mln.

Non-operating income, tax and net profit (loss) for the year

The **Result for the year** included the following items:

- Negative **provisions for risks and charges** of **EUR -99 mln**, an improvement on the previous year (EUR -984 mln) due to lower provisions for legal risks. The contribution of the fourth quarter of 2021 worsened compared to that recorded in the third quarter due to higher provisions for legal risks.
- **Other gains (losses) from equity investments** were **EUR +2 mln**, compared to a profit of EUR 3 mln in 2020, with a contribution of the last quarter of 2021 substantially nil compared to EUR 2 mln in the third quarter.



- **Restructuring costs/One-off costs**, were equal to **EUR -7 mln**, an improvement compared to EUR -154 mln in the previous year, which included expenses (interest, commissions and other administrative expenses) relating to the “Hydra M” transaction and the costs for the redundancy measures. The contribution of the fourth quarter of 2021 (equal to EUR +0.8 mln) improved compared to the previous quarter (EUR -3.9 mln).
- **Risks and charges related to SRF, DGS and similar schemes**, had a balance of **EUR -169 mln** consisting of the contribution from the Group to the Single Resolution Fund (SRF) recognized in the first quarter of 2021 of EUR 67 mln, the additional portion in favour of the National Resolution Fund (NRF) recognized in the second quarter of 2021 of EUR 22 mln and the portion due to the FITD (DGS) of EUR 77 mln, accounted for EUR 69 mln in the third quarter of 2021 and for EUR 8 mln in the fourth quarter of 2021, as well as the net loss on the exposure to the Voluntary Scheme of the FITD (mainly for the Carige intervention) amounting to a total of EUR 3 mln. The portion due to FITD (DGS) increased compared to the previous year as a result of the increase in deposit volumes.
- **DTA fee**, amounting to **EUR -63 mln**. This amount, determined according to the criteria set forth in Law Decree 59/2016, converted into Law no. 119 of 30 June 2016, represents the fee as at 31 December 2021 on DTA (*Deferred Tax Assets*) that can be converted into a tax credit.
- **Net gains (losses) on property, plant and equipment and intangible assets measured at fair value**, were equal to **EUR -44 mln**, which includes the writing down of properties held for business use (pursuant to IAS 16), in application of the new valuation policy applied to the Group’s property assets.
- **Gains (losses) on disposal of investments** equal to **EUR 14 mln** related to the sale of property assets. As at 31 December 2020, the aggregate was positive for EUR 54 mln.

As a result of the above trends, the Group’s **Pre-tax profit for the year** amounted to **EUR 263 mln**, compared to 31 December 2020, which recorded a loss of EUR 1,341 mln.

Taxes on income from current operations recorded a positive contribution of **EUR 49 mln** (EUR -342 mln as at 31 December 2020), mainly attributable to the valuation of DTAs.

With reference to the taxable income of future years, it should be noted that the valuation of the DTAs was determined on the basis of the income projections used for the 2020 Consolidated Financial Statements and for the 2021 Consolidated Interim Reports. The income projections used in the new 2022-2026 Strategic Plan, approved by the Board of Directors on 17 December 2021, were not used as this document is still being reviewed by the relevant authorities.

Considering the net effects of the PPA (EUR -3.6 mln), the **Parent Company’s net Profit for the year** amounted to **EUR 310 mln**, compared to a loss of EUR -1,687 mln in 2020. The fourth quarter of the 2021 financial year recorded a loss attributable to the Parent Company of EUR -79 mln, compared to a profit of EUR 186 mln achieved in the previous quarter.



In compliance with Consob's instructions, following is a statement of the reconciliation of the Shareholders' equity and Net profit and loss for the year of the Parent Company with the consolidated items:

Reconciliation between Parent Company and Consolidated Net Equity and Profit (Loss) for the year		
	Shareholders' equity	Net profit (loss) for the year
Parent Company's net equity	5,026.6	151.0
<i>of which Parent Company's valuation reserves</i>	<i>168.4</i>	<i>-</i>
Impact of line-by-line consolidation of subsidiaries	(1,803.4)	116.1
Impact of consolidation of jointly controlled entities and associates	556.1	104.6
Reversal of dividends from subsidiaries	-	(38.8)
Reversal of written-down equity investments	2,862.3	3.9
Other adjustments	(607.3)	(27.3)
Subsidiaries' and associates' valuation reserves	138.4	-
Consolidated balance	6,172.7	309.5
<i>of which valuation reserves</i>	<i>306.8</i>	



Reclassified balance sheet

Please note that starting from February 2020, the financial statement data are influenced by the effects of the ongoing health crisis.

Reclassified Balance Sheet				
Assets	31 12 2021	31 12 2020*	Chg	
			abs.	%
Cash and cash equivalents	1,741.8	2,319.5	(577.7)	-24.9%
Loans to central banks	20,769.7	28,526.2	(7,756.5)	-27.2%
Loans to banks	3,493.3	3,896.6	(403.3)	-10.4%
Loans to customers	79,380.3	82,632.3	(3,252.0)	-3.9%
Securities assets	22,127.1	21,623.3	503.8	2.3%
Derivatives	2,431.6	3,018.6	(587.0)	-19.4%
Equity investments	1,095.4	1,107.5	(12.1)	-1.1%
Property, plant and equipment/Intangible assets	2,743.5	2,614.2	129.3	4.9%
of which:				
a) goodwill	7.9	7.9	-	0.0%
Tax assets	1,774.0	1,991.6	(217.6)	-10.9%
Other assets	2,311.9	2,615.2	(303.3)	-11.6%
Total assets	137,868.6	150,345.0	(12,476.4)	-8.3%
Liabilities	31 12 2021	31 12 2020*	Chg	
			abs.	%
Direct funding	90,300.3	103,719.3	(13,419.0)	-12.9%
a) Due to customers	79,859.5	91,506.9	(11,647.4)	-12.7%
b) Securities issued	10,440.8	12,212.4	(1,771.6)	-14.5%
Due to central banks	29,154.8	23,933.6	5,221.2	21.8%
Due to banks	2,125.1	4,484.5	(2,359.4)	-52.6%
On-balance-sheet financial liabilities held for trading	3,104.1	4,545.5	(1,441.4)	-31.7%
Derivatives	2,686.1	3,253.5	(567.4)	-17.4%
Provisions for specific use	1,814.0	2,059.2	(245.2)	-11.9%
a) Provision for staff severance indemnities	159.3	166.6	(7.3)	-4.4%
b) Provision related to guarantees and other commitments given	144.0	154.1	(10.1)	-6.6%
c) Pension and other post-retirement benefit obligations	29.7	33.0	(3.3)	-10.0%
d) Other provisions	1,481.0	1,705.5	(224.5)	-13.2%
Tax liabilities	7.1	4.1	3.0	73.2%
Other liabilities	2,503.1	2,572.4	(69.3)	-2.7%
Group net equity	6,172.7	5,771.6	401.1	6.9%
a) Valuation reserves	306.8	260.9	45.9	17.6%
d) Reserves	(3,638.6)	(1,684.0)	(1,954.6)	n.m.
f) Share capital	9,195.0	9,195.0	-	-
g) Treasury shares (-)	-	(313.7)	313.7	-100.0%
h) Net profit (loss) for the year	309.5	(1,686.5)	1,996.0	n.m.
Non-controlling interests	1.3	1.3	-	0.0%
Total Liabilities and Shareholders' Equity	137,868.6	150,345.0	(12,476.4)	-8.3%

* Balance sheet figures as at 31 December 2020 have been restated compared to those published previously following the retrospective application of the change in valuation criteria for investment properties (pursuant to IAS 40). Furthermore, the comparative values relating to the items "Cash and cash equivalents" and "Bank loans" were restated in line with the provisions set forth in the 7th update of Circular 262 of the Bank of Italy.



Reclassified Balance Sheet - Quarterly Trend								
Assets	31/12/21	30/09/21*	30/06/21*	31/03/21*	31 12 2020*	30 09 2020*	30 06 2020*	31 03 2020*
Cash and cash equivalents	1,741.8	2,121.6	1,745.3	1,853.4	2,319.5	1,760.5	2,243.8	2,067.2
Loans to central banks	20,769.7	20,940.8	25,570.5	26,116.8	28,526.2	18,679.7	15,037.8	8,109.5
Loans to banks	3,493.3	3,344.0	3,133.9	2,975.3	3,896.6	3,836.8	4,193.4	3,482.8
Loans to customers	79,380.3	81,199.8	81,355.8	82,259.0	82,632.3	87,098.7	82,510.6	82,206.1
Securities assets	22,127.1	24,961.0	23,121.9	22,562.0	21,623.3	23,041.0	25,569.4	26,006.3
Derivatives	2,431.6	2,591.8	2,689.5	2,757.5	3,018.6	3,023.0	3,129.1	3,233.8
Equity investments	1,095.4	1,041.8	1,027.7	1,069.2	1,107.5	991.8	953.9	892.0
Property, plant and equipment/Intangible assets	2,743.5	2,757.9	2,760.0	2,784.5	2,614.2	2,823.0	2,849.9	2,850.0
of which:								
a) goodwill	7.9	7.9	7.9	7.9	7.9	7.9	7.9	7.9
Tax assets	1,774.0	1,758.7	1,800.4	1,919.8	1,991.6	2,114.1	2,196.1	2,768.0
Other assets	2,311.9	2,400.5	2,544.7	2,361.3	2,615.2	2,906.0	2,965.8	2,644.0
Total assets	137,868.6	143,117.9	145,749.7	146,658.8	150,345.0	146,274.6	141,649.9	134,259.7
Liabilities	31/12/21	30/09/21*	30/06/21*	31/03/21*	31 12 2020*	30 09 2020*	30 06 2020*	31 03 2020*
Direct funding	90,300.3	92,901.5	94,036.5	99,053.6	103,719.3	98,418.1	97,585.2	95,367.2
a) Due to customers	79,859.5	82,389.2	83,315.3	87,124.1	91,506.9	86,827.3	86,139.8	83,680.4
b) Securities issued	10,440.8	10,512.3	10,721.2	11,929.5	12,212.4	11,590.8	11,445.4	11,686.8
Due to central banks	29,154.8	29,230.2	29,305.6	26,373.1	23,933.6	23,994.9	21,330.6	15,997.9
Due to banks	2,125.1	3,019.5	3,854.3	3,816.4	4,484.5	4,733.6	4,853.9	4,752.1
On-balance-sheet financial liabilities held for trading	3,104.1	3,325.0	3,819.3	3,179.5	4,545.5	3,122.2	2,192.1	2,407.1
Derivatives	2,686.1	2,819.1	2,730.1	2,759.0	3,253.5	3,293.9	3,419.2	3,174.4
Provisions for specific use	1,814.0	1,969.0	2,016.9	2,011.3	2,059.2	1,942.4	1,570.9	1,310.3
a) Provision for staff severance indemnities	159.3	162.2	163.3	164.2	166.6	182.1	180.3	166.4
b) Provision related to guarantees and other	144.0	121.5	144.6	147.1	154.1	153.0	152.6	155.3
c) Pension and other post-retirement benefit	29.7	30.7	31.4	32.3	33.0	33.1	34.0	35.2
d) Other provisions	1,481.0	1,654.6	1,677.6	1,667.7	1,705.5	1,574.2	1,204.0	953.4
Tax liabilities	7.1	8.0	8.0	8.1	4.1	3.0	3.0	3.3
Other liabilities	2,503.1	3,593.5	3,912.3	3,451.0	2,572.4	4,001.0	3,541.4	3,327.7
Group net equity	6,172.7	6,250.7	6,065.3	6,005.4	5,771.6	6,764.2	7,152.2	7,918.0
a) Valuation reserves	306.8	302.3	324.7	367.6	260.9	153.5	35.2	(41.5)
d) Reserves	(3,638.6)	(3,630.7)	(3,521.0)	(3,415.8)	(1,684.0)	(1,872.1)	(1,816.5)	(1,816.4)
f) Share capital	9,195.0	9,195.0	9,195.0	9,195.0	9,195.0	10,328.6	10,328.6	10,328.6
g) Treasury shares (-)	-	(4.0)	(135.5)	(260.7)	(313.7)	(313.7)	(313.7)	(313.7)
h) Net profit (loss) for the year	309.5	388.1	202.1	119.3	(1,686.5)	(1,532.1)	(1,081.4)	(239.0)
Non-controlling interests	1.3	1.4	1.4	1.4	1.3	1.3	1.4	1.7
Total Liabilities and Shareholders' Equity	137,868.6	143,117.9	145,749.7	146,658.8	150,345.0	146,274.6	141,649.9	134,259.7

* Balance sheet figures relating to the quarters of 2020 have been restated compared to those published at the respective reporting dates following the retrospective application of the change in valuation criteria for investment properties (pursuant to IAS 40). Furthermore, the comparative values of the quarters of 2021 and 2020, relating to the items "Cash and cash equivalents" and "Bank loans" were restated in line with the provisions set forth in the 7th update of Circular 262 of the Bank of Italy.



Customer funding

As at 31 December 2021, **Total Funding** volumes of the Group amounted to **EUR 194.7 bn**, with a decrease in volumes of EUR 2.9 bn compared to 30 September 2021 linked to the decrease in Direct Funding (EUR -2.6 bn).

The aggregate decreased by EUR 11.1 bn compared to 31 December 2020 due to the decrease in Direct Funding (EUR -13.4 bn) only partially offset by the increase in Indirect Funding (EUR +2.4 bn).

Background

In a macroeconomic context of recovery, but with various uncertainties connected above all with the trend of the epidemic and the prices of some raw materials, prudent spending behaviours still prevailed, which favoured the persistence of a high propensity to save. There was a marked polarization among the financial assets held by banking customers between liquidity and insurance and asset management products, although the accumulation of the former is slowing down, as a result of the growth in consumption and the greater propensity towards investments with better potential for yield. During the year, there was a significant deceleration in the increase in bank deposits held by the private sector (net of central counterparties and deposits associated with securitisations), down from +10.6% annually at the end of 2020 to around 6% (in November), in line with the pre-pandemic level. The slowdown in the trend of the aggregate mainly concerned the production sector (non-financial companies and family businesses), and caused it to fall from 26% y/y to around 9%, mainly reflecting the partial disposal of what had previously been allocated. For consumer households, the increase was 5% y/y, only about one percentage point below the level recorded in the final months of the previous year; in fact, the propensity to save remained high (at 11%, a level in any case approximately 3 percentage points higher than the values prior to the health emergency) and the demand for precautionary liquidity. The increase in current accounts payable by resident customers (net of central administrations) exceeded EUR 80 bn compared to the end of 2020 (compared to EUR +166 bn recorded the previous year), with a deceleration also due to the recovery in expenses in products and services again available; the decrease in time deposits increased (around -20% y/y in the second half of the year), while the gradual increase in repayable with advance notice continued (above 1% y/y), supported by postal deposits. The ample availability of liquidity ensured by the ECB allowed the banks to reduce foreign funding (approximately -5% y/y, equal to almost EUR 17 bn) and outstanding bonds which, in December, were down (-4% y/y in terms of stock), with a gradual attenuation of the decline during the year. In the first half of the year, however, some significant placements (approximately EUR 4 bn) of securities eligible for the subordination restriction for MREL purposes were carried out by significant banks, while, in the third quarter, net issues by banks were positive again, for the first time in one year.

The interest rate on deposits of non-financial companies and households recorded a further reduction, having fallen to 0.31% (-2 bps compared to December 2020); there was a drop in both the rate on current accounts (to 0.02%, an all-time low) and that on deposits with a set duration, to 1%, while the rate on repayable with advance notice rose to 1.33% (+2 bps compared to the end of the previous year). With regard to bonds, the rate on outstanding amounts continued its decline, to 1.76% (-18 bps compared to December 2020), while yields on the secondary market rose to around 1.6%, a value close to that before the pandemic; the spread in the average Eurozone bank bonds reached 80 bps, above the levels recorded before the health emergency.

Net inflows of savings to mutual funds reached almost EUR 65 bn, a threshold previously reached in 2017. Subscribers markedly prefer equity and balanced funds, i.e. the type of products with the greatest potential for significant returns (more than 80% of total net deposits). Assets under management exceeded EUR 1,250 bn, with an annual increase of more than 11%, also thanks to a positive market effect estimated at around 5.5%.

In the same period, net flows on individual retail portfolios exceeded EUR 12 bn, a result exceeded, in the previous decade, only in 2015; the stock reached over EUR 164 bn (+15.6% on December 2020). The new production of bancassurance savings policies (bank and post office branches) also increased significantly (+5.8% y/y up to and including November), although it did not return to the pre-pandemic levels; net deposits remained positive, reaching almost EUR 60 bn in the first three quarters of the year. In this business area, the market appears to be increasingly directed towards the reduction of more conservative solutions to the advantage of classic unit products and multi-segment products (which represent more than ¾ of placements), thus seeking to combine protection of savings with participation in the positive market performance.



Customer Funding							
	31 12 2021	30 09 2021	31 12 2020	Chg Q/Q		Chg Y/Y	
				Abs.	%	Abs.	%
Direct funding	90,300.3	92,901.5	103,719.3	(2,601.2)	-2.8%	(13,419.0)	-12.9%
Indirect funding	104,429.7	104,758.2	102,067.3	(328.5)	-0.3%	2,362.3	2.3%
Total funding	194,730.0	197,659.7	205,786.6	(2,929.7)	-1.5%	(11,056.7)	-5.4%

Direct Funding amounted to **EUR 90.3 bn**, down by EUR 2.6 bn compared to the end of September 2021. The decrease is mainly due to the decline in repurchase agreements (EUR -2.7 bn), linked to the reduced operations of MPS Capital Services, only partially offset by the growth in current accounts (EUR +1.0 bn). There was also a decrease in time deposits (EUR -0.5 bn), other forms of funding (EUR -0.4 bn) and bond issues (EUR -0.1 bn).

Compared to 31 December 2020, the aggregate was down by EUR 13.4 bn, with a decline which affected all technical forms. In particular, there was a decrease in current accounts (EUR -1.8 bn) and term deposits (EUR -2.4 bn) driven by the continuation of the steps taken by the Parent Company to optimize the cost of funding. There was also a decrease in repurchase agreements (EUR -5.2 bn), a decrease in other forms of funding (EUR -2.2 bn) and a reduction in the bond segment (EUR -1.8 bn), the latter mainly due to the maturity of a covered bond.

The Group's market share²⁴ on Direct Funding was 3.54% (figure last updated in October 2021), down compared to December 2020 (3.93%).

Direct funding							
Type of transaction	31 12 2021	30 09 2021	31 12 2020	Change Q/Q		Change Y/Y	
				Abs.	%	Abs.	%
Current accounts	66,159.1	65,140.9	67,988.7	1,018.2	1.6%	(1,829.6)	-2.7%
Time deposits	6,438.3	6,924.3	8,827.4	(486.0)	-7.0%	(2,389.1)	-27.1%
Reverse repurchase agreements	4,298.7	6,997.5	9,508.4	(2,698.8)	-38.6%	(5,209.7)	-54.8%
Bonds	10,440.9	10,512.3	12,212.4	(71.4)	-0.7%	(1,771.5)	-14.5%
Other types of direct funding	2,963.3	3,326.5	5,182.4	(363.2)	-10.9%	(2,219.1)	-42.8%
Total	90,300.3	92,901.5	103,719.3	(2,601.2)	-2.8%	(13,419.0)	-12.9%

Indirect funding amounted to **EUR 104.4 bn**, down EUR 0.3 bn compared to 30 September 2021 due to the reduction in assets under custody (EUR -1.2 bn), also impacted by losses (in relation to movements on a large customer) partly offset by the positive market effect. However, the Asset under Management component was up (EUR +0.9 bn), mainly due to a positive market effect.

Compared to 31 December 2020, Indirect Funding grew by EUR 2.4 bn due to the increase in Assets under Management component (EUR +4.9 bn), which benefited from both positive net flows and a positive market effect. There was instead a contraction in the Assets under Custody component (EUR -2.5 bn), due to changes related to a major customer, partly offset by a positive market effect.

²⁴ Deposits and repurchase agreements (excluding those with central counterparties) from resident customers and bonds net of repurchases placed with ordinary resident customers as first-instance borrowers.



Indirect Funding								
	31 12 2021	30 09 2021	31 12 2020	Change Q/Q		Change Y/Y		
				Abs.	%	Abs.	%	
Assets under management	65,285.5	64,426.6	60,400.3	858.9	1.3%	4,885.2	8.1%	
<i>Funds</i>	30,002.2	29,371.3	26,992.2	630.9	2.1%	3,009.9	11.2%	
<i>Individual Portfolio under Management</i>	5,498.4	5,383.2	5,130.5	115.3	2.1%	367.9	7.2%	
<i>Bancassurance</i>	29,784.9	29,672.1	28,277.5	112.8	0.4%	1,507.3	5.3%	
Assets under custody	39,144.2	40,331.6	41,667.0	(1,187.4)	-2.9%	(2,522.8)	-6.1%	
<i>Government securities</i>	13,372.0	13,554.3	13,223.5	(182.3)	-1.3%	148.5	1.1%	
<i>Others</i>	25,772.2	26,777.3	28,443.5	(1,005.1)	-3.8%	(2,671.3)	-9.4%	
Total funding	104,429.7	104,758.2	102,067.3	-328.5	-0.3%	2,362.3	2.3%	



Loans to customers

As at 31 December 2021, the Group's **Loans to customers** amounted to **EUR 79.4 bn**, down compared to the end of September 2021 (EUR -1.8 bn) due to lower repurchase agreements (EUR -1.0 bn), a decline in mortgages (EUR -0.7 bn) and the decrease in current accounts (EUR -0.2 bn). Other loans were up (EUR +0.2 bn).

The aggregate was down by EUR 3.3 bn compared to 31 December 2020, mainly due to lower repurchase agreements (EUR -3.5 bn) and the decline in Other loans (EUR -0.5 bn). EUR) and current accounts (EUR -0.3 bn). However, the mortgage segment was up (EUR +1.1 bn), also as a result of the disbursements made under the government decrees issued following the COVID-19 emergency.

The Group's market share²⁵ was 4.53% (last update available in October 2021), up by 10 bps compared to the end of 2020.

Background

After the exceptional increase recorded the previous year, as a result of the measures put in place by the Government to facilitate access to credit, the dynamics of bank loans marked a moderate deceleration starting from the second quarter. Loans to the private sector (net of repurchase agreements with central counterparties and adjusted for transferred exposures) show a slowdown in growth, from 4.7% for the year at the end of 2020 to less than 2% (last November), highlighting contrasting trends in relation to businesses and households. The demand for new loans from non-financial companies weakened; the annual increase was gradually reduced during the year, from +8.3% at the end of 2020 to just over zero. On the other hand, the expansion of credit to households accelerated from +2.2% to almost +4%. The results of the quarterly Bank Lending Survey conducted by central banks show that the offer policies of Italian intermediaries extended to loans to businesses and households, with interest rates close to historical lows and fairly flexible general conditions; according to the BLS, this situation is also promoted by greater competition between banks and the reduction in credit risk. The deterioration rates of bank assets, although slightly up, remained at very low levels and the share of performing loans for which the banks recorded a significant increase in credit risk decreased. The slowdown in the growth of loans to businesses appears to be due to the use, at least partially, of the ample cash and cash equivalents assets set aside in the last two years; the expansionary effect of fixed investments, working capital and debt restructuring was also offset by a greater use of loans by non-banking institutions and the issue of securities (net issues of corporate bonds in the first 10 months of the year amounted to EUR 8 bn, mostly with high creditworthiness). The time extension of some of the regulations to facilitate the exit from the emergency has allowed to continue to have access to medium-term loans at low rates. The possibility of companies to request guarantees on eligible loans until mid-2022 and that of extending the suspension of payments, only with reference to the principal portion, support credit and in part postpone the emergence of non-performing loans. Moreover, many companies did not take advantage of these opportunities, showing that they are in an improving financial condition, also as a result of the recovery of cash flows from commercial activities; at the end of the year, there were still moratoriums in place for SMEs backed by public guarantees of around EUR 33 bn, less than a quarter of the total amount granted since March 2020. Bank loans to households benefited from the recovery of the real estate market and consumption. The purchase and sale of homes marked a significant recovery as early as the first months of the year, reaching a trend increase also comparable to that of the years prior to the pandemic. In fact, a significant portion of the savings accumulated fuelled residential investments, favoured by government incentives such as bonuses for energy and seismic efficiency and for young people and by the extension until the end of 2022 of the moratorium on home loans (Gasparrini fund). The demand for loans for the purchase of homes (over 80% towards fixed-rate products) was significant and new disbursements exceeded EUR 72 bn, a historically high level. The easing of the restriction measures for health reasons favoured the relaunch of durable goods purchases, partly induced by the good performance of the residential market and by bonuses on the purchase of furniture and household appliances, determining a recovery in consumer credit (around +1.5% per year in the second half of the year on stocks, with flows back to the 2019 levels).

With regard to interest rates, there was a further decline both in terms of loans to non-financial companies, for which the rate fell below 1.70% in November (-13 bps compared to the end of 2020), and for those to households, with the rate at 2.68% (-10 bps). On the other hand, a differentiated trend was recorded for new transactions with regard to businesses and households: for the former, the average rate continued to decline, in the second half of the year, even below 1.10% (approx. -25 bps compared to the end of the previous year), while households saw a clear reversal of the downward trend for home loans, for which the rate rose above 1.40% (from 1.26% in the fourth quarter of 2020), while the rate on consumer credit recorded significant fluctuations, closing with an annual average 9 bps higher than in 2020; the rate on loans for other purposes returned to above 3% in August, more than 60 bps higher than the levels at the end of 2020.

²⁵ Loans to ordinary resident customers, including bad loans and net of repurchase agreements with central counterparties.



There is no evidence of deterioration in credit quality: the increase in bad loans remains limited (since July just over 2% per year net of disposals), the ratio of bad loans to loans fell to 2.6% and that between bad loans at realizable value and loans at 1%. Among other non-performing loans, the trend of unlikely to pay is parallel to that of bad loans, while there was an increase (in September over EUR 800 million compared to the end of 2020, equal to +24%) in the category of past due or overdue loans, including a reflection of the entry into force of the new EBA regulations on the identification of exposures in a state of prudential default. The flow of new non-performing loans in relation to total loans rose to 1.1% in the third quarter, in line with the 2020 figure and at historically low levels: for non-financial companies, the indicator rose to 1.8%, with a slight deterioration during the year, while for consumer households it fell to 0.8%.

Loans to customers							
Type of transaction	31 12 2021	30 09 2021	31 12 2020	Change Q/Q		Change Y/Y	
				Abs.	%	Abs.	%
Current accounts	2,695.9	2,870.9	3,038.5	(175.0)	-6.1%	(342.6)	-11.3%
Mortgages	56,268.3	57,014.3	55,200.2	(746.0)	-1.3%	1,068.1	1.9%
Other forms of lending	13,152.2	12,935.4	13,616.3	216.8	1.7%	(464.1)	-3.4%
Repurchase agreements	5,126.4	6,094.8	8,617.1	(968.4)	-15.9%	(3,490.7)	-40.5%
Non performing loans	2,137.5	2,284.4	2,160.2	(146.9)	-6.4%	(22.7)	-1.1%
Total	79,380.3	81,199.8	82,632.3	(1,819.5)	-2.2%	(3,252.0)	-3.9%
<i>Stage 1</i>	<i>64,808.0</i>	<i>67,139.8</i>	<i>65,449.2</i>	<i>(2,331.8)</i>	<i>-3.5%</i>	<i>(641.2)</i>	<i>-1.0%</i>
<i>Stage 2</i>	<i>12,306.3</i>	<i>11,623.7</i>	<i>14,890.7</i>	<i>682.6</i>	<i>5.9%</i>	<i>(2,584.4)</i>	<i>-17.4%</i>
<i>Stage 3</i>	<i>2,124.0</i>	<i>2,269.8</i>	<i>2,113.8</i>	<i>(145.8)</i>	<i>-6.4%</i>	<i>10.2</i>	<i>0.5%</i>
<i>Purchased or originated credit impaired</i>	<i>10.6</i>	<i>10.6</i>	<i>35.4</i>	<i>0.0</i>	<i>0.2%</i>	<i>(24.8)</i>	<i>-70.0%</i>
<i>Performing loans measured at fair value</i>	<i>119.7</i>	<i>142.6</i>	<i>121.8</i>	<i>(22.9)</i>	<i>-16.1%</i>	<i>(2.1)</i>	<i>-1.7%</i>
<i>Non-performing loans measured at fair value</i>	<i>11.7</i>	<i>13.3</i>	<i>21.4</i>	<i>(1.6)</i>	<i>-12.0%</i>	<i>(9.7)</i>	<i>-45.3%</i>



Loans to customers measured at amortised cost		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Total
31 12 2021	Gross exposure	64,884.9	12,663.8	4,054.4	20.7	81,623.8
	Adjustments	76.9	357.5	1,930.4	10.1	2,374.9
	Net exposure	64,808.0	12,306.3	2,124.0	10.6	79,248.9
	Coverage ratio	0.1%	2.8%	47.6%	48.8%	2.9%
	% on Loans to customers measured at amortised cost	81.8%	15.5%	2.7%	0.0%	100.0%

Loans to customers measured at amortised cost		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Total
30 09 2021*	Gross exposure	67,221.3	11,987.4	4,199.7	19.4	83,427.8
	Adjustments	81.5	363.7	1,929.9	8.8	2,383.9
	Net exposure	67,139.8	11,623.7	2,269.8	10.6	81,043.9
	Coverage ratio	0.1%	3.0%	46.0%	45.4%	2.9%
	% on Loans to customers measured at amortised cost	82.8%	14.3%	2.8%	0.0%	100.0%

* The comparative data have been restated to take into account the provisions envisaged by the 7th update of Circular 262 of the Bank of Italy

Loans to customers measured at amortised cost		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Total
31 12 2020*	Gross exposure	65,524.1	15,408.4	3,904.1	47.5	84,884.0
	Adjustments	74.9	517.5	1,790.4	12.1	2,394.9
	Net exposure	65,449.2	14,890.8	2,113.7	35.4	82,489.1
	Coverage ratio	0.1%	3.4%	45.9%	25.5%	2.8%
	% on Loans to customers measured at amortised cost	79.3%	18.1%	2.6%	0.0%	100.0%

* The comparative data have been restated to take into account the provisions envisaged by the 7th update of Circular 262 of the Bank of Italy

The gross exposure of loans classified in the Stage 1, equal to EUR 64.9 bn, recorded a decrease compared to both 30 September 2021 (equal to EUR 67.2 bn) and 31 December 2020 (equal to EUR 65.5 bn).

The positions classified in Stage 2, whose gross exposure amounts to EUR 12.7 bn, were up compared to EUR 12.0 bn as at 30 September 2021 and down compared to EUR 15.4 bn as at 31 December 2020.

The trend observed on stage 1 is mainly due to the acquisition of the 2020 financial statements of companies in the fourth quarter of 2021, which led to the classification of some positions in the High Risk category and, consequently, their transition from stage 1 to stage 2. This must be added to the natural reduction of stage 1 deriving from the normal flow of maturities of medium/long-term loans with the payment of instalments falling due at the end of December 2021. The decrease in stage 2 compared to 31 December 2020 is mainly due to the improvement in the quality of the loans subject to the COVID-19 moratorium, which have regularly resumed payments. The overall trend shows a substantial stability of the stage 3 level, with levels of coverage growing.



Non-performing exposures of loans to customers

The Group's **total non-performing loans to customers** as at 31 December 2021 amounted to **EUR 4.1 bn** in terms of gross exposure, slightly down compared to 30 September 2021 (EUR 4.3 bn) and up compared to the figure as at 31 December 2020 (EUR 4.0 bn). In particular,

- The gross exposure of Bad loans, EUR 1.7 bn, was stable compared to 30 September 2021 (EUR 1.7 bn) and up compared to 31 December 2020 (EUR 1.5 bn);
- the gross Unlikely to pay exposure, amounting to EUR 2.3 bn, was down compared to both 30 September 2021 (EUR 2.5 bn) and 31 December 2020 (EUR 2.4 bn);
- the gross exposure of Non-performing past due loans, amounting to EUR 60.7 mln, was down compared to both EUR 89.4 mln as at 30 September 2021 and to EUR 75.6 mln as at 31 December 2020.

As at 31 December 2021, the Group's **net exposure in terms of Non-performing loans to customers** amounted to **EUR 2.1 bn**, slightly down compared to 30 September 2021 (EUR 2.3 bn) and substantially stable compared to 31 December 2020 (EUR 2.2 bn).

The incidence of Net non-performing loans to customers on total Net loans to customers as at 31 December 2021 was 2.7% (2.8% as at 30 September 2021 and 2.6% as at 31 December 2020). In detail, the percentage of Bad loans (0.8%) and Non-performing past due (0.1%) remained substantially stable with respect to both September 2021 and December 2020. The percentage incidence of Unlikely to pay exposures, equal to 1.8%, was down compared to both September 2021 and December 2020 (2.0% and 1.9%, respectively).

Loans to customers		Bad loans	Unlikely to pay	Non-performing Past due Loans	Total Non-performing loans to customers	Performing loans	Total
31 12 2021	Gross exposure	1,740.6	2,303.4	60.7	4,104.7	77,677.3	81,782.0
	Adjustments	1,108.6	844.8	13.8	1,967.2	434.5	2,401.7
	Net exposure	632.0	1,458.6	46.9	2,137.5	77,242.8	79,380.3
	Coverage ratio	63.7%	36.7%	22.7%	47.9%	0.6%	2.9%
	% on Loans to customers	0.8%	1.8%	0.1%	2.7%	97.3%	100.0%
30 09 2021	Gross exposure	1,706.8	2,472.8	89.4	4,269.0	79,360.7	83,629.7
	Adjustments	1,107.9	854.1	22.5	1,954.5	445.4	2,429.9
	Net exposure	598.9	1,618.7	66.9	2,284.5	78,915.3	81,199.8
	Coverage ratio	64.9%	34.5%	25.2%	46.5%	0.6%	2.9%
	% on Loans to customers	0.7%	2.0%	0.1%	2.8%	97.2%	100.0%
31 12 2020	Gross exposure	1,498.7	2,438.0	75.6	4,012.3	81,065.3	85,077.6
	Adjustments	933.7	897.4	21.0	1,852.1	593.1	2,445.2
	Net exposure	565.0	1,540.6	54.6	2,160.2	80,472.2	82,632.4
	Coverage ratio	62.3%	36.8%	27.8%	46.2%	0.7%	2.9%
	% on Loans to customers	0.7%	1.9%	0.1%	2.6%	97.4%	100.0%

As at 31 December 2021, the **percentage of coverage of non-performing loans** was 47.9%, an increase compared to 30 September 2021 (equal to 46.5%) mainly due to the increase in the percentage of coverage of Unlikely to pay exposures (from 34.5% to 36.7%).

The coverage of unlikely to pay exposures as at 30 September 2021 was affected by the write-back recorded on a significant position for which the classification from unlikely to pay to performing took place on 1 October 2021. If the reclassification had taken place in September, the coverage of unlikely to pay exposures would have been 38.2%. On a like-for-like basis, therefore, there is a decrease in the average coverage of unlikely to pay exposures, essentially attributable to the transfer toward bad loans of positions with very high coverage percentages accompanied by entry into the category of mainly secured positions and, therefore, with a percentage of coverage



below average. These trends were only partially offset by the increase in hedging deriving from methodological refinements that concerned the unlikely to pay unsecured loans with a specific vintage.

The percentage of coverage of non-performing past due loans (from 25.2% to 22.7%) and that of bad loans (from 64.9% to 63.7%) were down compared to 30 September 2021. The latter is attributable to the write-offs made during the quarter, which concerned positions with very high above-average coverage. This effect was only partially mitigated by entries in the category of positions with above-average hedges.

The percentage of coverage of non-performing loans also increased compared to 31 December 2020, when it was 46.2% thanks to the increase in the coverage percentage of bad loans (which went from 62.3% to 63.7%).

The percentage of coverage of Unlikely to Pay (UtP) exposures is stable (36.8% at 31 December 2021 and 36.7% at 31 December 2020) despite the improvement in the vintage of the portfolio. As at 31 December 2021 about two thirds of the positions classified as UtP exposures had an ageing of less than or equal to 24 months, compared to the previous year when about 40% of the portfolio had such ageing.

Changes in gross exposure

	abs/%	Bad loans	Unlikely to pay	Non performing past due exposures	Total Non-performing loans to customers	Performing loans	Total
Q/Q	abs.	33.8	(169.4)	(28.7)	(164.3)	(1,683.4)	(1,847.7)
	%	2.0%	-6.9%	-32.1%	-3.8%	-2.1%	-2.2%
Y/Y	abs.	241.9	(134.6)	(14.9)	92.4	(3,388.0)	(3,295.6)
	%	16.1%	-5.5%	-19.7%	2.3%	-4.2%	-3.9%

Changes in coverage ratio

		Bad loans	Unlikely to pay	Non performing past due exposures	Total Non-performing loans to customers	Performing loans	Total
Q/Q		-1.2%	2.1%	-2.4%	1.4%	0.0%	0.0%
Y/Y		1.4%	-0.1%	-5.0%	1.8%	-0.2%	0.1%



Other financial assets/liabilities

As at 31 December 2021, the Group's **Securities Assets** amounted to **EUR 22.1 bn**, down compared to 30 September 2021 (EUR -2.8 bn) due to the decrease in Financial Assets held for trading, in particular, to the subsidiary MPS *Capital Services*. Securities at amortised cost were also down (EUR -0.5 bn) due to disposals and maturities in the quarter. The other components are stable.

The aggregate was up compared to 31 December 2020 (EUR +0.5 bn) in relation to the increase in the trading component referring, in particular, to the subsidiary MPS *Capital Services*, offset by the decrease in Financial assets measured at fair value through other comprehensive income and the amortized cost component attributable to the disposals made during the year. It should be noted that the market value of the securities included in Loans to customers at amortised cost was equal to EUR 8,871.5 mln (with implicit capital gains of around EUR 59.9 mln).

On-balance-sheet financial liabilities held for trading, referring, in particular, to the subsidiary MPS Capital Services, stood at **EUR 3.1 bn** as at 31 December 2021, down compared to 30 September 2021 (EUR -0.2 bn) and compared to 31 December 2020 (EUR -1.4 bn).

As at 31 December 2021, the **Net position in derivatives, equal to EUR -255 mln**, was down compared to both 30 September 2021 (EUR -227 mln) and 31 December 2020 (EUR -235 mln).

Items	31 12 2021	30 09 2021	31 12 2020	Chg. Q/Q		Chg. Y/Y	
				Abs.	%	Abs.	%
Securities assets	22,127.1	24,961.0	21,623.3	(2,833.9)	-11.4%	503.8	2.3%
<i>Financial assets held for trading</i>	<i>6,790.9</i>	<i>9,281.1</i>	<i>5,247.1</i>	<i>(2,490.2)</i>	<i>-26.8%</i>	<i>1,543.8</i>	<i>29.4%</i>
<i>Financial assets mandatorily measured at fair value</i>	<i>322.6</i>	<i>331.4</i>	<i>317.8</i>	<i>(8.8)</i>	<i>-2.7%</i>	<i>4.8</i>	<i>1.5%</i>
<i>Financial assets measured at fair value through other comprehensive income</i>	<i>5,460.7</i>	<i>5,296.1</i>	<i>5,777.9</i>	<i>164.6</i>	<i>3.1%</i>	<i>(317.2)</i>	<i>-5.5%</i>
<i>Financial assets held for sale</i>	<i>0.0</i>	<i>0.0</i>	<i>0.6</i>	<i>0.0</i>	<i>n.m.</i>	<i>(0.6)</i>	<i>-100.0%</i>
<i>Loans to customers measured at amortised cost</i>	<i>8,811.6</i>	<i>9,318.0</i>	<i>9,520.5</i>	<i>(506.4)</i>	<i>-5.4%</i>	<i>(708.9)</i>	<i>-7.4%</i>
<i>Loans to banks measured at amortised cost</i>	<i>741.3</i>	<i>734.4</i>	<i>759.4</i>	<i>6.9</i>	<i>0.9%</i>	<i>(18.1)</i>	<i>-2.4%</i>
On-balance-sheet financial liabilities held for trading	(3,104.1)	(3,325.0)	(4,545.5)	220.9	-6.6%	1,441.4	-31.7%
Net positions in Derivatives	(254.5)	(227.3)	(234.9)	(27.2)	12.0%	(19.6)	8.3%
Other financial assets and liabilities	18,768.5	21,408.7	16,842.9	(2,640.2)	-12.3%	1,925.6	11.4%

Items	31 12 2021		30 09 2021		31 12 2020	
	Securities assets	On-balance-sheet financial liabilities held for trading	Securities assets	On-balance-sheet financial liabilities held for trading	Securities assets	On-balance-sheet financial liabilities held for trading
Debt securities	21,508.4	-	24,385.8	-	21,124.5	-
Equity instruments and Units of UCITS	618.7	-	575.2	-	498.8	-
Loans	-	3,104.1	-	3,325.0	-	4,545.5
Total	22,127.1	3,104.1	24,961.0	3,325.0	21,623.3	4,545.5



Interbank position

As at 31 December 2021, the Group's **net interbank position** stood at **EUR 7.0 bn** in funding, compared to EUR 8.0 bn in funding as at 30 September 2021. The change is mainly linked to the decline in repurchase agreements with banks.

Compared to 31 December 2020 (which saw a net interbank position of EUR 4.0 bn in loans), the change is due to the increase in funding attributable to further accesses to TLTRO III auctions for a total of EUR 5.5 bn, in partly offset by lower repurchase agreements and the reduction in loans in relation to the decline in deposits on the compulsory reserve account.

Interbank balances							
	31/12/21	30/09/21*	31/12/20*	Change Q/Q		Change Y/Y	
				Abs.	%	Abs.	%
Loans to banks	3,493.3	3,344.0	3,896.6	149.3	4.5%	(403.3)	-10.4%
Deposits from banks	2,125.1	3,019.5	4,484.5	(894.4)	-29.6%	(2,359.4)	-52.6%
Net position with banks	1,368.2	324.5	(587.9)	1,043.7	n.m.	n.m.	n.m.
Loans to central banks	20,769.7	20,940.8	28,526.2	(171.1)	-0.8%	(7,756.5)	-27.2%
Deposits from central banks	29,154.8	29,230.2	23,933.6	(75.4)	-0.3%	5,221.2	21.8%
Net position with central banks	(8,385.1)	(8,289.4)	4,592.6	(95.7)	1.2%	(12,977.7)	n.m.
Net interbank position	(7,016.9)	(7,964.9)	4,004.7	948.0	-11.9%	(11,021.6)	n.m.

* The comparative values, relating to the items "Cash and cash equivalents" and "Loans to banks", were reclassified in line with the provisions set forth in the 7th update of Circular 262 of the Bank of Italy.

As at 31 December 2021, the operating liquidity position had an **unencumbered Counterbalancing Capacity of approximately EUR 25.4 bn**, essentially stable compared to 30 September 2021. This was down compared to 31 December 2020 (EUR -7.8 bn) due to lower commercial funding and the maturity of market bonds (in particular, due to the maturity of covered bonds in the second quarter of 2021). The balance as at 31 December 2020 also included the liquidity deriving from the closing of the "Hydra M" transaction.

Other assets

Item **Other assets** includes the tax credits related to the "Rilancio" Decree-Law, which has introduced tax incentives for specific energy and anti-seismic efficiency initiatives, the installation of photovoltaic systems and infrastructure for recharging electric vehicles in buildings ("Superbonus").

As at 31 December 2021, the Group had completed approximately 5,000 purchase transactions, of which approximately 66% with private individuals and condominiums, for a nominal value of EUR 189 mln, usable starting from the current year. The book value of the aforementioned receivables recognized in the item "Other assets" amounted to EUR 168 mln as at 31 December 2021.

It should also be noted that the Group, as at 31 December 2021, received requests for the sale of these receivables for a total amount of approximately EUR 1.8 bn, currently under review/processing.



Shareholders' equity

As at 31 December 2021, the **Group's equity and non-controlling interests** amounted to approximately **EUR 6.2 bn**, down by EUR 78 mln compared to 30 September 2021 due to the loss recorded in the fourth quarter.

The equity of the Group and non-controlling interests was up by EUR 401 mln compared to 31 December 2020, due to i) the increase in valuation reserves, ii) the profit for the period and iii) the net effect of the decrease in treasury shares for EUR 313.7 mln as a result of sales carried out by the Group, offset by the negative trading result of EUR 270.7 mln recognised in Other Reserves.

Reclassified Consolidated Balance Sheet							
Equity	31 12 2021	30 09 2021	31 12 2020*	Chg Q/Q		Chg Y/Y	
				Abs.	%	Abs.	%
Group Net Equity	6,172.7	6,250.7	5,771.6	(78.0)	-1.2%	401.1	6.9%
a) Valuation reserves	306.8	302.3	260.9	4.5	1.5%	45.9	17.6%
d) Reserves	(3,638.6)	(3,630.7)	(1,684.0)	(7.9)	0.2%	(1,954.6)	n.m.
f) Share capital	9,195.0	9,195.0	9,195.0	-	n.m.	-	n.m.
g) Treasury shares (-)	-	(4.0)	(313.7)	4.0	-100.0%	313.7	-100.0%
h) Net profit (loss) for the year	309.5	388.1	(1,686.5)	(78.6)	-20.3%	1,996.0	n.m.
Non-controlling interests	1.3	1.4	1.3	(0.1)	-7.1%	-	0.0%
Shareholders' equity of the Group and Non-controlling interests	6,174.0	6,252.1	5,772.9	(78.1)	-1.2%	401.1	6.9%

* Balance sheet figures for 2020 have been restated compared to those published at the respective reporting dates, following the retrospective application of the change in valuation criteria for investment properties (pursuant to LAS 40).

It should be noted that, due to the loss recorded as at 31 December 2020, equal to EUR 1.9 bn, the Parent Company now meets the conditions specified in Art. 2446 of the Italian Civil Code.

The Shareholders, at the meeting on 6 April 2021, in compliance with art. 6 of Decree Law no. 23, 8 April 2020, transposed with amendments by Law no. 40, 5 June 2020, as amended by Law no. 178, 30 December 2020, resolved to refer the decisions set forth in article 2446 paragraph 2 of the Italian Civil Code, concerning the reduction in the share capital, to the Shareholders' Meeting that will be called to resolve on the capital strengthening measures, to take into account the losses carried forward and the loss for the year, and therefore to carry forward the loss for the year, equal to EUR 1.9 bn.



Capital adequacy

Regulatory capital and statutory requirements

As a result of the conclusion of the SREP conducted with reference to the figures as at 30 June 2020 and also taking into account the information received after that date, with the submission on 28 December 2020 of the 2020 SREP Decision, the ECB asked the Parent Company to maintain, effective 1 January 2021, a consolidated TSCR level of 10.75%, which includes a Pillar 1 minimum requirement ("P1R") equal to 8% pursuant to Art. 92 of the CRR and a Pillar 2 additional requirement ("P2R") equal to 2.75%, which must be met for at least 56.25% with CET1 and for at least 75% with Tier 1.

With regard to *Pillar II Capital Guidance* (P2G), the ECB expects the Parent Company to adapt, on a consolidated basis, to a requirement of 1.3%, to be fully met with Common Equity Tier 1 capital in addition to the overall capital requirement (OCR). Failing to comply with this capital guideline is not, at any rate, equivalent to failing to comply with the capital requirements.

Lastly, it should be noted that from 1 January 2019 the *Capital Conservation Buffer* is 2.5%, and effective 1 January 2021 the Group is required to comply with the *O-SII Buffer* of 0.19% (0.25% from 1 January 2022), as it has been identified also for 2021 by the Bank of Italy as a systemically important institution authorised in Italy.

Accordingly, the Group must meet the following requirements at the consolidated level as at 31 December 2021:

- CET1 Ratio of 8.74%;
- Tier 1 Ratio of 10.76%;
- Total Capital Ratio of 13.44%.

These ratios include, in addition to the P2R, 2.5% for the *Capital Conservation Buffer*, 0.19% for the *O-SII Buffer*, and 0.003% for the *Countercyclical Capital Buffer*²⁶.

It should also be noted that, as from June 2021, the MPS Group is subject to the additional regulatory measures introduced by Regulation (EU) 2019/876 ("**CRR II**") in force since 27 June 2019.

The main changes that apply to the MPS Group since 28 June 2021 include:

- the introduction of a minimum leverage ratio requirement equal to 3% of Tier 1 Capital; this ratio represents a supplementary Pillar 1 requirement with respect to risk-based indicators and pursues the objective of limiting the accumulation of leverage in the banking sector; As at 31 December 2021, the MPS Group applied the temporary exclusion of certain exposures to central banks from the calculation of the overall exposure measure and, in compliance with the requirements of the reference regulations, must maintain an adjusted leverage ratio of 3.1%, notwithstanding the minimum requirement of 3%.
- the introduction of a structural liquidity indicator with a 1-year time horizon (*Net Stable Funding Ratio*, or NSFR) equal to 100%; the indicator was introduced to ensure that assets and liabilities have a sustainable maturity structure;
- the review of the prudential treatment of exposures to UCITS, envisaging the application of a weighting coefficient of 1,250% (fall-back approach) in the event that the bank is unable to apply the look-through method, the method based on the management regulation, or the method based on the calculation carried out by third parties;
- the introduction of the new standardised method for counterparty risk (*S4-CCR*) for banks that hold derivatives totalling more than EUR 100 mln in notional value.

It should be noted that on 2 February 2022, the ECB sent the Parent Company the 2021 SREP Decision, which indicates the capital requirements to be met starting from 1 March 2022. Specifically, the MPS Group - at consolidated level - must continue to comply with a TSCR level of 10.75%, which includes a minimum Pillar 1 requirement ("P1R") of 8% pursuant to art. 92 of the CRR and an additional Pillar 2 requirement ("P2R") of 2.75%, which must be met for at least 56.25% with CET1 and at least 75% with Tier 1. With regard to the Pillar II Capital Guidance (P2G), taking into account the results of the EBA 2021 Stress Test, the ECB expects that the Parent Company, starting from 1 March 2022, will adapt, on a consolidated basis, to a requirement of 2.50%, to be met entirely with Common Equity Tier 1 capital in addition to the total capital requirement (OCR).

As at **31 December 2021**, the Group's level of capital on a transitional basis was as shown in the following table:

²⁶Calculated considering the exposure as at 31 December 2021 in the various countries in which MPS Group operates and the requirements established by the competent national authorities.



Categories / Values	31 12 2021	31 12 2020	Chg. 31 12 2020	
			Abs.	%
OWN FUNDS				
Common Equity Tier 1 (CET1)	5,991.8	6,053.3	(61.5)	-1.02%
Tier 1 (T1)	5,991.8	6,053.3	(61.5)	-1.02%
Tier 2 (T2)	1,713.3	1,806.6	(93.3)	-5.16%
Total capital (TC)	7,705.1	7,859.9	(154.8)	-1.97%
RISK-WEIGHTED ASSETS				
Credit and Counterparty Risk	33,556.8	35,409.6	(1,852.8)	-5.23%
Credit valuation adjustment risk	556.6	440.4	116.2	26.39%
Market risks	2,724.1	2,487.4	236.7	9.52%
Operational risk	10,949.4	11,565.6	(616.2)	-5.33%
Total risk-weighted assets	47,786.9	49,903.0	(2,116.1)	-4.24%
CAPITAL RATIOS				
CET1 capital ratio	12.54%	12.13%	0.41%	
Tier1 capital ratio	12.54%	12.13%	0.41%	
Total capital ratio	16.12%	15.75%	0.37%	

Compared to 31 December 2020, CET1 decreased by a total of EUR -62 mln, essentially due to the following phenomena:

- profit for the year stood at EUR 309.5 mln;
- decrease in treasury shares as a result of the sale of a portion of these, with an overall effect on shareholders' equity of EUR +43 mln;
- improvement in the balance of the Other Comprehensive Income reserve for a total of EUR +46 mln, inclusive of the net positive impact from the revaluation of properties for business use (IAS 16) equal to EUR 162 mln, offset in part by the decline in debt security valuation reserves;
- increase in deductions related to DTAs, securitisations and intangible assets (EUR -40 mln), as well as decrease in the non-deductible deductions related to significant financial investments and DTAs (EUR +61 mln);
- decrease in the neutralisation of the impact of IFRS 9 related to the first-time adoption of the accounting standard as set forth in Regulation (EU) 2017/2935 (inclusive of the positive effect of the related DTAs), equal to a total of EUR -263 mln, due to the filter falling from 70% to 50%;
- sterilisation of the capital impacts associated with the increase in credit value adjustments recognised in the period as at 31 December 2021 with respect to 1 January 2020 for stage 1 and 2 portfolios, as set forth in Regulation (EU) 2020/873. This Regulation calls for the reintroduction within CET1 of a progressively decreasing share of the effect of higher reversals, expected to be equal to 100% in 2021: as at 31 December, this effect was equal to EUR -168 mln (including the related tax effect);
- an increase of EUR +26 mln in the prudential filter relating to the Other Comprehensive Income Reserve on securities issued by governments or central administrations, attributable in particular to the filter going from 100% to 70%;
- additional deduction on CET1 (pursuant to Article 3 of the CRR Regulation) equal to EUR -86 mln, carried out to implement the minimum coverage requirements for non-performing loans as defined in the SREP decision and in the *Addendum* to the ECB Guidelines ("calendar provisioning").

Tier 2 fell by EUR -93 mln compared to the end of December 2020, mainly due to the reduction in the contribution to Tier 2 of the excess value adjustments over expected losses.

Hence, the Total Capital Ratio reflects an overall decrease in own funds equal to EUR -155 mln.



RWAs decreased by EUR 2.1 bn. In particular, there was a reduction in RWAs relating to credit and counterparty risk (EUR -1.85 bn), determined by the effect of public guarantees on new disbursements and the reduction in RWAs relating to standard credit risk, which more than offset the increases due to the update of the AIRB models for ECB inspections. There was also: an increase in CVA risk (EUR +116.2 mln), essentially due to the new methods of calculating CRR II; an increase in RWAs for market risks (EUR 236.7 mln) and a decrease in RWAs for operational risk (EUR -616.2 mln).

Therefore, as at 31 December 2021 the Parent Company, on a consolidated basis, meets all capital requirements, including those related to the P2G.

It should be noted, however, that in the first quarter of 2022, considering the increase in the Pillar 2 capital guidance (P2G) requirement envisaged by the 2021 SREP Decision and the planned capital reduction linked to the IFRS 9 phase-in, a shortfall is expected with respect to the capital requirements including P2G.

It should be noted that, during the year, a series of supervisory measures announced by the ECB continued to be in place that provide for a relaxation of capital requirements and greater flexibility in supervisory burdens to mitigate the impact of COVID-19 on the European banking system. In particular, the ECB allowed significant banks to temporarily operate below the capital level defined by the *Pillar II Capital Guidance*, the *Capital Conservation Buffer* (CCB) and the *Liquidity Coverage Ratio* (LCR).

With regard to changes to capital requirement regulations, in May 2021 the final decision was received concerning the two ECB inspections (IMI 4357 and 5258) for the revision of the AIRB models carried out by the Group in 2019 (Model Change 2019). The new AIRB models were implemented in production starting from 30 June 2021.

These models were calibrated using the new definition of default in 2020 (*Model Change 2019 NDOD*), aligning the estimates of the models to the NDOD introduced in the internal credit processes starting from 1 January 2021; this change was also reviewed by the ECB with a special inspection (IMI 4857), for which the final decision was sent to the Group in July 2021. The update of the NDOD models was released in production starting from the third quarter of 2021.

A further total increase of EUR 5.9 bn in RWAs is expected in 2022, partly due to the update of the probability of default on the counterparties subject to process rating (*Large Corporate* and *SME*), linked to the 2019 Model change, in part the re-estimation of the models for full alignment with the *EBA Guidelines* (EBA-GL-2017-16) carried out in 2021 subject to revision by the ECB in 2022.

In the 12-month horizon from the reference date, i.e. 31 December 2022, assuming that the update of the models within the EBA Guidelines is completed by the end of the year 2022, a shortfall of EUR 150 mln might emerge with respect to overall capital requirements; this shortfall is expected to increase to EUR 500 mln in the first quarter of 2023, considering the planned capital reduction linked to the IFRS 9 phase-in.

For further information on these aspects, please refer to the paragraph “Use of the going concern assumption” in the section “Use of estimates and assumptions when preparing financial statements” in these Notes to the Consolidated financial statements.



Tax position of Group

Net deferred tax assets (net DTAs)

As at 31 December 2021, the Group's situation was as follows:

DTAs	Recognised on balance sheet as at 31 12 2021	%	Not- recognised on balance sheet as at 31 12 2021	%	Total potential DTAs as at 31 12 2021	%
Convertible DTAs law 214/2011	577.5	55.2%	-	0.0%	577.5	12.6%
Non convertible tax losses	136.6	13.1%	2,915.6	82.5%	3,052.2	66.6%
Excess ACE DTAs	88.9	8.5%	31.4	0.9%	120.3	2.6%
Other non-convertible DTAs	243.4	23.3%	587.9	16.6%	831.3	18.1%
	1,046.4	100.0%	3,535.0	100.0%	4,581.4	100.0%

The values of deferred tax assets are presented net of offsetting deferred tax liabilities

A brief description is provided below of the main characteristics of each of the net DTA macro-categories shown in the table.

- **Convertible DTAs Law 214/2011:** refers to DTAs attributable to write-downs of loans to customers (recognised through 2015 and not yet deducted), amortisation of goodwill and other intangible assets that emerged as a result of extraordinary corporate reorganisation transactions, as well as tax losses originating from the reversal of the DTA types mentioned above; these DTAs can be converted into tax credits in the event of a loss for the year and/or tax loss or liquidation of the company. For this reason, the recovery of these convertible DTAs is certain, regardless of the company's income generating capacity, and therefore they are fully recognised in financial statements (the probability test is automatically satisfied). For purposes of calculating own funds, these DTAs are not subject to deduction from CET1 and are included in the RWA with 100% weighting.

- **DTAs from non-convertible tax losses:** these are DTAs on ordinary tax losses (not convertible into tax credits) and are recognized in the financial statements within the estimated recoverable limit on the basis of estimated future income (probability test). According to governing tax legislation, tax losses can be carried forward as an offset for taxable profit from subsequent years without limit (there is no end date). For this reason, the DTAs that do not currently meet the conditions for recognition may be recorded in subsequent financial statements should the Group's income generating capacity increase with respect to the current situation. For purposes of calculating own funds, the amount relating to these DTAs recognised in financial statements, net of the relative share of DTLs, is deducted from CET1.

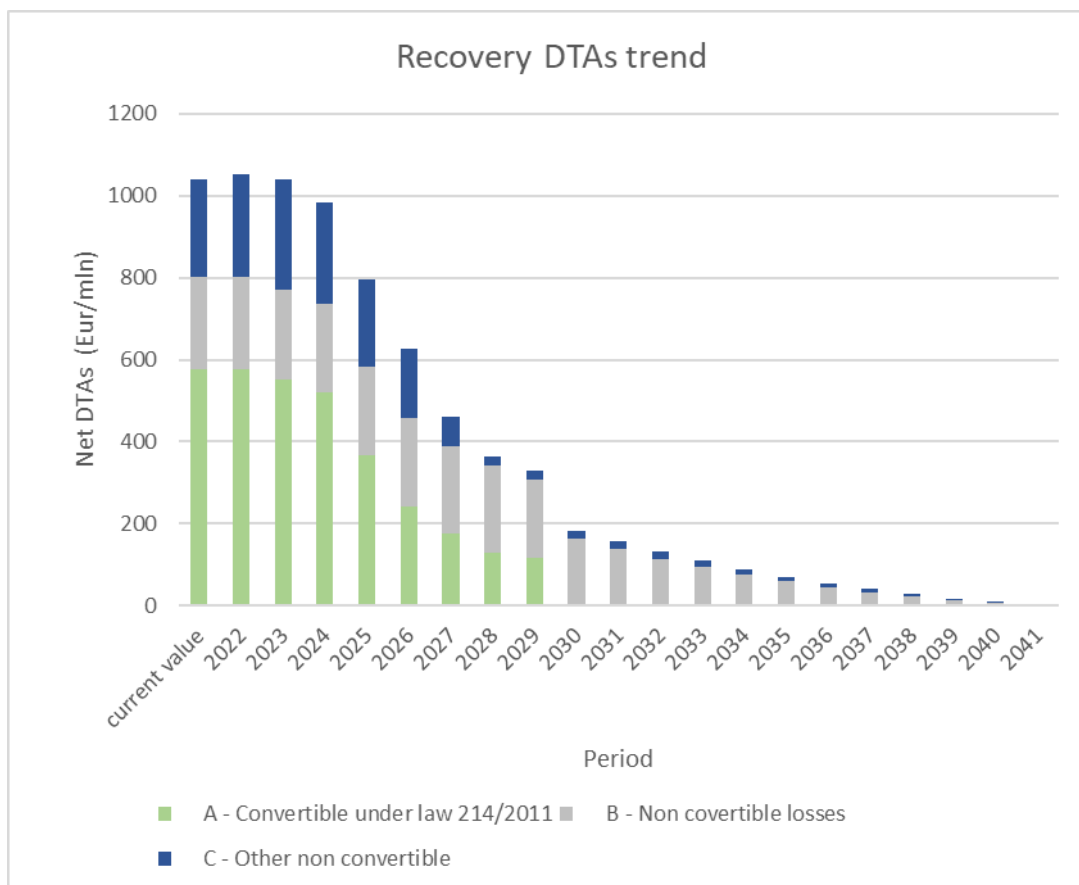
- **Excess ACE DTAs:** DTAs on allowance for corporate equity (ACE) deductions not used in previous years due to the lack of taxable income. As regards the recognition in financial statements and the possibility of unlimited carry-over, as well as the treatment for purposes of calculating own funds, the same considerations set out for non-convertible DTAs from tax losses apply.

- **Other non-convertible DTAs:** DTAs attributable to cases other than those previously described, for example, from negative valuation reserves (valuation reserves on FVTOCI securities, reserves on hedging instruments in cash flow hedge, etc.) from provisions for risks and charges, from loan adjustments and losses other than those pursuant to Law 214/2011 (resulting from the first time adoption (FTA) of IFRS 9, adjustments to loans to banks, guarantees and commitments, etc.), from write-downs of property, plant and equipment, and from non-deductible personnel expenses (employee severance pay and pension funds), etc. DTAs in this category are also recorded in financial statements up to the estimated recoverable limit based on the estimated future income capacity (probability test), but, as they can be offset against positive future income as a priority with respect to tax and ACE losses, they are subject to lower risk of not being recognised in financial statements. For purposes of calculating own funds, the amount relating to these DTAs recognised in financial statements, net of the relative share of DTLs, is deducted from CET1 for the portion that exceeds 10% of the CET1 that is obtained after applying the prudential filters and all deductions other than those for other non-convertible DTAs, any deductions in excess of the AT1 capital instruments and deductions in qualified equity investments in financial businesses. Amounts not deducted as a result of the 10% exemption of significant investments in CET 1 capital instruments of financial institutions and other net non-convertible DTAs are deducted only for the portion that exceeds 17.65% of the CET 1 that is



obtained after applying the prudential filters and all deductions. Amounts not deducted as part of the exemptions are included in the RWA with 250% weighting.

The following timing is estimated for the recovery of the aforementioned DTAs recognised in financial statements:



The amount of DTAs recognised in financial statements in general may be subject to fluctuations, even substantial, between one year and the next, since the related measurement process is based also on variables often outside the company's control, each of which is capable of significantly influencing future taxable income, which is the extent to which the DTAs can be recognised.

This applies in particular to MPS Group, which has significant tax losses that were accumulated in previous years and at the same time has made equally significant increases in its capital endowment (share capital increases) which entitle it to the tax credit as an incentive for capitalisation (ACE).

The combination of these two conditions, in particular, is an important factor behind the volatility in the amount of DTAs recognised by MPS Group in recent years. From an accounting perspective, the effect on DTAs from losses must be accounted for with immediate effect, since these DTAs have already accrued, while the effect of the ACE must be accounted for in each year in which the benefit accrues.

Another factor that determines the volatility of the amount of DTAs recognised is the revision of the profit forecasts, which obviously must take into account the general economic scenario, in addition to the Group's internal situation.

The estimate of taxable income for future years was made on the basis of the expected evolution of the Group's income statements as part of the Multi-year Projections for the years 2020 - 2024, already used for the corresponding valuations in the Consolidated Financial Statements as at 31 December 2020. It should be noted that the scenario envisaged by the new 2022-2026 Strategic Plan approved by the Board of Directors on 17 December 2021 was not taken into account, as this plan cannot be considered definitive because it is subject to the approval of the competent authorities. The projections used represent the best estimate available at the date of preparation of these financial statements and correspond to a 30-35% probability of achieving the results contained in the 2022-2026 Strategic Plan.



For further information, please refer to paragraph 11.8 Other information of the Notes to the consolidated financial statements - Part B - Information on the balance sheet in this financial report.

Prior years' tax losses and ACE benefit

Prior years' tax losses from the MPS tax consolidation, amount to EUR 11.3 bn. The ACE benefit for MPS Group is calculated on share capital increases made from 2011 through the current year of EUR 18.5 bn but within the limits of the accounting net equity at the end of the year of each company that benefited from the aforementioned share capital increases and net of sterilisations required by law.

Based on this situation, applying the incentive's notional return coefficient currently established at 1.3%, it is estimated that MPS Group will be able to benefit, for each of the coming years and until the repeal of the regulation in question, of a deduction from taxable income for IRES purposes of approximately EUR 89 mln.

DTA fee

With specific reference to convertible DTAs pursuant to Law 214/2011, the companies participating in the tax consolidation of MPS Group have chosen, through the Parent Company, the system envisaged by art. 11 of Legislative Decree 59/2016.

Recall that this regulation established that to continue applying the existing rules on converting deferred tax assets into tax credits (pursuant to Law 214/2011), companies must have exercised a specific irrevocable option and pay an annual fee with respect to each of the years from 2016 and subsequently, if the conditions exist, until 2030. The fee for a given year, in this period, is determined by applying the 1.5% rate to a tax base calculated, with reference to the data resulting from the financial statements of the previous year, as the sum of the difference between the convertible DTAs recorded under assets and the corresponding DTAs recognised in the 2007 financial statements and the total amount of conversions into tax credits carried out, net of taxes paid in the manner provided for by the relevant published decree. This fee is deductible for income tax purposes in the year when the payment is made. The amount of the fee paid in 2021 was approximately EUR 63 mln. A slow decrease in the amount of the fee due is estimated for subsequent years, given that MPS Group will be in a position of paying relatively low taxes, given the large amount of past tax losses and future accrued ACE deductions.

Note that, against the commitment to pay the aforementioned fee, the participation of MPS Group in the option pursuant to art. 11 of Legislative Decree 59/2016 guarantees the right to convert DTAs into tax credit referred to in Law 214/2011 when the conditions envisaged by the law are met.

Current Tax Assets

As at 31 December 2021, the Group's current tax assets amounted to EUR 728 mln. A portion of these assets, equal to EUR 331 mln (amount net of value adjustments of EUR 17 mln), is represented by receivables from the tax authorities subject to specific requests for reimbursement submitted, therefore, yielding interest in the measures envisaged by the specific applicable tax laws (for income tax at 2% per annum). Other current tax assets, amounting to EUR 397 mln, are represented by (non-interest bearing) receivables from the tax authorities available for offsetting against future tax payables and include tax credits originating from the transformation of DTAs (non-interest bearing) pursuant to Law 2014/2011 and art. 55 of Decree Law 18/2020), amounting to EUR 339 mln, as well as the IRAP credits generated by the transformation of ACE surpluses for EUR 41 mln; with reference to the latter item, no IRAP receivables were recorded for an amount of EUR 46 mln, deemed unrecoverable on the basis of estimated future earnings (probability test).

VAT Group

The year 2021 was the third year of validity of the "MPS VAT Group", which to date includes the following 10 companies: Banca Monte dei Paschi di Siena S.p.A., Cirene Finance S.r.l., Consorzio Operativo Gruppo Montepaschi S.c.p.A., G. Imm. Astor S.r.l., Monte dei Paschi di Siena Leasing & Factoring S.p.A., Monte Paschi Fiduciaria S.p.A., MPS Capital Services Banca per le Imprese S.p.A., MPS Covered Bond S.r.l., MPS Covered Bond 2 S.r.l., Wise Dialog Bank S.p.A. (Widiba).

These companies constitute a single entity for VAT purposes, attributable to the "representative" (the Parent Company), with the attribution of a single, new VAT number. As a result:

- all transactions between these companies are, as a rule, not relevant for VAT purposes, although some transactions between separate activities continues to be relevant;



- all legal obligations (settlement, payment, annual VAT return, and periodic communications) as well as the administrative (and criminal) liability are centralised within the Parent Company.

The other parties belonging to the VAT Group, on the other hand, are jointly and severally liable for the payment of tax, interest and penalties, regardless of the party to which the alleged violation is specifically attributable.

Tax disputes

For further information relative to tax disputes, please refer to “Section E of the Notes to the consolidated financial statements - 1.5 Operational Risks, “Main types of legal, employment law and tax risks”.



Research, Development and Innovation

Given the banking nature of the Group, Research, Development and Innovation activities are mainly directed at the analysis and implementation of applications for customers, with the aim of constantly improving stability, performance, quality, efficiency and the level of satisfaction with the services provided.

The Group company that handles the centralized management of the information system is Consorzio Operativo Gruppo Montepaschi; the management of *Front-End* applications for online customers of Banca Widiba is carried out independently by the Bank itself.

The activities carried out by the Consortium in 2021 were aimed at achieving three objectives: improving the operating efficiency of internal processes and the quality of services offered, compliance with regulatory and safety requirements and the automation of bank-customer relations with a view to self-service.

Below, the main areas affected by interventions:

- *Digital branch*: innovation activities related to branch operations;
- *Digital Banking*;
- *Wealth Management*;
- Credit;
- E-Money;
- Domestic foreign platform;
- Management of tax credits (Ecobonus);
- Platform for the integrated management of Ordinary Foreclosures;
- Integrated succession management platform;
- Instrument for the management of Loan Pricing (LOM).

2021 was also characterized by the implementation of all interventions in support of the economy deriving from the credit facilities issued as a result of the health emergency.

In detail the most significant initiatives and projects:

Digital initiatives: innovation activities continued on the *Digital branch* with the adoption of new elements and technologies to simplify and rationalize the activities of the branches and guarantee a user experience with high quality and performance standards. In the context of *Digital Banking*, all initiatives for customer advocacy, simplification and digitalisation have been implemented in pursuit of excellence for the experience and the development of a customer-bank relationship model in which the bank is present and available, always and everywhere, multiplying the points of contact and the opportunities for interaction. Document management was also activated for the provision of new services such as *Instant Payment*. In addition to interventions on all front-end applications to customers (external and internal), the infrastructure and architectural platforms of the IT system were also implemented and solutions were adopted with the objective of improving performance and processing capacities.

Wealth Management Project: the new platform based on a customer relationship model is being completed, to meet the different investment needs and the management of financial and non-financial assets. The new platform is in continuity with the MIFID2 regulatory dictates, respecting the requirements of adequacy and appropriateness of the investments determined in the customer responses to the MIFID questionnaires.

Initiatives in the Credit area: internal approval processes (credit lines and guarantees) and credit line management were improved, with the aim of minimizing disbursement times (*Time to Cash*) while maintaining high controls on creditworthiness. In this context, the roll-out of the new creditworthiness assessment platform (PEF) was completed for all segments. For businesses, an expert system was also adopted, which facilitates assessment by leveraging market indicators as well as economic performance assessments of the specific product sector.

In the context of eMoney, all measures for compliance with current regulations were implemented, both in the areas of payments (PSD2) and transversal areas such as anti-money laundering, protection of personal data, oversight and financial statements, usury, securities and cash settlement, and cyber security to ensure high security standards for the IT system. A procedure was also implemented (Spunta Banca DLT) for the reconciliation of bank correspondence accounts in the *Blockchain* environment. The project was promoted by ABI in collaboration with NTT Data, SIA and R3 (Corda platform). Furthermore, within the project in partnership with Nexi, the bank's information system was interfaced with Nexi's POS sales and placement platforms for the new international debit card product.



Anti-money laundering initiatives: artificial intelligence solutions were adopted for the automatic revaluation of customers in order to reduce or eliminate almost entirely the activities carried out by the Network, freeing up time to be dedicated to commercial activities; scoring engines were created to calculate the probability that the customer engages in unlawful conduct and a semantic engine was introduced for the analysis of bad press.

Initiatives in the field of corporate regulations: semantic engines were introduced for the interpretation of regulations published and available on the web, a new semantic search engine on corporate regulations based on natural language called BASS (*Banking Semantic Search System*) which allows to obtain very precise results quickly, starting from the typing of only the first four characters of a word.

Initiatives in the field of robotics and “artificial intelligence”: the areas of use of robotics were expanded and innovation projects were activated in the field of blockchain and chatbots. On the blockchain front, activities continue to develop interfaces and functions in synergy with other banks; the Group confirmed its participation in interbank initiatives aimed at creating the first system blockchain between Italian banks for document check among correspondent banks. The adoption of *Chatbot* for direct assistance to the network for the resolution of anomalies and clarifications on regulations/processes (succession, activation of cards and workstations, etc.) is being completed.

In the *Bancassurance* area, the IT interventions necessary to adapt the application to the requirements of the IVASS regulations on insurance products linked to loans were carried out.

Initiatives in the field of payments: IT interventions were carried out to manage, with the Euro-domestic procedure of transfers, the transfers from the SEE area known as “BOE”, leading to a significant organizational simplification in the management of the same. During the year, the Consortium also contributed to the implementation of minor projects in the field of payments for the Tuscan healthcare companies and launched the pilot for the marketing of MV TPL policies with Quixa, an online company of the AXA Group.

Fraud Management: released a new platform for the detection and management of internal frauds.

IT *Data Strategy* project: the data architecture was redesigned, the *Reporting and Business Intelligence* platform was rationalized. New Data Lake platforms were introduced to manage (according to *Data Governance* policies) both structured and unstructured data and *Change Data Capture*, *Data Virtualization* and *Artificial Intelligence* solutions.

In addition to the projects to support the business development plan, various infrastructural and architectural renewal projects were also implemented with a view to renewing and strengthening the processing platforms, greater efficiency and effectiveness of processes, improvement of service levels, reduction of operational risks and to raise the level of application security.

Various initiatives were also conducted for the Group’s Cybersecurity, aimed at strengthening measures to combat cyber attacks and at increasing the protection of company assets and the information contained therein. The infrastructure for monitoring security events (SIEM) was consolidated and the implementation of the strong authentication infrastructure (multi-factor authentication or MFA) was completed for secure access to the information system (from the Internet and from workstations). Solutions were also implemented for the management and strengthening of security safeguards on corporate mobile devices and a data encryption / masking platform was developed.

Finally, the main mandatory interventions for compliance with the regulations are recalled:

- PSD2 with a view to *Open Banking*;
- COVID extraordinary needs;
- Transparency Plan;
- OSI Legal Risk;
- Anti-money laundering;
- Securities and cash settlement (T2 - T2 consolidation)
- Risks (FRTB, NSFR in the Basel 3-4 framework);
- Platforms for Governance, Risks and Compliance (single GRC);
- CRR2 reporting;
- DAC6 reporting;
- IVASS regulatory compliance on insurance products.



Banca Widiba

As regards the subsidiary Banca Widiba, the 2021 key drivers were digital innovation, aimed at business development, and the attention to an increasingly excellent customer experience, distinctive and recognizable on the market, in addition to constant and necessary updates in *Cyber Security*.

During the year, Banca Widiba oversaw the technological innovation of products and processes to create a financial ecosystem for the benefit of both customers and financial advisors and the Bank, further raising the quality of the service provided.

Customer experience

Also in 2021, Banca Widiba reconfirmed its commitment and its vocation in implementing a model of an excellent banking experience, user friendly and effective, increasingly consistent with the sensitivity and behavioural patterns of regular people, accessible from different platforms and devices and proactive with respect to the changes imposed by the global pandemic situation.

The Widiba App was still the most used channel for access to the Bank itself and all indicators demonstrated its effectiveness:

- about 17,000 monthly comments - 96% positive (between 4 and 5 stars);
- 8,203 total comments on iOS and Android stores;
- 132,000 active users on the App (+1.2% y/y);
- 72.3% (2/3) users log in from the App (+2.5% y/y);
- 96% *Net Satisfaction Score* (sum of 4 +5 stars ratings minus 1 +2 +3 stars);
- 4.3/5 on the *Android store*;
- 4.7/5 on the *iOS store*.

Cyber Security

The year 2021 was characterized by extraordinary events linked to COVID-19, which led to a significant increase in the use of the internet but also a constant increase in cyber fraud attempts against online customers. In this scenario, Banca Widiba has combined ordinary prevention activities with some interventions to mitigate new types of social engineering attacks such as spoofing, smishing, wishing in addition to a training program for customers and financial advisors on the rules for behaviour in the area of Cyber security.

Here is the main news:

- *Digitalisation of branch processes*: in 2021, numerous activities were completed for the digitalisation and streamlining of processes for branches and other settings (mediacentre and other offices) with the aim of optimizing the Bank's internal operations, innovating customer service and the financial advisory network. From this point of view, the changes made in the sales and after-sales processes of the credit sector were of particular importance, based on the thrust of new external regulations but also in consideration of the growth of customers and products issued which led to the need to automate the processes for volume scalability.
- *Use of SPID when opening an account and granting new SPID credentials*: in June 2021, SPID (Public Digital Identity System) was added as a method of recognition when opening a current account: this profoundly changed the normal banking operating procedures and made it possible to reach the highest levels of security and optimization of account opening times. To date, SPID is the most appreciated method of recognition by Self-service customers, with over 50% of current accounts opened with this method. Another innovation developed at the end of 2021 by Banca Widiba, in collaboration with *InfoCert*, regarding the digitalisation of the country, is the distribution of new SPID credentials to the Bank's customers who do not yet have them.
- *Dialogue - innovative video banking function (inbound)*: launched in October, Dialogue represents a new method for interaction with the customer, designed to facilitate remote dialogue, a method now widely used among colleagues, relatives and friends because of the pandemic emergency. The integration of advanced functions such as the ability to share the screen with an operator, send and receive documents, chat during the video call, allowed Dialogue to be undisputedly appreciated in a short time: 4.9/5. *Dialogue's* deep aspiration is to establish itself over time as a new paradigm for dialogue between bank and customer, anticipating the sensitivity and expectations of increasingly digital customers, starting with baby boomers. A paradigm that combines technology and relationships while continuing to guarantee the excellence that characterizes Banca Widiba in the field of customer experience.



- *The virtual assistant Widdy becomes predictive:* Chatbots (virtual assistants) represent the new customer care frontier and in this scenario Banca Widiba already for some time introduced a virtual assistant, *Widdy*, which facilitates dialogue with customers and provides fast answers and leads with 24/7 assistance. In 2021 *Widdy* was enriched with a predictive intelligence engine that anticipates the most likely questions and provides on its own initiative relevant information for the customer through chatbot automation such as the imminent expiry of a card or the shipment of a new card. The upgrade to a predictive assistance model also included the design of a new graphic interface designed for “mobile first” use, with the possibility of customizing the virtual assistant icon and background colours (light and dark mode).
- *Evolutive Widiba App:* the Widiba App is increasingly appreciated by customers, with over 70% of users choosing it as a method to access the Bank and also in 2021 it was subject to important upgrades: starting from some evolved interactions to the atomic design, from the increasingly simple and “chat-like” communication method to the possibility of setting background colours (dark and light mode), as well as the option to make a video call with the bank. These new features have transformed the Widiba App into a winning “conversational” model, capable of anticipating future trends and translating customer requests into everyday language. In addition, in April 2021 Banca Widiba became available on the new *Huawei “app gallery”* store with the aim of serving its customers even better. The initiative is part of the Bank’s innovative continuity path. Eight versions of the App were released in the stores during the year.
- *Quixa partnership:* in terms of new products and new customer services, Banca Widiba opened up to the world of *Motor* policies thanks to the introduction of the *Quixa* policy proposal.

In 2021, a number of tools were also made available to support global customer advisory, listed below:

- **Real Estate Analysis Service:** this service allows the Bank and the Financial Advisor to carry out an analysis of all or part of the customer’s real estate assets, delivering a “Real Estate *Report*” on the real estate assets owned by the customer or for which the customer has usage rights.
- **Company Analysis Service:** the tool allows to carry out an analysis of all or part of the customer’s company assets, i.e. investments in Italian joint-stock companies for which the applicant is, in accordance with the databases of chambers of commerce, the owner or rightful beneficiary, by submitting the relative report or the “Company *Report*”.
- **Inheritance Planning Service:** the tool makes it possible to provide an inheritance analysis, i.e. an analysis of the assets relevant to the determination of the customer’s assets for inheritance purposes, with an indication of the portion of each asset due to the potential legitimate and/or testamentary heirs and the simulation of the presumed tax effects for potential heirs on the basis of the regulations in force at the date of issue of the “Inheritance *Report*”.



Outsourced services

The most important contracts for services performed in outsourcing by companies outside the Group are reported below.

Fruendo and Accenture (back-office services)

The outsourcing activity previously regulated in the two master service agreements (MSAs) signed on 29 December 2013 and effective from 1 January 2014 between the Parent Company and Fruendo and Accenture, respectively, is governed by a single MSA that brings together from 26 July 2021 and incorporates those indicated above, and its purpose is the provision of back office services provided by Fruendo to the Parent Company and its subsidiaries. The contractual unification is the conclusion of the overall revision of the deal which, starting from February 2020, had already seen Accenture acquire control of Fruendo and subsequently sell it its own MSA, as they are now part of the same group.

The services covered by the MSA concern: Branch Assistance; Network Back Office (checks, bank transfers, F24 proxies, CC settlements, document centre, advances on invoices, commercial collections, bills of exchange, transferability, other centralized services); Credit (litigation back office, centralized guarantee management, back-office intermediaries and third-party networks, other centralized credit services); Management of Payment Documents (payable cycle, condominiums and rent, utilities and taxes); Banking investigations, Logistics (post office, clerks and doormen, car fleet); Payment and Correspondent Services (foreign portfolio, correspondents, payment cards, collections, mortgages, inheritance, various services); Group Company Services (Leasing and Factoring back-office; Financial Advisor back-office, Transferability, Collections and other Widiba Operations).

The MSA expires on 31 December 2031. The Parent Company has the right to withdraw with eighteen months' notice, to be communicated in the first two months of 2023, 2024 and 2028, incurring a penalty.

The fees for the services provided by Fruendo are fixed over the 18-year contract duration and decrease over time to take into account efficiency and expected technology developments.

Having consolidated its experience following the inclusion in a leading group in the banking operations market, Fruendo was able to quickly adapt its processes to the context of the pandemic without impacting on service levels, and supporting the Parent Company in responding to the new one service needs arising from this emergency situation.

Nexi (payment services)

ATM management for the MPS Group. The outsourcing agreement dating back to 2009 and amended from time to time, concerns services relating to the management of ATM equipment: in particular, ATM terminal maintenance services, warehouse management, ATM activation and commissioning services and maintenance assistance, Help Desk and monitoring.

Provision of payment card management services. The contract for payment card management and payment card acceptance services of MPS Group originated on 25 September 2012 and has been integrated and amended over time. The services provided by Nexi to MPS Group entail the full outsourcing of payment cards.

Interbank Corporate Banking. The agreement for the Interbank Corporate Banking Service - CBI *Global Banking* Web - was signed on 30 June 2011 and subsequently amended and integrated. The service consists of all IT, technical and operational structures designed to provide the functionalities envisaged in the ABI provisions through the CBI Consortium, in particular:

- payment/collection management (SEPA compliant);
- document, reporting and reconciliation management.

The service establishes a direct channel between the Group's banks and their customers and allows users to:

- receive information relating to the relationships with their banks;
- forward the electronic instructions to the recipient banks.

Prepaid cards. The contract was signed on 31 July 2019 and relates to the outsourcing of the management of Business and Consumer "international" prepaid cards, including IT and Back Office services.

Payment services on international circuits referring to international debit cards. The purpose of the agreement signed in December 2020 is the performance by Nexi, as licensee for the payment circuits, of the activities related to the issue and management of payment services relating to debit cards with international circuits. Starting from 13 January 2021, the placement of the international NEXI debit cards began for the stand-alone mode and from 22 March 2021 for the combination with package accounts.



Information on legal, employment law, tax and complaints risks

Information on legal, employment law and tax risks

The Group carefully reviews and monitors the risks associated with or connected to legal disputes, i.e. disputes brought before judicial authorities and arbitrators, and out-of-court claims, making specific allocations to provisions for risks and charges for disputes and out-of-court claims considered to have a “likely” risk, using statistical or analytical criteria.

The following were pending as at 31 December 2021:

- legal disputes with total relief sought, where quantified, equal to EUR 4.7 bn. In particular:
 - approx. EUR 2.3 bn relief sought in disputes for which the risk of losing the case is deemed “likely” and provisions of EUR 1.0 bn have been made;
 - approx. EUR 0.7 bn in relief sought attributable to disputes for which there is a “possible” risk of losing the case;
 - approx. EUR 1.7 bn relief sought in the remaining disputes, for which the risk of losing the case is deemed “remote”;
- out-of-court claims with total relief sought, where quantified, equal to EUR 0.75 bn. Specifically:
 - approx. EUR 0.74 bn in relief sought from claims for which there is a “likely” risk of losing the case;
 - approx. EUR 0.01 bn as relief sought in disputes for which there is a “potential” risk of losing the case.

The most significant events in 2021 refer to:

- Dispute relating to financial information disclosed in the period 2008-2015 (total claim of EUR 1.7 bn as at 31 December 2021):

Type of dispute	31/12/21	30/09/21	30/06/21	31/03/21	31/12/20
Civil dispute	738	703	677	676	662
Filed civil action claims cp 29634/14 *	125	137	137	137	137
Filed civil action claims cp 955/16 **	158	159	158	159	177
Out-of-court claims ***	713	4,721	4,693	4,672	4,698
Total relief sought	1,734	5,720	5,665	5,644	5,674

(*) The decrease in relief sought, with reference to the civil action claims as part of criminal proceedings no. 29634/14, is due to the conclusion of settlement agreements with several hundred civil parties.

(*) The decrease in relief sought compared to 31 December 2020 is due to the fact that, following the conviction handed down by the Court of Milan on 15 October 2020, the justifications of which were filed on 7 April 2021, about a hundred civil parties were excluded from the proceedings. The relief sought had been considered to be at likely risk.

(***) On 19 October 2021, in execution of the settlement agreement reached with Fondazione Monte dei Paschi di Siena on 21 July 2021 and approved by the Board of Directors of the Parent Company on 5 August 2021, Banca MPS proceeded to payment of EUR 150 mln. Considering the effects related to the completion of the transaction after 30 September 2021, the total relief sought was reduced by EUR 3.8 bn. In addition, out-of-court agreements were reached with particular reference to the issue of alleged disclosure differences in the AUCAP, which led to the reduction of the relief sought by a further EUR 211 mln.

- litigation regarding bankruptcy revocations, compound interest and interest (total claims of EUR 0.4 bn, of which EUR 0.3 bn at risk of “probable” loss) essentially in line with the figure recorded as at 31 December 2020.

Risks for tax (an overall claim of EUR 0.08 bn, of which EUR 0.01 bn for a “probable” risk of losing the case) and employment law (an overall claim of EUR 0.08 bn, of which EUR 0.04 bn for a “probable” risk of losing the case) are also subject to monitoring and evaluation by the competent Group functions, and in the event of disputes with “probable” risk, appropriate allocations are made to the provision for risks and charges.



As regards the other legal risks not attributable to the dispute, it should be noted:

- the compensation action carried out by the Parent Company in favour of customers interested in purchasing diamonds in previous years. As at 31 December 2021, more than 12,000 requests were received for a total value of approximately EUR 315 mln, while the transactions carried out totalled EUR 310 mln (of which EUR 22 mln in 2021, hedged for the equivalent value net of the market value of the stones by the provision for risks and charges allocated in previous years). As at 31 December 2021, the transactions carried out represented 90% of the total volume of diamond offers reported by the Parent Company.
- the indemnities to be paid to the transferee counterparties of non-performing loan portfolios if the representations and warranties (R&W) issued as part of the transfer operation are not true. In this regard, please note the securitization transaction carried out by the Group in December 2017 in favour of Sena NPL which resulted in the derecognition of bad loans for a gross exposure of over EUR 22 bn, whose R&W matured on 31 July 2021. By that date, 10,175 claims were received for a relief of around EUR 0.7 bn, of the 2,459 claims analysed, with reliefs of around EUR 0.4 bn, a small percentage was assessed to be justified at the reporting date of these financial statements. Also of note is the “Hydra M” demerger in 2020 concerning EUR 7.2 bn of gross non-performing loans whose R&W expires in November of the current year, the “Morgana” transaction in 2019 which concerned EUR 400 mln in gross exposure of lease-secured doubtful loans, whose declarations and guarantees expired in October 2021 and finally some transactions involving the sale of portfolios of unlikely to pay loans, which took place between 2018 and 2020, with a maximum maturity of May 2023. As at 31 December 2021, 40 claims were received and analysed for EUR 24.1 mln for “Hydra-M” and around 450 requests for EUR 3.3 mln for Morgana, whose minority interests were considered well-founded.

For further information, please refer to Section E of the Notes to the consolidated financial statements - 1.5 Operational Risks, “Main types of legal, employment and tax risks”.

Disclosure on claims

Claims management represents:

- an essential activity in managing the relationship with customers;
- a tool for identifying any critical issues and improving the quality of products/services provided;
- a useful safeguard in protecting the customer, both to encourage amicable resolution of disputes, and to define, in cases where this does not occur, the parties’ positions, conducting an initial investigation before pursuing the dispute in other judicial settings.

The Group makes available to customers, both on its website (www.gruppompis.it) and those of its subsidiaries, and at all branches, information on how to handle complaints - in order to publicise the methods for submitting complaints and the time required for their management - as well as on the main systems for out-of-court resolution of disputes currently available in Italy (known as ADR), to which the Parent Company adheres. These systems are the *Arbitro Bancario Finanziario* (ABF, Banking and Financial Arbitrator), *Arbitro per le Controversie Finanziarie* (ACF, Arbitrator for Financial Disputes) and the various mediation entities registered with the Ministry of Justice.

In 2021, more than 7,070 complaints were received at Group level (of which approximately 6,000 received by the Parent Company); the main areas of dispute concerned:

- alleged inadequacies in the preventive disclosure provided to customers who performed transactions on equities and bonds, however, dating back many years;
- errors / delays in the execution of transactions on current accounts, mortgages and consumer credit;
- issues on the conditions applied to current accounts and mortgages.

In the same period, over 8,270 complaints were processed with an acceptance rate of approximately 20%. Current accounts, home mortgages and consumer credit were the areas in which the greatest number of favourable outcomes were recorded for customers.

540 ABF claim were received and recorded during the year, and 523 decisions were made; about 42% were in favour of the Parent Company, rejecting the petitions made by customers, while about 20% recorded favourable results, in whole or in part, to the claimants; the remaining around 38% is represented by disputes which ended with the parties reaching an agreement.



During the same period, 95 ACF claims were received and 164 decisions were made; about 38% were in favour of the Parent Company while 59% recorded favourable results for customers; the remaining 3% consists of claims declared settled.

After approval of the financial statements, the Parent Company and the subsidiaries publish a report on their websites regarding complaint management, in line with the provisions of the Supervisory Authorities.



Audits

As the Group carries out banking activities and provides investment services, it is subject to comprehensive regulation and supervision, in particular by the ECB, Bank of Italy and CONSOB, each for the respective areas of responsibility. Below are the main activities recently conducted by the Supervisory Bodies:

TRIM (Targeted Review of Internal Models) audit on internal models

TRIM is a multi-year project, launched by the ECB in 2016 and completed in 2019, aimed at assessing the compliance of internal models currently used by banks with regulatory requirements, as well as their reliability and comparability.

From November 2017 to April 2018, the ECB conducted an on-site audit of the credit risk models (TRIM 2939), concerning the controls on the probability of default (PD) and loss given default (LGD) parameters of the retail portfolio. On 21 November 2019, the Parent Company received the ECB's Final Decision, containing 21 findings, which was followed by a remediation plan sent by the Parent Company to the ECB on 19 December 2019.

In its letter dated 15 January 2018, the ECB sent feedback to the Parent Company relating to the TRIM General Topics self-assessment phase, in which 7 gaps were identified with respect to the requirements. On 22 March 2018, the Parent Company sent the ECB a response letter indicating the remediation actions, which were then implemented in 2019.

In the period 21 January 2019 - 29 March 2019, the ECB conducted an on-site audit (TRIM 3917) concerning the internal credit risk models for the Parent Company and the Group, with reference to the PD, LGD, and Credit Conversion Factor (CCF) on corporate and other exposures. On 10 May 2021, the ECB sent the *Final Decision* to the Parent Company, which allows it to continue to adopt the internal models implemented to determine the capital requirements on the portfolio under investigation. The *Final Decision* also reports ten findings with the related recommendations and obligations to be implemented within certain deadlines. On 31 May 2021, the Parent Company responded by sending a remedial action plan, many of which were implemented and submitted for approval to the ECB on 9 November 2021.

Bank of Italy inspection on transparency at Banca Widiba

Simultaneously with the audit at the Parent Company, starting on 7 October 2019, the Bank of Italy also began audits at Widiba regarding transparency of transactions and fairness of relations with customers. In particular, for Widiba, the inspection was aimed at the follow-up to the *Remediation Plan* following the previous inspection dating back to 2018 and the "Rondine" project (migration of certain contractual relationships from the Parent Company to Widiba). The audit was concluded on 21 January 2020.

The in-depth analyses carried out by the Bank of Italy team during the audit highlighted some critical elements and areas for improvement, which can be summarised as follows: 1) conclusion of marginal customer recovery activities to complete the Remediation Plan relating to the 2018 audit; 2) reconciliation of the costs for the delivery of the documentary copy (art. 119 of the Consolidated Law on Banking - TUB) with respect to those resulting from the internal reconstruction carried out by the Company; 3) strengthening of complaints management processes; 4) strengthening of the processes for the management of transparency and fairness in customer relations 6) review / adjustment of the conditions of former MPS customers migrated to the subsidiary (known as "Rondine Customers") and introduction of the bill payment service and the execution of bank transfers from the ATM channel.

The critical issues identified were highlighted by the Supervisory Authority in June 2020 when it notified the Parent Company of the report containing the results of the audit, which concluded with a "mostly non-compliant" assessment and the initiation of a sanction procedure pursuant to art. 144 et seq. of the TUB.

To overcome the critical issues identified, Banca Widiba activated a specific Remediation Plan in parallel with the Parent Company Banca MPS, which was concluded at the end of 2020. Further refinement/development activities linked to the initiatives of the remedial plan were carried out in 2021.

IT risk audit (OSI-2019-3832)

From 26 March 2018 to 26 June 2018, the ECB conducted an on-site audit concerning the IT risk (known as "IT Risk"). On 20 November 2018, the inspection report was issued in which 15 findings with different degrees of impact were identified, mainly relating to IT security areas, the execution by the control functions, the Business Continuity management process, the definition of IT strategies and the organization in the development of projects. However, the audit found that the current IT structure of MPS Group can adequately support the requirements within the horizon of the Restructuring Plan.



In August 2019, the *Follow Up Letter* was sent with an indication of the recommendations associated with the findings highlighted in the inspection report. In April 2020, the Parent Company informed the ECB that the remedial actions associated with the recommendations made had been implemented within the time frame. Plans were also launched to improve IT security and data governance.

Bank of Italy and FIU audit on anti-money laundering

The audit undertaken by the FIU (Financial Intelligence Unit), which began on 8 May 2018 and ended on 28 August 2018, concerned the assessment of procedures implemented to verify potential anomalies relating to the transactions of customers and employees of the Issuer on a limited number of branches and an analysis of customers identified as potentially linked to money laundering phenomena. The supervisory authority has sent each of eight branch managers an assessment and findings report for alleged failure to report suspicious transactions (total amount of the disputed transactions EUR 2.2 mln), for which the Issuer is jointly and severally liable and against which the Issuer has already presented defence memos to the MEF.

In November 2020, the MEF, confirming the existence of the offence and the responsibility of the Parent Company with regard to the violation, it notified the same of 8 sanction decrees for failure to report suspicious transactions, for a total amount of EUR 219,612.00.

Following the analysis of the content of the decrees, since the grounds for the imposition of the sanctions were not found, the Parent Company filed an appeal before the Court of Rome within the terms of the law.

Moreover, on 6 June 2018, the Bank of Italy conducted a formal audit on the Parent Company and the subsidiary Widiba with the aim of verifying compliance with anti-money laundering regulations. This audit ended on 28 September 2018.

Following the conclusion of the audit, on 28 February 2019 the Bank of Italy informed the Parent Company's Board of Directors of the audit's results, highlighting certain areas of improvement, which mainly concern due diligence and internal controls. The Parent Company's response letter - the contents of which were approved by its Board of Directors - was sent on 29 March 2019 reporting the activities already in place, those in progress and those planned.

In December 2019, the Parent Company received notification of a sanctioning measure from the Bank of Italy for an amount of EUR 1.32 mln in connection with the shortcomings highlighted in the requirements for customers' due diligence, in terms of identification of beneficial owners and reporting of suspicious transactions. In quantifying the administrative penalty, the supervisory authority took into account the remedial action initiated and largely implemented by the Parent Company.

At the meeting of 16 January 2020, the Board of Directors resolved not to make use of the right to appeal and to proceed with the payment of the penalty within the established terms.

Internal governance audit (Deep Dive Internal Governance)

In the period 2018-2019, the ECB conducted a Deep-Dive inspection on internal governance with a specific focus on the operating processes of the Parent Company's Board of Directors. In the *Follow-up Letter*, sent by the ECB on 31 August 2020, the JST highlighted the achievement of some areas of improvement compared to what was detected in 2015 during a *Thematic Review* on the same issue. Nevertheless, five findings were reported essentially relating to the functioning of the Board of Directors and the effectiveness of the supervisory and challenging action by the latter on the Parent Company's management; these indications confirm what was already formulated in the 2019 SREP Decision.

The Board of Directors of the Parent Company analysed and discussed the contents of this letter, adopting a series of measures and behaviours in line with the recommendations made.

Audit on legal risk (OSI-2019-4125)

From 28 January 2019 to 26 April 2019, the ECB conducted an on-site audit concerning the Group's legal risk. In November 2019, the Parent Company received the audit report which formulated 11 findings concerning, inter alia, process governance, aspects of dispute management, monitoring of legal risk, procedures for calculating provisions and activities performed by the internal control function.

On 7 May 2020, the ECB sent the *Follow-up Letter* indicating the recommendations associated with the findings that emerged in the inspection report; the Parent Company completed the implementation of the related remedial actions by 30 June 2021, in line with the timescales indicated by the Supervisory Authority.



Interest rate risk audit (OSI-2019-3834)

Between 26 June and 27 September 2019, the ECB conducted an on-site audit at Group level regarding “interest rate risk”. On 12 February 2020, the Parent Company received the final version of the inspection report in which 6 findings relating to the management processes and the interest rate risk quantification models are reported. On 22 October 2021, the Parent Company received the *Follow-up Letter* with indication of the recommendations associated with the findings that emerged in the inspection report and, subsequently, on 29 November 2021, it sent to the ECB the plan of actions to remedy the recommendations formulated with evidence of the activities already implemented.

Bank of Italy's audit on the Parent Company's banking transparency

On 7 October 2019, Bank of Italy launched an audit to ascertain compliance with regulations on Transparency of transactions and fairness of relations with customers. The inspection was completed on 21 January 2020. The audits were carried out at the General Management and the Branches of Banca MPS, as well as at Banca Widiba.

The in-depth analyses carried out by the Bank of Italy team during the inspection showed the persistence of critical elements and areas for improvement, which can be summarised as follows: 1) undue charges to customers for which reimbursements had to be made; 2) the need to strengthen governance with regard to both transparency and protection of all customers; 3) review of compliance processes by extending the terms of engagement of the Compliance Function; 4) strengthening of controls in the product chain and in customer relationship management and protection processes; 5) introduction of automatic controls and development of transparency applications; 6) inadequate positioning of the Complaints department and review of compliant management process; 7) qualitative-quantitative increase of training courses on transparency and strengthening of qualitative elements on the subject of transparency in personnel assessment processes; 8) strengthening of transparency processes in Widiba and revision / adjustment of the conditions of former MPS customers migrated to the subsidiary (known as “Rondine Customers”).

In response to the critical issues identified, during the audit, an Action Plan on Transparency was promptly defined, aimed at strengthening governance, improving the processes and tools for managing relations with customers and monitoring the matters to be part of the various functions involved. The Action Plan, including a specific Reimbursement Plan, was approved by the Board of Directors of the Parent Company at the meeting of 16 January 2020 and delivered to the Bank of Italy team by the end of the audit, accompanied by a similar action plan approved by the Board of Directors of Widiba for the reference areas.

On 12 June 2020, the Bank of Italy presented the findings with a “predominantly non-compliant” assessment and notified with formal claim the start of the sanction procedure for violations subject to administrative sanctions pursuant to art. 145 of the TUB. At the same time, with a note signed by the Governor of the Bank of Italy, it was requested to supplement the remediation plan already started, to be completed by 31 December 2020.

Following the presentation by Banca MPS of its counter-arguments on 11 August 2020, the remediation plan, duly supplemented, was completed. Further refinement/development activities linked to the initiatives of the remedial action plan were carried out in 2021. Following corrective actions, reimbursements of around EUR 40 mln were made, of which around EUR 4.5 mln referring to amounts made available to those entitled, holders of contractual relationships transferred to third parties, by means of a notice published in the Official Gazette.

On 6 May 2021, an administrative fine of EUR 2.9 mln was imposed on the Parent Company, pursuant to art. 144 of the TUB.

On 7 August 2021, the Bank of Italy sent a further notice inviting Banca MPS to provide additions and clarifications regarding (i) the mechanisms adopted to ensure the timely delivery of the European Standardised Information Sheet (ESIS); (ii) the transfer of payment services; (iii) the remuneration of credit lines; and (iv) the application of charges in the event of withdrawal from the current account. In September 2021, the Parent Company provided the required clarifications regarding which discussions are underway with the Supervisory Authority.

Internal model audit - Internal Model Investigation (IMI 4357 and IMI 5258)

During the months of August and October 2019, the ECB launched two inspections, one off-site (IMI 5258) and one on-site (IMI 4357), for the approval of an application for the authorization of material changes for the credit risk models used to determine the capital requirements. The inspections were concluded in November 2019. On 10 May 2021, the ECB sent the Bank the Final Decision on the checks carried out, authorizing the implementation of the requested changes, also indicating 26 findings with the related recommendations and obligations to be implemented within certain deadlines. On 31 May 2021, the Bank responded by sending a remedial action plan, many actions of which were implemented and submitted for approval to the ECB on 9 November 2021.

*Audit on the liquidity allocation process and the internal transfer rate (OSI-2019-4356)*

In the period 18 October 2019 - 23 January 2020, an on-site audit was carried out on the topic of liquidity allocation and internal transfer rate. On 16 September 2020, the Parent Company received the Report with the results of the audit, in which 10 findings were reported, essentially relating to the measurement of liquidity risk, data quality controls and the FTP framework. On 16 November 2021, the Bank received the Follow-up Letter with an indication of the recommendations associated with the findings that emerged in the inspection report and, subsequently, on 21 December 2021, it sent the ECB the plan of remedial actions to the recommendations formulated with evidence of the activities already carried out.

Internal governance audit (OSI-2020-4834)

In February 2020, the ECB launched an on-site inspection as part of the Internal Governance and Risk Management processes of the Parent Company. On 21 October 2021, the Bank received the Follow-up Letter with indications of four “points of attention”, and related recommendations, referring to the Compliance and Internal Audit processes. The Bank sent the remedial action plan to the ECB on 21 December 2021.

Internal model inspections within the scope of the new definition of default - Internal Model Investigation (IMI 4857)

In the period November 2020 - January 2021, the ECB conducted a review of the credit risk models (IMI) in off-site mode; the audits were aimed at analysing the application model change in the NDOD (*New Definition of Default*) area. On 22 July 2021, the ECB sent Banca MPS the Final Decision on the audits carried out, authorizing the implementation of the changes for the aspects of the NDOD, also indicating 18 findings with the related recommendations and obligations to be implemented within certain deadlines. On 20 August 2021, the Parent Company responded by sending a remedial action plan regarding the reported obligations.

Checks on credit portfolio management during the pandemic

During 2021, the ECB carried out investigations aimed at verifying Banca MPS's operational capacity in credit management during the pandemic. In this regard, a “horizontal” *Targeted Review* was also conducted on the “*Food and Accommodation Service*” sector. The Parent Company subsequently informed the Supervisory Authority on the initiatives specifically dedicated to managing credit risk during the pandemic.

Internal Model Investigation (IMI-2022-ITMPS-0197502)

The ECB announced the launch, in January 2022, of an inspection activity for the approval of the application for authorization of material changes for credit risk models sent to the ECB on 9 November 2021 and relating to the previous IMI 4357, IMI 5258 and TRIM 3917 inspections.

Operational Act on Liquidity Risk Control and ILAAP

On 30 August 2021, the JST, as part of the verification activities on the adequacy of the liquidity management processes, for the purpose of determining the SREP Decision, communicated two findings to the Parent Company: one refers to the updating of the documentary system, the other is a request for information on the progress of the remedial actions implemented following an anomaly already reported by the internal Validation function.

Supervisory assessment on self-assessment and implementation plan regarding climate and environmental risks

Following the publication of Banking Supervision's expectations for a robust, effective, transparent and comprehensive approach to climate and environmental risk, the ECB asked Banca MPS to carry out a self-assessment on compliance with the guidelines formulated and to prepare an implementation plan for climate and environmental risk management. The results of the self-assessment were sent to the ECB on 26 February 2021 and, subsequently, the implementation plan on 26 May 2021. On 30 September 2021, the ECB communicated its assessments, pointing out some weaknesses regarding the self-assessment process and the implementation plan; these aspects will be subject to specific follow-up. Again with regard to climate and environmental risks, on 13 January 2022, the ECB sent the outcome of the gap analysis conducted on the Parent Company on disclosures, highlighting some points for attention.

Thematic Review on climate and environmental risks

On 11 January 2022, the ECB announced that a thematic review on climate and environmental risk will be conducted during the year. As a preparatory activity, the completion, by 18 March 2022, of a self-assessment questionnaire is required, which traces the topics already proposed in 2021 (*Supervisory assessment on self-assessment and implementation plan regarding climate and environmental risks*).



Regulatory Developments

Regulatory developments on Prudential supervision

With reference to the regulatory framework for prudential supervision, from 28 June 2021 the measures provided for by Regulation (EU) 2019/876 (CRR II) entered into force, among which we note:

- the introduction of the minimum leverage ratio requirement equal to 3% of Tier 1 Capital; this ratio represents a supplementary Pillar 1 requirement with respect to risk-based indicators and pursues the objective of limiting the accumulation of leverage in the banking sector; For the purposes of calculating the leverage ratio, account is taken of the ECB decision 1074/2021 of 18 June 2021, which extended the temporary exclusion of certain exposures (until 31 March 2022), subject to the exercise of discretion by the competent authority to central banks from the calculation of the total exposure of the institution;
- the introduction of a structural liquidity indicator with a 1-year time horizon (*Net Stable Funding Ratio*, or NSFR) equal to 100%; the indicator was introduced to ensure that assets and liabilities have a sustainable maturity structure;
- the review of the prudential treatment of exposures to UCITS, envisaging the application of a weighting coefficient of 1,250% (fall-back approach) in the event that the bank is unable to apply the look-through method, the method based on the management regulation, or the method based on the calculation carried out by third parties;
- the introduction of the new standardised method for counterparty risk (SA-CCR) for banks that hold derivatives totalling more than EUR 100 mln in notional value.

On 27 October 2021, the European Commission published a review of the EU banking rules with the proposal to transpose into EU Reg. 575/2013²⁷ (CRR3) and EU Directive 36/2013²⁸ (CRD6) the standards approved by the Basel Committee at the end of 2017, with specific reference to the treatment of the main risks (credit, market and operational) and the called “output floor”, which aims to counteract the possible underestimation of the risk deriving from the use of the banks’ internal models. The proposal also contains references on the topic of climate risks and on how banks and supervisors will have to take them into account and has as its main objective that of further strengthening the resilience of the European banking system, contributing to sustainability with a “green transition” and sharpening supervisory powers.

The transposition of the directive will have to be carried out within 18 months from the date of publication in the Official Journal of the EU, while the new provisions of CRR3 should enter into force on 1 January 2025, therefore two years after the deadline agreed at the Basel level, already deferred by a year in response to the pandemic crisis

New tax regulations

Law Decree no. 59 of 6 May 2021, converted with amendments by Law no. 101 of 1 July 2021

Article 1, paragraph 3 (Superbonus extension for some categories)

Paragraph 3 of the article in question, modifying art. 119 of Law Decree 34/2020 (Relaunch Decree), envisaged a first extension of the concessions relating to the 110% Superbonus, differentiated according to the type of entity carrying out the interventions, to 31 December 2022, 30 June 2023 or 31 December 2023.

Law Decree no. 73 of 25 May 2021 (Support Decree - bis) converted with amendments by Law no. 106 of 23 July 2021

Article 19, paragraph 1 (Transformation of DTAs from the sale of non-performing loans into tax credits)

Paragraph 1 of the regulation in question extends the right to transform deferred tax assets deriving from tax losses and ACE surpluses into tax credits (envisaged by art. 44-bis of Law Decree 34/2019, converted with amendments by Law no. 58 of 2019) also in relation to the sale of non-performing loans carried out by 31 December 2021.

Article 19, paragraphs 2 to 7 (Super ACE)

The rule in question introduces a temporary strengthening of the ACE subsidy, limited to the tax period subsequent to the one in progress at 31 December 2020, intervening both on the basis of the calculation and on the methods of use: only for the increases in own capital made during 2021, and up to EUR 5 mln, the “Super ACE” is determined by applying a higher coefficient (15%) than the ordinary one (1.3%). Furthermore, the possibility of

²⁷ As amended by Reg. UE 876/2019, CRR2.

²⁸ As amended by Reg. UE 878/2019, CRD5.



benefiting from the advantage in advance in the form of a tax credit is provided, which can be used as an offsetting balance in the F24 tax payment form without limits on the amount, or requested for refund or sold to third parties.

Article 19, paragraph 8 (Transformation of DTAs into tax credits for business combinations)

Paragraph 8 modifies, simplifying them, the conditions necessary to benefit from the facilities in question. The amendment makes it sufficient for the competent administrative body to approve/resolve the business combination in the period between 1 January 2021 and 31 December 2021.

However, the resolution passed by the shareholders' meeting is not relevant, which, according to the new formulation, could also intervene in 2022.

Article 67 (Tax credit for advertising investments)

Paragraph 10 of Article 67 replaces paragraph 1- quater of Article 57-bis of Law Decree 50/2017 (in turn introduced by Law 178 of 2020) and provides for, for the years 2021 and 2022, for a subsidy equal to 50% of the investments made as well as an increase in the maximum limit of eligible expenses from EUR 50 mln to EUR 90 mln.

Law Decree no. 146 of 21 October 2021, converted with amendments by law no. 106 of 23 July 2021

Article 5, paragraph 14-bis (Special provisions on the virtual payment of stamp duty for certain subjects)

The rule modifies art. 15-bis of Presidential Decree 642/1972, introducing the following changes for some subjects (including banks):

- the declaration of stamp duty paid virtually must be submitted by February (and no longer January) of the year following the year to which it refers;
- the payment of the first bimonthly instalment of the tax, provisionally paid by the Revenue Agency, is postponed to the last day of April (the previous deadline was set to the last day of February).

Law no. 234 of 30 December 2021 (2022 Budget Law)

Article 1, paragraphs 2 and 3 (IRPEF reform)

The law provides for a reform of the taxable income brackets and IRPEF (personal income tax) rates, with effect from 1 January 2022, in order to reduce the so-called "tax wedge" and taxation, as follows:

- | | |
|--|------|
| • up to EUR 15,000.00 | 23%; |
| • over EUR 15,000.00 and up to EUR 28,000.00 | 25%; |
| • over EUR 28,000.00 and up to EUR 50,000.00 | 35%; |
| • over EUR 50,000.00 | 43%. |

IRPEF deductions by type of income are also revised.

Article 1, paragraph 26 (Strengthening of PIR investments)

The limits are amended of the amounts invested in Individual Saving Plans (*Piani individuali di Investimento* -PIRs) pursuant to art. 1, par. 101, of Italian Law no. 232 of 11 December 2016 ("Traditional PIR"), requiring investors not to exceed the limit of EUR 40,000 per year (previously EUR 30,000) and the limit of EUR 200,000 overall (previously EUR 150,000). This provision, in force from 1 January 2022, is also applicable to existing PIRs.

Article 1, paragraphs 28 to 36 (Measures relating to Building Bonuses)

The 2022 Budget Law contains provisions that further revise the regulations of "Building bonuses" which make it possible to exercise the discount options on the consideration or transfer of the credit. In particular, the following measures were applied:

- for the Superbonus, (i) differentiated extension according to the type of subject up to the maximum deadline of 31 December 2025, (ii) reduction of the rate from 110% to 70% for 2024 and to 65% for 2025; (iii) starting from 2022, the deduction is due in four annual instalments;
- the "Building renovation", the "Ordinary Sisma Bonus" and the "Ordinary Eco-bonus" are extended until 2024;
- the "Facciate Bonus" was extended for 2022 only, with the rate at 60% (instead of 90%);
- a building bonus dedicated to the elimination of architectural barriers is introduced for 2022 alone in the amount of 75% of documented expenses.

The Budget Law combines the provisions of Law Decree 157 of 12 November 2021 and of the "Anti-fraud decree" (which was repealed at the same), which envisage, among other things:



- the mandatory affixing of the compliance mark and of the adequacy certification of the expenses incurred by a qualified expert in the case of the option for discount on the invoice or for the assignment of the tax credit also for building bonuses other than the Superbonus (the aforementioned certification is not required for works without specific construction permits or for a total amount not exceeding EUR 10,000, with the exception of the Facade Bonus, for which a compliance mark and certification are always necessary);
- the right on the part of the Revenue Agency to suspend the effectiveness of the communication of the option of assigning credits or discounts on the invoice if there are risk profiles for the purposes of preventive control of the correctness of the operations.

Article 1, paragraphs 44 and 45 (Tax credits for investments in capital goods and for research, development and innovation)

With the 2022 Budget Law, the regulation of the tax credit for investments in capital goods functional to the technological and digital transformation of companies according to the “Industry 4.0” model (with re-modulation of the rates) is extended from 2022 to 2025. The tax credit for investments in intangible assets connected to these assets and the tax credits for research, development and innovation are also extended with amendments.

Article 1, paragraphs 70 and 71 (Tax incentives for business combinations)

With the article in question of the 2022 Budget Law, the incentive in question was extended in relation to the hypothesis of merger, demerger or transfer of business unit, whose plan has been approved or resolved by the board of directors between 1 January 2021 and on 30 June 2022. In addition, in the case of transactions for the acquisition of control (e.g. acquisition of equity investments), the deadline for completing the subsequent merger, demerger or transfer transaction was established in the two years following the acquisition of control, in place of the originally planned term of one year.

The article in question provides for an additional limit, in absolute value, on the amount of convertible DTAs, equal to EUR 500 mln.

Article 1, paragraph 72 (Offsetting tax and social security payables and receivables)

The Budget Law amending, with effect from 1 January 2022, art. 34, Law no. 388/2000, confirms the maximum limit, equal to EUR 2 mln, of tax credits and contributions that can be offset horizontally.

Article 1, paragraphs 622 and 623 (Revaluation of business assets and realignment of civil and tax values)

The Budget Law amended the revaluation and realignment of tax values pursuant to art. 110, Legislative Decree 104/2020 (August Decree) establishing that, for the higher values attributed to trademarks and goodwill on the basis of this regulation, amortisation can be deducted to an extent not exceeding one fiftieth for each tax period. It is possible to maintain to deduct amortisation over eighteen years, but only upon the payment of an additional substitute tax, in brackets from 12% to 16%, net of the substitute tax of 3% paid for the revaluation or for the realignment.

Decree Law no. 17 of 1 March 2022 (Deferral of the deduction of the 2021 portion of value adjustments on bank loans)

Following the introduction of urgent measures to contain the costs of electricity and natural gas, for the development of renewable energy (also following the Ukraine-Russia conflict) and for the relaunch of industrial policies, in order to provide the related financial coverage, the deferral of the deduction, for the purposes of corporate income tax (as well as the relative surtax) and the regional tax on productive activities, of the 12 per cent share of the amount of the adjustments on credits provided for, by paragraphs 4 and 9 respectively, of article 16 of the Decree-Law no. 83 of 27 June 2015, converted with amendments by Law no. 132 of 6 August 2015, for the current tax period ending at 31 December 2021, on a straight-line basis, to the tax period in progress as at 31 December 2022 and to the three subsequent ones.



New employment law regulations

Remuneration policies

Regulatory developments in 2021 will have an impact on 2022 remuneration policies. In particular:

1. National legislative and regulatory framework

On 23 April 2021, Law no. 53 of 22 April 2021 containing the “Delegation to the Government for the transposition of European directives and the implementation of other 2019/2020 European Union acts (“European Delegation Law”) was published in the Official Gazette. The Law delegates the Government to issue Legislative Decrees for the transposition of European directives and the implementation of other European Union acts, including CRD V and CRR II.

On 24 November 2021, following a public consultation concluded on 31 January 2021, the Bank of Italy published the 37th update of Circular 285/2013 (“Supervisory Provisions”, hereinafter SP) containing the revision of the Provisions on Remuneration policies and practices in banks and banking groups. The amendments contained in the provisions are aimed at implementing the changes introduced in this regard by CRD V (directive 2019/878/EU) and the Guidelines of the European Banking Authority implementing directive (EBA/2021/04). In particular, the main changes pertain to the proportional application of the regulations, the application of the exceptions regarding the deferral and use of instruments for the variable remuneration of key personnel, the neutrality of remuneration policies by gender, the application of the regulations at consolidated group level, the criteria for identifying key personnel (in acknowledgment of the provisions of CRD V and in conjunction with the provisions of the Delegated Regulation (EU) 2021/923 mentioned above), to certain aspects related to variable remuneration (minimum deferral period, retention bonus). The new Supervisory Provisions apply starting from the “2022 Remuneration policies”.

2. European legislative and regulatory framework

On 4 March 2021, the European Commission proposed the Directive to strengthen the application of the principle of equal pay for men and women for equal work or work of equal value. The proposed directive submitted to the European Parliament and Council pursues the objective of establishing wage transparency within organizations, facilitating the application of key concepts relating to equal pay, including “remuneration” and “work of equal value”, strengthening enforcement mechanisms. Member States must transpose this Directive within two years of its adoption and communicate their transposition measures to the Commission.

On 9 June 2021, the Delegated Regulation (EU) 2021/923 of the European Commission of 25 March 2021 was published in the Official Gazette of the European Union, containing the new regulatory standards for the identification of key personnel on the basis of qualitative and quantitative criteria directly applicable in each of the Member States. It transposes the *Regulatory Technical Standards defined by the European Banking Authority* (EBA) on 18 June 2020 and in force since January 2021, in application of the new directive on capital requirements (CRD V).

The EBA published on:

- 23 June 2021, the Report on management and supervision of ESG risks for credit institutions and investment firms, on the management and supervision of environmental, social and governance risks of credit institutions that provide for the inclusion of ESG parameters in their personnel remuneration and incentive mechanisms.
- 2 July 2021 its new Guidelines on sound remuneration policies (“EBA Guidelines”), to replace those of 2015 and intended to adopt the new provisions of the CRD V, particularly with reference to the gender neutrality of remuneration policies and the application of exemptions on the variable remuneration of key personnel. The EBA Guidelines will apply from 31 December 2021 and, as part of the usual comply or not mechanism, the Bank of Italy has declared its compliance.

The European Securities and Markets Authority (ESMA) published on 19 July 2021 a consultation paper entitled *Consultation Paper Guidelines on certain aspects of the MiFID II remuneration requirements* (ESMA Guidelines) aimed to Banks, Investment Companies, Investment managers and UCITS, proposing an overall review of their “Guidelines on remuneration policies and practices” issued in June 2013 (pursuant to the “MiFID”) following the adoption of the MiFID II Directive (EU Directive 2014/65). The Authority’s aim is to clarify several aspects concerning in the remuneration requirements established by the MiFID II Directive, as well as guarantee its uniform application, in



order to enhance investor protection. The consultation ended on 19 October 2021 and ESMA intends to publish the final Guidelines by the first quarter of 2022 and request their adoption by the end of the first half of 2022.

Lastly, with reference to the recommendations issued by the Regulators at a time of public health emergency, please note that on 23 July 2021 the ECB decided not to extend beyond September 2021 the recommendation on the prohibition against the distribution of dividends, in any event requesting the adoption of a prudent policy.

Personnel administration

On 19 December 2019, the agreement to renew the National Collective Labour Agreement (NCLA) of 31 March 2015 was signed for the Middle Managers and staff of the Professional Areas of the banking sector.

The contract comes into effect at the signing date and will expire, both for the economic and for the regulatory portions, on 31 December 2022.

The principal changes are shown below (those that are not strictly financial are detailed in the Non-Financial Statement, available on the Parent Company's institutional website, see <https://www.gruppomps.it/en/sustainability/report.html>):

- a project has been set up between the parties to define a new personnel classification system; Currently, the I and II Professional Areas have been eliminated and incorporated into a new Area defined as "Formerly I and II Professional Areas". As at 31 December 2020, the BMPS Group had 137 resources in this position (of which 129 in the Parent Company);
- art. 46 has been repealed (Entry salary level) of the 2015 NCLA, which applied to new hires with permanent contracts, with consequent application of the higher salary scale level;
- a full series of measures have been agreed to recognise particular personal and family situations of workers with the granting of paid and unpaid leaves;
- the value of inclusion and diversity was recognised and the commitment to develop support policies for people with different abilities and the right to "disconnect" outside working hours and during holidays was confirmed;
- the provision according to which the employee severance pay is calculated based exclusively on the salary as per the scale level, seniority and the amount referred to the revision of the salary scale has been extended to the period 1 January 2019 - 31 December 2022.

In the course of 2021 there were no news or changes compared to what is already known.

Social security

As at 31 December 2021, the "Quota100" as required by Law Decree 4/2019, coordinated with conversion law no. 26 of 28 March 2019, ceased to apply.

The budget law relating to 2021 (Law no. 178 of 30 December 2020) further extended the right to opt for the "Women option" (also envisaged by Law Decree 4/2019) in relation also to 58-year old female workers who reached a contribution seniority of 35 years by 31 December 2020 (art. 1, paragraph 336).

In addition, the Italian Social Security (INPS) has implemented the ISTAT (Italian Statistics Institute) indications on life expectancy, anticipating the retirement dates for 2022 by 3 months. This advance was extended by the Solidarity Fund Committee (with resolution of 2 November 2021) also to persons who had access to the Fund in 2017 and 2018. This advance made it necessary to recalculate the debt for the sector's solidarity fund for these resources.



Other relevant regulations

MREL (Minimum Requirement for own funds and Eligible Liabilities)

The MREL requirements are governed by Directive (EU) 2019/879 of the European Parliament and of the Council of 20 May 2019 (so-called BRRD II), implemented in Italy with Legislative Decree no. 193 of 8 November 2021, and by Regulation (EU) 2019/877 of the European Parliament and of the Council of 20 May 2019 (so-called SRMR II). Among other things, these provisions define the calibration of the MREL coefficient and its level of application, the powers of the Resolution Authorities in case of violation of the MREL and the obligation of banks to communicate to the Resolution Authorities and the public, as well as identify the eligibility requirements of liabilities for MREL purposes, the minimum subordination requirements for “top-tier banks” (with total assets exceeding EUR 100 bn) and the requirements for the sale of subordinated liabilities to retail customers.

In line with the provisions of Regulation (EU) 2019/877, the Resolution Authorities establish two binding MREL objectives: an “intermediate MREL target” to be reached by 1 January 2022 and the final “MREL target” to be reached by 1 January 2024. Moreover, the so-called “Pillar 1 banks” (G-SIIs and significant subsidiaries of non-European G-SIIs, top-tier banks and other banks chosen by the competent national resolution authorities on the basis of the systemic risks potentially associated with their failure) are subject to an additional subordination requirement, the “subordinated MREL”, which must be fully met by using own funds and subordinated liabilities. This minimum subordination requirement for top-tier banks is 13.5% in terms of TREA (*Total Risk Exposure Amount*) and 5% in terms of LRE (*Leverage Ratio Exposure Measure*).

On 18 February 2022 the Parent Company received from the Bank of Italy, in its capacity as Resolution Authority, decision SRB/EES/2021/177 of the Single Resolution Committee on the determination of the minimum requirement for own funds and eligible liabilities (hereinafter “2021 MREL Decision”), which replaces the one received in December 2020.

Starting from 1 January 2024, the Parent Company must comply, on a consolidated basis, with an MREL of 23.32% in terms of TREA, to which the Combined Buffer Requirement (CBR) applicable at that date must be added, and 7.22% in terms of LRE (Leverage Ratio Exposure Measure). To these must be added the additional subordinated MREL requirements, i.e. to be met with own funds and subordinated instruments, equal to 17.34% of TREA, to which the CBR and 7.22% of LRE applicable at that date.

In the transitional period, from 1 January 2022, the Parent Company will have to comply, on a consolidated basis, with an intermediate MREL of 18.95% in terms of TREA, to which the CBR must be added (equal to 2.75% in 2022) and 6.22% in terms of LRE. To these must be added the additional subordinated MREL requirements, to be met with own funds and subordinated instruments, equal to 13.5% of TREA, to which the CBR must be added, and 6.22% of LRE.

Financial Benchmark Regulation

On 1 January 2018, the new European Regulation 2016/1011 on indices entered into force (including commonly used rates such as the Euribor, Libor and Eonia), which are used as benchmarks for financial instruments and contracts or to measure the performance of investment funds. The Regulation was subsequently implemented in Italy through Legislative Decree 19 of 13 February 2019.

The primary objective of the legislation is to guarantee the integrity of the indexes qualified as benchmarks (i.e. widely disseminated and used) by improving their governance and strengthening the relative controls. Thus, the aim of protecting consumers and investors is pursued through greater transparency and accuracy of the benchmarks.

Moreover, the Regulation classifies the different types of players involved in the process of defining and/or managing the benchmarks, providing for different obligations according to the role performed (administrators, contributors, users of benchmarks). In particular, benchmark users, which includes MPS Group, are required to draft and maintain robust written plans that specify the actions to be taken in the event of substantial changes in a benchmark or, if the benchmark is no longer provided, describing, if possible, one or more alternative benchmarks that may be used. MPS Group therefore adopted a regulation during 2019 that describes the internal procedures to be applied in the event that a benchmark is no longer provided or if it changes substantially.

The Financial Benchmark Regulation with the related requirements imposed on index administrators, together with the recommendations published by the Financial Stability Board on the main benchmarks used, have resulted in a massive process of reform for indices, for which the institution, in the various jurisdictions, has participated in working groups to identify possible alternative rates with respect to the current benchmarks used, if these become unavailable or can no longer be used.



The specific Working Group in Europe, which involves several financial institutions with the European Central Bank and European Commission acting as observers, established that the alternative risk-free rate to be used for the Eurozone would be the €STR rate, published daily by the European Central Bank from 2 October 2019.

This decision, together with similar interventions undertaken by the central banks of other areas (e.g. the Federal Reserve Bank of New York for the new SOFR rate, the Bank of England for the Sonia rate), began the transition towards alternative benchmarks, in which financial institutions will be heavily involved in the coming years.

With regard to the Euribor rate, in 2019 the EMMI director defined a new hybrid method for determining the parameter, receiving authorization from the Belgian authority for the purposes of the Financial Benchmark Regulation and confirming the possibility of using this critical benchmark within its own contractual relations.

In order to implement the actions necessary to manage the effects of the aforementioned Reform, the MPS Group has planned a specific project on the issue of the reform of the financial ratios and the transition to the new risk-free rates, aimed at analysing regulatory developments, assessing their impacts and adopting the relative measures. In particular, for the new €STR risk-free rate in the Eurozone and for the replacement rates relating to the disposal of LIBORs, the necessary interventions were made to update the company systems to acquire the new rates. The actions undertaken concerned:

- assessment of the functions, systems and processes affected by the reform;
- identification of the rates to be used in alternative to discontinued indices;
- identification of gaps in the transition process;
- development of an action plan and definition of a governance able to manage the stages of the transition process;
- legal review of existing contracts and drafting of updated contracts with the new indices (fallback clause);
- assessment of the effects of the transition on the accounting, risk management and position keeping systems;
- development of the requirements for the application of the new rates.

With particular reference to OTC derivatives and in line with what was done by most financial market operators, the Parent Company and the subsidiary MPS Capital Services Banca per le Imprese S.p.A. joined the ISDA 2020 IBOR *Fallback Protocol* and the ISDA 2021 EONIA *Collateral Agreement Fallbacks Protocol*. These protocols were created to allow the parties to massively modify the contractual terms of existing transactions, incorporating the alternative rates (fallbacks).

Brexit

On 29 January 2020, following the approval by the UK Parliament and the European Parliament of the Brexit agreement (known as the *Withdrawal Agreement*) reached in October 2019, the second phase of negotiations between London and Brussels began. The *Brexit Date*, confirmed as at 31 January 2020, saw the United Kingdom leave the European Union only at a political level but not yet at an economic level.

Throughout 2020, the current EU legislation remained applicable to the United Kingdom, as well as to legal entities resident there, with the substantial crystallization of the previous status quo for the whole of 2020. In the next phase, which lasted 11 months, negotiations were launched to define the terms of the collaboration agreements that will govern future relations between the two parties.

Given the complexity of the negotiations, which also coincided with an unprecedented global health crisis, the agreement on the future trade and security relations of the United Kingdom with the European Union was reached between the parties just one week before the end of the Brexit transition period. Although partially reducing the uncertainty on the way forward for both parties and being decidedly better than the “no-deal” scenario, some crucial implications still need to be assessed. The EU and the UK have reached agreement on the MoU to provide a forum for discussion on financial regulation, should pursue “solid and ambitious bilateral regulatory cooperation” in the financial services sector in the future, but should not establish the formal cooperation framework required by industry, as the joint forum would be of a more informal nature. However, the commitment to share information on anti-money laundering and terrorist financing remained.

In September 2020, the Commission adopted an equivalence decision for UK CCPs valid for a limited time, until 30 June 2022, in order to avoid any possible financial stability risks. In this equivalence decision, market participants were asked to take action and reduce their exposures to UK CCPs. In the course of 2021, the Commission set up a working group (together with the European Central Bank, the European Supervisory Authorities and the



European Systemic Risk Board) to examine the opportunities and challenges related to the transfer of derivatives from the United Kingdom to the EU. The discussions of the working group showed that a combination of different measures aimed at improving the attractiveness of clearing, incentivising the development of infrastructures and reviewing supervisory provisions was necessary for the development of a strong and attractive central clearing capacity in the EU in the years to come. The deadline of 30 June 2022 was considered too close to reach these objectives, therefore, on 8 February 2022, the European Commission announced the extension of the equivalence decision for UK CCPs until 30 June 2025.

Taking into account the preparatory activities carried out by the MPS Group since 2020, through the transfers of existing positions with UK clearing brokers to EU clearing brokers, as well as the signing of new agreements with CCPs and EU trade repositories and the recent formalization, in early February 2022, of the equivalence for UK clearing firms through 2025, no impacts on capital absorption are expected with respect to what has already been considered in the regulatory reports.

Communications from authorities and standard setters in the accounting field

For 2021, the provisions of the various Regulators published during the 2020 financial year, which aim to guarantee intermediaries flexibility in the management of the period of tension due to the pandemic, remained valid. In addition, credit institutions were encouraged to apply their judgement in their forward-looking credit assessments as per IFRS 9, to acknowledge the unique characteristics of this highly exceptional situation.

In detail, with reference to accounting issues, the interventions of the regulators/standard setters mainly focused on the following areas:

- guidance on the classification of loans, issued by IASB, ECB and EBA, which have provided guidelines for the treatment of moratoria in particular for the classification of loans as forborne and performing / non-performing;
- the determination of the *Expected Credit Loss* (“ECL”) according to IFRS 9 from a forward-looking perspective, in particular the issue of the use of future macroeconomic scenarios (issue dealt with by the IFRS Foundation in general and, in more detail, by the ECB), the assessment of the significant increase in credit risk (SICR), the inclusion of government guarantees in the calculation of the expected credit loss (ECL), the consideration of the effects of risks linked to climatic and environmental issues;
- recognition of the effects (gain/loss on forbearance) related to contractual changes resulting from customer support measures;
- financial reporting, with particular reference to the thematic areas identified by ESMA for 2021.

For an examination of the main indications provided by the authorities and standard setters and how the Group has taken them into account in the preparation of this Consolidated financial statements, please refer to the section “Significant accounting policies in preparing the financial statements in the context of the COVID-19 pandemic” in the Notes to the consolidated financial statements.



Main risks and uncertainties

Risk identification

As part of the work to define the *Risk Appetite Statement*, as carried out every year, the Group identified ex-ante the different types of risk to which the Group is or could be exposed in performing its current and future activities. Various factors have been taken into account in the risk identification process, such as analysis of the external context (EU regulations, ECB/Bank of Italy/EBA provisions), assessments of the main macroeconomic scenarios, analysis of the strategic and business model, and assessment of relevant risks, with a focus also on possible emerging risks.

After identification, risks are mapped into significance classes. Credit risk, market risk and operational risk (including legal risk), business risk and strategic risk, as well as liquidity risk for the funding risk and short-term liquidity risk components, were included in the high risk class.

The medium class includes participation risk, interest rate risk on the banking book, issuer risk, model risk, counterparty risk, compliance risk, operational risk components attributable to IT risk and cyber security risk, the risk of excessive leverage and reputational risk as well as, on the liquidity side, asset concentration risk, funding concentration risk and intraday liquidity risk.

The remaining risks were classified as low significance or insignificant.

The risks classified as high as well as other risks to which the Group is exposed are described in more detail below.

Risks linked to the prospective capital shortfall

Expectations of a future capital shortfall with respect to the overall capital requirements and the results of the EBA 2021 stress test revealed the need for a capital strengthening estimated for EUR 2.5 bn.

In the absence of a “structural solution”, DG Comp and the ECB must assess, as far as they are concerned, the intervention of the Government on the basis of the Bank’s stand-alone viability, taking into account the new 2022-2026 Strategic Plan. It cannot be excluded that, as part of this assessment, unforeseeable elements might arise that could affect the Parent Company’s capital strengthening process and the structure and feasibility of a capital increase at market conditions. If the capital increase does not take place at market conditions, the Italian government intervention will be classified by DG Comp as “State aid” and the cost sharing principle provided for under the regulations in force will apply.

Lastly, if DG Comp and the ECB were to conclude that the Group is not viable, winding-up proceedings or, if the winding up was not found to be in the public interest, the orderly liquidation of the Group would be initiated.

Credit risk

Lending activity represents the Group’s core business and the main risk component, representing approximately 53% of the Group’s total RWA (around 71% on Pillar 1 RWA). The classification as high risk remained unchanged compared to the previous year, especially in relation to the current macroeconomic context, which could lead to a significant increase in default flows in the next three years.

In general, the continuation of the uncertainty due to the persisting COVID-19 pandemic could have a negative impact on the ability of the Group’s customers to meet their obligations and hence cause a significant deterioration in the credit quality of the Parent Company and/or the Group, with possible negative effects on activities and the financial situation of the Parent Company and/or the Group.

In this context, in 2021, the two main support actions envisaged by the Law Decrees issued by the Italian Government continued: the granting of moratorium measures directly attributable to the COVID-19 emergency and support to companies through the provision of new finance. With regard to non-performing loans, for which a slowdown in the treatment and recovery rates was observed, activities aimed at reducing the stock of NPLs continued. However, this indicator could increase again in light of the above in relation to the persistence of the crisis and the related ability of customers to honour the commitments undertaken.

Market Risk

Market risk remains a significant risk to which the Group is exposed due to the potential volatility of the underlying market variables, even if the trend of recent years has shown a decrease in overall sovereign exposures in the portfolio. The assessment considered the forward-looking effects on the capital requirements regarding the trading portfolio, due to the entry into force in the coming years of the new method for calculating capital requirements on market risks (*Fundamental Review of the Trading Book*). The ECB itself indicated, among the points of attention,



the exposure and concentration in Italian government bonds and the relative vulnerability to changes in the spread and issuer risk.

Operational risk

Exposure to operational risk is confirmed as highly significant. Particularly significant issue with prospects not yet fully outlined include disputes pending against previous representatives in relation to the share capital increases for the period 2008-2015, as well as the burden sharing carried out in 2017 at the time of the precautionary recapitalisation.

Other important components for the purposes of exposure to operational risk are cyber security risk and IT risk, also due to the extension of the use of web collaboration and smart working tools. These potential risks are subject to continuous monitoring and specific mitigation measures, such as the strengthening of the access authentication system and personnel training and awareness-raising on cyber risk.

Business and strategic risk

The heavily negative context connected to the COVID-19 pandemic inevitably had repercussions on the business dynamics of the MPS Group in 2020 and in 2021. Despite the prospective benefit of the vaccination campaigns, uncertainty remains high regarding the timing of normalisation, also following the recent spread of new variants of the virus, with the prospect of the risk connected to economic and market dynamics still characterized by high degrees of uncertainty. This uncertainty is further fuelled by the escalation of the military conflict between Russia and Ukraine and by the international sanctions introduced against the Kremlin, which could penalize the current expansionary cycle and the Italian economy, which is heavily dependent on Russian energy supplies.

From a strategic perspective, on 17 December 2021 the Board of Directors approved the 2022-2026 Strategic Plan. The Plan fully replaces the previous 2021-2025 Strategic Plan, approved by the Parent Company in December 2020, which was drafted intending a structural operation to be carried out in the short term. The Plan was presented as part of the various information, approval and regulatory processes that the Bank has undertaken with the European Central Bank, the Single Resolution Board and the DG Competition. The positions of the aforementioned Authorities constitute a prerequisite for the capital strengthening operation envisaged in the Plan. The Plan, which forms the basis for the launch of the above approval processes, may however have to incorporate amendments, including significant ones, to reflect the outcomes from discussions with the competent Authorities.

Liquidity risk: Funding risk and Short-term liquidity risk

In general, during 2021, the Group's liquidity profile remained at very strong levels.

With regard to funding risk, the sustainability of the financing profile (understood as the ability to finance banking activities with stable resources) was pursued mainly through access, during the first half of 2021, to additional TLTRO III auctions.

With reference to *short-term liquidity risk*, after having experienced in the past liquidity stress phases, the Group has maintained short-term liquidity indicators at very high levels in the last few years.

However, a "high risk" classification was maintained, given the particular regulatory attention paid to internal models for determining cash outflows. The specific nature of liquidity risk means that, despite the levels of solidity demonstrated, it remains at a high level as sudden systemic or idiosyncratic crises develop in fast moving scenario, with potential immediate and strong repercussions on both customer behaviour and market access.

Other risks and uncertainties

Risks associated with regulatory stress tests

Every two years, the *European Banking Authority* (EBA) conducts stress tests at EU level in collaboration with the European Central Bank (ECB), the European Systemic Risk Board (ESRB) and the European Commission. The sample included in the exercise includes the largest significant credit institutions subject to direct supervision by the ECB. The EBA methodology and models are applied, while the baseline scenarios and assumptions are jointly developed by the EBA, the ESRB, the ECB and the European Commission. In the years in which the EBA coordinates the stress test at EU level, the ECB internally conducts a stress test for the banks subject to its direct supervision not included in the test at EU level. The ECB exercise is part of the annual SREP. The EBA methodology is used and the results are then published by the ECB.



The Group is therefore exposed to the uncertainties deriving from the outcome of the stress tests consisting in the possibility of incurring a potential tightening of the capital requirements to be met, if the results show a particular vulnerability for the Group to the stress scenarios assumed by the Regulators.

Risks associated with breach of MREL requirements

Given the postponement of a potential capital increase to 2022 and the absence of any debt issuance in 2021, the Parent Company reports a temporary breach of the existing MREL requirements as at 1 January 2022. For more detailed information, please refer to paragraph “Funding strategy and MREL capacity” above.

With reference to the aforementioned breach, on the basis of the provisions of Art. 78a of CRR and the SRB “Communication on application of RTS provisions on prior permissions” published in September 2021, the Parent Company was not able to obtain the prior authorization to operate as “market maker” on its Senior Bonds, required by law as from 1 January 2022, pursuant to Art. 77 (2) of the CRR. Therefore, starting from that date, Banca MPS and its subsidiaries suspended this type of operation.

Pursuant to art. 16 bis of Directive 2014/59/EU (“BRRD 2”), there is a risk that the resolution authority will prohibit distributions that exceed the maximum distributable amount related to the minimum requirement of own funds and eligible liabilities (“M-MDA”, Maximum Distributable Amount related to the minimum requirement) calculated in accordance with paragraph 4 of the same article. In particular, the prohibition may concern: a) a distribution connected to Common Equity Tier 1; b) create an obligation to pay variable remuneration or discretionary retirement benefits or pay variable remuneration if the payment obligation was created at a time when the entity did not meet the combined buffer requirement; or c) payments on Additional Tier 1 capital instruments.

After consulting the competent authority, the resolution authority assesses without undue delay whether to exercise the power referred to above, completing this assessment in consideration of additional elements identified (for a precise list of the same, please refer to art. 16) bis of Directive 2014/59/EU). If the Parent Company remains in breach, the resolution authority repeats the assessment to decide whether to exercise this power at least every month; where, after nine months from the notification of the breach, the Parent Company remains in this situation, the resolution authority exercises the power referred to above, unless there are certain specific conditions expressly provided for and reported in the same art. 16 bis of Directive 2014/59/EU. The assessment of the existence of at least two of these conditions constitutes a hypothesis of exception to the exercise of the power to prohibit distributions that exceed the M-MDA and must be repeated monthly.

Risks associated with audits by Supervisory Authorities

The Group is exposed to the risk that the measures taken over time to eliminate the critical issues identified by Supervisory Authorities following the audits conducted/to be conducted may not be effective. Furthermore, if the Group is unable to promptly comply with the Supervisory Authorities’ requests, it could be subject to penalties, or to various measures restricting its operations, or other measures set forth by supervisory regulations.

Reputational risk

The reputational profile of the Group continues to highlight certain weaknesses linked to media exposure. The main factors are linked to the outcome of some proceedings pending from past events, on which there are still rulings in favour of the Bank and the closure of some disputes of particular relevance, and to the outcome of the ongoing discussions for the authorization of the Italian State to participate in the Parent Company’s share capital. It cannot be excluded that, despite the mitigation measures implemented, the Group may in the future suffer pressure on its risk situation in relation to the results of the authorization process of the 2022-2026 Strategic Plan which is still underway.

Risk linked to representations and warranties given in the sale and demerger of impaired loans

The signing of contracts to transfer portfolios of non-performing loans entailed, aside from the primary benefits for which they were carried out, also the resulting assumption of specific contractual commitments, including in particular representations and warranties (“R&W”) which are binding for a specific period of time, and the violation of which entails the obligation for the Parent Company and the other Group banks (Transferors) to provide compensation to the transferees for the damage suffered through the disbursement of sums.

The compensation, or that financial amount intended to compensate a party for harm suffered, is an essential part of all disposal agreements as it is the instrument whereby the acquirer protects itself with respect to certain events and, especially, the possible faults that may be present in the credit facilities acquired.



The R&Ws, the violation of which requires the Transferors to provide compensation, always have a pre-established duration (between a minimum of 12 months and a maximum of 36 months) in order to prevent the Transferors from being overly exposed to requests for compensation and the associated disbursement risk. In standard contracts, the R&Ws protect the transferees with respect to the minimum requirements that a transferred loan is supposed to meet, such as its existence, its principal amount, the presence of the minimum documentation required to enforce it, or the elements necessary for the transferees to carry out all necessary judicial and out-of-court recovery activities.

In more exceptional cases (based on the contractual context or the agreed price), as took place for the disposal of the bad loan portfolio as part of the securitisation of loans carried out by the Group in favour of Siena NPL S.r.l. in December 2017, a particularly complex set of R&Ws issued by the Transferors was agreed upon in the contracts, outlined in a specific annex containing 62 R&Ws which govern in a very detailed manner a number of the characteristics of the loans subject to disposal, which the Transferors have represented as true and existing when the contracts were signed.

In any event, the damage subject to compensation can never exceed the price paid for the acquisition of the defective loan plus any expenses incurred and an interest component at a rate set forth in the contract and in any case at overall level a maximum amount (cap) is established beyond which the Transferors are not required to provide any compensation even in the presence of confirmed violations. The cap is generically determined as a percentage of the price paid for a specific portfolio; in particular, for the sale to Siena NPL, already mentioned, it was equal to 28%. The R&W released expired on 31 July 2021.

With reference to the sale of lease-secured bad loans, the “Morgana sale”, it should be noted that the terms of validity for the representations and warranties expired at the beginning of October 2021.

With regard to the disposal of UTP loans, it should be noted that the representations and warranties issued to the various transferees involved in the various transactions carried out by the Group over the last few years, expire, at the latest, in May 2023.

Lastly, it should be noted that, as part of the demerger transaction known as “Hydra M”, which became effective on 1 December 2020, the Parent Company issued representations and warranties in favour of AMCO, whose violation can be asserted by the beneficiary company no later than 30 November 2022 and envisage a cap of approximately 10% of the total assets of the demerged complex net of the related assets.

Risks associated with securitisations

The Group has maintained a series of exposures towards the securitisation transactions carried out and, therefore, with respect to the trend of collections and recoveries of the securitised portfolio. In this case, the exposure to the relative risks would remain, in terms of effective return and possibility of recovery of the investment made, when the flows deriving from securitised assets are lower than those expected over the life of the transaction. In this regard, it cannot be excluded that the consequences of the economic crisis caused by the COVID 19 pandemic may have negative impacts on exposures to securitisations held by the Group, due to delays or reductions in expected collections from securitized assets.

Risks associated with the exposure and performance of the real estate sector

As part of its operations, the Group is exposed to risk in the real estate sector, both as a result of investments directly held in owned properties and, in the context of lending activities, as a result of loans granted to companies operating in the real estate sector, whose cash flows are mainly generated by the rental or sale of properties (known as commercial real estate), as well as from the activity of granting loans to private individuals backed by real estate collateral.

Risks related to outsourcing certain services

The Group is exposed to the risks associated with outsourcing certain services and, in particular, to risks deriving from (i) operations and continuity of outsourced services or (ii) any indemnity obligations borne by the Parent Company provided for in the contracts governing the aforementioned delegation of services.



Risks related to the regulatory context

In general, the Group is exposed to the uncertainties arising from possible evolutions in the reference regulatory framework to which it is subject, which is particularly complex (as described below), i.e. any changes in regulations and/or changes in their methods of interpretation and/or application by the competent supervisory authorities.

Risks related to the economic-political context

The Group is exposed to the risk linked to the evolution of Italian economic conditions and to a general trend of the European and global economy, which continue to exhibit significant elements of uncertainty (see the “Reference context” section).

The Group’s results are heavily influenced by the general economic context and by dynamics in financial markets and, in particular, by the performance of Italian economy (based on, among other things, factors such as the solidity perceived by investors, prospects of expected growth of the economy, creditworthiness, stability of the political context), as it is the country in which the Group operates almost exclusively.

Inflation persistently at historic highs, fuelled by shortages in global supply chains and by the rise in commodity prices, especially energy, could force the Monetary Authorities to withdraw their stimulus measures early and rapidly with the risk of depressing the expansionary cycle in place. On the international stage, an armed invasion of the Ukrainian territory by Russia has generated the inevitable reaction from the West, which has imposed heavy economic sanctions on Moscow, foreshadowing the return of a scenario characterized by opposing power blocks, with the risk of military escalation with repercussions on the economic cycle. The selective expulsion of some Russian banks from the Swift circuit²⁹ and the freezing of the assets of the Russian Central Bank could also generate tensions on the international financial markets with an impact on the intermediaries most exposed to Russia. At the same time, geopolitical tensions are helping to keep pressures on natural gas prices high, with Europe heavily dependent on supplies from Russia. An inefficient or incomplete implementation of the growth support policies envisaged in the National Recovery and Resilience Plan (PNRR) in the medium term could further slow down the recovery of the Italian economy. Lower expected growth could fuel fears on the sustainability of public debt, with repercussions on the BTP-Bund spread.

Risks associated with future regulatory asset quality reviews

The EBA, in cooperation with the competent Supervisory Authorities, could decide in the future to recommend a new asset quality review of the major European banks, obviously including the Group, whose results would not currently be predictable.

Risks associated with the COVID-19 pandemic

The health emergency induced by the ongoing pandemic affected in 2021 as well, both market performance and business operations, the latter penalized by increasingly stringent containment measures imposed, which led to the interruption of many production activities in Italy and in the world.

Despite this, the confidence in a full revival of the global economy, albeit held back on several occasions by the succession of new waves of spread of COVID-19, was the factor that prevailed in 2021, causing widespread increases on all the main world lists.

In addition, the positive effect of the vaccination campaign in Italy, combined with the continuing accommodating policies of central banks and national government support plans, contributed to a rebound in prices and economic indices compared to the drops recorded in 2020. These factors also made it possible to overcome a large part of the uncertainties linked to the unexpected higher inflation rates and the energy and raw materials crises, phenomena that occurred in the second half of the year.

The action of the Italian Government led by Mario Draghi concerned a series of measures aimed, on the one hand, at mitigating the economic and social repercussions of the health emergency on families and businesses and, on the other, at strengthening actions to combat the pandemic in the health field.

If, as anticipated, the serious situation caused by the pandemic would portend an unprecedented economic crisis, for the world of financing the guideline was essentially that of continuity with respect to 2020, acknowledging and

²⁹ Society for Worldwide Interbank Financial Telecommunication, is a secure messaging system that guarantees very fast transactions with very high security standards and which in fact regulates the vast majority of international financial transactions



adjusting the so-called “Covid” loans and the suspensions of existing loans to the legislative measures that followed, in application of the Support Decree - Law Decree no. 41/2021- Support Decree Bis - Law Decree no. 73/2021 for Micro, Small and Medium-sized enterprises, the possibility was granted to extend the existing suspensions, first until 31/12/2020 and then 30/06/2021 (pursuant to “Cura Italia” decree), limited only to the principal portion until 31/12/2021. The same Decree reintroduced the regulatory exceptions on the Gasparrini fund until 31 December 2021, allowing freelancers and entrepreneurs to request the suspension of mortgage payments on their private homes (further extended by the 2022 Budget Law). With regard to financing products for the agrifood sector, in addition to the specific initiatives that arose as a result of the regulations issued in reference to the epidemiological emergency, interventions were activated to optimize and rationalize the range as well as to update some financing products, in order to make the proposals more appropriate to the changed commercial and market needs.

With reference to operational risks, the enhancement of some existing processes, such as those relating to digital services, web collaboration tools and smart working and the impossibility of implementing standard business processes, but to provide for “derogatory” methods, for example, for the contractual formalization process, it inevitably exposes the Group to greater operational risks as a result of possible legal disputes, potential fraud and cyberattacks.

In fact, the COVID-19 pandemic has increased the Group’s level of exposure to components of Cyber Security Risk. On one hand, the threat of *cyber criminals* has intensified, who exploit the attention and emotions produced by the pandemic to launch targeted attacks through *emails* and *web pages*, aimed at obtaining access credentials for IT systems and payment instruments (“*phishing*”) and spreading malware. On the other hand, phenomena such as the massive transition to smart working, the extra impetus to use banking services through remote access channels, the use of e-commerce and, more generally, the digitalisation of interpersonal relationships, give rise to new vulnerabilities, connected to users’ level of preparation with respect to threats from the network and the use of personal devices and home networks that are not always adequately managed from the IT security perspective.

In this situation, the potential risks for business continuity to which the Group is exposed also increase, in relation to the increased dependence on infrastructure and network equipment to ensure user access to the information system.

However, the Group believes that these potential risks can be mitigated in light of the numerous initiatives adopted, such as strengthening the control and monitoring system, and in consideration of the reasons that prompted the Group to promptly comply with the provisions issued in order to support the country during a health emergency and protect its production system.

Risks connected with climate change

Physical risk (chronic or acute) and the risk of transition (financial loss a company may incur, directly or indirectly, as a result of a process of adjustment to a low carbon emissions and more environmentally sustainable economy) fall under climate and environmental risks. Physical and transition risks represent risk factors for existing categories, with particular reference to credit, operating, market and business/strategic risks. In this sense, the MPS Group is naturally exposed to climatic and environmental risks, with respect to which it has launched appropriate projects aimed at managing them, also taking part in the round tables of the banking system in which regulatory developments are discussed and the regulatory framework on the matter takes shape.

Specifically, in compliance also with the requests from the Supervisory Authority, an interfunctional group was set up during 2021 to start the implementation process for the management of climate and environmental risks based on the relevant guidelines of the European Central Bank (ECB). This long-term project is aimed at integrating climate and environmental drivers into the Bank’s main risk models (credit and operational in particular), according to the general principle that ESG risks are defined as the risks of any negative financial impact on the entity deriving from the current or potential impacts of ESG factors on its counterparties or on the assets invested. The interventions also involved organizational profiles, envisaging a specific session within the Management Committee for ESG and Sustainability issues, and incorporating Sustainability and ESG Staff within the CFO Department. The Sustainability and ESG Staff will be focused on coordinating all the Group’s ESG issues, from the management of internal and external initiatives to the development of a model aimed at supporting the transition of the Bank and its customers towards a sustainable business model. A specific ESG Risk Team is placed within the CRO Department. The governance of environmental risks will also be strengthened at BoD level by inclusion of the first Key Risk Indicators (KRI) as part of the Group Risk Appetite Framework), while defining credit strategies also based on ESG criteria. For more information on sustainability policies, please refer to the paragraph “Risk



management linked to Climate Change” in the Consolidated Non-Financial Statement (<https://www.gruppomps.it/en/sustainability/index.html>).

Additional elements - including quantitative information - on the risk factors typical of the Group’s activities are contained in Part E of the Notes to the consolidated financial statements, to which reference is made.



Results by Operating Segment

Identification of Operating Segments

In accordance with the provisions of IFRS 8, the operating segments have been identified based on the main business sectors in which the Group operates. As a result, by adopting the “business approach”, consolidated income statement and balance sheet data are broken down and re-aggregated based on criteria including: business area concerned, operating structure of reference, relevance and strategic importance of activities carried out, and customer clusters served.

In the organizational structure of the Parent Company, following the reorganization of the General Management carried out in June 2021, a specialised commercial organizational model was introduced on two first level units within the Chief Commercial Officer Department: “Private Business” and “Companies and Private Banking Business”.

The Private Business is in charge of Retail customers (Value and Premium service models).

The Companies and Private Banking Business is in charge of Corporate customers and companies (SME, Small Business, Key Clients and Large Groups service models), Private customers and the foreign segment.

In July 2021, another change was made to the commercial organisational model, which provided for the reclassification of customers pertaining to the Institutions service model to the other service models based mainly on their complexity, with a prevailing impact, in terms of volumes of deposits and loans, on the SME service model.

Based on the Group’s reporting criteria, which also take into account organisation structures, the following operating segments were identified:

- **Retail Banking**, which includes the income statement/balance sheet results of Retail customers (Value and Premium segments) and Banca Widiba S.p.A. (Network of financial advisors and Self channel);
- **Corporate Banking**, which includes the income statement/balance sheet results of Corporate customers (SME, Small Business and Key Clients segments), Large Groups, Foreign Branches and the subsidiaries MPS Capital Services and MPS Leasing & Factoring and the foreign Bank MP Banque;
- **Wealth Management**, which includes the income statement/balance sheet results of Private customers (Private and Family Office segments) and the subsidiary MPS Fiduciaria;
- **Corporate Centre**, which in addition to the offsetting of intragroup entries, incorporates the results of the following business centres:
 - service units supporting the Group’s business, dedicated in particular to the management and development of IT systems (Consorzio Operativo Gruppo MPS);
 - companies consolidated with the equity method and those held for sale;
 - operating units, such as proprietary finance, treasury and capital management.

Following the changes described above, for the purposes of reporting by operating segment:

- the Small Business service model, which was included in “Retail Banking”, was reclassified, as of 30 June 2021, to “Corporate Banking”. The comparative values have been consistently restated: therefore, the comparison involves homogeneous data;
- starting from 30 September 2021, the Institutions service model is no longer represented. The comparative values have been consistently restated by allocating the income statement and balance sheet results of former Institution customers to the SME service model.

Balance sheet and income statement figures as at 31 December 2020 have been restated, compared to those published at the reporting dates, following the retrospective application of the change in valuation criteria for investment properties (pursuant to IAS 40). In addition, for the purposes of greater comparability, the write-downs of properties for business use (IAS 16) referring to 31 December 2020 were reclassified from the item “Net adjustments to property, plant and equipment and intangible assets” to the item “Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”. The reclassification also concerned the economic effects of securities deriving from sale/securitization transactions of non-performing loans, which were reclassified to the item “Cost of customer credit”.

The income statement and balance sheet results for each identified operating segment are shown in the following paragraphs.



Results in brief

The following table shows the main income statement and balance sheet aggregates for the Group's Operating Segments as at 31 December 2021:

SEGMENT REPORTING		Operating Segments								Total MPS Group	
Primary segment		Retail banking		Wealth Management		Corporate banking		Corporate Center			
(EUR mln)		31/12/21	Chg % Y/Y	31/12/21	Chg % Y/Y	31/12/21	Chg % Y/Y	31/12/21	Chg % Y/Y	31/12/21	Chg % Y/Y
PROFIT AND LOSS AGGREGATES											
Total Revenues		1,316.5	-11.8%	147.1	7.6%	1,134.7	-9.6%	381.6	n.m.	2,979.8	1.3%
Operating expenses		(1,298.8)	-4.0%	(103.2)	-9.6%	(650.9)	-3.5%	(53.0)	22.6%	(2,106.0)	-3.6%
Pre Provision operating Profit		17.6	-87.4%	43.8	94.8%	483.8	-16.6%	328.6	n.m.	873.8	15.3%
Cost of customer loans/Net impairment (losses)-reversals on securities and loans to banks		(91.1)	-55.2%	(2.4)	n.m.	(109.2)	-79.8%	(41.9)	21.1%	(244.7)	-68.6%
Net Operating Income		(73.5)	15.7%	41.4	82.8%	374.6	n.m.	286.7	n.m.	629.2	n.m.
		31/12/21	Chg. % 31/12	31/12/21	Chg. % 31/12	31/12/21	Chg. % 31/12	31/12/21	Chg. % 31/12	31/12/21	Chg. % 31/12
BALANCE SHEET AGGREGATES											
Gross Interest-bearing loans to customers (*)		31,036	0.6%	581	9.8%	41,144	1.0%	7,280	-36.6%	80,041	-4.2%
Direct funding		42,656	-0.1%	3,151	-0.2%	26,818	-6.0%	17,676	-39.8%	90,300	-12.9%
Indirect Funding		55,583	6.5%	16,239	4.3%	14,453	-11.0%	18,154	0.6%	104,430	2.3%
<i>Assets under management</i>		47,269	8.4%	12,470	5.1%	2,753	20.1%	2,794	5.4%	65,285	8.1%
<i>Assets under custody</i>		8,314	-3.5%	3,770	1.7%	11,700	-16.1%	15,360	-0.2%	39,144	-6.1%

(*) The value shown in the Group as well as that in the operating segments is represented by gross interest-bearing loans to customers, therefore not including loss provisions.



Retail Banking

Business areas	Customers
Retail MPS - Funding and provision of insurance products. - Lending. - Financial advisory services. - Electronic payment services. Widiba - Banking products and services, deposit account, cards and advanced payment systems; customer self-service through the bank's digital channels or in assisted mode with the support of a Financial Advisor. - Fully customisable online platform that relies on a Network of 538 Financial Advisors present throughout the country. - Funding and Global advisory services and financial planning through the advanced WISE platform and the skills of the Financial Advisor Network. - Mortgage loans, credit facilities and personal loans. - Innovative interaction through computers, smartphones, tablets, watches and TV.	Retail Banking has around 3.4 mln customers, including 290,000 Widiba customers, of which 138,700 in the Financial Advisor Network channel, 87,500 in the self-service channel and 63,800 customers migrated from the MPS branch network. Breakdown by type ■ Value - 79.9% ■ Premium - 11.6% ■ Widiba - 8.5% Breakdown by geography ■ North East - 17.4% ■ North West - 15.6% ■ Centre - 35.3% ■ South - 31.8%

Income statement and balance sheet results

As at 31 December 2021, **Total Funding** for Retail Banking amounted to approximately **EUR 98.2 bn**, up by EUR 0.9 bn from September 2021 and by around EUR 3.3 bn compared to the end of 2020. More specifically:

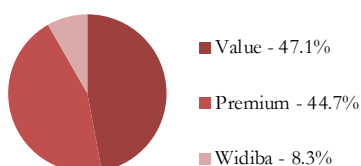
- Direct Funding** stood at **EUR 42.7 bn**, substantially stable compared to 30 September 2021, due to the growth in demand deposits (EUR +0.5 bn), almost entirely offset by the decline recorded on medium/long-term funding (i.e. EUR -0.3 bn) and short-term (EUR -0.1 bn). The slight decrease in comparison with 31 December 2020 (EUR -0.1 bn) was due to the increase in on-demand deposits (EUR +2.2 bn), more than offset by a decrease in the medium/long-term (EUR -1.5 bn) and in the short-term (EUR -0.7 bn) funding component.
- Indirect Funding**, amounting to approximately **EUR 55.6 bn**, was up by EUR 0.8 bn compared to September 2021, entirely on the asset management component (EUR +0.9 bn). Also in comparison with 31 December 2020, there was an increase equal to EUR 3.4 bn, entirely due to the asset management component, benefiting from the positive market effect and positive net flows.
- Gross "interest-bearing" loans to Retail Banking customers** stood at **EUR 31.0 bn**, essentially stable compared to September 2021 and up compared to December 2020 (EUR +0.2 bn).



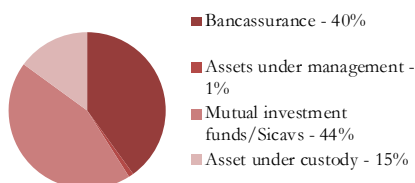
RETAIL BANKING - BALANCE SHEET AGGREGATES

(Eur mln)	31/12/21	30/09/21	31/12/20	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Direct funding	42,656	42,595	42,686	61	0.1%	-31	-0.1%
<i>Assets under management</i>	<i>47,269</i>	<i>46,395</i>	<i>43,592</i>	<i>874</i>	<i>1.9%</i>	<i>3,677</i>	<i>8.4%</i>
<i>Assets under custody</i>	<i>8,314</i>	<i>8,394</i>	<i>8,620</i>	<i>-80</i>	<i>-0.9%</i>	<i>-306</i>	<i>-3.5%</i>
Indirect Funding	55,583	54,789	52,212	794	1.4%	3,372	6.5%
Total Funding	98,239	97,384	94,898	855	0.9%	3,341	3.5%
Gross Interest-bearing loans to customers	31,036	31,091	30,839	-55	-0.2%	197	0.6%

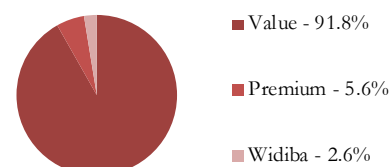
Direct funding breakdown



Indirect funding breakdown



Interest-bearing loans to customers



With regard to profit and loss, as at 31 December 2021, Retail Banking achieved total **Revenues** of approx. **EUR 1,316 mln**, down 11.8% compared to previous year. A breakdown of the aggregate shows:

- Net Interest Income amounted to approximately EUR 336 mln, down by 45.7% on an annual basis as a result of the lower contribution of funding deriving mainly from the drop in the internal transfer rate. There was also a decrease in the return on commercial assets;
- Net fees and commissions were equal to EUR 913 mln, with a 11.8% increase on the same period of the previous year, mainly due to higher income from asset management, particularly on product placement.

Considering the impact of Operating Expenses, which decreased by 4.0% Y/Y, Retail Banking achieved a **Gross Operating Income** of approximately **EUR 18 mln** (EUR 140 mln as at 31 December 2020). The cost of credit stood at **EUR -91 mln** (EUR -204 mln as at 31 December 2020).

The **Net Operating Income** for the year is **negative for approximately EUR 74 mln**.

Non-operating components amounted to approximately EUR -23 mln and are in line with the previous year.

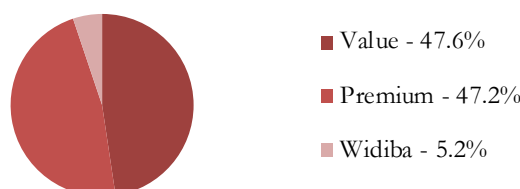
The **Result before tax from continuing operations** was **EUR -96 mln** (EUR -86 mln as at 31 December 2020).

The **cost-income ratio** of the Operating Segment is **98.7%** (90.6% at the end of December 2020).



RETAIL BANKING - PROFIT AND LOSS AGGREGATES				
(EUR mln)	31/12/21	31/12/20	Chg. Y/Y	
			Abs.	%
Net interest income	335.5	617.4	-281.9	-45.7%
Net fee and commission income	913.3	817.2	96.1	11.8%
Other Revenues from Banking and Insurance Business	78.4	68.6	9.8	14.3%
Other operating expenses/ income	(10.8)	(10.6)	-0.1	1.1%
Total Revenues	1,316.5	1,492.6	-176.1	-11.8%
Operating expenses	(1,298.8)	(1,352.5)	53.7	-4.0%
Pre Provision Operating Profit	17.6	140.0	-122.4	-87.4%
Cost of customer loans/Net impairment (losses)- reversals on securities and loans to banks	(91.1)	(203.6)	112.4	-55.2%
Net Operating Income	(73.5)	(63.5)	-10.0	15.7%
Non-operating components	(22.6)	(22.7)	0.1	-0.6%
Profit (loss) before tax from continuing operations	(96.1)	(86.3)	-9.9	11.4%

Consumer banking - Distribution network
Breakdown of revenues



The main sales initiatives and product/service innovation

In the course of 2021, following the pandemic, the Bank focused heavily on support activities for individuals and territories, responding to the needs that emerged with extraordinary support actions for Private customers (Value and Premium service models), also on the basis of the government regulations. In particular, the following main initiatives were developed:

- Mortgage suspension**
 Possibility of requesting the suspension of mortgage instalments payments in application of the provisions issued by government legislation in support of households and businesses to deal with the emergency caused by COVID-19.
- Non-mandatory suspension of loan instalments payments to be granted at the discretion of the Bank**
 The opportunity was activated to request a suspension from the Bank, by those who present a situation of objective difficulty in regularly fulfilling the economic-financial obligations deriving from mortgage loans / loan agreements.
- Access to the Liquidity Decree and the Support and Support Decree bis** for those entitled. Product updates were released to implement the regulatory provisions pursuant to "Support Decree" and "Support Decree Bis", including loans backed by "Garanzia Italia Ordinaria" and "MID Cap" SACE, as well as products backed by the guarantee provided by the Guarantee Fund for SMEs, including the Instrumental Goods Loan, and by ISMEA. An agreement was also formalized with SACE to support SMEs and small businesses that



intend to invest to combat the effects of climate change and reduce their environmental impact through sustainable projects (Green New Deal).

- **AXA MPS Protection** implemented measures to raise awareness in the Network and Customers, also with multichannel contact actions, focused on services and guarantees dedicated to Health, with particular reference to issues related to or stimulated by the COVID pandemic.
- **Digitalisation of customers and remote operations**
Initiatives aimed at raising awareness and expanding the opportunities made available through Digital Banking in its access components with computers, APP and telephone banking

Market	Main sales initiatives developed in the reference market
Value	In order to support the acquisition of new customers, in particular current account customers, general communication actions were activated on social channels and on the Bank's website, in addition to identifying targets to be contacted through the Branches to enhance the promotion of the "Conto MPS Mio" current account reserved for new customers and young people up to 30 years of age. In the E-money segment, the "A world of prizes" competition was promoted and developed to support the spread and use of MPS credit, debit and prepaid cards on the MasterCard circuit, which offered participants the opportunity to win prizes through monthly rankings linked to the number of transactions carried out, as well as through periodic withdrawals. The development of the Protection sector was supported by a strong innovation action with the restyling and enhancement of the "Mia Protection" and "Formula Benessere" solutions. In particular, the latter offers a wide range of guarantees, among which we mention "Hospitalizations and AXA Network Interventions", "Hospitalizations and Plus Interventions", "Medical examinations and examinations" continuously expanded and innovated to meet the needs even more. health care of customers. In addition, in the area of personal and asset protection, the restyling of the "Whole Life" policy was finalized, offered to both Private and Small Business customers, with the introduction of the "Unica" solution, which provides for an integrated and predefined package of Temporary Case of Death (TCM), Critical Illness (CI) and Long Term Care (LTC) coverage. In the Loans sector, in collaboration with Compass, the "MPS Now" initiative was issued with an APR at 7%, the waiver of other costs, as well as three different and predefined amounts and duration terms. The initiative has set itself the objective of responding to the financing needs of existing and new customers in the realization of small projects or personal needs. The internalisation of the Consumer Finance product factory in Banca MPS was also finalized, so as to combine the use of personal loans, as a vehicle for increasing cross selling and for the acquisition of new customers, with the profitability of the business net of the associated cost of credit.
Premium	The Investment sector was marked by continuous innovation carried out with partners, both in terms of the types of solutions on offer (insurance, UCITS, etc.) as well as positioning on specific financial and currency markets (EUR/USD). In particular, in order to fulfil its commitment to sustainability, the Bank has increasingly focused on offering customers sustainable investments through ESG (environmental, social and governance sustainability) products. The offer of the new AXA MPS Financial "Sustainable ESG Solution C" segment, included in the AXA MPS Financial "Personal Style" investment policy, as well as the new segments for customers reflecting the characteristics of arts. 8 and 9 of the SFDR, including, by way of example, "Anima Step Equality", designed by the Bank with the intention of offering a product that reflects characteristics linked to equality, also in terms of gender, such as equal economic treatment and inclusive culture. The stimulus to build savings managed over time was supported with prize competitions, carried out in collaboration with Anima Sgr, including "Start with the PAC ... and go!", "1,2,3 ... PAC!",



Market	Main sales initiatives developed in the reference market
	“APRI UN PAC E VAI COL TECH!”, aimed at raising awareness of the Saving Plans (PAC) solution. Specific targets were also activated in the Protection sector, in order to meet the increasingly evolved needs of customers with regard to the protection of health, home and family through the new guarantees referred to in the reformulations described in more detail above for the Value on “Mia Protection”, “Formula Benessere” and “Tutta la Vita”. The stimulus to meet the protection needs of captive and prospective customers was also supported with multichannel marketing actions (DEM, videos on branch monitors, ATM banners, website highlights, social media posts). Particular attention was also paid to the Complementary Pensions sector, where the revamping of “Previdenza per Te” was finalized, which has become the only open pension fund offered by the Bank to both individuals and companies for collective subscriptions. The “Generational handover and succession” project was maintained, which envisages the possibility of integrated consultancy by Fiduciaria MPS and AXA for family and/or complex financial cases, with a view to monitoring assets and developing new customers heirs of our customers. Categories targeted at senior customers were activated with this in mind. For the Premium market, in collaboration with external partners and with the Knowledge Management and Training Service, continuous remote informational-training initiatives were carried out, designed to ensure constant professional development of the front-end on financial markets, on innovations in the product range, and on communications sent to customers in compliance with regulatory obligations (e.g., webinars on ex-post disclosure sent to customers in compliance with MiFID II regulations). The initiatives above were supported and integrated within the gradual release of the new Athena advisory platform, developed with a view to increasing the advisory capacity of the Bank also in new areas such as real estate, in order to enhance the services offered, the consolidation of the banking relationship and growth/diversification of services margins.

Funding, Assets under Management and Bancassurance

In 2021, constant **action was taken to monitor and recover assets** for Value and even more for Premium customers, also with targeted actions carried out in coordination with the relevant specific territorial structures. Within the overall funding, the Private market focused on stimulating a **rebalancing of the business mix from liquidity to Assets under Management**, in order to guarantee greater opportunities for returns to customers in line with the risk profile, expected return and time span of the specific customer.

With regard to the **medium/long-term indirect funding**, the 2021 offer focused on third-party paper bonds and certificates with different indices and maturities, processed with the main international issuers in order to favour different opportunities from the financial markets with a view to widen diversification in the offer to customers.

In the area of **Asset Management**, for the Premium and Value segments, the offer of open-ended funds managed by the partners *Anima, JP Morgan, BlackRock, Quaestio* and maturity funds was consolidated.

The offer relating to Savings and Pension insurance products during the year evolved thanks to the annual review of the funds combined with unit-linked policies, which also saw the inclusion of solutions in the ESG segment. The offer of unit-linked tranches with issues of the “Progetto Protetto” family continued also for 2021.

As part of Life and Non-Life insurance **Protection**, the revamping of the “Mia Protezione”, “Formula Benessere” and “Tutta la Vita” protection solutions were finalized with a view to offering Private and Small Business customers a constantly updated range of guarantees, innovative and competitive in satisfying the needs of the customer in the areas of health, home, family, professional activities, also with predefined packages of guarantees (see, for example, the “One Life” Solution) that are more suitable also for a commercial mass market proposition. In February 2021, the new “MPS Digital Auto” MTPL policy was launched, structured through the partnership with Quixa, an AXA Group company. The product is offered in fully digital mode.

Loans



With regard to **Loans**, activities in 2021 were strongly oriented towards providing concrete and timely responses to customers to deal with the COVID-19 emergency. The guideline was essentially that of continuity, incorporating and adjusting the so-called loans. COVID loans and the suspensions of existing loans to the legislative interventions that followed.

As in previous years, the Bank has adjusted all types of loans introduced by Art. 13 of the Liquidity Decree (with MCC guarantee and with ISMEA guarantee) and Art. 1 (with SACE guarantee), updating the products and related information, implementing the changes made necessary as a result of the various changes and additions made by the law (Sostegni Decree - Law Decree no. 41/2021, Sostegni Bis Decree - Law Decree no. 73/2021).

However, with respect to the issue of the suspension of payments, from April 2021 the EBA guidelines on the valuation of non-performing loans are again fully applicable. Therefore, the initiatives prepared by the banking system were withdrawn as exemption pursuant to the aforementioned guidelines was no longer applicable. With reference to the legislative provision that allows companies to request the extension until 31 December 2021 only of the suspensions already active and exclusively for the capital portion, the bank has proactively managed information activities for customers to allow them to make an informed choice with regard to the continuation of the moratorium.

Current Accounts, Payments and Collections

- The SEPA Instant Transfer service was released on the Digital Banking platform
- Some post-sales management processes of current accounts have been made more efficient, with particular regard to the management of the right of withdrawal by the customer and the Bank.

E-Money

- Rationalisation of the prepaid cards pool was carried out, strengthening the consumer (Quickard and Quickard Plus) and business (Quickard Business) offerings.
- Integrations of Google Pay services developed as part of the innovative evolution for Mobile Payment/Digital Wallet.
- Release of Bancomat Pay payment functionality for P2P and P2B payments on mobiles with domestic debit cards. Increase in ATM functions and services
- Enhanced security features for e-commerce payments (3DS and SCA) as part of adaptations for PSD2. Release of second factor 3DS PIN Online + OTP (version 2.1) on the entire card pool
- Integration of the Credit Card Holder portal on Digital Banking
- Marketing of the New Montepaschi MasterCard
- Increased functionality on Digital Banking and for management and related spending.
- Released new POS offers (Smart POS, Smart POS mini) and new pricing approaches in partnership with Nexi.

Digital Banking

In 2021, two lines of intervention took shape:

- the first time aimed to consolidate the use of remote services which, with the limitations of physical presence of customers in the Bank's Branches and Centres, has made it possible to expand online operations;
- the second aimed at improving and consolidating the services offered on the various digital channels: internet, mobile App and Telephone Banking.

The first point saw the release of the Remote Collaboration service: thanks to the interoperability of the systems in an omnichannel perspective, it is now possible, for an ever-increasing number and type of services, to finalize and formalize the purchase of products and services remotely (signature of deeds and contracts), for transactions and activities originated in the branch. This service is accompanied by the extension of the Web Collaboration service, which was already available to Premium, Family Office and Private customers, to customers within the Value service model: thanks to this service, the customer can receive, accept and act on investment proposals generated by using Advisory platforms.

From an operational point of view, numerous activities to improve the efficiency of online functions have affected all channels and in particular the "Banca MPS" app, whose diffusion is constantly growing, as well as the total number of customers who use these services. With regard to services, particular attention was paid to payment systems, as these instruments became increasingly important in the settlement of transactions. On this line: the



concentration in Digital Banking of all card management functions (debit, credit and prepaid), the availability of Google Pay and the online sale of American Express credit cards.

Internet Corporate Banking

Among the most important functional innovations of 2021 for corporate banking, the availability of the instant bank transfer (January) and the payment of the Cbill bulletin (July) deserve to be highlighted. The first is recording increasing usage volumes month by month; the second, in addition to consolidating the Bank's strategic collaboration with CBI Scpa, completed the Bank's competitiveness with particular reference to the widespread use of this tool by the Public Administration and an increasing number of private billers.

The product's total volumes are confirmed, both in terms of stock (just under 200 thousand units) and revenue from rentals (fractional growth compared to the previous year). A detailed survey of the relationships has led to the efficiency of the invoicing and collection methods of the product fees, with a tangible reduction in the areas of exemption and facilitation.

With regard to the fight against fraud, the platform security is confirmed at the highest levels, maintaining impacts from fraud attempts, linked almost exclusively to the phenomenon of BEC (business email compromise), at minimal levels.

Finally, in application of the regulatory changes - especially related to the PSD2 Directive and anti-money laundering - the optimization of the identification processes of users with dispositive credentials was carried out, both for new contracts and for the existing customer base.

ATMS

With the persistence of the Covid-19 health emergency, always respecting the provisions of the law and internal regulations to prevent and limit the spread of the virus and the contagion of customers and employees, the ATM channel, with its physical characteristics, simplicity and capillarity, has been a focal point on the territory to contain the inconvenience of cash availability.

In this regard, in 2021, measures and initiatives were launched aimed at maintaining high efficiency of the ATM fleet throughout the country and limiting inconvenience to customers: replacement of obsolete machines, upgrading of cash-in machines and focusing attention on exceptional situations of machine inactivity.

In continuity with the process initiated in recent years, in 2021 the Bank supported the migration of operations to remote services, keeping this index (payments to ATM vs Branch) at around 70%. Thanks also to the wide availability of cash-in ATMs, now present in 79% of MPS branches, it was possible to optimize the branch personnel "time", allowing greater care to be taken in interactions with the customer with respect to a reduced management of mere operations.

Open Banking

In 2021, the evolutionary initiatives aimed at add value to the new Open Banking paradigm took shape:

The first new service in the Retail area, called "Consultation of accounts and cards of other banks", allows multi-bank customers, with access to the Digital Banking service, access to information on the balance and list of transactions of accounts held with other payment institutions, in line with the evolving market context and positioning the Bank as an AISP (Account Information Service Provider) third party.

Thanks to the integration with the CBI GLOBE platform of CBI S.c.p.a., the value-added service called Check IBAN PA was launched for use by the Public Administration and channelled by PagoPA through the CBI technology. The service, which allows users to verify the actual correspondence between the tax code of a natural person (or the VAT number of a legal person) and the name of a current account identified by a specific IBAN code, has shown its full usefulness, particularly in the context of the processes ordered by the Government in terms of compensation and contributions disbursed to citizens and businesses under the provisions of the Law related to the COVID-19 pandemic.

In 2022, a similar Private IBAN Check service will make it possible for private users to also have access to the same functionality.



Results for the subsidiary

Banca Widiba S.p.A.: as at 31 December 2021, **Total Funding** of Banca Widiba amounted to around **EUR 9.8 bn**, up compared to 30 September 2021 by around EUR +0.2 bn, due to the effect, in the quarter, of positive net inflows of EUR 105 mln and positive stock market trends. Total Funding was up by EUR +0.7 bn during the year, benefiting both from positive net funding flows of EUR 383 mln (mainly concentrated in Assets under Management) and from favourable financial market trends.

With regard to economic results, as at 31 December 2021 Banca Widiba achieved total **Revenues of EUR 68.3 mln (of which EUR 17.3 mln in the fourth quarter)**, down EUR 12.4 mln (-15%) compared to 31 December 2020, due to the decrease in Net Interest Income (EUR -14.8 mln) due to the significant decrease in returns on intragroup financial assets, offset in part by Net Fee and Commission income, which increased by EUR +1.9 mln Euro driven by Assets under Management.

The **Gross Operating Income** benefited from the decline in **Operating Expenses** (lower costs by EUR 3.1 mln, -5%) and stood at **EUR 9.7 mln (of which EUR 2.5 mln in the fourth quarter)**, down compared to 31 December 2020 by EUR -9.3 mln. In relation to the lower impact of the cost of credit of EUR 0.5 mln compared to 31 December 2020, the **Net Operating Income** amounted to **EUR 7.2 mln (of which EUR 2.1 mln in the fourth quarter)**, with a decrease of EUR -8.8 mln compared to 31 December 2020, again due to the decrease in the interest margin offset by lower operating costs and higher commissions.

Lastly, due to higher non-operating components (of which EUR +0.8 mln referred to DGS expenses and similar schemes, which had a total impact of EUR 4.7 mln in the year), the **Profit from current operations before tax**, amounted to **EUR 1.3 mln**, down by EUR 9.2 mln compared to 31 December 2020, a negative change mainly linked to intragroup financial assets.

Main initiatives

In 2021, Banca Widiba continued to grow, reaching a total of over 290,000 customers and total deposits close to EUR 10 bn (over EUR 1 bn more than in 2020), driven by a constant search for excellent customer experience and services, to restore value to customers and financial advisors and focusing on some main drivers: banking and credit, financial advisory service and investments, innovation, environmental, social and corporate sustainability. During the year, the synergy with a partner of excellence such as InfoCert was considerably strengthened: on the one hand, in June, the AOL with SPID was issued, which makes it possible to open a current account even more quickly in a certified and digital manner; on the other hand, the validation and completion of the certification process that allows the Bank to operate as a registrar and therefore to provide customers with free access credentials to the general public digital services. This second feature will be active with customers from January 2022.

In July, the partnership was launched that remunerates referrals by of consumer customers to Satispay: this allows Banca Widiba to facilitate the dissemination among its customers of a loyalty-generating service, innovative, increasingly familiar in the habits of Italians and complementary with respect to the cards. Satispay is also active on the collection side, to allow merchants access to an additional payment acceptance solution.

The commercial offer was enhanced with the introduction of Green American Express credit cards for private customers, so as to complete the Amex shelf offer. New services connected to the Pagobancomat network were also released, such as Debit Cashback and Transit.

In addition, during the year, development activities in the open banking area continued, with in-depth analyses and assessments with Fabrick for a POC later postponed to 2022, while numerous transparency compliance activities were completed in order to achieve greater transparency, the consolidation of the basic Accounts range, with significant changes in terms of pricing, process and regulations.

After the first repositioning took place in 2017, in March 2021 Banca Widiba carried out a second operation to review the offer of current accounts for new customers which, while remaining competitive with respect to competitors, made it possible to recover a significant profitability component. The new offer, simplified with the transition from three to two types of account package, provides for a reduction in the rate of remuneration of the free line and an increase in the quarterly fee with discount mechanisms leading to a reduction in cost down to zero upon the occurrence of certain conditions to reward loyalty, cross-selling and/or being part of the under-30s target. The Business segment continued its consolidation path, with various process efficiency activities as well as with the launch, in April 2021, of the opening of an account for Legal Entities that allows Financial Advisors to open "native" Widiba Business Accounts for almost all of these types of customers. In addition, the first credit cards were issued in the last quarter. Thanks to the synergy with American Express, Legal Person customers can use the Green, Gold and Platinum cards, designed for different needs, launched at favourable conditions (the first two are fee-free in the first year) and can be requested online. Lastly, several campaigns were launched to increase the



customer base and revenues, with incentives to reward the opening of an account, the crediting of fees, the contribution of fresh money and the purchase of cards. To favour the centrality of the customer and the reduction of contacts with the Media Centre, the Widdy virtual assistant was further developed, promoting and implementing the first predictive phase, with the aim of anticipating customer needs even before the latter feels the need to activate a request for assistance by formulating a question. The total number of predictive messages was 73,272 with a 98% no recall effectiveness rate in the seven days following the message. In general, the Virtual Assistant Widdy confirmed the expected performance level, achieving 83% of correct answers in the context of 247,645 sessions started and 454,828 questions received. During the year, the Video Banking Dialogue project was also implemented, developing an evolution of the Call Centre assistance concept with the ultimate aim of strengthening the global distribution system. Dialogue represents a new access channel that allows customers to interface remotely with the Bank, through a video call on the Widiba platform, preserving a “face to face” interaction method. In 2021, the activities carried out by the Media Centre were, as usual, oriented towards qualitative and economic efficiency and the streamlining of operating processes, in order to consolidate the pre-established standards in terms of contractual KPIs and to favour the consolidation of customer satisfaction through effective and efficient customer management. The actions implemented generated a high level of satisfaction: in fact, the average rating from customers and Financial Advisors was 4.6 out of 5, and the Call Centre service level was 96.4%, higher than in 2020. In 2021, the Widiba credit segment recorded a gradual recovery in mortgage applications compared to the previous year in the second half of the year: in particular, disbursements increased by around 50% compared to the same period in 2020 (EUR 137 mln in 2021 compared to EUR 93 mln in 2020), for a total of EUR 206 mln in loans disbursed during the year. Also in the area of personal loans, there was a recovery to the volumes placed at pre-Covid levels (EUR 20 mln in 2021 vs. EUR 21 mln in 2019); thanks to the development of interventions aimed at improving the customer experience in the Widiba app, in the second half of 2021 instant instalment loan volumes linked to the *My Instant Credit* service also increased by approximately 40%.

In July 2021, the Bank launched a partnership with Quixa Assicurazioni S.p.A., which allows Widiba customers to access, through a fully digital process, car and motor vehicle protection products offered by the Company at a special rate.

With regard to investment products, the actions carried out to improve the product offer catalogue and commercial initiatives were concentrated along the main lines of sustainability, simplification, digitization and dedicated offer, with the aim of developing new customers, increasing volumes and improvement of services.

In terms of sustainability, the application of the SFDR Regulation from March 2021 led to a continuous review and implementation of the offer range, especially for the UCITS and Asset Management components. In particular, the UCITS range of Banca Widiba increased from 25% ESG coverage to 49% at the end of the year; similarly, the investments underlying the asset management lines achieved coverage of more than 46% of ESG products. In addition to this, activities necessary for the integration of pre-contractual information, information to customers, product analysis process breakdown from an ESG perspective, publication of the specific information on the Bank's institutional website and the dissemination of culture within Banca Widiba itself were developed.

In terms of simplification, the control of efficient products for UCITS was optimized (integrating ex-ante control with control during the sale phase on the individual transaction) and specific actions were activated for the closure of products in a long term “dormant” state with their replacement, where possible, with products and services more suited to the current market situation and customer needs.

Again in the area of sustainability, a specific tool was made available that allows the Financial Advisor to evaluate the ESG characteristic of UCITS, directly receiving information on the specific condition of the individual fund and using a filter to automatically obtain the list of sectors, which are classified respectively within Article 6, 8 or 9 for its specific detailed analyses.

In the digital area, the digitalisation of products/processes to support customer operations continued. This activity, in particular with regard to the after-sales of AXA policies, will continue for part of 2022.

Of particular importance, also in response to the requests from Financial Advisors Network, were the developments of the “Wise” advisory platform that raised the overall quality of the advisory service offered by the Bank, in particular through: the integration of the offer with “Non-financial tools” that allow Consultants to support customers with specific and specialized information relating to the valuation of real estate, business and on generational handover, the implementation of the Multiple Consultancy which replaces the previous approach to allow a new consultancy only when the previous one has been completed and the release of the limited orders function in the portfolio advisory service has been completed. In addition, a specific tool has been created and made available (“GP Synoptic Table”) which allows the Consultant to make a simpler assessment of the client's Asset Management mandate by identifying the best management lines in which to invest.

With regard to the dedicated offer, policies and management lines in ETFs and UCITS were issued, designed to meet specific customer requirements and needs. These products led to new deposits of over EUR 70 mln.

Finally, throughout 2021, commercial initiatives were released with the aim of favouring the transformation of liquidity into investment products, incentivizing specific investment themes or structures (PACs, ETFs) and for



increasing the masses or the new customers who have brought significant results (+ 40% on the number of PACs, + 300% in the use of ETFs in consultancy, + EUR 20 mln of new deposits in Asset Management).

During 2021, Banca Widiba also focused marketing activities and communication investments in four main areas:

1. Acquisition of new customers

Online advertising continued to be the driving force behind the acquisition of new customers also in 2021, having generated a number of requests for account opening 35% higher than the annual budget, despite a changing scenario characterized by the introduction of account fees, the removal of interest rates from the promotional offer and strong competitive pressure.

The process of internalising media planning activities and monitoring acquisition levers was further consolidated, with the aim of optimizing investments and achieving a reduction in the cost of acquiring a current account (6%, despite the 21% reduction of the total advertising investment).

The online acquisition process was enhanced by SPID as a recognition method and, since its introduction, 36% of new current accounts (58% if only the Self-service channel is considered) were opened with this method.

2. Awareness, reputation and brand consideration

In 2021, Banca Widiba continued its process of recognizing and enhancing its contents, focusing on the elements that have always distinguished it and at the same time made the Bank able to meet contemporary needs: innovation of products and services and excellent customer experience; human relations and qualified support to meet people's financial needs, starting from the generation of greater economic-financial awareness; attention to environmental, social and corporate sustainability issues.

Precisely on this last front, in November 2021 the Charter of Responsibility was launched, a virtual document that enhances the Bank's 2021 good practices and initiatives in the field of sustainability.

Over 50 training events for customers dedicated to financial education, inclusiveness and sustainability were held by the Bank and the Network of Financial Advisors for current and potential customers during the year; 17 of these took place during the month of financial education were sponsored by the MEF.

These issues were also enhanced through significant media coverage, with over 1800 articles (+ 33% vs 2020). There were also more than 20 participations in events, round tables and workshops, both in the sector and not, with a strong intensification of the presence of the Bank at the most important discussion tables. In addition, among the numerous awards won by the Bank in 2021, there is also the ABI innovation award for the fifth year out of seven.

3. Network visibility, engagement and positioning

Banca Widiba has continued to invest in the positioning of Financial Advisory services through communication initiatives dedicated to the enhancement of Financial Advisors and financial education: media partnerships, events, roadshows, initiatives on social channels.

In April, the Bank joined the FEduF "Foundation for Financial Education and Savings" (ABI) to jointly promote Financial Education projects. Thanks to this partnership, numerous events and initiatives dedicated to prospective and current customers were held to promote financial and economic knowledge.

Widiba social media represented another effective channel for demonstrating closeness to customers and enhancing these issues.

The world of financial consulting and education was one of the focuses of PR activities, with almost 800 articles (43% of the total).



4. Social expression and relevance

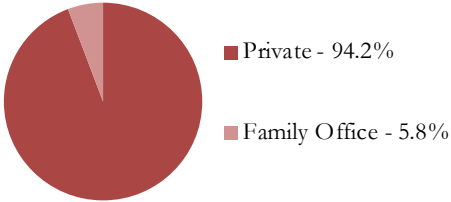
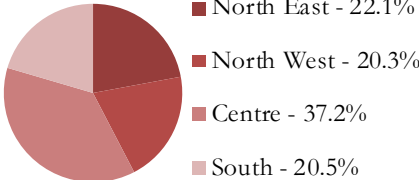
Banca Widiba has consolidated its leadership as a social bank in terms of community size and conversations sentiment, with a strong focus on listening, engaging and educating consumers, thanks to events and projects dedicated to the promotion of financial culture and the amplification obtained with the support of selected influencers.

With “Economia e Fantasia”, a cycle of live webinars on the Bank’s YouTube channel, carried out in collaboration with FEduF, Widiba has promoted the greater financial awareness in households.

The financial education projects, carried out with the support of influencers, brought the Financial Advisors and the Directors of Banca Widiba to centre stage, to encourage financial training, especially among women over 40. And, again in support of women and female entrepreneurs, Banca Widiba has created “Women Dreaming Coach”, a project designed to share the experience and know-how of four professionals from different sectors through the Bank’s social channels, with useful tips and advice to help women and girls of all ages to transform their dream into a successful business project.



Wealth Management

Business areas	Customers															
• Funding, lending, provision of insurance products, financial and non-financial services to private customers. • Services and products for high-standing customers in the areas of wealth management, financial planning, consultancy on not strictly financial services (tax planning, real estate, art & legal advisory). • Fiduciary and trust services (through the subsidiary MPS Fiduciaria).	There are around 37,000 private customers.															
	Breakdown by type  <table border="1"> <thead> <tr> <th>Type</th> <th>Percentage</th> </tr> </thead> <tbody> <tr> <td>Private</td> <td>94.2%</td> </tr> <tr> <td>Family Office</td> <td>5.8%</td> </tr> </tbody> </table> Breakdown by geography  <table border="1"> <thead> <tr> <th>Geography</th> <th>Percentage</th> </tr> </thead> <tbody> <tr> <td>North East</td> <td>22.1%</td> </tr> <tr> <td>North West</td> <td>20.3%</td> </tr> <tr> <td>Centre</td> <td>37.2%</td> </tr> <tr> <td>South</td> <td>20.5%</td> </tr> </tbody> </table>	Type	Percentage	Private	94.2%	Family Office	5.8%	Geography	Percentage	North East	22.1%	North West	20.3%	Centre	37.2%	South
Type	Percentage															
Private	94.2%															
Family Office	5.8%															
Geography	Percentage															
North East	22.1%															
North West	20.3%															
Centre	37.2%															
South	20.5%															

Income statement and balance sheet results

As at 31 December 2021, **Total Funding** from Wealth Management amounted to around **EUR 19.4 bn**, down by around EUR 0.2 bn compared to 30 September 2021 and up by EUR 0.7 bn over the end of the previous year. More specifically:

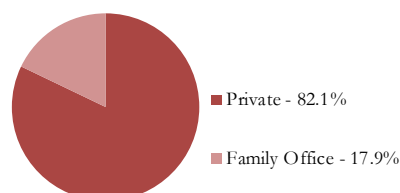
- **Direct Funding** stood at **EUR 3.2 bn**, stable compared to September 2021 and to 31 December 2020;
- **Indirect Funding**, amounting to approximately **EUR 16.2 bn**, decreased compared to 30 September 2021 (EUR -0.3 bn) and recovered from the end of the previous year (EUR +0.7 bn) thanks to a positive market effect.
- **Gross “interest-bearing” loans to Wealth Management customers** were substantially in line with both 30 September 2021 and 31 December 2020, standing at around **EUR 0.6 bn**.



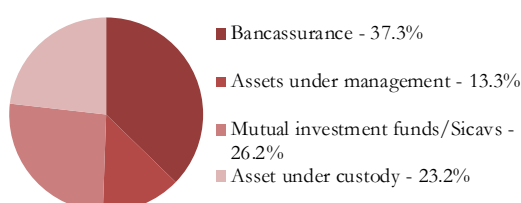
WEALTH MANAGEMENT - BALANCE SHEET AGGREGATES

(EUR mln)	31/12/21	30/09/21	31/12/20	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Direct funding	3,151	3,091	3,157	60	1.9%	-7	-0.2%
<i>Assets under management</i>	<i>12,470</i>	<i>12,624</i>	<i>11,865</i>	<i>-154</i>	<i>-1.2%</i>	<i>605</i>	<i>5.1%</i>
<i>Assets under custody</i>	<i>3,770</i>	<i>3,909</i>	<i>3,708</i>	<i>-140</i>	<i>-3.6%</i>	<i>62</i>	<i>1.7%</i>
Indirect Funding	16,239	16,533	15,572	-293	-1.8%	667	4.3%
Total Funding	19,390	19,624	18,730	-234	-1.2%	660	3.5%
Gross Interest-bearing loans to customers	581	563	529	18	3.1%	52	9.8%

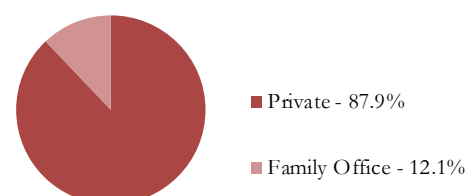
Direct funding breakdown



Indirect funding breakdown



Interest-bearing loans to customers



With regard to the economic results as at 31 December 2021, Wealth Management achieved total **Revenues** of approximately **EUR 147 mln**, up 7.6% compared to the previous year. A breakdown of the aggregate shows:

- Net Interest Income amounted to approximately EUR 2 mln, down by EUR 6 mln compared to the previous year due to the lower contribution of direct deposits mainly in relation to the drop in the internal transfer rate;
- Net fee and commission income amounted to approximately EUR 124 mln, up by EUR 14 mln compared to 31 December 2020.

Considering the impact of Operating Expenses, which were down by 9.6% y/y, Wealth Management generated **Gross Operating Income** of about **EUR 44 mln** (EUR +21 mln y/y). Including Cost of credit of EUR -2 mln, the **Net Operating Income** totalled roughly **EUR 41 mln**.

Non-operating items stood at EUR -0.7 mln, an improvement of EUR 0.7 mln compared to the previous year.

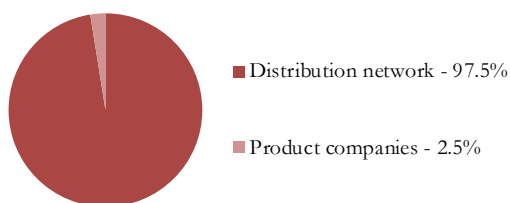
The **Result before tax from continuing operations** was **EUR 41 mln** (EUR +21 mln as at 31 December 2020).

The **cost-income ratio** of the Operating Segment is **70.2%** (83.5% at the end of December 2020).

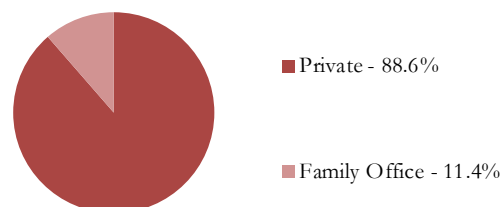


WEALTH MANAGEMENT - PROFIT AND LOSS AGGREGATES				
(EUR mln)	31/12/21	31/12/20	Chg. Y/Y	
			Abs.	%
Net interest income	1.5	7.1	-5.5	-78.3%
Net fee and commission income	123.6	109.9	13.7	12.5%
Other Revenues from Banking and Insurance Business	23.2	20.8	2.4	11.4%
Other operating expenses/ income	(1.3)	(1.1)	-0.1	13.3%
Total Revenues	147.1	136.6	10.4	7.6%
Operating expenses	(103.2)	(114.2)	10.9	-9.6%
Pre Provision Operating Profit	43.8	22.5	21.3	94.8%
Cost of customer loans/Net impairment (losses)- reversals on securities and loans to banks	(2.4)	0.1	-2.6	n.m.
Net Operating Income	41.4	22.6	18.7	82.8%
Non-operating components	(0.7)	(1.4)	0.7	-46.9%
Profit (loss) before tax from continuing operations	40.6	21.3	19.4	91.3%

Breakdown of revenues



Breakdown of revenues - Distribution network



The main sales initiatives and product/service innovation

Promotional and marketing initiatives

In 2021, the Commercial Planning of Private Banking was based on three main strategic drivers: **Consulting, Development and Growth, and Digitalisation**. For each area, various initiatives were released, supported by levers and promotional offers for specific targets and customer clusters. In particular:

- **Advisory:** with a view to improving and increasing the quality of the service offered, specific initiatives were released in 2021 in order to offer end customers a global coverage of financial and non-financial needs, through investment solutions with high added value. able to make the portfolio and a wide range of Fiduciary, Protection and Social Security services more efficient. Particular attention was paid to the issue of sustainability, enhancing the ESG component in the management of customer portfolios.
- **Development and Growth:** with a view to acquiring new customers and new volumes, promotional initiatives and levers were activated to encourage the development of internal synergies, with particular regard to the corporate world. At the same time, the commercial strategy of attracting younger customers continued, also with a view to generational handover, in order to favour the growth of the customer base and strengthen the loyalty of the heirs relating to existing customers. Other successful activities concerned the development of the “Value” portfolio customers with high Private potential and the win-back action activated on customers linked to outgoing managers for the recovery of assets transferred to other intermediaries.



- **Digitalisation:** with a view to innovation and expansion of the perimeter of full-digital customers, a set of initiatives were launched in 2021 aimed at accelerating the Bank's digitalisation process and further improving the customer experience of customers through remote operations. The process has undergone a significant acceleration due to the pandemic, almost completely covering the range of products that can be placed remotely.

Product/service innovation

In 2021, the offer of products and services for Private and Family Office customers was characterised by the research and development of new investment solutions and at the same time by the search for an increasing rationalisation and simplification of the offer.

The emergency resulting from the COVID-19 pandemic required constant monitoring of the offer throughout 2020 and the management of various interventions aimed at providing constant support to the Network in relation to the products offered and held by customers. The constant management coordination allowed, in critical periods, all the resources to carry out their activities in smart working, without the operating processes being slowed down or lack of supervision of any kind.

The developments in the **insurance investment products** segment concerned the consolidation and development of the Wrapper offer (both Multisegment and Unit) with the release of new external funds (mainly thematic and sectorial).

The insurance investment product offer dedicated to *Private* and *Family* Office customers is characterised by high flexibility in the choice and composition of the financial instruments underlying the policies, through the possibility of selecting from a vast array of External and Internal Funds (available in the *Private Suite*) in addition to the Separate management component present only in the Multisegment Policy known as *Private Choice*.

The offer of Class I policies was also updated with the launch of the Private Prestige product, and the simultaneous delisting of Double Prestige.

As regards **indirect deposits, with reference to Certificates and Bonds**, in line with the placement trends expressed by the reference market, the development of the offer continued through the placement of 10 Certificates and 2 Bonds issued with Third Party Issuers and structured with MPS Capital Services.

An especially structured issue process involving the participation of product's specialised functions and the advisory functions and which enabled specific investment issues and relative pay-offs to be identified that could better meet customer needs in accordance with the market context.

In the area of asset management, the **offer of Funds/SICAVs** is characterized by approx. 4,000 compacts under placement and continued with a view to the continuous evolution of the offer, aimed at maintaining a high level of quality of the range being placed thanks to the placement agreements signed with the main Asset Managers.

During the year, the main releases concerned:

- the placement of 11 new Anima maturity funds
- the updating of the range of UCITS directly placed with all investment houses with the release of approximately 200 new segments

As regards the **Wealth Management** sector, attention was focused during 2021 on the search for new investment solutions that would respond both to new market trends and to customer dynamics and needs. Therefore, new investment topics were developed, with the launch of **5 new ETF lines** for the GP Multilinea Investment range dedicated to Retail customers and for the GP Multilinea Private Investment range dedicated to Private customers.

Training initiatives

In 2021, numerous highly specialised informational-training initiatives were developed, in order to strengthen and increase the skills of bankers and managers, through targeted courses in collaboration with certified entities and structures with high standing. The objective is to ensure that the entire Private MPS Network has a training standard at the highest market level, which is also recognised outside the Bank in terms of skills and professionalism expressed.

In order to support the relationship activity and the identification of targeted solutions for the needs of business customers, a specific course on Corporate Finance was also launched.

The course was also corroborated by information and training initiatives developed in collaboration with the partner investment houses, aimed at providing specific and timely support, also in order to consolidate the skills



necessary to provide a service to customers able to meet the needs linked to the reference context. Thanks to these interventions, together with the constant updating guaranteed by the internal Advisory structures, the Network was systematically updated on possible market scenarios, with the possibility therefore of adapting portfolios at a tactical level.

Communication initiatives

In the last months of 2021, some external communication initiatives were implemented, with the aim of consolidating the positioning on the BMPS Private Banking market and increasing the knowledge, on the part of end customers, of the services and solutions offered.

In this context, a dedicated media plan was created, with numerous interviews in general and specialist sector publications.

In addition, to provide concrete support to the network in customer relations, the marketing materials were renewed, with updated content and a new coordinated image, focused on consolidating the founding values of the Private business model.

Results for the subsidiary

MPS Fiduciaria: as at 31 December 2021, the subsidiary recorded a profit for the year of EUR 0.5 mln.

In 2021, the company formulated commercial initiatives aimed at expanding the dissemination of services, especially in cases of generational and business transfers, asset protection and management of company liquidity. It continued to develop formulas for greater protection of weaker subjects (Trusts for what comes after us), also signing framework agreements with territorial associations. It also continued with its collaboration with the Parent Company's three reference markets through intense promotional and informational/training activities - on trust services in general and on their potential uses, including the private companies to which they can be applied - for bank personnel and for major shared professionals. These activities made it possible to close the year with a net growth in the stock of assets.

The guidelines for the next developments of the subsidiary envisage a significant relaunch of the commercial activity to be carried out mainly through the better structuring of the offer, simplification of the support material to the network and definition of the target customers. The process of simplifying the network support material and defining target customers will continue. A greater impetus is envisaged in the development of the network of professionals through the instrument of merit reporting.



Corporate Banking

Business areas	Customers																				
• Lending and offering financial products and services to businesses, including through strategic partnerships with trade associations and Confidi (credit guarantee consortia), with Guarantee Institutions (including public) and Institutional Entities, through which funding is acquired at favourable terms. • Offer of integrated leasing and factoring packages for businesses, artisans and professionals (through the subsidiary MPS Leasing & Factoring). • Corporate finance - medium/long-term credit facilities, corporate finance, capital markets and structured finance (also through the subsidiary MPS Capital Services). • Custody and deposit services for dairy products on behalf of third parties (through the subsidiary Magazzini Generali Fiduciari di Mantova S.p.A., which is also authorised to issue documents of title to the merchandise, providing for easier access to bank lending).	Corporate Banking directly supports about 324,700 Corporate and Large Group customers of the Parent Company. Breakdown by type <table border="1"> <thead> <tr> <th>Type</th> <th>Percentage</th> </tr> </thead> <tbody> <tr> <td>Small Business</td> <td>89.7%</td> </tr> <tr> <td>SMEs and other companies</td> <td>8.6%</td> </tr> <tr> <td>Key Clients</td> <td>1.3%</td> </tr> <tr> <td>Large Corporate</td> <td>0.3%</td> </tr> </tbody> </table> Breakdown by geography <table border="1"> <thead> <tr> <th>Geography</th> <th>Percentage</th> </tr> </thead> <tbody> <tr> <td>Centre</td> <td>36.2%</td> </tr> <tr> <td>South</td> <td>30.1%</td> </tr> <tr> <td>North West</td> <td>14.7%</td> </tr> <tr> <td>North East</td> <td>19%</td> </tr> </tbody> </table>	Type	Percentage	Small Business	89.7%	SMEs and other companies	8.6%	Key Clients	1.3%	Large Corporate	0.3%	Geography	Percentage	Centre	36.2%	South	30.1%	North West	14.7%	North East	19%
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Income statement and balance sheet results

Corporate Banking **Total Funding** as at 31 December 2021 amounted to **EUR 41.3 bn**, down EUR 0.3 bn compared to 30 September 2021, mainly due to the decline in Indirect Funding (EUR -0.7 bn), while Direct Funding was up (EUR +0.3 bn). There was also a EUR 3.5 bn decrease compared to the end of December 2020, as a result of a decrease in both Indirect Funding (EUR -1.8 bn), mainly on Assets under custody, and Direct Funding (EUR -1.7 bn). The decrease in Direct Funding was influenced by the decision taken by the Parent Company to reduce the rates paid to customers. With regard to Indirect Funding, instead, the decline recorded in the Assets under custody sector was mainly due to changes related to a major customer.

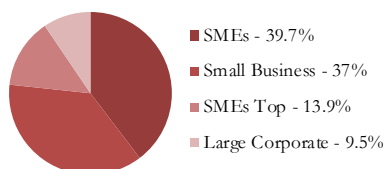
With regard to lending, as at 31 December 2021, **Gross interest-bearing loans** to Corporate Banking customers amounted to approximately **EUR 41.1 bn** (down EUR 0.7 bn compared to 30 September 2021 and up by EUR 0.4 bn compared to 31 December 2020).



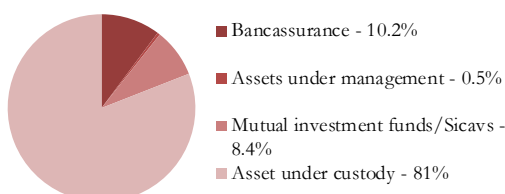
CORPORATE BANKING - BALANCE SHEET AGGREGATES

(EUR mln)	31/12/21	30/09/21	31/12/20	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Direct funding	26,818	26,483	28,534	335	1.3%	-1,716	-6.0%
<i>Assets under management</i>	<i>2,753</i>	<i>2,717</i>	<i>2,292</i>	<i>35</i>	<i>1.3%</i>	<i>461</i>	<i>20.1%</i>
<i>Assets under custody</i>	<i>11,700</i>	<i>12,420</i>	<i>13,946</i>	<i>-719</i>	<i>-5.8%</i>	<i>-2,246</i>	<i>-16.1%</i>
Indirect Funding	14,453	15,137	16,238	-684	-4.5%	-1,785	-11.0%
Total Funding	41,271	41,620	44,772	-349	-0.8%	-3,501	-7.8%
Gross Interest-bearing loans to customers	41,144	41,848	40,722	-703	-1.7%	422	1.0%

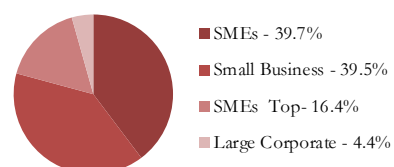
Direct funding



Indirect funding breakdown



Interest-bearing loans to customers



For profit and loss aggregates, as at 31 December 2021 Corporate Banking **Revenues** came to approx. **EUR 1,135 mln** (-9.6% compared to previous year). A breakdown of the aggregate shows:

- Net Interest Income was equal to EUR 588 mln, down 12.2% y/y, due to the decrease in returns on commercial assets and the lower contribution of direct funding;
- Net Fee and Commission income was down 3.5% compared to the previous year to around EUR 535 mln;
- Other Revenues from Financial and Insurance Management amounted to approximately EUR 28 mln compared to EUR 56 mln in 2020.

Considering the impact of Operating Expenses, down by 3.5% compared to 31 December 2020, the **Gross Operating Income** was approximately **EUR 484 mln** (-16.6% compared to previous year).

Net Operating Income stood at **EUR 375 mln** (EUR 40 mln in 2020) against a cost of credit of EUR -109 mln (compared to EUR -540 mln as at 31 December 2020).

Non-operating items amounted to approx. EUR -73 mln, an improvement compared to EUR -195 mln in the previous year due to lower Other net provisions.

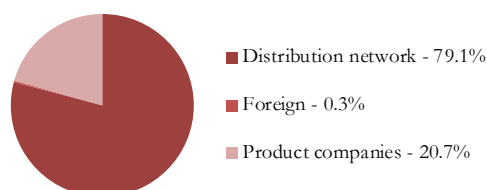
The **Result before tax from continuing operations** was **EUR 302 mln** (EUR -155 mln as at 31 December 2020).

The Corporate Banking **cost-income ratio** stands at **57.4%** (53.8% as at 31 December 2020).

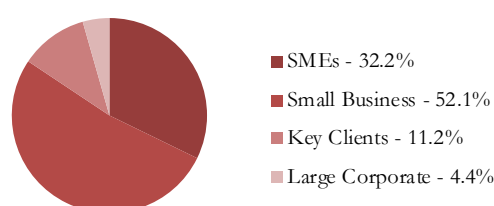


CORPORATE BANKING - PROFIT AND LOSS AGGREGATES				
(EUR mln)	31/12/21	31/12/20	Chg. Y/Y	
			Abs.	%
Net interest income	587.9	669.4	-81.5	-12.2%
Net fee and commission income	535.1	554.4	-19.3	-3.5%
Other Revenues from Banking and Insurance Business	27.6	56.3	-28.7	-50.9%
Other operating expenses/ income	(16.0)	(25.3)	9.3	-36.7%
Total Revenues	1,134.7	1,254.8	-120.1	-9.6%
Operating expenses	(650.9)	(674.7)	23.8	-3.5%
Pre Provision Operating Profit	483.8	580.1	-96.3	-16.6%
Cost of customer loans/Net impairment (losses)- reversals on securities and loans to banks	(109.2)	(540.1)	430.8	-79.8%
Net Operating Income	374.6	40.1	334.5	n.m.
Non-operating components	(72.9)	(194.8)	121.9	-62.6%
Profit (loss) before tax from continuing operations	301.7	(154.8)	456.5	n.m.

Breakdown of revenues



Breakdown of revenues - Distribution network



Results of the main subsidiaries

- **MPS Capital Services:** pre-tax profit of EUR 81 mln, up by EUR 43 mln compared to 31 December 2020, relating to the reduction in the cost of credit (penalized in 2020 by additional adjustments due to the COVID-19 emergency) and the Provisions for risks and charges. The profit for the year was EUR +93 mln, up compared to a profit of EUR 44 mln as at 31 December 2020, due to the positive effect of taxes.
- **MPS Leasing & Factoring:** pre-tax profit of EUR +17 mln, up by EUR 37 mln compared to 31 December 2020, mainly due to the trend in the cost of credit, penalized last year by additional adjustments due to the COVID-19 emergency. The profit for the financial year was EUR 21 mln compared to a loss for the year as at 31 December 2020 of EUR 27 mln due to the trends described above, in addition to the positive effect of taxes.
- **MP Banque³⁰:** loss for the year of EUR 2 mln compared to a loss for the year of EUR 5 mln recorded in the previous year.

³⁰ The performance indicated above is that calculated on an operational basis. Please recall that in 2018 the Parent Company approved the run-off of MP Banque



Main Corporate and Investment Banking initiatives

Corporate Market

Loans

With regard to **Loans**, activities in 2021 continued to support local activities, through initiatives for discussion and dialogue with customers and communities. The analysis of the territories in which the Bank operates made it possible to enhance their peculiarities through specific products in support of the local economy.

Community support and support to the Group's people and territories in 2021 continued to be affected by the pandemic. In this sense, the offer focused on the needs that emerged with extraordinary customer support actions, based on government provisions as well as specific initiatives undertaken by the Bank itself.

In application of the Support Decree - Law Decree no. 41/2021- Decree Support Bis - Law Decree no. 73/2021 for Micro, Small and Medium-sized enterprises, the possibility was granted to extend the existing suspensions, first expiring on 31/12/2020 and then 30/06/2021 (formerly "Cura Italia"), limited to the principal only until 31/12/2021. The same Decree reintroduced the regulatory exceptions on the Gasparrini fund until 31 December 2021, allowing freelancers and entrepreneurs to request the suspension of mortgage payments on their private homes (further extended by the 2022 Budget Law).

In parallel, support was provided to individuals, companies and the community through the application of the measures of the Liquidity Decree which envisage the introduction of the guarantee provided by the Central Guarantee Fund, by Ismea and by Sace, with particular regard to the Consolidation pursuant to art.13, paragraph 1, letter e) and New Finance pursuant to art.13, paragraph 1, letter m) and letter c) and art. 1.

For the world of loans, the guideline was essentially that of continuity with respect to 2020, acknowledging and adjusting the so-called Covid loans and the suspensions of existing loans to the legislative interventions that followed.

With regard to financing products for the agrifood sector, in addition to the specific initiatives that have arisen as a result of the regulatory framework issued in relation to the epidemiological emergency mentioned above, interventions have been activated aimed at optimizing and rationalizing the catalogue as well as updating some financing products, in order to make the proposals more appropriate to the changed commercial and market needs.

New Loans

The Bank has adapted all the types of financing introduced by Article 13 of the Liquidity Decree (with a guarantee from MCC and with an ISMEA guarantee) and Article 1 (with a SACE guarantee), updating the products and related information, incorporating the changes made necessary following the various changes and additions made by the Legislator (Sostegni Decree - DL n 41/2021 Sostegni Bis Decree - DL n 73/2021).

In December 2021, the Agreement between Sace and the Bank was signed to support the green projects of companies ("Green New Deal" Agreement); the agreement has the objective of encouraging projects aimed at reducing the environmental impact and starting a sustainable transformation with a particular focus on the Agrifood supply chains to accompany towards the sustainable transition; with this initiative, the Bank will therefore be able to provide loans to businesses intended to support the needs associated with the projects in question, loans which will be backed by a guarantee provided by the Entity equal to 80% of the amount disbursed.

Always taking a cue from the regulatory provisions and in order to support the State intervention in the relaunch of the Italian economy and industrial fabric and to offer a service to customers aimed at taking advantage of the benefit in terms of Building Bonuses, the ad hoc products package was enriched to take advantage of tax benefit of 110% of the expenses related to energy efficiency and seismic interventions on buildings pursuant to the Relaunch Decree. The adjustment of the Bank's product range was necessary to make the offer system more consistent with the needs expressed by customers.

The update concerned the following elements:

1. Definition of a new financing product intended for "Non-Consumers" specifically referring to the figure of the General Contractor, aimed at supporting him - within the duration of the initiative - in the realization of a plurality of interventions / construction sites for which he is committed to transfer to the bank the tax credits that will accrue in its fiscal drawer following the exercise of the "discount on invoice" option by the Client;
2. Definition of a new product which takes the form of a framework agreement to be stipulated with "Corporate" subjects aimed at regulating the customer's commitment to transfer to the Bank, which



- undertakes to purchase, a certain ceiling of tax credits (so-called “massive” purchase of tax credits), accrued due to the different types of tax relief;
3. Extension of the “Purchase of Tax Credit - MPS for Building Bonuses” product to other entities, such as Institutions (Onlus, IACP), Companies that accrue the credit as purchasers of the works and not necessarily Contractors as well as subjects that accrue the tax credit as suppliers of building materials (e.g. photovoltaic systems, windows, etc.).

Suspensions

On the other hand, with respect to the issue of suspension of payments, from April 2021 the EBA guidelines on the assessment of impaired loans are again and fully applicable and the initiatives prepared by the banking system during the pandemic period have therefore been closed, as it was no longer applicable. the exemption provided for by the aforementioned guidelines. With reference to the legislative provision that allows companies to request the extension until 31 December 2021 of only the suspensions already active and exclusively for the capital portion, the bank has proactively managed the activity of information to customers to allow them the choice. aware of the continuation of the moratorium.

For private individuals, access to the Gasparrini Fund remained, with “extended” methods following the reactivation of the exceptions as temporarily included by the Law in the regulation of the post-emergency COVID-19 Fund.

The section of the corporate website dedicated entirely to initiatives linked to COVID-19 was updated, and the related information and the forms to be used for the finalization of the various requests were also made available to customers.

The Bank confirmed:

- the possibility of suspending the differentials or other sums possibly due in relation to the OTC derivative contracts intended to cover loans subject to suspension
- the possibility of suspending the financial and commercial covenants linked to all loans (not only those subject to suspension)

In addition, the Bank has adopted the use of special tools to standardize the *modus operandi* in the transparent definition of the pricing proposed to counterparties on new consolidation operations pursuant to letter E as well as on operations assisted by the “Guarantee Italy” provided by SACE.

Market	Main sales initiatives developed in the reference market
Large Corporate	Funding: Particular attention was paid to the management of liquidity on current accounts in order to make it strictly functional to operational needs and related to the management of collections and payments. The involvement of the Product Company MPSCS made it possible to provide qualified consultancy and operational ideas to increase the efficiency of the excess cash available, also through indirect funding with investment objectives linked to ESG logic. Loans: in accordance with the Bank’s strategic indications, priority was given to secured loans using, inter alia, risk mitigation or sharing instruments with SACE/CDP. Continuous financial support was provided to customers, also thanks to government instruments made available to Banks to mitigate the effects of the COVID-19 pandemic. Attention continued to be paid to management of risk and of the price to market in function of anticipated profitability. The consolidation and the increase of direct and indirect factoring transactions were also monitored. The search for opportunities related to the National Recovery and Resilience Plan (NRRP) has intensified. Particular focus was reserved for identifying counterparties who have favoured ESG investments and, to support this activity, a “Green New Deal” agreement was developed with Sace itself. Agreements dedicated to the supply chains of large companies, Italian “Leaders”, were introduced, aimed at encouraging the transformation and sustainable growth of suppliers in the supply chains.



Market	Main sales initiatives developed in the reference market
	The Bank has proposed itself as the Transferee of the tax credits accrued by the large General Contractors for energy efficiency interventions (Superbonus 110% and other building bonuses), with the possibility of accessing dedicated financial support to support end user customers. The revaluation of the entire portfolio continued with a view to optimizing capital absorption and containing overall risk; the exchange with the purpose of synergies with the product/service Specialists was further intensified, to enhance and supplement the offer also through hedging instruments. Operating in this perspective of “Coverage Team”, it was possible to search for alternative opportunities and points of interest also addressed to that portion of customers that historically presents some critical aspects regarding “traditional” work issues. Recovery of Commissions: In parallel with the monitoring of traditional revenue components and the development of additional fee and commission income through the involvement of the product companies’ activities and services, the synergistic activity developed with the Foreign Area has increasingly strengthened. The constant attention paid to Large Corporate customers operating on international markets, through customized solutions relating to expected needs and also thanks to the network of the Bank’s representative offices, has allowed the carrying out of transactions with primary counterparties on foreign markets with interesting economic returns. This operational approach has made it possible to seize certain opportunities progressively arising from the new macroeconomic scenarios, as well as the pandemic effects, which are becoming more and more significant both in terms of exports and imports.
SMEs and Key Clients	Focus on commercial activities to support people and territories to meet the needs emerging from the persistence of the pandemic with extraordinary customer support actions, also in application of the “Cura Italia” Decree for Micro, Small and Medium Enterprises. The Decree provides for the banning of revocation of existing credit facilities and the possibility to suspend loans, repayable in instalments or not, both with the application of the measures of the Liquidity Decree and with the introduction of the guarantees provided by the Central Guarantee Fund, by Ismea and by SACE, with particular regard to the Consolidation pursuant to art. 13, paragraph 1, letter e) and New Finance pursuant to art. 13, paragraph 1, letter m) and letter c) and art. 1. Moreover, starting from October, much attention was focused on the package of reforms and investments of the National Recovery and Resilience Plan (NRRP), identifying potentially interested customer targets in the Agri Green, Superbonus 2.0 and Facile 4.0 areas, activating, in agreement with the structures of the CLO Department (credit), a credit “fast track” aimed at prioritising, both in the approval phase and in the disbursement phase, the loans of customers belonging to the identified targets. The Network commercial focuses mainly concerned: • consultancy activities regarding the possibility of managing assets for all companies with substantial stocks, in light of the contingent market conditions and the introduction of the Liquidity Fee, in order to start and facilitate the transition to forms of administered and managed deposits. The proposal of asset allocation solutions was carried out through consulting from the Private Banking Business, while the services offered by MPS Fiduciaria and MPS Capital Services were made available to customers. • the development of the “Superbonus 110%” for both contracted and non-contracted companies in the Construction sector • proposals for Reverse Factoring and development of New Transferors for Factoring • the development of the Foreign sector through activities on foreign companies with decreasing margins (year on year) and initiatives on operations with Sace coverage



Market	Main sales initiatives developed in the reference market
	- the proposal, for producing farms, of credit openings assisted by a revolving pledge on wine, a new form of innovative financing that meets the financing needs for working capital of wine-producing companies - the development of hedges which, in addition to the traditional activity on exchange rates and rates, mainly concerned companies operating in foreign currency - customers with a possible interest in consolidation and the provision of new loans, with the aim of ensuring the liquidity necessary to overcome the crisis period - the development and dissemination of digital channels to complete the opening and activation of the Paskey Azienda Online - PAO service, to increase the penetration and use of the services available online (online advances, Online Documents) and subscription of the FEA. Developments focused on the needs of more structured customers, enriching PasKey aziendaonline with functions and reports useful for business groups, which will gradually be extended to all customers: group signature book, list of separate items sent, group accounting balances and cash balances, dedicated export facilities for incoming transfers and other of less significance; - the offering of products aimed at guaranteeing business stability and continuity and at encouraging Welfare measures. In 2021, the placement continued of the Injury Welfare Protection policy, the first advanced solution in the Bancassurance world to bring small and medium-sized companies closer to corporate welfare through coverage for occupational and non-occupational accidents, accompanied by a Services “Welfare cards Protection” Platform for the well-being of individuals and households - consultancy activities for the Network for the follow-up of the Entities which, with the reorganization process, were merged into the various service models, but mainly in the SMEs. With this in mind, the Bank has expanded the database for access to tender procedures by obtaining the authorization to use the MEPA (Electronic Public Administration Market) platform, which includes most of the tenders for Public Administration bodies’ treasury and cash services - again for the Entities market, placement continued: i) of the optional services related to SIOPE+ ii) of the PagoPA Technological Partner service towards counterparties of the Public Administration and publicly-owned companies, for the management of payments to the Public Administration through the PagoPA Platform created by the Agency for Digital Italy (AgID) iii) of the “Electronic Archive” service for electronic documents with digital signature of the Public Administration and the Inc@ssipiù Service iv) of the Acquiring services (traditional POS and PagoPA POS) - the renewal of the ISO: 9001 ed. 2015 for Treasury and Cash Services which represents one of the necessary requirements for access to the most significant tender procedures in terms of size and cost-effectiveness. The value of the partnerships with the Product Companies was confirmed through the use of specialized services in order to develop the profitability of the relationship

Small Business

During 2021, with the persistence of the pandemic, there was a strong focus on commercial activities to support people and territories.

In the first place, in application of the “possible interest in consolidation” Decree, for Micro, Small and Medium-sized enterprises, the revocation of existing credit facilities and the possibility of suspending both instalment and non-instalment loans was prohibited.

In parallel, support was provided to individuals, companies and the community through the application of the measures of the Liquidity Decree which envisage the introduction of the guarantee provided by the Central Guarantee Fund, by Ismea and by Sace, with particular regard to the Consolidation pursuant to art.13, paragraph 1, letter e) and New Finance pursuant to art.13, paragraph 1, letter m) and letter c) and art. 1.



Market	Main sales initiatives developed in the reference market
	Furthermore, starting from October, much attention was focused on the reform and investment package of the National Recovery and Resilience Plan (NRRP), starting to propose targets of potentially interested customers in the Agri Green, Superbonus 2.0 and Facile 4.0 sectors. activating a credit “fast track”, in agreement with the structures of the CLO (credit) Department, which assigns a priority in the approval phase and disbursement of loans to customers belonging to the identified targets. The commercial focuses addressed to the Network mainly concerned: - customers with a possible interest in consolidation and the provision of new loans, with the aim of ensuring the liquidity necessary to overcome the crisis period - the offering of products aimed at guaranteeing business stability and continuity and at encouraging the welfare measures that companies offer to their employees. In this context, the Accident Welfare, Business Protection, Wellness Formula and Whole Life policies were also revamped during the year. - the development and dissemination of digital channels and services (Paskey Azienda Online - PAO), to increase the penetration and use of the services available online (online advances, online documents) and the use of advanced electronic signatures (FEA) - the offering of products that promote the digitalisation of payments and e-commerce. In the field of acquiring services, the Bank focused in particular on encouraging the digitalisation process of “micro merchants”, through initiatives and offers such as Nexi Welcome (in partnership with Nexi). To favour merchants, the Pay By Link service was launched, to manage remote payments via email, text message and chat by sending a simple link and social commerce services to sell and receive payments, allow reservations or display online price lists and on social networks without having an e-commerce site. The offer was enriched by the “POS Extra” initiatives that allow merchants to request an additional GRPS POS, completely free of charge, and “SmartPOS 50%”, which provides for a 50% discount on the monthly fee of all Nexi SmartPOS models for 12 months. In addition, the release for the Network of the new Easy Merchant platform was launched, which allows a considerable simplification in the management of agreements for new merchants. - the making available throughout the year, through the initiative called “MPS4Business”, of a series of levers that can be used in the commercial proposition at favourable conditions with respect to the standard, in the area of Loans, Protection, E-money and Digital Services, New Customer Development - the migration from the Advice platform to the Athena platform for Companies, which involved in an initial pilot a portion of Small Business customers (Legal Entities) of the North East AT, for which only Basic Consulting is available to date. The migration of all SB customers is planned for 2022, with specific prior training of the Network.

MPS Capital Services (MPSCS)

Corporate finance

Project and Real Estate Finance – In 2021, MPS Capital Services confirmed its positioning amongst the leading banks in Italy for loans to the renewable energies sector and for infrastructure using project financing, as well as in the Real Estate sector with significant redevelopment projects and initiatives for qualified institutional customers (e.g. Real Estate Funds).

Considering their complexity, loan structuring requires medium/long finalisation times, so the transaction closings regarded both mandates obtained in the course of the year as well as mandates obtained previously.

Please note the following most significant transactions for the 2021 financial year:

- refinancing of EUR 92.7 mln, of which EUR 45 mln as MPSCS share, of a portfolio of wind farms of the Fortore Group for a total of 123.6 MW owned by various project companies (SPV) controlled by Fortore Energia S.p.A., (ii) an Acquisition Facility of EUR 20 mln, in favour of Fortore 2020 S.r.l., the main shareholder of Fortore Energia S.p.A., for the purchase of the remaining minority interests and (iii) a service reserve instrument for payables (DSRA) for EUR 9.7 mln, which covers the 6-month repayables



of both the long-term loan and the acquisition facility. MPS Capital Services acted as Mandated Lead Arranger, Hedging Bank, and Agent Bank

- Refinancing of the portfolio of a total of 6 MW held by Green Solar Holding, located between Marche and Emilia-Romagna which came into operation in 2011, for a total value of over EUR 20 mln, which saw the activation of a new project financing transaction for a total of EUR 14 mln granted by MPS Capital Services Banca per le Imprese as Mandated Lead Arranger and the only lending bank.
- Financing of the intervention intended for the realization of an investment for redevelopment for commercial - hospitality - entertainment purposes called Maximall Pompei, located near the archaeological area of Pompei, in the municipality of Torre Annunziata (NA) undertaken by the company Irgen Re Pompei S.r.l., controlled by entrepreneurs who have been active for years in the construction and management of shopping centres. The loan amounting to a total of EUR 92.3 mln was financed together with two other banks and MPSCS participated as the MLA for a share of EUR 28.5 mln;
- Financing of the urban redevelopment and architectural renovation of the former Manifattura Tabacchi complex in Florence, which has been inactive for some time, managed by a joint venture between Cassa Depositi e Prestiti and Aermont Asset Management, intended for the construction of exhibition spaces, craft workshops, fashion schools, offices, residences and student housing, in which activities in the fashion field can develop. The intervention for a total of EUR 92.3 mln was financed together with 2 other banks and MPSCS participated as MLA with a share of EUR 23.075 mln.
- Project-based financing of the construction and management of the A36 motorway - Autostrada Pedemontana Lombarda, which will cross the provinces of Como, Varese north of Milan, connecting the A8 with the A4 through a 67 km route, with an innovative barrier-free toll system (free flow). The total funding made available to the concessionaire Autostrada Pedemontana Lombarda S.p.A., controlled by the Lombardy Region, amounts to EUR 1,741 mln and was carried out with the intervention of the European Investment Bank, Cassa Depositi e Prestiti and a pool of banks in which our Bank participated with a share of EUR 50 mln.
- Project-basis financing of the current exposure, with a further increase in financial funding, aimed at completing the first two lots of the mass public transport system in the Florence area connecting the city's main activity poles (airport-hospital-high speed station) with the city centre, developed by the Concessionary company Tram di Firenze S.p.A., controlled by a French fund, expression of primary RATP, international manager of urban transport systems and by other national companies, participating in the project in various capacities. The financial intervention for a total of EUR 188 mln was financed, with 2 other banks and CDP, by MPSCS as lead company and MLA for the amount of EUR 35 mln.
- Financing of the intervention intended for the purchase by the Fondo CCP 5 IREF 2, a closed-end real estate investment fund reserved for qualified investors, of a building for logistics use located in Campi Bisenzio (FI), leased to the leading Gucci group operating in the high-end fashion sector. This loan, amounting to EUR 14 mln, was underwritten in full by MPSCS.

Corporate Finance - Although in a general context still impacted by the evolution of the COVID-19 epidemic in our country, the granting of loans in the year 2021 developed continuously and concerned in particular the support to companies operating in the services sector (IT³¹, utilities³²), the industrial sector (automotive³³), the tourism-hospitality sector³⁴, the real estate sector and construction. The financing transactions completed in 2021 include (i) a pool loan of EUR 29 mln (our share of EUR 19 mln) to support financial needs for the construction of a 5-star resort in Sicily, having as sponsor a group of primary importance active in the management of luxury resorts, (ii) the subscription of a loan for a total of EUR 77 mln (our share equal to EUR 54 mln) in favour of a closed-end real estate fund for the purpose of acquisition of a real estate portfolio consisting of hypermarkets and supermarkets, all leased to the Coop Alleanza 3.0 and Unicoop Firenze groups, (iii) the structuring, as financial advisor, and the subsequent subscription of a share of 30% of a pool loan of over EUR 60 mln in favour of an integrated water service operator in Central Italy.

During the year, loans were negotiated for around EUR 170 mln, assisted by the Italia SACE Guarantee or the PMI Fund, pursuant to Law Decree no. 23/2020 introducing, inter alia, urgent measures for access to credit in connection with the COVID-19 epidemic. In the context of the issue of loans correlated to facilitating tools, the operations to support research and development projects also continued, promoted by primary industrial groups

³¹ Eolo

³² Umbra Acque, Publiacqua

³³ Prima Sole Components

³⁴ Scarapicchia



operating in Italy, based on FRI (“Sustainable Industry” and “Digital Agenda” Tenders) as well as the support of projects promoted by agricultural and zootechnical companies in the context of “Supply chain and district contracts”.

Acquisition Finance - During 2021, in a particularly lively market context with regard to M&A and private equity, MPSCS once again confirmed its significant competitive positioning in acquisition and leveraged finance activities, in particular in the Mid Corporate segment, for transactions characterized by strong industrial connotations and important commercial effects for the MPS Group.

In fact, MPSCS continued the origination and structuring of acquisition transactions to support counterparties of primary standing, focusing on industrial integrations carried out by corporate operators and also maintaining a strong presence on the LBO’s market promoted by the main private equity operators in Italy.

Some of the main transactions organised and financed with the role of MLA were:

- acquisition of **Ekaf - Industria Nazionale del Caffè** - leading Italian operator active in the roasting and marketing of coffee and complementary products under its own brand (Cellini) and private labels - by the private equity operator Dea Capital (LBO);
- acquisitions of **Casa Vinicola Botter and Mondo del Vino** - leading Italian operators active in the production, marketing and export of wines - by the private equity operator Clessidra, aimed at creating a leader in Italy in its reference market (LBO);
- acquisition of **Witor’s** - leading Italian operator active in the production and marketing of chocolate-based products (Boero and Witor’s brands as well as private labels) - by the private equity operator 21 Investimenti (LBO);
- acquisition of **Zanzar Group** - leading Italian operator active in the manufacture of metal structures for fly screens, awnings, Venetian blinds and similar - by the private equity operator 21 Investimenti (LBO);
- acquisition of **Fatboy** (a Dutch group active in the production of furnishing accessories) by **Calligaris**, an operation aimed on the one hand at accelerating the internationalization process of the Italian group and on the other hand to respond to a precise industrial strategy of diversification of the product/brand portfolios (*Corporate Acquisition*);
- acquisition by the **Grimaldi** group - through the **Trasmed GLE** vehicle - of specific industrial assets (in particular brands and ropax vessels) owned by the Spanish group Armas and operating in the connections by sea sector with the Balearic Islands (transport of goods and people), transaction aimed at further increasing the international leadership of the Italian group, with a particular focus in the Mediterranean area (*Corporate Acquisition*);
- acquisition by **Lapi Gelatine** - leading Italian operator active in the production and marketing of jellies for pharmaceutical and food use - of its Spanish competitor **Juncà Gelatines**, a transaction aimed on the one hand at accelerating the internationalization process of the Italian group and on the other hand to respond to a precise industrial strategy of diversification and expansion of the product/customer portfolio

Investment Banking

With regard to activity on the primary debt market, during 2021 MPSCS acted as *Joint Lead Manager and Bookrunner* in the following bond issues:

- Acea S.p.A. inaugural issue of *Green Bond dual tranches* with maturity of 4 years and 9.5 years
- Anima Holding S.p.A. *senior unsecured* bond at 7 years
- Cassa Depositi e Prestiti S.p.A. *Social Bonds* with 7-year maturity

and *Joint Bookrunner* in the EUR 45 mln senior unsecured bond issue of Il Sole 24 Ore S.p.A. with a 7-year maturity.

With regard to government issues, MPSCS acted as *Joint Lead Manager and Bookrunner* in the syndicated issues of the new nominal BTP bond with maturity of 10 years, 1/08/2031, of the new CCTeu bond with maturity of 8 years, 15/04/2029, of the BTPei *inflation linked* bond with a 30-year maturity, as well as the syndicated reopening of the BTP Green bond maturing on 30/04/2045.

The Bank also acted as Dealer in numerous *Covered Bond* issues of Banca Monte dei Paschi di Siena S.p.A.

In the same period, MPSCS played the roles of *Co-Lead Manager* in the bond issues of Italian financial institutions, including:

- 5-year and 10-year *Senior Preferred Bonds* issued by Unicredit S.p.A.
- the 7-year *Senior Preferred Green Bond* issued by Intesa Sanpaolo S.p.A.



With the same role of *Co-Lead Manager*, MPSCS also participated in the following government bond issues: nominal 10, 15 and 50 year BTPs, Green BTPs maturing 30/04/2045; *Global bond* issues in US dollars with maturities in 3 and 30 years; reopening of the nominal 7-year BTP and issue of a 30-year *Global Bond* in US dollars.

MPSCS continues to act as *Euronext Growth Advisor* (formerly Nominated Advisor) on behalf of Poligrafici Printing S.p.A., listed on the *Euronext Growth Milan* (formerly AIM Italia) market of Borsa Italiana.

In addition, the Bank acted as financial advisor to Fortore 2020 S.r.l. in the acquisition of full control of Forte Energia S.p.A. and Lapi Gelatine S.p.A. as part of the acquisition of a controlling interest in the Spanish company Juncà Jelatines S.L.

Lastly, thanks to its access to the role of accredited intermediary, the Bank has supported numerous companies in requesting access to the “Relaunch Capital” initiatives, set up by Cassa Depositi e Prestiti S.p.A., as Allocated Capital pursuant to art. 27 of the Law Decree no. 34 of 19 May 2020, in order to implement interventions and operations to support and relaunch the Italian economic and production system, as a result of the epidemiological emergency and in the context of the regulatory framework of the European Union on State aid adopted to deal with the emergency (“*Temporary Framework*”).

Subsidised financing

During 2021, consultancy activities continued for the Public Administration following the assignment of assistance services for the management of the SME Guarantee Fund and the Sustainable Growth Fund (FCS) in compliance with the commitments undertaken with the agreements stipulated with the Ministry of Economic Development (MiSE).

In this regard, note in particular the preliminary activities relating to 11 research and development projects for a total amount of approximately EUR 80 mln and the follow-up in the disbursement phase of the 70 stock projects with regard to the FCS, as well as the substantial promotion and assistance activities carried out with regard to banks and Confidi, trade associations and businesses in relation to the interventions of the SME Guarantee Fund, in particular following the public measures issued in relation to the COVID-19 emergency, which led to exponential growth of requests for guarantees by companies.

The activity of Bank Authorized by the Ministry of Agricultural, Food and Forestry Policies (MIPAAF) also continued for assistance in the granting and disbursement of incentives relating to the IV Call for Supply Chain Contracts in the agricultural sector, also in collaboration with the Parent Company as part of the “MPS Agroalimentare” initiative.

Finance

In 2021, the activities on the markets and those with customers of the *Global Markets* and *Sales and Financial Solutions* Departments achieved good results, both in terms of risk management and commercial flows, both captive and extra-captive.

In the government segment, during the year the stock of proprietary portfolios was managed with the objective of optimising the nominal amount of government bonds held with the accrued carry within the granted risk limits. The activity observed a marked increase in secondary volumes on the markets compared to last year, mainly driven by the growth in volumes on the MTS which continued the annual growth trend, in terms of volumes traded, already observed in 2020.

With reference to the activity of Italian Treasury *Specialist*, the activity that, in recent years, has placed the Bank in a position of absolute pre-eminence continued in 2021, an element that has allowed, among other things, to play important roles in primary syndicated transactions.

The credit segment in terms of volumes recorded an increase on markets and was substantially stable compared to the previous year in terms of customer transactions.

With regard to structuring activities, the results recorded a significant decrease compared to the previous year for protected unit-linked products, while a significant increase was observed in reference to funds compared to the volumes of 2020. The dynamics described reflect a different composition in the mix of products of this type placed by the Parent Company during the year.

In this regard, despite a composition of structured products with lower margins in terms of associated retail hedges, the *equity and fixed income* segments recorded excellent results from trading activities.

The *Sales and Financial Solutions* Department continued to channel flows of institutional and corporate customers towards the entire range of the Bank’s business lines. With regard to institutional customers, there was a positive



trend in derivative activities, both in the equity and interest rate components, as well as in the excellent performance of securities trading, both in the government segment and in the credit segment, with a marked increase compared to the previous year on all the aforementioned business lines. On the other hand, the auction sector observed a marked contraction in volumes to customers compared to 2020. The results of the syndication activity remain significant, although slightly down compared to the previous year, in consideration of the lower funding needs of the Italian Republic observed in the second half of the year. With respect to the Parent Company's corporate customers, there was a decrease compared to the previous year in the volumes of interest rate hedges and more markedly in exchange rate hedges, the latter being affected by the negative effects of the stability observed on the currency market, while commodity hedging grew compared to 2020. Hedges with direct corporate customers also recorded a reduction in terms of volumes compared to the previous year, although the activity showed a marked growth in terms of margins, thanks to transactions with a longer duration.

Business Development

The development of the commercial relationship with corporate customers and with active and prospective institutional counterparties has experimented with new organizational horizons, taking into account the limited space allowed by the COVID protocols in the autumn period. In 2021, after organizing the "Terre di Siena 2021" event for a selected customer target, MPS CS promoted for the first time the organization of "hybrid" events, i.e. with Customers/Counterparties in attendance, in controlled numbers, and others connected in streaming, as specified below.

The contents and results of these innovative organizations were represented with suitable information to the Board of Directors.

In terms of aggregate promotion, in 2021 an intense activity was carried out to organize training meetings (webinars) aimed at specific topics, albeit connected to the in-house production of the MPS Group. The main understanding remained the optimisation of synergies within the MPS Group. As anticipated, the traditional organization of autumn meetings on macroeconomic forecasts for the following year, "flagship" events, has therefore evolved into the organization of two "hybrid" events at prestigious hotels in Milan and Rome, which was possible to access via streaming, subject to prior registration, thanks to the collaboration with a leading operator in the sector. Meetings planned and managed in close collaboration with the Communication function of the Parent Company which immediately embraced the new intervention strategy. Between attendance and streaming, the two events attracted the attention of nearly five hundred people, a significant number. The participation success was guaranteed both by the presentations of the Market Strategy Staff structure and by the interventions of special guests, invited to give specific contributions relating to forecasts for 2022.

The configuration, training for contributors and the launch of the new MPSCS website were completed, redesigning the architecture from the ground up in accordance with the objective of greater accessibility, completeness and modernity, following the brand identity & recognition of the MPS Group.

The Business Development Department, through the Operational Marketing & Business Support Office, (MeBS), in its role as company communication point of contact, then handled the drafting of various press releases, which recorded an unprecedented increase in media visibility (transactions relating to Maximall Pompei, Lapi Gelatine, Fortore Group, Manifattura Tabacchi, Revet, and others). Media reports were very satisfactory in all the local as well as the national press.

MPS Leasing & Factoring (MPS L&F)

Leasing

The leasing activity during 2021 showed a commercial liveliness which, although expected after 2020 (where, however, despite all the known problems related to the MPS L&F pandemic, it had recorded a substantial overlap in production compared to 2019), it went well beyond expectations, with dynamics that have seen the Company achieve more positive performances, in terms of YoY growth, than that recorded by the market, with an increase in volumes stipulated of over 38%.

Several activities characterised the leasing business dynamics, both from a purely commercial and operational point of view.

In fact, the queue management in relation to the moratoriums activated during 2020 continued throughout the year, and the benefits granted at national level (in particular Sabatini/MCC) significantly contributed to the massive use of finance leases.



On the one hand, these opportunities led companies to make investments with both high technological content and low environmental impact (in 2021 over 2,200 Sabatini applications for a value of approximately EUR 550 mln, of which 70% Sabatini 4.0 and 30% ordinary Sabatini), and on the other hand facilitated access to credit by virtue of the guarantee offered by Mediocredito Centrale, which also allowed the subsidiary to record a production (net of the advance paid by the customer) that saw the level of coverage of loans guaranteed equal to approximately 45% (the same figure for 2020 was approximately 20%). In fact, approximately 2,000 applications were submitted and accepted at MCC for a guaranteed value of more than EUR 340 mln.

The development of commercial activities, also supported by the guidelines of the European Next Generation EU plan, already determined in 2021 some specific initiatives that will be further accelerated in 2022 thanks also to the implementation of the NRRP.

- “Sudleasing”: promotional campaign dedicated to companies with a registered office or production plant in Southern Italy, which acquire an operating asset. This offer provides dedicated conditions and a one-year “all risks” insurance policy on the leased assets free of charge.
- Leases from Cassa Depositi e Prestiti (CDP) funding: loans aimed at promoting, including through lease brokerage, a greater inflow of medium/long-term resources to companies.
- Coverage: coverage initiatives with BMPS and Group companies to develop actions aimed at increasing cross selling.
- Specific ESG funding with particular regard to initiatives with positive Social and Environmental impacts, also linked to Circular Economy issues.

Corporate Centre

The Corporate Centre includes:

- head office units, particularly with regard to governance and support functions, proprietary finance, the “asset centre” of divisionalised entities, which comprises in particular: proprietary finance activities, treasury and capital management;
- units providing service and support to the business, particularly with regard to the development and management of information systems (Consorzio Operativo di Gruppo).

The Corporate Centre also includes the offsetting of intragroup entries and the results of the companies consolidated under the equity method and those held for sale.

As regards Finance activities, as at 31 December 2021, securities from the Parent Company’s portfolio were sold, of which around EUR 1,190 mln classified at amortised cost, for a total profit of EUR 128 mln, an increase of around EUR 5 mln compared to the same period of the previous year (when around EUR 975 mln of sales from the securities portfolio had been carried out). In addition, EUR 132 mln classified as FVOCI were sold, generating a profit of around EUR 6 mln. Partly offsetting these sales, to support net interest income, securities were bought back during the year, of which EUR 1.228 mln were classified as at amortised cost and EUR 742 mln as FVOCI.

Equity investment management

In 2021, the Group continued to rationalise its equity investment portfolio.

At the Banking Group level, the liquidation of the subsidiaries Aiace Reoco Srl and Enea Reoco Srl should be noted

As a result of the non-subscription of the share capital increase of the associate Sansedoni Siena S.p.A., the Parent Company’s investment in the same company fell from 21.754% to 1.088% with the consequent loss of the significant influence that also led to the exit of the investee company from the scope of consolidation.

The following is a detailed list of the most significant transactions carried out during the financial year.

Acquisitions

- Following the proportional partial demerger of the subsidiary Sansedoni Siena SpA, a stake equal to 0.007% of the share capital of Propco Srl was assigned to the Parent Company
- The Parent Company received 5,392 VISA INC shares (346 preferred class A shares and 5,046 preferred class C shares) from Nexi Payments S.p.A., by virtue of a commercial agreement entered into with Nexi (formerly CartaSi).



- Finally, it should also be noted that an “Associazione in Partecipazione” (profit-sharing) agreement was signed with the film production company Levante S.r.l., in the form of financial support for the creation of feature films pursuant to “tax credit” legislation.

Disposals

- The following shareholdings were disposed of: Integra S.p.A. (50% of the share capital), Terme di Chianciano S.p.A. (18.816% of the share capital), Serfactoring S.p.A (8% of the share capital), Gal Patavino S.c.a.r.l. (5% of the share capital), ABC Procurement & Cost Management (1.23% of the share capital), Trixia S.r.l. (15% of the share capital).
- The following investments were partially disposed: Campus Bio Medico S.p.A. (from 0.933% to 0.88% of the share capital), Swift S.c.r.l. Society for Worldwide Interbank Financial Telecommunication (from 0.111% to 0.094% of the share capital).
- Upon conclusion of the respective liquidation and bankruptcy procedures, the equity investments held in Pattodifoggia Scpa in liquidation (8%) and Serin Servizi Industriali S.p.A. (50%).
- The subsidiary MPS Capital Services S.p.A. sold its equity investment in Terme di Chianciano S.p.A. (26.807% of the share capital).



Prospects and outlook on operations

After the sharp rebound recorded thanks to the vaccination campaigns and the substantial stimulus policies implemented to combat the pandemic, the prospects for the global recovery trend remain positive (+ 4.4% in 2022 according to the IMF³⁵), albeit in a context of increased risks of a new slowdown. Already at the end of 2021, the expansion was attenuated both by the restrictions introduced to stem the Omicron variant and by the inflationary tensions deriving from the bottlenecks in the global supply chains and the exceptional increase in the prices of energy commodities. If these pressures on prices persist, the monetary normalization process, already initiated by some Central Banks, could accelerate with negative effects on the current cycle: the too sudden increase in US rates could even lead to imbalances in the currency markets and global financials, damaging emerging countries with high dollar-denominated foreign debt. In some economies (USA), a gradual withdrawal from the expansionary fiscal policies implemented to manage the emergency will also emerge. On the international stage, an armed invasion of the Ukrainian territory by Russia has generated the inevitable reaction from the West, which has imposed heavy economic sanctions on Moscow, foreshadowing the return of a scenario characterized by opposing power blocks, with the risk of war escalation. The renewal of some political offices in Europe and the debate on the reform of the Stability Pact will result in further elements of uncertainty. In the background, the possible coexistence with the virus, net of the spread of new variants.

According to the International Monetary Fund, Italy's GDP could grow by 3.8% in 2022. In the medium term, growth will be supported by the National Recovery and Resilience Plan (NRRP), together with a budget policy that will remain expansive even if many of the exceptional interventions implemented to amortize the costs of the pandemic will fail. For the NRRP to be effectively implemented, it is essential that a context of political stability remains, in a national scenario that the pandemic has profoundly transformed in terms of consumption habits, working and travelling methods, social interactions and assistance and in which digitalisation and green transition will have great relevance. However, the outbreak of the conflict in Ukraine increases the risk of a deceleration of the expansionary cycle also for the Italian economy, which is heavily dependent on Russian energy supplies, with tensions on energy prices that could keep inflation levels higher and longer.

The Italian banking system will continue to play its role in supporting the economy, continuing the transformation process aimed at recovering profitability, continuously improving operating efficiency and adapting its business model to the needs of the ecological transition. In addition to the management of non-performing loans and the change of pace in the use of technologies and in the acquisition of adequate skills, one of the challenges of the future concerns, in fact, the adaptation of its offer and business support activities to a context in the which the issue of sustainability acquires greater importance. The drive towards the integration of ESG (Environmental, Social and Governance) factors in all areas of bank operations, from planning to risk management, from governance to IT systems, comes from all stakeholders, not least the supervisory and vigilance authorities. This process includes the climate stress test exercise that the ECB will conduct in 2022, which will call upon the major European banks to self-assess, and which will provide an initial picture of the positioning of Italian banks with respect to climate risks. The acceleration of the transition towards a zero-emission economy is in fact a necessary path that will deeply affect the behaviour and strategies of the financial industry.

Liquidity support measures favoured the expansion of credit to the private sector in 2021. The trend in loans to households grew, driven by the component linked to home purchases and by a higher demand for durable goods favoured by incentives for the renovation and redevelopment of properties. Although positive, loans to businesses slowed down, thanks to the recovery of repayments for the portion of loans for which, in June, the extension of the moratorium was not requested, due to the limited increase in guaranteed loans and for the abundant liquidity in the current accounts of companies which, together with the recovery of debt securities issues, limited the use of bank credit. The economic growth expected this year and in the next two years will favour a stabilization of the growth rates of credit to households and the recovery of credit to businesses. Despite the expiry of the extraordinary measures, the most fragile companies will be able to count on the extension of the SACE guarantee until the end of June 2022 and on the gradual phase-out of loans to SMEs of the FCG. A further contribution to credit to businesses will come from the use of bridging loans, aimed at covering the initial liquidity requirement for the implementation of the NRRP projects, while for household credit the boost will come from the consolidation of the flows of new loans for purchase housing, thanks to the favourable prospects of the real estate market, together with the extension until the end of 2022 of the moratorium on mortgages (Gasparrini Fund) and the concessions for mortgages for young people (Support Bis Law Decree). The extraordinary measures will also help to support the recovery in consumer credit, thanks to incentives for the purchase of eco-sustainable furniture and

³⁵ World Economic Outlook Update, International Monetary Fund, January 2022



appliances (furniture and household appliance bonuses). However, the financial sanctions imposed by the West such as the selective expulsion of some Russian banks from the Swift circuit and the freezing of the assets of the Russian Central Bank could also generate tensions on international financial markets with an impact on the intermediaries most exposed to Russia.

Even assuming that inflation returns from the middle of the year, its persistence at higher than expected levels pushes the Central Banks towards a more restrictive monetary policy, albeit with varying degrees of urgency. If the Fed, strong from a well-underway tapering, were to move decisively on the cost of money in 2022, the ECB would remain more cautious by ending the pandemic emergency purchase program (PEPP) by March but reshaping the monthly purchases within the APP (Asset Purchase Program) and postponing intervention on policy rates. The 3-month swap rate is expected to be substantially stable at current values until the first half of 2022, and then anticipates the increase in the monetary policy rate starting from the second half of the year. In the medium term, the sharp rise in the market rate would correspond to a lower growth in interest rates on loans, a more moderate increase in the average rate on deposits and a livelier trend in the rate on bonds influenced by the gradual but persistent increase in the yield of Italian government bonds.

In 2021, the accumulation of liquidity by households and businesses further increased, although in the last months of the year elements of uncertainty increased, which affected the investment decisions of operators. Looking ahead, direct funding may slow down and stabilize around the levels reached in 2021. Already in the short term, a decrease in liquidity is likely for the companies that use it to self-finance and, subsequently, in a context of lower uncertainty, households will also see a reduction in the more liquid component of the portfolio in favour of instruments with a longer maturity and indirect funding. The gradual normalization of monetary policy will lead to a necessary increase in medium and long-term funding policies. The stock of bonds should also start to grow again from 2022, reflecting higher issues in the wholesale segment.

The interest margin will remain at current levels, with a banking spread that will only begin to grow in the medium term and despite the recovery of profitability of the securities portfolio thanks to higher government bond yields. A positive contribution to profitability will come from revenues from savings management and brokerage, thanks to the new savings flows and the reorganization of the household portfolio towards managed and insurance components, also following the expansion of the ESG product offer. The rationalization of the physical network will still guide the process of reducing structure and personnel costs, but the expenses related to the digital transformation and to the change of the service model will increase, to allow to adapt the IT structure and the compliance costs to the need to include ESG factors and risks in internal processes, in line with the evolution of the regulatory framework.

In 2021, the measures implemented by the institutions limited the effects of the pandemic crisis on banks' balance sheets. The extension to 2022 of some anti-crisis measures contained in the Budget Law could in part reduce the greater formation of non-performing loans expected for this year, postponing their total emergence to 2023. The greater flows of impaired loans will also be contrasted by the continuation of the NPL disposal plans on the market and by the careful management of positions in the initial stages of impairment by operators. The cost of risk after the expected increase in 2022 will decrease again in the medium term, returning to values similar to pre-COVID. The outbreak of the conflict between Russia and Ukraine and its possible repercussions in terms of lower economic growth could lead to strains on the cost of credit. The full recovery of profitability for the sector remains difficult: after growth in 2021, net profit may again decline in 2022.

The ongoing economic recovery could have positive effects on the Group's performance also in the coming months. The Group will be committed to supporting companies by supporting them in the post-pandemic recovery process, also by exploiting the potential offered by the NRRP, supporting development projects and local activities, enhancing their characteristics through specific initiatives and products, with the aim of supporting and guiding the recovery towards a more sustainable development model, integrating environmental, social and governance (ESG) criteria into investment and financing policies, continuously interpreting the historical role of the Bank in supporting and enhancing the territory and local economies. Also for 2022, it is realistic to imagine the benefit deriving from TLRO III, a lower cost of commercial deposits in view of the actions to contain the most expensive components already started in 2021, and the contribution of the new consumer credit platform that will be able to fully exploit market dynamics. Revenues will continue to be supported by the commission component which will benefit from the consolidation and the good dynamics of managed savings.

The actual figures for the third quarter of 2021 confirm the very robust liquidity position of the Group, with indicator levels (LCR/NSFR) that are significantly higher than regulatory and operational limits as well as their targets. The expected institutional maturities for 2022 are mainly represented by EUR 0.75 bn in covered bonds (already repaid in January), EUR 0.5 bn in senior unsecured bonds and around EUR 1 bn in bilateral Funding (of which around EUR 0.8 bn with ECB-Eligible collateral); in addition, in the last quarter of the year TLTRO III



auctions will expire for EUR 4 bn. The remaining stock of TLTRO III auctions (equal to 25.5 billion euro) may be subject to early repayment, based on the trend of the Group's liquidity position, as well as any changes to the ECB regulatory framework. In view of the expected maturities, the Group's funding strategies aim to maintain liquidity indicators at adequate levels, well above the regulatory limits, as well as to reabsorb, with reference to public bond issuance plans and also in consideration of the expected capital increase, breaches of MREL requirements. These strategies are defined in accordance with the strategic plans of the Group and, in this sense, their operational definition will be fully defined only following the approval of the 2022-2026 Strategic Plan, currently subjected to the required information, approval and regulatory procedures that the Bank initiated with the competent Authorities.

With regard to capital requirements, assuming that the update of the internal models to the EBA Guidelines is completed by the end of 2022 with an increase in RWA of the order of EUR 5.9 bn and in the absence of further initiatives of capital management, as at 31 December 2022 a shortfall of EUR 150 mln could emerge with respect to capital requirements (overall capital requirements); this shortfall is expected to increase to EUR 500 mln in the first quarter of 2023, considering the planned capital reduction linked to the IFRS 9 phase-in.



Annexes



Reconciliation between the reclassified income statement and balance sheet and the related statutory accounts



Reconciliation between the reclassified income statement as at 31 December 2021 and related statutory accounts

Item	Income Statement accounts	31/12/21	Economic effects from allocation to IFRS equivalent items (IAS, IFRS, IASB, IAS)	Reclassification of dividends on treasury stock transactions	Reclassification of the portion of profits from equity investments	Reclassification provision to BRRD and DGSQ funds	Recovery of stamp duty and customers' expenses	DTA Fee	Restructuring costs (Personnel expenses for disposal of branches)	Restructuring costs (closure of branches)	Securitization, Recapitalization and other financial assets	Cost of credit	31/12/21	Reclassified Income Statement accounts
			4.4	-	-	-	-	-	-	-	-	-	1,221.5	Net interest income
10	Interest income and similar revenues <i>of which interest income calculated applying the effective interest rate method</i>	1,897.4 1,509.1	4.4	-	-	-	-	-	-	-	-	-	1,901.8	
20	Interest expense and similar charges	(680.3)	-	-	-	-	-	-	-	-	-	-	(680.3)	
40	Fee and commission income	1,696.6	-	-	-	-	-	-	-	-	(0.1)	-	1,484.0	Net fee and commission income
50	Fee and commission expense	(212.5)	-	-	-	-	-	-	-	-	(0.1)	-	(212.0)	
70	Dividends and similar income	13.7	-	(4.7)	10.4	-	-	-	-	-	-	-	113.4	Dividends, similar income and gains (losses) on equity investments
			-	-	-	-	-	-	-	-	-	-	-	Net profit (loss) from trading, from financial assets/liabilities measured at fair value and Net profit (loss) on disposals/repurchases
80	Net profit (loss) from trading	19.8	-	-	4.7	2.7	-	-	-	-	-	11.6	146.4	
100	Gains/(losses) on disposal/repurchase of: a) financial assets measured at amortised cost b) Financial assets measured at fair value through other comprehensive income c) financial liabilities	1,399.4 1,253.3 11.4 5.1	-	-	-	-	-	-	-	-	-	-	24.5 141.3 124.8 11.4 5.1	
110	Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss a) financial assets and liabilities designated at fair value b) other financial assets mandatorily measured at fair value	(32.2) 8.9 (41.1)	-	-	-	2.7	-	-	-	-	10.1	-	(19.4)	
90	Net profit (loss) from hedging	12.6	-	-	-	2.7	-	-	-	-	10.1	-	(28.3)	
230	Other operating expenses/income	223.3	-	-	-	-	-	-	-	-	-	-	12.6	Net profit (loss) from hedging
190	Administrative expenses: a) personnel expenses b) other administrative expenses	(2,401.6) (1,431.7) (969.9)	-	-	-	166.6 237.7 63.2	-	-	3.7 0.9 (1.9)	-	3.4	-	(1,926.1)	Administrative expenses
			-	-	-	-	-	-	-	-	-	-	(1,428.0)	a) personnel expenses
			-	-	-	166.6	237.7	63.2	0.9	3.4	-	-	(498.1)	b) other administrative expenses
210	Net adjustments to/recoveries on property, plant and equipment	(134.2)	-	-	-	-	20.2	-	-	0.7	-	-	(179.9)	Net value adjustments to property, plant and equipment and intangible assets
220	Net adjustments to/recoveries on intangible assets	(67.5)	-	-	-	-	20.2	-	-	0.7	-	-	(113.3)	
130	Net impairment (losses)/reversals on: a) financial assets measured at amortised cost b) financial assets measured at fair value through other comprehensive income	(193.6) (196.4) 2.8	-	-	-	-	-	-	-	-	-	-	(10.4)	Cost of customers credit
			-	-	-	-	-	-	-	-	-	-	(198.7)	130a) financial assets measured at amortised cost - customers
			-	-	-	-	-	-	-	-	-	-	(1.5)	100a) Loans to customers measured at amortised cost
			-	-	-	-	-	-	-	-	-	-	(10.1)	110b) Loans
			-	-	-	-	-	-	-	-	-	-	6.5	200 a) Net provision for risks and charges related to financial guarantees and other commitments
140	Modification gains/(losses)	(7.6)	-	-	-	-	-	-	-	-	-	-	(7.6)	140 Modification gains (losses)
			-	-	-	-	-	-	-	-	-	-	5.3	5.3 Net impairment (losses)/reversals on securities and loans to banks
160	Net insurance premiums	-	-	-	-	-	-	-	-	-	-	-	-	
170	Other net insurance income (expense)	-	-	-	-	-	-	-	-	-	-	-	-	
200	Net provision for risks and charges: a) commitments and guarantees issued b) other net provisions	(92.5) 6.5 (99.0)	-	-	-	-	-	-	-	-	-	-	(6.5)	(99.0) Net provisions for risks and charges
250	Gains (losses) on investments	106.6	-	-	(104.4)	-	-	-	-	-	-	-	-	2.2 Gains (losses) on investments
			-	-	-	-	-	-	-	-	-	-	(7.3)	Restructuring costs / One-off costs
			-	-	-	(109.3)	-	-	(3.7)	(0.3)	(3.3)	-	(80.3)	Risks and charges related to the SRF, DGS and similar schemes
			-	-	-	-	-	(63.2)	-	-	-	-	(63.2)	DTA Fee
260	Net gain (losses) on property, plant and equipment and intangible assets measured at fair value	(44.1)	-	-	-	-	-	-	-	0.6	-	-	(43.5)	Net gain (losses) on property, plant and equipment and intangible assets measured at fair value
280	Gains (losses) on disposal of investments	14.8	-	-	-	-	-	-	-	-	-	-	14.8	Gains (losses) on disposal of investments
290	Profit (loss) before tax from continuing operations	258.1	-	5.3	-	-	0.0	-	-	-	-	(0.0)	263.4	Profit (loss) for the year before tax
300	Tax (expense)/recovery on income from continuing operations	51.2	-	(1.7)	-	-	-	-	-	-	-	-	49.5	Tax (expense)/recovery on income from continuing operations
310	Profit (loss) after tax from continuing operations	309.3	-	3.6	-	-	0.0	-	-	-	-	(0.0)	312.9	Profit (loss) after tax
320	Profit (loss) after tax from groups of assets held for sale and discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	
330	Profit (loss) for the year	309.3	-	3.6	-	-	0.0	-	-	-	-	(0.0)	312.9	Net profit (loss) for the year
340	Profit (loss) attributable to non-controlling interests	(0.2)	-	-	-	-	-	-	-	-	-	-	(0.2)	Net profit (loss) attributable to non-controlling interests
			(3.0)	-	-	-	-	-	-	-	-	-	(3.0)	PPA (Purchase Price Allocation)
	Parent company's net profit (loss)	309.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	309.5	Parent company's net profit (loss) for the period



Reconciliation between the reclassified income statement as at 31 December 2020 and related statutory accounts

Item	Income Statement accounts	31 12 2020*	Economic effects from allocation of BAV acquisition costs to IMPS (PPV)	Reclassification of dividends on treasury stock transactions	Reclassification of the portion of profits from equity investments	Reclassification provisions to IRRD and DGSF funds	Recovery of stamp duty and customer expenses	DTA fee	Restructuring costs (Provisional expense for early retirement)	Securitization, Recapitalization and Commitment Costs	Cost of Credit	IV of properties - LAS 16	31 12 2020*	Reclassified Income Statement accounts
10	Interest income and similar revenues <i>of which interest income calculated applying the effective interest rate method</i>	1,975,1	5,6	-	-	-	-	-	-	13,6	-	-	1,290,6	Net interest income
20	Interest expense and similar charges	1,763,4	-	-	-	-	-	-	-	-	-	-	1,980,7	
40	Fee and commission income	1,595,7	-	-	-	-	-	-	-	37,1	-	-	1,430,1	Net fee and commission income
50	Fee and commission expense	(202,7)	-	-	-	-	-	-	-	37,1	-	-	(165,6)	
70	Dividends and similar income	10,3	-	(1,6)	92,2	-	-	-	-	-	-	-	101,0	Dividends, similar income and gains (losses) on equity investments
80	Net profit (loss) from trading	34,0	-	1,6	-	3,6	-	-	-	-	-	25,6	168,7	Net profit (loss) from trading, from financial assets/liabilities measured at fair value and Net profit (loss) on disposals/repurchases
100	Gains (losses) on disposal/repurchase of:	118,5	-	1,6	-	-	-	-	-	-	-	-	35,6	
	a) financial assets measured at amortised cost	113,4	-	-	-	-	-	-	-	-	-	(0,6)	118,1	
	b) Financial assets measured at fair value through other comprehensive income	0,2	-	-	-	-	-	-	-	-	-	-	113,0	
	c) financial liabilities	4,9	-	-	-	-	-	-	-	-	-	-	0,2	
110	Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss	(14,6)	-	-	-	3,6	-	-	-	-	-	26,0	15,0	
	a) financial assets and liabilities measured at fair value	0,2	-	-	-	-	-	-	-	-	-	-	0,2	
	b) other financial assets mandatorily measured at fair value	(14,8)	-	-	-	3,6	-	-	-	-	-	26,0	14,8	
90	Net profit (loss) from hedging	2,6	-	-	-	-	-	-	-	-	-	-	2,6	Net profit (loss) from hedging
230	Other operating expenses/income	229,6	-	-	-	-	-	(280,1)	-	-	-	-	(50,5)	Other operating income (expenses)
190	Administrative expenses:	(2,550,8)	-	-	-	136,7	259,6	71,0	93,6	11,4	-	-	(1,978,4)	Administrative expenses
	a) personnel expenses	(1,508,7)	-	-	-	-	-	-	93,6	-	-	-	(1,415,1)	a) personnel expenses
	b) other administrative expenses	(1,042,1)	-	-	-	136,7	259,6	71,0	-	11,4	-	-	(563,3)	b) other administrative expenses
210	Net adjustments to/recoveries on property, plant and equipment	(160,7)	-	0,9	-	-	20,5	-	-	-	-	8,5	(206,2)	Net value adjustments to property, plant and equipment and intangible assets
220	Net adjustments to/recoveries on intangible assets	(75,4)	-	0,9	-	-	20,5	-	-	-	-	8,5	(131,7)	
130	Net impairment (losses)/reversals on:	(749,3)	-	-	-	-	-	-	-	-	-	-	(749,3)	
	a) financial assets measured at amortised cost	(749,3)	-	-	-	-	-	-	-	-	-	-	(749,3)	130a) financial assets measured at amortised cost - customers
	b) financial assets measured at fair value through other comprehensive income	0,2	-	-	-	-	-	-	-	-	-	-	0,2	
		-	-	-	-	-	-	-	-	-	-	-	0,4	100a) Loans to customers measured at amortised cost
		-	-	-	-	-	-	-	-	-	-	-	(26,0)	110b) Loans
		-	-	-	-	-	-	-	-	-	-	-	15,4	200 a) Net provision for risks and charges related to financial guarantees and other commitments
140	Modification gains/(losses)	(18,8)	-	-	-	-	-	-	-	-	-	-	(18,8)	140 Modification gains (losses)
160	Net insurance premiums	-	-	-	-	-	-	-	-	-	-	-	-	
170	Other net insurance income (expense)	-	-	-	-	-	-	-	-	-	-	-	-	
200	Net provision for risks and charges:	(968,0)	-	-	-	-	-	-	-	-	-	-	(968,0)	Net provisions for risks and charges
	a) commitments and guarantees issued	4,7	-	-	-	-	-	-	-	-	-	-	(973,3)	
	b) other net provisions	(973,3)	-	-	-	-	-	-	-	-	-	-	(973,3)	
250	Gains (losses) on investments	95,0	-	-	(92,2)	-	-	-	-	-	-	-	2,8	Gains (losses) on investments
		-	-	-	-	-	-	-	93,6	(60,1)	-	-	(153,7)	Restructuring costs / One-off costs
		-	-	-	-	(140,3)	-	-	-	-	-	-	(140,3)	Risks and charges related to the SRF, DGS and similar schemes
		-	-	-	-	-	-	(71,0)	-	-	-	-	(71,0)	DTA Fee
260	Net gain (losses) on property, plant and equipment and intangible assets measured at fair value	(19,1)	-	-	-	-	-	-	-	-	-	(8,5)	(27,6)	Net gain (losses) on property, plant and equipment and intangible assets measured at fair value
280	Gains (losses) on disposal of investments	55,5	-	-	-	-	-	-	-	(2,0)	-	-	53,5	Gains (losses) on disposal of investments
290	Profit (loss) before tax from continuing operations	(1,347,2)	6,5	-	-	-	0,0	-	-	-	0,0	-	(1,340,7)	Profit (loss) for the period before tax
300	Tax (expense)/recovery on income from continuing operations	(339,4)	(2,1)	-	-	-	-	-	-	-	-	-	(341,6)	Tax (expense)/recovery on income from continuing operations
310	Profit (loss) after tax from continuing operations	(1,686,6)	4,5	-	-	-	0,0	-	-	-	0,0	-	(1,682,3)	Profit (loss) after tax
320	Profit (loss) after tax from groups of assets held for sale and discontinued operations	-	-	-	-	-	-	-	-	-	-	-	-	
330	Profit (loss) for the year	(1,686,6)	4,5	-	-	-	0,0	-	-	-	0,0	-	(1,682,3)	Net profit (loss) for the year
340	Profit (loss) attributable to non-controlling interests	(0,1)	-	-	-	-	-	-	-	-	-	-	(0,1)	Net profit (loss) attributable to non-controlling interests
		-	(4,5)	-	-	-	-	-	-	-	-	-	(4,5)	PPA (Purchase Price Allocation)
	Parent company's net profit (loss)	(1,686,5)	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	0,0	(1,686,5)	Parent company's net profit (loss) for the year

* The values as at 31 December 2020 were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).



Reconciliation between the reclassified balance sheet and related statutory accounts as at December 2021

Item	Balance-sheet Items - Assets	31/12/21	Other financial assets @ FVTPLM - Loans to banks	Loans to customers	Trading derivatives	Securities	Loans to Banks @ AC - Loans to Central Banks	Non-current assets held for sale and disposal groups - Property, plant and equipment	Non-current assets held for sale and disposal groups - Other	Change in value of macro-hedged financial assets	31/12/21	Reclassified Balance-sheet Items - Assets
10	Cash and cash equivalents	1,741.8									1,741.8	Cash and cash equivalents
20	Financial assets measured at fair value through profit or loss	9,671.0				15,013.6					22,127.1	Securities assets
	a) financial assets held for trading	9,217.0			(2,426.0)						15,013.6	
	b) financial assets designated at fair value	-									6,791.0	
	c) other financial assets mandatorily measured at fair value	454.0		(131.5)							322.5	
30	Financial assets measured at fair value through other comprehensive income	5,460.7				(5,460.7)						
40	Financial assets measured at amortised cost	113,060.1					20,769.7				20,769.7	Loans to central banks
	a) Loans to banks	25,004.4				(741.4)	(20,769.7)				3,493.3	Loans to banks
	b) Loans to customers	88,055.7		136.1		(8,811.5)					79,380.3	Loans to customers
50	Hedging derivatives	5.6			2,426.0						2,431.6	Derivatives
60	Change in value of macro-hedged financial assets (+/-)	594.5								(594.5)	-	
70	Equity investments	1,095.4									1,095.4	Equity investments
80	Reinsurers' share of technical reserve	-										
90	Property, plant and equipment	2,490.1						68.2			2,558.3	Property, plant and equipment
100	Intangible assets	185.2									185.2	Intangible assets
	- of which goodwill	7.9									7.9	- of which goodwill
110	Tax assets	1,774.0									1,774.0	Tax assets
	a) current	727.6									727.6	a) current
	b) deferred	1,046.4									1,046.4	b) deferred
120	Non-current assets held for sale and disposal groups	72.9		(4.6)				(68.2)	-		0.1	120 Non-current assets held for sale and disposal groups
130	Other assets	1,717.3							-	594.5	2,311.8	130 Other assets
Total Assets		137,868.6	-	-	-	-	-	-	-	-	137,868.6	Total Assets



Items	Balance-sheet Items - Liabilities	31/12/21	Due to central banks	Due to banks	Debt securities issued - customers	Trading derivatives	Financial liabilities designated at fair value	Provision for staff severance indemnities	Change in value of macro-hedged financial liabilities (+/-)	Liabilities associated with non-current assets held for sale and disposal group	Group Net Equity	31/12/21	Reclassified balance-sheet items - Liabilities
10	Financial liabilities measured at amortised cost	121,466.2										90,300.3	Direct funding
	a) due to banks	31,279.9	(29,154.8)	(2,125.1)								-	
	b) due to customers	79,478.8			380.7							79,859.5	a) due to customers
	c) debts securities issued	10,707.5			(380.7)	114.0						10,440.8	b) Securities issued
			29,154.8	2,125.1								29,154.8	Due to central banks
												2,125.1	Due to banks
20	Financial liabilities held for trading	4,531.1				(1,427.0)						3,104.1	On-balance-sheet financial liabilities held for trading
30	Financial liabilities designated at fair value	114.0				(114.0)						-	
40	Hedging derivatives	1,259.1				1,427.0						2,686.1	Derivatives
												1,259.1	Hedging derivatives
												1,427.0	Trading derivatives
50	Change in value of macro-hedged financial liabilities (+/-)	15.9							(15.9)			-	
60	Tax liabilities	7.1										7.1	Tax liabilities
	a) current	-										-	a) current
	b) deferred	7.1										7.1	b) deferred
70	Liabilities associated with non-current assets held for sale and disposal groups	-								-		-	
									15.9			2,503.1	Other liabilities
												15.9	Change in value of macro-hedged financial liabilities (+/-)
												-	Liabilities associated with non-current assets held for sale and disposal group
80	Other liabilities	2,487.2										2,487.2	Other liabilities
90	Provisions for employees severance pay	159.3					(159.3)					-	
100	Provisions for risks and charges:	1,654.7						159.3				1,814.0	Provisions for specific use
	a) financial guarantees and other commitments	144.0										159.3	a) Provision for staff severance indemnities
	b) post-employment benefits	29.7										144.0	b) Provision related to guarantees and other commitments given
	c) other provisions	1,481.0										29.7	c) Pension and other post-retirement benefit obligations
												1,481.0	d) Other provisions
120	Valuation reserves	306.8									(306.8)	-	
150	Reserves	(3,638.6)									3,638.6	-	
											306.8	306.8	Group net equity
											-	-	a) Valuation reserves
											-	-	b) Redeemable shares
											-	-	c) Equity Instruments
										(3,638.6)	(3,638.6)	-	d) Reserves
											-	-	e) Share premium reserve
170	Share capital	9,195.0										9,195.0	f) Share capital
											-	-	g) Treasury shares (-)
											309.5	309.5	h) Net profit (loss) for the year
180	Treasury shares (-)	-									0	-	
190	Non-controlling interests (+/-)	1.3										1.3	Non-controlling interests
200	Profit (loss) for the year (+/-)	309.5									(309.5)	-	
	Total Liabilities and Shareholders' Equity	137,868.6	-	-	-	-	-	-	-	-	-	137,868.6	Total Liabilities and Shareholders' Equity



Reconciliation between the reclassified balance sheet and related statutory accounts as at December 2020

Item	Balance-sheet Items - Assets	31 12 2020*	Other financial assets @ FVTPLM - Loans to banks	Loans to customers	Trading derivatives	Securities	Loans to Banks @ AC - Loans to Central Banks	Non-current assets held for sale and disposal groups - Property, plant and equipment	Non-current assets held for sale and disposal groups - Others	Change in value of macro-hedged financial assets	31 12 2020*	Reclassified Balance-sheet Items - Assets
10	Cash and cash equivalents	2,319.5	-	-	-	-	-	-	-	-	2,319.5	Cash and cash equivalents
20	Financial assets measured at fair value through profit or loss	8,675.9	-	-	-	-	-	-	-	-	21,623.3	Securities assets
	a) financial assets held for trading	8,214.9	-	-	(2,967.8)	16,058.4	-	-	-	-	16,058.4	
	b) financial assets designated at fair value	-	-	-	-	-	-	-	-	-	5,247.1	
	c) other financial assets mandatorily measured at fair value	461.0	-	(143.2)	-	-	-	-	-	-	317.8	
30	Financial assets measured at fair value through other comprehensive income	5,777.9	-	-	-	(5,777.9)	-	-	-	-	-	
40	Financial assets measured at amortised cost	125,184.0	-	-	-	-	-	-	-	-	28,526.2	Loans to central banks
	a) Loans to banks	33,182.2	-	-	-	(759.4)	(28,526.2)	-	-	-	3,896.6	Loans to banks
	b) Loans to customers	92,001.8	-	151.0	-	(9,520.5)	-	-	-	-	82,632.3	Loans to customers
50	Hedging derivatives	50.8	-	-	2,967.8	-	-	-	-	-	3,018.6	Derivatives
60	Change in value of macro-hedged financial assets (+/-)	1,032.5	-	-	-	-	-	-	(1,032.5)	-	-	
70	Equity investments	1,107.5	-	-	-	-	-	-	-	-	1,107.5	Equity investments
80	Technical insurance reserves reassured with third parties	-	-	-	-	-	-	-	-	-	-	
90	Property, plant and equipment	2,335.8	-	-	-	-	-	94.5	-	-	2,430.3	Property, plant and equipment
100	Intangible assets	183.9	-	-	-	-	-	-	-	-	183.9	Intangible assets
	- of which goodwill	7.9	-	-	-	-	-	-	-	-	7.9	- of which goodwill
110	Tax assets	1,991.6	-	-	-	-	-	-	-	-	1,991.6	Tax assets
	a) current	807.9	-	-	-	-	-	-	-	-	807.9	a) current
	b) deferred	1,183.7	-	-	-	-	-	-	-	-	1,183.7	b) deferred
		-	-	-	-	-	-	-	-	-	2,615.2	Other assets
120	Non-current assets held for sale and disposal groups	89.4	-	(7.8)	-	(0.0)	-	(94.5)	-	-	(13.5)	Non-current assets held for sale and disposal groups
130	Other assets	1,596.2	-	-	-	-	-	-	-	1,032.5	2,628.7	Other assets
	Total Assets	150,345.0	-	-	-	-	-	-	-	-	150,345.0	Total Assets

* Balance sheet figures as at 31 December 2020 have been restated compared to those published previously following the retrospective application of the change in valuation criteria for investment properties (pursuant to IAS 40). In addition, the comparative values relating to the items "Cash and cash equivalents" and "Financial assets measured at amortized cost: a) loans to banks" were restated in line with the indications set forth in the 7th update of Circular 262 of the Bank of Italy.



Items	Balance-sheet Items - Liabilities	31 12 2020*	Due to central banks	Due to banks	Debt securities issued - customers	Trading derivatives	Financial liabilities designated at fair value	Provision for staff severance indemnities	Change in value of macro-hedged financial liabilities (+/-)	Liabilities associated with non-current assets held for sale and disposal group	Group Net Equity	31 12 2020*	Reclassified balance-sheet items - Liabilities
10	Financial liabilities measured at amortised cost	131,944.1										103,719.3	Direct funding
	a) due to banks	28,418.1	(23,933.6)	(4,484.5)									
	b) due to customers	90,683.7			823.2							91,506.9	a) due to customers
	c) debts securities issued	12,842.3			(823.2)	193.3						12,212.4	b) Securities issued
			23,933.6									23,933.6	Due to central banks
				4,484.5								4,484.5	Due to banks
20	Financial liabilities held for trading	6,002.0				(1,456.5)						4,545.5	On-balance-sheet financial liabilities held for trading
30	Financial liabilities designated at fair value	193.3					(193.3)					-	
40	Hedging derivatives	1,797.0				1,456.5						3,253.5	Derivatives
												1,797.0	Hedging derivatives
												1,456.5	Trading derivatives
50	Change in value of macro-hedged financial liabilities (+/-)	45.4							(45.4)			-	
60	Tax liabilities	4.1										4.1	Tax liabilities
	a) current	-										-	a) current
	b) deferred	4.1										4.1	b) deferred
70	Liabilities associated with non-current assets held for sale and disposal groups	-										-	
									45.4			2,572.4	Other liabilities
												45.4	Change in value of macro-hedged financial liabilities (+/-)
													Liabilities associated with non-current assets held for sale and disposal groups
80	Other liabilities	2,527.0										2,527.0	Other liabilities
90	Provisions for employees severance pay	166.6					(166.6)					-	
100	Provisions for risks and charges:	1,892.6										2,059.2	Provisions for specific use
	a) financial guarantees and other commitments	154.1										166.6	a) Provision for staff severance indemnities
	b) post-employment benefits	33.0										154.1	b) Provision related to guarantees and other commitments given
	c) other provisions	1,705.5										33.0	c) Pension and other post-retirement benefit obligations
												1,705.5	d) Other provisions
120	Valuation reserves	260.9									(260.9)	-	
150	Reserves	(1,684.0)										1,684.0	
												5,771.6	Group net equity
											260.9	260.9	a) Valuation reserves
												-	b) Redeemable shares
												-	c) Equity Instruments
											(1,684.0)	(1,684.0)	d) Reserves
												-	e) Share premium reserve
170	Share capital	9,195.0										9,195.0	f) Share capital
											(313.7)	(313.7)	g) Treasury shares (-)
											(1,686.5)	(1,686.5)	h) Net profit (loss) for the year
180	Treasury shares (-)	(313.7)										313.7	
190	Non-controlling interests (+/-)	1.3										1.3	Non-controlling interests
200	Profit (loss) for the year (+/-)	(1,686.5)										-	
												1,686.5	
	Total Liabilities and Shareholders' Equity	150,345.0	-	-	-	-	-	-	-	-	-	150,345.0	Total Liabilities and Shareholders' Equity

* The comparative figures were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).



CONSOLIDATED ANNUAL REPORT

CONSOLIDATED FINANCIAL STATEMENTS.....	156
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS.....	166
PUBLIC DISCLOSURE PURSUANT TO ART. 89 - COMMUNICATION BY COUNTRY - OF DIRECTIVE 2013/36/EU (“CRD IV”)	565
CERTIFICATION OF THE CONSOLIDATED FINANCIAL STATEMENTS PURSUANT TO ART. 81-TER OF CONSOB REGULATION NO. 11971 OF 14 MAY 1999, AS SUBSEQUENTLY AMENDED AND SUPPLEMENTED	568
INDEPENDENT AUDITORS’ REPORT ON THE FINANCIAL STATEMENTS	569
ANNEXES.....	583



CONSOLIDATED FINANCIAL STATEMENTS

Consolidated balance sheet.....	157
Consolidated income statement.....	159
Consolidated statement of comprehensive income	161
Consolidated statement of changes in equity – 2021	162
Consolidated statement of changes in equity – 2020	163
Consolidated cash flow statement - indirect method.....	164



Consolidated balance sheet

Assets	31 12 2021	31 12 2020*
10. Cash and cash equivalents	1,741,766	2,319,441
20. Financial assets measured at fair value through profit or loss	9,670,985	8,675,949
a) financial assets held for trading	9,216,960	8,214,902
c) other financial assets mandatorily measured at fair value	454,025	461,047
30. Financial assets measured at fair value through other comprehensive income	5,460,669	5,777,926
40. Financial assets measured at amortised cost	113,060,139	125,184,068
a) Loans to banks	25,004,413	33,182,245
b) Loans to customers	88,055,726	92,001,823
50. Hedging derivatives	5,567	50,818
60. Change in value of macro-hedged financial assets (+/-)	594,455	1,032,483
70. Equity investments	1,095,412	1,107,463
90. Property, plant and equipment	2,490,131	2,335,811
100. Intangible assets	185,229	183,945
- of which goodwill	7,900	7,900
110. Tax assets	1,773,960	1,991,573
a) current	727,568	807,870
b) deferred	1,046,392	1,183,703
120. Non-current assets held for sale and disposal groups	72,883	89,439
130. Other assets	1,717,366	1,596,119
Total assets	137,868,562	150,345,036

* The balance sheet values as at 31 December 2020 were restated, with respect to the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly IAS 40) and, limitedly, to the items "Cash and cash equivalents" "Cash and cash equivalents" and "Financial assets measured at amortised cost: a) loans to banks", the 2020 figures were reclassified to take into account the indications set forth in the 7th update of Circular 262 of the Bank of Italy.



continues: Consolidated balance sheet

Total Liabilities and Shareholders' Equity		31 12 2021	31 12 2020*
10.	Financial liabilities measured at amortised cost	121,466,202	131,943,995
	a) due to banks	31,279,861	28,418,072
	b) due to customers	79,478,803	90,683,669
	c) debts securities issued	10,707,538	12,842,254
20.	Financial liabilities held for trading	4,531,060	6,002,020
30.	Financial liabilities designated at fair value	113,989	193,332
40.	Hedging derivatives	1,259,140	1,797,049
50.	Change in value of macro-hedged financial liabilities (+/-)	15,875	45,428
60.	Tax liabilities	7,054	4,091
	a) current	14	13
	b) deferred	7,040	4,078
80.	Other liabilities	2,487,180	2,527,046
90.	Provision for employees severance pay	159,331	166,553
100.	Provision for risks and charges:	1,654,733	1,892,608
	a) financial guarantees and other commitments	143,994	154,081
	b) post-employment benefits	29,732	32,979
	c) other provisions	1,481,007	1,705,548
120.	Valuation reserves	306,771	260,853
150.	Reserves	(3,638,638)	(1,684,044)
170.	Share capital	9,195,012	9,195,012
180.	Treasury shares (-)	-	(313,710)
190.	Non-controlling interests (+/-)	1,346	1,310
200.	Net Profit (loss) (+/-) for the year	309,507	(1,686,507)
Total Liabilities and Shareholders' Equity		137,868,562	150,345,036

* The comparative figures were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).



Consolidated income statement

Items	31 12 2021	31 12 2020*
10. Interest income and similar revenues	1,897,390	1,975,109
<i>of which interest income calculated applying the effective interest rate method</i>	<i>1,569,094</i>	<i>1,763,447</i>
20. Interest expense and similar charges	(680,342)	(703,663)
30. Net interest income	1,217,048	1,271,446
40. Fee and commission income	1,696,611	1,595,743
50. Fee and commission expense	(212,515)	(202,741)
60. Net fee and commission income	1,484,096	1,393,002
70. Dividends and similar income	13,717	10,264
80. Net profit (loss) from trading	19,769	33,969
90. Net profit (loss) from hedging	12,565	2,620
100. Gains/(losses) on disposal/repurchase of:	139,843	118,503
a) financial assets measured at amortised cost	123,336	113,465
b) Financial assets measured at fair value through other comprehensive income	11,434	174
c) financial liabilities	5,073	4,864
110. Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss	(32,159)	(14,620)
a) financial assets and liabilities designated at fair value	8,962	195
b) other financial assets mandatorily measured at fair value	(41,121)	(14,815)
120. Net interest and other banking income	2,854,879	2,815,184
130. Net impairment (losses)/reversals for credit risk on:	(193,570)	(749,178)
a) financial assets measured at amortised cost	(196,420)	(749,336)
b) financial assets measured at fair value through other comprehensive income	2,850	158
140. Modification gains/(losses)	(7,620)	(18,763)
150. Net income from banking activities	2,653,689	2,047,243
180. Net income from banking and insurance activities	2,653,689	2,047,243
190. Administrative expenses:	(2,401,645)	(2,550,872)
a) personnel expenses	(1,431,730)	(1,508,735)
b) other administrative expenses	(969,915)	(1,042,137)
200. Net provisions for risks and charges:	(92,442)	(968,564)
a) commitments and guarantees issued	6,532	4,717
b) other net provisions	(98,974)	(973,281)
210. Net adjustments to/recoveries on property, plant and equipment	(134,199)	(160,703)
220. Net adjustments to/recoveries on intangible assets	(67,451)	(75,429)
230. Other operating expenses/income	223,319	229,675
240. Operating expenses	(2,472,418)	(3,525,893)
250. Gains (losses) on investments	106,578	95,023
260. Net gains (losses) on property, plant and equipment and intangible assets measured at fair value	(44,134)	(19,113)
280. Gains (losses) on disposal of investments	14,449	55,511
290. Profit (loss) before tax from continuing operations	258,164	(1,347,229)
300. Tax (expense)/recovery on income from continuing operations	51,167	(339,407)
330. Net Profit (loss) for the year	309,331	(1,686,636)
340. Net Profit (loss) attributable to non-controlling interests	(176)	(129)
350. Parent company's net profit (loss) for the year	309,507	(1,686,507)



	31 12 2021	31 12 2020*
Basic Earnings per Share (Basic EPS)	0.314	(1.544)
<i>of continuing operations</i>	0.314	(1.544)
<i>of discontinued operations</i>	-	-
Diluted Earnings per Share (Diluted EPS)	0.314	(1.544)
<i>of continuing operations</i>	0.314	(1.544)
<i>of discontinued operations</i>	-	-

* The comparative figures were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly IAS 40).



Consolidated statement of comprehensive income

Items	31 12 2021	31 12 2020*
10. Profit (loss) for the year	309,331	(1,686,636)
Other comprehensive income after tax not recycled to profit or loss	156,784	34,311
20. Equity instruments designated at fair value through other comprehensive income	3,560	(279)
30. Financial liabilities designated at fair value through profit or loss (change in the entity's own credit risk)	(11,805)	(6,840)
50. Property, plant and equipment	162,879	-
70. Defined benefit plans	1,610	50,732
90. Share of valuation reserves of equity-accounted investments	540	(9,302)
Other comprehensive income (expense) after tax recycled to profit or loss	(110,497)	159,826
110. Exchange differences	2,091	(1,486)
120. Cash flow hedges	-	(166)
140. Financial assets (other than equity securities) measured at fair value through other comprehensive income	(33,315)	56,709
160. Share of valuation reserves of equity-accounted investments	(79,273)	104,769
170. Total other comprehensive income after tax	46,287	194,137
180. Total comprehensive income (Item 10+170)	355,618	(1,492,499)
190. Consolidated comprehensive income attributable to non-controlling interests	89	(129)
200. Consolidated comprehensive income attributable to Parent Company	355,529	(1,492,370)

* The comparative figures were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly IAS 40).



Consolidated statement of changes in equity – 2021

	Balance as at 31 12 2020*	Change in opening balances	Balance as at 01 01 2021	Allocation of profit from prior year		Changes during the year										Total equity as at 31 12 2021	Group equity as at 31 12 2021	Non-controlling interest as at 31 12 2021
				Reserves	Dividends and other payout	Change in Reserves	Shareholders' equity transactions							Total comprehensive income for 31 12 2021				
							Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividends	Change in equity instruments	Treasury shares derivatives	Stock options	Change in equity investments					
Share capital:	9,195,719	-	9,195,719	-	-	-	-	-	-	-	-	-	-	-	9,195,719	9,195,012	707	
a) ordinary shares	9,195,719	-	9,195,719	-	-	-	-	-	-	-	-	-	-	-	9,195,719	9,195,012	707	
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Share premium	2	-	2	-	-	-	-	-	-	-	-	-	-	-	2	-	2	
Reserves:	(1,684,353)	-	(1,684,353)	(1,686,690)	-	2,641	(270,729)	-	-	-	-	-	-	-	(3,639,130)	(3,638,638)	(492)	
a) from profits	(1,836,385)	-	(1,836,385)	(1,686,690)	-	2,311	-	-	-	-	-	-	-	-	(3,520,764)	(3,520,272)	(492)	
b) other	152,032	-	152,032	-	-	330	(270,729)	-	-	-	-	-	-	-	(118,366)	(118,366)	-	
Valuation reserves	261,893	-	261,893	-	-	(105)	-	-	-	-	-	-	-	46,287	308,074	306,770	1,304	
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Treasury shares	(313,710)	-	(313,710)	-	-	-	313,710	-	-	-	-	-	-	-	-	-	-	
Net profit (loss)	(1,686,636)	-	(1,686,636)	1,686,690	(53)	-	-	-	-	-	-	-	-	309,331	309,331	309,507	(176)	
Total equity	5,772,915	-	5,772,915	-	(53)	2,536	42,981	-	-	-	-	-	-	355,618	6,173,996	6,172,650	1,346	
Group equity	5,771,605	-	5,771,605	-	-	2,536	42,981	-	-	-	-	-	-	355,529	6,172,650	6,172,650	X	
Non-controlling interest	1,310	-	1,310	-	(53)	-	-	-	-	-	-	-	-	89	1,346	X	1,346	

* The comparative figures were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).

As at 31 December 2021, shareholders' equity, including non-controlling interests and profit for the year, amounted to EUR 6,174.0 mln, compared to EUR 5,772.9 mln as at 31 December 2020, with a net increase total of EUR 401.1 mln.

This performance is mainly due to (i) profit for the year of EUR 309.3 mln; (ii) net positive change in valuation reserves of EUR 46.3 mln, attributable to the combined effect of the revaluation of operating properties carried out as from 31 March 2021 and the write-down of debt securities relating to associates valued using the shareholders' equity, and finally iii) decrease in treasury shares of EUR 313.7 mln as a result of the sales made by the Group, which led to a negative trading result of EUR 270.7 mln recognized under the item "Reserves-other".



Consolidated statement of changes in equity – 2020

	Balance as at 31.12.2019	Change in opening balances*	Balance as at 01.01.2020	Allocation of profit from prior year		Changes during the year										Total equity as at 31.12.2020	Group equity as at 31.12.2020	Non-controlling interest as at 31.12.2020
						Reserves	Dividends and other payout	Change in Reserves	Shareholders' equity transactions									
				Issue of new shares	Purchase of treasury shares				Extraordinary distribution of dividends	Change in equity instruments	Treasury shares derivatives	Stock options	Change in equity investments					
Share capital:	10,329,325	-	10,329,325	-	-	(1,133,606)	-	-	-	-	-	-	-	-	9,195,719	9,195,012	707	
a) ordinary shares	10,329,325	-	10,329,325	-	-	(1,133,606)	-	-	-	-	-	-	-	-	9,195,719	9,195,012	707	
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Share premium	2	-	2	-	-	-	-	-	-	-	-	-	-	-	2	-	2	
Reserves:	(769,220)	(13,544)	(782,764)	(1,033,233)	-	131,644	-	-	-	-	-	-	-	-	(1,684,353)	(1,684,044)	(309)	
a) from profits	(734,232)	(13,544)	(747,776)	(1,033,233)	-	(55,376)	-	-	-	-	-	-	-	-	(1,836,385)	(1,836,076)	(309)	
b) other	(34,988)	-	(34,988)	-	-	187,020	-	-	-	-	-	-	-	-	152,032	152,032	-	
Valuation reserves	67,634	-	67,634	-	-	122	-	-	-	-	-	-	-	194,137	261,893	260,854	1,039	
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Treasury shares	(313,710)	-	(313,710)	-	-	-	-	-	-	-	-	-	-	-	(313,710)	(313,710)	-	
Net profit (loss)	(1,033,142)	-	(1,033,142)	1,033,233	(91)	-	-	-	-	-	-	-	-	(1,686,636)	(1,686,636)	(1,686,507)	(129)	
Total equity	8,280,889	(13,544)	8,267,345	-	(91)	(1,001,841)	-	-	-	-	-	-	-	(1,492,499)	5,772,915	5,771,605	1,310	
Group equity	8,279,119	(13,544)	8,265,575	-	-	(1,001,600)	-	-	-	-	-	-	-	(1,492,370)	5,771,605	5,771,605	X	
Non-controlling interest	1,770	-	1,770	-	(91)	(240)	-	-	-	-	-	-	-	(129)	1,310	X	1,310	

* The column "Change in opening balances" includes the impacts as at 1 January 2020 related to the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).

As at 31 December 2020 the Group's net equity, including non-controlling interests and net profit for the year, amounted to EUR 5,772.9 mln, as compared to EUR 8,280.9 mln as at 31 December 2019, with a total net decrease of EUR 2,508.0 mln.

In addition to the loss for the year of EUR 1,686.6 mln, the most significant element with an impact on shareholders' equity was the demerger transaction known as "Hydra M" in favour of AMCO - which became effective on 1 December 2020 - which has resulted in a EUR 943.8 mln overall decrease in shareholders' equity (including related costs of EUR 9.2 mln).

The column "Changes in reserves", as a result of this transaction, includes in the items:

1. "Share capital a) ordinary shares", a EUR 1,133.6 mln decrease representing the cancellation of 137,884,185 ordinary shares of the Parent Company;
2. "Reserves b) other", a EUR 187.0 mln net increase resulting from:
 - an increase of EUR 196.2 mln due to the decrease recorded between the reference date of the demerger plan and its effective date, of the components of the demerged items. This change in value - deriving from economic events, such as write-downs or revaluations - was settled with AMCO by means of a decrease in the shareholders' equity transferred;
 - a decrease of EUR 9.2 mln due to costs incurred for the transaction;
3. "Valuation reserve", an increase of EUR 2.8 mln attributable entirely to shares included among the demerged items.

The valuation reserves showed a total positive change of EUR 194.1 mln. Please refer to the statement of comprehensive income for details of the individual components.

**Consolidated cash flow statement - indirect method**

A. OPERATING ACTIVITIES	31 12 2021	31 12 2020*
1. Cash flow from operations	820,066	520,162
profit (loss) (+/-)	309,331	(1,686,636)
capital gains/losses on financial assets held for trading and on assets/liabilities measured at fair value (+/-)	45,058	(157,312)
net gains (losses) on hedging activities	(12,565)	(2,620)
net impairment losses/reversals	318,656	963,526
net adjustments/recoveries on property, plant and equipment and intangible assets (+/-)	245,783	243,140
net provisions for risks and charges and other costs/revenues (+/-)	100,985	977,038
unpaid charges, taxes and tax credit	(51,167)	339,407
other adjustments	(136,015)	(156,381)
2. Cash flow from (used in) financial assets	11,515,776	(21,042,391)
financial assets held for trading	(1,072,377)	1,909,388
other financial assets mandatorily measured at fair value	(39,731)	181,731
Financial assets measured at fair value through other comprehensive income	128,355	1,260,079
Financial assets measured at amortised cost	11,753,659	(24,533,913)
other assets	745,870	140,324
3. Cash flow from (used in) financial liabilities	(12,887,378)	19,440,112
Financial liabilities measured at amortised cost	(10,418,458)	17,754,561
financial liabilities held for trading	(1,408,530)	2,080,508
financial liabilities designated at fair value	(86,800)	(63,831)
other liabilities	(973,590)	(331,126)
Net cash flow from (used in) operating activities	(551,536)	(1,082,117)
B. INVESTMENT ACTIVITIES	31 12 2021	31 12 2020*
1. Cash flow from	42,254	138,913
sales of equity investments	1,021	-
dividends collected on equity investments	30,370	638
sales of property, plant and equipment	8,230	138,176
sales of intangible assets	2,633	99
2. Cash flow used in	(111,321)	(145,443)
purchase of property, plant and equipment	(39,745)	(62,053)
purchase of intangible assets	(71,576)	(83,390)
Net cash flow from (used in) investment activities	(69,067)	(6,530)



C. FUNDING ACTIVITIES		
issue/purchase of treasury shares	42,981	-
dividend distribution and other	(53)	(331)
Net cash flow from (used in) funding activities	42,928	(331)
NET CASH FLOW FROM (USED IN) OPERATING, INVESTMENT AND FUNDING ACTIVITIES DURING THE YEAR	(577,675)	(1,088,978)

Reconciliation

Accounts	31 12 2021	31 12 2020*
Cash and cash equivalents at beginning of the year	2,319,441	3,408,419
Total net cash flows generated (used) in the year	(577,675)	(1,088,978)
Cash and cash equivalents at end of the year	1,741,766	2,319,441

* The balance sheet values as at 31 December 2020 were restated, with respect to what was published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly IAS 40) and, limitedly, to the items "Cash and cash equivalents" "Cash and cash equivalents" and "Financial assets measured at amortized cost a) Loans to Banks", the 2020 figures were reclassified to take into account the provisions set forth in the 7th update of Circular 262 of the Bank of Italy.

For further information on the net cash flow generated/absorbed during the year, please refer to the section "Liquidity Risk" in Part E "Information on risks and hedging policies".



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Part A – Accounting policies.....	167
Part B – Information on the consolidated balance sheet.....	270
Part C – Information on the consolidated income statement.....	358
Part D – Consolidated statement of comprehensive income.....	383
Part E – Information on risks and hedging policies.....	385
Part F – Information on consolidated shareholders' equity.....	534
Part G – Business combinations.....	540
Part H – Related-party transactions.....	542
Part I – Share-Based Payment Agreements.....	550
Part L – Segment reporting.....	553
Part M – Leasing Information.....	559



Part A – Accounting policies

A.1 – General	168
Section 1 - Statement of compliance with international accounting standards.....	168
Section 2 - General accounting standards.....	168
Section 3 – Scope and methods of consolidation	184
Section 4 – Events after the Reporting Period	190
Section 5 – Other Matters.....	191
A.2 – The main items of the accounts	196
Accounting policies	196
1 Financial assets measured at fair value through profit or loss (FVTPL).....	196
2 Financial assets measured at fair value through other comprehensive income (FVTOCI)	198
3 Financial assets measured at amortised cost	200
4 Hedging transactions	203
5 Equity investments.....	205
6 Property, plant and equipment	206
7 Intangible assets.....	209
8 Non-current assets and group of assets/liabilities held for sale and disposal groups	210
9 Current and deferred tax.....	211
10 Provisions for risks and charges.....	213
11 Financial liabilities measured at amortised cost	214
12 Financial liabilities held for trading.....	215
13 Financial liabilities measured at fair value	216
14 Foreign-currency transactions	217
15 Insurance assets and liabilities	217
16 Other information.....	217
A.3 Information on portfolio transfers.....	255
A.4 – Information on fair value.....	255
A.4.1. Fair value levels 2 and 3: measurement techniques and inputs used	257
A.4.2 Measurement processes and sensitivity	264
A.4.3 Fair value hierarchy.....	265
A.4.4 Other information	265
A.4.5 Fair value hierarchy.....	266
A.5 Information on “day one profit/loss”	269



A.1 – General

Section 1 - Statement of compliance with international accounting standards

Pursuant to Legislative Decree no. 38 of 28 February 2005, these consolidated financial statements were prepared in accordance with the international accounting standards issued by the International Accounting Standards Board (IASB) including interpretations by the IFRS Interpretations Committee, as endorsed by the European Commission, pursuant to EC Regulation no. 1606 of 19 July 2002 which was effective as at 31 December 2021.

The international accounting standards were applied following the indications set forth in the “Framework for the preparation and presentation of financial statements” (the Framework).

For an overview of the standards endorsed during 2021 or those endorsed in previous years, whose application is scheduled for 2021 (or future years), please refer to “Section 5 - Other Matters” below, which also describes the main impacts for the Group.

All information required by the international accounting standards and Supervisory Authorities (Bank of Italy, CONSOB and ESMA) has been provided in the report on operations and the notes to the financial statements, in addition to other non-mandatory information deemed necessary to provide a true and fair, relevant, reliable, comparable and meaningful view of the Group’s financial position and results of operations.

Section 2 - General accounting standards

The Consolidated Financial Statements consist of the balance sheet, income statement, statement of comprehensive income, statement of changes in equity, the cash flow statement and the notes to the consolidated financial statements, and are accompanied by the directors’ report on operations, financial results achieved, and the Group’s equity and financial situation.

The Consolidated Financial Statements as at 31 December 2021 have been prepared based on the provisions contained in Circular no. 262 of 22 December 2005 issued by the Bank of Italy “Bank financial statements: layout and rules for preparation”, as amended by the seventh update of 29 October 2021. The additional requests sent by the aforementioned Supervisory Body, through the communication of 23 December 2019, were also considered, relating, in particular, to the disclosure on multi-originator sales of loans to a mutual investment fund with allocation of units to the originator intermediaries, for which reference is made to the specific section of Part E of these Explanatory Notes (Subsection “D. Disposal Transactions “point “D.3 Prudential Consolidation - Financial assets sold and fully derecognised”), as well as through the Communication of 21 December 2021 entitled “Update of the additions to the provisions of Circular no. 262 “Bank financial statements: layout and rules for preparation” regarding the impacts of COVID-19 and measures to support the economy”.

The Financial Statements have been prepared based on a going concern assumption, according to the generally accepted principles of accrual accounting, relevance and materiality of information, priority of substance over form and with a view to encouraging consistency with future statements.

The Consolidated Financial Statements are prepared with transparency and provide a true and fair view of financial position and result of operations for the year, the changes in shareholders’ equity and cash flows.

If the information required by international accounting standards and provisions contained in aforementioned circular were deemed insufficient for providing a true and fair representation, the notes to the financial statements contain supplemental information necessary for that purpose.

If – in exceptional cases – the application of a provision set forth in the international accounting standards proved to be incompatible with a true and fair view of the Group’s financial position and result of operations, then such provision would not be applied. The reasons for deviation and its impact on the representation of the financial position and result of operations would, in such a case, be explained in the notes to the financial statements.

Each item in the balance sheet, income statement and statement of comprehensive income also indicates the amount for the prior year, unless an accounting standard or interpretation allows or provides otherwise. In this regard, it should be noted that the comparative information differs from that published in the financial statements as at 31 December 2020, for the following reasons:

1. starting from 31 March 2021, as part of the options allowed by IAS 16 and IAS 40, the Group has taken the decision to change, on a voluntary basis, the policy for the valuation of owned properties, passing from the cost criterion to the criterion the of redetermination of the fair value. In particular, for properties



held for investment purposes, the retrospective application entailed a restatement of the opening balances as at 1 January 2021; for properties used for business purposes, the transition from the “revalued value” cost took place prospectively starting from 31 March 2021. The balance sheet and income statement figures as at 31 December 2021 are therefore comparable with those referring to the year of comparison with the exception of the items that include the balance sheet and income statement effects of the valuation of properties used for business purposes at the “revalued value”. For details on the change in the policy for the valuation criterion of property assets, please refer to the following paragraph “Modification of the policy for property valuation: property for business use (IAS 16) and property held for investment purposes (IAS 40)” of these Explanatory Notes;

2. the above-mentioned update of Circular 262 of the Bank of Italy changed, also for the year of comparison, the disclosures on the asset items “Cash and cash equivalents” and “Financial assets measured at amortised cost”. In particular, the item “Cash and cash equivalents” includes all “on demand” loans, in the form of current accounts and deposits, to banks and central banks (with the exception of the Compulsory Reserve). Therefore, the item “Financial assets measured at amortised cost” includes loans to banks and central banks other than “on demand”, included in the item “Cash and cash equivalents”.

Assets and liabilities, expenses and income cannot be mutually offset, unless this is permitted or required by the international accounting standards or the provisions set forth in Circular no. 262 of the Bank of Italy.

The balance sheet, income statement, and statement of comprehensive income do not include items which did not have balances for the reference year or prior year. If an item of the assets or liabilities is part of several items of the balance sheet, the notes to the financial statements indicate – whenever this is necessary for the purpose of intelligibility – that this component may also be referred to items other than the one it is posted to.

Revenue is posted with no sign in the income statement, statement of comprehensive income, and the respective section of the notes, whereas expenses are indicated in brackets.

The statement of comprehensive income, beginning with profit (loss) for the year, shows the income items recognised as contra-entries of valuation reserves, net of the related tax effect, in compliance with international accounting standards. Consolidated other comprehensive income is shown by separating income items that will not be transferred to the income statement in the future and those that may be subsequently reclassified to profit or loss for the year when specific conditions are met.

The statement of changes in equity shows the breakdown and changes in net equity accounts during the year and the previous year, broken down between share capital (ordinary shares), capital reserves, profit reserves and reserves from the valuation of assets or liabilities, equity instruments and profit and loss. Treasury shares in the portfolio are deducted from equity.

The cash flow statement has been prepared according to the indirect method, based on which cash flows from operations are represented by the net profit/loss for the year adjusted to take into account the effects of non-monetary transactions. Cash flows are broken down amongst those deriving from operations, those deriving from investment activities and those generated by funding activities. In the statement, cash flows generated during the year have no sign, while those absorbed are shown between brackets.

In compliance with the provisions of art. 5 of Legislative Decree no. 38 of 28 February 2005, the financial statements were prepared using the euro as the reporting currency: the financial statements and their notes drawn up in thousands of euro.

Items of a different nature or with different allocation were recognised separately, unless they were considered irrelevant. All amounts shown in the financial statements were adjusted so as to reflect any events subsequent to the reporting date for which an adjustment is mandatory, according to IAS 10 (adjusting events). Non-adjusting events reflecting circumstances that occurred after the reporting date (non adjusting events) are disclosed as part of the notes to the financial statements, Part A, Section 4, if they are material and may affect the ability of users to make proper evaluations and decisions.

The ESEF (European Single Electronic Format) for the preparation of annual financial reports

Delegated Regulation (EU) no. 2019/815 (“ESEF Regulation”), which amends Transparency Directive no. 2004/109/EC, establishes that European listed companies must prepare annual financial reports according to the ESEF single electronic reporting format approved by ESMA: with eXtensible HyperText Markup language (XHTML), “marking up” some information of the IFRS consolidated financial statements using the Inline Extensible Business Reporting Language (iXBRL) specifications.



Based on the provisions of the ESEF Regulation, the procedures for applying the iXBRL marking up are divided into two time phases: the first starting from the financial period that starts on 1 January 2020 or later, for the consolidated financial statements, and the second, starting from the financial period starting on 1 January 2022 or later for all information - text and / or numbers - provided in the consolidated financial statements.

As part of the measures envisaged by the Capital Markets Recovery package, the possibility was provided for EU Member States to opt for the postponement to 1 January 2021 of the entry into force of the provisions of the aforementioned Regulation. The national legislator exercised the postponement option and notified the European Commission on 2 March 2021 (Law no. 21 of 26 February 2021, converting the Milleproroghe Decree, no. 183/2020). Therefore, the provisions of the ESEF Regulation apply from financial years starting from 1 January 2021.

The ESEF taxonomy is based on the IFRS taxonomy which is made available and updated annually by the IFRS Foundation, and provides issuers with a hierarchical structure to be used to classify financial information. For “markups”, bank issuers use the iXBRL markup language and a taxonomy whose elements are those of the basic taxonomy issued by ESMA, appropriately supplemented by “extensions” in order to take into account the specificities of the banking sector and the compliance of the financial statements with Circular no. 262 of the Bank of Italy.

The combination of the XHTML format with the iXBRL markups makes the annual financial reports readable both by human users and by automatic devices, thus improving the transparency, accessibility, analysis and comparability at global level of the markups of the financial statements prepared in accordance with international accounting standards.

The 2021 annual financial report is drawn up in XHTML in compliance with the provisions of the ESEF Regulation. In particular, the Group has marked, with detailed tagging, the following information in these consolidated financial statements:

- basic data;
- Consolidated financial statements (Consolidated Balance Sheet, Consolidated Income Statement, Consolidated Statement of Comprehensive Income, Statement of Changes in Consolidated Equity and Consolidated Cash Flow Statement).

From 1 January 2022, and therefore starting from the consolidated financial statements ending 31 December 2022, the obligation to prepare according to the new ESEF format will also extend to the information contained in the Consolidated Explanatory Notes with the block tagging, for which the Group is continuing its project activities.

Significant accounting policies in preparing the financial statements in the context of the COVID-19 pandemic

The 2021 financial year was marked at European level by the persistence of the COVID-19 pandemic, marking a robust economic recovery in the first nine months thanks to the progress of the vaccination campaign and which subsequently weakened at the turn of the year due to the recovery of contagions. The Governing Council of the ECB confirmed the expansionary stance of monetary policy, deeming the maintenance of favourable financing conditions essential to support the recovery. Also in Italy, GDP growth remained high until the third quarter of 2021, recording growth well above expectations. Subsequently, growth slowed down due to the rise in infections and the consequent worsening of the climate of confidence which penalized above all expenditure for services. Despite the obvious uncertainty linked to health developments, the consolidated view of possible future macroeconomic scenarios is that the important state interventions implemented in most countries and at the Community level can allow for a significant recovery in GDP in the course of 2022. Therefore, it seems reasonable - at the moment - to continue to share the sentiments expressed by the various Authorities that recently published their forecasts (ECB in particular on 13 January 2022), confirming a significant production recovery for 2022 and for future years.

In the course of 2021, there were no further significant provisions of the various European Regulators with respect to what was already published in the course of the 2020 financial year, therefore the provisions that aim to guarantee the intermediaries a flexibility in the management of this period of tension remain valid. In addition, credit institutions were encouraged to apply their judgement in their forward-looking credit assessments as per IFRS 9, to acknowledge the unique characteristics of this highly exceptional situation.

In detail, with reference to the accounting area, the interventions of the regulators / standard setters have focused, among others, on the following issues:



- guidance on the classification of loans, issued by IASB, ECB and EBA, which have provided guidelines for the treatment of moratoria in particular for the classification of loans as *forborne* and *performing/non-performing*;
- the determination of the *Expected Credit Loss* (“ECL”) according to IFRS 9 from a forward-looking perspective, in particular the issue of the use of future macroeconomic scenarios (issue dealt with by the IFRS Foundation in general and, in more detail, by the ECB), the assessment of the significant increase in credit risk (SICR), the inclusion of government guarantees in the calculation of the expected credit loss (ECL), the consideration of the effects of risks linked to climatic and environmental issues;
- recognition of the effects (gain/loss on forbearance) related to contractual changes resulting from customer support measures;
- financial reporting.

The following table provides a list of the main interpretative and support documents for the application of the accounting standards in relation to the impacts of COVID-19, issued by the European regulatory and supervisory bodies and by the standard setters during 2020 and by 31 December 2021 and used in the preparation of these consolidated financial statements.

Authotity	Date	Title
International Accounting Standard Board (IASB)		
Statement	27/03/20	Accounting for expected credit losses applying IFRS 9 Financial instrument in the light of current uncertainty resulting from the covid-19 pandemic
Amendment	28/05/20	Covid-19 related rent concessions (omologato con Regolamento (UE) 2020/1434 della Commissione del 9 ottobre 2020)
European Central Bank (ECB)		
Communication	20/03/20	ECB Banking Supervisor provides further flexibility to banks in reaction to coronavirus
Letter	01/04/20	IFRS 9 in the context of the coronavirus (Covid-19) pandemic
Communication	04/12/20	Identification and measurement of credit risk in the context of the coronavirus (COVID 19) pandemic
European Banking Authority (EBA)		
Statement	25/03/20	Statement on the application of the prudential framework regarding Default, Forbearance and IFRS 9 in the light of Covid-19 measures
Guidelines	02/04/20	Guidelines on legislative and non-legislative moratoria on loan repayment applied in the light of the Covid-19 crisis (EBA/GL/2020/02)
Guidelines	25/06/20	Guidelines amending Guidelines EBA/GL/2020/02 (EBA/GL/2020/08)
Communication	21/09/20	EBA phases out its Guidelines on legislative and non-legislative loan repayments moratoria
Guidelines	02/12/20	Guidelines amending Guidelines EBA/GL/2020/02 (EBA/GL/2020/15)
European Securities and Market Authority (ESMA)		
Advice	11/03/20	ESMA recommends action by financial market participant for Covid-19 impact
Statement	25/03/20	Accounting implication of the Covid-19 outbreak on the calculation of expected credit losses in accordance with IFRS 9
Public Statement	20/05/20	Implication of the Covid-19 outbreak on the half-yearly financial report
Public Statement	28/10/20	European common enforcement priorities for 2020 annual financial reports
Public Statement	29/10/21	European common enforcement priorities for 2021 annual financial reports
Commissione Nazionale per la Società e la Borsa (CONSOB)		
Warnings document	09/04/20	Covid-19 -Consob Warning on financial information
Warnings document	16/07/20	Covid-19 -Consob Warning on financial information
Warnings document	16/02/21	Covid-19 -Consob Warning on financial information
International Organization of Securities Commissions (IOSCO)		
Statement	03/04/20	IOSCO Statement on Application of Accounting Standards during the Covid-19 Outbreak

Furthermore, the Group referred to the recommendations contained in the “Report on the application of the IFRS 7 and IFRS 9 requirements regarding bank’s expected credit losses (ECL)” published by ESMA on 15 December 2020.

Forborne classification of loans affected by moratoria

The European Banking Authority (EBA) had intervened on this specific aspect with a document on 25 March 2020 “Statement on the application of the prudential framework regarding Default, Forbearance and IFRS9 in light of



COVID-19 measures”, which framed the accounting and prudential issues relating to the potential re-classification of loans induced by moratoriums, public and private, and by other forms of support adopted in response to the pandemic crisis.

In particular, the EBA specified that public and private moratorium measures granted in relation to the pandemic crisis, as they are intended to mitigate systemic risks and not the specific needs of an individual borrower, must not be automatically classified as forbearance measures, neither for purposes of classifying the receivables that benefit from it, nor for IFRS 9 purposes (and therefore transfer between the risk stages, in particular with higher transfers to stage 2 and consequent recognition of the expected lifetime loss instead of the 12-month loss) as well as for the prudential classification of positions under non-performing loans.

That said, the EBA notes that, even in this specific circumstance, the banks are required to evaluate the creditworthiness of borrowers who benefit from the moratorium and, consequently and possibly, to reclassify borrowers that show a deterioration in creditworthiness.

In carrying out these assessments - which may concern a large audience of borrowers - banks must avoid automatic approaches and prioritise analyses with risk-based criteria. Furthermore, once the moratoria are over, particular attention must be given to companies that will have delays in payment or other signs of deterioration in creditworthiness.

On 2 April 2020, the EBA also published the document “Guidelines on legislative and non-legislative moratoria on loan repayments applied in the light of the COVID-19 crisis”, which provides the detailed criteria that must be met for public and private moratoriums so that they are not classified as exposures subject to concessions or onerous restructuring. The guidelines also provide for banks to continue to promptly identify situations where borrowers may experience financial difficulties and to ensure their consistent classification in accordance with the regulatory framework.

The EBA guidelines refer both to legislative moratoria and moratoria resulting from private initiatives that are “broadly applied” (general payment moratoria), that is, granted by banks to prevent systemic risk through widespread support to all companies temporarily in difficulty due to the ongoing pandemic. Note that the guidelines describe a series of conditions, all of which must be met, in order for a moratorium measure to be considered “broadly applied”:

1. the moratorium must be the result of national legislation or a private initiative. In the latter case, the measure must be based on an intervention scheme that is widely coordinated throughout the banking sector, in order to guarantee uniformity in the moratorium granted by the various credit institutions;
2. the moratorium is applied in relation to a broad spectrum of obligors, determined based on general criteria, such as certain customer types (retail, SMEs, etc.), obligors from one of the areas most affected by the pandemic, exposure type (mortgage, lease, etc.), or part of a particularly affected production sector, etc.;
3. the measure is based solely on a modification of the payment deadlines and, therefore, may consist of a payment suspension, rescheduling, or a temporary reduction of the principal and/or interest to be paid. The moratorium, therefore, cannot entail the modification of other contractual clauses (e.g., interest rate);
4. the moratorium is applied under the same conditions to all subjects who benefit from it;
5. the measure is not granted on loans disbursed after the date on which the moratorium was announced;
6. the moratorium is arranged in order to deal with the emergency generated by the COVID-19 pandemic and is applied before 31 March 2021.

In relation to this last point, it should be noted that the deadline initially envisaged for the application of the aforementioned guidelines, i.e. to 30 June 2020, was first extended to 30 September 2020 with the amendments of 25 June 2020 and, subsequently to the second wave of the epidemic, until 31 March 2021 with the amendments of 2 December 2020. In particular, these latest amendments have provided the possibility of exempting oneself from the “forbearance” check for moratoria granted starting from 1 October 2020 and until 31 March 2021, provided that the suspension period as a whole agreed in the context of the “general payment moratoria” does not exceed nine months.

Performing/non-performing classification of loans affected by moratoria

The moratoria granted in the context of the COVID-19 pandemic have impacts on the identification and reporting of past due exposures, as this category takes into account the modifications granted to the payment due dates; therefore, the aforementioned forbearances should entail, in the short term, a reduction in transfers of exposures to non-performing as a result of the suspension of due dates for the purpose of calculating past due.



Article 18 of the EBA “Guidelines on the application of the definition of default under Article 178 of Regulation (EU) no. 575/2013” of 18 January 2017 (in force for the Bank from 1 January 2021) established, in relation to legislative moratoria, the suspension of the count of days past due in the period in which payments are suspended, entailing an extension of the period of 90 days, as a trigger for the transfer of loans to the non-performing category.

Given the above, it should be noted that what was already indicated by the EBA during 2020 remains valid, consequently the concessions made in the context of COVID-19, in the cases of substantial invariance of the present value of the cash flows subsequent to the contractual amendment, are not to be considered onerous, do not entail the transition to default and represent a temporary relief for those who are unable to fulfil their contractual obligations due to the interruption of activities due to the pandemic.

Banks are obliged to assess the possible classification of customers benefiting from moratoria among “unlikely to pay”, considering the borrower’s ability to comply with the new payment plan (regardless of any public guarantee) and ruling out the transfer of these loans to the category of “distressed restructurings”.

In this regard, the EBA recognised that it may be difficult to perform individual assessments for purposes of classification of the concession in non-performing; in this case, banks must adopt a risk-based approach (i.e. taking into account, for example, the sectors most exposed to the long-term effects of the crisis such as transportation, tourism, hotels, and retail trade). Therefore, it is important to identify, after the suspensions linked to the COVID-19 moratoria, those exposures with late payments with respect to the new repayment plans, in order to promptly classify them as “non-performing”.

Updates to macroeconomic scenarios

Pursuant to the IFRS 9 accounting standard, the determination of expected credit losses (or, in any case, on all financial instruments that fall within the scope of application of the aforementioned standard) must always be the result of a combined analysis of the following factors:

- an objective and probability-weighted amount, determined by evaluating a range of possible outcomes;
- the time value of money;
- reasonable and demonstrable information, available without excessive costs or efforts at the reporting date, on past events, current conditions and forecasts of future economic conditions (in this case, the inclusion of forward-looking macroeconomic scenarios is critical).

In the context of IFRS 9, particular importance is given to information on future macroeconomic scenarios in which the Bank may operate and clearly affects the situation of borrowers in reference to both the “riskiness” that exposures migrate to lower quality classes (thus referring to “staging”) as well as recoverable amounts (thus the calculation of expected loss on exposures).

The crisis triggered by the COVID-19 pandemic has produced a sudden worsening in economic forecasts: the context of pronounced uncertainty limits the reliability of available information, making the task of producing detailed long-term forecasts extremely difficult. Various authorities have taken action on this point, providing indications and references to the use of forecasts in developing estimates of expected credit losses during this period characterised by the COVID-19 pandemic.

With its communication of 20 March 2020 “*ECB Banking Supervision provides further flexibility to banks in reaction to coronavirus*”, the ECB, although not strictly under its responsibility, as part of its prudential mandate, also expressed itself on the IFRS 9 forward-looking assessments, recommending that banks avoid excessively pro-cyclical assumptions in their provision estimation models. In determining Expected Credit Losses, the ECB invited institutions to “provide greater weight to the stable long-term outlooks developed from past experience in the estimation of provisions for credit losses”.

The ECB sent supervised banks two additional communications, on 1 April 2020 (“*Letter to banks: IFRS 9 in the context of the coronavirus (COVID-19) pandemic*”) and on 4 December 2020 (“*Identification and measurement of credit risk in the context of the coronavirus (COVID 19) pandemic*”), to provide additional information and references on the inclusion of forward-looking information in the calculation of ECLs according to IFRS 9 in the current COVID-19 pandemic context. The letter referred to the expectations already expressed by the ECB to intermediaries, or avoiding the use of excessively pro-cyclical assumptions, in consideration of the extreme uncertainty of the context and in light of the impossibility of having forward-looking information available that can be deemed “reasonable and supportable”. The ECB therefore invited banks to focus on long-term macroeconomic forecasts when estimating the IFRS 9 ECLs, considering all historical evidence covering at least one or more full economic cycles. In the opinion of the Central Bank, the provisions of IFRS 9 are to be interpreted in the sense that, where there is no reliable evidence for specific forecasts, the long-term macroeconomic prospects provide the most relevant basis for the estimate.



In the communication issued on 4 December 2020, the ECB has also made it clear that the levels of provisions should be correctly estimated using realistic assumptions and parameters that are appropriate to the current context. In this regard, it has recommended that significant institutions should i) continue to anchor the baseline IFRS 9 scenarios to the ECB forecasts in a non-biased manner; ii) not confine themselves to approaches based on the entire economic cycle (through-the-cycle) or long-term averages, but consider the use of reliable macroeconomic forecasts (where available) for specific years and iii) ensure that the integrations (overlays) follow the same direction as the macroeconomic scenarios on the basis of verifiable evidence.

Also the documents of ESMA and the EBA of 25 March 2020 referred to above, with reference to forward-looking estimates, highlight the complexity of the context and substantially confirm the observations of the ECB already referred to above.

Lastly, please note that on 27 March 2020 the IASB published the document “COVID-19 - Accounting for expected credit losses applying IFRS 9 Financial Instruments in the light of current uncertainty resulting from the COVID-19 pandemic”. The document does not modify IFRS 9, but it suggests a way to interpret it within the current context of the pandemic. Specifically, it is clarified that the entities, exploiting the elements of judgment allowed by the aforementioned standard, should adjust the approach used to determine expected losses on the basis of new and different circumstances, without mechanically applying the existing methodology for determining the ECL “Entities should not continue to apply their existing ECL methodology mechanically”. Although aware of the difficulty of this estimation exercise, the IASB recalled that the quantification of expected losses must consider historical, current and prospective information and admitted the possibility of resorting to post-model managerial adjustments (“post-model overlay or adjustment”), if the models are not able to fully reflect the effects of the COVID-19 crisis, and related government support measures.

2022, 2023 and 2024 macroeconomic forecasts

With the communication of 20 March 2020, the ECB provided the banks with indications on how to determine the forecasts of credit losses for the purposes of the estimates relating to the closures of March and June, indicating to use as the starting points (“anchor points”) the macroeconomic projections published quarterly on the ECB website. These forecasts are published four times a year:

- March and September - forecasts for the Eurozone only produced by ECB staff;
- June and December - forecasts produced by ECB staff in conjunction with the Eurosystem, with the addition of forward-looking information for individual countries in the Eurozone published by the individual central banks.

On 16 December 2021, the ECB published the periodic update of the macroeconomic forecasts for the Eurozone prepared by its staff with the contribution of the individual national central banks. Overall, the changes in GDP from the September forecast show minimal deviations in 2021, a downward revision for 2022, mainly due to the recent intensification of global supply-side bottlenecks and the tightening of restrictions related to the pandemic in some euro area countries, however, in the medium term, the disappearance of these unfavourable factors should lead to a strong upward revision of growth in 2023 and, thereafter, increasingly self-sustaining growth.

In detail, the baseline scenario sees a slight growth in the Eurozone GDP in 2021, expected to grow by 5.1% (compared to 5% expected in September) followed by a downward revision of the growth expected for the 2022, which moves from 4.6% in September to 4.2%, more than offset by an improvement in expectations for 2023, which will see a 2.9% increase in GDP (instead of the 2.1% expected in September). In the alternative scenarios, GDP, in the face of a progressive alignment in 2021 with the data of the base scenario, shows a strong recovery in the moderate scenario but only modest in the severe one in 2022, while its level would fall within a narrower range in the different scenarios at the end of the projection time horizon.

The specific scenario relating to Italy, included in the basic scenario of the ECB projections, was released by the Bank of Italy in the document “Macroeconomic projections for the Italian economy” published on 17 December 2021, in which the forecast with respect to the scenario published in the Economic Bulletin for July is a more pronounced growth in Italian GDP in 2021, reaching 6.2% compared to the 5.1% expected in July, revised slightly downwards in 2022, equal to 4.0% compared to the 4.4% expected in July, and an increase in 2023 of 2.5% compared to 2.3% in July and 1.7% in 2024.

Lastly, it should be noted that the Bank of Italy updated the above-mentioned projections in the Economic Bulletin of 21 January 2022, estimating a slight increase for 2021 (6.3%, up by 0.1 percentage points), a slightly more contained growth for 2022 (equal to 3.8%, down by 0.2 percentage points) against an unchanged situation in the following two years.



Measurement of significant increase in credit risk (SICR) for IFRS 9 purposes

The analysis of significant increase in credit risk and, therefore, the identification of the exposures to be included in stage 2, is a multi-factorial and holistic analysis, as indicated by IFRS 9, which takes into account the changes in default risk over the expected life of financial instruments. In this regard, ESMA, in its statement of 25 March 2020, indicated that when economic support programmes for businesses implemented by governments reduce the risk of default on a financial instrument, they must be appropriately considered in the aforementioned measurement; therefore, a moratorium should not be considered, in itself, representative of a significant increase in the credit risk of the financial instrument. Moreover, the specific circumstances linked to the COVID-19 epidemic constitute adequate justification to refute the presumption of a significant increase in credit risk for exposures that are past due for more than thirty days. This provision is also a significant change compared to the ordinary rules of IFRS 9 and produces effects on transfers to stage 2. In addition, ESMA suggests considering collective approaches, also supported by the ECB, to evaluate the significant increase in credit risk; in other words, given the difficulty in identifying risk factors or indicators at the level of the individual borrower, a top-down approach is required, that is, starting from the risk level of specific portfolios (e.g., sectors most affected such as tourism, hotels, airlines, etc.) and the creditworthiness prior to the COVID-19 pandemic.

For staging purposes, the EBA also stressed the need to distinguish between exposures that will temporarily deteriorate in credit standing and those that will suffer a structural deterioration: the transfer to stage 2 should be considered only for the latter.

Finally, in its communication of 4 December 2020, the ECB recommended that institutions try to identify the increase in credit risk at the earliest possible stage, regardless of the use of analytical or collective valuation, by assessing loans subject to moratorium in a more systematic manner, and not resorting exclusively to past due days as a criterion for identifying a significant increase in credit risk, therefore also recalling the use of qualitative information as required by IFRS 9. The ECB also reiterated that institutions should also avoid practices such as the definition of objectives in terms of amount for the transfers between stages or the use of reverse engineering to achieve these objectives.

Inclusion of state guarantees in the ECL calculation for IFRS 9 purposes

The guarantee measures of sovereign states provided in conjunction with moratoria pursuant to law or other support measures have had different characteristics in the various jurisdictions, but share the fundamental one of guaranteeing the partial or complete recovery of the loans subject to support.

In its document of 25 March 2020, ESMA reiterated that the aforementioned guarantees impact the measurement of expected losses to the extent that, in line with the provisions of IFRS 9, they can be considered an integral part of the contractual conditions that govern these loans and are not independently recognized. In this regard, with reference to the first aspect, ESMA recalled that the guarantee does not need to be explicitly established in the contractual clauses (as also envisaged by the Transition Resource Group for Impairment in December 2015): this is the case, for example, with public guarantees provided together with debt moratoriums pursuant to large-scale applicable laws or economic support measures. The Supervisory Authority stressed the importance of providing adequate reporting regarding the assessments made. The ECB also invited the Banks to exercise judgment on the impacts of the massive support measures put in place.

Recognition of the effects (gain/ loss on forbearance) related to contractual changes resulting from customer support measures

ESMA maintains that it should be assessed whether the economic support and relief measures could entail a change in the characteristics of financial assets and, consequently, their derecognition, including in relation to the substantial nature of the change itself. This assessment must include both qualitative and quantitative criteria. In light of current circumstances, the supervisory authority reiterates that it is unlikely that the change would be considered substantial and lead to derecognition if the financial support measures provide temporary relief to borrowers affected by the COVID-19 epidemic and if the net economic value of the loan will not be significantly affected. In any case, entities must provide adequate disclosure of the accounting policies adopted to determine the substantial nature of the change.

Financial reporting

In the Public Statement of October 2021 “European common enforcement priorities for 2021 annual financial reports”, ESMA established the thematic areas of particular relevance for the financial reporting of 2021. In the



weekly bulletin “CONSOB Informa” of 8 November 2021, CONSOB announced that, as part of its supervisory activities, it will refer to the ESMA Public Statement.

With reference to the impacts deriving from the COVID-19 pandemic, ESMA reiterated, in continuity with the priorities already established for the 2020 Financial Statements, the importance of assessing the long-term impacts of the COVID-19 pandemic on operations, on the economic performance, on the statement of financial position and on cash flows, with particular regard to the following potential impacts on the financial statements: (i) assessment of the going concern assumption; (ii) disclosure with reference to significant judgments adopted by company management in applying the accounting standards and the causes of uncertainty in estimates; (iii) presentation in the financial statements of the impacts of the COVID-19 pandemic; (iv) impairment losses on non-financial assets. For the details of the actions undertaken by the Group, please refer to the section of Part A “Risks, uncertainties and impacts of the COVID epidemic” of these Notes to the Consolidated Financial Statements.

ESMA also paid great attention to climate-related issues, where it recommends issuers to consider these issues in a uniform manner in their communication to the market, ensuring the consistency of the information provided in the financial statements, in the management report, in the non-financial statement (‘NFS’) and, where applicable, in the prospectuses. In this regard, ESMA requests to expand the disclosure on estimates and assumptions in the preparation of the financial statements indicating both the main managerial assumptions related to climate risk (for example with reference to the climate scenarios considered in preparing the estimates), and the main factors used in the value estimates of climate risk (if they involve a material adjustment of the book value of assets/liabilities). In particular, it is important to specify whether and how the risks linked to environmental and climate issues, if they are significant, affect the determination of provisions for non-financial assets and the ECL for financial assets. The information on climate-related issues must be reported in a single note to the financial statements or, alternatively, in a single note containing all references to the notes dealing with these issues.

With regard to the information on estimates and assumptions relating to financial assets within the scope of IFRS 9, the Authority also refers to the additional information already requested in the previous Public Statements relating to the 2020 financial statements. In particular, attention is drawn to i) the disclosure to be provided in the event of adjustments made by the company management (“*management overlay*”) in the calculation of expected losses, ii) the disclosure required by IFRS 7 with regard to valuations on SICRs (such as inputs, assumptions, valuation techniques, quantitative thresholds), iii) on the indication of forward looking information used to estimate the ECL as well as on quantitative information on macroeconomic variables used for each scenario and for the main geographical areas and/or by sector iv) on transparency with reference to changes in loan write-downs, exposure to credit risk and guarantees. For details, please refer to Part E - Section I Risks of the Consolidated Financial Statements of these consolidated notes.

Furthermore, ESMA again drew the attention of issuers to the general guidelines published on 5 October 2015 with reference to the determination of APMs and, in particular, to the “*questions and answers*” of these guidelines, supplemented on 17 April 2020 with question 18, which states that it may be inappropriate to create new APMs or modify existing APMs to highlight the impacts of the COVID-19 pandemic, given the pervasiveness of the impacts, encouraging issuers to provide a qualitative and quantitative description in the notes to the financial statements.

Finally, in the “Report on the application of the IFRS 7 and IFRS 9 requirements regarding banks’ expected credit losses (ECL)” of December 2021 ESMA provides a number of recommendations aimed at improving the level of compliance, compatibility and transparency in the application of the IFRS 7 and IFRS 9. These recommendations are the results of an overview of the application of the two standards with regard to the measurement and disclosure of the expected credit loss (ECL) conducted by ESMA on the 2020 financial statements of 44 European banks and take into account inputs from key stakeholders (auditors, analysts, investors, academics, etc.). In particular, the recommendations refer to the following areas: general aspects of expected credit loss (ECL) disclosures; assessment of significant increase in credit risk (SICR); forward-looking disclosures; disclosures on changes in provisions; transparency of disclosures non credit risk exposures: disclosures on the sensitivity of expected credit losses (ECL). For further details, please refer to the disclosures in Part A – Accounting policies, in paragraphs “Significant accounting policies in preparing the financial statements in the context of the COVID-19 pandemic”, “Use of estimates and assumptions in preparing the financial statements” and “Risks, uncertainties and impacts of the COVID-19 epidemic” and in Part E Information on risks and hedging policies, section 2- Risk of the prudential consolidation, section 1 Credit risk and section “Quantitative disclosure – A. Credit quality” of the Notes to the Consolidated financial statements.



Modification of the policy for property valuation: property for business use (IAS 16) and property held for investment purposes (IAS 40)

Reasons underlying the in the policy for property valuation

The Group holds property assets including land and buildings, the carrying amount of which, as at 31 December 2020, was equal to EUR 1,792 mln, of which EUR 1,542 mln held for business use (IAS 16) and EUR 250 mln held for investment purposes (IAS 40).

In recent years, the Group began a series of initiatives to enhance the value of these assets through targeted actions intended to allow for the continuous enhancement of the properties through “active management” of the properties in the portfolio and the disposal of property assets not deemed strategic. In this regard, please note that the disposal of properties for EUR 500 mln is planned in the 2017-2021 Restructuring Plan and indicated under commitments of a formal nature assumed by the Parent Company with the European Commission.

Such initiatives are moreover also influenced by the following decisions included in the 2021-2025 Group Strategic Plan:

- increased recourse to smart working with respect to its previous occasional use;
- digitalisation and progressive focus on remote marketing channels;
- further transformation of the “physical” branches, consolidating them in their nature as centres oriented towards customer advisory activities;
- streamlining of labour costs, also linked to business process automation.

The actions referred to above will allow for a progressive reduction of occupied surface areas, through space management activities and the subsequent disposal of freed up spaces.

In the light of the above, starting from 31 March 2021, for land and buildings only, the Group has adopted a different accounting policy after the initial recognition. Specifically, on 22 April 2021, the Banca MPS Board of Directors decided to:

- transition from the cost model to the revaluation model for properties for business use, based on the rules of IAS 16 “Property, plant and equipment”;
- transition from the cost model to the fair value model for investment properties, based on the rules of IAS 40 “Investment property”.

It should be noted that for rights of use on properties for business use, recognised under property, plant and equipment on the basis of IFRS 16, the Group opted out of the revaluation model, permitted if the lessor applies this approach to owned properties.

In this context, the Group has decided that the above-mentioned decision, consistent with the provisions of IAS 8 on changes in accounting standards, makes it possible to provide reliable and more material information on the effects of company management and, ultimately, on the overall financial position and profit and loss of the Group. The expression in current values of property assets, with respect to cost, will indeed allow for:

- the greater alignment of financial reporting with future Group property asset management strategies;
- a more immediate understanding of the economic and financial impacts of the actions laid out in the Group Plan;
- constant alignment of the carrying amounts of property assets with values identifiable in the market;
- greater uniformity of comparison, of both the financial position and profit and loss between subsequent years, as recognition in current values improves the relevance and quality of information, especially due to its periodic re-estimation.

This choice is also in line with that the approach adopted by the main Italian competitors which, over the last few years, have adopted the fair value/fair value revaluation approach for the valuation of real estate, therefore the adoption of the new valuation approach will allow a better comparison with the financial statements of these competitors.

Change in policy for property valuation

The general rules of IAS 8 establish that voluntary changes in accounting policies must be represented retrospectively, starting from the furthest date on which this is feasible. This means that when the change takes place, the opening balances of the furthest comparative year and the data for the comparative years also need to be restated. However, this general rule does allow for exceptions. Specifically, in paragraph 17, IAS 8 sets forth that for the valuation of property, plant and equipment, governed by IAS 16, the transition from the cost approach to the revaluation model must be represented as if it were a normal application in continuity of the revaluation model, that is, the initial application of the revaluation model must take place prospectively and not retrospectively



as set forth in the general principle established in IAS 8. The change in accounting policy within the context of IAS 16 therefore does not entail any adjustment in the opening balances or the comparative data, or in the financial statements for the interim periods preceding the date of the change.

Change in policy for property valuation: property for business use (IAS 16)

In light of the foregoing, for properties for business use the Group's transition from cost to the revaluation model was applied prospectively as of 31 March 2021. For the above-mentioned assets, as a result of the prospective application of the change in valuation policy, the difference between the restated value and the net carrying amount was recognised on the same date with an offsetting entry in:

- income statement item "260. Net gains (losses) on property, plant and equipment and intangible assets measured at fair value", in the case of a negative difference;
- shareholders' equity item "120. Valuation reserves", in the case of a positive difference;
- income statement item "260. Net gains (losses) on property, plant and equipment and intangible assets measured at fair value", in the case of a positive difference for those properties that were subject to impairment in previous years, up to the limit of the amount of the impairment recognised, while the amount of the revaluation exceeding the amount written down in item "120. Valuation reserves".

In this regard, it should be noted that the unit of measurement used to calculate these effects is represented by the individual property, considering the land and the building component jointly as they cannot be sold individually. The breakdown of the property value into the two components - land and building - is instead relevant for disclosure purposes and for the calculation of depreciation, due to the different useful life of the two components. Starting from 31 March 2021, the revalued value of the assets in question represents the new depreciable amount, to be divided on a straight-line basis over the expected useful life; for the first quarter of 2021, therefore, it was not necessary to restate depreciation previously calculated under the cost approach.

Change in policy for property valuation: property held for investment purposes (pursuant to IAS 40)

For investment properties, in compliance with the provisions of IAS 8, the Group restated the comparative data beginning from the opening balances as at 1 January 2020. In particular:

- the positive or negative differences determined at individual property level between the fair value as at 1 January 2020 and the carrying amount at that date were recognised in shareholders' equity in the item "150. Reserves";
- the income statement effects recorded against the valuation at cost of property assets in 2020 (share of depreciation as well as impairment) were cancelled out against item "150. Reserves – Retained earnings", which also includes the change in the fair value of properties for the year.

Starting from 1 January 2021, investment properties are measured at fair value through profit or loss and are no longer subject to depreciation and/or impairment.

Methodology to estimate the fair value of property assets at the FTA date

With regard to the calculation of the fair value of property assets, it should be noted that the Group has chosen to make use of special appraisals provided by a leading external valuation company with an international and professionally qualified structure. To prepare the property appraisals, the lease payments, sale prices, discounting rates and capitalisation rates were estimated. In more detail, these appraisals, on the basis of the relevance of the individual property unit, were conducted in two different alternative manners:

- "full" appraisals: based on a physical inspection of the property assets by the appraiser; or
- "desktop" appraisals, based on an assessment performed with no physical inspection of the property asset and, therefore, based on reference market values.

The valuation methodologies applied by the appraiser in the appraisal are aligned with international IVS (International Valuation Standards) practices and with what is set forth in the Red Book of the Royal Institute of Chartered Surveyors (RICS) and comply with the provisions of IFRS 13. Notably, RICS standards ensure that:

- the fair value is determined consistently with the indications of the international accounting standards or that this value reflects "the estimated amount for which an asset or liability should exchange on the valuation date between a buyer and a seller both willing, and not linked by a special relationship, in trading in an arm's length transaction, after proper marketing and where the parties had each acted knowledgeably, prudently and without compulsion";
- the professional, ethical and independence requirements of the experts, in line with the provisions of international and European standards, are complied with.



IFRS 13 provides for non-financial assets that the use by their owner meet the requirement of highest and best use, unless the market participants expect different intended use for the property, which would therefore optimize its value.

The valuation approach was therefore specified by the expert appraiser based on the current intended use of the properties, assuming this represents the highest and best use, and considering, in a few cases, alternative uses of the properties where this corresponds to market expectations. To find the value of each property, the appraiser identified the most suitable methodology according to the characteristics of the asset and the conditions of the reference market.

The methodologies used on first application can be traced back to three approaches:

- discounted cash flow (DCF);
- market comparison approach (MCA);
- transformation method with DCF analysis.

The discounted cash flow method is based on the net cash flows that can be generated within a period of time and is the best estimation approach to adequately represent the market value of assets likely to be acquired as properties, both for direct use (business use), and for investment purposes, as a source of ongoing income from rents. The assumption underlying the cash flow approach is that a rational buyer is not willing to pay to buy the asset a price higher than the current value of the economic benefits that the asset will provide in the future. The value of the asset, therefore, is a function of the economic benefits that will be generated by it. The Market Value is calculated as the sum of the discounted net revenues and the discounted net sales value at the valuation date. The net revenues are calculated based on the gross revenues less the operating costs related to the property. The gross revenues are calculated by indexing the rents received for the leased portions, or the market rents for the vacant portions, considering for the calculation of the DCF a time period between 10 and 20 years according to the intended use of the property and the residual duration of outstanding lease contracts. The net sales value is obtained by capitalising in perpetuity the operating income for the last period of the DCF using a capitalization rate (Cap Rate) in line with average market yields, from which the sales commission is then deducted. After finding the annual net revenues and the net sales value, the discounted values at the beginning of the first period are calculated by using an appropriate discount rate, suitable for each individual property. The main input data are: i) revenues (contractual rents, market rents); ii) vacancy and take up period, contractual step-up, etc.; iii) costs (administration, property tax, insurance premium, tenant improvements, lease and sales commission, etc.) and iv) interest rates (WACC, exit cap rate).

The market comparison approach provides an estimate of the value of the asset through the comparison with properties recently sold or currently on sale on the market that are comparable in terms of type, construction and location. The value of the property is therefore found by taking into account the sale prices or rents obtained from an in-depth market survey, and then making specific adjustments as deemed appropriate given the intrinsic and extrinsic characteristics of the property in question, as well as any other factor deemed relevant. The market comparison approach is usually recommended for residential properties for which it is easy to find transactions on comparable assets.

The transformation method with DCF analysis is used in the case of assets that can be transformed or are already being transformed. The value is given by the difference between the most likely market value of the transformed asset and the sum of all the most likely costs of the factors involved in the transformation of the asset itself. The transformation method is often used to express an opinion on the economic benefit of initiatives to renovate existing assets, but it can also be used for an appraisal aimed at providing an estimate value valid for the majority of market operators. This estimation method is based on the discounting, at the valuation date, of the cash flows generated by the real estate transaction over a time period corresponding to its duration, converting the cash flows allocated at the time of their generation into the Net Present Value (NPV) of the real estate transaction through a financial discounting procedure. The model simulates the assumptions of a typical investor, which aims at receiving a satisfactory economic return on the investment. In particular, the model is articulated in a cash flow scheme with income (revenues) and expenses (costs) relating to the real estate transformation project. Expenses include costs for construction, demolition, urbanisation, design, site management and other costs; the income includes sales made for each sector of intended use (residential, industrial, workshops, sales, tertiary and services). The financial model does not consider VAT and other taxes. The main input data are i) the revenues generated from the sale of buildings built or renovated; ii) the costs (construction costs, urbanisation costs, planning and site management costs, sales commissions, etc., and iii) interest rates (WACC).



Effects of change in policy for property valuation

With regard to properties for business use (IAS 16), the impact of the restatement of property values as at 31 March 2021 was positive on the whole for the Group and equal to EUR 214.2 mln, gross of taxes. This impact was recognised:

- in item “120. Valuation reserves” for EUR 244.6 mln, including deferred taxes (EUR 165.0 mln net of deferred taxes);
- as an offsetting entry to income statement item “260. Net gains (losses) on property, plant and equipment and intangible assets measured at fair value” in the negative amount of EUR 30.4 mln.

With regard to investment properties, the impact of the fair value measurement was on the whole negative and equal to EUR 16.5 mln, inclusive of tax effects (EUR 11.1 mln net of taxes). This impact was recognised through a modification of the initial opening shareholders’ equity balances as at 1 January 2021, specifically in item “150. Reserves”.

In addition to the aforementioned impacts, it should be noted that the application of the fair value criterion entails the non-recognition of depreciation for investment property which for the year 2021 would have amounted to EUR 6.2 mln.

The new approach has resulted in a positive change of the CET 1 ratio at the date of first application equal to approximately 44 bps on a transitional basis and 45 bps on a fully loaded basis.

The tables below provide a reconciliation of the balance sheet balances as at 1 January 2020 and 31 December 2020, following the effects of the retroactive application of the change in the valuation policy applied to properties held for investment purposes. The changes shown in the first table represent the impact on the opening balances of the earliest year for which, in regard to investment property as per IAS 40, the comparative data is re-stated pursuant to IAS 8. We also provide the changes in the income statements ended at 31 December 2020.



(in thousands of EUR)

Assets	01 01 2020	Change	01 01 2020 Restated
10. Cash and cash equivalents	835,104	-	835,104
20. Financial assets measured at fair value through profit or loss	10,666,399	-	10,666,399
a) financial assets held for trading	9,902,460	-	9,902,460
c) other financial assets mandatorily measured at fair value	763,939	-	763,939
30. Financial assets measured at fair value through other comprehensive income	6,726,821	-	6,726,821
40. Financial assets measured at amortised cost	104,707,537	-	104,707,537
a) Loans to banks	15,722,405	-	15,722,405
b) Loans to customers	88,985,132	-	88,985,132
50. Hedging derivatives	73,003	-	73,003
60. Change in value of macro-hedged financial assets (+/-)	635,979	-	635,979
70. Equity investments	930,976	-	930,976
90. Property, plant and equipment	2,709,106	(23,611)	2,685,495
100. Intangible assets	176,097	-	176,097
- of which goodwill	7,900	-	7,900
110. Tax assets	2,762,954	6,621	2,769,575
a) current	953,534	-	953,534
b) deferred	1,809,419	6,621	1,816,040
120. Non-current assets held for sale and disposal groups	159,820	3,447	163,267
130. Other assets	1,812,211	-	1,812,211
Total Assets	132,196,007	(13,544)	132,182,463

(in thousands of EUR)

Total Liabilities and Shareholders' Equity	01 01 2020	Change	01 01 2020 Restated
10. Financial liabilities measured at amortised cost	114,148,310	-	114,148,310
a) due to banks	20,178,137	-	20,178,137
b) due to customers	76,526,919	-	76,526,919
c) debts securities issued	17,443,253	-	17,443,253
20. Financial liabilities held for trading	3,882,623	-	3,882,623
30. Financial liabilities designated at fair value	247,116	-	247,116
40. Hedging derivatives	1,315,905	-	1,315,905
50. Change in value of macro-hedged financial liabilities (+/-)	31,390	-	31,390
60. Tax liabilities	3,361	-	3,361
a) current	422	-	422
b) deferred	2,939	-	2,939
80. Other liabilities	2,897,887	-	2,897,887
90. Provision for employees severance pay	178,653	-	178,653
100. Provision for risks and charges:	1,209,874	-	1,209,874
a) financial guarantees and other commitments	158,793	-	158,793
b) post-employment benefits	36,133	-	36,133
c) other provisions	1,014,948	-	1,014,948
120. Valuation reserves	66,394	-	66,394
150. Reserves	(769,173)	(13,544)	(782,717)
170. Share capital	10,328,618	-	10,328,618
180. Treasury shares (-)	(313,710)	-	(313,710)
190. Non-controlling interests (+/-)	1,770	-	1,770
200. Net Profit (loss) for the year (+/-)	(1,033,011)	-	(1,033,011)
Total Liabilities and Shareholders' Equity	132,196,007	(13,544)	132,182,463



(in thousands of EUR)			
Assets	31 12 2020	Change	31 12 2020 Restated
10. Cash and cash equivalents	763,777	-	763,777
20. Financial assets measured at fair value through profit or loss	8,675,949	-	8,675,949
a) financial assets held for trading	8,214,902	-	8,214,902
c) other financial assets mandatorily measured at fair value	461,047	-	461,047
30. Financial assets measured at fair value through other comprehensive income	5,777,926	-	5,777,926
40. Financial assets measured at amortised cost	126,739,732	-	126,739,732
a) Loans to banks	34,737,909	-	34,737,909
b) Loans to customers	92,001,823	-	92,001,823
50. Hedging derivatives	50,818	-	50,818
60. Change in value of macro-hedged financial assets (+/-)	1,032,483	-	1,032,483
70. Equity investments	1,107,463	-	1,107,463
90. Property, plant and equipment	2,338,834	(3,023)	2,335,811
100. Intangible assets	183,945	-	183,945
- of which goodwill	7,900	-	7,900
110. Tax assets	1,986,164	5,409	1,991,573
a) current	807,870	-	807,870
b) deferred	1,178,294	5,409	1,183,703
120. Non-current assets held for sale and disposal groups	102,893	(13,454)	89,439
130. Other assets	1,596,119	-	1,596,119
Total Assets	150,356,103	(11,067)	150,345,036

(in thousands of EUR)			
Total Liabilities and Shareholders' Equity	31 12 2020	Change	31 12 2020 Restated
10. Financial liabilities measured at amortised cost	131,943,995	-	131,943,995
a) due to banks	28,418,072	-	28,418,072
b) due to customers	90,683,669	-	90,683,669
c) debts securities issued	12,842,254	-	12,842,254
20. Financial liabilities held for trading	6,002,020	-	6,002,020
30. Financial liabilities designated at fair value	193,332	-	193,332
40. Hedging derivatives	1,797,049	-	1,797,049
50. Change in value of macro-hedged financial liabilities (+/-)	45,428	-	45,428
60. Tax liabilities	4,091	-	4,091
a) current	13	-	13
b) deferred	4,078	-	4,078
80. Other liabilities	2,527,046	-	2,527,046
90. Provision for employees severance pay	166,553	-	166,553
100. Provision for risks and charges:	1,892,608	-	1,892,608
a) financial guarantees and other commitments	154,081	-	154,081
b) post-employment benefits	32,979	-	32,979
c) other provisions	1,705,548	-	1,705,548
120. Valuation reserves	260,853	-	260,853
150. Reserves	(1,670,500)	(13,544)	(1,684,044)
170. Share capital	9,195,012	-	9,195,012
180. Treasury shares (-)	(313,710)	-	(313,710)
190. Non-controlling interests (+/-)	1,310	-	1,310
200. Net Profit (loss) for the year (+/-)	(1,688,984)	2,477	(1,686,507)
Total Liabilities and Shareholders' Equity	150,356,103	(11,067)	150,345,036



(in thousands of EUR)

Items	31 12 2020	Change	31 12 2020 Restated
10. Interest income and similar revenues	1,975,109	-	1,975,109
<i>of which interest income calculated applying the effective interest rate method</i>	<i>1,763,447</i>	-	<i>1,763,447</i>
20. Interest expense and similar charges	(703,663)	-	(703,663)
30. Net interest income	1,271,446	-	1,271,446
40. Fee and commission income	1,595,743	-	1,595,743
50. Fee and commission expense	(202,741)	-	(202,741)
60. Net fee and commission income	1,393,002	-	1,393,002
70. Dividends and similar income	10,264	-	10,264
80. Net profit (loss) from trading	33,969	-	33,969
90. Net profit (loss) from hedging	2,620	-	2,620
100. Gains/(losses) on disposal/repurchase of:	118,503	-	118,503
a) financial assets measured at amortised cost	113,465	-	113,465
b) Financial assets measured at fair value through other comprehensive income	174	-	174
c) financial liabilities	4,864	-	4,864
110. Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss	(14,620)	-	(14,620)
a) financial assets and liabilities designated at fair value	195	-	195
b) other financial assets mandatorily measured at fair value	(14,815)	-	(14,815)
120. Net interest and other banking income	2,815,184	-	2,815,184
130. Net impairment (losses)/reversals for credit risk on:	(749,178)	-	(749,178)
a) financial assets measured at amortised cost	(749,336)	-	(749,336)
b) financial assets measured at fair value through other comprehensive income	158	-	158
140. Modification gains/(losses)	(18,763)	-	(18,763)
150. Net income from banking activities	2,047,243	-	2,047,243
190. Administrative expenses:	(2,550,872)	-	(2,550,872)
a) personnel expenses	(1,508,735)	-	(1,508,735)
b) other administrative expenses	(1,042,137)	-	(1,042,137)
200. Net provision for risks and charges:	(968,564)	-	(968,564)
a) commitments and guarantees issued	4,717	-	4,717
b) other net provisions	(973,281)	-	(973,281)
210. Net adjustments to/recoveries on property, plant and equipment	(171,399)	10,696	(160,703)
220. Net adjustments to/recoveries on intangible assets	(75,429)	-	(75,429)
230. Other operating expenses/income	229,675	-	229,675
240. Operating expenses	(3,536,589)	10,696	(3,525,893)
250. Gains (losses) on investments	95,023	-	95,023
260. Net gains (losses) on property, plant and equipment and intangible assets measured at fair value	-	(19,113)	(19,113)
280. Gains (losses) on disposal of investments	43,406	12,105	55,511
290. Profit (loss) before tax from continuing operations	(1,350,917)	3,688	(1,347,229)
300. Tax (expense)/recovery on income from continuing operations	(338,196)	(1,211)	(339,407)
310. Profit (loss) after tax from continuing operations	(1,689,113)	2,477	(1,686,636)
320. Profit (loss) after tax from discontinued operations	-	-	-
330. Net Profit (loss) for the year	(1,689,113)	2,477	(1,686,636)
340. Net Profit (loss) attributable to non-controlling interests	(129)	-	(129)
350. Parent company's net profit (loss) for the year	(1,688,984)	2,477	(1,686,507)



Section 3 – Scope and methods of consolidation

1. Investments in wholly-owned subsidiaries

The investments in wholly-owned subsidiaries are listed in the table below. For information on equity investments in companies jointly controlled or subject to significant influence by the Group, please refer to the contents of Part B- Information on the consolidated balance sheet - Section 7 - Equity investments, in these Notes.

	Name	Headquarters	Registered Office	Type of relationship (*)	Ownership Relationship	
					Held by	Shareholding %
A	Companies					
A.0	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Siena	Siena			
	A.1 Companies consolidated on a line-by-line basis					
A.1	MPS CAPITAL SERVICES BANCA PER LE IMPRESE S.p.a.	Florence	Florence	1	A.0	100.000
A.2	MPS LEASING E FACTORING BANCA PER I SERVIZI FINANZIARI ALLE IMPRESE S.p.a.	Siena	Siena	1	A.0	100.000
A.3	MONTE PASCHI FIDUCIARIA S.p.a.	Siena	Siena	1	A.0	100.000
A.4	WISE DIALOG BANK S.p.a. - WIDIBA	Milan	Milan	1	A.0	100.000
A.5	MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI SOCIETA' AGRICOLA S.p.a.	Castelnuovo Berardenga (SI)	Castelnuovo Berardenga (SI)	1	A.0	100.000
A.6	GIMM ASTOR S.r.l.	Lecce	Lecce	1	A.0	52.000
A.7	AIACE REOCO S.r.l. in liquidazione	Siena	Siena	1	A.0	100.000
A.8	ENEA REOCO S.r.l. in liquidazione	Siena	Siena	1	A.0	100.000
A.9	CONSORZIO OPERATIVO GRUPPO MONTEPASCHI S.c.p.a.	Siena	Siena	1	A.0	99.760
					A.1	0.060
					A.2	0.030
					A.3	0.030
					A.4	0.030
						<u>99.910</u>
A.10	MAGAZZINI GENERALI FIDUCIARI DI MANTOVA S.p.a.	Mantua	Mantua	1	A.0	100.000
A.11	MONTE PASCHI BANQUE S.A.	Paris	Paris	1	A.0	100.000
11.1	MONTE PASCHI CONSEIL FRANCE SOCIETE PAR ACTIONS SEMPLIFIEE	Paris	Paris		A.11	100.000
11.2	IMMOBILIERE VICTOR HUGO S.C.I.	Paris	Paris		A.11	100.000
A.12	MPS COVERED BOND S.r.l.	Conegliano	Conegliano	1	A.0	90.000
A.13	MPS COVERED BOND 2 S.r.l.	Conegliano	Conegliano	1	A.0	90.000
A.14	CIRENE FINANCE S.r.l.	Conegliano	Conegliano	1	A.0	60.000
A.15	SIENA MORTGAGES 07-5 S.p.a.	Conegliano	Conegliano	4	A.0	7.000
A.16	SIENA MORTGAGES 09-6 S.r.l.	Conegliano	Conegliano	4	A.0	7.000
A.17	SIENA MORTGAGES 10-7 S.r.l.	Conegliano	Conegliano	4	A.0	7.000
A.18	SIENA LEASE 2016 2 S.r.l.	Conegliano	Conegliano	4	A.0	10.000
A.19	SIENA PMI 2016 S.r.l.	Conegliano	Conegliano	4	A.0	10.000

(*) Type of relationship:

1 = majority of voting rights at ordinary shareholders' meetings

4 = other forms of control

() Votes available in the ordinary shareholders' meeting, distinguishing between actual and potential**



2. Significant assessments and assumptions for determining the scope of consolidation

Scope of consolidation

The consolidated financial statements include the balance sheet and income statement results of the Parent Company and its direct and indirect subsidiaries. In particular, the scope of consolidation, as specifically set out in the IAS/IFRS, includes all subsidiaries, irrespective of their legal status, of business activity pursued in sectors other than the Parent Company's core business, of their being going concerns or wound-up companies, or of whether the equity investment consists of a merchant banking transaction.

The scope of consolidation includes all types of entities, regardless of nature, for which the principle of control laid out in IFRS 10 applies.

The concept of control is based on the simultaneous presence of three elements:

- power to direct the relevant activities, i.e., the activities that affect the investee's returns;
- exposure to variability of returns deriving from the investee's activities, which may increase or decrease.
- exercise of power to influence returns.

Thus, IFRS 10 establishes that, to exercise control, the investor must have the ability to direct the entity's relevant activities, as the result of a legal right or a mere de facto situation, and also be exposed to the variability of results deriving from this power.

Structured entities are also consolidated when the requirement of actual control recurs, even if there is no stake in the entity.

More specifically, IFRS 12 defines structured entities as "entities that have been designed so that voting or similar rights are not the dominant factor in deciding who controls the entity", such as when any voting rights relate to administrative tasks only and the relevant activities are directed by means of contractual arrangements. Examples of structured entities include securitisation vehicles, asset-backed financings and some investment funds.

The scope of consolidation may also include parts of a structured entity with no independent legal status, or so-called "deemed separate entities". In essence this is a group of well identified assets and liabilities within a company, characterised by both the fact that: the assets represent the only source of payment for those specific liabilities and that; third parties cannot claim rights to those specific assets or on the cash flows they generate.

Investments and equity securities

Equity investments and equity securities are considered subject to control if the Group directly or indirectly holds the absolute majority of voting rights in the ordinary shareholders' meeting and such rights are substantive, and the relative majority of voting rights if the other voting rights are held by widely-dispersed shareholders. Control may also exist in situations in which the Group does not hold the majority of voting rights, but holds sufficient rights to have the practical ability to unilaterally direct relevant activities of the investee or in the presence of:

- substantive potential voting rights through underlying call options or convertible instruments;
- rights deriving from other contractual arrangements which, combined with voting rights, give the Group the de facto ability to direct production processes, other operating or financial activities able to significantly influence the investee's returns;
- power to influence, through rules of the articles of association or other contractual arrangements, governance and decision-making procedures regarding relevant activities;
- majority of voting rights through contractual arrangements formalised with other holders of voting rights (i.e., shareholders' agreements).

Structured entities - investment funds

The Group takes the following positions with respect to funds:

- subscriber of units, held for long-term investment purposes or for trading,
- counterparty in derivatives.

A relationship of control exists when the following situations are present:

- the Group, as a subscriber of units, is able to remove the investment fund manager without just cause or for reasons associated with fund performance, and such rights are substantive;



- existence of provisions in the fund regulation envisaging the establishment within the fund of committees, in which the Group participates, that influence the governance of relevant activities and have the legal and/or de facto right to control the activities of the fund manager;
- existence of other relations with the fund, such as the presence within the fund of personnel with strategic responsibilities associated with the Group and the presence of contractual relations that subject the fund to the Group for the subscription or placement of units.

Structured entities - vehicle companies for securitisations

In checking for the fulfilment of requirements of control over securitisation vehicles, both the possibility of exercising power over relevant activities for its own benefit and the end purpose of the transaction are taken into consideration, as well as the investor/sponsor's involvement in the structuring of the transaction.

For autopilot entities, the subscription of the substantial entirety of the notes by Group companies is considered an indicator of the presence, particularly during the structuring phase, of the power to manage relevant activities to influence the economic returns of the transaction.

Methods of consolidation

With reference to the consolidation methods, subsidiaries are consolidated on a line-by-line basis, interests in jointly controlled companies and investments in companies subject to the Group's "significant influence" are consolidated with the equity method.

Line-by-line consolidation method

Line-by-line consolidation consists in the line-by-line acquisition of the balance-sheet and income statement aggregates of the subsidiaries. After the assignment to third parties, under a separate account, of their shares of equity and profit/loss, the value of the investment is eliminated against the recognition of the residual value of the subsidiary's equity.

Intragroup assets, liabilities, income and expenses are eliminated.

Acquisitions of companies are accounted for according to the "acquisition method" envisaged by IFRS 3, according to which the identifiable assets acquired and the identifiable liabilities assumed (including contingent liabilities) must be recognized at their respective fair values at the acquisition date. In addition, for each business combination, any non-controlling interests in the acquired company may be recognised at fair value or in proportion with the share of non-controlling interests in identifiable net assets of the company acquired. Any excess of the consideration transferred (represented by the fair value of the assets transferred, liabilities assumed and equity instruments issued) and any recognition at fair value of the non-controlling interests with respect to the fair value of assets and liabilities acquired is recognised as goodwill; if the price is lower, the difference is allocated to the income statement.

The "acquisition method" is applied starting from the acquisition date, as described in the paragraph "Business combinations" under Section "A.2 – The main items of the accounts" below, to which reference should be made, or beginning when control over the acquired company is effectively obtained. Therefore, the income and expenses of a subsidiary purchased during the reference year are included in the consolidated financial statements as of the date of purchase.

On the other hand, the income and expenses of a subsidiary sold are included in the consolidated financial statements up to the date of disposal, i.e. when the Parent ceases to control the subsidiary. At the date when control is lost, the controlling entity:

- derecognises the assets (including any goodwill) and liabilities of (and non-controlling interests in) the former subsidiary at their book values;
- recognises the fair value of the consideration received and of any investment retained in the former subsidiary;
- reclassifies to consolidated income statement any amounts previously recognised in the subsidiary's statement of other comprehensive income as if the assets or liabilities had been transferred;
- recognises in income statement item "280. Gains (losses) on disposals of investments" the difference between the consideration for the sale and the book value of the subsidiary's net assets.

If there is a partial sale of the subsidiary that does not entail loss of control, the difference between the consideration for the sale and the relative book value is recognised as an offsetting entry in equity.



In order to prepare these Consolidated Financial Statements, all wholly-owned subsidiaries prepared a balance sheet and income statement that was compliant with the Group's accounting standards.

Equity investments held for sale were recognised in accordance with the reference IFRS 5 standard, which governs the treatment of non-current assets held for sale. In this case, assets and liabilities held for sale are reclassified under balance sheet item "120. Non-current assets held for sale and disposal groups" and "70. Liabilities associated with non-current assets held for sale and disposal groups". If the disposal in progress of the equity investment can be configured as a discontinued operation pursuant to IFRS 5, the related income and expenses are recognized in the income statement, net of the tax effect, under the item "320. Profit (loss) after tax from assets held for sale and discontinued operations net of taxes". Otherwise, the subsidiary's contribution is shown in the income statement "line by line". If the fair value of the assets and liabilities under disposal, net of sales costs, are less than the carrying amount, an impairment is recognised in the income statement.

Equity consolidation method

Entities are considered to be jointly controlled companies when, based on contractual agreements, control is shared between the Parent Company, directly or indirectly, and one or more other parties external to the Group, or when decisions regarding the relevant activities require the unanimous consent of all parties that share control.

Companies are considered associates, that is, subject to significant influence, when the Parent Company, directly or indirectly, holds at least 20% of voting rights (including "potential" voting rights) or in which - though the voting rights held may be lower - the Parent Company has the power to participate in determining financial and operating policies as a result of specific legal ties, such as adhering to shareholder agreements.

Interests in jointly controlled companies and investments in companies subject to the Group's "significant influence" (associates) are consolidated with the equity method.

This method contemplates the initial posting of the investment at cost. This value is subsequently adjusted to reflect:

- the Group's share of gains/losses on the investment for the period is recognised under item 250 "Gains (losses) on investments" of the consolidated income statement;
- the Group's share of changes recognised in the statement of consolidated comprehensive income. In determining the ownership percentages, any potential voting rights are not considered.

If an investor's share of losses in an associate equals or exceeds the interest's carrying amount, the investor discontinues recognising its share of further losses unless the investor has incurred specific legal obligations or made payments in favour of the associate.

Profits resulting from transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associate. Losses resulting from transactions between the Group and its associates are eliminated as well, unless the transaction provides evidence of an impairment of the asset transferred.

If evidence of impairment indicates that there may have been a loss in value of an equity investment, then the recoverable value of the investment is estimated, taking into consideration the present value of future cash flows that the investment may generate, including the final disposal value of the investment. Should the recoverable value be less than its book value, the difference is recognised immediately in the income statement, in the item indicated above.

The Group stops using the equity method on the date on which it stops exercising significant influence or joint control over the investee; in that case, as of that date the investment is reclassified to "Financial assets measured at fair value through other comprehensive income" or "Financial assets measured at fair value through profit or loss", on the condition that the associate or jointly controlled company does not become a subsidiary.

For the consolidation of jointly controlled companies and associates, the financial statements (annual or interim) that have been most recently approved by said companies are used. In rare cases, the companies do not apply IAS/IFRS standards, thus, for these companies, it has been ascertained that applying these standards would not result in significant impacts on the Group's consolidated financial statements.

There are no changes in the consolidation area compared to the situation as at 31 December 2020. Note the change in the name of the subsidiaries AIACE REOCO Srl and ENEA REOCO Srl following the early dissolution and consequent liquidation which took place in December 2021.



3. Investments in wholly-controlled subsidiaries with significant non-controlling interests

This section was not completed at 31 December 2021, in line with the previous year, as there are no significant non-controlling interests in subsidiaries considered significant for the Group, individually or as a whole, as shown in the table in “Section 16 - Non-controlling interests” under Part B of these Notes.

4. Significant restrictions

Listed below are the significant restrictions on the Group’s ability to access or use assets and to extinguish liabilities:

Regulatory restrictions

The Parent Company and the subsidiaries MPSL&F, MPSCS, MPS Banque and Widiba, with assets and liabilities prior to intercompany eliminations amounting to EUR 164,210.8 mln as at 31 December 2021 (EUR 172,336.5 mln as at 31 December 2020) are subject to prudential regulations envisaged in Directive 2013/36/EU (CRD IV) and Regulation (EU) no. 575/2013 (CRR), designed to maintain adequate capitalisation in relation to risks assumed. Thus, as a general rule, the capacity of banks to distribute capital or dividends is restricted in compliance with these regulations in terms of capital requirements.

More specifically, as a result of the Supervisory Review and Evaluation Process (SREP) conducted by the ECB, the Parent Company was required to:

- maintain, starting from 1 January 2021, on a consolidated basis, a Total SREP Capital Requirement (TSCR) level of 10.75%, which includes 8% as the minimum requirement of Own Funds pursuant to art. 92 of the CRR and 2.75% as the capital requirement of Pillar II (which must be met for at least 56.25% with CET1 and at least 75% with Tier 1)³⁶;
- not distribute dividends.

This last restriction also constitutes part of the commitments undertaken by the Italian State vis-à-vis the European Commission, which coincide with various aspects of the Restructuring Plan to which the Group is subject, including:

- cost reduction measures: annual restrictions in terms of the number of branches, employees, cost/income ratio and total operating expenses, reduction of additional costs up to a maximum of EUR 100 mln in the case of a deviation from the net operating margin targets (gross of provisions on loans);
- restrictions on advertising and sales policy: the Parent Company cannot use State aid or advantages deriving from it for advertising purposes aimed at promoting its products or its market position. Furthermore, it cannot adopt a particularly aggressive sales policy which it would not have adopted if it had not had access to State aid;
- sale of assets: sale of foreign banks, that is Banca Monte dei Paschi Belgio S.A. and Monte Paschi Banque S.A., as well as disposal of a list of equity investments in the course of the plan, without prejudice to the capital position of the Bank, and part of the real estate assets;
- containment of risks: commitment to complete the sale of the portfolio of non-performing loans, strengthening of the monitoring of risk control (with particular reference to credit risk, the adequacy of the policies for the granting of credit and the commercial policies adopted by the Bank, as well as the monitoring of this risk), restrictions on proprietary finance activities in terms of VaR and the nature of the instruments traded;
- prohibition from making acquisitions: in particular, the Parent Company cannot acquire any equity investment or asset, except for those authorised or in limited special cases;
- restrictions on payments of coupons on existing instruments and on the exercise of liability management transactions: the Parent Company cannot make payments for existing instruments, unless it constitutes default of a legal obligation, and, similarly, cannot carry out repurchase transactions of instruments issued by the Parent Company without satisfying with predefined conditions and with the prior approval of the Commission;

³⁶ Based on the 2021 SREP Decision received on 2 February 2022, starting from 1 March 2022 a TSCR level of 10.75% is required on a consolidated basis, of which 8% as the minimum requirement of Pillar I and 2.75% as Pillar II capital requirement



- employee remuneration: establishment of a remuneration ceiling corresponding to 10 times the average salary of Parent Company employees.

In addition, it should be noted that on 1 January 2022 the Group recorded a breach of the Combined Capital Reserve Requirement (CBR) considered in addition to the MREL requirement based on RWAs of EUR -407 mln and the Subordination Requirement determined both on the RWAs and inclusive of the CBR, equal to EUR -325 mln, and on Leveraged Exposures, equal to EUR -429 mln.

As a result of the aforementioned breaches:

- on the basis of the provisions of art. 78a CRR and the SRB “*Communication on application of RTS provisions on prior permissions*” published in September 2021, the Parent Company was unable to obtain the prior authorization to operate as a “*market maker*” on its Senior Bonds, required by law from 1 January 2022, pursuant to art. 77 (2) of the CRR. Therefore, starting from that date, the Parent Company and its subsidiaries suspended this type of operation;
- in accordance with the provisions of art. 10 a) of Regulation (EU) 2014/806 (Single Resolution Mechanism), the Parent Company is required to send quantitative information to the Resolution Authority on a monthly basis in order to allow the same authorities to monitor the breach. Based on the monthly data received from the Parent Company and any qualitative information, the Resolution Authority may prohibit distributions that exceed the M-MDA (Maximum Distributable Amount related to the minimum requirement).

Legal restrictions

The Parent Company is required, in compliance with statutory provisions, to deduct 10% of annual net profit to form the legal reserve, until it has reached 20% of the share capital. The reserve must be replenished if it is reduced for whatever reason. The Parent Company is also required to form and increase a statutory reserve in an amount not less than 15% and at least 25% from the moment the legal reserve reaches 20% of the share capital.

The Italian subsidiaries other than securitisation vehicles are required, in compliance with statutory provisions, to deduct 5% of annual net profit to form the legal reserve, until it has reached 20% of the share capital, and an additional 5% to be allocated to a statutory reserve.

Contractual restrictions

Pledged assets

The Group holds assets not available to it in that they are used to guarantee financing transactions (e.g., repurchase or securitisation transactions).

The disclosure on assets pledged as collateral for liabilities and commitments is provided in the “Other information” section of Part B of these Notes to the consolidated financial statements, to which reference should be made.

Group assets related to securitisations

Asset item 40 b) “Financial assets measured at amortised costs: loans to customers” include, on the financial statements reference date, EUR 1,894.7 mln (EUR 2,449.8 mln as at 31 December 2020) relative to loans not cancelled from the financial statements, transferred with the Siena Mortgages 10-7 and Siena PMI 2016 2 securitisations. The Parent Company has recognised in its financial statements, as a contra entry of the amounts received in these transfers, a liability towards the vehicles issuing senior bonds (definitely transferred to a leading banking party in the context of the same securitisations) of EUR 225.2 mln (EUR 795.5 mln as at 31 December 2020). Against this liability, the creditors’ entitlement to repayment is limited to cash flows arising from the assets underlying senior notes sold (please refer to table D.3 of the Notes to the consolidated financial statements Part E - Information on risks and hedging policies).

Statutory restrictions

The Group has internal company retirement plans with defined benefits in favour of employees, in service or terminated. The statutes of the funds provide for restrictions on the assignment of benefits and / or any surpluses



outside the members and those entitled to it. In the event of a surplus in the plans, this cannot be disposed of by the Group.

Other restrictions

The Group's banks are required to hold a compulsory reserve at national Central Banks. The compulsory reserve, included in asset item 40 "Financial assets measured at amortised cost" sub-item "a) Loans to banks", held at Bank of Italy, amounts to EUR 675.6 mln as at 31 December 2021 (EUR 700.4 mln as at 31 December 2020).

5. Other information

The financial statements processed for line-by-line consolidation of the subsidiaries include the financial statements as at 31 December 2021, as approved by the Boards of Directors of the respective companies.

Section 4 – Events after the Reporting Period

The significant events that occurred in the period between the reporting date (31 December 2021) and the date of approval of the consolidated financial statements by the Board of Directors (2 March 2022), entirely attributable to non-adjusting events, pursuant to IAS 10, i.e. events that do not entail any adjustments to the financial statements, as they are the expression of situations arising after the reporting date.

On **3 February 2022**, the Parent Company received the final decision of the European Central Bank ("ECB") regarding the capital requirements to be met from 1 March 2022. According to this decision, the MPS Group - at consolidated level - must comply with a *Total SREP Capital Requirement* (TSCR) of 10.75%: this includes a minimum requirement in terms of own funds - Pillar 1 ("P1R") of 8% (of which 4.50% in terms of CET1) and an additional Pillar 2 requirement ("P2R") of 2.75%, which is unchanged with respect to 2021, to be held at least for 56.25% in the form of Common Equity Tier 1 capital - CET1 - and 75% in the form of Tier 1 capital. The overall minimum requirement in terms of *Total Capital ratio*, obtained by adding a *Combined Buffer Requirement* (CBR) of 2.75³⁷% to the TSCR, is 13.50%. The overall minimum requirement in terms of CET1 ratio is 8.80%, the sum of P1R (4.50%), P2R (1.55%³⁸) and CBR (2.75%); the overall minimum requirement in terms of Tier 1 is 10.82%, including P1R of 6%, P2R of 2.06%³⁹ and CBR of 2.75%. On the basis of the capital ratios in place as at 31 December 2020, in the context of the SREP decision, the ECB confirmed for BMPS the decision - already in force - to restrict dividends.

On **18 February 2022**, the Parent Company received from the Bank of Italy, in its capacity as Resolution Authority, the decision SRB/EES/2021/177 of the Single Resolution Committee on the calculation of the minimum requirement for own funds and eligible liabilities ("2021 MREL Decision"), which replaces the decision received in December 2020. Starting from 1 January 2024, the Parent Company must comply, on a consolidated basis, with an MREL of 23.32% in terms of TREA (*Total Risk Exposure Amount*), to which the CBR applicable at that date must be added, and 7.22% in terms of LRE (*Leverage Ratio Exposure Measure*). To these must be added the additional subordinated MREL requirements, i.e. to be met with own funds and subordinated instruments, equal to 17.34% of TREA, to which the CBR at that date, must be added, and 7.22% of LRE. In the transitional period, from 1 January 2022, the Parent Company will have to comply, on a consolidated basis, with an intermediate MREL of 18.95% in terms of TREA, to which the CBR must be added (equal to 2.75% in 2022) and 6.22% in terms of LRE. To these must be added the additional subordinated MREL requirements, to be met with own funds and subordinated instruments, equal to 13.5% of TREA, to which the CBR must be added, and 6.22% of LRE.

On **24 February 2022**, the President of the Russian Federation announced a military operation in Ukraine and the Russian Armed Forces began an attack on Ukraine.

The decision came shortly after the official recognition of the separatist republics of Donbass located in the Ukrainian territory, Donetsk and Lugansk, and the sending of troops to the territory with the official motivation of a peacekeeping initiative. Various economic penalty packages, against Russia, globally have been put in place.

On the basis of accounting standard IAS 10, as already indicated in the introduction, this is an event that must not lead to any adjustment of the balance sheet balances, as the fact itself and the related consequences occurred after

³⁷ The *Combined Buffer Requirement* (CBR) is given by the *Capital Conservation Buffer* (2.50%) + *O-SII Buffer* (0.25% vs 0.19% in 2021) + *Countercyclical Capital Buffer* (0.003% vs 0.001% in 2021).

³⁸ Calculated considering 56.25% coverage of P2R with CET1

³⁹ Calculated considering 75% coverage of P2R with Tier1.



the balance sheet date. The exposures to Russia and Ukraine directly held by the Group and/or by Group's clients are of lower amount; however, taking into account the uncertainty regarding the development of the war events and the manoeuvres that will be implemented by the Governments to counter it, it is not possible to exclude particularly severe effects on the international and Italian economy, which could have an impact on the financial statements for future years in light of the information that will become available from time to time. For further details on the related factors of uncertainty, reference is made to the next paragraph "Use of estimates and assumptions when preparing financial statements" and to the Group Report on operations.

On 1 March 2022, Law Decree no. 17 relating to "Urgent measures for the containment of cost of electricity and natural gas, for the development of renewables and the relaunch of industrial policies" was published on the Official Gazette. In order to finance these measures, one of the provisions contained in the Law Decree provides the deferral of the portion of 2021 deductible loans adjustment, pursuant to the article 16 of Law Decree 83 of 27 June 2015, on a straight line basis over four years, starting from 2022. For more information please refer to paragraph "Regulatory developments – New tax regulations" contained in the Consolidated report on operations. However, this deferral, which is potentially significant for the banking system, will have substantially insignificant effects on the Group's Financial statements

Section 5 – Other Matters

Going concern

These Financial Statements were prepared under the going concern assumption.

In this regard, it should be noted that the capital shortfall expectations with respect to overall capital requirements and the results of the EBA 2021 stress test have highlighted the need for capital strengthening. To this end, on 17 December 2021 the Board of Directors approved the 2022-2026 Strategic Plan, which confirms the amount of EUR 2.5 bn for the capital strengthening already estimated in the previous 2021-2025 Plan.

The Plan was presented to the European Central Bank, the Single Resolution Board and the Competition DG as part of the various information, approval and regulatory procedures. It cannot be excluded that, as part of this assessment, unforeseeable elements might arise that could affect the Parent Company's capital strengthening process and the structure and feasibility of a capital increase at market conditions. Therefore, the assessment of DG Comp is the source, in principle, of material uncertainty.

However, taking into account the improvements recorded by the Group in the course of 2021 in terms of capital and risk reduction, as well as the discussions held so far with the Authorities, it is believed that the capital *shortfall* can be overcome through a transaction of capital strengthening on a *stand-alone* basis, subject to approval by DG Comp of the new 2022-2026 business plan.

In the light of these elements and assessments, and with regard to the indications provided in Document no. 2 of 6 February 2009 and Document no. 4 of 3 March 2010, issued jointly by the Bank of Italy, Consob and ISVAP, and subsequent amendments, the Bank can reasonably expect to continue operating as a going concern in the foreseeable future and has therefore prepared its financial statements using the going concern assumption. For more details, reference is made to the paragraph "Use of the going concern assumption" in the section "Use of estimates and assumptions when preparing financial statements" of these Notes to the Consolidated Financial Statements.

Interest rate benchmark reform

EU Regulation 2016/1011, known as the Benchmarks Regulation (BMR), has introduced, starting from January 2018, some obligations for the parties that, for various reasons, deal with financial indices (such as administrators, contributors of data or users of these indices), to strengthen the governance of the benchmarks and guarantee the integrity of the benchmarking process.

In view of the failure of some important financial indices to comply with the provisions of the Regulation, one of the main consequences of the reform process is the imminent disposal of some indices, with different effective dates; in particular, most of the LIBOR rates and the EONIA rate will be discontinued on 31 December 2021, while the USD LIBOR rate will be published until 30 June 2023 (except for the 1-week and 2-month maturities, which were discontinued on 31 December 2021).

To limit the risks of discontinuity in the transition to the new alternative rates, several consultations were published aimed at defining the criteria for the termination and definition of rates alternative to those being disposed of (such



as, for example, the European Working Group on Euro Risk Free Rates of the ECB or the working groups and the various international institutions such as ISDA, ICE Benchmark Administration, LCH). The results of these consultations will be taken into account to define the recommendations and the market practices to be considered for the transition.

In order to implement the actions necessary to manage the effects of the aforementioned Reform, the MPS Group has planned a specific project under which the actions undertaken are the follows:

- assessment of the functions, systems and processes affected by the reform;
- identification of the rates to be used in alternative to discontinued indices;
- identification of gaps in the transition process;
- development of an action plan and definition of a governance able to manage the stages of the transition process;
- legal review of existing contracts and drafting of updated contracts with the new indices (fallback clause);
- assessment of the effects of the transition on the accounting, risk management and position keeping systems;
- development of the requirements for the application of the new rates.

With particular reference to OTC derivatives and in line with what was done by most financial market operators, the Parent Company and the subsidiary MPS Capital Services Banca per le Imprese S.p.A. joined the ISDA 2020 IBOR *Fallbacks Protocol* and the ISDA 2021 EONIA *Collateral Agreement Fallbacks Protocol*. These protocols were created to allow the parties to massively modify the contractual terms of existing transactions, incorporating the alternative rates (fallbacks).

In compliance with the provisions of paragraph 24J (b) of IFRS 7, introduced by Regulation no. 25 of 13 January 2021, the following table shows the quantitative information on the financial instruments that were moved to an alternative benchmark rate at the end of the reference period, aggregated by benchmark interest rates subject to the reform.

Significant parameters subject to IBOR Reform	(in million of eur)					
	Book value				Nominal Value	
	Non derivative Assets		Non derivative liabilities		Derivatives	
	Loans	Debt securities	Loans	Debt securities	Hedging	Trading
referenced to LIBOR	101.6	374.6	-	-	354.9	10,191.6
of which: EUR	8.1	-	-	-	-	-
of which: USD	91.4	374.6	-	-	354.9	10,191.6
of which: GBP	2.1	-	-	-	-	-
Total	101.6	374.6	-	-	354.9	10,191.6

For further details please refer to paragraph “Financial Benchmark Regulation” contained in the Consolidated report on operations.



List of key IAS/IFRS international accounting principles and related SIC/IFRIC interpretations for mandatory application as of the 2021 financial statements

On 14 January 2021, Regulation (EU) no. 2021/25 was published, which endorses the document “Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 Interest Rate Benchmark Reform - Phase 2” issued by the IASB on 27 August 2020, regarding issues relating to the second phase of the project on the revision of rates. The main amendments established regard:

- Modification / Derecognition

This topic regards the accounting representation of amendments to existing agreements to reflect the new interest rates and whether they need to be recognised - pursuant to IFRS 9 - as a modification or derecognition. In particular, the regulatory intervention aims to safeguard the modifications relating to the IBOR Reform:

- it is clarified that amendments relating to the replacement of the existing IBOR rate with the new Risk Free Rate, even in the absence of the modification of contractual terms, do not need to constitute a derecognition event, but are to be considered for accounting purposes as a “modification”; and
- a practical expedient is proposed which makes it possible to represent these amendments, carried out on equivalent economic bases, with a prospective adjustment of the effective interest rate, with impacts on the interest margin of future periods (and not with the application of “modification accounting” pursuant to IFRS 9).

Also for the standards IFRS 16 “Leases” and IFRS 4 “Insurance contracts”, in line with what is established for financial instruments and set forth above, analogous initiatives have been introduced on contractual modifications.

- Hedge accounting

In the second phase of the project, the IASB analysed the impact on hedging relationships deriving from the modifications caused by the IBOR reform on financial instruments that are part of the hedging relationship and which may constitute potential new triggers for the discontinuation of hedging, establishing several exceptions to IAS 39 (and IFRS 9 for those who have also adopted it for hedging) which make it possible to not discontinue following the updating of the documentation on the hedging relationship (due to the modification of the hedged risk, the hedged underlying asset or the hedging derivative or the method for checking the effectiveness of the hedge). Any effect of ineffectiveness must in any event be recognised in the income statement. Modifications have also been introduced on the designation of separately identifiable risk components. When a hedging relationship is modified as a result of the reform or new hedging relationships are designated, an alternative interest rate designated as a non-contractually specified risk component may not meet the “separately identifiable requirement”, due to the fact that the alternative interest rate market may not be sufficiently developed at the designation date. In this regard, it was established that an alternative interest rate meets this requirement if the entity reasonably expects it to become separately identifiable within 24 months of designation.

The modifications introduced by the IASB therefore aim not to discontinue hedging relationships in place as a result of the reform; therefore, no impacts are expected for the Group.

- Disclosure

A further enrichment of the disclosure is envisaged, in addition to the additions to IFRS 7 already implemented as part of the amendments of the first phase, with integration of the requests for qualitative and quantitative information to be provided in the financial statements on the nature and risks associated with the IBOR Reform, on the management of these risks and on progress in the transition process to the new rates.

The amendments became effective on 1 January 2021, without prejudice to the early application option, which the Group did not make use of. For further information please refer to previous paragraph “Interest rate benchmark reform” included in the “Section 5 – Other matters”

On 16 December 2020, Regulation (EU) 2020/2097 was published, endorsing the document “Amendments to IFRS 4 - Insurance Contracts - deferral of IFRS 9” issued by the IASB on 25 June 2020. In view of the IASB’s decision to postpone the date of first application of IFRS 17 to 1 January 2023 (decision also taken on 25 June 2020), the option of postponing the application of the IFRS 9 (known as “Deferral Approach”) to redress the temporary accounting consequences of the mismatch between the date of entry into force of IFRS 9 “Financial instruments” and the date of entry into force of the future IFRS 17 “Insurance contracts” has also been extended to 1 January 2023. The aforementioned amendments apply as of 1 January 2021. For the Group, no direct impacts are expected as it does not perform insurance activities.



On 31 August 2021, Regulation (EU) 2021/1421 was published, which endorses the document “COVID-19-Related Rent Concessions beyond 30 June 2021 – Amendments to IFRS 16” and extends by one year the period of application of the original amendment to IFRS 16 “COVID-19-Related Rent Concessions”, issued and approved in 2020, which granted lessees an exemption from having to assess whether the benefits obtained as a result of the economic crisis due to COVID-19 meet the definition of lease modification. As a result of the extension, the exemption may be applied to rent concessions that present the following characteristics:

- the change in lease payments results in revised consideration for the lease that is substantially the same as, or less than, the consideration for the lease immediately preceding the change;
- any reduction in lease payments affects only payments originally due on or before 30 June 2022;
- there is no substantive change to other terms and conditions of the lease.

The application of the expedient is optional, extends to all lease contracts with similar characteristics and is retroactive, by recognizing the cumulative effect of the first application of this modification as an adjustment to the opening balance of the profits carried forward at the beginning of the period in which the lessee first applies the modification. The amendments apply as of 1 April 2021.

The amendments to the accounting standards indicated above are not material for the Group.

List of IAS/IFRS international accounting standards and related SIC/IFRIC interpretations whose application is mandatory after 31 December 2021

On 2 July 2021, Regulation (EU) 2021/1080, which endorses the following documents published by IASB on 14 May 2020, was published:

- “Reference to the Conceptual Framework (Amendments to IFRS3)” which updates the reference present in IFRS 3 to the Conceptual Framework in the revised version, without this entailing amendments to the provisions of the standard;
- “Property, Plant and Equipment - Proceeds Before Intended Use (Amendment to IAS 16)” which prohibits deducting from the cost of property, plant and equipment the amount received from the sale of items produced in the asset testing phase. These sales revenues and the relative costs will be recognised in the income statement;
- “Onerous Contracts — Cost of Fulfilling a Contract (Amendment to IAS 37)” which clarifies which costs must be considered in the assessment of the onerousness of the contract. More specifically, the cost to fulfil a contract includes the costs that refer directly to the contract. They may be incremental costs (for example, costs for the direct material used in processing), but also the costs that the company cannot avoid as it has entered into the contract (e.g., the share of the personnel costs and the depreciation of the machinery used to fulfil the contract);
- “Annual Improvements to IFRS Standards 2018–2020”, carrying proposed amendments for four standards: IFRS 1 – “Subsidiary as a first-time adopter”; IFRS 9 – “Fees in the ‘10 per cent’ test for derecognition of financial liabilities”: the amendment clarifies which fees should be considered in performing the test in application of par. B3.3.6 of IFRS 9, to evaluate the derecognition of a financial liability; IFRS 16 – “Lease incentives”: the amendment regards an illustrative example and lastly IFRS 41 – “Taxation in fair value measurements”.

The proposed amendments are effective as of 1 January 2022. Early adoption is permitted.

On 23 November 2021, Regulation no. 2021/2036, which endorses IFRS 17 “Insurance Contracts”, was published. The new standard governs insurance contracts issued by insurance companies and is first applied starting from 1 January 2023, after the June 2020 amendment of the IASB which postponed their entry into force by virtue of operational complexity. Only indirect impacts are expected for the Group’s operations, resulting from the valuation of insurance associates using the equity method, as neither the Parent Company nor subsidiaries perform insurance activities.

IAS/IFRS international accounting standards and related SIC/IFRIC interpretations issued by the IASB and still awaiting approval from the European Commission

On 23 January 2020, IASB also published the document amending IAS 1 “Presentation of Financial Statements: Classification of Liabilities as Current or Non-current” with a view to clarifying how to classify payables and other liabilities as either current or non-current. The amendment specifies that the classification is made on the basis of



the rights existing at the reporting date, without considering the expectation of exercising payment deferment. The entry into force of the amendments, originally scheduled for 1 January 2022, was then deferred by the IASB with the amendment published on 15 July 2020 to financial years starting on 1 January 2023 or later. Early application is permitted.

On 12 February 2021, the IASB published the amendment to IAS 1 “Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2)” and the amendment to IAS 8 “Definition of Accounting Estimates (Amendments to IAS 8)”. The amendments aim at:

- improving the disclosure of accounting policies to provide more useful information to investors and other primary users of financial statements, by replacing the concept of significance with that of materiality and including a guide on the application of this concept to the disclosure of accounting policies;
- distinguishing changes in accounting estimates from changes in accounting policies.

The amendments to IAS 1 and IAS 8 will be effective for financial years starting on or after 1 January 2023, with early application permitted.

On 7 May 2021, IASB published the amendment to IAS 12 “Deferred Tax related to Assets and Liabilities arising from a Single Transaction” (Amendments to IAS 12) to specify how deferred taxes on certain transactions that can generate assets and liabilities of the same amount, such as leases and those deriving from decommissioning obligations, must be recognised. The amendments apply as of 1 January 2023, but early adoption is permitted.

On 9 December 2021, the IASB published the amendment to IFRS 17 “**Insurance contracts: Initial Application of IFRS 17 and IFRS 9 - Comparative Information (issued on 9 December 2021)**”. The document concerns the transition to IFRS 17 for companies that apply IFRS 17 and IFRS 9 simultaneously for the first time and, in particular, introduces an option that allows to improve the usefulness of the comparative information presented on the first-time application of the two standards.



A.2 – The main items of the accounts

Accounting policies

This chapter contains the accounting policies in relation to the main assets and liabilities in the balance sheet, which were adopted for the preparation of the consolidated financial statements as at 31 December 2021.

1 Financial assets measured at fair value through profit or loss (FVTPL)

a) classification criteria

These assets include financial assets other than those classified under “Financial assets measured at fair value through other comprehensive income” and “Financial assets measured at amortised cost”. The item in particular includes:

- debt securities or loans that are included in an “Other” Business Model, i.e., a procedure for managing financial assets that does not have the objective of collecting contractual cash flows (“Held to Collect” business model) or collecting contractual cash flows and selling financial assets (“Held to Collect and Sell” business model);
- debt securities, loans and units of UCITS whose contractual terms do not provide exclusively for repayments of principal and interest payments on the principal to be repaid (i.e., that do not pass the “Solely Payment of Principal Interest test or SPPI test”);
- equity instruments that cannot be classified as representing control, affiliation, or joint control, held for trading purposes or for which, upon initial recognition, the fair value through other comprehensive income option was not chosen;
- derivative contracts, recognised in financial assets held for trading, that are recognised as assets if the fair value is positive, or liabilities if the fair value is negative.

With reference to the latter, it is possible to offset current positive and negative values deriving from outstanding transactions with the same counterparty only if the legal right to offset the amounts recognised is currently in place and the entity intends to proceed with the net settlement of offsetting positions.

More detailed information is provided below on the three sub-items that comprise this category, represented by: “Financial assets held for trading”, “Financial assets measured at fair value”, and “Other financial assets mandatorily measured at fair value”.

Financial assets held for trading

Financial assets (debt securities, equity securities, loans, units of UCITS) are classified as held for trading purposes if they are managed with the objective of generating cash flows through their sale, as they are:

- acquired or incurred primarily for the purpose of selling or repurchasing them in the short-term;
- part of a portfolio of financial instruments that are managed on an individual basis and for which there is proven existence of a strategy targeted at earning a profit in the short term;

It also includes derivatives with a positive fair value not designated as having an accounting hedge relationship. Derivative contracts include those embedded in combined financial instruments, in which the primary contract is a financial liability, which were subject to separate accounting.

- their economic characteristics and risks are not strictly related to the characteristics of the underlying contract;
- the embedded instruments, even if separate, satisfy the definition of derivative;
- hybrid instruments to which they belong are not measured at fair value with the relative changes posted in profit and loss.

Financial assets measured at fair value

A financial asset (debt securities and loans) can be designated at fair value irrevocably at the time of initial recognition, only when this designation makes it possible to eliminate or significantly reduce a measurement inconsistency (“accounting mismatch”). This category is not used by the Group at present.



Other financial assets mandatorily measured at fair value

Other financial assets mandatorily measured at fair value represent a residual category and include:

- debt securities and loans, when: i) the relative contractual cash flows do not represent solely payments of principal and interest on the residual capital (SPPI test failed), or ii) are not held as part of a business model whose objective is the ownership of assets for purposes of collecting contractual cash flows (“Held to Collect” business model) or those whose objective is achieved either by collecting contractual cash flows or by selling financial assets (“Held to Collect and Sell” business model);
- units of UCITS;
- equity securities held for purposes other than trading for which the option of classification at fair value through other comprehensive income is not exercised.

b) recognition criteria

Initial recognition of financial assets occurs at settlement date for debt securities, equities and units of UCITS, at disbursement date for loans, and at trade date for derivative contracts. Upon initial recognition, financial assets measured at fair value through profit or loss are recognised at fair value, which usually corresponds to the amount paid, without considering transaction costs or revenues directly attributable to the instrument, which are directly recognised in the income statement.

c) measurement criteria

After initial recognition, Financial assets measured at fair value through profit or loss are recorded at fair value, with changes recognised as an offsetting entry in the income statement.

To determine the fair value of financial instruments listed on an active market, market prices recorded at the reporting date are used. In the absence of an active market, commonly adopted estimation methods and valuation models are used, which take into account all the risk factors related to the instruments and which are based on data recorded on the market such as: valuation of listed securities with similar characteristics, discounted cash flow calculations, option pricing models, values recognised in recent comparable transactions, etc. For equity securities and derivatives on equity securities that are not listed on an active market, the cost criterion is used as an estimate of the fair value only on a residual basis and limited to rare circumstances, i.e., if none of the measurement models previously mentioned can be applied, or if there is a wide range of possible fair value measurements, in which case the cost represents the most meaningful estimate.

For further information on the criteria for determining the fair value, please refer to Section “A.4 Information on Fair Value” of Part A of these Notes to the consolidated financial statements.

d) revenue recognition criteria

The interest of the three sub-items that comprise this category is recorded under item “10 - Interest income and similar revenues”.

Realised gains and losses, the gains and losses from measurements for “Financial assets held for trading”, including derivatives associated with financial assets/liabilities measured at fair value, are recognised in profit and loss under item “80 - Net profit (loss) from trading”. These income effects pertaining to “Financial assets measured at fair value” as well as “Other financial assets mandatorily measured at fair value” are booked to the income statement under item “110 - Net profit/loss from financial assets and liabilities measured at fair value through profit or loss”, in the sub-items “a) financial assets and liabilities designated at fair value” and “b) other financial assets mandatorily measured at fair value”, respectively.

e) derecognition criteria

Financial assets are derecognised from financial statements: i) upon expiration of the contractual rights on the cash flows resulting from the assets, or ii) when the financial assets are sold and all related risks/benefits are transferred. However, if a relevant portion of the risks and rewards associated with disposed financial assets have been maintained, they continue to be posted in the balance sheet, even if legal ownership of the asset has been effectively transferred.

If it is not possible to ascertain a substantial transfer of risks and rewards, the financial assets are derecognised when control of the assets has been surrendered. Conversely, if such control has been maintained, even partly, the assets should continue to be recognised to the extent of residual involvement, as measured by the exposure to the changes in value of the assets disposed and to the changes in their cash flows.



Finally, disposed financial assets are derecognised if the contractual rights to receive the cash flows are maintained and a contractual obligation is simultaneously undertaken to pay only said flows, without a significant delay, to third parties.

f) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets (with the exception of equity securities, for which reclassification is not permitted), reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category 'measured at fair value through profit or loss' to one of the other two categories envisaged by IFRS 9 (financial assets measured at amortised cost or financial assets measured at fair value through other comprehensive income). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. In this case, the effective interest rate of the reclassified financial asset is calculated based on its fair value at the reclassification date and this date is considered as the initial recognition date in assigning it to the various credit risk stages (stage assignment) for purposes of impairment.

For more information on classification criteria for financial instruments, please refer to the section "Classification criteria for financial assets" below.

2 Financial assets measured at fair value through other comprehensive income (FVTOCI)

a) classification criteria

This category includes financial assets represented by:

- debt instruments, managed under a "*Held to collect and sell*"⁴⁰, business model, whose contractual flows represent only payments of principal and interest on the residual capital *Solely Payment of Principal and Interest* - SPPI - test passed);
- equity instruments (not qualifiable as control, association and joint control), held as part of a business model other than trading for which the option for recognition in the individual instrument was irrevocably exercised at the time of initial recognition of the individual instrument, the option for recognition in the statement of comprehensive income from changes in fair value after initial recognition (OCI election).

b) recognition criteria

Financial assets are initially recognised on the date of settlement, with reference to debt or equity instruments, and on the date of disbursement, with reference to loans.

On initial recognition, the assets are measured at their fair value, which normally corresponds to the price paid, inclusive of transaction costs or income directly attributable to the instrument.

c) measurement criteria

Financial assets represented by debt securities and loans, following initial recognition, continue to be measured at fair value, with recognition in the income statement of interest (based on the effective interest rate method), expected credit losses and any exchange rate changes. Fair value changes, net of expected credit losses, are booked to the appropriate equity reserve net of the associated tax effect (item "120 - Valuation reserves"). Upon cancellation of the financial asset, the accumulated profits or losses in the valuation reserve will be subject to recycling to profit or loss (item "100. Gains/losses on disposal or repurchase of: b) financial assets measured at fair value through other comprehensive income").

Financial assets represented by equity instruments, following initial recognition, continue to be measured at fair value, with changes booked to the appropriate equity reserve net of the associated tax effect (item "120 - Valuation reserves"). The amount recognised as an offsetting entry in shareholders' equity (Statement of Comprehensive Income) cannot subsequently be transferred to the income statement, even following a sale; in this case, the amount is reclassified in another equity item (item "150 - Reserves"). Furthermore, no write-down to the income statement is envisaged for these assets as they are not subject to any impairment process. The only component of these equity securities that is recognised in the income statement is represented by the related dividends.

⁴⁰ Financial instruments held within the framework of a business model whose objective is ownership of said instruments for the purpose of collecting cash flows and through sales transactions can be associated with the "*Held to Collect and Sell*" business model.



For equity securities included in this category, which are not listed on an active market, the cost criterion is used as an estimate of the fair value only on a residual basis and limited to rare circumstances, i.e., if none of the measurement models previously mentioned can be applied, or if there is a wide range of possible fair value measurements, in which case the cost represents the most meaningful estimate.

For further information on the criteria for determining the fair value, please refer to Section “A.4 Information on Fair Value” of Part A of these Notes to the consolidated financial statements.

Financial assets measured at fair value through other comprehensive income - both in the form of debt securities and loans - are subject to verification of the significant increase in credit risk (impairment) as required by IFRS 9, similar to assets measured at amortised cost, with the consequent recognition in the income statement of a value adjustment to cover expected losses. In summary, an estimated loss at one year is recognised, at the initial recognition date and at every subsequent reporting date, on instruments classified in stage 1 (i.e., on financial assets at the origination date, if not impaired, and on instruments for which there has not been a significant increase in credit risk compared to the initial recognition date). Instead, for instruments classified in stage 2 (performing, for which there has been a significant increase in credit risk compared to the initial recognition date) and stage 3 (non-performing exposures) an expected loss is recorded for the entire residual life of the financial instrument. Conversely, equity securities are not subject to the impairment test.

For more detailed information, please refer to the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”.

d) revenue recognition criteria

As regards financial instruments represented by debt instruments:

- interest is recorded under item “10 - Interest income and similar revenues”.
- expected credit losses recognised for the year are accounted for in item “130 - “Net impairment (losses)/reversals for credit risk of: b) financial assets measured at fair value through other comprehensive income”; the same applies for partial or full reversals of write-downs recorded in previous years;
- at the moment of derecognition, valuations accumulated in the specific equity reserve are reversed to the income statement under item “100 - Gains/losses on disposal or repurchase of: b) financial assets measured at fair value through other comprehensive income”.

As regards financial assets represented by equity instruments, for which the so-called “OCI election” was exercised, only dividends are booked to the income statement (item “70 - Dividends and similar income”). Changes in fair value subsequent to initial recognition are recorded in a specific valuation reserve under shareholders’ equity (item “120 - Valuation reserves”); in the event of derecognition of the asset, the cumulative balance of this reserve is not reversed to the income statement but is reclassified under earnings reserves of equity (item “150 - Reserves”).

d) derecognition criteria

Financial assets are derecognised from financial statements: i) upon expiration of the contractual rights on the cash flows resulting from the assets, or ii) when the financial assets are sold and all related risks/benefits are transferred. However, if a relevant portion of the risks and rewards associated with disposed financial receivables have been maintained, they continue to be posted in the balance sheet, even if legal ownership of the asset has been effectively transferred.

If it is not possible to ascertain a substantial transfer of risks and rewards, the financial assets are derecognised when control of the assets has been surrendered. Conversely, if such control has been maintained, even partly, the assets should continue to be recognised to the extent of residual involvement, as measured by the exposure to the changes in value of the assets disposed and to the changes in their cash flows.

Finally, disposed financial assets are derecognised if the contractual rights to receive the cash flows are maintained and a contractual obligation is simultaneously undertaken to pay only said flows, without a significant delay, to third parties.

f) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets (with the exception of equity securities, for which reclassification is not permitted), reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category ‘measured at fair value through other comprehensive income’ to one of the other two categories envisaged by IFRS 9 (Financial assets measured at amortised cost or Financial assets measured at fair value through profit or loss). The transfer value is



represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. If assets are reclassified from this category to the amortised cost category, the cumulative gain (loss) recorded in the valuation reserve is adjusted to the fair value of the financial asset at the reclassification date. If, instead, assets are reclassified to the fair value through profit and loss category, the cumulative gain (loss) recorded previously in the valuation reserve is reclassified from shareholders' equity to profit (loss) for the year.

For more information on classification criteria for financial instruments, please refer to the section "Classification criteria for financial assets" below.

3 Financial assets measured at amortised cost

a) classification criteria

This category includes financial assets represented by loans and debt securities, managed as part of a "Held to collect"⁴¹ business model and whose contractual flows represent only payments of principal and interest on the principal to be repaid (*Solely Payment of Principal and Interest* - SPPI - test passed).

The portfolio of financial assets measured at amortised cost includes:

- the entire portfolio of loans in the various technical forms that satisfy the above requirements (including repurchase agreements), stipulated with both banks and customers;
- debt securities, mainly government bonds, which satisfy the above requirements;
- operating receivables connected with providing financial assets and services as defined in the Consolidated Law on Banking and the Consolidated Law on Finance (e.g., for distribution of financial products and servicing activities);
- receivables originating from financial lease transactions which, in accordance with IFRS 16, are recognised as credits as they transfer risks and benefits to the lessee, including the values referring to assets pending financial leasing, such as properties under construction.
- loans to banks and central banks other than "at sight".

b) recognition criteria

Financial assets are initially recognised on the date of settlement, with reference to debt or equity instruments, and on the date of disbursement, with reference to loans. The initial recognition is based on the fair value of the financial instrument (which is normally equal to the amount disbursed or price of underwriting), inclusive of the expenses/income directly related to the individual instruments and determinable as of the transaction date, even if such expenses/income are settled at a later date. This does not include costs which have these characteristics but are subject to repayment by the debtor or which can be encompassed in ordinary internal administrative expenses.

Repurchase agreements with forward repurchase or resale obligation are recorded in the financial statements as funding or lending transactions. In particular, spot sales and forward repurchase transactions are recognized in the financial statements as payables for the spot amount received, while spot purchase and forward resale transactions are recognized as receivables for the spot amount paid.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial assets booked to this category are measured at amortised cost using the effective interest rate criterion. This interest is recorded under item "10 - Interest income and similar revenues".

The gross book value is equal to the first-time recognition value, decreased/increased by:

- principal repayments;
- amortisation – calculated using the effective interest rate method – of the difference between the amount disbursed and the amount repayable upon maturity, typically attributable to the costs/income directly charged to each receivable.

⁴¹ Financial instruments held within the framework of a business model whose objective is ownership of said instruments for the purpose of collecting cash flows can be associated with the "Hold to Collect" business model.



The effective interest rate is identified by calculating the rate that equals the present value of future flows of the asset, in terms of principal and interest, to the amount disbursed including the costs/income related to the asset. The estimate of cash flows must take into account all contractual clauses that may affect amounts and maturities, without considering the expected losses on the asset. This accounting method, using a financial logic, makes it possible to distribute the economic effect of all transaction costs, commissions, premiums or discounts considered an integral part of the effective interest rate over the expected residual life of the asset.

The amortised cost method is not used for short-term receivables, for which the effect of applying a discounting approach is negligible, for loans without a defined maturity, and for revocation loans. For more detailed information on amortised cost, please refer to the following section “Other significant accounting practices - amortised cost”.

The book value of financial assets at amortised cost is adjusted to take into account any provision to cover expected losses (expected credit losses). For each reporting period, the aforementioned assets are subject to impairment testing with the aim of estimating expected losses in value for credit risk (ECL - Expected Credit Losses). These losses are recorded in the income statement under item “130 - Net impairment (losses)/reversals for credit risk”. If there is no reasonable expectation of recovery, the gross exposure is written-off: in this case, the gross exposure will be reduced by the amount deemed non-recoverable, as a balancing entry to the reversal of the provision to cover expected losses and impairment losses in the income statement, for the part not covered by the provision. For further details on the accounting treatment of “write-offs”, please refer to the following paragraph on “derecognition criteria”.

More specifically and as better explained in the paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”, the impairment model classifies the assets into three separate stages (stage 1, stage 2, stage 3), according to trends in the borrower’s creditworthiness, each of which has different criteria for measuring expected losses:

- stage 1: includes performing financial assets for which there has been no significant increase in credit risk with respect to the initial recognition date, or for which credit risk is considered low. Impairment is based on an estimate of expected loss over a one-year time horizon (expected loss that would result from default events on financial assets that are deemed possible within one year of the reference date);
- stage 2: includes performing financial assets which have suffered a significant impairment in credit risk compared to the initial recognition. Impairment is measured as the estimated expected loss with reference to a timespan equal to the residual life of the financial asset;
- stage 3: represents non-performing financial assets (probability of default equal to 100%), to be assessed based on an estimate of expected loss over instrument’s life.

For performing assets, expected losses are determined according to a collective process based on certain risk parameters represented by the probability of default (PD), the loss rate in the event of default (LGD Loss Given Default) and the exposure value (EAD Exposure At Default) deriving from internal models for the calculation of regulatory credit risk, appropriately adjusted in order to take into account the specific requirements envisaged by accounting regulations.

For non-performing assets, i.e., assets for which, in addition to a significant increase in credit risk, objective evidence of impairment has been found, impairment losses are quantified based on an analytical or lump-sum measurement process by homogeneous risk categories - aimed at determining the present value of expected future recoverable cash flows, discounted using the original effective interest rate or a reasonable approximation thereof, if the original interest rate cannot be directly determined.

The non-performing asset category includes exposures assigned the status of bad loan, unlikely to pay, or past-due/overdrawn for more than ninety days, in accordance with the definitions established by supervisory regulations in effect (Bank of Italy Circular no. 272 “Accounts Matrix”) and referred to in Bank of Italy Circular no. 262, as these definitions are deemed consistent with accounting regulations envisaged in IFRS 9 for objective evidence of impairment.

In the event of sale scenarios, the cash flows are calculated based not only on the forecast of the recoverable amounts through internal management activity, but also on the basis of the flows that can be obtained from any sale on the market, according to the approach described in the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”.

In addition, the expected cash flows include forecasts for collection timing and the realisable value of any guarantees as well as the costs connected with obtaining and selling the guarantee. In this regard, in the event that the Group uses a third party to collect non-performing loans, the fees paid to the outsourcer for activities strictly



related to collection are considered for the purpose of estimating impairment losses. These costs are considered for both non-performing and performing exposures, if for the latter it is probable that in the event of a transfer to bad loans, the collection activities will be assigned to third parties.

For fixed-rate positions, the original effective rate used to discount the expected cash flows from collection, calculated as described above, remains unchanged over time even if there is a change in the contractual rate due to the borrower's financial difficulties. For floating-rate positions, the rate used to discount cash flows is updated for the indexing parameter (e.g., Euribor), while keeping the fixed spread at the original level.

The financial asset's original value is restored in subsequent years when there is an improvement in the exposure's creditworthiness compared to that which had led to the previous write-down. The reversal is posted to the same item in the income statement ("130 - Net impairment (losses)/reversals for credit risk") and may not, in any case, exceed the amortised cost that the asset would have had without prior adjustments. For more detailed information on the impairment model, please refer to the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

For non-performing exposures, accrued interest is calculated based on amortised cost, i.e., using the value of the exposure - calculated with the effective interest rate - adjusted for expected losses. In case of management of non-performing exposures, or of transfer from stage 3 to stage 2, interest will once again be calculated based on the gross exposure value; the positive difference is recognised, as the recovery of previous impairment losses, as an offsetting entry to item "130. Net impairment (losses)/reversals for credit risk". The same accounting entry is made in the event that the interest collected is greater than the expected cash flows.

Finally, for non-performing exposures that do not accrue contractual interest, such as bad loans, this interest corresponds to the progressive release of the discounting of collection forecasts, as the effect of the simple passage of time.

d) derecognition criteria

The financial assets are derecognised in the event one of the following cases is verified:

- the contractual rights on the cash flows deriving from the same expire;
- the financial asset is sold with the substantial transfer of all risks and benefits resulting from ownership;
- if it is not possible to ascertain a substantial transfer of risks and benefits, the financial assets are derecognised when control of the assets has been surrendered.
- the entity retains the contractual right to receive cash flows from the financial assets, but simultaneously assumes the contractual obligation to pay said flows to a third party (pass-through arrangements) without delay and only to the extent of the amount received;
- the asset is subject to "substantial" changes, as more extensively described in the section "Renegotiations".

With regard to non-performing financial assets, the asset may be derecognised following the acknowledgement of the non-recoverability of the exposure and the resulting closure of the collection process (definitive derecognition), and entails the reduction of the nominal value and of the gross book value of the loan. This case occurs when settlement agreements have been reached with the borrower that entail a reduction in the loan (resolution agreement) or in the presence of specific situations such as, for example:

- a judgement has been handed down by the court that declares the loan all or partially settled;
- the conclusion of bankruptcy or enforcement proceedings against both the principal borrowers and guarantors;
- the conclusion of all possible judicial and extra-judicial actions for credit collection;
- the completion of a mortgage lien on an asset under guarantee, with the resulting derecognition of the loan guaranteed by the property under lien, in the absence of further specific guarantees or other actions that can be taken to recover the exposure.

These specific situations may result in a full or partial derecognition of the exposure but do not necessarily imply a waiver of the legal right to collect the loan.

In addition, non-performing financial assets may be derecognised following their "write-off", upon acknowledgement that there are no reasonable expectations of collection, while continuing with actions aimed at their recovery. This write-off is carried out in the year in which the loan, or part of it, is considered non-recoverable - despite not closing the legal procedure - and can take place before the legal actions taken against the borrower and guarantors for credit collection. It does not imply the waiver of the legal right to collect the loan and is made if the loan documentation contains reasonable financial information indicating that the borrower will be unable to repay the loan amount. In this case, the gross nominal value of the loan remains unchanged, but the gross book



value is reduced by an amount equal to the amount to be written off, which may represent the full exposure or a portion of it. The write-off amount cannot be subjected to subsequent write-backs following an improvement in collection forecasts, rather only as the result of amounts effectively collected.

In the event of derecognition, the difference between the book value of the asset at the derecognition date and consideration received, inclusive of any assets received net of any liabilities assumed, must be recognised in the income statement, under item “100. a) Gains/(Losses) from disposal or repurchase of: financial assets measured at amortised cost” in the event of sale and, in all other cases, under item “130 - Net impairment (losses)/reversals for credit risk”.

e) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets, reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category ‘measured at amortised cost’ to one of the other two categories envisaged by IFRS 9 (Financial assets measured at fair value through other comprehensive income or Financial assets measured at fair value through profit or loss). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. Gains or losses resulting from the difference between the amortised cost of the financial asset and the associated fair value are booked to the income statement in the case of reclassification under “Financial assets measured at fair value through profit or loss” and, under equity, in the appropriate valuation reserve, in the case of the reclassification under “Financial assets measured at fair value through other comprehensive income”.

For more information on classification criteria for financial instruments, please refer to the section “Classification criteria for financial assets” below.

4 Hedging transactions

The Group availed itself of the possibility, envisaged on first-time application of IFRS 9, to continue to use all of the provisions of IAS 39 (carved out version endorsed by the European Commission) as regards hedge accounting for all types of hedge (both micro and macro hedges).

a) classification criteria – types of hedging

Risk-hedging transactions are aimed at offsetting any potential losses on a certain financial instrument or group of financial instruments that may arise from a specific risk should it occur.

The following types of hedging are included:

- fair value hedges, which are intended to hedge the exposure to changes in fair value of a recognised asset or liability that are attributable to a particular risk. These include generic fair value hedges (macro-hedges) having the objective of reducing fluctuations in fair value due to interest rate risk, of a monetary amount, arising from a portfolio of financial assets and liabilities (including core deposits). Generic hedges cannot be used to cover net amounts resulting from the offsetting of assets and liabilities.
- cash flow hedges, which are intended to hedge the exposure from variability in future cash flows attributable to particular risks associated with a recognised asset or liability or a transaction that is deemed highly likely;
- hedges of a net investment in a foreign operation, which refers to hedging the risks of an investment in a foreign operation denominated in a foreign currency.

At the consolidated financial statement level, the designation of the derivative as a hedging instrument is possible only if it is stipulated in relation to a counterparty external to the Group. The results attributable to internal transactions carried out among different Group entities are eliminated.

Given the choice exercised by the Group of making use of the possibility to continue to fully apply the rules of IAS 39 to hedging relationships, it is not possible to designate equity securities classified within Financial assets measured at fair value through other comprehensive income (FVOCI) as hedged for price or exchange risk, as these instruments do not impact the income statement, even in case of sale (other than for the dividends recognised in the financial statements).

**b) recognition criteria**

Financial hedging derivatives, just as for all derivatives, are initially recognised at fair value on the date the contract is stipulated and are classified, as a function of their positive or negative value, in the asset item “50. Hedging derivatives” or in the liability item “40. Hedging derivatives”.

A relationship qualifies as a hedge, and is represented in the accounts, if and only if all the following conditions are met:

- at the start of the hedge there is a formal designation and documentation of the hedging relationship, the company's objectives in managing the risk and the strategy in carrying out the hedge. This documentation includes the identification of the hedging instrument, the hedged item or transaction, the nature of the hedged risk and how the company assesses the effectiveness of the hedging instrument in offsetting the exposure to changes in the fair value of the hedged element or cash flows attributable to the hedged risk;
- the hedge is expected to be highly effective;
- the planned transaction subject to hedging, for cash flow hedges, is highly probable and presents an exposure to changes in cash flows that could affect the income statement;
- the effectiveness of the hedge can be reliably measured;
- the hedge is valued on the basis of a continuity criterion and is considered highly effective for all the reference years for which the hedge was designated.

Hedge effectiveness depends on the extent to which changes in the fair value or expected cash flows of the hedged item are offset by corresponding changes in the hedging instrument. Therefore, effectiveness is measured by comparing said changes, while taking into account the company's intent at hedge inception. With reference to the hedged risk, the hedging is effective (within the 80% to 125% window) when the changes in fair value (or in the cash flows) of the hedging instrument offset the changes in the hedged item almost entirely.

Effectiveness is assessed at year-end or at interim reporting dates by using:

- prospective tests, which justify the application of hedge accounting, as they demonstrate its expected effectiveness;
- retrospective tests, which show how effective the hedging relationship has been in the period under review.

c) measurement criteria and revenue recognition criteria

Hedging derivatives are measured at fair value. In particular:

Fair value hedging

In the case of specific fair value hedging, the change in the fair value of the hedged element (for changes generated by the underlying risk factor) adjusts the book value of the hedged element and is immediately recognised, regardless of the category to which the hedged asset or liability belongs, along with the change in the fair value of the hedging instrument, in income statement item “90 - Net profit (loss) from hedging”. Any difference, i.e. partial ineffectiveness of the hedging derivatives, reflects their net P&L impact;

If the hedging relationship is suspended, the hedged instrument, if not derecognised from financial statements, is returned to the original valuation criterion of the class to which it belongs. Specifically for instruments measured at amortised cost, the cumulative revaluations/write-downs recorded as a result of changes in the fair value of the hedged risk are recognised in the income statement in interest income and expense over the residual life of the hedged item, based on the effective interest rate. Instead, if the suspension of the hedge is accompanied by the derecognition from financial statements of the hedged item (e.g., sale or early repayment), the fair value portion not yet amortised is immediately recognised in the income statement under the item “90 - Net profit (loss) from hedging”.

With regard to generic fair value hedging transactions (macro-hedges), changes in fair value of the hedged risk of assets and liabilities subject to hedging are recorded in the balance sheet, respectively, under item “60 - Change in value of macro-hedged financial assets” or “50 - Change in value of macro-hedged financial liabilities”. The offsetting item for changes in value in both the hedged element and the hedging instrument, similar to specific fair value hedges, is item “90 - Net profit (loss) from hedging” in the income statement. In the event of termination of a generic fair value hedging relationship, the cumulative revaluations/write-downs recorded in the above-mentioned balance sheet items are recognized in the income statement under interest income or expense for the residual duration of the original hedging relationships, subject to verification that the prerequisites have been met.



Cash flow hedging

The changes in fair value of the hedging instrument are posted to a specific shareholders' equity reserve (item "120 - Valuation reserves") with reference to the effective portion of the hedge, while fair value changes of the hedging instrument that are not offset by changes in the hedged item's cash flows are posted to the income statement under item "90 "Net profit (loss) from hedging". If the hedging of cash flows is no longer considered effective, or the hedging relationship is terminated, any amounts accumulated in cash flow hedge reserves are charged to the income statement when the hedged item, which is still in place, affects profit or loss. Conversely, if the hedged item is derecognised, cancelled or expires the reserve is charged to the income statement at the same time as the hedged item is derecognised.

Hedges of foreign currency investments

Hedges of foreign currency investments are accounted for similarly to cash flow hedges.

d) derecognition criteria

If tests do not confirm hedge effectiveness, both retrospectively and prospectively, hedge accounting is discontinued as described above.

In addition, the hedging relationship ceases when:

- the derivative expires, is extinguished or exercised;
- the hedged item is sold, expires, or is repaid;
- it is no longer highly likely that the hedged future transaction will occur.

5 Equity investments

a) classification criteria

This item includes equity interests held in associates or joint ventures, which are recognised in accordance with the equity method.

Companies subject to significant influence are considered associates. It is assumed that the company exercises significant influence in all cases in which it holds at least 20% of the voting rights (including "potential" voting rights) and, regardless of the interest held, if the company has the power to participate in management and financial decisions of the investee, by virtue of specific legal connections, such as shareholder agreements, with the purpose for the agreement's participants to ensure representation in management bodies and to ensure management unity, without having control.

Entities are considered to be jointly controlled companies when control is shared between the Group and one or more other parties based on contracts or agreements of another nature, according to which financial and management decisions with strategic purposes are made through the unanimous consent of all parties that share control.

For further information, please refer to section 7.6 "Key considerations and assumptions to determine the existence of joint control or significant influence" in Part B – "Assets" of these Notes to the consolidated financial statements.

b) recognition criteria

Initial recognition of financial assets classified in this category occurs on the settlement date, for a total value equal to the cost, including any goodwill paid at the time of acquisition, which is therefore not subject to independent and separate recognition.

c) measurement criteria and revenue recognition criteria

Equity investments recognised in this category are valued using the equity method. This method envisages that the initial book value is subsequently increased or decreased to reflect the Group's share of the total profits and losses of the investee realised after the acquisition date as an offsetting entry to the income statement item "250 - Gains (losses) on investments".

If it becomes necessary to recognise impairment deriving from changes in the investee's net equity that the investee has not recognised in the income statement (e.g., changes from the fair value measurement of financial assets measured at fair value through other comprehensive income and from the measurement of actuarial gains/losses



on defined benefit plans), the portion of these changes attributable to the Group is recognised directly in the equity item “120 - Valuation reserves”.

In applying the equity method, the most recent available financial statements of the associate/jointly controlled company are used, appropriately adjusted to reflect any significant events or transactions that took place between the date of these financial statements and the reporting date of the consolidated financial statements. If the investee uses accounting standards that differ from those applied by the Group, the investee’s financial statements are modified.

After applying the equity method, the equity investment is subject to an impairment test if there is objective evidence of a loss in value that could affect the investee’s cash flows and therefore the recoverability of the investment’s carrying amount.

If evidence of impairment indicates that there may have been a loss in value of an equity investment, then the recoverable value of the investment (which is the higher of the fair value, less costs to sell, and the value in use) should be estimated. The value in use is the present value of the future cash flows expected to be derived from the investment, including those arising from its final disposal. Should the recoverable value be less than its book value, including any goodwill, the difference is recognised immediately in the income statement under item “250 - Gains (losses) on investments”. Should the reasons for impairment no longer apply as a result of an event occurring after the impairment was recognised, reversals of impairment losses are charged to the same item in the income statement, up to the amount of the previously recognised impairment.

For more detailed information, please refer to the paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on investments”.

The dividends from these equity investments are recognised in the Parent Company’s income statement, regardless of whether it was generated by the investee before or after the acquisition date. In the consolidated financial statements, these dividends are shown as a reduction in the book value of the investee.

The result of the disposal of investments measured according to the equity method is recognised in the income statement under item “250 - Gains (losses) on investments”, while the result of the disposal of investments other than those measured at equity is recognised in the income statement under item “280 - Gains (losses) on disposals of investments”.

d) derecognition criteria

Equity investments are derecognised upon maturity of the contractual rights on the cash flows resulting from the assets or when all related risks/rewards associated to them are transferred. If there is a situation that results in loss of significant influence or joint control, any residual equity investment is reclassified in the IFRS 9 financial asset portfolios.

6 Property, plant and equipment

a) classification criteria

Tangible fixed assets include land, operating properties, investment properties, systems, furnishings and fixtures, equipment of any type and artworks.

Operating properties are properties owned by the Group and used in the production or supply of services or for administrative purposes (classified as “Property, plant and equipment used in the business” and recognised in accordance with IAS 16), whereas investment properties are those owned by the Group for the purpose of collecting rents and/or held for appreciation of capital invested (classified as “Property, plant and equipment held for investment” and follow the rules set forth in IAS 40).

The item also includes property, plant and equipment classified according to IAS 2 “Inventories”, mainly relating to assets acquired for the purposes of enhancing the value of the investment, including through restructuring or redevelopment works, with the explicit intention of selling them in the immediate future, as part of the normal course of business, including assets deriving from the enforcement of guarantees received or from auction purchases.

Property, plant and equipment includes those assets associated with finance lease contracts that were returned to the company, as lessor, following contract termination and the simultaneous closure of the original credit position.



This category also includes i) rights of use acquired through leasing, both financial and operating, relating to plant, property and equipment that the Group uses as lessee for business or investment purposes, ii) assets granted under operating leases (for lessors), as well as iii) improvements and incremental expenses incurred on owned assets and third-party assets, the latter provided they are identifiable and separable (e.g. ATM).

b) recognition criteria

Property, plant and equipment, for business use or otherwise, are originally recognised at cost, which includes the purchase price and any additional charges directly attributable to the purchase and installation of the assets.

Expenditures which involve an increase in future economic rewards are booked as an increase in the value of the assets, while expenses for ordinary maintenance are booked to the income statement.

c) measurement criteria and revenue recognition criteria

Subsequent to initial recognition, property, plant and equipment for business use are valued at cost, as defined above, net of cumulative depreciation and any cumulative impairment, with the exception of properties for business use, which are valued according to the revaluation method. The “revalued amount” is equal to the fair value at the valuation date net of cumulative depreciation and impairment.

According to the revaluation method:

- if the carrying amount has increased following a revaluation, the increase is recognised with an offsetting entry in liability item “120 - Valuation reserves”, with the exception of impairment reversals of previous impairment recognised in the income statement, which are recognised in the income statement in item “260 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value” within the limits of the above-mentioned impairment;
- if the carrying amount of an asset has decreased following a revaluation, the decrease is recognised in the income statement in item “260 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value” unless the asset has been subject to a previous revaluation, in which case the impairment is recognised as a reduction of the liability item “120 - Valuation reserves”, for up to its total amount.

The Group revalues the properties held for business use every two years, using appraisals prepared by independent experts.

In non-revaluation years, a scenario analysis is performed for all properties to ensure that the carrying amount provides a good approximation of the property’s fair value and does not materially differ from what it would have been if the new appraisal had been performed annually.

Property, plant and equipment held for business use, including operating properties measured at the “revalued value”, are systematically depreciated over their useful life. The depreciable amount, equal to cost (or the net revalued value, if the revaluation method is adopted for valuation purposes) less the residual value (or the amount normally expected to be obtained from disposal, after deducting expected costs to sell, if the asset is already in the conditions, including in relation to age, expected at the end of its useful life), is broken down on a straight-line basis throughout the useful life of the asset, adopting the straight-line approach as the depreciation method. The useful life, subject to periodic review to identify any estimates significantly different from the previous ones, is defined as:

- the period of time in which it is expected that an asset will be usable by the company or,
- the quantity of products or similar units that the company expects to obtain from the use of the asset.

Depreciation begins when the asset is available for use and ends at the most recent date between that on which the asset is classified as held for sale and that of derecognition. For property, plant and equipment valued at cost, depreciation does not end when the asset becomes unused or is withdrawn from active use, unless the asset has already been fully depreciated. If a property for business use becomes unusable or is withdrawn from active use, it is necessary to promptly evaluate the change in the intended use and the resulting reclassification to property held for investment purposes or assets held for sale. In these cases, depreciation is discontinued.

Land, either on its own or included in the property value, is not subject to depreciation as it has an indefinite useful life. For properties for business use, measured according to the “revaluation method”, the value of land is separated from the total property value, on the basis of the indications set forth in the appraisal.

Works of art are not subject to depreciation as their value is generally destined to increase over time.

For leasehold improvements, represented by identifiable and separable tangible assets, depreciation is determined according to the useful life of these assets.



Periodic depreciation is posted to the income statement under item “210 - Net adjustments to (recoveries on) property, plant and equipment”.

The presence of any signs of impairment, or indications that assets might have lost value, shall be tested at the end of each reporting period. Should there be indications an impairment loss, for properties that are owned, with the exception of investment property, and those that are leased, a comparison is made between the book value of the asset and the asset's recoverable value, i.e. the higher of the fair value, less any costs to sell, and the relevant value in use, which is the present value of the future cash flows generated by the asset.

Where the reasons for impairment cease to exist, a reversal is made, which shall not exceed the value that would have been determined (net of depreciation) had no impairment loss been recognised for the asset in prior periods.

Investment property is measured at fair value based on appraisals prepared by independent experts, with the same procedures used for properties used for business purposes; the positive or negative change in fair value is recognised in the income statement under “260 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”. For the measurement of the fair value of the property assets in question, the fair value is redetermined at least once per year. Investment property at fair value is not subject to depreciation.

Property, plant and equipment falling under IAS 2 are valued in the same way as inventories and, therefore, at the lower of the cost at initial recognition and the net realisable value, represented by the estimated sale price less the presumed costs for completion and the other costs necessary to make the sale. Any losses in value are posted to the income statement under item “210 - Net adjustments to/recoveries on property, plant and equipment”. Periodic depreciation is not applied in this case.

Property, plant and equipment represented by the right of use of assets under lease agreements

Pursuant to IFRS 16, a “lease” is a contract, or part of a contract, which, in exchange for a consideration, transfers the right of use (RoU) of an asset (the underlying asset) for a period of time.

The right-of-use asset acquired through the lease is recognized in the financial statements at the start date of the contract, i.e. at the date on which the asset is made available to the lessee and is initially valued at cost. This cost includes:

- the initial measurement of the lease liability, net of VAT;
- any lease payments made by the start date, net of any lease incentives;
- any initial direct costs incurred, understood as incremental costs incurred to obtain the lease that would not have otherwise been incurred (e.g. brokerage commissions and success fees);
- estimated costs of refurbishment and dismantling, in cases where the contract provides for them.

In connection with the right of use asset, the lessee recognises a liability for the lease under item “10 - Financial assets measured at amortised cost” corresponding to the present value of payments due for the lease. The discount rate used is the implicit interest rate, if it can be determined; otherwise, the lessee's marginal borrowing rate is used.

The Group uses as the discount rate, where there is no implicit interest rate in the contract, the maturity curve aligned to the individual lease contracts consisting of the Euribor 6M base rate and the blended funding spread, the latter equal to the weighted average of the funding curves for unsecured senior bonds, protected deposits and preference deposits. The adoption of this curve is in line with the characteristics of leasing contracts, which typically provide for fixed fees throughout the duration of the contract, and of the underlying assets.

The discounting rate so defined takes into account the creditworthiness of the lessee, the duration of the lease, the asset underlying the right of use and the economic environment, identified in the Italian market, where the transaction takes place and therefore it is in line with the requirements of the standard.

If a lease contract contains “non-leasing components” (e.g. services rendered, such as ordinary maintenance, to be recognised according to the provisions of IFRS 15), the lessee must account separately for “leasing components” and “non-leasing components” and divide the contract's payments between the various components based on their relative stand-alone prices.

The lessee may opt to recognise the payments due for the lease directly as a charge in the income statement, on a straight-line basis over the life of the lease contract or according to another systematic method that represents the manner in which the economic benefits are used in the case of:

- short-term leases (equal to or less than 12 months) that do not include a purchase option of the asset leased by the lessee;



- leases in which the underlying asset is of modest value⁴².

MPS Group has chosen to recognise the cost in the income statement on a straight-line basis over the life of the lease contract.

The lease term is determined taking into account:

- periods covered by an option to extend the lease, if the exercise of the same is reasonably certain;
- periods covered by a lease termination option, if the exercise of said option is reasonably certain.

During the term of the lease, the lessee must:

- measure the right of use at cost, net of accumulated amortization⁴³ and cumulative value adjustments determined and recognised on the basis of the provisions of IAS 36 "Impairment of assets", adjusted to take into account any restatements of the lease liabilities;
- increase the liability deriving from the lease transaction following the accrual of interest expense calculated at the implicit interest rate of the lease, or, alternatively, at the marginal borrowing rate and reduce it for payments of principal and interest.

In the event of changes in the payments due for the lease, the liability must be restated; the impact of the recalculation of the liability is recognized as a contra-entry to the asset consisting of the right of use.

d) derecognition criteria

Property, plant and equipment are derecognised from the balance sheet upon their disposal or when the assets are permanently withdrawn from use and no future economic rewards are expected as a result of their disposal.

Any gains and losses deriving from the disposal or sale of property, plant and equipment are calculated as the difference between the net sale price and the book value of the asset and are recognised in the income statement under item "280 - Gains (losses) on disposals of investments".

In the case of the sale of a property for business use, the corresponding valuation reserve accrued is transferred to other components of Shareholders' equity, specifically liability item "150 - Reserves", with no reversal to profit or loss.

The right of use assets, accounted for according to IFRS 16, are derecognised at the end of the lease term.

7 Intangible assets

a) classification criteria

Intangible assets are non-monetary assets, identifiable and without physical substance, originating from legal or contractual rights, held for use over a multi-year or indefinite period, from which it is probable that future economic benefits will flow and whose cost can be reliably measured. Intangible assets also include goodwill, which represents the positive difference between the purchase cost and the fair value of the assets and liabilities pertaining to an acquired company, as best specified in paragraph "16 - Other information, Business combinations".

b) recognition criteria

They are recognised at cost, adjusted by any additional charges only if it is probable that the future economic rewards that are attributable to the asset will flow to the entity and if the cost of the asset can be measured reliably. The cost of intangible assets is otherwise posted to the income statement in the reporting period it was incurred.

Relevant intangible assets for the Group include:

- technology-related intangible assets including software licenses, internal capitalised costs, projects and licenses under development; in particular, internally incurred costs for software project development are intangibles recognised as assets if, and only if: a) the cost for development can be measured reliably, b) the entity intends

⁴² The significance threshold identified is EUR 5,000

⁴³ In determining the amortization period, account must be taken of whether or not the transfer of ownership of the underlying asset is envisaged at the end of the lease term or whether the cost of the asset consisting of the right of use reflects the fact that or not that the lessee will exercise the purchase option. In the first case, the amortization period coincides with the useful life of the underlying asset, determined at the start date. In the second case, the amortization period coincides with the useful life of the asset consisting of the right of use or, if shorter, than the duration of the lease.



and is financially and technically able to complete the intangible asset and either use it or sell it, c) the entity is able to demonstrate that the asset will generate future economic rewards. Capitalised costs for software development only include the expenses that are directly attributable to the development process.

- customer relationship intangible assets, represented by the value of assets under management/custody and core deposits in the event of business combinations.

Finally, goodwill is included among intangible assets.

Goodwill is recognized as an asset when it derives from a business combination according to the calculation criteria envisaged by IFRS 3, as the residual excess between the total cost incurred for the business combination and the net fair value of the assets and liabilities acquired, forming companies or business units.

Should the cost incurred be less than the fair value of the assets and liabilities acquired, the difference (badwill) is directly recognised in the income statement.

c) measurement criteria and revenue recognition criteria

The cost of intangible assets with a finite useful life is amortized on a straight-line basis over the relative useful life, in particular for intangible assets originating from software developed internally and acquired from third parties, the amortization starts from the completion and entry into operation of the applications. Instead, intangible assets with indefinite useful life are not amortised but the book value is periodically assessed for impairment.

At each annual and interim reporting date, the recoverable amount of the assets is estimated where there is evidence of impairment. The amount of the loss recognised in the income statement is equal to the difference between the book value and the recoverable amount of the assets.

The goodwill recognised is not subject to amortisation, but its book value is tested annually (or more frequently) when there are signs of impairment. To this end, the cash flow generating units to which goodwill is attributable are identified. These units represent the lowest level at which goodwill is monitored for internal management purposes and should not be larger than an operating segment as defined by IFRS 8.

The amount of the impairment loss is determined by the difference between the book value of goodwill and its recoverable amount, if lower. Said recoverable amount is the higher of the cash generating unit's fair value, less costs to sell, and its value in use. Value in use is the present value of future cash flows expected to arise from the years of operation of the cash generating unit and its disposal at the end of its useful life. The resulting value adjustments are posted to the income statement under item "220 - Net value adjustments to (recoveries on) intangible assets". The same item includes the periodic amortization of intangible assets with a finite useful life. An impairment loss recognised for goodwill shall not be reversed in a subsequent period.

d) derecognition criteria

Intangible assets are derecognised from the balance sheet upon disposal and when no future economic rewards are expected.

8 Non-current assets and group of assets/liabilities held for sale and disposal groups

a) classification criteria

Non-current assets/liabilities and groups of assets/liabilities for which the book value will presumably be recovered through sale rather than continuous use are classified in assets under item "120 - Non-current assets and groups of assets held for sale and disposal groups" and in liabilities under item "70 - Liabilities associated with non-current assets held for sale and disposal groups".

To be classified in these items, the assets or liabilities (or disposal groups) must be immediately available for sale and there must be active and tangible programs such as to suggest that their disposal is highly probable within one year of the date of classification in this category.

b) measurement criteria and revenue recognition criteria

Following initial recognition, non-current assets held for sale and disposal groups, with the relative liabilities, are valued at the lower of the book value and the fair value net of selling costs, with the exception of certain types of assets, such as, for example, all financial instruments falling under the scope of IFRS 9 - for which IFRS 5 specifically envisages that the measurement criterion of the reference accounting standard must be applied.

Amortisation/depreciation is discontinued at the date the non-current asset is classified as a non-current asset being disposed of.



Should the assets and liabilities under disposal be attributable to discounted operations (identifiable with the operations of a significant independent business unit or geographical area, also as part of a single coordinate disposal project, rather than an investee company acquired exclusively for resale), the relative revenues and charges, net of tax, are recognised in the income statement under item “320 - Profit (Loss) after tax from discontinued operations” of the income statement. Profit and loss associated with individual assets in the process of being disposed are recognised in the most appropriate income statement item.

c) derecognition criteria

Non-current assets and group of assets/liabilities held for sale and disposal groups are derecognised from the balance sheet upon disposal.

9 Current and deferred tax

a) recognition criteria

The effects of current and deferred taxation calculated in compliance with Italian tax laws are recognised on an accrual basis, in accordance with the measurement methods of the income and expenses which generated them, by administering the applicable tax rates.

Income taxes are posted to the income statement, excluding those relating to items directly credited or charged to equity.

Income tax provisions are determined on the basis of a prudential forecast of current tax expense, deferred tax assets and liabilities.

Current tax includes the net balance of current tax liabilities for the year and current tax assets with the Financial Administration, comprising tax advances, tax credit arising from prior tax returns and other withholding tax receivables. In addition, current tax includes tax credit for which reimbursement has been requested from the relevant tax authorities. Tax receivables transferred as a guarantee of own debts shall also be recorded within this scope.

Deferred tax assets and liabilities are determined on the basis of the temporary differences – with no time limits – between the value assigned to the assets or liabilities in accordance with statutory principles and the corresponding values for tax purposes, applying the balance sheet liability method.

Deferred tax assets determined on the basis of deductible temporary differences are shown in the balance sheet for the extent to which they are likely to be recovered on the basis of the capacity of the company involved or all of the participating companies – as a result of exercising the option concerning “Tax consolidation” – to generate a positive taxable profit on an ongoing basis, in light of a probability test.

The probability of the recovery of deferred taxes relative to goodwill, other intangible assets and write-downs on loans (known as “convertible DTAs”) is to be automatically considered probable because of existing regulations that provide for conversion into tax credits, if a statutory and/or tax loss is incurred.

In particular, art. 2 - paragraphs 55 et seq. - of Law Decree no. 225 of 29 December 2010 (and subsequent amendments) provides that:

- if the financial statements filed by the company show a statutory loss for the year, deferred tax assets (IRES and IRAP) relating to goodwill, other intangible assets, and loan write-downs will be converted into tax credits for a portion equivalent to the ratio between the statutory loss and the book value of shareholders' equity prior to said loss. The conversion into tax credits becomes effective from the date when the ‘loss-incurring’ separate financial statements are approved by the Shareholders' Meeting;
- if there is a tax loss for the year (that is, for IRAP purposes, a negative production value), the deferred tax asset relating to the deductions for goodwill, other intangible assets, and loan write-downs, which contributed to the formation of the tax loss (i.e., the negative production value) is transformed into a tax credit. Conversion will be effective as of the date of submission of the tax return for the year in which the loss is incurred.

As a result of the provisions contained in Law Decree no. 83 of 27 June 2015, the DTAs that can be converted ceased to increase starting from 2016. In particular:

1. for deferred tax assets relating to goodwill, other intangible assets newly recognised in financial statements from 2016 onwards are excluded from the regulations pursuant to art. 2 - paragraphs 55 et seq. - of Law Decree 225/2010;



2. for deferred tax assets relating to loan write-downs, from 2016 onwards, the accounting assumption for recognition in financial statements has ceased and these write-downs are entirely deductible in the accounting period. Note that the 2019 financial manoeuvre (Law no. 145 of 30 December 2018) repealed the full deductibility of loan write-downs upon first-time application of IFRS 9, exclusively following the adoption of the model for recognising the provision to cover expected losses (ECL), providing for the deductibility (IRES and IRAP) of these write-downs on a straight-line basis over 10 years. It was, however, explicitly stated that the relative DTAs recorded in financial statements as a result, although referring to write-downs on loans to customers, cannot be converted into tax credits pursuant to Law Decree 225/2010. It should also be noted that the portion referring to 31 December 2019 was deferred to 31 December 2028, as a result of the 2020 Budget Law (Law 160 of 27 December 2019).

Furthermore, note that MPS Group exercised the irrevocable option provided in Law Decree no. 59 of 3 May 2016 (and subsequent amendments) to maintain the right to convert DTAs relative to goodwill, other intangible assets, and loan losses into tax credits; thus, it is necessary to pay an annual fee for each year from 2016 onwards, if the conditions apply, until 2030.

Deferred tax assets on unused tax losses are recognised based on the same criteria as those used to recognise deferred tax assets on deductible temporary differences: therefore, they are shown in the balance sheet to the extent to which they are likely to be recovered on the basis of the capacity of the company to generate a positive taxable profit in the future. Since the existence of unused tax losses may be symptomatic of difficulties to generate positive taxable profit in the future, IAS 12 establishes that if losses have been posted in recent periods, suitable evidence must be provided to support the existence of such profit in the future. Furthermore, current Italian tax law allows for IRES losses to be carried forward indefinitely (art. 84, paragraph 1, TUIR); as a result, verifying the existence of future taxable profit against which to use such losses is not subject to any time limits.

As mentioned above, the Group verifies the probability that there will be future taxable income (probability test) using the risk-adjusted approach, which provides for the application of a discount factor to future income. This factor, applied with the compound interest criterion, discounts future income at an increasing rate to reflect its uncertainty. For more details on the assessments made by the Group to verify the possibility of recognising deferred tax assets, please refer to the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for recognising deferred tax assets (probability test)".

Deferred tax assets and liabilities are calculated using the tax rates expected at the date on which the temporary differences are reversed, on the basis of the provisions in force at the reporting date. In particular, for the purposes of recognition of deferred taxes, it has been considered that the 2020 Budget Law (Law no. 160 of 27 December 2019) has reintroduced the ACE subsidy (Allowance for Corporate Equity), effective from 2019, previously repealed by the 2019 Budget Law (Law no. 145 of 30 December 2018). Any changes in tax rates or tax standards having a significant effect on deferred tax assets and liabilities that are issued or announced after the reporting date and before the publication authorisation date are treated as events after the balance sheet date that do not entail an adjustment pursuant to IAS 10, with the resulting disclosure in the notes.

Deferred tax assets and liabilities are posted to the balance sheet by offsetting each tax against the defined asset or liability to which it relates.

b) classification and measurement criteria

Deferred tax assets and liabilities are systematically measured to take account of any changes in regulations or tax rates and of any different subjective situations of Group companies.

With reference to tax consolidation of the Parent Company and participating subsidiaries, contracts have been stipulated to regulate offsetting flows in relation to the transfers of tax profits and losses. Such flows are determined by administering the applicable IRES tax rate to the taxable income of participating companies. The offsetting flow for companies that transfer tax losses – calculated as above – is posted by the consolidating to the consolidated company when and to the extent to which the consolidated company will transfer positive taxable income in tax periods subsequent to that in which the loss was recorded. Offsetting flows so determined are posted as receivables and payables with companies participating in fiscal consolidation, classified under other assets and other liabilities, offsetting item "300 - Tax expense (recovery) on income from continuing operations".

c) revenue recognition criteria

Where deferred tax assets and liabilities refer to components which affected the income statement, they are offset by income tax. When deferred tax assets and liabilities refer to transactions which directly affected equity without impacting the income statement (e.g. measurement of financial instruments at fair value through other



comprehensive income or cash flow hedging derivatives), they are posted as an offsetting entry to shareholders' equity, involving the special reserves if required.

10 Provisions for risks and charges

Provisions for risks and charges: commitments and guarantees given

The sub-item in question includes provisions for credit risk on commitments to disburse funds and guarantees given that fall under the scope of application of the impairment rules pursuant to IFRS 9, consistent with the provisions for "Financial assets measured at amortised cost" and "Financial assets measured at fair value through other comprehensive income". For more detailed information on the impairment model, please refer to the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

In addition, the sub-item also includes provisions for risks and charges established for other types of commitments and guarantees given which, by virtue of their distinct characteristics, do not fall under the scope of application of the impairment rules pursuant to IFRS 9.

Provisions for risks and charges: post-employment benefits

The sub-item "Provision for risks and charges: b) post-employment benefits" includes appropriations, recognised based on IAS 19 "Employee Benefits", for the purpose of closing the technical deficit of defined benefit supplementary pension funds. Pension plans are either defined benefit or defined contribution schemes. The charges borne by the employer for defined contribution schemes are pre-determined; charges for defined benefit plans are estimated and shall take account of any shortfall in contributions or poor investment performance of defined benefit plan assets. For defined benefit plans, the actuarial values required by the application of the above standard are determined by an external actuary in accordance with the Projected Unit Credit Method. Actuarial gains and losses, defined as the difference between the book value of the liability and the present value of commitments at the end of the year, are recognised for the full amount in the statement of comprehensive income, under the item "Valuation reserves". For further details, please refer to the following paragraph "16 - Other information - Severance pay and other employee benefits".

Provisions for risks and charges: other provisions

The sub-item "Provisions for risks and charges: c) other provisions" includes allocations made for estimated expenditures for legal or implicit obligations deriving from past events. These expenditures may be contractual in nature, such as the allocations for the incentive system for employees and leaving incentives, indemnities envisaged in contractual clauses upon occurrence of certain events, or for compensation and/or restitution, such as those against presumed losses for actions filed against the Bank, including claw-back actions, estimated expenses in relation to customer claims for securities brokerage, and tax disputes.

This also includes provisions established at the starting date of lease contracts, stipulated as lessee, which require the dismantling/refurbishment of the underlying assets at the end of the contract. These provisions are recognised as a contra-entry of the assets recognised for the value of rights of use of properties (see item "90 - Property, plant and equipment").

Provisions for risks and charges consist of liabilities with uncertain amounts or payment dates and are recognised in the financial statements if:

- there is a current (legal or implicit) obligation resulting from a past event;
- an outflow of resources producing economic rewards is likely to be necessary in order to settle the obligation; and
- a reliable estimate can be made of the likely future disbursement.

The amount recognised as a provision represents the best estimate of the financial disbursement necessary to fulfil the obligation existing at the reporting date and reflects the risks and uncertainties inherent in the events and situations reviewed. Whenever the time element is meaningful, the provisions are discounted using the current market rates. With the exception of provisions associated with lease contracts, the allocation and discounting effect are recorded in the income statement under item "200 - Net provisions for risks and charges", as is the increase in the provision due to the passage of time. Provisions are reviewed at each reporting date and adjusted to reflect the best current estimate. When an outflow of resources, intended to produce economic benefits in fulfilment of an obligation, becomes unlikely or when the obligation has lapsed, the provision is reversed.

In addition, each provision is used solely for the expenditures for which it was originally established.



No provision is shown for contingent and unlikely liabilities, but information is provided in the notes to the consolidated financial statements, except in cases where the probability of an outflow of resources to settle the amount is remote or the amount is not significant.

In particular, it should be noted that the provisions relating to:

- Civil and criminal disputes arising from financial information disclosed in the period 2008-2015 are determined as the weighted average of two estimates prepared by external experts:
 - 1) the so-called “differential damage criterion”, which identifies the damage as the lowest price that the investor would have had to pay if he had had access to complete and correct information.
 - 2) the so-called “full compensation criterion”, which is based on the argument that false or incomplete information may have a causal impact on the consumer’s choice of investments such that, in the presence of correct information, they would not have tout court made the investment in question. On the basis of this argument, the refundable damage is deemed to be the entire amount invested, after deduction of (a) the residual value of the security (or the amount obtained from the sale of the security), as well as (b) an additional amount that the investor could have obtained from the sale of the securities as soon as parity of information had been re-established.
- Out-of-court claims relating to the period 2008-2015, in order to take into account the probability of their transformation into real disputes, the funds were determined by applying an experiential factor to requests made by counterparties.
- Representations and warranties issued in connection with the sale and spin-off of non-performing loans are determined on the basis of the analysis of the validity of the claims received, or, in the absence of suitable elements to make a sufficiently reliable estimate, using a statistical method. In the second case, the estimate is based on the results of a representative sample of exposures transferred/demerged with respect to which the competent functions analytically evaluate the compliance or compliance risk for each of the representations and warranties released; in the context of this estimate the sample to be analysed and whose results are extrapolated to the entire population is identified.

11 Financial liabilities measured at amortised cost

a) classification criteria

Item “10 - Financial liabilities measured at amortised cost” includes the sub-items “a) due to banks”, “b) due to customers”, and “c) debt securities issued” and comprises the various types of funding (both interbank and from customers) and funds raised through certificates of deposit and outstanding bonds, net of any repurchase. Debt securities issued include all securities that are not subject to “natural” hedging through derivatives and that are classified as liabilities measured at fair value.

This item also incorporates payables booked by the lessee in relation to any stipulated finance and operating lease transactions, as well as repurchase agreements for funding and securities lent against cash guarantees that are fully available to the lender. Finally, operating payables related to the provision of financial services, as defined in the Consolidated Law on Banking and Consolidated Law on Finance, are included in this item.

b) recognition criteria

These financial liabilities are initially recognised upon receipt of the amounts collected or at the time of issuance of debt securities based on their fair value, which is generally equal to the amount received or the issue price, increased by any additional income/expense directly attributable to the individual funding or issuing transaction and not reimbursed by the creditors. Internal administrative expenses are excluded.

Repurchase agreement transactions with the obligation to repurchase are posted as funding transactions for the spot amounts collected.

Should the requirements provided for by IFRS 9 for the separate recognition of embedded derivatives be met in the case of structured instruments, they are separated from the host contract and reported at fair value as a trading asset or liability. Instead, the host contract is recognised at amortised cost.

- Lease liabilities recognised in relation to the lessor are measured at the present value of future lease payments for the duration of the lease. For more information on determining the duration, please refer to paragraph 6 “Property, plant and equipment represented by the right of use of assets under lease contracts”.



c) measurement criteria and revenue recognition criteria

Following initial recognition, financial liabilities issued, net of any reimbursements and/or repurchases, are measured at amortised cost using the effective interest rate method. Short-term liabilities for which time effect is immaterial are an exception, and are recognised at the amount collected. Interest is charged to the income statement under item “20 - Interest expense and similar charges”.

Following the commencement date, the book value of lease liabilities:

- increases for accrued interest expense, charged to the income statement under item “20 - Interest expense and similar charges”;
- decreases for lease instalment payments;
- is recalculated to take into account any new valuations (e.g., extension or reduction of the contract term) or changes in the lease (e.g., renegotiation of the lease payment) that occurred after the commencement date; the impact of the recalculation is recorded as a contra-entry of the asset for the right of use.

Moreover, funding instruments that have an effective hedging relationship are assessed based on the rules for hedging transactions.

d) derecognition criteria

Financial liabilities are derecognised upon maturity or extinction. Derecognition also occurs if previously issued securities have been repurchased. The difference between the book value of the liabilities and the amount paid to repurchase them is recorded in the income statement in item “100 - Gains (losses) on disposal or repurchase”. A new placement in the market of own securities after their repurchase is considered as a new issue and posted at the new price of placement, with no impact on the income statement.

12 Financial liabilities held for trading

a) classification criteria

This item includes:

- financial liabilities issued with the intention to repurchase them in the short term;
- liabilities that are part of a jointly managed portfolio of financial instruments for which there is a proven strategy to obtain profits in the short term;
- derivative contracts with a negative fair value not designated as hedging instruments, including both those embedded in complex financial instruments that have been unbundled from liabilities measured at amortised cost, as well as those related to assets/liabilities measured at fair value through profit or loss.

Moreover, liabilities that arise from technical overdrafts generated by securities trading activities are included.

b) recognition criteria

Financial liabilities held for trading are initially recognised on the settlement date for cash liabilities and on the subscription date for derivative contracts.

Upon initial recognition, they are measured at fair value, which usually corresponds to the amount collected net of any transaction costs or income directly attributable to the instrument itself, which are directly posted to the income statement.

c) measurement criteria

After initial recognition, financial liabilities held for trading are measured at fair value, with the result of the measurement recognized in the income statement. For a description of criteria used to determine the fair value of financial instruments, please see Section “A.4.5 Fair Value Hierarchy” in Part A of these Notes to the Consolidated financial statements.

d) revenue recognition criteria

Profits and losses from trading and capital gains and losses from valuation are recognized under item “80 - Net profit (loss) from trading” in the income statement, including those relating to derivative instruments related to the fair value option.

d) derecognition criteria

Financial liabilities are derecognised when the contractual rights on the related cash flows expire or when the financial liabilities are sold with the substantial transfer of all related risks and benefits arising from ownership.



13 Financial liabilities measured at fair value

a) classification criteria

This category includes financial liabilities for which, upon initial recognition, the option of measurement at fair value through profit or loss was chosen; this option is allowed when:

1. the fair value designation makes it possible to eliminate or significantly reduce a lack of standardisation in the measurement or recognition that would otherwise result from the valuation of assets or liabilities or the recognition of the related profits and losses on different bases (known as “accounting mismatch”); or
2. the management and/or measurement of a group of financial instruments at fair value through profit or loss is consistent with an investment or risk management strategy documented as such by senior management; or
3. a host instrument embeds a derivative which significantly modifies the cash flows of the host and should otherwise be unbundled.

The option to designate a liability at fair value is irrevocable, is carried out on an individual financial instrument, and does not require the same application to all instruments having similar characteristics. It is not permitted to use the fair value designation for only one portion of a financial instrument, attributable to a single risk component to which the instrument is subject.

The Parent Company has exercised this option in relation to case 1, classifying under this item financial liabilities that are subject to “natural hedging” through derivative instruments. In Section 16 “Other information”, a specific paragraph is included to provide insight into the hedging management methods through the adoption of the fair value option.

b) recognition criteria

Upon initial recognition, these financial liabilities are measured at fair value, which usually corresponds to the amount collected net of any transaction costs or income directly attributable to the instrument itself, which are directly posted to the income statement.

The fair value of any financial liabilities issued at conditions other than market conditions is calculated by using a specific valuation technique, and the difference with respect to the consideration received is booked directly to the income statement only when the conditions provided for by IFRS 9 have been met, i.e. when the fair value of the instrument issued can be established by using either quoted market prices for similar instruments or by a valuation technique based solely on market data. Should these conditions not apply, the fair value used for valuations after the issuance of instruments is cleared of the initial difference between the fair value upon issuance and the consideration received. This difference is recognised in the income statement only if it ensues from changes in the factors (including time), which market traders would consider for price determination.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial liabilities are measured at fair value. Gains and losses arising from any changes in the fair value of these liabilities are recognised:

- in item “120 - Valuation reserves”, for the portion related to the change in fair value that is attributable to changes in the issuer’s creditworthiness, unless this creates or increases an accounting mismatch in the profit (loss) for the year, in which case the entire change in fair value of the liability must be charged to the income statement. Effects associated with the change in own creditworthiness are recorded in the statement of comprehensive income, net of the related tax effect, along with the other income components that will not be reversed to the income statement. The amount charged to the specific equity reserve will never be reversed to the income statement, even if the liability expires or lapses; in this case, the cumulative gain (loss) in the specific valuation reserve must be reclassified to another shareholders’ equity item (“150 - Reserves”);
- in the income statement under item “110 - Net profit (loss) from financial assets and liabilities measured at fair value through profit or loss”, for the portion of the fair value change not attributable to changes in own creditworthiness.

For a description of criteria used to determine the fair value of financial instruments, please see Section “A.4.5 Fair Value Hierarchy” in Part A of these Notes to the Consolidated Financial Statements.



d) derecognition criteria

Financial liabilities are derecognised when the contractual rights on the related cash flows expire or when the financial liabilities are sold with the substantial transfer of all risks and benefits resulting from the ownership.

For financial liabilities represented by securities issued, derecognition also occurs if previously issued securities have been repurchased. The difference between the book value of liabilities and the amount paid to purchase them is recorded in the income statement under item “110 - Net profit/loss from financial assets and liabilities measured at fair value through profit or loss”, with the exception of profits/losses associated with the change in own creditworthiness, which continues to be recognised in an equity reserve, as described above. A new placement in the market of own securities after their repurchase is considered for accounting purposes as a new issue and posted at the new price of placement, with no impact on the income statement.

14 Foreign-currency transactions

a) recognition criteria

Upon initial recognition, foreign-currency transactions are recognised in the currency of account using the foreign-exchange rates on the date of the transaction.

b) revenue classification, measurement, recognition and derecognition criteria

Financial statement entries denominated in foreign currencies are valued at the end of each reporting period as follows:

- monetary entries are converted using the exchange rate on the closing date;
- non-monetary entries valued at historical cost are converted using the exchange rate on the date of the transaction;
- non-monetary entries that are measured at fair value in a foreign currency are translated at the closing date rate.

Any exchange-rate differences resulting from the settlement of monetary elements, or from the conversion of monetary elements at rates other than those used for initial conversion or conversion in the previous financial statements, are posted to the income statement for the period in which they arise.

When a profit or a loss on a non-monetary element is recognised in equity, the exchange-rate difference in relation to said element is also posted to equity. However, when a profit or a loss is posted to the income statement, the relative exchange-rate difference is also posted there.

The accounting position of foreign branches with different operating currencies is converted into euros by using the exchange rates at the end of the reporting period. Any exchange rate differences attributable to investments in such foreign branches, and those resulting from the conversion into euros of their accounting position, are recognised in equity reserves and transferred to the income statement only in the year when the investment is disposed of or reduced.

15 Insurance assets and liabilities

The scope of consolidation does not include any insurance companies.

16 Other information

Other financial statement items

Cash and cash equivalents

This item includes currencies that are legal tender, including foreign banknotes and coins and all loans “on demand” in the form of current account and deposits with the central bank of the country or countries in which the Group operates through its own companies or branches, with the exception of the compulsory reserve.

The item is posted at face value. For foreign currencies, the face value is converted into euros at year-end exchange rate.

*Change in value of macro-hedged financial assets and liabilities*

These items show, respectively, the net amount, whether positive or negative, of changes in value of financial assets and liabilities macro-hedged against interest rate risk, pursuant to IAS 39, paragraph 89A. For more detailed information, please refer to the discussion in paragraph 4 “Hedging transactions”.

Other assets

This item shows assets not attributable to the other items on the asset side of the balance sheet. It may include, for example:

- gold, silver, metals and precious stones;
- items in processing;
- accrued income and prepaid expenses not attributable to its own separate item;
- receivables associated with the provision of non-financial goods or services and accrued income other than that which is capitalised on the related financial assets, including those resulting from contracts with customers pursuant to IFRS 15;
- any inventories according to the definition of IAS 2, excluding those classified as inventories of property, plant and equipment;
- tax credits other than those recognised under item “110 - Tax assets”;
- improvements and incremental expenses incurred on third-party real estate other than those attributable to item “90 - Property, plant and equipment” and therefore not independently identifiable and separable.

The costs in the latter bullet point are posted to item “130 - Other assets”, since the user company exercises control of the assets for the purpose of the tenancy agreement and can obtain future economic benefits from them. Said costs are posted to item “230 - Other operating expenses (income)” in the income statement according to the shorter of the period in which the improvements and incremental expenses can be used and the remaining term of the contract, including the renewal period, where applicable.

Other liabilities

This item shows liabilities not attributable to other items on the liability side of the balance sheet.

It includes, for example:

- items in processing;
- payment agreements that must be classified as debit entries according to IFRS 2;
- debit entries connected with payment for provision of non-financial goods and services;
- accrued liabilities other than those to be capitalised for the respective financial liabilities, including those deriving from contracts with customers pursuant to IFRS 15;
- sundry tax liabilities other than those recognised under item “60 - Tax liabilities”, associated, for example, with substitute tax assets.

Severance pay and other employee benefits

Employee severance pay is defined as a “benefit subsequent to the employment relationship”, in accordance with IAS 19. Following the supplementary pension reform, pursuant to Italian Legislative Decree no. 252 of 5 December 2005, new rules were introduced for severance pay accrued effective 1 January 2007, which is recognised for purposes of the relative accounting treatment. In particular, for companies with an average of at least 50 employees during 2006, the portions of severance pay accrued starting from 1 January 2007 are considered a “defined contribution plan”, both for the case in which the employee opts for supplementary social security, as well as the case in which the employee opts for the allocation to the INPS treasury fund; the charge, recognised under personnel costs, is limited to the contribution established by regulations envisaged by the Italian Civil Code, without applying any actuarial methodology.

Conversely, the severance pay accrued as at 31 December 2006 continues to be considered a “defined benefit plan”. In general, “post-employment plans” - which include severance pay as well as pension funds - are divided into the two categories “defined benefit” or “defined contribution”, based on their characteristics.

In particular, for defined contribution plans, the cost is represented by contributions accrued during the year, given that the company has only the obligation to pay the contractually established contributions to a fund and, consequently, has no legal or implicit obligation to pay, in addition to the contribution, additional amounts if the fund does not have sufficient assets to pay all the benefits to employees.

For defined benefit plans, the actuarial and investment risk, that is, the risk of a shortfall in contributions or poor investment performance of the assets in which the contributions are invested, is borne by the company. The liability



is calculated by an external actuary based on the Projected Unit Credit method. Based on this method, future disbursements must be estimated based on demographic and financial assumptions, to be discounted to consider the time that will pass before the actual payment and to be adjusted for the ratio between the years of service accrued and the theoretical seniority estimate at the time the benefit is paid. For discounting purposes, the rate used is determined with reference to the market yield of primary corporate bonds taking into account the average residual duration of the liability, weighted according to the percentage of the amount paid and advanced, for each maturity, compared to the total to be paid and advanced up to the final settlement of the full bond.

The actuarial value of the liability thus calculated must then be adjusted for the fair value of any assets servicing the plan (net liabilities/assets). Actuarial gains and losses that arise as a result of adjustments to the previous actuarial assumptions formulated, following actual historical data or due to changes in the actuarial assumptions, entail a re-measurement of net liabilities and are offset against an equity reserve (item "120 - Valuation reserves") and are thus presented in the "Statement of comprehensive income". The change in the liability resulting from a change or reduction in the plan is recorded in the income statement as a profit or loss. More precisely, the specific case of a change applies if a new plan is introduced or an existing plan is withdrawn or modified. Instead, there is the case of a reduction due to a significant negative variation in the number of employees included in the plan, such as, for example, redundancy plans for redundant workers (access to the Solidarity Fund).

The Projected Unit Credit method, described above, is also used to measure long-term benefits, such as seniority bonuses for employees. Contrary to that which was described for defined benefit plans, actuarial gains and losses associated with the measurement of long-term benefits are immediately recognised in the income statement.

Valuation reserves

This item includes valuation reserves relating to equity securities designated at fair value through other comprehensive income, financial assets (other than equity securities) measured at fair value through other comprehensive income, foreign investment hedging, cash flow hedges, exchange rate differences, "individual assets" and groups of assets held for sale, the portion of valuation reserves of equity-accounted investments, actuarial gains (losses) on defined benefits investment plans, gains/losses related to the change in own creditworthiness relating to liabilities under fair value option, property for business use measured on the basis of the revalued value method.

Share capital and Treasury shares

This equity item includes the amount of issued shares net of any capital subscribed but not yet paid at the reporting date. The item is shown including any treasury shares held by the Group. Treasury shares are recognised in financial statements as a negative component of shareholders' equity.

The original cost of repurchased treasury shares and the profits or losses from their subsequent sale are recognised as changes in shareholders' equity. Transaction costs for a capital transaction, such as an increase in share capital, are recorded as a reduction in shareholders' equity, net of any related tax benefits. Dividends on ordinary shares are recorded as a reduction of shareholders' equity in the year in which the Shareholders' Meeting approved their distribution.

Non-controlling interests

This item represents the portion of consolidated net equity attributable to minority shareholders, calculated based on the "equity ratios". The amount is calculated net of any treasury shares repurchased by the consolidated companies.



Other significant accounting practices

Revenues from contracts with customers (IFRS 15)

Revenues are gross inflows of economic benefits during the year in the form of consideration for the obligation to transfer to the customer a wide range of goods and services considered part of ordinary business activities. IFRS 15 “Revenue from contracts with customers” introduced a model for the recognition of revenues deriving from contractual obligations with customers, which is based on the concept of transfer of control and not only on the concept of transfer of assets risks and benefits.

First of all, revenues deriving from contracts with customers are recorded in financial statements only if the relative contract is identifiable, that is:

- the parties have approved the contract and are committed to its execution;
- the rights and obligations of the parties can be clearly identified in the contract;
- the payment terms for the transferred goods and services can be identified;
- the contract has commercial substance, in the sense that it impacts the entity’s cash flows;
- it is considered likely that the consideration will be collected upon transfer of the assets and provision of the services. For this assessment, only the customer’s ability and intention to pay the amount due should be considered.

After the contract’s consideration has been allocated to individual obligations resulting from the contract, revenue is recognised in the income statement when the customer obtains control of the goods or services promised (or when the performance obligation may be deemed satisfied) and can be:

- at a specific point in time (e.g., when the entity fulfils the obligation to transfer the promised good or service to the customer);
- over a period of time (e.g., as the entity fulfils the obligation to transfer the promised good or service to the customer);

For purposes of determining the revenue, the consideration is defined as the amount the entity considers is entitled to in exchange for the transfer of goods and services and may include fixed amounts, variable amounts, or both. Specifically, the contract’s consideration may vary based on reductions, discounts, reimbursements, incentives, performance bonuses, or other similar elements. The consideration may also vary depending on whether a future event occurs (as in the case of a fee linked to performance objectives).

The methods suggested by IFRS 15 for estimating the variable portion of remuneration are:

- the expected value method, i.e., the weighted sum of the amounts in a range of possible considerations (for example, the company has many contracts with similar characteristics);
- the most likely amount method, or the most likely in a range of possible considerations (for example, the company receives a performance bonus or does not receive it).

If there is an element of variable consideration, revenue is recognised in the income statement only if it is possible to reasonably estimate the revenue and if it is highly probable that this consideration will not be subsequently reversed from the income statement, whether in full or for a significant part. In the event of a high prevalence of factors of uncertainty linked to the nature of the consideration, it will only be recognised at the moment this uncertainty is resolved. In any case, the estimated part of the transaction price must be updated at the end of each reporting period. The presence of financial components is also considered in determining the price, if considered relevant.

In the case of commercial agreements that envisage the recognition of variable non-cash consideration to the entity, linked to the achievement of specific targets and that can be used for services rendered by the commercial partner, the Group recognises these revenues in the income statement in the year in which they accrue, at a value that is not more than the fair value of services effectively rendered by the partner.

If the entity receives from the customer a consideration that provides for the reimbursement to the customer, in whole or in part, of the revenue received, a provision for risks and charges is recognised against the expected future repayments. The case may occur, for example, when the customer has a right of withdrawal for the asset or if the contract includes a claw-back clause. This standard also applies to loyalty programmes, against which a refund liability is recognised. The liability for future redemptions is equal to the amount of the consideration received (or receivable) for which it is expected that the entity is not entitled to (i.e., amounts not included in the transaction



price). The liability for future redemptions (as well as the corresponding change in the transaction price and, consequently, the liability arising from the contract) must be updated on the closing date of each reporting period to take account of changes in circumstances.

For contracts for the placement of third-party products, which provide for the reimbursement of part of the commissions received in the event of early termination by the customer and in the presence of claw-back clauses linked to the failure to achieve target commission volumes, the Group quantified this provision for risk and charges based on historical trends for early repayments and reimbursements to customers. The monitoring and forecasting of volumes of the collected and reversed fees enable the provision to be adjusted at each reporting date. The model that is used is based on the most likely amount method.

In addition, the Group has a credit card loyalty programme in place, according to which reward points are granted to customers based on the volumes transacted; reward points are redeemed through prizes purchased mainly from external suppliers. Reward points granted to customers who subscribe to a product/service of the Group entails that recognition of the portion of revenue attributable to the recognised reward points in the income statement is suspended, as an offsetting entry to other liabilities. For this purpose, the transaction price of the performance obligation associated with the reward points granted is estimated, using a model based on the fair value of the reward points, calculated using several factors including: redemption forecasts for the reward points accrued by customers and the cost related to reward purchases. The amount of consideration that can be allocated to the reward points is recognised as a refund liability; it is released to the income statement only when the obligations related to the reward points have been fulfilled, i.e., when they are effectively redeemed by the customer.

Lastly, the incremental costs for obtaining the contract that are expected to be recovered and the costs for fulfilling the contract are capitalised when these costs can be directly attributed to the contract, can generate resources that can be used to fulfil future contractual performance obligations, and be considered recoverable. This recognised asset is systematically amortised in accordance with the transfer to the customer of the good or service to which the asset refers and, therefore, in accordance with the accounting of the corresponding revenues. The Group does not have assets of this type.

Revenues and costs relating to financial instruments

With reference to the income and charges relating to financial assets/liabilities, note that:

- a) interest is booked pro-rata temporis on the basis of contractual interest rate or the effective interest rate in the event of application of the amortised cost; negative income components accrued on financial assets are booked to item "20. Interest expense and similar charges"; the positive income components accrued on financial liabilities are booked to item "10. Interest income and similar revenues". Interest income (or interest expense) also includes the spreads or margins, positive (or negative), accrued up to the reporting date, in relation to financial derivative contracts:
 - hedging assets and liabilities that generate interest;
 - classified in the balance sheet in the trading book, but operationally linked to financial assets and/or liabilities measured at fair value (fair value option);
 - connected operationally with assets and liabilities classified in the trading book and which entail the settlement of differentials or margins over several maturities;
- b) interest on arrears is posted to the income statement only upon actual collection;
- c) dividends are shown in the income statement upon resolution of their payout, i.e. when their payment is due;
- d) gains and losses following initial recognition at fair value, as determined by the difference between the transaction price and the fair value of the instrument, are booked to the income statement when the transaction is recorded if the fair value can be determined with reference to parameters or recent transactions observable on the same market in which the instrument is traded; otherwise, they are distributed over time, taking into account the duration and the nature of the instrument.
- e) gains and losses from the sale of financial instruments are recognised in the income statement when the sale is finalised, with the relative transfer of risks and benefits, based on the difference between the consideration received and the book value of the instruments themselves. Portfolio management fees are recognised based on the duration of service.

Costs for constant services and decreasing payments

The IFRS accounting standards do not provide specific guidelines on the accounting treatment to be applied for recognising costs related to service contracts that are rendered by the supplier through an indeterminate number of actions, over a given period of time. If there are cases of services rendered by suppliers through a single performance obligation relating to the provision of a specific number of units, such as a certain volume of services,



which remain constant throughout the contract term and this single performance obligation is satisfied over time with a decreasing payment amount due by the customer, the Group analogically applies the accounting treatment envisaged by IFRS 15 accounting standard (see Basis for Conclusions 313-314).

In cases of the provision services characterised by a constant volume over time and decreasing payments, the Group assigns an average unit cost to the services received and recognises their costs on a straight-line basis. This straight-line mechanism for recognising costs entails the need to recognise a prepaid asset which, at each reporting date pursuant to IAS 36, is assessed to determine if there are impairment indicators which also take into account the analyses carried out for purposes of onerous contracts. In the event that impairment indicators are identified, the recoverable value of the asset must be calculated and a write-down must be recognised in the financial statements when the recoverable value is lower than the book value.

Share-based payments

These are payments to employees, as consideration for work performed, settled with equity instruments, which consist, for example, in assigning:

- rights to subscribe paid share capital increases (stock options);
- rights to receive shares upon achieving certain objectives or at the end of the employment relationship.

Pursuant to IFRS 2, payments based on treasury shares are classified as “equity-settled” plans, to be recognised based on the fair value of the employment services received.

Given the difficulties of directly estimating the fair value of employment services received as an offsetting entry to the assignment of shares, the value of the services received can be measured indirectly, using as a reference the fair value of equity instruments at the date they are assigned. The fair value of payments settled by issuing shares is recognised according to the criterion of the service provided, in the income statement item “190 a) - Personnel expenses” as an offsetting entry to an increase in the item “150 - Reserves”.

In particular, when the assigned shares cannot immediately be used by the employee, but rather are available only after the employee has completed a specific period of service, the company recognises the cost as consideration for the service rendered throughout the accrual period for these conditions (“vesting period”).

Business combinations

A business combination transaction is intended as the transfer of control of a business (or group of integrated assets and goods, managed for the purpose of providing goods or services to customers and which generates revenues from investment, such as dividends or interest, or other revenues from ordinary activities). For the definition of control, please refer to Section 3 “Scope of consolidation” of this part A of the Notes.

A business combination may give rise to an investment link between the acquiring Parent Company and the acquired subsidiary. In these cases, the acquirer applies IFRS 3 to its consolidated financial statements, while in the separate financial statements it recognizes the acquired interest as an investment in a subsidiary, consequently applying IAS 27 “Separate financial statements”.

A business combination may also provide for the acquisition of the net assets of another entity, including any goodwill, or the acquisition of the share capital of another entity (e.g., mergers, splits, acquisitions of business units). Such a business combination is not an investment link like the one between a parent company and a subsidiary, and therefore in these cases IFRS 3 is also applied to the acquiring entity’s separate financial statements.

Business combinations are accounted for using the purchase method, which requires: (i) the identification of the acquirer; (ii) the determination of the cost of the business combination; and (iii) the allocation of the acquisition price (“Purchase Price Allocation”).

Identification of the acquirer

IFRS 3 requires that an acquirer is identified for all business combinations, identified as the party that obtains control over another entity, understood as the power to set financial and management policies of the entity in order to receive benefits from its activities. In the case of business combination transactions that result in the exchange of equity interests, identification of the acquirer must consider factors such as: (i) the number of new ordinary voting shares issued with respect to the total number of ordinary voting shares that will constitute the share capital of the existing company after the combination; (ii) the fair value of the entities participating in the business combination; (iii) the composition of the new corporate bodies; and (iv) the entity that issues the new shares.



Determination of the cost of the business combination

The consideration paid in a business combination is equal to the fair value, on the purchase date, of assets sold, liabilities incurred, and equity instruments issued by the acquirer in exchange for obtaining control of the acquired entity. The consideration that the acquirer transfers in exchange to the acquired entity includes any assets and liabilities resulting from an agreement on “contingent consideration”, to be recognised at the fair value on the acquisition date. Changes to the consideration transferred are possible if they result from additional information on events and circumstances that existed at the acquisition date and may be recognised within the measurement period for the business combination (i.e., within twelve months from the acquisition date, as specified below). Any other changes deriving from events or circumstances subsequent to the acquisition, such as consideration recognised to the seller linked to the achievement of a certain profit performance, must be recorded in the income statement.

Costs related to the acquisition, which include brokerage fees, consulting, legal, accounting, and professional fees, as well as general administrative costs, are recorded in the income statement as they are incurred, with the exception of the costs of issuing shares and debt securities, which are recognised on the basis of the provisions of IAS 32 and IFRS 9.

Purchase Price Allocation

According to the purchase method, at acquisition date the acquirer must allocate the cost of the business aggregation (known as PPA, “Purchase Price Allocation”) to the identifiable assets acquired and to the liabilities assumed measured at their fair value on that date, as well as recognising the value of non-controlling interests of the acquired entity. Exceptions to the application of this standard are the recognition of: (i) income taxes; (ii) liabilities relating to employee benefits; (iii) assets deriving from indemnities; (iv) share-based payment transactions; (v) assets held for sale and (vi) reacquired rights for which the respective reference standards apply.

Therefore, it is necessary to draw up a balance sheet for the acquired entity, at the acquisition date, measuring at fair value the identifiable assets acquired (including any intangible assets not previously recognised by the acquired entity) and identifiable liabilities assumed (including contingent liabilities).

For each business combination, any non-controlling interests may be recognised at fair value or in proportion to the share of identifiable net assets of the acquired company.

In addition, if control obtained through subsequent acquisitions (business combinations carried out in several phases), the previously held equity interest is measured at fair value at the acquisition date and the difference compared to the previous book value must be charged to the income statement.

Hence, at the acquisition date, the acquirer must determine the difference between:

- the sum of:
 - o the cost of the business combination;
 - o the amount of any non-controlling interests as described above;
 - o the fair value of any equity interests previously held by the acquirer;
- and
- the fair value of identifiable net assets acquired, including contingent liabilities.

Any positive difference must be recognised as goodwill; conversely, any negative difference must be charged to the income statement of the entity resulting from the business combination as profit deriving from the purchase at favourable prices (negative goodwill or badwill), after having performed a new measurement aimed at ascertaining the correct process of identifying all assets acquired and liabilities assumed.

The fair value of assets and liabilities must be definitively identified within the maximum term of twelve months from the acquisition date (measurement period).

Once control has been obtained and the purchase method described above has been applied, any further increase or decrease in the equity interest in a subsidiary in which control is maintained is recognised as a transaction between shareholders. Therefore, the book values of the shareholders' equity of the Group and non-controlling interests must be adjusted to reflect changes in equity interests in the subsidiary. Any difference between the value for which non-controlling interests are adjusted and the fair value of the consideration paid or received must be recognised directly in the Group's shareholders' equity.

If there is an event which results in the loss of control, an entry is made to the income statement equivalent to the difference between (i) the sum of the fair value of the consideration received and the fair value of the residual equity interest held and (ii) the previous book value of the assets (including goodwill) and liabilities of the subsidiary and any minority shareholders' equity. The amounts previously recognized in the statement of comprehensive



income (such as the valuation reserves of financial assets measured at fair value through other comprehensive income) must be accounted for in the same way as if the parent company had directly disposed of the assets or the related liabilities (through reclassification in the income statement or shareholders' equity).

The fair value of any equity interest held in the former subsidiary must be considered equal to the fair value upon initial recognition of a financial asset according to IFRS 9, or, where appropriate, equal to the cost at the time of initial recognition in an associate company or a jointly controlled entity.

Business combinations under common control

Business combinations between entities under common control do not fall under IFRS 3. In the absence of a standard of reference, as indicated in Section 1 "Declaration of conformity with international accounting standards", these transactions are posted to the accounts by making reference to preliminary guidance from the Italian Association of Auditors (Orientamenti Preliminari, OPI no. 1 "Accounting treatment of "business combinations of entities under common control" in separate and consolidated financial statements" and OPI no. 2 "Accounting treatment of mergers in financial statements"). These guidelines consider the economic significance of business combinations on the basis of cash flow impact on the Group. Transactions, which had no significant influence on future cash flows, were recognised using the pooling of interest method. Therefore, in the financial statements of the seller, the difference between the sale price and the book value is posted as an increase/decrease in equity. Exclusively in the event of acquisition or transfer of a controlling interest, the equity investment is posted at acquisition cost in the acquirer/transferee's financial statements for the year.

Amortised cost

The amortised cost of financial assets or liabilities is the value at which they were measured upon initial recognition, net of principal repayments, plus or minus overall amortisation calculated using the effective interest method, on the differences between the initial value and that at maturity and net of any permanent impairment.

The effective interest rate is the rate which equates the present value of a financial asset or liability with the future contractual payments or collection cash flows until maturity or a subsequent price recalculation date. To calculate the current value, the effective interest rate is applied to estimated future collection or payment flows over the entire useful life of the financial assets or liabilities – or for a shorter period if certain conditions are met (for example, a change to market rates).

Following initial recognition, the amortised cost makes it possible to allocate income and costs reducing or increasing the instrument over its entire expected life by means of the amortisation process. The determination of the amortised cost is different depending on whether the financial assets/liabilities are subject to valuation at a fixed or variable rate.

For fixed-rate instruments, future cash flows are quantified based on the known interest rate during the term of the financing. For floating-rate financial assets/liabilities, whose variability is not known beforehand (because, for example, it is tied to an index), cash flows are determined on the basis of the last known rate. At every rate review date, the amortisation schedule and the actual rate of return over the entire useful life of the instrument, i.e. until maturity, are recalculated. The adjustment is recognised as cost or income in the income statement.

Amortised cost is assessed for financial assets measured at amortised cost and for those as fair value through other comprehensive income as well as financial liabilities measured at amortised cost.

Financial assets and liabilities traded at market conditions are initially recognised at their fair value, which normally corresponds to the amount disbursed or paid inclusive - in the case of instruments valued at amortised cost - of transaction costs and commissions directly attributable to the assets and liabilities.

Transaction costs include marginal internal and external costs and income attributable to the issue, acquisition or sale of a financial instrument that cannot be charged to the customer. These fees, which must be directly attributable to the individual financial assets or liabilities, impact the original effective return and make the effective interest rate associated with the transaction different from the contractual interest rate. Indistinguishable costs related to several transactions and components related to events that may occur during the life of the financial instrument, but which are not certain at the time of the initial definition, are excluded, such as: rebate fees, fees for failure to use, and for early repayment.

The costs that the Group incurs regardless of the transaction (for example, administrative, stationery, communication costs), those which, although specifically attributable to the transaction, fall within the normal practice of loan management (for example, activities aimed at disbursing the loan), as well as commissions for services collected following the performance of structured finance activities that would have been collected



regardless of the subsequent financing of the transaction (such as, for example, facilities and arrangements fees) are also not considered in the calculation of the amortised cost.

With particular reference to loans, fees paid to distribution channels (agents, advisors, brokers) and the fees paid for consultancy/advisory in organising and/or participating in syndicated loans are considered costs attributable to the financial instrument, while revenues considered in the calculation of the amortised cost are those for participation in syndicated transactions and brokerage commissions linked to fees recognised from brokerage firms.

With regard to securities not measured at fair value through profit or loss, transaction costs include both commissions for contracts with brokers operating on Italian stock markets and commissions paid to intermediaries operating on foreign stock and bond markets defined on the basis of commission tables.

For securities issued, commissions for bond placement paid to third parties, amounts paid to stock exchanges, and fees paid to the auditors for activities performed for each individual issue are considered in the calculation of amortised cost, while commissions paid to rating agencies, legal expenses and consultancy/audit fees for the annual update of the prospectuses, as well as costs for the use of indices and commissions that originate during the life of the bond are not considered in the amortised cost calculation.

Compared to the general approach, the effective interest rate must be calculated differently for those financial instruments measured at amortised cost or at fair value through other comprehensive income, purchased or originated, which at the time of their initial recognition are already credit impaired (known as PCI or OCI).

The criterion for measurement at amortised cost does not apply for hedged financial assets/liabilities for which changes in fair value for the hedged risk are charged to the income statement. However, the financial instrument is re-measured at amortised cost if the hedge is suspended, the moment from which the previously recognised changes in fair value are amortised, by calculating a new effective interest rate that considers the loan value adjusted for the fair value of the hedged element, until the expiry of the hedge that was originally envisaged. Moreover, as mentioned above in the paragraphs relating to financial assets and liabilities measured at amortised cost, the amortised cost measurement does not apply to financial assets/liabilities whose short duration makes the economic effect of discounting negligible or for loans without a defined maturity or revocation.

Purchased or originated credit impaired financial assets (known as POCI)

These are instruments for which the credit risk is very high and which, in the event of purchase, are purchased at a considerably discounted value compared to the initial disbursement value; for this reason, they are considered already impaired (credit impaired) at the time of first recognition in the financial statements. Depending on the business model with which the asset is managed, these assets are classified in item “30 - Financial assets measured at fair value through other comprehensive income” or in item “40 - Financial assets measured at amortized cost” and among off-balance sheet exposures.

In relation to POCIs, there are two different types:

- instruments or portfolios of non-performing loans acquired on the market (Purchased Credit Impaired – “PCI”);
- credits disbursed by the Group to customers characterised by a very high credit risk (Originated Credit Impaired – “OCI”).

Impaired financial assets acquired through a business combination pursuant to IFRS 3 fall within the scope of application of IFRS 9 PCI.

Note that these financial assets are initially recorded in Stage 3, without prejudice to the possibility of reclassifying them to performing loans (Stage 2), for which an expected loss will continue to be recorded according to an impairment model based on lifetime ECL, as described below. It should be noted that, regardless of the stage in which they are recorded, these financial assets are represented separately from the three stages of credit risk.

With reference to the initial recognition, measurement and derecognition criteria, please refer to the discussion corresponding to the asset items into which they can be classified, with the exception of what is specified below in relation to procedures for calculating amortised cost and impairment.

In detail, the amortised cost and consequently the interest income are calculated using an effective interest rate adjusted for the credit (known as “credit-adjusted effective interest rate” or CEIR). For calculating the effective interest rate, the aforementioned credit adjustment entails including the expected credit losses over the entire residual duration of the asset in the estimate of future cash flows. For the purposes of calculating the CEIR, the Group uses contractual cash flows net of expected losses.



In addition, the assets in question require special treatment also with regard to the impairment process, as they are always subject to the determination of an expected loss over the life of the financial instrument (lifetime ECL). After initial recognition, the profit or loss deriving from any change in expected losses over the life of the loan compared to the initial estimate must be recorded in the income statement. Thus, for these assets, expected losses cannot be calculated using the one-year time horizon as a reference.

Loan renegotiations

In some cases, over the life of financial assets and, in particular, of loans, the original contractual conditions are subsequently modified as agreed by the parties to the contract. When, during an instrument's life, the contractual clauses are changed (both in the case the change is formalised by signing a new contract and when there is an amendment to the existing contract), it is necessary to check whether the original asset must continue to be recognised in financial statements or if, conversely, the original instrument must be derecognised from financial statements and a new financial instrument must be recognised.

In general, changes to a financial asset result in its derecognition and to the recording of a new asset when these changes are "substantial". The determination of the "substantiality" of the change is made by considering only qualitative elements. In particular, renegotiations are deemed to be substantial when:

- introduce specific objective elements that impact on the characteristics and/or the financial flows of the financial instrument (such as for example the change in the currency, the introduction of indexing to equity or goods parameters, the introduction of the possibility of converting the loan into participatory equity/financial instruments, the provision of "pay if you can" clauses which allow the debtor the maximum freedom in repaying the loan in terms of time and amount) in consideration of the significant impact expected from the original financial flows; or
- are implemented with respect to customers that have no financial difficulties, with the objective of adapt the onerousness of the contract to current market conditions.

In the latter case, it should be noted that if the Group does not grant the renegotiation of the contractual conditions, the customer might have the possibility of obtaining financing from another intermediary with consequent loss for the Group of the revenue flows envisaged by the renegotiated contract. In other words, for a commercial renegotiation, the Group would not have any loss to be recorded in the income statement as a result of the realignment to the best current market conditions for its customers. Instead, for renegotiations considered to be substantial, the gross value is recalculated by determining the present value of cash flows resulting from the renegotiation, based on the original rate of the exposure prior to the renegotiation. The difference between this gross value and the gross book value prior to the change is recorded in the income statement under item "140 - Modification gains/(losses)" (known as "modification accounting").

The cases of non-substantial renegotiations include:

- the modifications granted to counterparties experiencing financial difficulties (concessions of forbearance measures) are attributable to the Group's attempt to maximise the recovery of the original exposure, whose risks and benefits continue to be borne by the Group. Exceptions are made for changes that introduce substantial objective elements in the contract that can themselves lead to the derecognition of the financial asset, as previously described.
- contractual changes in response to COVID-19 granted to offer broad support to all companies and individuals temporarily in difficulty due to the current pandemic, in order to prevent a systemic risk.

Fair value option

In its financial risk management policy, relating to financial instruments included in the banking book, the Parent Company has used the Fair Value Option accounting technique alongside fair value hedging and cash flow hedging methods.

The Fair Value Option was used to represent operational hedges on fixed-rate or structured bonds and certificates of deposit issued at fixed rates (accounting mismatch). In that case the Parent Company, the only issuer within the Group, stipulates operational micro-hedging derivative contracts with MPS Capital Services S.p.A., which in turn manages by assets the Group's overall exposure to the market.

The scope of application of the fair value option currently regards primarily fixed-rate securities and structured securities subject to hedges on interest rate risk and the risk deriving from embedded derivative components.



IFRS 9 allows the option of designating a financial instrument under the fair value option to be exercised irrevocably only upon initial recognition. Therefore, the Fair Value Option cannot be used for the accounting management of hedges of funding instruments issued prior to the decision to implement the hedge; for these hedges, the hedge accounting technique must be used, which is also used to manage the hedging of the bond issues that are traded in the secondary market at market values.

Unlike hedge accounting, whose rules provide that only fair value changes attributable to the hedged risk are recognised for the hedged instrument, the fair value option involves the recognition of all fair value changes, regardless of the risk factor that is being hedged.

For the issues in question, the fair value is measured, firstly, by referencing observable prices in markets considered active, such as regulated markets, electronic trading circuits (e.g. Bloomberg) or organised or similar exchanges. If there are no observable prices on active markets, they are measured based on prices of recent transactions for the same instrument in non-active markets in addition to using valuation techniques, based on a cash flow discounting model, which must consider all factors considered relevant by market participants in determining a hypothetical transaction on an exchange. In particular, for determining creditworthiness, the implicit spreads of comparable issuers are used in active markets in addition to the Parent Company's credit default swap curve with the same level of subordination of the security being measured. The quantification of effects resulting from the change in own creditworthiness between the issue date and the measurement date is calculated as the difference between the fair value obtained considering all of the loan's risk factors, including the credit risk, and the fair value obtained considering the same factors, excluding the change in own credit risk that occurred during the period.

For further details on methods for calculating fair value, please refer to the exhaustive information provided in the relevant paragraph in "Part A.4 – Information on fair value".

With reference to the criteria for recognition in financial statements, note that:

- derivatives connected with financial liabilities measured at fair value are classified under "Financial assets measured at fair value through profit or loss: a) financial assets held for trading" or "Financial liabilities held for trading";
- spreads and margins accrued on derivatives up to the measurement date are included, depending on the balance, in "interest income" or "interest expense", consistent with the accruals recorded on bonds subject to operational hedges;
- gains and losses from realisation and the measurement of loans under the fair value option are recorded in the income statement item "110 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss", with the exception of the valuation and execution effects related to the change in own creditworthiness that are recorded as an offsetting entry to a specific equity reserve (item "120 - Valuation reserves"), unless this accounting treatment creates or amplifies an asymmetry in the economic result, as described in greater detail in the discussion to item "13 - Financial liabilities measured at fair value";
- results of the measurement of derivatives associated with loans under the fair value option are recorded in the income statement item "80 - Net profit/loss from trading".

From the perspective of prudential supervision, in compliance with prudential regulations in force, distorting effects from changes in fair value due to changes in own creditworthiness are eliminated from own funds.

Lastly, note that gains posted to the income statement under the fair value option and not yet realised are not distributable.

Contributions to deposit guarantee systems and resolution mechanisms

Following the incorporation into national law, Directives 2014/49/EU (Deposit Guarantee Schemes Directive - "DGSD") of 16 April 2014 and 2014/59/EU (Bank Recovery and Resolution Directive - "BRRD") of 15 May 2014, starting from the 2015 financial year, credit institutions are obliged to provide the financial resources necessary for the operation of the FIDT (Interbank Deposit Protection Fund) and the National Resolution Fund (merged into the FRU - Single Resolution Fund in 2016), through the payment of ex-ante ordinary contributions to be paid annually, until a determined objective level has been reached. Should the financial means available to the FITD and/or the FRU not be sufficient, respectively to guarantee the reimbursement of the protected deposit or to finance the resolution, it is required that credit institutions must provide to make the payment of extraordinary contributions. These contributions fall under the field of application of the IFRIC 21 "Levies" interpretation, on the basis of which a liability related to the payment of levy derives from the occurrence of the "obligating event" which triggers the payment obligation. The balancing entry of this liability is represented by item 190



“Administrative expenses - (b) other administrative expenses” of the income statement. The contributions are considered similar to a levy and the moment of onset of the “binding event” was identified in the first quarter for the FRU and in the third quarter for the FITD.

The ordinary contribution to the FRU for the 2021 financial year amounts to EUR 67.5 mln (EUR 58.2 mln was the contribution for the 2020 financial year). In this regard, it should be noted that for 2021, as in the previous year, the Group did not avail itself of the possibility of complying with the request through the assumption of an irrevocable payment commitment (“IPC - Irrevocable Payment Commitments”). Consequently, the contribution is fully recognized in the income statement.

The ordinary contribution to the FITD, recognized in the income statement of 2021, amounts to EUR 77.1 mln (EUR 60.1 mln was the contribution requested for the year 2020 recognized in the third quarter of 2020).

Finally, it should be noted that, in June 2021, additional contributions to the National Resolution Fund were called up by the Bank of Italy for an amount equal to EUR 22 mln, to meet the financial needs associated with the resolution measures carried out prior to the starting of the FRU. In detail, these are the initiatives launched in November 2015 by the Bank of Italy, in its capacity of national resolution authority, with respect to the following four banks: Cassa di Risparmio di Ferrara S.p.A., Banca delle Marche S.p.A., Banca Popolare dell'Etruria and del Lazio - Società cooperativa e Cassa di Risparmio della Provincia di Chieti S.p.A., this amount was also charged under item “190. b) Other administrative expenses” (in 2020, additional contributions of EUR 18.4 mln were requested).

Investments in the Voluntary Scheme of the Interbank Deposit Protection Fund

The banks of the MPS Group, as members of the Voluntary Scheme of the Interbank Deposit Protection Fund, in 2018 approved the proposed intervention in support of Banca Carige, which was realised through the subscription by the Voluntary Scheme of (Tier 2) subordinated bonds issued by Banca Carige on 30 November 2018, for a total amount of EUR 318.2 mln. In detail, the aforementioned subordinated bonds were subscribed by requesting the participating banks to pay a total of EUR 313.2 mln in proportion to their respective shares of the Scheme and using, for the residual amount, resources already available.

On 20 December 2019, the share capital increase of Banca Carige was completed, as part of which the Voluntary Scheme subscribed ordinary shares for a total value of EUR 313.2 million through the conversion, at par, of the previously held subordinated bonds. Following the assignment of an amount equal to EUR 10 mln new shares to the retail shareholders who attended the Banca Carige Shareholders' Meeting which approved the capital increase, starting from 31 December 2019 and also on 31 December 2021, the Voluntary Scheme holds ordinary shares of Banca Carige for a total amount of EUR 303.2 mln, as well as subordinated bonds (Tier 2), not converted into shares, for an amount of EUR 5 mln.

Through the Voluntary Scheme, in addition to the exposure held indirectly in Banca Carige as illustrated above, the MPS Group indirectly holds the mezzanine and junior securities of the vehicle Berenice, relating to the securitization of the receivables of the Casse di Risparmio di Cesena, Imola and San Miniato, signed by the Voluntary Scheme on 21 December 2017 for an amount of EUR 12 mln and EUR 158 mln, respectively.

Against the aforementioned interventions, the resources paid by the Group amounted to approximately EUR 26 mln, of which approximately EUR 11 mln relating to the securitization securities and EUR 15 mln attributable to the intervention in Banca Carige. Taking into account the write-downs charged in previous years, as at 31 December 2021 the book value of the investment in the Voluntary Scheme amounted to EUR 0.9 mln, attributable to the mezzanine securities of the Berenice securitization and to the subordinate bond of Banca Carige. The indirect investment in shares in Banca Carige, equal to EUR 2.5 mln at 31 December 2020, was fully written down in the current year, also taking into account the recent developments affecting the same bank. In detail, on 14 February 2022, the FITD accepted the purchase offer received from the BPER group for 80% of the shareholding of the Ligurian bank owned by the FITD, offering 1 euro as consideration and requesting that the Fund provide to recapitalize Banca Carige for EUR 530 mln.

Purchase of protection from credit risk through financial guarantee contracts

The Group identified the conditions that need to be in place for a contract to qualify, from an accounting perspective, as a financial guarantee. First and foremost, the classification as a financial guarantee and the



subsequent accounting treatment does not depend on the legal form of the contract; in fact, financial guarantee contracts may assume different legal forms, for example that of a guarantee, some types of credit letters, a loan default contract or an insurance contract.

Among the preliminary criteria for the purposes of classification are considered contract financial and management objective concepts such as, for example, in the event of the purchase of protection, the assumption of a guarantee from any losses incurred on the hedged asset.

All the following elements must also be present:

- a) stipulation of the contract for the purpose of hedging credit risk, deriving from debt instruments;
- b) presence of the deliverable obligation, for the purposes of activation of the financial guarantee, in the financial statements of the purchaser of protection;
- c) unbudgeted payments in response to changes in specific rates, prices, ratings, exchange rates, indexes or other variables that are governed by the rules on derivatives;
- d) repayments made by the protection seller only if the protection purchaser has suffered losses on the hedged asset (direct link between the obligation of the guarantor and the assets in the portfolio of the guaranteed party, as indicated in previous line b) and for amounts not exceeding the loss actually recorded;
- e) analysis of the economic substance of the characteristics of the contract, allowing under credit events (i) failure to pay, (ii) bankruptcy, (iii) restructuring, (iv) moratorium etc.

By contrast, the duration of the guarantee does not necessarily need to correspond to the duration of the hedged asset. In fact, it is allowable for the underlying asset to be hedged for only a part of its residual useful life.

Contracts that meet the aforementioned conditions are similar to financial guarantees and are entered into as part of synthetic securitisation transactions of portfolios in which the Group acts exclusively on the side of the purchaser of credit risk protection.

TLTRO III – Targeted Longer Term Refinancing Operations

The TLTRO III “Targeted Longer Term Refinancing Operations” are financing operations conducted by the ECB aiming to preserve favourable conditions of bank credit and support the accommodating stance of monetary policy. Following the emergency linked to the COVID-19 pandemic, some of the criteria initially envisaged by the ECB in 2019 were improved between March and December 2020, in particular the maximum amount that can be financed and the related remuneration. The financing that can be obtained from each bank depends on the amount of loans granted to non-financial companies and households (eligible loans) on certain recognition dates. Operations are carried out on a quarterly basis, starting from September 2019 and each transaction has a duration of three years.

With regard to the remuneration of the loans, following the aforementioned revisions, the interest rate was set at a level equal to the average rate of the main refinancing operations of the Eurosystem (MRO), currently equal to 0%, except for the period between on 24 June 2020 and 23 June 2022 (“*special interest rate period*”), when the rate applied will be 50 basis points lower. An incentive mechanism has also been established which provides access to more favourable rate conditions when specific benchmarks are reached. In detail, the improved rate applied is equal to the average rate on deposits with the central bank (Deposit Facility), currently equal to -0.5%, for the entire duration of the respective operation, with the exception of the “special interest rate period”, to which a further reduction of 50 basis points will be applied (and in any case not higher than -1%). Interest is settled in arrears at the maturity of each TLTRO III transaction or at the time of early repayment.

The MPS Group applies the accounting treatment defined in accordance with IFRS 9 to TLTRO III transactions, considering the refinancing conditions defined by the ECB as market rates as part of the Eurosystem’s monetary policy measures. According to the Group’s accounting policy, the preferential rates envisaged for the period from 24 June 2020 to 23 June 2022 are recognized in accordance with IFRS 9 as floating rates applicable to the reference period, as the Governing Council of the ECB may at any time prospectively change the interest rate of TLTRO III operations (as it did in April and December 2020). Interest is therefore recognized from time to time on the basis of the interest rate of the instrument for each period (equal to -0.5% until 24 June 2020; equal to -1% until 23 June 2022 and equal to -0.5% subsequently and until maturity, based on current rates) as set forth in paragraph B5.4.5 of IFRS 9. In the event of any changes to the forecasts on the achievement of the aforementioned benchmarks, the provisions of IFRS 9 on revisions of the revised estimate cash flows will apply.



It should be noted that, on 9 February 2021, ESMA submitted a question to the IFRS Interpretations Committee (IFRS IC) regarding the methods of accounting for TLTRO III operations with particular reference to the following aspects: applicability to the transactions in question of the IFRS 9 or IAS 20, methods of accounting for interest in the “special interest period” and accounting treatment of changes in estimates (both as a result of contractual amendments and in relation to the achievement of benchmarks that allow to benefit from the improved rates).

In the meetings of 8-9 June 2021, the aforementioned Committee published the Tentative Agenda Decision, subsequently integrated in the meetings of 30 November-1 December 2021 to take into account the comments received, without however providing direct indications on the matter, postponing the discussion to the as part of the “Post Implementation Review” (PIR) project relating to the Classification and Measurement of IFRS 9.

In light of the above, for the purposes of preparing these Consolidated Financial Statements, given the absence of precise and definitive indications from the Regulators and in consideration of the solid rationale underlying the accounting policy adopted by the Group, the procedure used for the accounting of TLTRO III transactions used up to now and reported above was continued. However, it cannot be excluded that, upon completion of the ongoing analyses, different approaches may emerge with regard to the accounting treatment to be adopted for the accounting of the case in question compared to that carried out by the Group as at 31 December 2021.

As at 31 December 2021, TLTRO-III transactions amounted to EUR 29.5 bn, fully subscribed by the Parent Company, referring to five drawdowns made respectively in December 2019 (EUR 4.0 bn), June and September 2020 (EUR 17 bn and EUR 3 bn), March and June 2021 (EUR 2.5 bn and EUR 3 bn).

In this regard, it should be noted that the Group, having reached the “net lending benchmark” for the period from 1 March 2020 to 31 March 2021 and for the period from 1 October 2020 to 31 December 2021, is entitled to benefit from the most favourable rate on the Deposit Facility for the entire duration of the loans, currently equal to -0.5%, with a further reduction of -0.5% for the period from 24 June 2020 to 23 June 2022.

Overall interest income recognized in the income statement for 2021 therefore amounts to EUR 278.7 mln (EUR 129 mln at 31 December 2020), calculated on the basis of the most favourable possible rate of -1%.

Tax credits linked to the “Rilancio” (Relaunch) Law Decree acquired following assignment by the direct beneficiaries or previous purchasers

As part of the urgent measures on health, support for work and the economy, as well as social policies linked to the COVID-19 epidemiological emergency, Law Decree no. 34/2020 (“Rilancio” - Relaunch) introduced tax incentive measures for specific energy and anti-seismic efficiency interventions, the installation of photovoltaic systems and infrastructure for recharging electric vehicles in buildings (“Superbonus”).

These tax incentives, applicable to both households and businesses, are commensurate with a percentage of expenses incurred, and are disbursed in the form of a tax credit or tax deduction. The main characteristics of these tax credits are:

- they may be used for offsetting;
- they may be assigned to third-party purchasers;
- they are not refundable by the Tax Authority.

Due to the specific features of these tax credits, it is not possible to immediately identify a specific accounting standard applicable to them. IAS 8 establishes that, when there is a situation not explicitly addressed in an IAS/IFRS, the company management will need to define a suitable accounting policy to provide a relevant and reliable disclosure.

The Group, taking into account what has been specified by the Authorities⁴⁴, defined its accounting policy which refers to the accounting rules laid out in IFRS 9, applying provisions compatible with the characteristics of the transaction and considering that, substantially, these credits are equivalent to financial assets.

The Group purchases the credits based on its Tax Capacity with a view to holding them and using them for future offsetting; therefore, these credits are linked to a Held to Collect Business Model and recognised at amortised cost, with remuneration represented in net interest income throughout the recovery time period.

⁴⁴ On 5 January 2021, the Bank of Italy, Consob and IVASS published the document “Accounting treatment of tax credits linked to the Cura Italia and Rilancio (Relaunch) Law-Decrees acquired following assignment by the direct beneficiaries or previous purchasers”.



The accounting framework established by IFRS 9 for the calculation of expected losses is not applicable to this specific case, i.e. the expected credit loss (ECL) is not calculated as there is no counterparty credit risk, taking into account that tax credits are realised through offsetting and not collection.

Lastly, as specified in the joint Authority document, taking into account that for the purposes of the international accounting standards these tax credits do not represent tax assets, public contributions, intangible assets or financial assets, the most appropriate classification for representation in the financial statements is the residual category “Other Assets” in the Balance Sheet.

As at 31 December 2021, the Group had completed approximately 5,000 purchase transactions, of which approximately 66% with private individuals and condominiums, for a nominal value of approximately EUR 189 mln that can be used starting from the current year. The book value of the aforementioned receivables recognized in the item “Other assets” amounted to EUR 167.8 mln as at 31 December 2021.

It should also be noted that the Group, as at 31 December 2021, received requests for the sale of these receivables for a total amount of approximately EUR 1.8 bn, currently under review/processing.

Other matters

Classification criteria for financial assets

The classification of financial assets in the three categories envisaged by the standard depends on two classification criteria, or drivers: the business model with which the financial instruments are managed and the contractual characteristics of the cash flows of the financial assets (or SPPI Test).

The financial asset classification derives from the combination of these two drivers, as shown below:

- Financial assets measured at amortised cost: assets that pass the SPPI test and fall under the Held to Collect business model (HTC);
- Financial assets measured at fair value through other comprehensive income (FVOCI): assets that pass the SPPI test and fall under the Held to Collect and Sell business model (HTC&S);
- Financial assets measured at fair value through profit or loss (FVTPL): a residual category, which includes financial instruments that cannot be classified in the previous categories based on the results of the business model test or the test on the characteristics of contractual cash flows (SPPI test failed).

Business model

With regard to the business model, IFRS 9 identifies three cases in relation to the methods by which cash flows are managed and financial assets are sold.

- Hold to Collect (HTC): a business model whose objective is achieved by collecting contractual cash flows from the financial assets included in the relative portfolios. The inclusion of a financial asset portfolio under this business model does not necessarily mean that the instruments cannot be sold, though it is necessary to consider the frequency, value, and timing of sales in previous years, reasons for sales, and expectations regarding future sales;
- Hold to Collect and Sell (HTCS): a mixed business model, whose objective is achieved by collecting contractual cash flows from the financial assets included in the portfolios and by sales activities, which is an integral part of the strategy. Both activities (collection of contractual cash flows and sales) are essential for achieving the business model's objective. Therefore, sales are more frequent and for greater amounts than an HTC business model and are an essential component of the strategies pursued;
- Other/Trading: a residual category that includes both financial assets held for trading purposes and financial assets managed with a business model other than the previous categories (Hold to Collect and Hold to Collect and Sell). In general, this classification applies to a portfolio of financial assets whose management and performance are assessed based on fair value.

The business model reflects the methods by which financial assets are managed to generate cash flows for the entity's benefit and is defined by top management through the appropriate involvement of business structures. It is determined by considering the ways in which financial assets are managed and, as a consequence, the extent to which the portfolio's cash flows derive either from the collection of contractual cash flows, or from the sale of financial assets, or from both of these events.

The assessment does not take place on the basis of scenarios that, based on the entity's reasonable forecasts, are not likely to occur, such as “worst case” or “stress case” scenarios. For example, if the entity expects to sell a given portfolio of financial assets only in a “stress case” scenario, that scenario does not affect the assessment of the



entity's business model for those assets if that scenario, based on the entity's reasonable forecasts, is not likely to occur.

The business model does not depend on the intentions that management has for an individual financial instrument, but refers to the ways in which groups of financial assets are managed for the purpose of achieving a specific business objective.

In summary, the business model:

- reflects the methods by which financial assets are managed to generate cash flows;
- is defined by top management through the appropriate involvement of business structures;
- must be determined by considering the methods by which financial assets are managed.

When assessing a business model, all relevant factors available at the assessment date are used. These factors include the strategy, risks and their management, remuneration policies, reporting, and the amount of sales. In analysing the business model, it is crucial that the factors evaluated are consistent amongst themselves and, in particular, are consistent with the strategy pursued. Evidence of activity not in line with the strategy must be analysed and adequately justified.

For the Held to Collect portfolios, the Group has defined eligibility thresholds for sales that do not affect the classification (frequent but not significant, individually and in the aggregate, or infrequent though of a significant amount) and, at the same time, established the parameters to identify sales consistent with this business model, when they are attributable to an increase in credit risk.

More specifically, as part of an HTC business model, sales are permitted i) in the event of an increase in credit risk, ii) when carried out near maturity, and finally, iii) when they are frequent but not significant in terms of value or infrequent, even if their value is significant.

A description of the circumstances on the occurrence of which the Group deems admissible to implement sale transactions of the assets in question is given below.

Increase of the credit risk

The Group deems that there is an increase in credit risk when events occur that involve:

- the classification of the financial asset under stage 2, previously classified under stage 1;
- the classification of the financial asset under impaired assets (or stage 3), previously classified under stages 1 or 2.

On the occurrence of these cases, sales are admissible, independently of any frequency or significance threshold; this occurs, for example, in the case of transfers of non-performing loans.

Proximity of the instrument's expiry

The Group deems that, independently from any frequency or significance threshold, transfers are compatible with the HTC business model if the time interval before the expiry is 10% of the original duration of the instrument, with a maximum absolute limit of 12 months.

Frequency and significance lower than determined thresholds

- frequency is defined as the percentage ratio between the number of positions sold (ISIN or relationships) during the observation period and the total positions in the portfolio present at the beginning of the observation period. Sales carried out based on a number lower than a value equal to 5% of the number of securities held in the portfolio at the start of the year are infrequent (this value is equal to zero if the number of securities at the start of the year is under 40);
- significance is defined as the percentage ratio between the nominal value of sales and the total nominal value of instruments in the portfolio present at the beginning of the observation period. The significance threshold of individual sales identified by the Group is 5%.

The two thresholds must be considered in a separate manner; it derives that individual sales made for an amount higher than 5% compared to initial amount, even if infrequent, are not admissible. In the case of that both the frequency and significance thresholds are met for an individual sale, a further assessment is envisaged in terms of aggregate sales volume. In this case, the significance threshold of the aggregate amount of sales identified by the Group is 10%.

These thresholds were established and applied both at the level of the individual legal entity belonging to the Group and of the Group itself and only for the portfolio of debt securities, as the sales of loans portfolios carried out by



the Group are attributable to an increase in the credit risk and to the derisking strategy required by the Supervisory Authority.

During 2021 and up to the date of preparation of these Financial statements, no change has occurred in the eligibility criteria for sale of financial assets managed under HTC Business Model. It should be noted that the management of debt securities classified in the “HTC” and “HTCS” portfolios continues in accordance with the strategy made in previous years; therefore, no change in the business model occurred during the year that required the necessity to reclassify these securities portfolios.

SPPI test

The other criterion to be used to determine whether a financial asset should be classified under financial instruments measured at amortised cost or at FVOCI - in addition to the Business Model analysis shown above - envisages that the related cash flows are represented exclusively by the payment of the principal and interest on the amount of principal to be repaid. To this end, IFRS 9 regulates that the SPPI test is carried out, with the purpose of verifying that the remuneration for a specific financial instrument, whether a debt security or loan, is linked exclusively to the payment of interest and repayment of principal.

A debt instrument that does not meet the SPPI test must always be measured at FVTPL and classified under the sub-item “other financial assets mandatorily measured at fair value”.

For purposes of the analysis, IFRS 9 proposes a definition of the terms “principal” and “interest”, as follows:

- the principal is intended as the fair value of the financial asset at the time of its initial recognition. This value may change during the life of the financial instrument, for example as a result of repayments of part of the principal;
- interest is the consideration for the time value of money, for the credit risk associated with the principal over a given period of time, for other risks and costs associated with the basic risks of a lending transaction, and for the profit margin.

In basic lending arrangements, the value of interest must depend exclusively on the time value of money and on the credit risk associated with the principal over a given period of time. Whenever contractual terms introduce other elements, it is no longer possible to consider that asset as solely generating cash flows in terms of principal and interest. This could happen, for example, when the cash flows come from non-recourse financial assets. The cash flows of these financial assets may involve not only interest payments and principal repayments, since the remuneration is linked to specific business activities. In this regard, the owner of the asset must assess, using the look-through approach, whether or not its instruments pass the SPPI test. For example, when the entity has non-recourse financial assets, whose cash flows depend on the performance of an element of the issuer’s equity (e.g., net income), the possibility of amortised cost or FVOCI measurement must be excluded. Furthermore, when contractual cash flows depend on characteristics such as changes in share or commodity prices, the related financial instruments cannot pass the SPPI test, as they introduce exposure to risk or volatility that is not correlated with basic lending arrangements.

IFRS 9 points out that all financial instruments that are subject to “leverage effect” cannot be considered generators of principal and interest cash flows, since leverage has the potential to increase the volatility of cash flows. This includes swaps, options, forward contracts, and all derivative contracts.

IFRS 9 defines two cases in which the time value of money can be considered changed (modified time value of money) or when the relationship between the passage of time and the interest rate is considered imperfect. One case occurs when the asset’s interest rate is periodically recalculated, but the frequency of this recalculation or the frequency of the payment does not correspond to the nature of the interest rate. This can happen, for example, when variable interest payments are made on a monthly basis and, at the beginning of each month, the interest rate is determined using the 6-month Euribor rate: the monthly interest rate is determined in reference to an interest rate calculated every six months, and therefore, under a different time horizon. In these cases, the accounting standard introduces the need to make a comparison between cash flows deriving from the financial asset being measured and cash flows deriving from a financial asset considered identical in terms of credit risk and duration, but for which the monthly interest is calculated based on the monthly Euribor. The other case of imperfect correlation between the passage of time and the time value of money occurs when the asset’s interest rate is periodically restated based on an average of particularly short or medium/long-term rates. For example, when a financial asset provides for the payment of interest every three months, based on the average three-month Euribor interest rate in the quarter preceding the one to which the interest refers.

Therefore, in these cases the entity must analyse whether the financial asset generates only cash flows related to principal and interest, despite the change in the time value of money. The objective of this analysis is to verify how



different the non-discounted contractual cash flows would be if there were no changes in the time value of money over time (known as the benchmark cash flow test).

In addition, any contractual clauses that could change the frequency or amount of contractual cash flows must be considered in order to assess whether such cash flows meet the requirements to be SPPI compliant (e.g., prepayment options, possibility to defer the contractually agreed cash flows, instruments with embedded derivatives, subordinated instruments, etc.).

However, as required by IFRS 9, a contractual cash flow characteristic does not affect the classification of the financial asset if it can only have a de minimis effect on the contractual cash flows of the financial asset (in each year and cumulatively). Similarly, if an element of cash flows is not realistic or genuine, i.e., if it affects the instrument's contractual cash flows only at the occurrence of an extremely rare, highly unusual, and very unlikely event, it does not affect the classification of the financial asset.

In the case of instruments subordinated to another instrument (e.g., guaranteed debt securities), the related cash flows are linked to the nominal value of the principal or interest of the principal instrument. The instrument's owner has the power to exercise the right of pre-emption, even in the event of the borrower's bankruptcy. These instruments are included among those that do not pass the SPPI test.

With regard to contractually linked instruments, reference is made to instruments with which an entity assigns a certain priority to the payment of cash flows. The order of priority depends on the credit risk assigned to each category of creditor, called "tranche". The characteristics that an investment, belonging to a given tranche, must possess in order to be considered a generator of cash flows that are exclusively related to the payment of interest and repayment of principal are as follows:

- the underlying assets must contain one or more financial assets that generate cash flows consisting exclusively of interest payments and principal repayments. Furthermore, the presence of supporting financial instruments, such as derivatives, is permitted only if they serve to reduce the volatility of the relative cash flows;
- the exposure to credit risk relating to a given tranche must be equal to or less than the risk exposure attributable to the underlying financial instruments.

For purposes of conducting the SPPI test on transactions in debt securities, MPS Group uses the services of an info-provider. The test is carried out manually using a proprietary tool based on an internally developed methodology (decision trees) only if the securities are not managed by the info-provider.

A proprietary tool based on a method developed in-house (decision trees) was developed to perform the SPPI test for credit approval processes. In particular, given the significantly different characteristics, differentiated management is envisaged for products that have a standard contract (typically, the retail loan portfolio) and tailor-made loans (typically, the corporate loan portfolio). For standard products, the SPPI test is conducted when the standard contract is structured, through the "Product Approval" process, and the test result is extended to all individual relationships that refer to that product in the catalogue. Instead, for tailor-made products, the SPPI test is carried out for each new credit line/relationship submitted to the decision-making body through the use of the tool. Decision trees - included in the proprietary tool - have been prepared internally (both for debt securities and loans) and capture possible features that may not comply with the SPPI test.



Application of Group accounting policies to finalised transactions or events occurred in the financial year deemed significant for the purposes of the statement of financial position.

Settlement with the Monte dei Paschi di Siena Foundation

On 21 July 2021, the Fondazione Monte dei Paschi di Siena and the Parent Company announced that a preliminary agreement had been reached between the Parent Company and the Fondazione regarding the out-of-court claims, mostly referring to the acquisition of Banca Antonveneta, the 2011 capital increase and the 2014-2015 capital increases. The preliminary agreement, approved by the Board of Directors held on 5 August 2021 and finalized on 7 October 2021, provided that BMPS:

- pay the sum of EUR 150 mln to FMPS;
- grants FMPS, for a period of 15 years, the right of pre-emption on the purchase of the rights due to it on the property located in Siena, Piazza Salimbeni 3, in the event of transfer of all or part of the same (or establishment of minor rights in rem) separately from the banking company, with the recognition of a 10% discount on the price offered for the purchase of such rights;
- assigns to FMPS the (non-real) right of use of the works of art and documents contained in the historical archives it owns, for a period of not less than 30 years, it being understood that the custody and conservation of the works and archives are and remain BMPS's responsibility in terms of care and expense, without any expense pertaining to FMPS, and that FMPS has the right to identify, on its own initiative or in collaboration with BMPS, knowledge and promotion activities (through exhibitions, shows, etc.) in Italy and abroad.

As a result of the agreement and with reference to the formal warning and formal notice sent to BMPS, FMPS has definitively renounced all claims, actions, rights, actual or potential, against the Parent Company and the latter, with reference to the disputes sent to the Foundation, has made an identical and specular definitive waiver of any claim, action, right, current or potential, against FMPS. The agreement resulted in the closure of out-of-court requests for EUR 3.8 bn made by the Foundation and further legal disputes for around EUR 0.2 bn, against a consideration of EUR 150 mln that the Parent Company paid in October using the provision for risks and charges previously set aside.

With regard to the right of pre-emption on the property in Piazza Salimbeni, it should be noted that the agreement specifies that (i) by transfer we mean any fact, deed and / or transaction that involves, directly or indirectly, the change of ownership of all or part of the rights due to the Bank on the property and that (ii) by constitution of minor real rights of enjoyment on the Property we mean the constitution on the same property of one or more of the real rights provided for in Book III, Titles III, IV, V and VI of the Civil Code.

In this regard, the property in question is currently classified as for business purpose (IAS 16), as it is the head office of the Parent Company's General Management and, starting from 31 March 2021, the valuation at fair value was adopted. The fair value was determined by an expert, as required by IFRS 13, assuming that the current use constitutes the "maximum and best use", as in the other operating properties.

In fact, if, as in the case of an aggregation with another bank and / or approval of a plan to dispose of the property, the transfer of these rights is expected, then the right of pre-emption must be assessed to take into account both any change in the use of the property and the right of pre-emption. In this regard, however, it should be noted that any transfer of rights relating to the property is a necessary but not sufficient condition to change the value of the property and incorporate the 10% discount. In fact, it is believed that the holder of the right of pre-emption must materially be able to exercise the right.

At the moment, as no changes are foreseen in the use of the property, the assessments in the financial statements of the same do not incorporate any effects of the right of pre-emption.

As regards the right of use on works of art, the agreement also establishes that the Foundation does not have an exclusive right to use them and that the Foundation may use the works of art exclusively for the purpose of creating, on its own initiative and/or in collaboration with the Bank or with other subjects, activities of knowledge and promotion of the works of art (such as, by way of example and not limited to, exhibitions, displays and manifestations of artistic and cultural interest, etc.) within the country and/or abroad.

The Parent Company's works of art are accounted for in the financial statements according to the cost criterion. The rights of use granted to FMPS concern the entire artistic patrimony of the Bank. The use of the cost criterion implies the monitoring of any indicators of impairment, or deterioration of the value of the asset. From this point of view, the granting of these rights of use, exercised moreover for the purpose of getting to know and promoting



the works of the artistic heritage, does not constitute a sign of impairment and therefore does not produce negative effects on the book value of the artistic heritage.

Use of estimates and assumptions when preparing financial statements

The estimates required by accounting standards can have a significant impact on the balance sheet and income statement, as well as on disclosure of contingent assets and liabilities reported in the financial statements. Production of these estimates involves the use of available information and adoption of subjective assessments. By their nature, the estimates and assumptions utilised may vary from one period to another and, therefore, it cannot be ruled out that in subsequent periods the actual amounts stated in the accounts may differ, even to a significant extent, as a result of changes in subjective assessments made. These estimates and valuations are thus difficult and bring about inevitable elements of uncertainty, even in stable macroeconomic conditions.

The main cases in which subjective valuations are mostly opted for by Management include the:

- a) the use of the going concern assumption;
- b) quantification of impairment losses on loans and, more generally, other financial assets;
- c) assessment of the adequacy of the value of equity investments and of other non-financial assets (goodwill, intangible assets, and property, plant and equipment, including right of use assets acquired through leasing);
- d) use of valuation models to measure the fair value of financial instruments not listed in active markets;
- e) estimation and assumptions on recoverability of deferred tax assets;
- f) estimation of liabilities arising from defined benefit company pension funds;
- g) quantification of provisions for risks and charges related to legal and tax disputes.
- h) the quantification of the fair value of investment properties and operating properties for business use.

For some of the cases listed above, the main factors that are subject to estimates by the Group, and which therefore contribute to determining the book value of assets and liabilities in the financial statements, can be identified.

In summary, note that:

- a) the use of the going concern assumption is based on exceeding the uncertainty associated to the requirements to strengthen the company capital; this uncertainty is in fact mitigated by the full support of the controlling shareholder and a possible future “structural solution” scenario. With the possibility of a merger with UniCredit no longer possible in 2021, the activities for the necessary capital initiatives that the Bank will have to take have started. In this context, on 17 December 2021 the Board of Directors approved the 2022-2026 Strategic Plan which confirms the extent of the capital strengthening for EUR 2.5 bn. In this context, DG Comp and the ECB would be required to assess, to the extent of their respective competences, the Italian government’s intervention on the basis of the Parent Company’s standalone viability. It cannot be excluded that, as part of this assessment, unforeseeable elements might arise that could affect the Parent Company’s capital strengthening process and the structure and feasibility of a capital increase at market conditions. Therefore, the assessment of DG Comp is the source, in principle, of material uncertainty. After the incisive interventions on credit risk carried out since 2018, which have significantly reduced the incidence of non-performing exposures, the Bank continues to work to reduce business risk, actively engaging in initiatives aimed at reducing legal risks, which at the end of 2021 were reduced in terms of claims by about 40%. Taking into account the significant improvements recorded by the Group in the course of 2021 in terms of capital and risk reduction, as well as the discussions held so far with the Authorities, it is believed that the capital *shortfall* can be overcome through a transaction of capital strengthening on a *stand-alone* basis, subject to approval by DG Comp of the new 2022-2026 business plan.
- b) for the allocation in the three credit risk stages envisaged in IFRS 9 for loans and debt securities classified as “Financial assets measured at amortised cost” and “Financial assets measured at fair value through other comprehensive income”, and the calculation of the expected losses, the main estimates concern:
 - o determination of the parameters of significant increase in credit risk, based essentially on models for measuring the probability of default (PD) at the origination of financial assets and at the reporting date;
 - o inclusion of forward-looking elements, including macroeconomic, for calculating PD, EAD, and LGD;
 - o for calculating expected future cash flows from non-performing loans, certain elements are taken into account: expected repayment schedule, expected realisable value of any collateral, costs expected to be incurred for collection of the credit exposure, and finally, the probability of sale for positions that have a disposal plan;



- c) for calculating the value in use of intangible assets with indefinite life (goodwill) with reference to the cash generating units (CGUs) that make up the Group, future cash flows for the forecast period and cash flows used to determine the terminal value generated by the CGUs are estimated separately and are appropriately discounted. The cost of capital is included in the estimates;
- d) for calculating the fair value of financial instruments not listed on active markets, if it is necessary to use parameters that cannot be inferred from the market, the main estimates concern, on one hand, the development of future cash flows (or also profits for equity securities), possibly contingent upon future events and, on the other, the level of certain input parameters not listed on active markets;
- e) for quantifying post-employment benefits, the present value of the obligations is estimated, taking into account the cash flows, appropriately discounted, resulting from the historical statistical analysis and the demographic curve;
- f) for quantifying provisions for risks and charges, the amount of disbursements necessary to satisfy the obligations is estimated, where possible, taking into account the effective probability of having to make use of resources;
- g) for calculating the items related to deferred taxation, the probability that taxes will effectively be incurred in the future (temporary taxable differences) and the degree of reasonable certainty - if any - of future taxable profits at the time the taxes can be deducted is estimated (temporary deductible differences).
- h) for the determination of the fair value of the properties, carried out through the preparation of specific appraisals by a qualified and independent company, certain unobservable input data are estimated, such as, for example, the discount rate, the capitalization rate of income, etc.

For point a), please refer to the following paragraph, "Use of going concern assumption", for points b), c) and g) please refer to the following paragraphs: "Methods for calculating impairment on IFRS 9 financial instruments, (impairment)", "Methods for calculating impairment on equity investments", "Methods for calculating impairment on other non-financial assets" and "Methods for recognising deferred tax assets (probability test)"; as regards point s d) and h), please refer to paragraph "A.4.1. Level 2 and 3 of fair value: measurement techniques and inputs used" of Section A.4 Information on fair value of the Notes to the Consolidated Financial Statements. The actual technical and conceptual solutions used by the Group are analysed in more detail in the individual sections of the notes to the balance sheet and income statement, where the distinct contents of each item in the financial statements are described. With regard to the cases referred to in points e) and f), please refer to Section 12 under liabilities in the Notes to the Consolidated financial statements "Defined benefit company pension funds" and Part E of the Notes to the financial statements, Section 1.5 "Operational risks".

Among the main factors of uncertainty that could affect the future scenarios in which the Group will operate must be considered the negative effects on the global and Italian economy directly or indirectly linked to the Coronavirus (COVID-19) epidemic.

The spread of the COVID-19 pandemic and its implications for public health, for economic activities and trade, almost two years from the start of the health emergency, continue to significantly impact the growth of the markets in which the Group operates. Despite the cautious optimism resulting from the vaccination campaign underway, albeit with some unknown factors linked to the development of the virus variants, elements of uncertainty remain as to how production activities will be able to resume after the events that characterized the 2020 financial year and, to a lesser extent, the year 2021. This recovery, in addition to being influenced by the evolution of the pandemic, will depend on the effectiveness and temporal extension of the expansionary support measures - for household and business incomes, credit to the economy and liquidity on the markets - undertaken by the competent authorities. authorities (Governments, ECB, European Union...) in response to the health crisis, which, however, will make the process of identifying the signs of credit deterioration even more complex.

In this context, until the framework of the crisis and of national and European interventions takes on more defined contours, the inclusion in the budget estimates of the effects of COVID-19 will prove to be a particularly complex exercise, as these effects will depend on a series of variables that cannot be predicted to date, except with a certain margin of uncertainty. The following paragraph "Risks, uncertainties and impacts of the COVID-19 epidemic" provides an analysis of the main risks and uncertainties to which the Group is exposed due to the effect of COVID-19 and of how the Group has taken this into account for the purpose of preparing these consolidated financial statements.

Furthermore, among the main factors of uncertain that could affect the future scenario in which the Group operates, it is necessary not to underestimate the negative effects on the global and Italian economy directly or indirectly linked to Russia's military aggression against Ukraine, initiated on 24 February 2022, which could also extend beyond this country, as illustrated in more detail in the section "Business outlook" in the Group's Report on Operations. At the date of preparation of these Financial Statements, it cannot be excluded that, should the war



events not be promptly defined, the general and specific economic consequences for the Group could be more severe than what can be assumed at present, but of an extent that is difficult to estimate.

Lastly, please note that in order to allow an appreciation of the effects on the financial statements correlated to above mentioned elements of uncertainty, in these consolidated financial statements, for the main items of the financial statements subject to estimates (recoverability of deferred tax assets, expected losses on performing exposures, recoverability of intangible assets with an indefinite useful life) information is provided on the main hypotheses and assumptions used in the estimate, as well as a sensitivity analysis with respect to alternative hypotheses.

With particular reference to the uncertainty related to the military aggression of Russia against Ukraine, as also indicated in the following “Section 4 - Events after the reporting period”, it is not possible, however, to exclude the need re-estimate figures downwards in the light of the information that will become available from time to time, both with respect to the book values of the main items subject to estimate, and with respect to the scenarios considered for the purposes of the sensitivity analysis as at 31 December 2021.

The accounting policies considered to be the most critical for the purpose of a true and correct representation of the Group’s financial situation and results of operations, both in terms of materiality of the values to be recorded in the financial statements impacted by these policies, and for the high degree of judgment required in the measurements, which implies the use of estimates and assumptions by management, with reference to the specific sections of the explanatory notes for detailed information on the evaluation processes carried out at December 31, 2021.

Use of the going concern assumption

The assessment of the Group’s ability to continue as a going concern is based essentially on the prospective evolution of the capital and liquidity position over a time span of at least 12 months. With regard to estimates, it is possible that a prospective capital shortfall might emerge with respect to overall capital requirements within the evaluation timespan. With regard to liquidity, the position remains strong due to the significant measures implemented by the ECB.

Please note that, with respect to the estimates used in the 2020 financial statements which indicated a shortfall already from the first quarter of 2021, increasing to EUR 1.5 bn as at 1 January 2022, no shortfall was identified as of 31 December 2021, nor was it identified for the previous quarters. In the 12-month horizon from the reference date, i.e. 31 December 2022, a shortfall of EUR 150 mln might emerge, assuming that the update of the models within the EBA Guidelines is completed by the end of the year 2022.

The gradual decrease in the expected shortfall expected in 12 months, compared to the estimates used in the financial statements as at 31 December 2020, derives from the effects of already implemented capital management actions and from the evolution of capital and risk-weighted assets. The prospective capital position is estimated taking into account the results of the 2021 financial year and in the hypothesis of confirmation of the current business/operating model, excluding the capital strengthening operation, or other extraordinary capital contributions, or subordinated issues.

It should also be noted that, in the first quarter of 2023, taking into account the planned capital reduction due to the IFRS 9 phase-in and assuming the full implementation in the fourth quarter of 2022 of the inflationary effects on the risk-weighted assets related to the changes in the credit risk measurement models as a result of the EBA Guidelines, the shortfall in terms of the Tier 1 capital aggregate could reach EUR 500 mln. This shortfall does not take into account possible capital management initiatives available to the Group.

As regards the 2021 EBA stress tests, the results announced to the market on 30 July 2021 are consistent with the capital strengthening estimates for EUR 2.5 bn.

The need to strengthen the capital position remains therefore significant, resulting in uncertainty on the use of the going concern assumption. This uncertainty is mitigated by the full support of the controlling shareholder and the possible scenario of the “structural solution”.

With reference to the first mitigating factor, i.e. the role of the controlling shareholder, the MEF stated its intention to carry out the commitments undertaken by the Italian Republic towards the European Union and carry out a market transaction that identifies an anchor investor and/or a banking partner of adequate standing, in order to



restore and ensure the competitiveness of the Parent Company, and has guaranteed the financial support to ensure compliance with the minimum capital requirements of the Parent Company.

In regard to the “structural solution”, it should be noted that the Decree of the Prime Minister issued on 16 October 2020 has authorised the disposal of the equity investment held by the MEF in the Parent Company, Banca MPS, this may be carried out in one or more stages, with sale procedures and techniques used in the markets, through individual or joint recourse to a public offer to investors in Italy, including personnel of the MPS Group, and/or Italian and international investors, through direct negotiations to be carried out with transparent and non-discriminatory competitive procedures and through one or more extraordinary transactions, including a merger.

To this end, Unicredit carried out a due diligence process in the second quarter of 2021, aimed at assessing the acquisition of a selected perimeter of Banca MPS, on the basis of certain assumptions agreed with the MEF. On 24 October, the parties announced the interruption of the negotiations. Even if the “structural solution” has not materialised so far, it remains a possible scenario.

After this communication, having considered the current unavailability of a “structural solution”, the activities for the necessary capital initiatives that the Bank will have to take have started.

Taking into account what is stated above, on 17 December the Board of Directors approved the 2022-2026 Strategic Plan, which entirely replaces the 2021-2025 Strategic Plan, approved by the Parent Company in December 2020, which was drafted intending a structural operation to be carried out in the short term. The 2022-2026 Plan confirms the size of the capital strengthening, already estimated in the 2021-2025 Plan to be equal to EUR 2.5 bn.

The Plan was presented to the European Central Bank, the Single Resolution Board and the Directorate General for Competition as part of the various information, approval and regulatory procedures to which it is subject.

The positions of the aforementioned Authorities constitute a prerequisite for the capital strengthening operation envisaged in the Plan. The Bank is providing all the necessary clarifications requested by the Authorities but currently there is no precise estimate of the time required for the competent authorities to complete the respective processes.

The Plan, which constitutes the basis for the start of the above approval processes, may also have to incorporate any amendments and changes, even significant ones, to reflect what derives from discussions with the competent Authorities.

In this context, DG Comp and the ECB would be required to assess, to the extent of their respective competences, the Italian government's intervention on the basis of the Parent Company's standalone viability in the light of the 2022-2026 Strategic Plan. It cannot be excluded that, as part of this assessment, unforeseeable elements might arise that could affect the Parent Company's capital strengthening process and the structure and feasibility of a capital increase at market conditions. Therefore, the assessment of DG Comp is the source, in principle, of material uncertainty.

To facilitate any solution, after the incisive initiatives on credit risk carried out since 2018, which have significantly reduced the incidence of non-performing exposures, the Parent Company continues with initiatives aimed to reduce business risks, actively engaging in initiatives aimed at reducing legal risks. During 2021 the Bank completed transactions that reduced the claims of legal risks by approximately 40%; this reduction represents a significant positive element for any transaction aimed at improving the capital position.

Taking into account the significant improvements recorded by the Group in the course of 2021 in terms of capital and risk reduction, as well as the discussions held so far with the Authorities, it is believed that the capital shortfall can be overcome through a transaction of capital strengthening on a stand-alone basis, subject to approval by DG Comp of the new 2022 - 2026 business plan.

The implementation of this industrial plan could be subject to subsequent updates in light of the evolution of the changed economic scenario and, in any case, undergo changes, even significant ones, should the conditions for the realization of a possible “structural solution” arise again through the implementation of an aggregative project, as required by the aforementioned Prime Ministerial Decree of 16 October 2020.

The directors, after having considered the material uncertainty related to the method of the Parent Company's capital strengthening which may give rise to significant doubts on the Group's ability to continue to operate as a



going concern, consider that, taking into account the status of the actions put in place, the set of these evaluations supports the reasonable expectation that the Group will continue to operate as a going concern in the foreseeable future and therefore the use of the going concern assumption in preparing these financial statements.

Methods for calculating impairment on IFRS 9 financial instruments

Pursuant to IFRS 9, at each reporting date, financial assets other than those measured at fair value through profit or loss are subject to an impairment test, aimed at estimating the expected credit loss (ECL). In particular, the following are included in the scope of impairment testing:

- “Financial assets measured at amortised cost”;
- “Financial assets measured at fair value through other comprehensive income” other than equity securities;
- commitments to disburse provisions and guarantees given that are not measured at fair value through profit or loss; and
- trade receivables or assets deriving from contracts that result from transactions falling under the scope of IFRS 15.

According to the ECL calculation model, introduced in IFRS 9, losses must be recorded not only with reference to objective evidence of losses in value that are already apparent at the measurement date, but also based on expectations of future losses of value that have not yet occurred.

In particular, the ECL model provides the aforementioned financial assets must be classified in three distinct “stages”, according to their credit quality in absolute terms or relative to that at initial disbursement, to which different measurement criteria for expected losses are applied. More specifically:

- *stage 1*: includes performing exposures that have not undergone a significant change in credit risk with respect to the initial recognition. The value adjustments correspond to the expected losses related to the verification of default in the 12 months following the reporting date.
- *stage 2*: includes performing exposures whose creditworthiness has been affected by a significant change in credit risk, but for which the losses are not yet observable. Adjustments are calculated considering the lifetime loss of the instrument;
- *stage 3*: includes all non-performing loans, i.e. non-performing exposures that present objective evidence of deterioration and which must be adjusted by using the lifetime expected loss concept⁴⁵.

Financial assets considered as impaired since their acquisition or origin (POCI - purchased or originated credit impaired), are an exception to the above, whose accounting treatment was discussed in the paragraph above dedicated to this topic.

For MPS Group, the perimeter of exposures classified under stage 3 corresponds to non-performing exposures, identified according to the definitions established by supervisory regulations (Bank of Italy Circular no. 272 “Accounts matrix”) and referred to in Bank of Italy Circular no. 262 “Bank financial statements: layout and rules for preparation”, as these definitions are deemed consistent with accounting regulations envisaged in IAS/IFRS for objective evidence of impairment. Based on these circulars, the perimeter of non-performing exposures corresponds to the aggregate “Non-Performing Exposure”, defined in EU Regulation 2015/227, and implemented through the EBA’s “Implementing Technical Standard (ITS) on Supervisory Reporting (forbearance and non-performing exposures)” (EBA/ITS/2013/03/rev1 24/7/2014).

In detail, the aforementioned circulars identify the following categories of non-performing assets:

- **Bad loans**: these represent the aggregate of on- and off-balance sheet exposures to a party in a status of insolvency (even if not judicially certified) or in essentially comparable situations, regardless of any loss forecasts made by the Bank;
- **Unlikely to pay exposures**: represent the on- and off-balance sheet exposures for which the borrower does not meet the conditions for classification under bad loans and for which it is considered unlikely that the borrower will be able to fully satisfy the credit obligations (in terms of principal and/or interest) without recourse to actions such as the enforcement of collateral. This assessment is carried out regardless of the existence of any overdue and unpaid amounts (or instalments). The classification among unlikely to pay is not necessarily linked to the explicit presence of anomalies, such as a missed repayment, but rather is linked

⁴⁵ The evaluation is statistical for position with a balance of less than Eur 1.0 mln and specific, carried out by the manager, for position above this threshold.



to the existence of elements that would indicate a situation of risk that the borrower may default (e.g., a crisis in the borrower's business sector);

- Past due and/or overdrawn exposures: on-balance sheet exposures, other than those classified as bad or unlikely to pay, which, at the reporting date, are past due and/or overdrawn for more than 90 days, according to the significance threshold envisaged in the aforementioned legislation. For MPS Group, non-performing past due and/or overdrawn exposures are determined in reference to the position of an individual borrower.

In addition, Bank of Italy regulations, in line with EBA standards, introduced the definition of "Forborne Exposures". This concerns, in particular, exposures benefiting from tolerance measures, which consist of concessions granted to the borrower, in terms of modification and/or refinancing of a pre-existing loan, exclusively because of, or to prevent, a state of financial difficulty that could have negative effects on the borrower's ability to fulfil the contractual commitments originally assumed, and that would not have been granted to another borrower with a similar risk profile not in financial difficulty. These concessions must be identified at the level of the individual credit line and concern exposures of borrowers classified either as performing or non-performing (impaired). For exposures with forbearance measures classified as unlikely to pay, the recovery to a position of performing can only take place after at least one year has elapsed from the time the concession was granted (known as the "cure period") and all the other conditions provided for in paragraph 157 of the EBA ITS are satisfied.

In any case, renegotiated exposures should not be considered forborne when the borrower is not in a situation of financial difficulty (renegotiations carried out for commercial reasons).

With reference to the classification and assessment of the moratoria in compliance with the EBA guidelines and similar initiatives introduced independently by the banks in the context of the COVID-19 pandemic, please refer to the paragraphs "Forborne classification of loans affected by moratoria" and "Performing / non-performing classification of loans affected by moratoria" found in "Part A - Accounting policies relevant to the preparation of the consolidated financial statements in the context of the COVID-19 pandemic" of these consolidated financial statements. Lastly, it should be noted that, as of 1 January 2021, the Group has adopted the new definition of default, deriving from the implementation of the "RTS on the materiality threshold for credit obligations past due under Article 178 of the CRR (EU Delegated Regulation 2018/171)" and the related "EBA Guidelines on the application of the definition of default under Article 178 of the CRR". The new regulations, while confirming the bases of default in the concepts of late payments and probable default of the debtor, introduces some significant changes mainly in relation to materiality thresholds, compensation rules and return to performing criteria. For further information, please refer to Part E "Information on risks and hedging policies", Credit Risk, Section 3 - Non-performing loans, of these Notes to consolidated financial statements.

Impairment of performing financial assets

For performing financial assets, i.e., those assets not considered to be impaired, it must be determined, at the individual relationship level, if there is a significant deterioration of credit risk, by comparing the credit risk associated with the financial instrument at the time of measurement and that at the initial moment of disbursement or acquisition. This comparison is made using both quantitative and qualitative criteria. The results of this assessment, in terms of classification (or, more appropriately, staging) and measurement, are the following:

- when these indicators are present, the financial asset is included in stage 2. In this case, the assessment requires that impairment is recognised equal to the expected losses over the entire residual life of the financial instrument, consistent with the provisions of international accounting standards and even if a loss in value has not yet occurred. These adjustments are reviewed at each subsequent reporting date both to periodically check that the continuously updated loss estimates are consistent, as well as to take into account - in the event that indicators of a "significantly increased credit risk" no longer exist - of the change in forecast horizon for calculation of expected loss;
- where these indicators are not present, the financial asset is included in stage 1. In this case, the assessment requires that expected losses are recognised on the specific financial instrument over the next twelve months, consistent with the provisions of international accounting standards and even if a loss in value has not yet occurred. These adjustments are reviewed at each subsequent reporting date both to periodically check that the continuously updated loss estimates are consistent, as well as to take into account - in the event that indicators of a "significantly increased credit risk" are identified - of the changed forecast horizon for calculation of expected loss.

As regards the measurement of financial assets and, in particular, the identification of a "significant increase" in credit risk (a necessary and sufficient condition for classification of the asset being assessed in stage 2), the elements



that constitute the main determinants to be taken into consideration, according to the standard and its operating procedure implemented by MPS Group, are the following:

- relative quantitative criterion as “main” driver, based on the change (beyond established thresholds) in the lifetime probability of default compared to when the financial instrument was initially recognised in the financial statements;
- absolute qualitative criteria, represented by the identification of trigger events or exceeding absolute thresholds as part of the credit monitoring process. The category comprises:
 - o all exposures affected by forbearance measures and for which these measures are still active, regardless of whether the probation period underway is regular,
 - o exposures classified in the High risk management portfolio;⁴⁶
- backstop indicators, i.e., credit delinquency factors, which suggest that there has been a significant increase in credit risk, unless there is evidence to the contrary. For purposes of assumptions, MPS Group believes that the credit risk of the exposure must be considered significantly increased if there is an exposure that is past due/overdrawn for a period longer than 30 days, without prejudice to the application of the significance thresholds required by supervisory regulations for the purposes of classification under impaired exposures.

With particular reference to the relative quantitative criterion applicable to credit exposures with customers, MPS Group has determined as a reference the change between the lifetime forward-looking cumulative probability of default (PD), calculated at the beginning of the contractual relationship and the probability of default recorded at the measurement date. The re-estimation of the model adopted from June 2021 involved the identification of specific internal thresholds of variation between the PD at the beginning of the contractual relationship and the PD recognised at the valuation date, broken down by segment, product, rating class, vintage, geographical area and juridical form. In the model in production previously, the drivers used for estimating the thresholds were only the counterpart, the initial rating class and the vintage. The exceeding of the above-mentioned thresholds represents an expression of significant increase in the credit risk and the subsequent transfer of a single credit line from stage 1 to stage 2. The comparison is based on the homogeneous residual durations⁴⁷ and on homogeneous PD models, for example, if the definition of default changes over time, the original lifetime forward-looking cumulative PD is recalculated to take account of said new definition of default. Cumulative PDs subject to comparison are based on the same model used for ECL purposes (e.g. definition of PIT (Point in Time) PD, macroeconomic scenarios, expected life/contractual life). In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The threshold of significance is determined by historically measuring, through quantile regression analysis per cluster, that level of ratio, between the lifetime forward-looking cumulative PD at the reporting date and that at the origination date, which may be considered predictive of the classification as NPE⁴⁸. The threshold is determined so as to minimise so-called false positives and false negatives and maximise true positives and true negatives.

For debt securities that do not have rating equal to or above *investment-grade* ratings, the relative quantitative criterion is based on the variation in *lifetime forward-looking* cumulative PD between the *reporting* date and the *origination* date above compared with a certain threshold. For corporate issuers, the multi-year PD curve is the multi-year corporate segment one relating to vintage 1 estimated entirely by the Group; for government issues, the multi-year PD curve is the one prepared on the basis of the Moody's, Standard & Poor's Fitch migration matrix of 1-year defaults of government bonds; the Standard & Poor's migration matrices for the Eurozone are used for the estimation of multi-year PDs of credit exposures to banks and NBFIs. Cumulative PDs subject to comparison are based on the same model used for ECL purposes and macroeconomic scenarios. In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The exposures are classified into stage 2 if the ratio between the lifetime forward-looking cumulative PD at the reporting date and that of the origination date exceeds a given threshold of significance equal, both for corporate bonds and government bonds, to that used for corporate exposures in the form of loans.

⁴⁶ On the basis of internal policies, the macro-factors that determine the assignment of the “high-risk” management category are the internal rating class (below the D1 threshold) or the “activation” of default detection parameters of the early warning systems classified as highly relevant or binding, which include the EBITDA; these parameters pertain to areas of investigation relating to prejudicial, performance, centralised risks, financial statements and the forbearance state in loans. Starting from 2021, the “selective management” strategy, applicable to companies operating in sectors with a high COVID-19 impact and with elements of prospective weakness, falls under High-risk portfolio strategies.

⁴⁷ The assessment as of 31/12/T of the significant increase in credit risk of a 30y mortgage loan disbursed on 31/12/t-5 is made by comparing the forward-looking cumulative PD lifetime over the 25y residual life.

⁴⁸ The classification as NPE is measured over multi-year time horizons



Debt securities that, at the reporting date, have an investment-grade rating, mainly related to government securities, are classified in stage 1 because in this case, and only for this case, MPS Group used the “Low Credit Risk Exemption”. This exemption consists of the practical expedient of not conducting the test for significant deterioration of credit risk on exposures whose credit risk is considered low. This exemption is applied to securities with an investment grade rating level at the date of assessment, in full compliance with the provisions of IFRS 9 accounting standard. In addition, given the presence of several purchase transactions on one fungible asset (ISIN), it was necessary to identify a methodology to identify the tranches sold in order to determine the residual quantities to which credit quality at initial recognition date can be associated, in order to compare it with credit quality at the measurement date. In this context, the “first-in-first-out” or “FIFO” methodology was deemed most appropriate, as it enables more transparent portfolio management, including from the operational perspective (front office), allowing, at the same time, a continuous updating of the creditworthiness assessment based on new purchases.

In general, the transfer criterion between stages is symmetrical. Specifically, an improvement in credit risk which involves the elimination of the conditions that led to the significant increase in said credit risk involves the reallocation of the financial instrument from stage 2 to stage 1. In this case, the entity recalculates the value adjustment on a twelve-month time horizon rather the previously recognised lifetime losses, by booking a write-back to the income statement.

Once the assignment of exposures into the various credit risk stages has been defined, the expected losses (ECL) are calculated, at the level of individual transaction or security tranche, starting from IRB/management modelling, based on parameters of Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD), to which specific adjustments are made, in order to ensure compliance with the specific requirements of IFRS 9, given the different requirements and purposes of the accounting rules compared to prudential regulations.

The PD, LGD, and EAD are defined as follows:

- PD (Probability of Default): likelihood of transferring from a performing status to that of non-performing over a one-year time horizon. In models consistent with supervisory provisions, the PD factor is typically quantified through the rating. In MPS Group, PD values derive from internal rating models where available, supplemented by external valuations or average data for segment/portfolio;
- LGD (Loss Given Default): percentage of loss in the event of default. In models consistent with supervisory provisions, this factor is quantified using historical data on actual recoveries of loans that transferred to non-performing status;
- EAD (Exposure at Default) or credit equivalent: amount of exposure at the time of default.

As previously pointed out, in order to comply with the provisions of IFRS 9, specific adjustments must be made to the aforementioned factors, including:

- adoption of a Point in Time (PIT) PD against the Through the Cycle (TTC) PD used for regulatory purposes;
- elimination of certain additional components from LGD, such as indirect costs (non-recurring costs), further conservative margins specifically introduced for statutory models, the component linked to the economic downturn; as well as to reflect the most current recovery rates (PIT), forward-looking expectations about future trends and the inclusion of any recovery fees if collection is assigned to a third party;
- use of multi-year PDs and, where necessary, LGDs in order to determine the expected loss for the entire residual life of the financial instrument (stages 2 and 3);
- use of the effective interest rate of the individual transaction in the process of discounting expected future cash flows, as opposed to that which is set forth in regulatory models, in which individual cash flows are discounted using rates determined in accordance with prudential regulations.

In relation to the multi-year EAD, in line with the IFRS 9 provisions, MPS Group refers to the amortised cost plans, regardless of the measurement methods (amortised cost or fair value through other comprehensive income). For commitments to disburse funds and guarantees given (off-balance sheet exposures), EAD is instead taken at nominal value weighted by a specific credit conversion factor (CCF).

IFRS 9 establishes that, at each reporting date, an entity must measure the impairment of an asset based on the expected credit loss, based on available, reasonable and consistent information, without incurring excessive costs or making disproportionate efforts. Therefore, the forward-looking approach envisaged by IFRS 9 for purposes of determining the expected loss represents a key aspect of the measurement model.



Given the above, the MPS Group uses the forward-looking approach to estimate the expected loss, both in the analytical and collective measurements. The forward-looking approach is applied to the following statistical parameters:

- PD: Probability of Default, used for performing positions;
- LGD/EAD: Loss Given Default (LGD), used for both performing and non-performing positions measured statistically; Credit Conversion Factor (CCF) used to estimate the Exposure at Default (EAD) of performing positions;
- Cure/Danger rate: used for unlikely to pay other than restructured positions and positions statistically valued as lower than a given threshold;
- haircut for real estate collateral, used when applicable for the analytical measurement of bad loans and unlikely to pay exposures other than restructured loans.

Since the expected loss is estimated as a weighted average of a range of possible results, the aforementioned parameters are first determined based on historical data and then corrected to take into account at least 3 economic scenarios that cover a horizon of at least 3 years in the future: baseline, improving and deteriorating.

The forward looking forecasts of the macroeconomic indicators, provided by a leading external consultant and internally re-formulated by the Studies and Research Function, are quantified based on three possible future scenarios, which consider the economic variables deemed relevant (Italian GDP, interest rates, unemployment rate, commercial and residential property prices, inflation, equity indices), with a future time horizon of three years to which the respective probabilities of occurrence are assigned, determined internally by the Group. In greater detail, alongside the “baseline” scenario deemed most probable, i.e. the macroeconomic forecast scenario which the MPS Group uses as a basis to develop its projections for financial statements and risk data across a short- and medium-term time horizon, an alternative “better” scenario (decidedly favourable) and a “worse” scenario (decidedly unfavourable) was developed.

The sensitivity of the statistical parameters to macroeconomic variables is estimated. In particular, the associations between the statistical parameter and macroeconomic variables are shown below:

- PD: Italian GDP, unemployment rate, interest rates, inflation, commercial and residential property prices and stock indices;
- LGD/EAD: Italian GDP, unemployment rate, commercial and residential property prices;
- cure/danger rates: Italian GDP;
- haircut: commercial and residential property prices.

For those statistical parameters (e.g., PD) for which there is no linear relationship with the macroeconomic variable, the parameter measurement is not calculated based on the weighted average of the macroeconomic variables and using the respective probabilities as weights, but based on certain distinct measures of the parameter. In these cases, the weighted average occurs at the expected loss level.

Finally, for the estimate of expected losses over the life of the instrument, the reference period is represented by the contractual expiry date; for instruments that do not expire, the estimate of expected losses uses a time horizon estimated through a behavioural model for on-demand products and set to one year from the reporting date, in other cases.

For further details on the model used to calculate expected losses in the context of the COVID-19 pandemic, please refer to the paragraph “Updates to macroeconomic scenarios” and “Measurement of significant increase in credit risk (SICR) for IFRS 9 purposes” in “Part A - Accounting policies relevant to the preparation of the consolidated financial statements in the context of the COVID-19 pandemic” of these consolidated financial statements. For a review of the risks, uncertainties and impacts of the pandemic, please refer to the paragraph “Quantification of impairment losses on loans” below.

Impairment of non-performing financial assets

As described earlier in the document, for non-performing financial assets, which are assigned a probability of default of 100%, the impairment amount for each loan is equal to the difference between the loan book value at the time of measurement (amortised cost) and the present value of estimated future cash flows, calculated by applying the original effective interest rate (or a proxy if not available). Cash flows are estimated based on expected recovery expectations over the lifetime of the loan, taking into account the presumed realisable value net of any collateral and any costs connected with obtaining the guarantee through sale. In this regard, in the event that the Group uses a third party to collect non-performing loans, the fees paid to the outsourcer for activities strictly



related to collection are considered for the purpose of estimating impairment losses. These costs are considered for both non-performing and performing exposures, if for the latter it is probable that in the event of a transfer to bad loans, the collection activities will be assigned to third parties.

Commissions paid to outsourcers are considered in LGD estimates used for statistical measurements of all administrative stages, in collection plans for non-performing loans, and in analytical measurements of unlikely to pay positions.

For purposes of estimating future cash flows and the relative collection times, the loans in question of a significant amount are subject to an analytical assessment process. For some similar categories of non-performing loans whose unit amount is insignificant, the measurement processes allow that loss forecasts are based on lump-sum/statistical calculation methods, to be analytically assigned to each individual position. The perimeter of exposures subject to a lump-sum/statistical measurement process, that is, based on statistical analyses of operational LGD, differentiated according to the segment and length of time in the risk state ("vintage") and suitably integrated to take into account forward-looking information, is represented by:

- bad and unlikely to pay loans with exposures less than or equal to an established significance threshold of EUR 1 mln;
- total non-performing past due exposures regardless of the exposure's significance threshold. In particular, these are loans that show continuous overdrawn situations or delayed payments, automatically identified by BMPS Group's IT procedures, according to the aforementioned rules of the supervisory authority.

The analytical/statistical valuation, carried out for bad and unlikely-to-pay loans of less than EUR 1 mln and for all past-due and / or overdrawn loans, presents specific characteristics depending on the type of exposure involved.

With reference to non-performing loans, the analytical/statistical valuation is based on non-performing LGD grids, where the LGD model is mainly characterized by the differentiation of the loss rates based on the permanence in the risk status ("vintage"), as well as the type of customer. The grids are also differentiated by other significant analytical characteristics on the model estimation stage (e.g. technical form, type of guarantee, geographical area, exposure band, etc.). The recovery time grids are broken down mainly by regulatory segment and by other significant analysis axes in the modelling (e.g. recovery procedures, exposure band, technical form).

With reference to unlikely-to-pay and impaired past due exposures, the valuation is carried out by applying statistical LGD grids specifically estimated for positions classified in these administrative categories, in line with the LGD grids estimated for non-performing loans. The LGD for unlikely-to-pay and non-performing past due exposures is obtained by recalibrating the non-performing loan LGD through the danger rate module. The danger rate is a multiplicative correction factor aimed at recalibrating the non-performing loan LGD with the information available on other default events, so as to obtain an LGD representative of all possible default events and their evolution.

The analytical-specific valuation for bad and unlikely-to-pay loans exceeding EUR 1 mln is an assessment made by the managers on the individual positions based on a qualitative/quantitative analysis of the economic and financial position of the borrower, the riskiness of the credit relationship, the objectives and strategies for the reduction of impaired loans laid out by the "NPL Plan", and any mitigating factors (guarantees); the financial effect of the estimated collection time is also taken into account.

In particular, for bad loans, a set of factors are taken into account, which may or may not be present depending on the characteristics of the positions, and which must be assessed with the utmost accuracy and prudence, including by way of example:

- nature of the credit, preferential or unsecured;
- shareholders' equity of obligors/third parties providing collateral;
- complexity of existing or potential disputes and/or underlying legal issues;
- exposure of obligors to the banking system and other creditors;
- latest available financial statements;
- legal status of obligors and pending bankruptcy and/or individual proceedings.

To find the estimated realizable value of loans secured by real estate and to take into account both the historical collection data and forward-looking considerations, in line with IFRS 9, the approach adopted is focused on the valuation of real estate in reference to the average expected auction and the corresponding reduction in the observed price, calculating the average haircuts differentiated by type of real estate guarantee (residential and non-residential).



With reference to bad real estate loans deriving from lease contracts, in light of the characteristics of the product (absence of auctions), the haircut is estimated as loss of value of the asset between the last available appraisal value and the expected sale price, calculated based on the evidence emerging from the collection process.

Moreover, with reference to unlikely to pay loans, the assessment is based on a qualitative-quantitative analysis of the economic, equity and financial situation of the debtor and on a timely verification of the risk situation. In the case of unlikely-to-pay loans secured by real estate, the haircut is applied not to the entire market value of the guarantee (as in the case of non-performing loans) but only to the portion pertaining to the credit exposure that is expected to become non-performing; alternatively, the cure rate of the related exposures is taken into account.

The impairment loss is calculated including the measurement of future cash flows that it is assumed the borrower is able to produce and which will also be used to service the financial debt. This estimate should be made based on two alternative approaches:

- going concern approach: the borrower's operating cash flows (or that of effective guarantor) continue to be produced, and are used to repay the financial debts contracted, based on the scheduled repayment plans. The going concern assumption does not exclude the possible realisation of collateral, but only to the extent that this can occur without jeopardising the borrower's ability to generate future cash flows. The going concern approach also applies to cases in which the recoverability of the exposure is based on the possible sale of assets by the borrower or extraordinary transactions;
- Gone Concern Approach: applicable in cases in which it is believed that the borrower's cash flows will be significantly reduced. This is a scenario whose application may possibly entail positions that are expected to be classified in bad loans. In this context, assuming that interventions by shareholders and/or extraordinary restructuring operations of the debt in a turnaround situation are not reasonable, loan collection is essentially based on the value of the collateral that supports the loan as well as, in the alternative, on the realisation value of the assets, taking into account liabilities and any rights of pre-emption.

Turning to the analysis of alternative collection scenarios, note that, for the objectives of reducing the stock of outstanding non-performing loans included in the business plans and the commitments undertaken with Supervisory Authorities, with specific reference to the "NPL Strategy", the Group considers the sale of certain portfolios as the strategy that can, under certain conditions, maximise the recovery of cash flows, also in consideration of collection times.

In particular, in the light of the indications provided by the ECB to banks with higher than average non-performing exposures to European banks with regard to the need to proceed more decisively in the reduction of non-performing loans, as part of the preparation of the 2017-2021 Restructuring Plan, approved by the European Commission, the Group has identified as a priority a significant de-risking process to be achieved by selling portfolios of non-performing and unlikely-to-pay loans.

Consequently, the estimate of expected losses of exposures that can be sold varies depending on the forecast of the recoverable flows through internal management (work-out), as well as the forecast of recoverable flows through their possible sale on the market ("multi-scenario" approach). In particular, consistently with the objectives of the transfer, from time to time arranged by the competent corporate Bodies in relation to exposures classified as bad loans or unlikely to pay, two different estimates of cash flows that MPS Group expects to collect are associated with them:

- the first determined by using as reference the scenario of recovery from the borrower based on internal activity, according to the ordinary measurement guidelines followed by the Group and previously described (hold scenario);
- the second calculated by using as reference the recovery through sale of the loan to third parties (sale scenario).

Each of the two scenarios is assigned a probability of occurrence that is higher for clusters that are more likely to undergo a sale procedure, based on historical data and/or forecasts (e.g., formalised NPL reduction plans). The expected loss of the exposures in question is therefore equal to the weighted average for the probabilities assigned to the two scenarios of the estimates of recoverable cash flows in each (hold and sale).

Hence, the sale values and sale probability are the two key elements for defining the expected loss. For this purpose, MPS Group has performed an analysis of the historical data on sales (past events) on these portfolios and certain considerations on future sale strategies.

Based on these considerations, the accounting model for impairment for the Group's non-performing loans only envisages a different application for:



- loans subject to ordinary collection process: application of the relevant accounting policies previously illustrated;
- loans included in the sale programme: measured with the ordinary policy plus any add-ons to adjust the portfolios to the presumable realisable value.

To determine the add-on, the Group considers the following elements:

- selection of the portfolios that are presumed to be sold: the perimeter includes positions with a certain attractiveness on the market, indicated by the fact that other banks have already carried out sales and expressions of interest that have already been received, as well as additional positions resulting from assessments of economic benefit performed by the Parent Company's competent bodies (e.g., presence of extended bad loans or high danger rate);
- probability of sale: the probability is guided by the target sales level included in the NPL Strategy;
- sale prices: derived from mass transactions on similar portfolios and single names made by the Group or from transactions carried out on the market in recent years.

The aforementioned add-on is not applied in the case of sales without a price constraint defined to an extent not lower than the net book value determined by applying only the hold scenario.

Methods for calculating impairment on equity investments

At the end of every reporting period, the equity investments in associates or jointly controlled entities are evaluated to check whether there is objective evidence of impairment that might render the book value of these assets not entirely recoverable.

The process of recognising impairment involves verifying the presence of indicators of possible reductions in value and calculating any write-down. There are numerous impairment indicators, differentiated by type, listed or unlisted, of equity investments.

For listed equity investments:

- a fair value, at the reporting date, that is at least 30% lower than the book value, or
- a prolonged period, of more than 36 months, in which the fair value is lower than the book value, or
- a book value for the equity investment in consolidated financial statements that exceeds the corresponding portion of equity (existence of implicit goodwill), or
- a stock market capitalisation that is lower than the book value of the equity investment or the company's net equity.

For listed and unlisted equity investments:

- negative trends in dividends distributed by the investee;
- significant downward revision of profit forecasts;
- significant gap between actual results and the budget objectives or that envisaged in a long-term plan and communicated to the market;
- contracting or negative economic performance;
- negative performance for the investee's business sector;
- changes in the technological, economic, and regulatory environment that could result in difficulties for the business in identifying alternative business growth strategies;
- downward revision in the rating, expressed by a specialised rating agency assigned to the financial instrument, with respect to that on the instrument's acquisition date;
- negative cash flows;
- announcement/launch of debt restructuring plans;
- launching/requesting bankruptcy proceedings;
- any reporting exceptions or references regarding the applicability of the going concern assumption formulated by the independent auditors.

The presence of impairment indicators entails the recognition of a write-down in the amount for which the recoverable value is lower than the book value. The recoverable value is the greater of the fair value less costs to sell and the value in use. For the methods used to determine the fair value, refer to the information in chapter A.4 – Information on fair value in the Notes to the Consolidated financial statements. The value in use is the present value of cash flows arising from the asset; it reflects the estimate of the cash flows expected from the asset, the estimate of possible changes in the amount and/or timing of cash flows, the time value of money, the price for remunerating the asset's risk and other factors that can influence the pricing, by market dealers, of the cash flows



expected from the asset. The value in use is determined by discounting future cash flows. The parameters and projections on which the estimates are based derive from the updating of the associates' plans, which incorporate the effects of the pandemic of COVID-19 and are significantly influenced by the macroeconomic scenario and by the dynamics of the financial markets that could record changes that are not currently foreseeable.

The impairment test carried out in 2021 did not entail the need to make value adjustments. For information on the book value of the main equity investments, please refer to the section entitled "Equity investments - Item 70" contained in "Part B - Information on the consolidated balance sheet" of these Notes to the consolidated financial statements.

Methods for calculating impairment on other non-financial assets

Goodwill posted following acquisitions is subjected to an impairment test at least once a year and whenever there are signs of impairment. On 31 December 2021 the consistency of the goodwill book value was checked through an impairment test, as illustrated in the section "Intangible assets - item 100" contained in "Part B - Information on the consolidated balance sheet" of these Notes to the consolidated financial statements, to which reference is made for further details.

For testing purposes, once goodwill has been allocated to cash-generating units (CGUs), the book value is compared with the recoverable value of said units. The discounted cash flow (DCF) method is normally used to determine the recoverable value of the CGUs. To this end, senior management has estimated CGU cash flows; these are dependent on several factors, including cost and revenue growth rates, which in turn depend on changes in the real economy, customer behaviour, competition and other factors. In this regard, it should be noted that verifying the recoverability of this asset is a complex exercise, the results of which are affected by the valuation methods adopted, as well as the underlying parameters and assumptions, which may need to be modified to take into account new information or changes that are not expected at the date of preparation of these consolidated financial statements. For this reason, a sensitivity analysis is provided in the aforementioned intangible assets section, in order to assess whether the recoverable value will hold against alternative hypotheses and assumptions.

The property, plant and equipment and intangible assets with definite useful life are tested for impairment in the presence of any indication that the book value of the asset may not be recovered. The recoverable value is computed with reference to the fair value of the property, plant and equipment or intangible asset, net of the disposal charges or the value in use if this can be calculated and exceeds fair value.

In particular, with regards to the software, with reference to closed projects of amounts exceeding EUR 1 mln, the Group performed the recoverable value check using assumptions and estimates in line with those of the 2020 Financial Statements. The impairment test conducted as at 31 December 2021 was based on the monitoring of specific KPIs, identified when the projects were closed, in order to verify the economic benefits assumed in the reference business cases. The monitoring result reset the value of the aforementioned KPIs higher than the reference thresholds established in business cases, except for one project, determining the impairment of the book value of the asset recognised in the financial statements at EUR 0.4 mln. For projects with a value below the aforementioned threshold without a business case, the impairment test of the related software was conducted in continuity with previous years and led to the recognition of an impairment loss of EUR 0.6 mln.

The values of right of use assets acquired through leasing are subject to impairment testing, if the conditions are met. The test is performed when the following events or situations arise: full/partial abandonment, under-use or non-use of the leased asset. In addition, it is necessary to refer to indicators from internal sources such as signs of obsolescence and/or physical deterioration of the asset, restructuring plans and closures of branches and external sources such as, for example, the increase in interest rates or other rates of return on the market for investments that may cause a significant decrease in the recoverable value of the asset. The outcome of the aforementioned checks as at 31 December 2021 led to the recognition of an impairment loss of EUR 2.1 mln recognised in the item "Impairment losses/reversals on property, plant and equipment". For information on the rights of use acquired through leasing, please refer to the section "Property, plant and equipment - Item 90" contained in "Part B - Information on the consolidated balance sheet" of these Notes to the consolidated financial statements.

Determination of the fair value of property

As described in the paragraph "Change in policy for property valuation: property for business use (IAS 16) and property held for investment purposes (IAS 40)" of Part A.1 - General Part, the Group has amended the valuation policy used for its property assets, moving from the cost criterion to the fair value criterion for property held for investment purposes (IAS 40) starting from 1 January 2021 and to the revalued value criterion for property for



business use (IAS 16) starting from 31 March 2021. For this perimeter, the fair value update is determined through the use of specific appraisals prepared by qualified and independent experts.

As of 31 December 2021, the fair value values of the properties held for investment purposes were updated, for which the valuation must take place annually.

For property for business use, on the other hand, the Group's accounting policies provide for the re-determination of the value every two years unless the scenario analysis conducted on market trends reveals deviations from the previous year such that it is necessary to anticipate the valuation appraisals. For this reason, as of 31 December 2021, the appraisals were updated only for those properties for business use for which significant market variations (above the threshold of +/- 10%) were recognized in order to adjust their fair value to market values.

The results of the impairment test conducted as at 31 December 2021 are illustrated in the section "Intangible assets - item 100" contained in "Part B - Information on the consolidated balance sheet" of these Notes to the consolidated financial statements, to which reference is made for further details.

On the other hand, for further information on the valuation approach, the valuation methods and selection of the estimate parameters that can significantly influence the determination of the fair value, please refer to the specific qualitative and quantitative information prepared in Part A.4 - "Information on fair value".

Methods for recognising deferred tax assets (probability test)

The Group verifies the possibility of recognising tax assets based on a probability test, as described below.

Forecast plans approved by the Board of Directors are used; obviously, the plans of the subsidiaries are consistent with the Group's forecasts. Since the forecast plans cover a limited time horizon, the results subsequent to the plan horizon are assumed to be equivalent to those of the last year of the plan and increased by a compound long-term growth rate "g", commonly used for determining the value of companies. In any case, the framework of the probability test is consistent with that of the impairment test used for the measurement of goodwill, except for the specifics related to regulatory requirements (IAS 12 and IAS 36, respectively) such as, for example, the possibility in the probability test to take into account business restructuring and reorganisation actions included in the forecast plans, which is not considered in the goodwill impairment test. For more information reference should be made to paragraph "Impairment test of Group goodwill" included within Section 10 of these Notes of consolidated financial statements.

In order to reflect the uncertainty associated with realising future taxable income suitable to allow the recovery of deferred tax assets, a discount factor is used based on data observable on the market and consistent with the risk metrics of the investment in Banca MPS shares. The application of this discount factor, equal to 9% as at 31 December 2021, unchanged with respect to the one used for the Financial Statements as at 31 December 2020, represents a way of reflecting the uncertainty around the realisation of future income; in any case, it is believed that the horizon considered for the purposes of the taxable income test, the realisation of which is considered likely, cannot exceed 20 years.

In developing the probability test, where applicable, the national tax consolidation agreements in which the Group participates are taken into account.

In particular, as at 31 December 2021, the valuation of the DTAs was carried out in continuity with the methodology and assumptions considered for the Consolidated Financial Statements at 31 December 2020, including the expected evolution of the Group's income statements used for the estimate of future income, consistent with the scenario considered in the Group's Multi-year Projections for the years 2020-2024. It should be noted that, although on 17 December 2021 the Board of Directors of the Parent Company approved the new Group Strategic Plan 2022-2026, for the purposes of the estimate in question the income projections contained therein were not used, considering that this plan cannot be considered definitive, as it is subject to the approval of the competent authorities. Therefore, the projections used represent the best estimate available at the date of preparation of these financial statements and also correspond to a 30-35% probability of reaching the results specified in the 2022-2026 Strategic Plan.

For further details, please refer to paragraph 11.8 "Other Information -Probability Test" of Part B of these Notes to the Consolidated Financial Statements.



Risks, uncertainties and impacts of the COVID-19 epidemic

Quantification of impairment losses on loans

In terms of supporting the real economy and financial markets, support initiatives by governments and central banks continue, which have shown that they can effectively stem the effects of the crisis and support businesses and households in the most difficult moments of the recession, even if it should be remembered that, although faded, fears remain about the ability of a significant number of companies to continue independently along the path of recovery, when the support measures come to an end. The intense pressure campaign against supervised intermediaries by the various regulators therefore continues, which during the year saw a series of interviews and statements aimed at focusing attention on the need to contain any financial shocks and the related recessionary effects, potentially expected when the measures to support the real economy come to an end.

Having said this, in relation to the regulatory measures related to the pandemic context, in addition to the aforementioned messages from the authorities, the specific national provisions on support measures for the economy and the priorities indicated by ESMA in terms of financial reporting, during 2021 no further interventions by regulators and standard setters are reported. Therefore, the general framework defined during 2020 remains substantially unchanged, except for the new aspects and refinements that were introduced by the Group during the 2021 financial year, as illustrated below.

Macroeconomic scenarios

In October 2021, the Group approved an additional set of forecast macroeconomic scenarios for the 2021-2026 period developed internally by the Studies and Research Function, taking also as reference the forecasts developed by external providers. These scenarios, used in the ordinary annual update of the 2022-2026 multi-year projections, in the preparation of the Plan and in the calculation of impairment losses on performing and non-performing loans as at 31 December 2021, take into account the improvement of the overall macroeconomic background and of a stage of relative control of the epidemic thanks to the impressive vaccination campaigns and the subsequent relaxing of the containment measures.

In detail, the reference baseline scenario, assuming the effective management of the pandemic and the gradual dwindle of the pressures on prices, so that the expansion underway is only marginally affected, especially in the winter months, expects Italian economy to grow by 6% in 2021, returning to pre-crisis levels of activity in the second quarter of 2022. In the following years, growth will be driven by monetary and fiscal policies careful not to prematurely deny the necessary stimulus to the economy, by the renewed optimism of businesses and consumers and by the National Recovery and Resilience Plan (NRRP). Barring a resurgence of the pandemic, the main downside risk on the domestic scenario is that NGEU loans do not drive GDP growth as expected and that structural reforms are only partially implemented. In particular, the updated baseline scenario is characterized, compared to the previous one used for the accounting closure of 30 September 2021, by a more pronounced recovery in GDP for the year 2021 (6.0%), slightly down in 2022 and rising in the following two years (2022: 3.8%, 2023: 2.8% and 2024: 2.0%) when it would benefit from the effects of the additional fiscal policy stimulus measures.

This scenario is heavily dependent on the assumptions on the evolution of the pandemic and on the effects of the support measures, including those included in the NRRP. A deterioration in the epidemiological situation compared to that hypothesized could lead to greater limitations to mobility and negatively affect consumer and business confidence, hindering the recovery of economic activity. In addition to the baseline scenario, in light of the objective uncertainty present regarding the pandemic evolution and the prescriptions of the Regulators, further alternative scenarios have been outlined.

The strongly worsening alternative scenario (extreme worst) outlines a complicated containment of the epidemic, due to insufficient vaccination compliance and the spread of variants, and the need for some closures and distancing measures until the end of winter. In this scenario, inflationary tensions persist which force the Fed to anticipate the retreat from exceptional stimulus measures and political tensions appear in conjunction with crucial electoral deadlines. In Italy, the implementation of the NRRP and the structural reform plan is expected to proceed slowly, with a new slight recession expected in the course of 2022. The widening of the spread reflects an increased country risk which is affected by political instability and a growth in public debt that has become structural. In a context of increased uncertainty, households maintain a high propensity to save and, together with the gradual lack of state support for credit, there is a decline in loans, especially to businesses.

The more severe alternative scenario (severe but plausible) foresees both in Italy and in Europe that the autumn resumption of activities contributes to a new increase in infections, making it necessary to reintroduce some distancing measures with a deferred return to normal. In this context, the restart of supply chains would be slower, keeping commodity prices and business costs under pressure. Inflation persists, squeezing household disposable



income and consumption is being held back by rising unemployment. The result is a slight slowdown in the Italian economy, with the GDP achieving pre-pandemic levels at the beginning of 2023 and growth that, in the medium term, is affected by a weak implementation of the NRRP. Greater household savings are directed towards short-term deposits due to a greater risk aversion, while the growth in loans is slower following the lower economic expansion.

For information on the performance of macroeconomic variables in the scenarios described above, please refer to “Part E - Information on risks and hedging policies, section 1.1 Credit risk, paragraph 2.3 Methods for measuring expected losses” of these Notes to the consolidated financial statements.

The table below provides, by way of example, details on the update of the baseline scenarios made by the Group in December 2021 on the 2021 GDP indicator with the relative comparison with the baseline scenario published by the Bank of Italy respectively in July and December 2021 and January 2022 and with that used for the 2020 Financial Statements. The table also shows the composition of the alternative scenarios used by the Group as updated for the December 2021 accounting period, in comparison with the scenarios in production last year.

	Dec-20			July -21	dec-21	Jan-22	dec-21		
	BMPS	BMPS	BMPS	Bank of Italy	Bank of Italy	Bank of Italy	BMPS	BMPS	BMPS
	Best	Baseline	Severe but plausible	Baseline	Baseline	Baseline	Baseline	Severe but plausible	Extreme worst
2020	-9.40%	-10.00%	-10.10%	-8.90%	n.d.	n.d.	-8.90%	-8.90%	-8.90%
2021	7.60%	-5.30%	4.00%	5.10%	6.20%	6.30%	6.00%	5.90%	5.70%
2022	2.80%	2.70%	2.90%	4.40%	4.00%	3.80%	3.80%	2.40%	0.60%
2023	1.70%	1.80%	1.80%	2.30%	2.50%	2.50%	2.80%	1.90%	0.80%
2024	1.30%	1.30%	1.40%	n.d.	1.70%	1.70%	2.00%	1.50%	0.50%

It is noted that the baseline scenario used by the Group in 2021 has always been in line, if not more conservative, with the forecasts provided by the Bank of Italy, both in terms of three-year average and cumulative impact over the 2021-2023 three years' period.

SICR and ECL calculation

The crisis unleashed by the COVID-19 epidemic did not affect all production sectors in the same way: some sectors were in fact more affected by the measures adopted to contain the contagion and the financial uncertainty they triggered. The old satellite models therefore only captured the overall impact of the adverse scenario on the Group's portfolio, using only macroeconomic variables that are undifferentiated by production activity. Consequently, during 2021 we continued to improve the existing models, already adopted in the previous period, and have implemented new ones, with a view to making them more consistent with the specific current situation by using the additional information now available, in addition to improving their sensitivity to changes in macroeconomic conditions, and one-off treatments were confirmed to increase the granularity of the impacts of the current scenario on micro-sectors and, for the purpose of valuation of mentioned state guarantees and moratoria, as also suggested by Regulators and standard setters. The management overlays used for accounting valuations as at 31 December 2021 are summarized below which, overall, resulted in greater adjustments on the cost of credit for approximately EUR 130 mln and higher exposures classified in stage 2 for approximately EUR 1,646 mln.

Use of external Cerved data

In particular, with regard to performing corporate loans, “adjustments” were made to the expected default rates at one year to factor the same forecast score adopted as part of the credit strategies (Cerved score, as specified below). In more detail, the Group relied on the provisional outlook scenario contributed by Cerved in September, which shows a GDP growth for the year 2022 of 3.5% and which, compared to the macroeconomic scenarios usually developed and the “satellite” model in use for estimating the multi-year PD curves (which for the corporate segment requires a distinction in 5 macro-segments: agriculture, commerce, building, industry and services) made it possible to differentiate the effects of the COVID-19 pandemic by sector of economic activity and geographical location. The forward-looking shock applied to the multi-year PD curves was determined in terms of the change in probabilities of default in 30 sectors of economic activity, on the basis of the changes (weighted for the relative counterparty exposures) observed between the baseline scenario and the worsening Cerved forecasts. With this approach, it was possible to identify the loans of the corporate counterparties for which the pandemic has triggered a significant increase in credit risk, resulting in a revaluation of the staging and a recalculation of the lifetime ECL. The Group received from Cerved an update of the forecast scenario in November, which shows an improvement



compared to that adopted in September and, for prudential purposes, decided not to adopt it. The use of the Cerved forecast score led to greater adjustments to the income statement for EUR 39.1 mln at 31 December 2021 and higher exposures for EUR 585.4 mln classified in stage 2.

Asymmetry of the scenarios

The Group had maintained throughout 2020, in the evaluation of forward-looking PDs, the Jan 2020-Dec 2022 scenario (recession), thus without considering the temporal shift of the historical series, which would instead have anticipated the use of an expansive scenario for the 2021-2023 period. This choice was mainly due to the failure to observe in 2020 the recessive effects of the pandemic and the related increases in the probability of default, which would have become observable during 2021, with the expiry of the various moratoriums granted to both corporate and retail customers.

The Group has revised the aforementioned approach starting from the accounting assessments of September 2021, in light of both the improved prospective macroeconomic scenario and the more precise measurement of the effects of the deadlines of the moratoriums.

The updated scenarios used by the Group consist of a more probable scenario (baseline) and two alternative scenarios, both worse (extreme worst and severe but plausible) equally weighted. The decision not to consider an improvement scenario compared to the baseline one was dictated by the uncertainty of the current macroeconomic context and by the evidence that even the two worse scenarios show positive growth rates in the three-year period considered. This approach, compared to the use of the baseline scenario and two symmetrical alternatives (one for improvement and one for the worse weighted on the basis of the percentiles attributed to them), resulted in:

- for performing loans, higher adjustments to the income statement for EUR 36.9 mln and higher exposures classified at stage 2 for EUR 338.6 mln;
- for non-performing loans, higher adjustments to the income statement for EUR 25.7 mln.

Floor at the pit rating for moratoria

At 31 December 2021, the counterparties benefiting from a moratorium still active at the end of last year also had a floor applied to the rating set at the same level as that recorded in December 2020. Assuming that the moratorium did not reveal any unpaid balances and consequent signs of deterioration on the internal performance scores, this approach aimed at sterilizing the rating improvement and the related positive effect (transition from stage 2 to stage 1 and related minor value adjustments) deriving exclusively from the impact of the support measures granted, and not from an actual improvement in the real economic conditions of the counterparty. This intervention therefore increased the percentage of interception of counterparties characterized by SICR (Stage 2) by approximately EUR 721.7 mln, increasing the impact in terms of ECL on the Group's loan portfolio for approximately EUR 29.0 mln.

Inclusion of government guarantees

Finally, with regard to the treatment of government guarantees, it should be noted that, in accordance with the guidance of the Authorities, these did not impact the calculation of the SICR since the latter does not depend on the guarantees, but on the creditworthiness, which remains specific to the counterparty; they have instead affected the estimate of the ECL, through the use of an LGD parameter that takes into account the government mitigation measures, introduced and expanded with the "Cura Italia" and "Liquidità" decrees. This approach derives from the assessment carried out on the characteristics of the guarantees that allow them to be considered as an integral part of the contract pursuant to IFRS 9.

For more information on the assumptions used for the estimate, as well as for greater details on the sector impacts of the above-mentioned overlays and for the sensitivity analysis with respect to alternative scenarios, please refer to "Part E - Information on risks and hedging policies, section 2 - Risks of the prudential consolidation, 1.1, Credit risk, paragraph 2.3 Methods for measuring expected losses" in this Notes to the consolidated financial statements.

Contractual changes resulting from COVID-19

Contractual changes and forbearance

The social and economic emergency caused by the COVID-19 pandemic prompted the Italian government to launch a series of support measures for customers from March 2020 and continued during 2021 with the extension to 30 June 2021 established by the Budget Law (no. 178 of 30 December 2020), Law Decree 73/2021 ("Sostegni



bis”), which in art. 16 envisages the possibility for enterprises already in receipt of moratoria - pursuant to art. 56, paragraph 2, of Law Decree no. 18 of 17 March 2020 (“Cura Italia” Law Decree) - on the date of entry into force of the Sostegni-bis Decree-Law, to request the bank, by 15 June 2021, an extension to 31 December 2021. The Group has identified the following lines of intervention:

- suspension of instalment payments and/or extension of due dates on instalment transactions, in application of both the legislative rules and of the ABI moratorium tool;
- extension of due dates for outstanding advances;
- new medium/long-term financing products to meet the working capital needs of borrowers.

The first two of these measures entail, when granted, a change in the contractual terms and can be considered, in accordance with the Group’s accounting policies⁴⁹, as non-essential contractual changes subject to “modification accounting”, which implies the recognition in the income statement of the difference between the book value and the present value of the modified cash flows discounted at the original interest rate. Note that the operating procedures under which the Group has granted COVID-19 suspensions requires the application of interest calculated on the residual debt for the entire period of suspension of payments. Interest is also paid on the due date of the original instalment, if the suspension concerns the principal amount only, or from the end of the moratorium period, if the entire instalment is suspended. This approach implies a substantial actuarial neutrality, as also envisaged in the government’s explanatory report on the “Cura Italia” Decree. As at 31 June 2021, the outstanding moratoria granted as a result of the COVID-19 pandemic were equal to EUR 2.2 bn, representing approximately 2.5% of the total exposure in loans to customers net of securities. For a quantitative review of these moratoria, please refer to table “A.1.5a Prudential consolidation - Loans subject to COVID-19 support measures: gross and net values” in “Part E - Information on risks and related hedging policies” of these Notes to the consolidated financial statements.

As at 31 December 2021, income statement item 140 “Modification gains/(losses)” includes a loss related to the COVID-19 suspensions for roughly EUR 4.7 mln.

Classification criteria applied to moratoria (forborne, defaults)

As previously illustrated, in response to the health emergency, the Group has undertaken a series of interventions to support its customers, through the granting of moratoria on existing loans (suspension of instalments and / or extension of deadlines). In this regard, in the first few months of 2021, the triggers for automatic classification as default in the presence of past due on forbearance measures already activated, were deactivated in order to avoid automatic transfers between non-performing loans, which had been downgraded to non-binding classification parameters of high relevance for the year 2020, were reclassified as binding triggers.

It should be noted that, for the purposes of classification, as of 31 March 2021, the facilitation framework envisaged by the EBA Guidelines on the subject of moratoria has lapsed and, therefore, it is no longer possible to use the simplified prudential treatment envisaged for the classification of moratoria (so-called “EBA compliant” moratoria). Thus:

- legislative and systemic suspensions and concessions⁵⁰ (restructuring/rescheduling) granted for “COVID-19” purposes after 31 March 2021, including any relative extensions deliberated beyond this date, must be subject to a special assessment for evidence of financial difficulty, with the consequent attribution of the forborne qualification and transfer to stage 2 in the case of positive testing;
- the legislative and systemic suspensions and concessions (remodulation/rescheduling) granted for COVID-19 purposes between 1 December 2020 and 31 March 2021, including any related extensions agreed and attributable to “general payment moratoria” pursuant to the EBA guidelines of April 2020 as amended over time, were restricted to a maximum duration of the suspension of 9 months in order to be able to benefit from the simplified prudential treatment.

In this regulatory context, the Group, in light of the number of moratoria in place and the consequent potential requests from customers, to be managed in a very short time, took action during the first half of 2021 according to two main guidelines:

⁴⁹ For more details on derecognition/modification accounting, please refer to section A2 - Part relating to the main items of the financial statements, Paragraph 16 “Other information - Other significant accounting treatments - Renegotiations” of these Notes to the Consolidated Financial Statements.

⁵⁰ By legislative and systemic moratoria we mean the moratoria granted by the Bank on the basis of national laws (Law Decree 18/2020 and Law Decree 73/2021) and ABI agreements.



- activation of a crash program for the analytical review of the counterparties affected by high credit deterioration signs on which the analysis of the financial difficulty was carried out for the forbore labelling or classification in default accompanied by any further measures to support the liquidity guaranteed by the State;
- for all counterparties not subject to the crash program, a top down analysis approach was adopted aimed at attributing the forbore classification in the presence of credit deterioration triggers originating from the management systems.

Starting from 31 October 2021, a further extraordinary portfolio review action was carried out on a perimeter of counterparties characterized by further deterioration in credit scores or intercepted by the second level control functions.

For more information on the identification and classification of forbearance measures and on the valuation of the unlikely-to-pay loans, please refer to Part E - Information on risks and related hedging policies, Section 2-Risk of Prudential consolidation, Qualitative Information of these Notes to the Consolidated Financial Statements.

For the accounting treatment of the moratoriums, reference is made to what is illustrated in the previous paragraph “Contractual changes resulting from COVID-19”.

Lastly, for quantitative information on the support measures granted by the Group as at 31 December 2021, in terms of gross exposure, value adjustments (overall and pertaining to the period), transfer between stages, requests from the Bank of Italy in the previously mentioned Communication of 21 December 2021 entitled “Update of the additions to the provisions of Circular no. 262”, “Bank financial statements: layout and rules for preparation” regarding the impacts of COVID-19 and measures to support the economy”, please refer to the following tables:

- “4.4a Loans valued at amortised cost subject to COVID-19 support measures: gross value and total value adjustments” of “Section 4 - Financial assets valued at amortized cost”, contained in “Part B - Information on the balance sheet” of these Notes to the consolidated financial statements;
- “8.1a Net impairment (losses)/reversals for credit risk on loans measured at amortised cost object of COVID-19 support measures: breakdown” of “Section 8 - Net impairment (loss)/reversals for credit risk” included in “Part C – Information on the Income Statement” of these Notes to the Consolidated Financial Statements;
- “A.1.3a Prudential Consolidation - Loans subject to COVID-19 support measures: transfers between the different stages of credit risk (gross values)” and “A.1.5a Prudential Consolidation - Loans subject to COVID-19 support measures: gross and net values”, contained in the quantitative information in the section dedicated to credit risk of “Part E - Information on risks and related hedging policies” of these Notes to the Consolidated Financial Statements.

Reference is also made to the information provided by the “Guidelines on reporting and disclosure of exposures subject to measures applied in response to the COVID-19 crisis”, published by the EBA (EBA/GL/2020/07), contained in the document “Information to the public by the entities (Pillar III)” of the Montepaschi Group, available on the website www.mps.it

Amendment to IFRS 16 accounting standard

As regards to the concessions as a lessee, the Group applies the exemption introduced by the IASB “COVID-19-Related Rent Concessions - Proposed amendment to IFRS 16” to the valuation of the rent concessions obtained in consequence of the pandemic. In particular, the exemption applies to no. 11 lease agreements of the Parent Company that have not undergone substantial changes to further terms or conditions. The expedient is not a significant case for the Group.

Disclosure on public funding pursuant to art.1, paragraph 125 of Law no. 124 dated 4 August 2017 (“Annual Law for the Market and Competition”)

Note that, at the reporting date of these financial statements, the contributions collected by the Group for 2021 in relation to training activities totalling EUR 2.8 mln are present in the National Register for State Aid and publicly available in the “Individual Aid” Transparency section. For more details, please refer to the following link:

https://www.rna.gov.it/sites/PortaleRNA/it_IT/trasparenza

It is to be noted that the subsidiary MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI SOCIETA' AGRICOLA S.p.A. has received EUR 0.2 mln in 2021 as subsidies, grants and bonuses to support agricultural production in EU countries.



A.3 Information on portfolio transfers

The tables on transfers between portfolios of financial assets were not created, as in the 2021 financial year, as in previous years, the Group did not carry out any reclassification transactions following the change in the business model, that is to say of the procedures used by the Group to manage financial instruments.

A.4 – Information on fair value

Qualitative information

IFRS 13, which harmonises fair value measurement rules and the related disclosure, defines fair value as the price that would be received for the sale of an asset or that would be paid for the transfer of a liability in a regular transaction between market operators operating on a going concern basis (that is, not in a forced liquidation or a sale below cost) at the conditions observed at the valuation date in the main market or most advantageous market (exit price). The Parent Company must measure the fair value of an asset or liability by adopting the assumptions that market participants would use in determining the price of the asset or liability, assuming that they act to best meet their economic interests.

For the purposes of measuring assets and liabilities at fair value, IFRS 13 defines a threefold fair value hierarchy that reflects the reliability of the inputs used in making the measurements. The methods for classifying financial instruments in the three-level fair value hierarchy are shown below.

Level 1

This level shall include financial instruments measured using unadjusted quoted prices in active markets for identical instruments.

IFRS 13 defines an active market as a market in which transactions take place with sufficient frequency and volume to provide information on an ongoing basis. A financial instrument is quoted in a financial market when:

- the quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, authorised body or regulatory agency;
- the quoted prices represent actual and regularly occurring market transactions on an arm's length basis.

If the quoted prices meet these criteria, they represent the best estimation of fair value and must be used to measure the financial instrument.

From the definition of active market set out in IFRS 13, it is inferred that the active market concept is particular to the individual financial instrument being measured and not to the market on which it is listed; the fact that a financial instrument is quoted in a regulated market is therefore not in itself sufficient for the aforementioned instrument to be defined as listed in an active market. Conversely, a financial instrument that is not traded in a regulated market may present sufficient frequency and volumes for it to be classified in level 1 of the fair value hierarchy.

Levels 2 and 3

Financial instruments not listed in an active market must be classified in level 2 or 3.

Classification in level 2 rather than level 3 is determined on the basis of market observability of the significant inputs used to determine fair value. A financial instrument must be fully classified in a single level; if inputs belonging to different levels are used for the purpose of measuring an instrument, the aforementioned instrument is classified based on the lowest level of input that is significant to the fair value measurement.

An instrument is classified in level 2 if all significant inputs are directly or indirectly observable on the market. An input is observable if it reflects the same assumptions used by market participants, based on independent market data.

Level 2 inputs are as follows:

- a) quoted prices on active markets for similar assets or liabilities;
- b) quoted prices for the instrument in question or for similar instruments on non-active markets, i.e. markets where:
 - there are few transactions;
 - the prices are not current or they vary substantially over time and between the different market makers or
 - little information is made public;



- c) observable market inputs other than quoted prices (e.g. interest rates or yield curves observable in different buckets, volatility, credit curves, etc.);
- d) inputs that derive primarily from observable market data, the reporting of which is confirmed by parameters such as correlation.

A financial instrument is classified in level 3 if the measurement techniques adopted use non-observable market inputs and their contribution to estimating fair value is deemed significant.

All financial instruments not listed in active markets are classified in level 3 where:

- despite having observable data available, significant adjustments based on non-observable data are required;
- the estimate is based on internal assumptions on future cash flows and risk adjustment of the discount curve.

For financial instruments, measured at fair value in the financial statements, the Group has adopted a “Fair Value Policy” that assigns the highest priority to prices listed on active markets (level 1) and the lowest priority to the use of non-observable inputs (level 3), as they are more discretionary, in line with the fair value hierarchy represented above. In detail, this policy defines:

- the rules for identifying market data, the selection/hierarchy of information sources and the price configurations to value the financial instruments contributed on active markets and classified under level 1 of the fair value hierarchy (“Mark to Market Approach”);
- valuation techniques and related input parameters in all cases in which the “Mark to Market approach” cannot be used, and therefore is necessary to apply the “Market to Model approach”.

Classification in level 2 rather than level 3 is determined on the basis of market observability of the significant inputs used to determine fair value. A financial instrument must be classified in its entirety in a single level; therefore, if inputs belonging to different levels are used in the valuation technique, the entire valuation must be classified in correspondence with the level of the hierarchy in which the lowest level input is classified, if it is considered significant for the determination of the fair value as a whole.

The following types of investments are normally considered as level 2:

- equities not listed on active markets, valued using the market multiples technique, or valued on the basis of actual transactions;
- OTC derivative financial instruments whose fair value is obtained through the use of pricing models that estimate the probability that a specific event will occur by incorporating assumptions such as the volatility of the estimates, the price of the underlying instrument and the expected rate of return;
- hedge funds and private equity funds characterized by high levels of transparency and liquidity, valued on the basis of the NAV provided by the management company/fund administrator;
- third-party debt securities or own issue not listed on active markets whose inputs, including credit spreads, are obtained from market sources.

The following financial instruments are generally considered level 3:

- hedge funds characterized by low levels of liquidity, when the valuation / disinvestment of their assets is believed to require a series of assumptions and estimates to a significant extent. The fair value measurement is carried out on the basis of the adjusted NAV to take into account the low liquidity of the investment;
- private debt funds and similar funds for which the discounted cash flow is used;
- private equity and real estate funds valued on the basis of the last available NAV, adjusted if necessary to take into account events not included in the valuation of the unit or to reflect a different valuation of the assets underlying the fund;
- equity securities for which no recent or comparable transactions can be observed, and valued on the basis of the equity or income model;
- debt securities, ABS and derivative transactions characterized by complex financial structures for which publicly unavailable sources are generally used;
- debt securities issued by parties in financial difficulty for which the “recovery rate” must be estimated;
- (performing and non-performing) medium/long-term loans valued on the basis of expected cash flows estimated with different models depending on the status of the counterparty and discounted using a market interest rate.



A.4.1. Fair value levels 2 and 3: measurement techniques and inputs used

The following tables show, respectively, for Level 2 and 3 financial instruments, the accounting portfolio, a summary of the types of instruments in use at the Group, and evidence of the related valuation techniques and the inputs used.

Fair value 31 12 2021						Type	Valuation technique(s)	Inputs used
Items	Financial assets held for trading	Other financial assets mandatorily measured at fair value	Financial assets measured at fair value through other comprehensive income	Hedging derivatives	Financial liabilities designated at fair value	Hedging derivatives		
Debt securities	666,573	43,440	573,296	X	-	X	Discounted Cash Flow	Interest rate curve, CDS curve, Basis(yield), Inflation Curves
					113,989		Discounted Cash Flow	Interest rate curve, CDS curve, Basis(yield), Inflation Curves + inputs necessary to measure optional component
							Discounted Cash Flow	Interest rate curve, CDS curve, Basis (yield)
Equity instruments	1,030	-	28,124	X	X	X	Market price	Market price
							Market price	Market price, recent transactions, appraisals, manager reports
							Discount cash flow	Share price, beta sector, free risk rate
							Net asset adjusted	Carrying Amount Asset/Liabilities
Units of UCITS	4	48,211	X	X	X	X	Nav investor report	manager reports, data sheet assets held in portfolio
							Discounted Cash Flow	Interest rate curve, CDS Curve, Basis(yield), Inflation Curve, Foreign exchange rates and correlation
							Discounted Cash Flow	Share price, Interest rate curve, Forcing exchange rates
							Option Pricing Model	Interest rate curve, Forcing exchange rates, Forex volatility
							Option Pricing Model	Interest rate curve, Forcing exchange rates, Forex volatility (Surface)
							Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility
							Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility (Surface), model inputs
							Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility, Quanto correlation, Equity/Equity correlation
							Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility (surface), Model inputs, Quanto correlation, Equity/Equity correlation
							Option Pricing Model	Interest rate curve, inflation curves, bond prices, foreign exchange rates, Rate volatility, rate correlations
							Market price*	Market price, Swap Point
Credit Derivatives	195	X	X	-	113,560	X	Discounted Cash Flow	CDS curves, Interest rate curve
Total assets	3,052,537	91,652	601,420	5,567	X	X		
Total liabilities	X	X	X	X	1,422,644	113,989		

*prices for identical financial instruments listed in non-active markets (IFRS 13 par. 82 lett. b)



Fair value 31.12.2021							
Items	Other financial assets mandatorily measured at fair value	Financial assets measured at fair value through other comprehensive income	Financial liabilities held for trading	Type	Valuation technique(s)	Unobservable inputs	Range (weighted average)
Debt Securities	73,885			Bonds Participating financial instruments	Discounted Cash Flow Credit Model	Discount Rate Fair value asset	8.8% - 11.5% 0-23.1 €/ mln
Equity instruments	2,708	226,835	X	Equity instruments Investments Investments	External pricing Costo / Patrimonio Netto Cost/Net equity	Cecl target, Cost of Equity, Growth rate Liquidity base/Equity Risk Premium/ Beta Fair value asset	12.1%; 10.9%; 1.8% 20%/8%/0.4 0-12.3 €/ mln
Units of UCITS	154,167	X	X	Closed-end Fund Real estate closed-end Fund Alternative Investment Fund	External pricing Discounted Cash Flow Discounted Cash Flow	Fair value assets Discount Rate Discount Rate	10 €/mln 7.46%-10.47% 7.7% - 10.5%
Loans	131,443	-		Loans Loans Loans Loans	Discounted Cash Flow Discounted Cash Flow Discounted Cash Flow Discounted Cash Flow	NPE spread LGD PD PE spread	1.92% / 4.42% 0.17% / 70.9% 0.09% / 31.63% 0.01% / 0.60%
Financial derivatives	X	X	4,306	IR/ Asset/Currency Swaps	Discounted Cash Flow	Surrender Rate	no dynamics/ stochastic volatility
Total Assets	362,203	226,835	X				
Total liabilities	X	X	4,306				



The techniques and parameters for calculating the fair value, as well as the criteria for assigning the fair value hierarchy, are defined and formalized in the aforementioned “Fair value policy” adopted by the Group. The reliability of the fair value measurements is also guaranteed by the verification activities carried out by the Risk Management department.

This unit, which is independent from the Front Office units holding the positions, is in charge of periodically reviewing the list of pricing models to be used for the purposes of the Fair Value Policy: these models must represent market standards or best practices and the related calibration techniques must guarantee a result in line with valuations able to reflect “current market conditions”. Specifically, to correctly determine the fair value, for each product a pricing model is associated, generally accepted by the market and selected on the basis of the characteristics and market variables underlying the product. With particularly complex products or if the existing valuation model for products in use is deemed to be lacking or inadequate, an internal process is activated to supplement the current models. On the basis of this process, the Risk Management department carries out a first validation of the pricing models, which may be native to the Position Keeping system or be issued by a specific internal unit; this is followed by a stage in which the same unit ensures the reliability of the previously validated model.

Specifically, the validation activity is aimed at verifying the theoretical robustness of the model, through an independent repricing of the price, a possible calibration of the parameters and a comparison with the prices of the counterparties.

Following the validation stage, an ongoing review is carried out to confirm the accuracy and alignment to the market of the pricing models used by the Group, and appropriate changes are made, if necessary, to the models and the related underlying theoretical assumptions. To take into account the risk that the pricing models, even if validated, may generate fair value values that are not directly comparable with market prices, an adjustment is made for “Model risk”, as described below.

Financial assets and liabilities measured at fair value on a recurring basis:

Financial assets and liabilities measured at fair value on a recurring basis are represented by all financial instruments measured in the financial statements on the basis of the fair value criterion (items 20, 30, 50 of the balance sheet assets and items 20, 30, 40) of liabilities in the balance sheet). For these financial instruments, in the absence of directly observable prices on active markets, it is necessary to determine a fair value on the basis of the valuation approach described in the previous paragraph. The main valuation techniques adopted for each type of financial instrument are illustrated below.

Debt securities

The valuation of non-contributed securities (i.e. securities without official prices expressed by an active market) is carried out using the method of discounting the future cash flows generated by the security. This valuation requires the use of an appropriate credit spread, identified starting from contributed and liquid financial instruments with similar characteristics. The sources from which to draw this measure are as follows:

- contributed and liquid debt securities of the same issuer;
- credit default swap on the same reference entity;
- contributed and liquid securities issued by an issuer with the same rating and belonging to the same sector. In any case, the different seniority of the security to be priced in relation to the issuer’s debt structure is taken into account.

Furthermore, for bonds not quoted on active markets, to take into account the higher premium requested by the market compared to a similar contributed security, an additional component, estimated on the basis of the bid/ask spread, is added to the “fair” credit spreads observed on the market.

Loans that do not pass the SPPI test

These are loans mandatorily measured at fair value as the contractual cash flows do not exclusively provide for the repayment of principal and payment of interest on the principal to be repaid (i.e., they do not pass the “SPPI test”), either by virtue of clauses originally envisaged in the contract or following subsequent amendments. The fair value is valued with the *Discounted Cash Flow* approach, which is applied in a different way depending on whether the loans are *performing/non-performing*:

- for performing loans, the fair value is determined on the basis of cash flows, appropriately adjusted for expected losses, based on the unobservable parameters PD and LGD. These flows are then discounted on the basis of a market interest rate, adjusted to take into account a premium deemed to express the



risks and uncertainties. In the presence of implicit option components, which, for example, provide for the option of changing the interest rate, the fair value also takes into account the value of said components;

- for non-performing loans, the measurement of the fair value is based on directly or indirectly observable market parameters, which refer to risk factors found in the sale of NPLs in order to obtain a market price, representative of the uncertainty of the recovery process. In particular, cash flow forecasts are expressed by the analytical repayment plans that represent the information on the estimated loss rate on the position. The recovery flows estimated in this way are discounted using a discount factor that is constructed starting from a spread representing the uncertainty of the recovery process (unexpected loss) and any other residual risk; the discount rate is then calculated by adding this spread to the risk-free interest rate curve, without taking into account the contractual rate.

Unlisted equities

They are valued with reference to direct transactions on the same security or on similar securities observed over a period of time with respect to the valuation date, using the market multiples method of comparable companies and subordinate to financial, income and equity valuation methods.

Investments in UCITS

As a rule, these are measured on the basis of the NAVs made available by the fund administrator or the management company, unless it is believed that said NAV does not represent a fair value, from the perspective of a market operator, in which case certain adjustments must be made. This category includes private equity, private debt and similar, real estate and hedge funds.

In the specific case of Private Debt funds, the Bank has estimated the value of units as the sum of the present values of the expected flows from fund distributions (Discounted Cash Flows). The inputs used are as follows:

- cash flows related to net distributions to investors envisaged in the business plans/management reports;
- discount rate between 7.46% and 10.47%, depending on the capital structure and the additional premium for the risk of each transaction.

Credit structured products

With reference to ABS (asset backed securities), when significant prices are not available, valuation techniques are used that take into account parameters that can be inferred from an active market (level 2 inputs) or must be estimated, if unobservable (level 3 inputs, if significant). In the first case, the cash flows are acquired from info providers or specialized platforms; the spreads are derived from the prices available on the market /info provider, analysing the performance of the underlying assets on the basis of the investor reports. If they are not available, the Group uses valuation techniques to recreate the payment waterfall.

Over the counter (OTC) derivatives

Interest rate, exchange rate, equity, inflation, commodity and credit derivatives, where not traded on regulated markets, are Over-The-Counter (OTC) instruments, i.e. traded bilaterally with market counterparties. Their valuation is carried out using appropriate valuation models, fed by input parameters (such as, for example, interest rate, exchange rate and volatility curves) observed on the market and subject to the monitoring processes described in the "Group Fair Value Policy".

These models estimate the probability that a specific event will occur by incorporating assumptions such as the volatility of the estimates, the price of the underlying instrument and the expected rate of return.

The following table provides a summary of the main types of derivatives in place with the Group, with evidence of the related valuation models and the main inputs.



Underlying	Valuation model	Key market data and model input parameters
Interest rate	Discounted cash flow, Black, SABR, Libor Market Model, 1 factor Hull-White, shifted lognormal	Interest rate curve, (deposits, FRA, Futures, OIS, swap, basis swap, cap/floor/ swaption volatility options, interest rate correlations
Equity	univariate and multivariate Black-Scholes, Heston-Nandi, Displaced diffusion, Linear	Interest rate curve, underlying spot prices, expected dividends, underlying volatility, Quanto correlations
Inflation	Black & Scholes normal vol	Inflation curve, interest rate curve, interest rate volatility, inflation volatility, inflation rate correlation
Credit	Discounted cash flow, Gaussian Copula	Nominal interest rate and inflation curve, interest rate volatility, inflation volatility, inflation rate correlation
Forex	Displaced diffusion, Vanna volga model, Black-Scholes, Discounted cash flow	Interest rate curve, spot and forward FX curve, FX volatility, Quanto volatility and correlation

In addition, for the purpose of measuring fair value, the aforementioned “Group Fair Value Policy” envisages that some “fair value adjustments” be considered with the objective of best reflecting the realization price of an actually possible market transaction. In particular, this relates to model risk, liquidity risk and counterparty risk set out below.

Model risk: this adjustment is made in order to face the risk that the pricing models, even if validated, may generate fair value values that are not directly observable or not immediately comparable with market prices. This is the case of pricing algorithms or types of pay-off that are not adequately widespread on the market or in the presence of models particularly sensitive to variables that are difficult to observe on the market.

Liquidity risk: this adjustment is made to take into account the extent of the “bid / ask spread”, i.e. the actual cost of disposing of a position in financial instruments in inefficient markets. The correction for the liquidity risk is greater for more structured products, due to the related hedging/disposal costs, and for valuation models that are not sufficiently established and of widespread use among operators, since this makes the valuations more uncertain.

Counterparty risk: adjustments to the market value of OTC derivatives, classified as “performing”, are made in order to reflect:

- the risk of possible counterparty default - Credit Valuation Adjustment (CVA);
- the risk of non-fulfilment of the issuer’s contractual obligations towards a counterparty (“own credit risk”) - Debt Valuation Adjustment (DVA).

These corrections were estimated for all OTC derivative positions with non-collateralised institutional and retail counterparties. The methodology is based on the calculation of expected operational loss linked to counterparty rating and estimated on a position’s duration. The exposure includes future credit variations represented by additions. Market-consistent probability measurements are employed in the calculation of CVAs in order to gauge market expectations resulting from CDS prices without, however, losing the historical information available within the Group. The impact of the CVA as at 31 December 2021 amounted to EUR -16.6 mln.

The Group calculates the value adjustment of OTC derivatives in a mirror image fashion and on the same perimeter to take into account its creditworthiness, Debt Value Adjustment (DVA). As at 31 December 2021, the DVA is positive and amounts to a total of EUR 6.1 mln.

Financial assets measured at fair value on a recurring basis

Financial assets and liabilities measured at amortised cost in the financial statements

For financial assets and liabilities recognized in the financial statements at amortised cost, classified, in the accounting categories of “Financial assets measured at amortised cost” (loans to banks and customers) and “Financial liabilities measured at amortised cost” (due to banks and customers and debt securities issued), the calculation of the fair value is relevant for information purposes only, in line with the provisions of the reference accounting standard IFRS 7. The criteria to calculate the fair value of performing and non-performing loans to banks and customers are the same adopted for the fair value valuation on a recurring basis of the loans that do not pass the SPPI test, to which reference is made. Exceptions to this rule are loans to central banks included in the “Loans to banks” portfolio for which the book value is considered a good approximation of the fair value as allowed by accounting standard IFRS 7, and is classified in level 2 of the hierarchy. The same methodology and classification are used for the “Due to banks” and “Due to customers” portfolios.



For debt securities classified in the “Loans to banks or customers” or “Debt securities issued” portfolio, the fair value was determined through the use of prices contributed on active markets or through the use of valuation models, such as described in the paragraph “Assets and liabilities measured at fair value on a recurring basis” above.

With reference to the classification of loans to customers and banks within the fair value hierarchy, it should be noted that customers are classified in level 3 and banks in level 2, except in the case of non-performing exposures.

Non-financial assets measured at fair value on a recurring basis

The Group’s non-financial assets measured at fair value on a recurring basis are represented by the owned property assets.

Fair value of owned real estate assets

The Group adopts the criterion of re-determination of value for the valuation of property assets for business use pursuant to IAS 16 and of the fair value for investment properties pursuant to IAS 40, for valuation subsequent to the initial recognition.

Real estate valuation methodology

The redetermination method requires that the assets for business use, whose fair value can be reliably measured, are recognized at a restated value, equal to their fair value at the date of the redetermination of value, net of depreciation and any losses for accumulated impairment.

For properties held for investment purposes, the Group has chosen the fair value measurement method, according to which, after initial recognition, all investment properties are measured at fair value.

The fair value of the properties, whether for business or investment use, is determined through the use of specific appraisals prepared by independent qualified companies operating in the specific sector able to provide property valuations on the basis of the RICS Valuation standards. These standards ensure that:

- the fair value is determined consistently with the indications of international accounting standard IFRS 13, that is it reflects the estimated amount for which an asset or liability is sold or purchased, on the valuation date, by a seller and a buyer both willing, and not linked by a special relationship, at competitive conditions, after proper marketing and where the parties had each acted knowledgeably, prudently and without compulsion”;
- the experts have professional, ethical and independence requirements in line with the provisions of international and European standards.

For properties of a significant value, i.e. with a book value of more than EUR 8 mln, the appraisals are carried out in “full” mode, i.e. with an inspection of the property as well as a detailed analysis of the available documentation. For the remaining properties it is however possible to make use of “desktop” appraisals, which are carried out without onsite inspection, only by reviewing the documentation. The Group has decided to carry out “full” appraisals on at least 50% of the overall book value of the properties.

The valuation methodologies applied by the appraiser in the appraisal are aligned with international IVS (International Valuation Standards) practices and with the provisions of the Red Book of the Royal Institute of Chartered Surveyors (RICS), which can be classified as follows:

- Discounted cash flow (DCF);
- Market comparison approach (MCA);
- transformation method with DCF analysis.

The discounted cash flow method is based on the net cash flows that can be generated within a period of time and is the best estimation approach to adequately represent the market value of assets likely to be acquired as properties, both for direct use (instrumental use), and for investment purposes, as a source of ongoing income from rents. The assumption underlying the cash flow approach is that a rational buyer is not willing to pay to buy the asset a price higher than the current value of the economic benefits that the asset will provide in the future. The value of the asset, therefore, is a function of the economic benefits that will be generated by it. The Market Value is calculated as the sum of the discounted net revenues and the discounted net sales value at the valuation date. The net revenues are calculated based on the gross revenues less the operating costs related to the property. The gross revenues are calculated by indexing the rents received for the leased portions, or the market rents for the vacant



portions, considering for the calculation of the DCF a time period between 10 and 20 years according to the intended use of the property and the residual duration of outstanding lease contracts. The net sales value is obtained by capitalising in perpetuity the operating income for the last period of the DCF using a capitalization rate (Cap Rate) in line with average market yields, from which the sales commission is then deducted. After finding the annual net revenues and the net sales value, the discounted values at the beginning of the first period are calculated by using an appropriate discount rate, suitable for each individual property. The main input data are: i) revenues (contractual rents, market rents); ii) vacancy and take up period, contractual step-up, etc.; iii) costs (administration, property tax, insurance premium, tenant improvements, lease and sales commission, etc.) and iv) interest rates (WACC, exit cap rate).

The market comparison approach provides an estimate of the value of the asset through the comparison with properties recently sold or currently on sale on the market that are comparable in terms of type, construction and location. The value of the property is therefore found by taking into account the sale prices or rents obtained from an in-depth market survey, and then making specific adjustments as deemed appropriate given the intrinsic and extrinsic characteristics of the property in question, as well as any other factor deemed relevant. The market comparison approach is usually recommended for residential properties for which it is easy to find transactions on comparable assets.

The transformation method with DCF analysis is used in the case of assets that can be transformed or are already being transformed. The value is given by the difference between the most likely market value of the transformed asset and the sum of all the most likely costs of the factors involved in the transformation of the asset itself. The transformation method is often used to express an opinion on the economic benefit of initiatives to renovate existing assets, but it can also be used for an appraisal aimed at providing an estimate value valid for the majority of market operators. This estimation method is based on the discounting, at the valuation date, of the cash flows generated by the real estate transaction over a time period corresponding to its duration, converting the cash flows allocated at the time of their generation into the Net Present Value (NPV) of the real estate transaction through a financial discounting procedure. The model simulates the assumptions of a typical investor, which aims at receiving a satisfactory economic return on the investment. In particular, the model is articulated in a cash flow scheme with income (revenues) and expenses (costs) relating to the real estate transformation project. Expenses include costs for construction, demolition, urbanisation, design, site management and other costs; the income includes sales made for each sector of intended use (residential, industrial, workshops, sales, tertiary and services). The financial model does not consider VAT and other taxes. The main input data are i) the revenues generated from the sale of buildings built or renovated; ii) the costs (construction costs, urbanisation costs, planning and site management costs, sales commissions, etc., and iii) interest rates (WACC).

The valuation policy is defined considering for each property:

- the breakdown in terms of property units;
- the use of each property unit, assuming this represents the highest and best use, and considering any alternative uses of the properties where this corresponds to market expectations;
- the nature of the property, divided into instrumental, for investment use, mixed.

Depending on the intended use, the occupation status and the nature of the asset, the valuation method deemed most appropriate by the appraiser is applied for each property unit and the value is divided between business use and investment portions.

The properties are valued individually at the level of the single property without considering any discount or premium that can be negotiated in a commercial negotiation phase if all, or part of the portfolio, is sold en bloc, both by lots and entirely.

As the valuation of the properties is significantly based on estimates that are characterized in nature by elements of judgement and subjectivity, the Group's entire property assets are classified at level 3 in the fair value hierarchy.

Periodicity of evaluations

For investment property it is necessary to recalculate the fair value on an annual basis in accordance with IAS 40. For property for business use, IAS 16 provides that value re-determinations must be carried out regularly in order to ensure that the book value does not differ significantly from the fair value at the balance sheet date.

The recalculation frequency is linked to the fluctuations in the fair value of the assets subject to revaluation. In this regard, on the basis of the trend recorded by the markets, the Group has decided to carry out the revaluation every two years unless the scenario analysis is such as to require an advance update, through a new appraisal.



Scenario analysis

As the Group recalculates the value of business properties every two years, in order to identify and appreciate the significant changes in the property market that require the appraisal to be brought forward with respect to the standard frequency, the Group monitors the market trend by location and/or geographical area.

This monitoring is conducted in financial years other than those in which the re-determination of the value is already planned, with the aim of detecting any deviations in market values between the reference period of the financial statements and the previous period. If the deviation, which takes into account rents and prices by property class, exceeds a limit threshold of $\pm 10\%$, the valuation of the properties is timely updated.

Three different sources are used to define the changes: the Revenue Agency according to the relevant areas of the Property Market Observatory (OMI - Osservatorio del Mercato Immobiliare); Nomisma, or equivalent observers, which can carry out, for the related areas, the same searches performed for OMI (main database); the analysis of the changes in the offers on the property market that took place in the year in question.

The analysis of the data collected, relating to values and fees referring to the main intended use defined for the position, returns a synthetic factor which, by assigning a decreasing weight to the institutional value of the three sources, determines a single percentage deviation to be compared with the defined target threshold.

On the basis of the aforementioned rules, at 31 December 2021 the Group updated the appraisals for all property investments and for 18 properties for instrumental use, for which the scenario analysis highlighted the need to anticipate the valuation with respect to the standard frequency. A total of 317 appraisals were carried out, of which 30 in “full” mode and 287 in “desktop” mode.

Sensitivity analysis of non-financial instruments

Like financial instruments, non-financial assets and liabilities measured at level 3 fair value are also subjected to sensitivity analysis for which, based on the valuation model used to determine fair value, execution is possible and whose results are significant.

In this context, the sensitivity analysis was performed for the properties of the Group for which the valuation was carried out using the discounted cash flow method, identifying the following most significant variables: market fees for properties for business use, and the “exit value” for properties held for investment purposes. Considering a variation equal to $\pm 5\%$ of the aforementioned variables, the analysis showed an average deviation in the fair value of the properties of approximately 6% in both hypothesized scenarios

A.4.2 Measurement processes and sensitivity

A description of Level 3 instruments that show significant sensitivity to changes in unobservable inputs is provided below.

The column “Other financial assets mandatorily measured at fair value” in the category “Debt securities” measured with the Discounted Cash Flow method includes EUR 45.5 mln referring to the notes of the “Norma” multioriginator securitisation, also valued with the Discounted Cash Flow method. For this position, the change in the discount rate ($\pm 1\%$) and in expected cash flows ($\pm 10\%$) would result in the following range of values: EUR 40.1 – 51.1 mln.

Lastly, the same category includes EUR 27.3 mln referring to some equity instruments acquired by the Parent Company under credit restructuring agreements for which the sensitivity analysis was not carried out as the unit value of the individual exposures is below the minimum materiality threshold established by the Group.

The “Other financial assets mandatorily measured at fair value” column also includes loans (EUR 131.4 mln) that are mandatorily measured at fair value. The unobservable parameters are Probability of Default (PD), Loss Given Default (LGD) and the different spreads for performing and non-performing assets. The change in these parameters, of 10%, 5%, 1%, and 1%, respectively, would have an impact on fair value of approximately EUR -5.8 mln.

The majority of the UCITS units refers to units of funds received in exchange for the sale of non-performing loans (Back2bonis, IDEA CCR I, II and Nuova Finanza, Efesto, Clessidra), equal EUR 136.4mln. The change in the discount rate ($\pm 1\%$) and forecasted distributions ($\pm 10\%$) would result in the following range of values: EUR 118.9 – 154.7 mln. The category of units of UCITS also contains the total of contributions, made from June 2016,



to the Italia Recovery Fund (formerly Atlante due) for a book value of EUR 10.1 mln. The position is valued on the basis of the latest available NAV.

The “Financial assets measured at fair value through other comprehensive income” accounting portfolio includes the shareholding in Bank of Italy (EUR 187.5 mln), measured using the Discounted Cash Flow method. The shareholding was measured with the methodology identified by the Committee of Experts in the document “Revaluation of shareholdings in the Bank of Italy”. This document not only details the valuation techniques adopted to reach the end result, but identified the following entity-specific parameters: the market beta, equity risk premium, and the cash flow base. The valuation of that equity investment is also confirmed in market transactions carried out in recent years by certain banks. The range of possible values that can be assigned to these parameters cause the following changes in value: roughly EUR -35 mln for every 100 bps increase in the equity risk premium, roughly EUR -56 mln for every 10 pp increase in the market beta, and roughly EUR -33 mln for every 10 pp increase in the liquidity base.

This category also includes equity securities representing all investments designated at fair value that could not be measured according to a market-based model. These positions amount to approximately EUR 39.3 mln.

Financial liabilities held for trading include financial derivatives (approximately EUR 4.3 mln) included for the correct management of the lapse risk inherent in commission flows deriving from the placement of certain unit-linked policies. A sensitivity analysis was not carried out for these positions as they were not considered material for the Group.

A.4.3 Fair value hierarchy

For the purposes of completing the disclosure on transfers between levels provided in paragraphs A.4.5.1, A.4.5.2 and A.4.5.3 below, it should be noted that, for securities held at 31 December 2021 and which had a different fair value level with respect to the one assigned at 1 January 2021, it was assumed that the transfer between the levels took place with reference to the balances held at the beginning of the reference period.

A.4.4 Other information

With reference to par. 93 lett. (i) of IFRS 13, the Group does not hold any non-financial assets measured at fair value whose current use does not represent its best possible use.

With reference to par. 96 of IFRS 13, the Group does not apply the portfolio exception provided for in par. 48 of IFRS 13.



Qualitative information

A.4.5 Fair value hierarchy

A.4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fair value level

Asset and liabilities measured at fair value	31 12 2021				31 12 2020*			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Financial assets measured at fair value through profit or loss of which:	6,164,593	3,144,189	362,204	9,670,986	4,610,053	3,700,777	365,119	8,675,949
a) Financial asset held for trading	6,164,423	3,052,537	-	9,216,960	4,609,934	3,604,968	-	8,214,902
c) other financial assets mandatorily measured at fair value	170	91,652	362,204	454,026	119	95,809	365,119	461,047
2. Financial assets measured at fair value through other comprehensive income	4,632,415	601,419	226,835	5,460,669	4,927,906	621,436	228,584	5,777,926
3. Hedging derivative	-	5,567	-	5,567	-	50,818	-	50,818
4. Property, plant and equipment	-	-	1,989,206	1,989,206	-	-	247,464	247,464
Total assets	10,797,008	3,751,175	2,578,245	17,126,428	9,537,959	4,373,031	841,167	14,752,157
1. Financial liabilities held for trading	3,104,110	1,422,645	4,306	4,531,061	4,545,498	1,456,522	-	6,002,020
2. Financial liabilities designated at fair value	-	113,989	-	113,989	-	193,332	-	193,332
3. Hedging derivative	-	1,259,140	-	1,259,140	-	1,797,049	-	1,797,049
Total liabilities	3,104,110	2,795,774	4,306	5,904,190	4,545,498	3,446,903	-	7,992,401

* The balance sheet values as of 31 December 2020, for row "4. Property, plant and equipment", have been restated, compared to those published in the 2020 Financial Statements, following the retrospective application of the change in valuation criteria used for investment properties (pursuant to IAS 40).

For information on financial instruments classified in level 3, please refer to the above

The fair value of some financial assets, particularly bonds for over EUR 32 mln, worsened during the year from level 1 to level 2. This was essentially due to worsening of the liquidity conditions of the securities (measured in terms of bid-ask spread of the listed price), leading to the level transfer, in accordance with the Group's policy on the valuation of financial instruments.

With reference to financial instruments that have improved from level 2 to level 1 of the hierarchy, please note that this dynamic affected bonds for a value of over EUR 51 mln. The change in the fair value level during the year is essentially linked to the improvement in the securities' liquidity conditions (measured in terms of bid-ask spread of the listed price), which allowed the level transfer in accordance with the Group's policy on the valuation of financial instruments.



A.4.5.2 Annual changes of financial assets measured at fair value on a recurring basis (level 3)

31 12 2021

	Financial assets measured at fair value through profit or loss		Financial assets measured at fair value through other comprehensive income	Property, plant and equipment
	Total	of which: c) financial assets mandatorily measured at fair value		
1. Opening balance*	365,119	365,119	228,584	247,464
2. Increases	92,865	92,865	327	1,790,938
2.1 Purchase	1,000	1,000	-	-
2.2 Profit charged to:	27,769	27,769	272	1,247
2.2.1 Income statement	27,769	27,769	-	1,247
- of which capital gains	27,769	27,769	-	1,247
2.2.2 Equity	-	-	272	-
2.3 Transfers from other levels	-	-	-	-
2.4 Other increases	64,095	64,096	55	1,789,691
3. Decreases	95,780	95,780	2,076	49,196
3.1 Sales	1,151	1,151	1,993	4,963
3.2 Repayments	25,619	25,619	-	-
3.3 Losses charged to:	69,007	69,007	83	18,681
3.3.1 Income statement	69,007	69,007	-	14,262
- of which capital losses	68,670	68,670	-	14,262
3.3.2 Equity	-	-	83	4,419
3.4 Transfers to other levels	-	-	-	-
3.5 Other decreases	3	3	-	25,552
4. Closing balance	362,204	362,204	226,835	1,989,206

* The "opening balances" for the column "property, plant and equipment" have been restated, compared to those published in the 2020 Financial Statements, following the retrospective application of the change in valuation criteria for investment properties (IAS 40).

Following are reported the main amounts in the column "Other financial assets mandatorily measured at fair value" showed at the line:

- "2.2.1 Profits charged to income statement" equal to approximately EUR 27.7 mln mainly refer to valuation gains of which EUR 1.6 mln relating to loans and EUR 19.7 mln for the revaluation of SFP (EUR 8.7 mln) and some UCITS units (EUR 11.0 mln);
- "2.4 Other increases" equal to EUR 64.0 mln includes approximately EUR 46.6 mln for the initial recognition of units of the Clessidra fund following the derecognition of the underlying loans. Please also note that EUR 14.0 mln refer to positions that during the year were reclassified from the loan portfolio at amortised cost to the portfolio of other assets mandatorily measured at fair value due to substantial credit changes not consistent with the SPPI test, as well as new disbursements;
- "3.1 Sales" of EUR 1.1 mln refers to the sale during 2021 of loans classified as unlikely to pay;
- "3.2 Repayments for EUR 25.6 mln", includes EUR 10.7 mln for the partial reimbursement of UCITS units held and EUR 14.5 mln for reimbursements on credit positions;
- "3.3.1 Losses charged to the income statement - of which losses" of EUR 68.7 mln refers for EUR 47.1 mln to the writing down of the junior notes of the Siena NPL and Norma securitisations. The further EUR 21.6 mln of write-downs carried out during the period refer for EUR 11.6 mln to non-performing loans and for EUR 10 mln to debt securities (of which EUR 5.3 mln refer to equity investments, EUR 2.7 mln to the investment in the Voluntary Scheme for Banca Carige and UCITS units for EUR 2.0 mln);



Property, plant and equipment measured at fair value on a recurring basis consisted of real estate held for business and investment purposes. The market value at 31 March 2021 of properties held for business use, equal to EUR 1,773.6 mln, is shown in the sub-item "2.4 Other increases", taking into account the prospective representation of the transition from measurement at cost to fair value measurement; The main amounts reported are shown below:

- "2.2.1 Profits recognized in the income statement of which capital gains" equal to approximately EUR 1.2 mln euro refer entirely to the revaluation of properties classified as IAS 40 following appraisals carried out at 31 December 2021;
- "2.4" Other increases " equal to approximately EUR 1,789.7 mln euro refers for EUR 1,773.6 mln to the market value of the properties used for business as at 31 March 2021, and for the remaining EUR 16.1 mln respectively to improvements and incremental expenses incurred on owned property assets for business use (EUR 10.6 mln) and to the transfer of properties previously classified under IFRS 5 to the category to which they belong (EUR 5.5 mln);
- "3.3.1 Losses charged to the income statement - of which capital losses", equal to EUR 14.2 mln, refers for EUR 9.5 mln and EUR 4.7 mln respectively to property classified in accordance with IAS 16 and 40;
- "3.3.2 Losses charged to equity" equal to approximately EUR 4.4 mln refer entirely to write-downs made on properties classified under IAS 16 subject to a previous revaluation recognized in the OCI reserve;
- "3.5 Other decreases" equal to approximately EUR 25.5 mln euros refer mainly for EUR 21.7 mln to the depreciation charge relating to properties classified as IAS 16 and for EUR 2.8 mln to properties classified as assets under construction disposal during the year

A.4.5.3 Annual changes of financial liabilities measured at fair value on a recurring basis (level 3)

	31 12 2021
	Financial liabilities held for trading
1. Opening balance	-
2. Increases	4,306
2.1 Issues	2,298
2.2 Losses posted to	-
2.2.1 Profit and Loss	-
- of which capital losses	-
2.2.2 Equity	X
2.3 Transfers from other levels	2,008
2.4 Other increases	-
3. Decreases	-
3.1 Redemptions	-
3.2 Repurchases	-
3.3 Profit posted to:	-
3.3.1 Profit and Loss	-
- of which capital gains	-
3.3.2 Equity	X
3.4 Transfers from other levels	-
3.5 Other decreases	-
4. Closing balance	4,306



A.4.5.4 Assets and liabilities not measured at fair value or measured at fair value on a non-recurring basis: breakdown by fair value level

Financial asset/liabilities not measured at fair value or measured at fair value on a non-recurring basis	31 12 2021					31 12 2020*				
	Book value	Level 1	Level 2	Level 3	Total Fair value	Book value	Level 1	Level 2	Level 3	Total Fair value
1. Financial assets measured at amortised cost	113,060,139	6,936,658	32,002,685	78,452,346	117,391,689	126,739,731	7,740,021	45,558,279	80,358,016	133,656,316
3. Non-current assets held for sale and disposal groups	72,883	-	-	68,239	68,239	102,893	539	-	-	539
Total assets	113,133,022	6,936,658	32,002,685	78,520,585	117,459,928	126,842,624	7,740,560	45,558,279	80,358,016	133,656,855
1. Financial liabilities measured at amortised cost	121,466,203	9,714,877	111,788,975	-	121,503,852	131,943,995	11,190,686	121,220,059	-	132,410,745
Total liabilities	121,466,203	9,714,877	111,788,975	-	121,503,852	131,943,995	11,190,686	121,220,059	-	132,410,745

*The balance sheet values as at 31 December 2020 were restated, with respect to the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly IAS 40)

For details of the valuation criteria for assets and liabilities measured at fair value on a non-recurring basis, please refer to the information provided in the corresponding qualitative section.

In regard to the assets held for sale, in the fair value levels, only the assets measured at fair value or at fair value less disposal costs were indicated.

A.5 Information on “day one profit/loss”

The Group did not recognise “day one profits/losses” on financial instruments pursuant to B.5.1.2A of IFRS 9; therefore, no disclosure is provided pursuant to paragraph 28 of IFRS 7 and other related IAS/IFRS paragraphs.



Part B – Information on the consolidated balance sheet

ASSETS

Section 1 - Cash and cash equivalents - Item 10.....	271
Section 2 - Financial assets measured at fair value through profit or loss - Item 20.....	271
Section 3 - Financial assets measured at fair value through other comprehensive income - Item 30.....	276
Section 4 - Financial assets measured at amortised cost - Item 40.....	279
Section 5 - Hedging derivatives - Item 50.....	285
Section 6 - Change in value of macro-hedged financial assets - Item 60.....	286
Section 7 - Equity investments – Item 70.....	288
Section 8 - Reinsurance technical reserves – Item 80.....	296
Section 9 - Property, plant and equipment - Item 90.....	296
Section 10 – Intangible assets – Item 100.....	303
Section 11 - Tax Assets and Liabilities - Item 110 (Assets) and Item 60 (Liabilities).....	310
Section 12 - Non-current assets held for sale and disposal groups and associated liabilities - Item 120 (assets) and Item 70 (liabilities).....	319
Section 13 - Other assets - Item 130.....	320

LIABILITIES

Section 1 - Financial liabilities measured at amortised cost - Item 10.....	321
Section 2 - Financial liabilities held for trading - Item 20.....	324
Section 3 - Financial liabilities measured at fair value - Item 30.....	326
Section 4 - Hedging derivatives - Item 40.....	328
Section 5 - Changes in value of macro-hedged financial liabilities - Item 50.....	330
Section 6 – Tax liabilities – Item 60.....	330
Section 7 – Liabilities associated with non-current assets held for sale and disposal groups– Item 70.....	330
Section 8 – Other liabilities – Item 80.....	330
Section 9 – Provision for employee severance pay – Item 90.....	331
Section 10 – Provisions for risks and charges – Item 100.....	332
Section 11 – Insurance reserves – Item 110.....	349
Section 12 - Redeemable shares - Item 120.....	349
Section 13 – Group equity – Items 120, 130, 140, 150, 160, 170 and 180.....	350
Section 14 - Non-controlling interests - Item 190.....	352
Other information.....	353



ASSETS

Section 1 - Cash and cash equivalents - Item 10

1.1 Cash and cash equivalents: breakdown

	Total 31 12 2021	Total 31 12 2020*
a) Cash	723,876	751,985
b) Demand deposits with central banks	11,485	11,792
c) Demand deposits with banks	1,006,405	1,555,664
Total	1,741,766	2,319,441

* The comparative data have been restated to take into account the indications envisaged by the 7th update of Circular 262 of the Bank of Italy

The line "Current account and demand deposits with central banks" does not include the compulsory reserve, which is shown in item 40 "Financial assets measured at amortised cost", under loans to banks.

Section 2 - Financial assets measured at fair value through profit or loss - Item 20

2.1 Financial assets held for trading: breakdown

Items	Total 31 12 2021				Total 31 12 2020			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
A. Balance-sheet assets								
1. Debt securities	5,965,937	666,573	-	6,632,510	4,447,130	709,092	-	5,156,222
1.1 Structured securities	48,263	125,211	-	173,474	17,808	107,930	-	125,738
1.2 Other debt securities	5,917,674	541,362	-	6,459,036	4,429,322	601,162	-	5,030,484
2. Equity instruments	112,247	1,030	-	113,277	40,271	23	-	40,294
3. Units of UCITS	45,145	4	-	45,149	50,627	3	-	50,630
4. Loans	-	-	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-	-	-
4.2 Others	-	-	-	-	-	-	-	-
Total (A)	6,123,329	667,607	-	6,790,936	4,538,028	709,118	0	5,247,146
B. Derivatives								
1. Financial derivatives:	41,094	2,384,735	-	2,425,829	71,906	2,895,575	-	2,967,481
1.1 held for trading	41,094	2,344,432	-	2,385,526	71,906	2,851,720	-	2,923,626
1.2 fair value option	-	40,303	-	40,303	-	43,855	-	43,855
1.3 Others	-	-	-	-	-	-	-	-
2. Credit derivatives:	-	195	-	195	-	275	-	275
2.1 held for trading	-	195	-	195	-	275	-	275
2.2 fair value option	-	-	-	-	-	-	-	-
2.3 Others	-	-	-	-	-	-	-	-
Total (B)	41,094	2,384,930	-	2,426,024	71,906	2,895,850	-	2,967,756
Total (A+B)	6,164,423	3,052,537	-	9,216,960	4,609,934	3,604,968	0	8,214,902

Criteria adopted for classification of financial instruments in the three levels of the "fair value hierarchy" are reported in Section A.4, "Information on fair value" of Part A, "Accounting policies" of the notes to the financial statements, to which reference should be made.



As a result of the provisions set out in IFRS 9 with regard to the derecognition of financial assets, lines 1.1 Structured securities and 1.2 Other debt securities of the item “Cash assets” also include debt securities pledged in repos and securities lending transactions carried out in respect of own securities posted to the trading book.

The amount of EUR 541.3 mln (EUR 601.2 mln as at 31 December 2020), reported on line “1.2 Other debt securities”, in the level 2 column, includes senior, mezzanine and junior exposures assumed by the Group with reference to own and third-party securitisation transactions, equal to EUR 162.5 mln (EUR 248.7 mln as at 31 December 2020), EUR 109.0 mln (EUR 102.2 mln as at 31 December 2020) and lastly EUR 9.8 mln (EUR 13.5 mln as at 31 December 2020), respectively.

Derivatives connected with fair value option instruments are also classified as derivative instruments: these cover the risks of funding measured at fair value arising from possible interest rate fluctuations and from any embedded options in fixed-rate and structured bonds issued by the Parent Company (natural hedging). The positive fair value of these derivatives is shown in the table in line “B.1-1.2 – Fair value option”.

By convention, such derivatives are classified in the trading book. In terms of their representation in the income statement, they comply with rules similar to the rules applicable to hedging derivatives: positive and negative spreads or margins settled or accrued until the balance sheet date are recognised as interest income and expense, while valuation profits and losses are posted under item “Net profit (loss) from trading” 80 of the income statement, contrary to funding instruments included in the fair value option, for which profit, loss, capital losses and capital gains fall under item 110 a) “Net profit (loss) from other financial assets and liabilities measured at fair value through profit and loss a) financial assets and liabilities measured at fair value” of the income statement.

2.1 a Breakdown of debt securities: structured securities

Structured debt securities	Total	Total
	31 12 2021	31 12 2020
Index Linked	45,356	38,797
Credit linked notes	5,994	4,604
Cap Floater	55,688	46,504
Reverse Floater	41,476	15,063
Fund Linked	24,658	20,770
Other	302	-
Total	173,474	125,738

The table adds details to line “A.1.1 Structured securities” of table 2.1 above. As at 31 December 2021, structured debt securities amounted to EUR 173.5 mln, compared to EUR 125.7 mln in the previous year. The main changes were recorded in the “Index Linked”, “Cap Floater” and “Reverse Floater” categories.



2.2 Financial assets held for trading: breakdown by borrower/issuer/counterparty

Items/Amounts	Total 31 12 2021	Total 31 12 2020
A. Balance sheet assets		
1. Debt securities	6,632,510	5,156,222
a) Central banks	-	-
b) Public entities	5,655,946	4,289,158
c) Banks	422,187	330,320
d) Other financial companies	446,994	471,759
of which: insurance companies	15,862	14,272
e) Non-financial companies	107,383	64,985
2. Equity instruments	113,277	40,294
a) Banks	3,447	5,712
b) Other financial companies	33,245	11,699
of which: insurance companies	29,577	9,314
c) Non-financial companies	76,585	22,883
d) Other issuers:	-	-
3. Units of UCITS	45,149	50,630
4. Loans	-	-
Total (A)	6,790,936	5,247,146
B. Derivatives	-	-
a) Central counterparties	-	-
b) Others	2,426,024	2,967,756
Total (B)	2,426,024	2,967,756
Total (A+B)	9,216,960	8,214,902

The breakdown by borrower/issuer was carried out in accordance with criteria of classification by economic activity group and sector laid down by the Bank of Italy.

As for derivatives, it should be noted that the positive fair value of derivatives with customers includes approx. EUR 169 mln from balanced trading aimed at providing financial protection to customers of the Group's network. The remaining amount was generated from transactions with financial market participants classified as customers pursuant to the above classification criteria set by the Bank of Italy.



Provided below is the breakdown by main categories of UCITS.

Categories/Amounts	Total	Total
	31 12 2021	31 12 2020
Bonds	150	157
Exchange Traded Funds (ETF)	44,980	50,460
Others	13	13
Equity	6	-
Total	45,149	50,630

The table adds details to line “A.3. Units of UCITS” of table 2.2 above.

2.3 Financial assets measured at fair value: breakdown

2.4 Financial assets measured at fair value: breakdown by borrower/issuer

Tables 2.3 and 2.4 were not completed since the Bank has no financial assets measured at fair value to report for either the current or previous year.

2.5 Other financial assets mandatorily measured at fair value: breakdown

Items	Total 31 12 2021				Total 31 12 2020			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Debt securities	-	43,440	73,885	117,325	-	45,613	106,773	152,386
1.1 Structured securities	-	-	348	348	-	-	346	346
1.2 Other debt securities	-	43,440	73,537	116,977	-	45,613	106,427	152,040
2. Equity instruments	170	1	2,708	2,879	119	1	5,534	5,654
3. Units of UCITS	-	48,211	154,167	202,378	-	50,196	109,649	159,845
4. Loans	-	-	131,443	131,443	-	-	143,162	143,162
4.1 Repurchase agreements	-	-	-	-	-	-	-	-
4.2 Others	-	-	131,443	131,443	-	-	143,162	143,162
Total	170	91,652	362,203	454,025	119	95,810	365,118	461,047

Line 1.2 “Other debt securities” includes EUR 27.3 mln attributable to SFPs issued as part of composition with creditors procedures in which the Parent Company took part. This also includes EUR 86.7 mln of exposures attributable for EUR 41.1 mln (EUR 52.8 mln as at 31 December 2020) to the securitization of a NPL portfolio of the MPS Group, of which EUR 40.7 mln (EUR 45.7 mln as at 31 December 2020) for the mezzanine tranche and EUR 0.6 mln (EUR 7.1 mln as at 31 December 2020) for the junior tranche, and for EUR 45.3 mln (EUR 76.6 mln as at 31 December 2020) to the junior tranche of a securitization of non-performing loans partly originated by other banks.

Line “2. Equity instruments” at “level 3” has a balance of EUR 2.7 mln at 31 December 2021: the decrease of approximately EUR 2.8 mln compared to the previous year is almost entirely attributable to the write-off of the indirect investment in shares to Banca Carige, equal to EUR 2.5 mln as of 31 December 2020, falling within the contributions to the FTTD voluntary scheme.

Line “3 Units of UCITS” contains in level 3 the units of UCITS assumed in exchange for the sale of NPE loans for EUR 136.3 mln (EUR 91.4 mln as of 31 December 2020). The increase is attributable to the recognition of units of the Clessidra fund for a value of EUR 44.6 mln following the derecognition of the underlying loans. Lastly, the same line contains the units of the Atlante Fund for EUR 10.0 mln classified at level 3 of fair value and the real estate fund units assumed following loan restructuring operations for EUR 7.8 mln.

Line 4 “Loans” consists of financial assets that must be valued at fair value as a result of their failure to pass the SPPI test.

At the reporting date, there are no equity securities arising from the recovery of impaired financial assets.



2.6 Other financial assets mandatorily measured at fair value: breakdown by borrower/issuer

Item/amounts	Total 31 12 2021	Total 31 12 2020
1. Equity instruments	2,879	5,654
<i>of which: banks</i>	-	2,497
<i>of which: other financial companies</i>	1,691	1,893
<i>of which: non-financial companies</i>	1,188	1,264
2. Debt securities	117,325	152,386
a) Central Banks	-	-
b) Public Entities	-	-
c) Banks	348	346
d) Other financial companies	89,613	129,349
<i>of which: insurance companies</i>	-	-
e) Non-financial companies	27,364	22,691
3. Units of UCITS	202,378	159,845
4. Loans	131,443	143,162
a) Central Banks	-	-
b) Public Entities	-	-
c) Banks	-	-
d) Other financial companies	63	127
<i>of which: insurance companies</i>	-	-
e) Non-financial companies	106,207	112,797
f) Families	25,173	30,238
Total	454,025	461,047

The main cumulative losses on equity securities of clearly poor credit quality, referring to previous years, are: - RCR S.p.A. (EUR 9.5 mln), Compagnia Investimento e Sviluppo (EUR 3.8 mln), Newcolle S.r.l. (EUR 2.3 mln), Porto Industriale di Livorno S.p.A. (EUR 1.9 mln) and Mednav S.p.A. (EUR 1 mln). During the course of the year, the Bank did not carry out additional write-downs of equity securities of clearly poor credit quality.

Provided below is the breakdown by main categories of UCITS.

Categories/Amounts	Total 31 12 2021	Total 31 12 2020
Hedge Funds	1,669	26
Private equity	56,573	60,304
Real estate	7,828	8,130
Non Performing Exposures	136,308	91,385
Totale	202,378	159,845

Compared to 31 December 2020, there is an increase in the value of NPE loan funds attributable to the recognition of the units of the Clessidra fund for a value of EUR 44.6 mln following the derecognition of the underlying loans. With regard to the disclosure on mutual funds acquired as part of the sale of loans included in the previous table under "NPE loans", please refer to the specific paragraph in Part E of these Notes to the Financial Statements (Subsection E "Sale Transactions" point "C. Financial assets sold and fully derecognised").



Section 3 - Financial assets measured at fair value through other comprehensive income - Item 30

3.1 Financial assets measured at fair value through other comprehensive income: breakdown

Items/Amounts	Total 31 12 2021				Total 31 12 2020			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Debt securities	4,632,377	573,296	-	5,205,673	4,927,464	607,901	-	5,535,365
1.1 Structured securities	5,086	-	-	5,086	5,174	-	-	5,174
1.2 Other debt securities	4,627,291	573,296	-	5,200,587	4,922,290	607,901	-	5,530,191
2. Equity instruments	37	28,124	226,835	254,996	442	13,535	228,584	242,561
3. Loans	-	-	-	-	-	-	-	-
Total	4,632,414	601,420	226,835	5,460,669	4,927,906	621,436	228,584	5,777,926

As a result of the provisions set out in IFRS 9 for the derecognition of financial assets, line 1.2 also includes debt securities committed in repos (liabilities) and securities lending transactions carried out for own securities posted to financial assets measured at fair value through other comprehensive income.

Line “1.2 Other debt securities” of approx. EUR 5,205.7 mln mainly includes Italian government bonds of approx. EUR 4,504.0 (EUR 4,859.9 mln as at 31 December 2020), of which EUR 1,573.5 mln (EUR 1,801.2 mln as at 31 December 2020) are subject to specific fair value hedging entirely to hedge interest rate risk.

Also included are EUR 18.7 mln of exposures referable to senior notes of securitization transactions originated by third parties

Line “2. Equity instruments” (Level 3 column) includes EUR 187.5 mln for the investment in the capital of Bank of Italy.

At the reporting date, the aggregate does not include the senior, mezzanine and junior exposures with reference to own and third-party securitisation transactions or equity securities arising from the recovery of impaired financial assets.



3.2 Financial assets measured at fair value through other comprehensive income: breakdown by borrower/issuer

Items / Amounts	Total 31 12 2021	Total 31 12 2020
1. Debt securities	5,205,673	5,535,365
a) Central banks	-	-
b) Public entities	4,633,243	4,897,696
c) Banks	505,019	558,042
d) Other financial companies	37,944	47,701
<i>of which insurance companies</i>	-	-
e) Non-financial companies	29,467	31,926
2. Equity instruments	254,996	242,561
a) Banks	200,696	200,489
b) Other issuers:	54,300	42,072
- Other financial companies	43,035	28,980
<i>of which insurance companies</i>	-	-
- Non-financial companies	11,265	13,091
- Others	-	-
3. Loans	-	-
Total	5,460,669	5,777,926

The main cumulative losses relating to equity securities of evidently poor credit quality refer to the investee Restart Srl and were fully recognized in years prior to 2020, for an amount of EUR 1.0 mln.

The write-downs of equity instruments of clearly poor credit quality, made by the Group during the course of the year are of irrelevant amount.



3.3 Financial assets measured at fair value through other comprehensive income: gross value and overall value adjustments

	Gross exposure					Total Value adjustments				
	Stage 1		Stage 2	Stage 3	Purchased or originated credit impaired					Partial write-off (*)
	of which: low credit risk instruments					Stage 1	Stage 2	Stage 3	Purchased or originate d credit impaired	
Debt securities	5,190,234	4,919,773	19,600	-	-	4,073	88	-	-	-
Loans	-	-	-	-	-	-	-	-	-	-
Totale 31 12 2021	5,190,234	4,919,773	19,600	-	-	4,073	88	-	-	-
Totale 31 12 2020	5,524,529	5,188,360	18,725	-	-	7,289	600	-	-	-

* Value to be presented for disclosure purposes

3.3a Loans measured at fair value through other comprehensive income object of COVID-19 support measures: gross value and overall value adjustments

The table is not completed as the Group is not involved in this category of loans.



Section 4 - Financial assets measured at amortised cost - Item 40

4.1 Financial assets measured at amortised cost: breakdown of loans to banks

Type of transaction/Amount	Total 31 12 2021							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired	Total	L1	L2	L3	Total
A. Loans to central banks	20,769,762	-	-	20,769,762	-	20,769,762	-	20,769,762
1. Time deposits	25,001	-	-	25,001	X	X	X	X
2. Compulsory reserve	20,744,761	-	-	20,744,761	X	X	X	X
3. Reverse repurchase agreements	-	-	-	-	X	X	X	X
4. Others	-	-	-	-	X	X	X	X
B. Loans to bank	4,234,348	303	-	4,234,651	4,046	4,175,531	303	4,179,880
1. Loans	3,493,006	303	-	3,493,309	-	3,492,693	303	3,492,996
1.1 Current accounts and demand de	-	-	-	-	X	X	X	X
1.2 Time deposits	15,625	-	-	15,625	X	X	X	X
1.3 Other loans	3,477,381	303	-	3,477,684	X	X	X	X
- Reverse repurchase agreements	812,843	-	-	812,843	X	X	X	X
- Finance leases	-	-	-	-	X	X	X	X
- Others	2,664,538	303	-	2,664,841	X	X	X	X
2. Debt securities	741,342	-	-	741,342	4,046	682,838	-	686,884
2.1 Structured securities	-	-	-	-	-	-	-	-
2.2 Other debt securities	741,342	-	-	741,342	4,046	682,838	-	686,884
Total	25,004,110	303	-	25,004,413	4,046	24,945,293	303	24,949,642

The item “Loans to Central Banks - 2. Compulsory reserve” includes the balance of compulsory reserve which, at the end of the year, amounted to EUR 675.6 mln (EUR 700.4 mln as at 31 December 2020) and the reserves in excess of the aforementioned reserve deposited with the Eurosystem. It should be noted that, in accordance with regulations on average maintenance levels, the end-of-period balance of the compulsory reserve may be subject to changes, also substantial, in relation to the Group’s contingent treasury requirements.

The item “Loans to banks, 1.3 Other loans - Other”, totalling EUR 2664.8 mln, includes guarantee deposits of approximately EUR 1.832,6 mln.

Please note that line “B.2.2 Other debt securities” includes EUR 713.0 mln (EUR 731.9 mln as at 31 December 2020) of assets subject to specific fair value hedging for interest rate risk.

At the reporting date of this financial statements, as in previous year, the aggregate does not include the Group’s senior, mezzanine and junior exposures with reference to own and third-party securitisation transactions.

At the reporting date, the item includes non-performing loans for an amount of EUR 0.3 mln (EUR 0.1 mln as at 31 December 2020).



Type of transaction/Amount	Total 31 12 2020							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired	Total	L1	L2	L3	Total
A. Loans to central banks	28,526,251	-	-	28,526,251	-	28,526,251	-	28,526,251
1. Time deposits	20,001	-	-	20,001	X	X	X	X
2. Compulsory reserve	28,506,250	-	-	28,506,250	X	X	X	X
3. Reverse repurchase agreements	-	-	-	-	X	X	X	X
4. Others	-	-	-	-	X	X	X	X
B. Loans to bank	4,655,915	79	-	4,655,994	20,998	6,142,077	92	6,163,167
1. Loans	3,896,538	79	-	3,896,617	-	5,462,155	92	5,462,247
1.1 Current accounts and demand deposits	-	-	-	-	X	X	X	X
1.2 Time deposits	23,795	-	-	23,795	X	X	X	X
1.3 Other loans	3,872,743	79	-	3,872,822	X	X	X	X
- Reverse repurchase agreements	895,557	-	-	895,557	X	X	X	X
- Finance leases	-	-	-	-	X	X	X	X
- Others	2,977,186	79	-	2,977,265	X	X	X	X
2. Debt securities	759,377	-	-	759,377	20,998	679,922	-	700,920
2.1 Structured securities	-	-	-	-	-	-	-	-
2.2 Other debt securities	759,377	-	-	759,377	20,998	679,922	-	700,920
Total	33,182,166	79	-	33,182,245	20,998	34,668,328	92	34,689,418

* The comparative data have been restated to take into account the indications envisaged by the 7th update of Circular 262 of the Bank of Italy



4.2 Financial assets measured at amortised cost: breakdown of loans to customers

Type of transaction/Amount	Total 31 12 2021							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired	Total	L1	L2	L3	Total
1. Loans	77,114,187	2,119,301	10,672	79,233,488	-	5,118,517	78,452,044	83,570,561
1.1. Current accounts	2,695,970	125,965	13	2,821,935	X	X	X	X
1.2. Repurchase agreements	5,126,364	-	-	5,126,364	X	X	X	X
1.3. Mortgage loans	56,268,170	1,468,849	2,038	57,737,019	X	X	X	X
1.4. Credit cards, personal loans and fifth-of-salary backed loans	567,123	5,959	-	573,082	X	X	X	X
1.5. Finance leases	2,891,040	286,276	-	3,177,316	X	X	X	X
1.6. Factoring	1,344,895	16,457	-	1,361,352	X	X	X	X
1.7. Other transactions	8,220,625	215,795	8,621	8,436,420	X	X	X	X
of which: operating receivables	34,615	560	-	35,175	X	X	X	X
of which: leased assets under construction	268,792	8,789	-	277,581	X	X	X	X
2. Debt securities	8,811,566	-	-	8,811,566	6,932,611	1,938,875	-	8,871,486
2.1. Structured securities	-	-	-	-	-	-	-	-
2.2. Other debt securities	8,811,566	-	-	8,811,566	6,932,611	1,938,875	-	8,871,486
Total	85,925,753	2,119,301	10,672	88,045,054	6,932,611	7,057,392	78,452,044	92,442,047

“Loans to customers” also includes operating receivables for EUR 35.1 mln (EUR 130.3 mln as at 31 December 2020) - other than those connected with the payment for the supply of goods and non-financial services, posted to the Asset item 120 “Other assets”, subject to the provisions pursuant to IFRS 9, paragraph 5.5.15 a) i). The EUR 95 mln reduction is attributable for EUR 93 mln to the collection during the year of the receivable relating to the sale of the property portfolio to Ardian carried out in 2020.

The item also includes loans to Monte Paschi Fiduciaria for EUR 0.64 mln, for which, pursuant to IFRS 15.116, the certainty of the revenue may be considered as consolidated only following actual collection by the subsidiary from its customers.

The column Purchased or originated credit impaired for EUR 10.7 mln (EUR 35.4 mln as at 31 December 2020) is almost entirely made up of assets originating from restructuring agreements on non-performing positions. The decrease of EUR 14.8 mln is due to some corporate transactions which improved the risk profile of customers. There were no business combinations carried out during the year for which impaired loans were acquired.

Line “2.2 Other debt securities” equal to EUR 8,811.6 mln mainly includes Italian government bonds for EUR 5,491.7 mln (EUR 5,818.6 mln as at 31 December 2020). Please note the senior notes equal to EUR 1,583.6 bn (EUR 1,898 mln as at 31 December 2020) relating to the securitization of the bad loans portfolio of the MPS Group, finalized in the first half of 2018, and senior notes for EUR 16.2 mln relating to a third-party securitization. The line also includes bonds not listed in active markets issued mainly by local government bodies, e.g. municipal bonds (it.: *Buoni Ordinari Comunali*, BOC). Lastly, this includes EUR 3,269.2 mln (EUR 2,375.4 mln as at 31 December 2020) of securities subject to specific fair value hedging for interest rate risk.

“Loans to customers” include loans disbursed with funds made available by the Government or by other public entities, with the Group adopting partial or total risk. These funds are managed under the agreements signed by the Group with Cassa Depositi e Prestiti (hereinafter CDP), in direct cooperation with ABI and with regional financial institutions. In particular, the Group adhered to the agreements specifically structured by ABI and CDP to support the business sector, to support private individuals and in favour of the territory for natural disasters. Except for the latter agreement, whose subsidised loans are backed by State guarantee, the loans disbursed by the Group are characterised by conditions released from the CDP funding, subject to independent negotiation between the parties, and are mandatorily assigned as collateral to CDP.

Conversely, with regard to management of resources made available by specific Regional Laws, the Group’s operations refer to specific agreements entered into by the Parent Company with the regional financial institutions, such as Veneto Sviluppo, Finlombarda, Finpiemonte and Puglia Sviluppo, or to alternative instruments, such as the “Rotation Funds”, also established through regional laws. The resources are intended to encourage and support companies operating in certain areas and in specific economic sectors. These loans are generally disbursed with part of the funding made available with public funds and part with the Parent Company’s own resources (co-financing). The funding with public funds varies according to the initiative to be financed: the percentage is defined by specific Regional Laws or Resolutions and, as a rule, integration with the Bank’s own resources is envisaged up to the total coverage of the expenditure.



Type of transaction/Amount	Total 31 12 2020*							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired	Total	L1	L2	L3	Total
1. Loans	80,340,024	2,105,893	35,424	82,481,341	-	8,615,520	80,357,924	88,973,444
1.1. Current accounts	3,038,412	161,661	114	3,200,187	X	X	X	X
1.2. Repurchase agreements	8,617,117	-	-	8,617,117	X	X	X	X
1.3. Mortgage loans	55,198,120	1,195,836	2,120	56,396,076	X	X	X	X
1.4. Credit cards, personal loans and fifth-of-salary backed loans	529,985	13,813	-	543,798	X	X	X	X
1.5. Finance leases	2,803,045	327,527	-	3,130,572	X	X	X	X
1.6. Factoring	1,061,798	22,192	-	1,083,990	X	X	X	X
1.7. Other transactions	9,091,547	384,864	33,190	9,509,601	X	X	X	X
of which: operating receivables	130,055	329	-	130,384	X	X	X	X
of which: leased assets under construction	215,647	8,814	-	224,461	X	X	X	X
2. Debt securities	9,520,482	-	-	9,520,482	7,719,023	2,274,430	-	9,993,453
2.1. Structured securities	-	-	-	-	-	-	-	-
2.2. Other debt securities	9,520,482	-	-	9,520,482	7,719,023	2,274,430	-	9,993,453
Total	89,860,506	2,105,893	35,424	92,001,823	7,719,023	10,889,950	80,357,924	98,966,897

* The comparative data were reclassified to take into account the provisions envisaged by the 7th update of Circular 262 of the Bank of Italy



4.3 Financial assets measured at amortised cost: breakdown by borrower/issuer of loans to customers

Type of transaction/Amount	Total 31 12 2021			Total 31 12 2020*		
	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired	Stage 1 and Stage 2	Stage 3	Purchased or originated credit impaired
1. Debt securities	8,811,566	-	-	9,520,482	-	-
a) Public entities	6,919,758	-	-	7,240,962	-	-
b) Other financial companies	1,725,715	-	-	2,046,957	-	-
of which: insurance companies	62,424	-	-	62,401	-	-
c) Non-financial companies	166,093	-	-	232,563	-	-
2. Loans to	77,114,187	2,119,301	10,672	80,340,024	2,105,893	35,424
a) Public Entities	1,784,939	39,879	-	1,764,224	158,651	-
b) Other financial companies	6,894,821	16,348	-	10,462,456	7,010	-
of which: insurance companies	243	-	-	272	-	-
c) Non-financial companies	33,766,750	1,308,342	9,792	33,442,069	1,292,262	31,918
d) Families	34,667,677	754,732	880	34,671,275	647,970	3,506
Total	85,925,753	2,119,301	10,672	89,860,506	2,105,893	35,424

* The comparative data were reclassified to take into account the provisions envisaged by the 7th update of Circular 262 of the Bank of Italy

4.4 Financial assets measured at amortised cost: gross value and overall value adjustments

Type of transaction/ Amount	Gross exposure					Value adjustments				Total Partial write-off (*)
	Stage 1		Stage 2	Stage 3	Purchased or originated credit impaired	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	
		<i>of which: low credit risk instruments</i>								
Debt securities	9,559,887	9,394,076	-	-	-	6,977	-	-	-	-
Loans	89,149,005	-	12,663,899	4,051,486	20,734	78,544	357,405	1,931,882	10,062	43,903
31 12 2021	98,708,892	9,394,076	12,663,899	4,051,486	20,734	85,521	357,405	1,931,882	10,062	43,903
31 12 2020**	108,239,457	10,115,911	15,408,556	3,885,866	47,530	87,715	517,625	1,779,895	12,106	145,989

* Value to be presented for disclosure purposes

** The comparative data were reclassified to take into account the provisions envisaged by the 7th update of Circular 262 of the Bank of Italy

For financial assets included in the stage 3 column and for Purchased or originated credit impaired financial assets, the gross value corresponds to the book value gross of the relative overall value adjustments, which are equal to the difference between the expected recovery value and the gross book value. For purchased credit impaired financial assets, the gross value corresponds to the purchase price and the adjustments correspond to the difference between the expected recovery value and the gross book value.



4.4a Loans measured at amortised cost object of COVID-19 support measures: gross value and overall value adjustments

	Gross exposure					Value adjustments				Total Partial write-off (*)
	Stage 1 <i>of which: low credit risk instruments</i>		Stage 2	Stage 3	Purchased or originated credit impaired	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	
1. EBA-compliant moratoria (legislative and non-legislative)	82,049	-	33,853	6,177	-	182	1,066	1,983	-	3
2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	826,362	-	454,030	58,760	-	2,085	11,630	15,721	-	6
3. Loans subject to other forbearance measures	15,478	-	479,035	207,826	137	50	32,636	52,414	9	370
4. Newly Originated Loans	7,749,766	-	2,469,289	125,284	-	5,599	22,091	22,443	-	-
Total 31 12 2021	8,673,655	-	3,436,207	398,047	137	7,916	67,423	92,561	9	379
Total 31 12 2020**	10,640,437	-	6,114,266	201,107	198	16,496	192,850	59,746	15	-

* Value to be presented for disclosure purposes

** The comparative data were reclassified to take into account the provisions envisaged by the 7th update of Circular 262 of the Bank of Italy.

The table shows, in line with the Bank of Italy communication of 21 December 2021, the loans disbursed, subject to moratoria or other forbearance measures in place at the reporting date, or which constitute new liquidity granted with the support of public guarantees.

The total of the moratoria in place at 31 December 2021, equal to the sum of rows 1, 2 and 3 of the table, amounts to a total of EUR 2,163.7 mln and are almost entirely classified under performing loans, of which approximately 45% classified in the second risk stage pursuant to IFRS9.

The loans granted in compliance with the GL amounted to EUR 122.0 mln (Eur 10,594.1 mln at 31 December 2020). The significant decrease in the balance is attributable i) to the natural expiry of the moratoria which took place in 2021 and ii) to the expiry of the facilitation framework envisaged by the EBA Guidelines on moratoriums, which led to the reclassification of the existing moratoria - granted and/or extended after 31 December 2020 - following an analysis of financial difficulty, respectively to category “2- Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures” and “3. Loans subject to other forbearance measures”.

Loans subject to other forbearance measures amount to EUR 702.3 mln (EUR 273.1 mln as at 31 December 2020); the increase compared to the previous year is attributable to the above mentioned reasons.

“Newly originated loans” outstanding as at 31 December 2021 were approximately equal to EUR 10,344.3 mln (EUR 6,088.6 mln as at 31 December 2020) in terms of gross value; almost all of them were classified as performing loans, and 24% were in the second risk stage pursuant to IFRS 9.

For the sake of completeness, it should be noted that as of 1 January 2022, there are still moratoriums in place for a total of EUR 370 million.



Section 5 - Hedging derivatives - Item 50

5.1 Hedging derivatives: breakdown by type of hedge and level

	Fair value 31 12 2021				NV as at 31 12 2021
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	5,567	-	5,567	973,464
1) Fair value	-	5,567	-	5,567	973,464
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	5,567	-	5,567	973,464

Key

NV = Notional or Nominal Value

The table shows the positive book value (fair value) of hedging derivatives for hedges carried out through hedge accounting.

Information on the underlying strategies and objectives of hedge transactions can be found in the Section “Market risks” of Part E “Information on Risks and hedging policies”.

	Fair value 31 12 2020				NV as at 31 12 2020
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	50,818	-	50,818	2,194,142
1) Fair value	-	50,818	-	50,818	2,194,142
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	50,818	-	50,818	2,194,142

Key

NV = Notional or Nominal Value



5.2 Hedging derivatives: breakdown by hedged portfolios and type of hedging

Transaction/Type of hedge	Fair Value							Cash Flows			Foreign Investments	Total 31 12 2021
	Micro-hedge						Macro-hedge	Micro-hedge	Macro-hedge			
	debt securities and interest rate	equity instruments and stock indices	currencies and gold	Credit	Commodities	Other						
1. Financial assets measured at fair value through other comprehensive income	1,686	-	-	-	X	X	X	-	X	X	1,686	
2. Financial assets measured at amortised cost	-	X	-	-	X	X	X	-	X	X	-	
3. Portfolio	X	X	X	X	X	X	3,881	X	-	X	3,881	
4. Other transactions	-	-	-	-	-	-	X	-	X	-	-	
Total assets	1,686	-	-	-	-	-	3,881	-	-	-	5,567	
1. Financial liabilities	-	X	-	-	-	-	X	-	X	X	-	
2. Portfolio	X	X	X	X	-	X	-	X	-	X	-	
Total liabilities	-	-	-	-	-	-	-	-	-	-	-	
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-	
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-	
Total	1,686	-	-	-	-	-	3,881	-	-	-	5,567	

The table shows the positive fair values of hedging derivatives, classified by hedged assets or liabilities and type of hedging implemented.

In particular, for financial assets, fair value micro-hedging was used to hedge against interest rate risk on bonds classified in the portfolio “Financial assets measured at fair value through other comprehensive income”, in order to protect the portfolio from unfavourable interest rate changes; fair value macro-hedging of the interest rate risk refers to hedges of optional components implicit in a floating-rate mortgage loans portfolio.

More information on hedged assets and liabilities can be found in the tables contained in Part B of the notes for each section of the balance sheet items to which the hedged items are posted.

Section 6 - Change in value of macro-hedged financial assets - Item 60

Changes in value of hedged assets / Group components	Total 31 12 2021	Total 31 12 2020
1. Positive changes	598,519	1,032,483
1.1 of specific portfolios:	598,519	1,032,483
a) loans and receivables	598,519	1,032,483
b) financial assets measured at fair value through other comprehensive income	-	-
1.2 overall	-	-
2. Negative changes	4,064	-
2.1 of specific portfolios:	4,064	-
a) loans and receivables	4,064	-
b) financial assets measured at fair value through other comprehensive income	-	-
2.2 overall	-	-
Total	594,455	1,032,483



6.1 Change in value of hedged assets: breakdown by hedged portfolios

Changes in value of hedged assets / Group components	Total	Total
	31 12 2021	31 12 2020
1. Positive changes	598,519	1,032,483
1.1 of specific portfolios:	598,519	1,032,483
a) financial assets measured at amortised cost	598,519	1,032,483
b) financial assets measured at fair value through other comprehensive income	-	-
1.2 overall	-	-
2. Negative changes	4,064	-
2.1 of specific portfolios:	4,064	-
a) financial assets measured at amortised cost	4,064	-
b) financial assets measured at fair value through other comprehensive income	-	-
2.2 overall	-	-
Total	594,455	1,032,483

The value adjustment concerns mainly fixed and cap/floor floating rate mortgage loan portfolios that were fair value macro-hedged with derivatives to counter possible interest rate risk-induced fluctuations in value. As this is a macro-hedge, any gain or loss on the hedged item attributable to the risk hedged may not directly adjust the value of said item (unlike in micro-hedging), but must be presented in this separate line item of the assets. The amounts in this item must be removed from the balance sheet when the relevant assets or liabilities are derecognised.

The decrease in the value adjustment subject to macro hedging is due to the reduction in market rates which resulted in a decrease in the fair value of the portfolio of hedged mortgages against increases in the value of the related hedging derivatives.

The fair value of the corresponding hedging derivatives is shown respectively in Table 5.2 (assets) or Table 4.2 (liabilities), both entitled "Hedging derivatives: breakdown by hedged portfolio and type of hedging", in the "Macro-hedging" column.

The assets subject to macro hedging of interest risk refer to fixed and cap/floor floating rate mortgage loan portfolios included in item 40 "Financial assets measured at amortised cost - Loans to customers", amounted to EUR 12,842.3 mln as at 31 December 2021 (EUR 13,159.0 mln as at 31 December 2020). The sum of this amount and the one shown in this table expresses the book value of these receivables, adjusted for profit or loss attributable to the risk hedged.



Section 7 – Equity investments – Item 70

7.1 Equity investments: information on shareholding

Company Name	Headquarters	Registered Office	Type of relationship (1)	Ownership Relationship		Avail. % votes
				Held by	Share holding %	
A. Companies under joint control						
Immobiliare Novoli S.p.a.	Florence	Florence	7	Banca Monte dei Paschi di Siena	50.000	-
B. Companies under significant influence						
Axa Mps Assicurazioni Danni S.p.a.	Rome	Rome	8	Banca Monte dei Paschi di Siena	50.000	-
Axa Mps Assicurazioni Vita S.p.a.	Rome	Rome	8	Banca Monte dei Paschi di Siena	50.000	-
Fidi Toscana S.p.a.	Florence	Florence	8	Banca Monte dei Paschi di Siena	27.460	-
Fondo Etrusco Distribuzione	Rome	Rome	8	Banca Monte dei Paschi di Siena	48.000	-
Fondo Minibond PMI Italia *	Conegliano (TV)	Conegliano (TV)	8	Banca Monte dei Paschi di Siena	61.940	-
Fondo Socrate	Rome	Rome	8	Banca Monte dei Paschi di Siena	23.140	-
Microcredito di Solidarietà S.p.a.	Siena	Siena	8	Banca Monte dei Paschi di Siena	40.000	-
Nuova Sorgenia Holding S.p.a.	Milan	Milan	8	Banca Monte dei Paschi di Siena	16.670	-

(1) Type of relationship:

7 = joint control;

8 = companies subject to significant influence.

(2) Votes available in the ordinary shareholders' meeting, distinguishing between actual and potential

For further details on changes, see comments to table "7.5 - Equity investments: annual changes".

* The interest does not constitute a control relationship as the Group does not have the power to direct the relevant activities



7.2 Significant equity investments: book value, fair value and dividends earned

Company name	Book value		Fair value	Dividends earned
	31 12 2021	31 12 2020		
A. Companies under joint control				
Immobiliare Novoli S.p.a.	-	3,100	-	-
B. Companies under significant influence				
Axa Mps Assicurazioni Vita S.p.a.	878,055	878,877	-	-
Axa Mps Assicurazioni Danni S.p.a.	104,905	107,403	-	30,011
Fidi Toscana S.p.a.	22,159	22,159	-	-
Fondo Minibond PMI Italia	4,261	10,954	-	359
Fondo Etrusco Distribuzione	78,337	73,742	-	-
Fondo Socrate	7,097	9,618	9,695	-
Total	1,094,814	1,105,853	9,695	30,370

At the reporting date or for the year of comparison, there are no equity investments arising from the recovery of impaired financial assets.

7.3 Significant equity investments: accounting information

[illegible]



7.3a - Reconciliation of accounting information with the book value of equity investments

	FONDO SOCRATE	FONDO MINIBOND PMI ITALIA	FONDO ETRUSCO DISTRIBUZIONE	FIDI TOSCANA S.p.a.	AXA MPS ASSICURAZIONI VITA S.p.a.	AXA MPS ASSICURAZIONI DANNI S.p.A	IMMOBILIARE NOVOLI S.p.a.
Shareholding	23.14%	61.94%	48.00%	27.46%	50.00%	50.00%	50.00%
Cash and cash equivalents	X	X	X	X	X	X	57
Financial assets	9,681	10,398	12,868	170,646	23,602,887	667,451	2,566
Non-financial assets	93,369	165	227,118	101,913	328,119	32,020	154,903
Financial liabilities	-	-	67,174	22	21,725,882	459,994	134,262
Non-financial liabilities	712	45	1,114	163,122	244,675	34,297	23,290
Shareholders' equity (100%)	102,338	10,518	171,699	109,415	1,960,449	205,179	(25)
Group shareholding	23,681	6,515	82,416	30,045	980,225	102,590	(13)
Cancellation of unrealised intragroup profit/loss	-	-	-	-	(64,260)	-	-
Goodwill	-	-	-	-	46,796	2,316	-
Value adjustments	-	-	-	(18,291)	-	-	-
Other increases/decreases	(16,584)	(2,254)	(4,079)	10,405	(84,706)	(1)	13
Book value of Associate company as at 31 12 2021	7,097	4,261	78,337	22,159	878,055	104,905	-
Book value as at 31 12 2020	9,618	10,955	73,742	22,159	878,877	107,403	3,100
Profit (loss) for the year	(1,047)	144	5,556	(821)	191,644	62,739	(8,556)
Other comprehensive income after tax	-	-	-	(348)	(148,126)	(7,712)	-
Comprehensive income attributable to the Group	(242)	89	2,667	(321)	21,759	27,513	(4,278)
Dividends	-	(359)	-	-	-	(30,011)	-
Other changes	(2,279)	(6,424)	1,928	321	(22,581)	-	1,178
Book value of Associate company as at 31 12 2021	7,097	4,261	78,337	22,159	878,055	104,905	-



7.3b – Significant equity investments: information on business

Company name	Type of business
Companies under significant influence	
Axa Mps Assicurazioni Danni S.p.a.	Company specialising in P&C insurance, offering a comprehensive range of insurance solutions tailored to the needs of customers and businesses.
Axa Mps Assicurazioni Vita S.p.a.	Leading company in the domestic insurance market, offering innovative and advantageous solutions for all pension, insurance, savings and investment needs.
Fidi Toscana S.p.a.	A Tuscan financial company which aims to facilitate access to credit for small and medium businesses
Fondo Etrusco Distribuzione	Real estate fund for institutional investors. Its portfolio has been built up through a series of sale and leaseback transactions on commercial properties fully leased by a leading player in the Mass Distribution Industry
Fondo Minibond PMI Italia	Independent investment fund for investments in bonds issued by small and medium Italian businesses
Fondo Socrate	Closed-end mutual real estate investment fund. Listed on the Market for Investment Vehicles of the Italian Stock Exchange as of 30 January 2014
Immobiliare Novoli S.p.a.	Real estate company

The associates Axa MPS Assicurazioni Danni S.p.A. and Axa Mps Assicurazioni Vita S.p.A. are strategic for the Group.

7.3c – Application of IFRS 9 by the AXA Group

Given the wide predominance of insurance business (as defined by IFRS 4 and amended by EU Regulation 2017/1988), the AXA Group has decided, for purposes of preparing its consolidated financial statements, to exercise the option to defer the application of IFRS 9 until the date of entry into force of IFRS 17 on 1 January 2023.

The two insurance investee companies AXA MPS Assicurazioni Danni S.p.A. and AXA MPS Assicurazioni Vita S.p.A. are consolidated in the financial statements of MPS Group using the equity method. The Parent Company has decided to take advantage of the temporary exemption from certain provisions of IAS 28, indicated in paragraphs 20O and 20P of IFRS 4, and consequently maintained the accounting standards (IAS 39) in applying the equity method, applied by the associated insurance companies.

Pursuant to the provisions of paragraph 39J of IFRS 4, the additional information on temporary exemption from IFRS 9 adopted by the AXA Group is provided below.

AXA MPS Assicurazioni Danni S.p.A. and AXA MPS Assicurazioni Vita S.p.A. apply the temporary exemption from IFRS 9 given that the business of AXA Group is predominantly insurance, as evidenced by the controls performed on the financial statement data as at 31 December 2015, namely:

- the book value of their liabilities arising from contracts that fall within the scope of IFRS 4 are significant compared to the total book value of all liabilities; and
- the total percent book value of their liabilities connected to the insurance business is widely superior to 90% of the total book value of all liabilities.

Liabilities related to the insurance business include:

- IFRS 4 technical reserves;
- liabilities related to investments to which IAS 39 applies;
- other liabilities related to those specified above.

The item “Other liabilities related to those specified above” includes reinsurance payables, commissions for premiums in the process of being collected and provisions for agent volume premiums.



Also note that after 31 December 2015, there were no changes in the activities of the two entities.

The table below shows, for both insurance associates, the fair value as at 31 December 2021 of financial assets held for trading and financial assets measured at fair value through other comprehensive income as well as the amount of the respective changes in fair value that took place during 2021 (IFRS 4. 39E).

The following tables show the fair value as at 31 December 2021 and the related change in the year separately for financial assets whose contractual conditions consist exclusively in the payment of principal and interest accrued on the amount of principal to be repaid (type 1 investment) and for financial assets whose contractual terms do not consist exclusively of the payment of principal and interest on the amount of principal to be repaid or that meet the definition of held for trading or, finally, that are managed or whose return is valued on the basis of fair value (type 2 investment).

Item/Investments value type 1	IAS 39			Change in Fair value	
	Financial assets held for trading	Financial assets available for sale (AFS)	Financial assets measured at amortised cost	Financial assets held for trading	Financial assets available for sale (AFS)
debt securities	-	15,886	227	-	636
Equity instruments	-	-	-	-	-
Units of UCITS	-	-	-	-	-
Total Equity	-	15,886	227	-	636

Item/Investments value type 2	IAS 39			Change in Fair value	
	Financial assets held for trading	Financial assets available for sale (AFS)	Financial assets measured at amortised cost	Financial assets held for trading	Financial assets available for sale (AFS)
debt securities	36	20	0	0	0
Equity instruments	28	357	317	2	3
Units of UCITS	6,201	727	369	296	17
Total Equity	6,265	1,104	686	298	20

The table below provides information on the exposure to credit risk inherent to financial assets with contractual terms that envisage, on certain dates, cash flows represented solely by payments of principal and interest on the amount of principal to be repaid (IFRS4. 39G).

Exposures	Rating classes						AAA	Total
	class 1	class 2	class 3	class 4	class 5	class 6		
Debt securities	4,224	2,553	8,846	779	-	12	-	16,414

class 1=AAA/AA-, class 2=A+/A-, class 3=BBB+/BBB-, class 4=BB+/BB-, class 5=B+/B-, class 6=lower than B-

As at 31 December 2021, with regard to risk profile, type 1 instruments are broken down as follows: financial instruments with a BB and BBB rating are equal to 59.7% of the group's total, those with a rating equal to or lower than A, AA and AAA equal to 40.2% and those without rating equal to 0.1%.



7.4 Non-significant equity investments: accounting information

Denominazione	Book value of equity investment	Total assets	Total liabilities	Total revenues	Gain (Loss) from continuing operations after tax	Gain (Loss) from groups of assets held for sale after tax	Gain (Loss) for the year (1)	Other comprehensive income after tax (2)	Comprehensive income (3) = (1) + (2)
A. Companies under joint control	-	-	-	-	-	-	-	-	-
B. Companies under significant influence	597	2,124	446	83	(48)	-	(48)	-	(48)

7.5 Equity investments: annual changes

	Total 31 12 2021	Total 31 12 2020
A. Opening balance	1,107,463	930,976
B. Increases	109,306	192,274
B.1 Purchases	-	-
B.2 Write-backs	-	-
B.3 Revaluations	109,306	96,807
B.4 Other increases	-	95,467
C. Decreases	121,357	15,787
C.1 Sales	991	-
C.2 value adjustments	-	-
C.3 Write-downs	3,807	1,784
C.4 Other decreases	116,559	14,003
D. Closing balance	1,095,412	1,107,463
E. Total revaluation	-	-
F. Total write-downs	18,337	50,997

Lines B.3 “Revaluations” include the portion of profits for the year almost entirely realized by the insurance subsidiaries.

Lines C.3 “Write-downs” and C.4 “Other changes” respectively include the portion of losses for the year and the effects of the reduction in shareholders’ equity of the Group’s investees, following the distribution of dividends and redemptions of shares.

Reported below is the main embedded goodwill:

Embedded goodwill	31 12 2021	31 12 2020
Axa Mps Assicurazioni Vita S.p.a.	46,796	46,796
Axa Mps Assicurazioni Danni S.p.a.	2,316	2,316
Total	49,112	49,112



7.6 Key considerations and assumptions to determine the existence of joint control or significant influence

The Group considers associates, and therefore subject to significant influence, those companies in which it holds a fifth or more of voting rights (including potential voting rights) or in which – despite a lower percentage of voting rights – the Group has the power of participating in the determination of the financial and operating policies of the investee on account of specific legal agreements such as, for example, the participation in shareholders' agreements, the participation in important committees of the investee as well as the presence of vetoing rights on significant decisions.

The Group considers jointly controlled those companies with respect to which the following circumstances occur simultaneously:

- if an agreement has been entered into that assigns co-participation in the management of the investee's activities via a presence on the Board of Directors;
- none of the parties participating in the agreement holds exclusive control;
- decisions relating to relevant activities are made unanimously by the parties identified (each has an implicit or explicit veto right with regard to relevant decisions).

7.7 Covenants on investments in jointly controlled companies

No covenants on investments in jointly controlled companies are reported.

7.8 Covenants on investments in companies under significant influence

In the context of the implementation agreements of the Bancassurance Framework Agreement between AXA and MPS signed in 2007 (hereinafter the "Framework Agreement"), the shareholders' agreement between them signed in 2007 (hereinafter the "Shareholders' Agreement"), which governs the corporate governance of the companies, AXA MPS Assicurazioni Vita S.p.A. (hereinafter "AMAV") and AXA MPS Assicurazioni Danni S.p.A. (hereinafter "AMAD"), provides, inter alia, put and call options in favour, respectively, of AXA and MPS, which may be exercised by the same upon the occurrence of the following events: change of control, violation of the lock-up, termination and natural dissolution of the Framework Agreement, serious breach and finally, invalidity of the entire Framework Agreement due to a sentence or final arbitration decision and no longer open to challenge.

The exercise price of the options in question is equal to the market value of the AMAD and AMAV shares defined as the value of the same on the date of the last day of the calendar quarter preceding the quarter of the calendar year in which the communication of the exercise of the put option of AXA or the call option of MPS, as the case may be, is received by MPS or AXA respectively. This value, established on the basis of the guidelines contained in the Shareholders' Agreement, complies with the methods usually adopted in the practice for the valuation of companies operating in the insurance sector, and refers to general principles and methods consistent with the definition of fair value provided for by IFRS 13.

In general, the aforementioned options are linked to conditions precedent and have a protective value typical of joint venture agreements. From an accounting point of view, it should be noted that the put and call options connected to all the aforementioned events are not accounted for in the Group's financial statements, as they do not qualify as derivatives pursuant to the definition provided for by IFRS9. In this regard, it should be noted that the exercise price of the options is given by the fair value of the underlying, therefore the option price is always zero or in cases where the options provide for a weighting factor applied to the exercise price other than 100%, the value of these options is substantially nil given the remote probability of exercise which is connected to events under the control of the parties and producing unfavourable economic effects for the party that activates them.

7.9 Significant restrictions

As at the reporting date, there are no significant restrictions on the ability of the jointly controlled company or associated companies to transfer funds to Group companies, except those attributable to regulatory legislation, which may require the maintenance of a minimum amount of own funds, or the provisions of the Italian Civil Code on distributable profits and reserves.



7.10 Other information

The valuation with the equity method is carried out on the basis of the financial statements referring to 31 December 2021 for the insurance investees; for other companies over which the Group exercises a significant influence or holds joint control and for which the timing of availability of the financial statements at the end of the year is not compatible with the timing of the closing of the consolidated financial statements of the MPS Group, reference is made to the last available accounting report, represented, in most cases, by the report as at 30 September 2021. In any case, when the accounting reports of the associate or joint venture used in applying the equity method refer to a date other than the financial statements of the MPS Group, adjustments are made to take into account any effects of significant transactions or events that occurred between that date and the reporting date of the MPS Group.

Impairment test of equity investments

As required by the IFRS accounting standards, the equity investments are subject to the impairment test in order to assess whether there is objective evidence that might render the book value of these assets not entirely recoverable. For investments in associates or jointly controlled entities, the process to recognise impairment involves verifying the presence of impairment indicators and calculating the necessary write-down. For further details on the indicators used by the Group, please refer to Part A of these Notes to the consolidated financial statements, paragraph "Use of estimates and assumptions - Methods for determining impairment of equity investments". The valuations did not involve the need to make value adjustments.

Section 8 – Reinsurance technical reserves – Item 80

No values are shown in this section as the insurance companies in which the Group holds equity investments are associates, and therefore these investments are consolidated using the equity method.

Section 9 - Property, plant and equipment - Item 90

9.1 Property, plant and equipment used in the business: breakdown of assets valued at cost

Asset/Amount	Total	
	31 12 2021	31 12 2020
1. Assets owned	246,818	1,836,969
a) land	-	634,374
b) buildings	-	907,985
c) furniture and furnishings	142,390	145,396
d) electronic systems	65,185	74,899
e) other	39,243	74,315
2. Right of Use acquired through leasing	221,694	218,985
a) land	-	-
b) buildings	212,864	206,075
c) furniture and furnishings	80	22
d) electronic systems	5,146	10,224
e) other	3,604	2,664
Total	468,512	2,055,954
<i>of which: obtained through the enforcement of the guarantees received</i>	-	-

All the Group's property, land and equipment are measured at cost with the exception of land and buildings, for which the Group applies the restatement criterion as from 31 March 2021. For further information, reference should be made to par. "Modification of the policy for property valuation: property for business use (IAS 16) and property held for investment purposes (IAS 40)" in Part A.1 – General.



Item 1 “Assets owned –c) furnishings” includes artworks whose value amounts to EUR 119.3 mln.

The rights of use acquired under leasing are nearly entirely attributable to lease contracts used as branches and as spaces intended to accommodate ATMs or internal offices. The rights of use on electronic systems refer to contracts to rent electronic equipment such as mobile phones and hardware.

As at the reporting date of these financial statements, there was no i) property, plant and equipment under finance lease, obtained through enforcement of guarantees and (ii) property investments whose fair value is not reliably determined on a continuous basis (case pursuant to para. 78 of IAS 40).

9.2 Property, plant and equipment held for investment: breakdown of assets valued at cost

There are no assets valued at cost.

9.3 Property, plant and equipment used in the business: breakdown of revalued assets

Asset/Amount	Total 31 12 2021			
	Level 1	Level 2	Level 3	Total
1. Assets owned	-	-	1,734,966	1,734,966
a) land	-	-	1,063,264	1,063,264
b) buildings	-	-	671,702	671,702
c) furniture and furnishings	-	-	-	-
d) electronic systems	-	-	-	-
e) other	-	-	-	-
2. Right of Use acquired through leasing	-	-	-	-
a) land	-	-	-	-
b) buildings	-	-	-	-
c) furniture and furnishings	-	-	-	-
d) electronic systems	-	-	-	-
e) other	-	-	-	-
Total	-	-	1,734,966	1,734,966
<i>of which: obtained through the enforcement of the guarantees received</i>	-	-	-	-

Land and buildings classified as tangible assets for functional use are valued according to the restated value criterion, for valuation subsequent to initial recognition, starting from 31 March 2021. All of the Group's property, plant and equipment is measured at cost; the line “land” expresses the value of land separately from the value of buildings.

The Group's accounting policies provide for the re-determination of the value every two years unless the scenario analysis conducted on market trends reveals deviations from the previous year such that it is necessary to anticipate the valuation appraisals. As of 31 December 2021, the appraisals were updated for those properties for which significant market changes (above the threshold of +/- 10%) were recognized in order to adjust their fair value to market values.

As at 31 December 2021, the Group has granted operating leases of owned assets for business use totalling EUR 16.7 mln, entirely in the categories a) land and b) buildings. For more information on the Group's leasing activity, see Part M of these Notes to the consolidated financial statements.



9.4 Property, plant and equipment held for investment: breakdown of assets measured at fair value

Asset/Amount	Total 31 12 2021				Total 31 12 2020*			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Assets owned	-	-	254,240	254,240	-	-	247,464	247,464
a) land	-	-	125,690	125,690	-	-	122,414	122,414
b) buildings	-	-	128,550	128,550	-	-	125,050	125,050
2. Right of Use acquired through leasing	-	-	-	-	-	-	-	-
a) land	-	-	-	-	-	-	-	-
b) buildings	-	-	-	-	-	-	-	-
Total	-	-	254,240	254,240	-	-	247,464	247,464
<i>of which: obtained through the enforcement of the guarantees received</i>	-	-	19,216	19,216	-	-	22,510	22,510

* The balance sheet values as at 31 December 2020 were restated, with respect to the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly IAS 40)

As of January 1, 2021, properties held for investment purposes are measured at fair value.

At the reference date of these financial statements, the fair value values were updated on the basis of the appraisals drawn up by an external valuer.

As at 31 December 2021, there were items of property, plant and equipment deriving from the enforcement of guarantees from the termination of non-performing finance lease contracts for EUR 19.2 mln (EUR 22.5 mln as at 31 December 2020).

As at 31 December 2021, the Group has granted operating leases of owned assets for investment purposes totalling EUR 69,4 mln, entirely in the categories a) land and b) buildings. For more information on the Group's leasing activity, see Part M of these Notes to the consolidated financial statements.

The criteria for classification of a tangible asset as an investment property pursuant to IAS 40 are described in the accounting policies, to which reference is made. The disclosure required by IAS 40 paragraph 75 letter c) is not provided, as the classification is not difficult.

As at the reporting date of these financial statements and for the comparison year, there was no property, plant and equipment under finance lease, to which paragraph 75, letters g), and h) of IAS 40 applies.

9.5 Inventories of property, plant and equipment governed by IAS 2: breakdown

Assets/Amounts	Total	
	31 12 2021	31 12 2020
1. Inventories of property, plant and equipment obtained through enforcement of the guarantees	329	1,315
a) Land	306	535
b) Buildings	23	780
c) Furniture and furnishings	-	-
d) Electronic systems	-	-
e) Others	-	-
2. Others inventories of property, plant and equipment	32,084	31,079
Totale	32,413	32,394

Line "1. Inventories of property, plant and equipment obtained through enforcement of the guarantees" refers to the properties of the subsidiaries Aiace and Enea Reoco S.r.l., both in liquidation at the reference date of these financial statements.

"Other inventories of property, plant and equipment" mainly refer to properties of the Parent Company acquired following the merger by incorporation of former subsidiary MPS Immobiliare S.p.A. in 2014.

The book values of these properties were updated on 31 March 2021 on the basis of appraisals drawn up by an external expert. The increase compared to the previous year is due to the reinstatement of value for those properties, for which an impairment loss was recognized in the income statement in previous years.



9.6 Property, plant and equipment used in the business: annual changes

	Land	Buildings	Furniture and furnishings	Electronic systems	Others	Total 31 12 2021
A. Gross opening balance	668,054	1,605,606	530,867	848,361	545,116	4,198,004
A.1 Total net decrease	33,679	491,546	385,449	763,238	468,137	2,142,049
A.2 Net opening balance	634,375	1,114,060	145,418	85,123	76,979	2,055,955
B. Increases	469,546	192,055	3,817	20,766	9,526	695,710
B.1 Purchases	-	46,525	3,518	19,923	9,184	79,150
B.2 Capitalized expenditure on improvements	-	8,860	-	-	-	8,860
B.4 Increases in fair value booked to:	175,447	92,937	-	-	-	268,384
a) shareholders' equity	162,609	85,304	-	-	-	247,913
b) profit and loss	12,838	7,633	-	-	-	20,471
B.5 Positive exchange differences	-	-	1	13	11	25
B.6 Transfers from properties held for investment	1,343	1,590	X	X	X	2,933
B.7 Other increases	292,756	42,143	298	830	331	336,358
C. Decreases	40,656	421,549	6,765	35,558	43,659	548,187
C.1 Sales	275	330	158	481	2,783	4,027
C.2 Depreciation	-	79,207	6,607	35,077	11,169	132,060
C.3 Impairment losses booked to:	-	2,139	-	-	-	2,139
b) profit and loss	-	2,139	-	-	-	2,139
C.4 Decreases in fair value booked to:	27,619	39,987	-	-	-	67,606
a) shareholders' equity	1,465	4,417	-	-	-	5,882
b) profit and loss	26,153	35,570	-	-	-	61,723
C.6 Transfer to:	8,981	7,955	-	-	-	16,936
a) tangible asset held for investment	8,173	7,013	X	X	X	15,186
b) non current assets and group of assets held for sale	808	942	-	-	-	1,750
C.7 Other decreases	3,781	291,931	-	-	29,707	325,419
D. Net closing balance	1,063,265	884,566	142,470	70,331	42,846	2,203,478
D.1 Total net impairment	33,032	582,278	391,961	796,983	454,071	2,258,325
D.2 Gross closing balance	1,096,297	1,466,844	534,431	867,314	496,917	4,461,803
E. Carried at cost	625,174	896,060	-	-	-	1,521,234

The furniture, electronic systems and tangible assets included in the “Other” column are valued at cost.

Land and buildings, on the other hand, are valued according to the restated value method. With reference to the latter assets, the transition from the cost criterion to the restated value criterion was applied by the Group prospectively starting from 31 March 2021. For this reason, the “Net opening balances” correspond to the final balance recorded in the financial statements for the previous year and the difference between the restated value and the net book value at 31 March of land and buildings is shown in lines B.4 “Increase in fair value” and in line C.4 “Decrease in fair value” of the table. For details of the impacts deriving from the change in criterion please refer to the paragraph “Modification of the policy of property valuation: property for business use (IAS 16) and property held for investment purposes (IAS 40)” in Part A.1 – General.

At 31 December 2021, the book values of some properties were updated on the basis of external appraisals, since the scenario analysis conducted on market trends showed deviations from the previous year exceeding the threshold of +/- 10% and therefore the need to anticipate the appraisals with respect to the standard two-year periodicity. The changes in value at 31



December 2021 amounted to a total of EUR 13.2 mln and are recognized in line C.4 “Negative changes in fair value”, of which EUR 11.7 mln charged to the income statement and EUR 1.5 mln as a reduction of the pre-existing valuation reserves.

The “Other changes” shown in lines B.7 and C.7 include the transfers of value between the “building” component and that of the “land” of the same property, in relation to the fact that i) the positive revaluation of the fair value has affected, in particular, the “land” component and ii) the unit of measurement considered in order to determine the valuation effects, to be recognized in shareholders’ equity or in the income statement based on the sign, is the individual property. In this regard, it must, in fact, be specified that the opening of the single property between the two components (“land” and “building”) is relevant for the purpose of calculating depreciation, depending on the different deterioration that characterizes them; the aforementioned opening, on the other hand, is not relevant for the purpose of a separate determination of the valuation effects, taking into account that the two components of the same property cannot be sold separately.

Line C.6 lett. a) “Transfers to tangible assets held for investment” mainly refers to the properties owned by the Group which housed the bank branches that were closed on 31 December 2021 and which were reclassified following the change in their intended use on the same date. Line C.6 lett. b) instead includes the properties subject to reclassification based on the recurrence of the provisions of IFRS 5.

Line “E. Carried at cost” was given a value, as per the Bank of Italy’s instructions, it only needs to be completed for assets accounted for at fair value.

9.6 a Property, plant and equipment used in the business - rights of use acquired: annual changes

	Land	Buildings	Furniture and furnishings	Electronic systems	Others	Total 31 12 2021
A. Gross opening balance	-	304,453	26	17,127	4,916	326,522
A.1 Total net decrease	-	98,378	4	6,903	2,252	107,537
A.2 Net opening balance	-	206,075	22	10,224	2,664	218,985
Change in Accountin Principles	-	73,328	73	42	2,275	75,718
B.1 Purchases	-	46,525	-	-	1,945	48,470
B.7 Other increases	-	26,803	73	42	330	27,248
C. Decreases	-	66,539	15	5,120	1,335	73,009
C.1 Sales	-	-	-	-	-	-
C.2 Depreciation	-	46,940	15	5,120	1,318	53,393
C.3 Impairment losses booked to:	-	2,139	-	-	-	2,139
a) net equity	-	-	-	-	-	-
b) profit and loss	-	2,139	-	-	-	2,139
C.7 Other decreases	-	17,460	-	-	17	17,477
D. Net closing balance	-	212,864	80	5,146	3,604	221,694
D.1 Total net decreases	-	147,457	19	12,023	3,570	163,069
D.2 Gross closing balance	-	360,321	99	17,169	7,174	384,763
E. Carried at cost	-	-	-	-	-	-

Line B.1 “Purchases” includes the right of use (Eur 14.5 mln) relating to a property located in Rome, to which the units of the Parent Company previously located in the properties sold to Ardian were transferred.

The outcome of the impairment test carried out as at 31 December 2021 on the rights of use on the properties led to the recognition of an impairment loss of EUR 2.1 mln recognized in the income statement item 210 “Net adjustments to/recoveries on property, plant and equipment” and shown in the aforementioned table in line “C.3 Impairment losses booked to profit and loss”.

The “Other decreases” increasing in line B.7 shows the changes in the book value of the rights of use resulting from the renewal of existing contracts, while the “Other decreases” decreasing in line C.7 are mainly due to:

- renegotiations of the economic terms of existing contracts, agreed during the year;
- the release of leased properties, mainly as part of the bank branch closure plan.



9.7 Property, plant and equipment held for investment: annual changes

	31 12 2021		
	Lands	Building	Total
Closing balance as at 31 12 2020	114,006	135,795	249,801
Change in valuation criterion for properties	8,408	(10,745)	(2,337)
A. Opening balance	122,414	125,050	247,464
B Increases	14,821	24,028	38,849
B.1 Purchases	-	-	-
B.2 Capitalized expenditure on improvements	-	206	206
B.3 Increases in fair value	314	380	694
B.4 Write-backs	-	-	-
B.5 Exchange gains	-	-	-
B.6 Transfers from property used in the business	8,173	7,013	15,186
B.7 Other increases	6,334	16,429	22,763
C. Decreases	11,545	20,528	32,073
C.1 Sales	2,258	1,283	3,541
C.2 Depreciation	-	-	-
C.3 Decreases in fair value	2,256	3,511	5,767
C.4 Impairment losses	-	-	-
C.5 Negative exchange differences	-	-	-
C.6 Transfers to other asset portfolios	2,694	3,634	6,328
a) properties used in the business	1,343	1,590	2,933
b) non-current assets and group of assets held for sale	1,351	2,044	3,395
C.7 Other decreases	4,337	12,100	16,437
D. Closing balance	125,690	128,550	254,240
E. Measured at fair value	-	-	-

Property, plant and equipment held for investment purposes are measured at fair value starting from 1 January 2021 with retroactive effect, pursuant to IAS 8. The line “Change in the valuation criteria for properties” changes the initial opening balance with respect to the figure entered as the final balance in the financial statements of the previous year in order to take into account the change in accounting policy. For details of the impacts deriving from the change in criterion please refer to the paragraph “Modification of the policy for property valuation: property for business use (IAS 16) and property held for investment purposes (IAS 40)” in Part A.1 – General.

Lines B.3 “Increase in fair value” and C.3 “Decrease in fair value” show the changes attributable to changes in the estimate of fair value resulting from the annual update of the appraisals as at 31 December 2021, which are overall negative for EUR 5.0 mln. In this regard, it should be noted that, for the purposes of compiling the table in question, the valuation effects at fair value were represented in “open balances” between the “land” component and the “building” component for each property unit. In the breakdown table of the income statement item “260. Net gains (losses) on property, plant and equipment and intangible assets measured at fair value”, where the above mentioned valuation impact is reported, capital gains (losses) are however determined taking the individual property as reference unit.

Line B.7 “Other increase” mainly shows the transfers from the category of properties being sold to that for investment purposes, following the absence of certain binding offers to sell.

The sub-item “E. Measured at fair value”, to be completed for investment properties valued at cost, is blank as all properties are valued at fair value. As at 31 December 2021, therefore, the book value of property, plant and equipment held for investment (sub-item D) corresponds to its fair value.



9.8 Inventories of property, plant and equipment governed by IAS 2: annual changes

	Inventories of property, plant and equipment obtained through enforcement of the guarantees					Other Closing balance of tangible assets	Total
	Land	Buildings	Furniture and furnishings	Electronic systmes	Others		
A. Opening balance	536	780	-	-	-	31,078	32,394
B. Increase	-	-	-	-	-	1,801	1,801
B.1 Purchases	-	-	-	-	-	-	-
B.2 Write-backs	-	-	-	-	-	1,793	1,793
B.3 Exchange gains	-	-	-	-	-	-	-
B.4 Other increases	-	-	-	-	-	8	8
C. Decreases	230	757	-	-	-	795	1,782
C.1 Sales	-	662	-	-	-	-	662
C.2 Impairment losses	-	-	-	-	-	-	-
C.3 Exchange losses	-	-	-	-	-	-	-
C.4 Other decreases	230	95	-	-	-	795	1,120
D. Closing balance	306	23	-	-	-	32,084	32,413

9.9 Commitments to purchase property, plant and equipment

No commitments to purchase property, plant and equipment were registered in 2021, as was the case for the comparison year.

9.10 Property, plant and equipment: depreciation rates

Main categories of tangible assets	%
Buildings	2%-20%
Furniture and furnishings	10% - 20%
Alarm and video systems	20% - 30%
Electronic and ordinary office equipment	20%
Electronic data processing equipment	20% - 50%
Vehicles	20% - 25%
Telephones	20% - 25%

The percentages used for carrying out the depreciations with reference to the main categories of property, plant and equipment are presented in the table. Owing to their indefinite useful life, land and artworks are not depreciated. Investment property measured at fair value is not subject to depreciation.

For buildings for business use, the depreciation rates are determined on the basis of the cluster to which the individual building belongs. The various clusters are defined on the basis of their useful life, starting from a minimum useful life of 5 years to a maximum useful life of 50 years.

Note that the rights of use acquired through leasing are depreciated based on the lease contract duration.



Section 10 – Intangible assets – Item 100

10.1 Intangible assets: breakdown by type

Asset / Amount	31 12 2021			31 12 2020		
	Finite Life	Indefinite Life	Total	Finite Life	Indefinite Life	Total
A.1 Goodwill	X	7,900	7,900	X	7,900	7,900
A.1.1 Group	X	7,900	7,900	X	7,900	7,900
A.1.2 Minorities	X	-	-	X	-	-
A.2 Other intangible assets	177,329	-	177,329	176,045	-	176,045
<i>of which: software</i>	<i>174,748</i>	<i>-</i>	<i>174,748</i>	<i>169,009</i>	<i>-</i>	<i>169,009</i>
A.2.1 Assets carried ad cost	177,329	-	177,329	176,045	-	176,045
a) internally generated intangible assets	42,676	-	42,676	40,189	-	40,189
b) other assets	134,653	-	134,653	135,856	-	135,856
A.2.2 Assets valued at fair value:	-	-	-	-	-	-
a) internally generated intangible assets	-	-	-	-	-	-
b) other assets	-	-	-	-	-	-
Total	177,329	7,900	185,229	176,045	7,900	183,945

* The comparative data have been restated to take into account the indications envisaged by the 7th update of Circular 262 of the Bank of Italy

All of the Group's intangible assets are valued at cost and have a finite useful life with the exception of goodwill.

During preparation of the 2021 accounts, goodwill recognised was tested for recoverability or impairment. In accordance with Document 4 jointly published by Bank of Italy/Consob/IVASS on 3 March 2010 and provisions set out in IAS 36, "Impairment of Assets", the activities carried out to perform the goodwill recoverability test are described below.

Goodwill is not systematically amortised but tested for impairment (Impairment Test). The test performed did not result in any impairment losses.

Line "A.2.1 Assets carried at cost – b) Other assets" includes:

- intangible assets arising from customer relations recognised following the acquisition of the former Banca Antonveneta S.p.a, deriving from the measurement of on-demand funding (current accounts and savings deposits, or core deposits) for EUR 1.3 mln;
- purchase of externally-developed software for an amount of EUR 132.1 mln.

Considering that line "A.2.1 Assets measured at cost – a) internally generated intangible assets" includes intangible assets linked to internally generated technology in the amount of EUR 42.7 mln, the software totally recognised in the consolidated financial statement amounts to EUR 174.8 mln.

With regard to the software, an analysis was carried out of the future service life of the main capitalised assets to check for impairment, leading to an adjustment of about EUR 1.0 mln.



Impairment test on Group goodwill

Pursuant to IAS 36, all intangible assets with an indefinite useful life must be tested for impairment at least annually to verify the recoverability of value. The Group decided to carry out the impairment test with reference to 31 December of each year and, in any case, each time the presence of loss indicators is observed.

The aforementioned standard requires the determination of the recoverable value, defined as the higher value between fair value and value in use; if it is not possible to directly determine the recoverable value of the specific intangible asset recognised in the financial statements, the recoverable value of the cash-generating unit to which the asset belongs (hereinafter “CGU - Cash Generating Unit”) must be determined. For the purposes of the identification of the CGUs to which the assets to be subjected to impairment test are assigned, it is necessary that the potentially identified units generate cash inflows largely independent of the cash inflows generated by other assets, or groups of assets with respect to which the Group has independent recognition of the results through management reporting systems.

It should also be noted that the assessment procedure and parameters for the impairment test of goodwill were approved by the Board of Directors independently and in advance of the approval of the Consolidated Financial Statements.

a. Identification of goodwill

The impairment test was carried out on goodwill; no other indefinite-life intangible assets are recognised in the financial statements.

b. Identification of cash-generating units and allocation of goodwill to the cash-generating units identified

According to IAS 36, each CGU or group of CGUs to which goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes and should not be larger than an operating segment as defined by IFRS 8 (“Operating Segments”).

The Group’s goodwill was tested, in continuity with the approach adopted for the impairment test as at 31 December 2020, by identifying those CGUs into which the Group’s operations can be separated and analysing the cash flows that these will be able to generate in future years, based on an approach consistent with Segment Reporting presented in the financial statements and therefore with Management Reporting.

The CGUs are identified in line with operating segments (segment reporting), except for the Retail Banking operating segment where it is possible to identify two distinct CGUs, the Retail CGU and the Widiba CGU.

The CGUs, identified on the basis of the above, are as follows:

- the “Retail CGU”, which includes the sales activities of retail customers (Value, Premium and Small Business segments);
- the “Widiba CGU”, which includes the financial advisor network and the Self-service channel;
- “Corporate CGU”, which includes the sales activities of Corporate customers (SME, Small Business and Key Clients segments), Large Groups, Foreign Branches and the subsidiaries MPS Capital Services, MPS Leasing & Factoring and the foreign bank MP Banque;
- the “Wealth Management CGU”, which includes the sales activities of Private customers (Private Banking and Family Office segments) and the subsidiary MPS Fiduciaria;

They are consistent with the method of primary representation of income/balance sheet data adopted by the Group (Segment Reporting). The goodwill is allocated to the Widiba CGU and is therefore the only CGU subjected to an impairment test.

c. Determination of the recoverable value of the CGU

On the basis of the IAS 36 accounting standard, the amount of the impairment loss is determined by the difference between the book value of the CGU and its recoverable amount, if lower. Recoverable amount is defined as the higher of:

- Fair value net of costs to sell - the amount obtainable from the sale of an asset in a regular transaction between market participants, less the costs of disposal;



- Value in use - the present value of estimated future cash flows expected to arise from the continuing use of an asset or from a cash-generating unit (CGU).

The Group's goodwill as at 31 December 2021 was tested for impairment by identifying the recoverable amount of the Widiba CGU as the value in use estimated through the discounting of future distributable cash flows.

This test was conducted on the basis of Widiba's 2021-2025 estimates, consistent with the Group's 2021-2025 Strategic Plan and used to carry out the 2020 impairment test, supplemented by the final 2021 values and an update of the estimates for the year 2022.

The recoverable amount was estimated by applying the Dividend Discount Model (DDM). According to this method, the value of a company is a function of the dividend flow that it is able to generate prospectively. In this case, the method used is the DDM in the Excess Capital variant, which assumes that the economic value of a company is equal to the sum of the present value of future cash flows generated in the chosen planning time horizon and distributable to shareholders while maintaining a level of capitalisation adequate to guarantee the expected future development, and the perpetual capitalisation of the flow of the last forecast year, depending on profitability at full capacity. The application of the DDM involves the use of the following formula:

$$W = \sum_{t=1}^n \frac{F_t}{(1+i)^t} + VT_a$$

where:

F_t = cash flows distributable to shareholders over the selected time horizon based on the economic and financial projections made, maintaining a satisfactory level of capitalisation.

i = discounting rate represented by the cost of equity (k_e).

VT_a = present Terminal Value calculated as the value of a perpetual yield that is estimated according to an economically sustainable normalised cash flow consistent with the long-term growth rate (" g ").

Estimating cash flows

The cash flows of the Widiba CGU were determined considering the net profit projections of the CGU that can be deduced from the analysis of the development lines drawn up as previously mentioned. The main hypotheses and assumptions used to develop the projections relating to the Widiba CGU are illustrated below:

- reduction in the cost of direct funding with an increase in the on-demand component;
- increase in assets under management, including through the recruitment of new Financial Advisors, customer loyalty and increase in average assets;
- containment of operating costs while maintaining the level of service for customers and consultants unaltered;
- maintaining an adequate positioning as an innovative operator.

Cash flow discounting rates

To discount cash flows distributable to shareholders, the cost of equity was used, i.e. the return on equity required by investors/shareholders for investments with comparable risk characteristics. This rate, equal to 7.1%, is the cost of capital of the MPS Group as at 31 December 2021 according to the methodology validated by internal management committees and calculated using the Capital Asset Pricing Model ("CAPM"), based on the following formula:

$$k_e = R_f + \text{Beta} * \text{ERP} + \text{CR}$$

where:

R_f = risk-free rate, equal to the rate on risk-free assets as 1-year average of the yield on the 10-year BUND, with a zero floor as at 31 December 2021

Beta = correlation factor between actual share performance and overall performance of the reference market (measurement of the volatility of a stock relative to the market), equivalent to 1.10% (as at 31 December 2021, three years, weekly on the FTSE MIB index)

ERP = Equity Risk Premium, premium for the risk required by a mature market (US market, source: Damodaran)

CR = country risk premium that reflects the risk differential between a mature market and Italy (rating based default spread - Moody's BAA3 - source: Damodaran)



The Terminal Value was calculated based on the following formula:

$$VT = \text{normalised distributable cash flow} / (ke - g)$$

considering a normalised cash flow and an assumed long-term growth rate (g) of 1.39%, approximated by using the Italian long-term inflation rate ("Inflation, end of period consumer prices" - "International Monetary Fund, World, Economic Outlook Database, October 2021").

Summary of valuation parameters

The distributable cash flows were therefore determined starting from the 2021-2025 income statement and balance sheet data, as illustrated above, with the following main measurement parameters, which reflect the most recent market conditions, used in determining the recoverable value of the CGU at 31 December 2020:

- a target supervisory ratio (capital ratio) of 8.5% at 2025, taking into account the characteristics of Widiba's business;
- the CGU's cost of capital (ke) equal to 7.1%, determined using the method described above;
- a long-term growth rate (g) of 1.39%.

d. Impairment test results

The results (in million euros) of the impairment test performed on the Widiba CGU on the basis of the analysis are presented below.

	Shareholders' equity	Recoverable Value	Delta
CGU Widiba	137	266	129

In conclusion, the impairment test on goodwill did not bring to light impairment losses for the Widiba CGU, as the recoverable value is higher than the book value by EUR 129 mln.

e. Sensitivity analysis

In compliance with the provisions of IAS 36 and considering the complexity of the current operating environment, which is characterised by the presence of elements of uncertainty concerning above all the time interval and the extent of the negative impacts caused by the pandemic on the macroeconomic scenario, which complicate the development of multi-year projections, specific sensitivity analyses were carried out on the recoverable value, in order to be able to appreciate the variability of this last value with respect to reasonable changes in some parameters of the valuation model.

In particular, the parameters subject to sensitivity analysis were identified as:

- "cost of capital (Ke)";
- "long-term growth rate (g)";

used in the valuation model both for forecasting purposes (Terminal Value obtained as projection in perpetuity of the last available cash flow at rate "g"), and for the purposes of discounting future distributable cash flows (Ke) and Terminal Value (Ke eg).

Furthermore, the sensitivity analysis also concerned the cash flows used to determine the Terminal Value, corresponding to the latest cash flow available due to the update of the multi-year projection.

The following table shows the differentials expressed in relative terms, between the recoverable value as determined above and the value obtained, in the event of increasing and decreasing the growth rate (g) and the cost of capital (Ke) respectively by 10 bps, with respect to the rates actually used, keeping all the remaining assumptions unchanged. These analyses lead to a reduction in value in use of between a minimum of 0.9% and a maximum of 1.5%. Lastly, with reference to the cash flow considered for the purpose of determining the Terminal Value, a 10% reduction generates a reduction in value in use of -8%, placing itself in a more severe perspective, there would be



a write-down of goodwill only in the presence of a reduction of more than 60% of the cash flows in Terminal Value.

	CHANGE IN VALUE IN USE		
	Long-term growth rate (g)	Discount rate (Ke)	Cash flow in Terminal Value
	-10 bps	+10 bps	-10%
CGU Widiba	-1.1%	-1.6%	-8%



10.2 Intangible assets: annual changes

	Goodwill	Other intangible assets: generated internally		Other intangible assets: other		Total
		finite life	indefinite life	finite life	indefinite life	31 12 2021
A. Opening balance	6,605,132	509,366	-	1,968,782	-	9,083,280
A.1 Total net impairment	6,597,232	469,177	-	1,832,926	-	8,899,335
A.2 Net opening balance	7,900	40,189	-	135,856	-	183,945
B. Increases	-	18,595	-	52,991	-	71,586
B.1 Purchases	-	18,595	-	52,981	-	71,576
B.2 Increases in internally generated intangible assets	X	-	-	-	-	-
B.3 Write-backs	X	-	-	-	-	-
B.4 Increases in fair value	-	-	-	-	-	-
- to net equity	X	-	-	-	-	-
- to profit and loss	X	-	-	-	-	-
B.5 Exchange gains	-	-	-	10	-	10
B.6 Other increases	-	-	-	-	-	-
C. Decreases	-	16,108	-	54,194	-	70,302
C.1 Sales	-	-	-	2,634	-	2,634
C.2 Write-downs	-	16,108	-	51,343	-	67,451
- Depreciation	-	15,785	-	50,528	-	66,313
- Write-downs	-	323	-	815	-	1,138
+ net equity	-	-	-	-	-	-
+ profit and loss	-	323	-	815	-	1,138
C.3 Decreases in fair value	-	-	-	-	-	-
- to net equity	X	-	-	-	-	-
- to profit and loss	X	-	-	-	-	-
C.4 Transfers to non-current assets held for sale	-	-	-	-	-	-
C.5 Exchange losses	-	-	-	-	-	-
C.6 Other decreases	-	-	-	217	-	217
D. Net closing balance	7,900	42,676	-	134,653	-	185,229
D.1 Total net value adjustments	6,597,232	485,285	-	1,884,269	-	8,966,786
E. Gross closing balance	6,605,132	527,961	-	2,018,922	-	9,152,015
F. Carried at cost	-	-	-	-	-	-

Line A.1, "Total net impairment", and line D.1, "Total net value adjustments", show the opening and closing balances for total value adjustments and amortisation recorded for intangible assets with a finite life.

Line F - "Carried at cost" was left blank in accordance with Bank of Italy's instructions, as it only needs to be completed for assets measured at fair value.



10.3 Other information: amortisation rates of intangible assets

Main categories of intangible assets	%	residual depreciation period
Software	20.0% - 33.3%	
Concessions and other licenses	20.00%	
Core deposits - deposit	6.70%	2 years

Intangible assets recognised during the purchase price allocation of Banca Antonveneta S.p.A. are all finite-life and therefore amortised based on their expected useful life.

As at 31 December 2021 there were no:

- revalued intangible fixed assets;
- intangible fixed assets acquired through government concessions (IAS 38, par. 4);
- intangible fixed assets pledged as loan collaterals;
- commitments to purchase intangible assets;



Section 11 - Tax Assets and Liabilities - Item 110 (Assets) and Item 60 (Liabilities)

11.1 Deferred tax assets: breakdown

Items/Amounts	IRES with offsetting entry to P&L	IRES with offsetting entry to Balance Sheet	IRAP with offsetting entry to P&L	IRAP with offsetting entry to Balance Sheet	31 12 2021	31 12 2020*
Receivables	130,648	-	28,743	-	159,391	152,750
Receivables (L. 214/2011)	230,060	-	28,435	-	258,495	364,253
Other financial instruments	4,745	-	56	-	4,801	7,699
Goodwill (L. 214/2011)	239,033	926	58,494	206	298,659	370,114
Goodwill	2,052	-	415	-	2,467	-
Properties, plant and equipments	82,777	119	13,570	24	96,490	83,466
Intangible assets	19	-	-	-	19	31
Intangible assets (Law 214/2011)	16,686	-	3,615	-	20,301	25,777
Personnel expenses	2,628	15,795	2,718	1,665	22,806	22,943
ACE surplus	89,453	-	-	-	89,453	53,092
Tax losses	94,586	42,369	-	-	136,955	116,656
Tax losses (Law 214/2011)	27	-	-	-	27	32
Financial instruments - valuation reserves	-	10,721	-	2,918	13,639	16,335
Others	74,042	272	5,977	-	80,291	51,964
Deferred tax assets (gross)	966,756	70,202	142,023	4,813	1,183,794	1,265,112
Offsetting with deferred tax liabilities	(21,855)	(94,009)	(3,263)	(18,275)	(137,402)	(81,409)
Deferred tax assets (net)	944,901	(23,807)	138,760	(13,462)	1,046,392	1,183,703

* Comparative data has been restated, compared to the information published in the 2020 Financial Statements, following the retrospective application of the change in valuation criteria used for investment properties (LAS 40).

Deferred tax assets were recognised after verifying the existence of foreseeable future income (probability test). Write-downs (or write-backs of previous write-downs) based on the probability test are recognised overall as an offsetting entry to the tax item of the income statement; in the tables under this section, however, the portion of DTA not recognisable is allocated based on the proportional criterion, also for DTA originally recognised as offsetting entries to shareholders' equity. For additional information, please refer to paragraph 11.8 "Other information" below.

In addition to deferred taxes referring to the main tax (at the rate of 24%) the amounts shown in the IRES column also include those relating to the additional IRES tax (3.5% rate) introduced by Law no. 208 of 28 December 2015, paragraphs 65-66.

For the quantification of individual effects, please refer to the following paragraphs of this Section.

The line "Receivables" includes deferred tax assets that can be recognised for residual tenths of the impairment on loans to customers recorded upon first-time adoption of the IFRS 9 standard, whose deduction is envisaged in ten annual instalments (from 2018 to 2027) by article 1, paragraphs 1067-1069 of Law no. 145 of 30 December 2018 (2019 Budget Law); note that the deductible portion for 2019 was postponed to 2028 by art. 1, par. 713 of Law no. 160 of 27 December 2019 (2020 Budget Law).

The line "Others" includes tax assets relating to other cases; the predominant amount refers to provisions for risks and charges in respect of deductible costs expected for future periods.



11.2 Deferred tax liabilities: breakdown

Items/Amounts	IRES with offsetting entry to P&L	IRES with offsetting entry to Balance Sheet	IRAP with offsetting entry to P&L	IRAP with offsetting entry to Balance Sheet	Total 31 12 2021	Total 31 12 2020*
Properties, plant and equipments and intangible assets	12,653	66,092	3,217	12,761	94,723	13,606
Financial instruments	10,687	51	252	-	10,990	15,719
Personnel expenses	2,397	406	-	127	2,930	1,778
Financial instruments - valuation reserves	1	28,434	-	5,394	33,829	53,297
Others	1	1,630	28	311	1,970	1,087
Deferred tax liabilities (gross)	25,739	96,613	3,497	18,593	144,442	85,487
Offsetting with deferred tax assets	(21,855)	(94,009)	(3,263)	(18,275)	(137,402)	(81,409)
Deferred tax liabilities (net)	3,884	2,604	234	318	7,040	4,078

* Comparative data has been restated, compared to the information published in the 2020 Financial Statements, following the retrospective application of the change in valuation criteria used for investment properties (IAS 40).

In addition to deferred taxes referring to the main tax (at the rate of 24%) the amounts shown in the IRES column also include those relating to the additional IRES tax (3.5% rate) introduced by Law no. 208 of 28 December 2015, paragraphs 65-66.

The line "Financial instruments – valuation reserves" includes tax liabilities relating to the valuation of cash flow hedge derivatives, as well as financial instruments classified in the portfolio "Financial assets measured at fair value through other comprehensive income" (OCI).

For the quantification of individual effects, please refer to the following paragraphs of this Section.

**11.3 Deferred tax assets: annual changes (with offsetting entry to profit and loss)**

	Total 31 12 2021	Total 31 12 2020*
1. Opening balance	1,189,134	1,789,239
2. Increases	356,674	468,984
2.1 Deferred tax assets arising during the year	348,205	432,676
a) relating to previous years	-	-
b) due to changes in accounting principles	9,171	-
c) write-backs	185,658	4,598
d) other	153,376	428,078
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	8,469	36,308
3. Decreases	437,029	1,069,089
3.1 Deferred tax assets derecognised during the year	233,465	780,041
a) reversals	221,747	230,534
b) write-downs of non-recoverable items	11,718	549,507
c) changes in accounting principles	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	203,564	289,048
a) conversion into tax credits pursuant to Law no. 214/2011	182,262	112,921
b) others	21,302	176,127
4. Total	1,108,779	1,189,134

*Comparative data has been restated, compared to the information published in the 2020 Financial Statements, following the retrospective application of the change in valuation criteria used for investment properties (IAS 40).

The increases shown in line 2.1 lett. b) they refer to the write-downs of land and buildings IAS 16, which occurred during the year as a consequence of the option exercised by the Group to change the valuation criterion subsequent to initial recognition. For further information, please refer to the paragraph "Modification of the policy for property valuation: property for business use (IAS 16) and property held for investment purposes (IAS 40)".

The major components of "Deferred tax assets arising during the year" as reported in line 2.1 letter d) include those concerning:

- taxed provisions to the provision for risks and charges made during the year;
- write-downs of land and buildings;
- ACE deduction accrued during the year and unused.

The amount shown in line 3.1 lett. a) "Reversals" includes the use of provisions for risks and charges taxed in previous years and the reversal of one-tenth of the value adjustments on loans to customers accounted for upon first-time adoption of IFRS 9.

The table shows the effects of the measurement of deferred tax assets based on the results of the probability test conducted as at 31 December 2021. Specifically, the amount indicated on line 2.1 letter b) "Value reversals", net of the amount in line 3.1 letter c) "Write-downs of non-recoverable items" and, added to that indicated in the subsequent table 11.6, line 2.1 letter a) refers to the partial derecognition of deferred tax assets for IRES tax losses (Domestic Consolidated declaration) accrued and not recognised in prior years and for tax losses for additional IRES (in separate declarations) for EUR 12.0 mln, ACE surplus for EUR 22.7 mln, and other temporary deductible differences other than losses and ACE surpluses (specifically, DTAs that cannot be converted into tax credits pursuant to Law 214/2011, such as those related to provisions for risks and charges, adjustments on IFRS 9 FTA credits, etc.) for EUR 141.2 mln. For additional information, please refer to paragraph 11.8 "Other information" below.

With regard to the decrease pursuant to line 3.3 letter a), please refer to the comments to the subsequent table "11.4 Deferred tax assets: changes under Law 214/2011 (with offsetting entry to profit or loss)".



11.4 Deferred tax assets: changes under Law 214/2011 (with offsetting entry to profit and loss)

Items/Amounts	Total	
	31 12 2021	31 12 2020
1. Opening balance	758,629	974,103
2. Increases	27	7,993
3. Decreases	182,305	223,468
3.1 Reversals	32	32
3.2 Conversion into tax credits	182,262	112,921
a) arising from loss for the period	182,226	112,921
b) arising from tax losses	36	-
3.3 Other decreases	11	110,515
4. Closing balance	576,351	758,628

As a result of the loss recorded in the separate financial statements for 2020, the Parent Company and MPS Leasing & Factoring transformed into tax credits in 2021 a portion of the DTAs relating to loan write-downs, goodwill and other intangible assets, pursuant to article 2, paragraph 55 of Law Decree no. 225 of 29 December 2010. These conversions have been in effect as of the date of approval of the 2020 financial statements by the respective Shareholders' Meetings, which took place in April 2021.

In addition, in 2021, Consorzio Operativo and Widiba transformed deferred tax assets recognised on the share of the tax loss for the year 2020, consisting of the deduction of amortisation amounts related to other intangible assets and value reversals of receivables. This conversion became effective as of the date of the submission of the 2020 income tax return in November 2021, as laid out by the provisions pursuant to art. 2, paragraph 56-bis of the above-mentioned Law Decree 225/2010, and regarded the amount highlighted on line 3.2, letter b).

11.5 Deferred tax liabilities: annual changes (with offsetting entry to profit and loss)

	Total	Total
	31 12 2021	31 12 2020*
Opening balance	30,297	21,360
2. Increases	6,882	22,780
2.1 Deferred tax liabilities arising during the year	3,655	6,121
a) relating to previous years	-	-
b) due to changes in accounting principles	-	-
c) other	3,655	6,121
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	3,227	16,659
3. Decreases	7,943	13,843
3.1 Deferred taxes derecognised during the year	6,167	9,227
a) reversals	6,167	9,227
b) due to changes in accounting principles	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	1,776	4,616
4. Closing balance	29,236	30,297

*Comparative data has been restated, compared to the information published in the 2020 Financial Statements, following the retrospective application of the change in valuation criteria used for investment properties (IAS 40).



The increase during the year mainly refers to write-backs on receivables other than those recorded in the Balance Sheet, in item 40 b) Financial assets measured at amortised cost: loans to customers.

11.6 Deferred tax assets: annual changes (with offsetting entry to equity)

	Total 31 12 2021	Total 31 12 2020
1. Opening balance	75,978	92,772
2. Increases	7,733	8,440
2.1 Deferred tax assets arising during the year	7,129	2,942
a) relating to previous years	1,953	-
b) due to changes in accounting principles	-	-
c) other	5,176	2,942
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	604	5,498
3. Decreases	8,696	25,234
3.1 Deferred tax assets derecognised during the year	7,846	23,914
a) reversal	7,846	23,914
b) write-downs of non-recoverable items	-	-
c) due to changes in accounting principles	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	850	1,320
4. Closing balance	75,015	75,978

The cancelled deferred tax assets refer mainly to valuations of financial instruments classified in the portfolio “Financial assets measured at fair value through other comprehensive income” (OCI).

11.6.1 Deferred tax assets: changes under Law 214/2011 (with offsetting entry to equity)

Items/Amounts	Total 31 12 2020	Total 31 12 2019
1. Opening balance	1,548	1,752
Fusioni/scissioni in entrata	-	-
3. Decreases	416	204
3.1 Reversals	-	-
3.2 Conversion into tax credit	416	204
a) arising from loss for the period	416	204
b) arising from tax losses	-	-
3.3 Other decreases	-	-
4. Closing balance	1,132	1,548

The table shows deferred tax assets that may be converted into tax credits pursuant to Law 214/2011, recognised with an offsetting entry to equity. These refer to goodwill posted by the Parent Company to equity on business combinations “under common control”.

The amount stated on line 3.2 letter a) refers to Parent Company’s conversion of the tax credit described at the bottom of table 11.4 above.



11.7 Deferred tax liabilities: annual changes (with offsetting entry to equity)

	Total 31 12 2021	Total 31 12 2020
1. Opening balance	55,190	46,687
2. Increases	83,539	21,153
2.1 Deferred tax liabilities arising during the year	83,257	20,847
a) relating to previous years	-	-
b) due to changes in accounting principles	78,062	-
c) other	5,195	20,847
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	282	306
3. Decreases	23,523	12,650
3.1 Deferred tax liabilities derecognised during the year	22,825	12,322
a) reversals	22,825	12,322
b) due to changes in accounting principles	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	698	328
4. Closing balance	115,206	55,190

The increases shown in line 2.1 lett. b) refer to the revaluation of land and buildings under IAS 16, which occurred during the year as a consequence of the option exercised by the Group for the modification of the valuation criterion subsequent to the initial recognition. For further information, please refer to paragraph "Modification of the policy for property valuation: property for business use (IAS 16) and property held for investment purposes (IAS 40)".

The reversals mainly refer to reabsorption of deferred tax liabilities of financial instruments classified in the portfolio of 'Financial assets measured at fair value through other comprehensive income' (OCI) and cash flow hedging derivatives.

11.8 Other information

Probability test

In compliance with the provisions of accounting standard IAS 12 and the ESMA communication of 15 July 2019, the Group recognised deferred tax assets (DTAs) after verifying the existence of future taxable income sufficient for the purposes of reabsorption of the same ("Probability test").

In this test, the different rules set forth in the Italian tax laws which impact the assessment in question were taken into account, in particular:

- art. 2, paragraphs 55-59, of Law Decree no. 225 of 29 December 2010 (converted, with amendments, by Law no. 10 of 26 February 2011) which establishes the obligation for financial intermediaries to convert into tax credits DTAs (IRES and IRAP) relating to goodwill, other intangible assets and impairment losses on receivables, in the case of a loss in the statutory financial statements and/or a tax loss;
- art. 84, paragraph 1 of the TUIR, which allows for the possibility of carrying forward IRES tax losses with no time limits;
- art. 1, paragraph 4 of Law Decree no. 201 of 06 December 2011 (converted, with amendments, by Law no. 214 of 22 December 2011), which allows for unused excess ACE to be carried forward with no time limits, as well as, alternatively, conversion into a tax credit to be used to offset IRAP due in 5 annual instalments;
- paragraphs 61 to 66, art. 1, of the 2016 Stability Law (Law no. 208 of 28 December 2015) reduced the IRES rate from 27.5% to 24% and simultaneously introduced an additional IRES tax of 3.5% for credit and financial institutions; both measures are effective as of 2017.



In terms of methodology, the probability test was carried out by following the steps listed below.

DTAs relating to goodwill, other intangible assets and impairment losses - limited to those recognised before 2015 - and adjustments on receivables ("qualified" DTAs), were excluded from the total amount of DTAs for which the existence of sufficient future taxable income needs to be identified. This is because the above-mentioned art. 2, paragraphs 55-59 of Law Decree 225/2010 made the recovery of that type of DTA certain, with respect to both IRES and IRAP purposes, regardless of the presence of future taxable income. Indeed, the rule sets forth that, if taxable income for the year in which the recovery of qualified DTAs is expected is not sufficient to absorb them, the resulting tax loss would be convertible into a tax credit that may be, alternatively (i) used to offset, with no amount limits, the various taxes ordinarily due from the Bank, or (ii) requested in the form of a refund, or (iii) transferred to third parties. In addition, qualified DTAs may be converted into tax credit in advance of their natural maturity, in the event of a loss for the year in the statutory financial statements or voluntary liquidation, as well as subjection to bankruptcy proceedings.

In other words, for qualified DTAs the Probability test must be deemed automatically satisfied; this is also confirmed by the joint Bank of Italy, CONSOB and ISVAP document no. 5 of 15 May 2012 "Accounting treatment of deferred tax assets deriving from Law 214/2011".

For DTAs other than qualified DTAs, the year in which the relative recovery is expected has been identified (or estimated when uncertain).

The estimate of taxable income for future years was based, consistently with the other relevant corporate measurement processes, on the expected evolution of the Group's income statements as part of the scenario considered in the "Long-Term Projections for the years 2020-2024" and consistently with the valuations in the Consolidated financial statements as at 31 December 2020.

The estimate for taxable income in the years after 2024 assumes 1.35% growth per year, starting from 2025, with respect to the operating results expected for the immediately preceding year.

With regard to this, as already illustrated in "Part A – Accounting policies" of the Notes to the financial statements, it should be noted that the Group, even though the Board of Directors of the Parent Company approved the new 2022-2026 Strategic Plan on 17 December 2021, did not take into account the income projections contained therein for the purposes of the estimates in question, as this plan cannot be considered definitive because it is subject to the approval of the relevant authorities.

The projections used represent the best estimate available at the date of preparation of these financial statements and correspond to a probability of 30-35% of achieving the results contained in the 2022-2026 Strategic Plan.

In order to reflect the level of uncertainty that characterises the actual realisation of long-term forecasts, a discount factor was applied to the forecast operating results (*Risk-adjusted profits approach*) equal to 9%, unchanged from that used for the Financial Statements as at 31 December 2020. This factor is calculated also taking into account observable market parameters. In greater detail, the adjustment of taxable income is obtained by discounting the forecasts of each year by the factor of 9%, applied according to the compound capitalisation formula, starting from 2022 over a maximum time horizon of 20 years. This formula therefore makes it possible to adjust future forecasts according to an increasing reduction factor based on the time horizon of the estimate of taxable flows.

Taxable income was estimated:

- at domestic tax consolidation level, for the IRES probability test, since the Group's most significant companies pay this tax in accordance with articles 117 et seq. of the Income Tax Act (TUIR);
- at individual level for additional IRES purpose;
- at individual level for IRAP purpose.

The valuation exercise conducted with the model described above resulted in the following impacts on the Group's accounts:

- with regard to DTAs for consolidated tax losses, the non-recognition of DTAs on the loss arising in 2021 and a write-down of DTAs for prior losses amounting to EUR 14.8 mln;
- with regard to DTAs for tax losses for the purposes of the additional IRES, having taken into account the DTAs recognised on the loss arising in 2021, a write-down of DTAs amounting to EUR 2.8 mln;
- with regard to DTAs for ACE surpluses, having taken into account the DTAs recognised on the deduction accrued in 2021 but not yet used, a revaluation of DTAs amounting to of EUR 22.7 mln;
- with reference to DTAs other than "qualified" and those relative to the ACE and tax losses, a total value recovery of EUR 141.2 mln. This amount is affected by the significant recirculation of these DTAs which



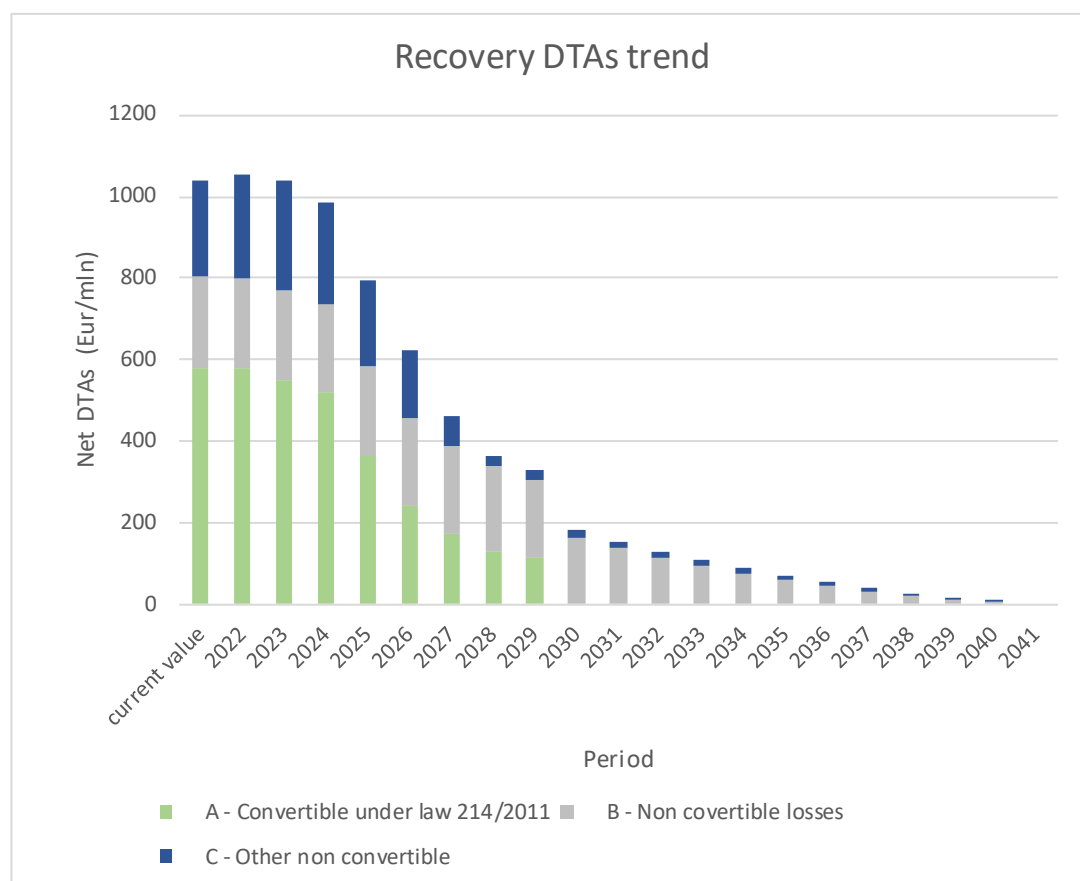
occurred in 2021 (mainly uses of provisions for risks and one-tenth of adjustments on loans to customers as per IFRS9 FTAs) which led to a recovery in the value of the portion of the same which had already been written down in previous years due to lack of future income.

Please note that the overall result of the valuation of DTAs has been positively impacted for EUR 54.8 mln by the revaluations of land and buildings carried out during the year, as a consequence of the option exercised by the Group to change the valuation criterion of these fixed assets subsequent to initial recognition.

As a result of the above-mentioned valuation, the Group had DTAs not recognised in balance sheet assets as at 31 December 2021 for a total of EUR 3,535.0 mln (EUR 3,655.7 mln as at 31 December 2020).

For the Group, this amount is a potential asset not subject to any time limits according to current tax legislation, with the exception of the limits to carrying forward, in case of extraordinary transactions, envisaged by art. 172 and 173 of Presidential Decree no. 917/1986; the relative recognition in balance sheet assets will be evaluated at the future reporting dates based on the Bank's and the Group's profit outlook.

The sizeable amount of MPS Group's tax losses, equal to EUR 11,263 mln, was accrued mainly in 2016 and 2017, corresponding to the start of the Group's restructuring process, and derives essentially from significant loan adjustments for both years. In particular, for 2016 the methodologies and parameters used in measuring loans had to be updated and for 2017 the realisable value of non-performing loans sold during 2018 had to be adjusted. Therefore, pursuant to the provisions of IAS 12, paragraph 36, letter c), it is believed that these unused tax losses derive from "identifiable causes that are unlikely to recur" and in this sense have been included in the valuation process for DTAs that can be partially recognised in financial statements. The following chart shows the expected trend related to the recovery of DTAs recognised in the financial statements as at 31 December 2021, both quantitatively and over time, broken down between convertible DTAs pursuant to Law 214/2011, DTAs from non-convertible losses and other non-convertible DTAs.



The probability test model used by the MPS Group includes some input data whose fluctuations in value can significantly influence the final result of the DTA valuation recognised in financial statements. Specifically, these are:



- 1) forecasted taxable income in the plan's last year (2024);
- 2) notional rate of return of the business incentive for capitalisation;
- 3) discount rate of future results (coefficient used in the risk-adjusted profits approach)
- 4) tax rates for IRES, additional IRES and IRAP.

Certain relevant indications on the sensitivity of the results of the valuation model are provided below, assuming both an increase and decrease in each of the input data listed above. The effects shown in the table refer to the difference that would have occurred for the tax item of the 2021 income statement, compared to what was actually recognised, changing the individual variable as indicated; the change in taxable income is understood to apply to the amount indicated for each year of the time horizon (twenty years) considered in the probability test.

Inputs	Decrease	Effect on income statements of decrease in DTAs (Eur/mln)	Increase	Effect on income statements of increase in DTAs (Eur/mln)
Taxable income starting from 2024	-100 mln	-221.4	+100 mln	129.3
Ace tax rate (%)	-0.50%	31.4	+0.50%	-31.4
Discount rate of prospective results	-1%	51.4	+1%	-46.3
IRES tax rate	-1%	-32.8	+1%	32.8

Current tax assets

Items/Amounts	Total 31 12 2021	Total 31 12 2020
Prepayments of corporate income tax (IRES and IRAP)	3,977	1,035
Other tax credits and withholdings	739,413	811,196
Gross current tax assets	743,390	812,231
Offsetting with current tax liabilities	(15,822)	(4,361)
Net current tax assets	727,568	807,870

“Other tax credits and withholdings” consist of IRES/IRAP credits resulting from prior tax returns which can be used as a set-off, income tax credits claimed for refund, the tax credit arising from DTA transformation (Law 214/2011 as well as art. 44-bis of Law Decree 34/2019) for the residual amount yet to be used and tax withholdings incurred.

The reduction in the item “Other tax credits and withholdings” is mainly due to the partial write-down of EUR 46.4 mln of the IRAP credit deriving from the conversion of ACE surpluses carried out by the Parent Company in previous years, pursuant to art. 1 paragraph 4 of Law Decree 201/2011, resulting from the estimate of future IRAP taxable income.

Current tax liabilities

Items/Amounts	31 12 2021			31 12 2020		
	Booked to net equity	Booked to P&L	Total	Booked to net equity	Booked to P&L	Total
Corporate income tax (IRES IRAP) payables	(595)	10,776	10,181	-	37	37
Other current income tax payables	-	5,655	5,655	-	4,337	4,337
Gross current tax payables	(595)	16,431	15,836	-	4,374	4,374
Offsetting with current tax assets	(595)	16,417	15,822	-	4,361	4,361
Net current tax payables	-	14	14	-	13	13



Section 12 - Non-current assets held for sale and disposal groups and associated liabilities - Item 120 (assets) and Item 70 (liabilities)

12.1 Non-current assets held for sale and disposal group: breakdown by type of assets

	Total	
	31 12 2021	31 12 2020*
A. Individual assets		
A.1 Financial assets	4,644	8,369
A.2 Equity investments	-	-
A.3 Tangible assets	68,239	81,070
<i>of which: obtained through the enforcement of the guarantees received</i>	-	-
A.4 Intangible assets	-	-
A.5 Other non-current assets	-	-
Total A	72,883	89,439
<i>of which valued at cost</i>	4,644	88,900
<i>of which designated at fair value (level 1)</i>	-	539
<i>of which designated at fair value (level 2)</i>	-	-
<i>of which designated at fair value (level 3)</i>	68,239	-
B. Asset groups (discontinued operations)	-	-
C. Liabilities associated with assets held for sale	-	-
D. Liabilities associated with discontinued operations	-	-

*Comparative data has been restated, compared to the information published in the 2020 Financial Statements, following the retrospective application of the change in valuation criteria used for investment properties (pursuant to IAS 40).

Line "A.1 Financial assets", equal to EUR 4.6 mln, refers entirely to disposals of loans classified as unlikely to pay, with closing expected within the first half of 2022.

Line "A.3 Tangible assets", equal to EUR 68.2 mln, includes tangible assets held for investment purposes for EUR 43.3, as well as for use in the Bank's business activities for EUR 23.9 mln. The same item also includes EUR 0.9 mln relating to works of art classified as IAS 16.

The decrease of approximately EUR 12.8 mln recognized in line A.3 "Tangible assets" is attributable for approximately EUR 8.8 mln to the derecognition of properties following the occurrence of the conditions precedent set out in the preliminary contract stipulated in 2020 with the counterpart Ardian S.A.

At the reporting date or for the year of comparison, there are no equity securities of clearly poor credit quality.

12.2 Other information

There is no more relevant information to report as at 31 December 2021.



Section 13 - Other assets - Item 130

13.1 Other assets: breakdown

	Total 31 12 2021	Total 31 12 2020
Tax credits from the Revenue and other tax levying authorities	419,622	248,884
Third party cheques held at the cashier's for collection	7,262	6,322
Cheques drawn on the Company held at the cashier's for collection	1,080	1,145
Gold, silver and precious metals	92,452	78,883
Items in transit between branches	1,128	1,796
Items in processing	525,586	535,305
Receivables associated with the provision of goods and services	10,734	20,132
Improvements and incremental costs on third party assets other than those included under tangible assets	36,221	40,026
Prepaid expenses and accrued income not attributable to other line items	516,785	506,993
Biological assets	2,185	2,291
Other	104,311	154,342
Total	1,717,366	1,596,119

The lines "Items in processing" and "Other" include transactions which were cleared in early 2022.

The line "Tax credits from the revenue and other tax levying authorities" includes EUR 167.8 mln for tax receivables associated with the "Rilancio" Law- Decree acquired as a result of sale by direct beneficiaries or previous purchasers.

The line "Accrued income and prepaid expenses not attributable to its own separate item" includes a total of EUR 230.5 mln (EUR 224.4 mln as at 31 December 2020) as prepaid expenses for back office services outsourced, provided by suppliers continuously over the contract term and financially settled by the Bank with decreasing amounts over time. For further details on the methods for identifying these types of services, please refer to Part A, paragraph "Other Information - Costs for constant services and decreasing payments" of these Notes to the Financial Statements.

The table above does not include cases attributable to the definitions of "contract assets" and "contract liabilities" at either the reporting date or for the comparison year, which would require disclosure pursuant to IFRS 15.116 and 118.



LIABILITIES

Section 1 - Financial liabilities measured at amortised cost - Item 10

1.1 Financial liabilities measured at amortised cost: breakdown of amount due to banks

Items/accounts	Total 31 12 2021				Total 31 12 2020			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Due to Central banks	29,154,838	X	X	X	23,933,588	X	X	X
2. Due to banks	2,125,023	X	X	X	4,484,484	X	X	X
2.1 Current accounts and demand deposits	118,147	X	X	X	531,497	X	X	X
2.2 Time deposits	16,147	X	X	X	14,482	X	X	X
2.3 Loans	1,535,300	X	X	X	3,355,662	X	X	X
2.3.1 Repurchase agreements	1,468,477	X	X	X	3,252,718	X	X	X
2.3.2 Other	66,823	X	X	X	102,944	X	X	X
2.4 Liabilities for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
2.5 Lease liabilities	461	X	X	X	504	X	X	X
2.6 Other liabilities	454,968	X	X	X	582,339	X	X	X
Total	31,279,861	-	31,279,861	-	28,418,072	-	28,418,072	-

The balance of the item “Due to Central banks” of EUR 29.1 bn refers to funding operations from the ECB and is almost entirely represented by TLTRO-III loans subscribed by the Parent Company in five quarterly auctions starting from December 2019, of which EUR 5.5 bn in March and June 2021.

Line 2.3.1 “Repurchase agreements” contains the financial liabilities arising from repo transactions with banks on both treasury securities and securities made available through reverse repurchase agreements or securities lending transactions.



1.2 Financial liabilities measured at amortised cost: breakdown of deposits from customers

Type of transactions / Amounts	Total 31 12 2021					Total 31 12 2020				
	Book value	Fair value				Book value	Fair value			
		Level 1	Level 2	Level 3			Level 1	Level 2	Level 3	
1. Current accounts and demand deposits	66,159,064	X	X	X		67,988,726	X	X	X	
2. Time deposits	6,438,318	X	X	X		8,827,434	X	X	X	
3. Loans	5,921,781	X	X	X		12,683,113	X	X	X	
3.1 Repurchase agreements	4,298,657	X	X	X		9,508,366	X	X	X	
3.2 Others	1,623,123	X	X	X		3,174,747	X	X	X	
4. Liabilities for commitments to repurchase own equity instruments	-	X	X	X		-	X	X	X	
5. Lease liabilities	225,706	X	X	X		222,221	X	X	X	
6. Other liabilities	733,934	X	X	X		962,175	X	X	X	
Total	79,478,803	-	79,478,803	-		90,683,669	-	90,683,669	-	

Line “3.3.1 Repurchase agreements” contains the financial liabilities arising from repo transactions with customers on both treasury securities and securities made available through reverse repurchase agreements or securities lending transactions.

1.3 Financial liabilities measured at amortised cost: breakdown of debt securities issued

Type of Securities/ Amounts	Total 31 12 2021					Total 31 12 2020				
	Book value	Fair value				Book value	Fair value			
		Level 1	Level 2	Level 3	Total		Level 1	Level 2	Level 3	Total
A. Listed securities										
1. Bonds	10,326,869	9,714,877	649,641	-	10,364,518	12,019,075	11,190,686	1,295,139	-	12,485,825
1.1 Structured	-	-	-	-	-	-	-	-	-	-
1.2 Other	10,326,869	9,714,877	649,641	-	10,364,518	12,019,075	11,190,686	1,295,139	-	12,485,825
2. Other securities	380,669	-	380,669	-	380,669	823,179	-	823,179	-	823,179
2.1 Structured	-	-	-	-	-	-	-	-	-	-
2.2 Other	380,669	-	380,669	-	380,669	823,179	-	823,179	-	823,179
Total	10,707,538	9,714,877	1,030,310	-	10,745,187	12,842,254	11,190,686	2,118,318	-	13,309,004

The table shows funding represented by securities, including bonds and certificates of deposit (outstanding and maturities).

Liabilities are net of bonds and repurchased CDs. In this regard, it should be noted that as at 31 December 2021, as in the previous year, the Group had no issues with a State guarantee.

The table includes liabilities for EUR 5,948.2 mln subject to fair value micro-hedging (EUR 6,245.2 mln as at 31 December 2020), hedging interest rate risk.

The Group also proceeded with operational hedging of interest rate risk for EUR 2,4 bn in own securities issued (EUR 3,5 bn at 31 December 2020) through the purchase of Italian government securities with residual life not lower/higher than six months in relation to the maturities of the matching liabilities.



1.4 Details of subordinated liabilities/securities

Type/Item	Date of issue	Date of maturity	Early repayment starting from	Grand-fathering	Currency	Rate	Step up	31 12 2021		31 12 2020	
								Nominal value	Book value	Nominal value	Book value
Subordinated loans to bank											
Subordinated loans to customers											
Subordinated debts securities issued											
Subordinated bond loan	18/01/18	18/01/28	18/01/23	NO	Eur	5,375% fixed*	NO	750,000	787,957	750,000	787,932
Subordinated bond loan	23/07/19	23/07/29	NO	NO	Eur	10,5% fixed	NO	300,000	311,011	300,000	310,823
Subordinated bond loan	22/01/20	22/01/30	22/01/25	NO	Eur	8,0% fixed	NO	400,000	428,621	400,000	429,537
Subordinated bond loan	10/09/20	10/09/30	10/09/25	NO	Eur	8,5% fixed	NO	300,000	303,520	300,000	303,230
Total								1,750,000	1,831,109	1,750,000	1,831,522

* 5.375% until 18 January 2023, subsequently 5Y EUR mid-swap rate + 5.005%

1.5 Details of structured liabilities

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.

1.6 Lease payables

Tipologia operazioni/Valori	31 12 2021	31 12 2020
Lease liabilities	216,807	251,314
Future minimum lease payment included in lease liabilities not discounted up to 5 years	176,842	194,009
Up to 1 month	6,401	8,038
from 1 to 3 months	4,752	4,737
from 3 months to 1 year	32,114	38,071
from 1 to 5 years	133,575	143,163
Not discounted outgoing cash flow for lease liabilities over to 5 years	39,965	57,305

The table shows the non-discounted outgoing cash flows for lease liabilities broken down by time bracket.



Section 2 - Financial liabilities held for trading - Item 20

2.1 Financial liabilities held for trading: breakdown

Type of transaction/ Group item	NV	Total 31 12 2021				FV*
		FV				
		Level 1	Level 2	Level 3	Total	
A. Balance-sheet liabilities						
1. Due to banks	323,551	353,353	-	-	353,353	353,353
2. Due to customers	2,275,268	2,750,757	-	-	2,750,757	2,750,757
3. Debt securities issued	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	-	X
3.1.2 Other	-	-	-	-	-	X
3.2 Other securities	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	-	X
3.2.2 Other	-	-	-	-	-	X
Total A	2,598,819	3,104,110	-	-	3,104,110	3,104,110
B. Derivatives						
1. Financial derivatives		-	1,309,284	4,306	1,313,590	
1.1 Trading	X	-	1,309,284	4,306	1,313,590	X
1.2 Fair value option (FVO)	X	-	-	-	-	X
1.3 Other	X	-	-	-	-	X
2. Credit derivatives		-	113,360	-	113,360	
2.1 Trading	X	-	113,360	-	113,360	X
2.2 Fair value option (FVO)	X	-	-	-	-	X
2.3 Other	X	-	-	-	-	X
Total B	X	-	1,422,644	4,306	1,426,950	X
Total (A+B)	X	3,104,110	1,422,644	4,306	4,531,060	X

Key

NV = Nominal or Notional Value

FV = Fair value

FV* = Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

Criteria adopted for classification of financial instruments in the three levels of the “fair value hierarchy” are reported in Section A.3, “Information on fair value” of Part A, “Accounting policies” of the notes to the financial statements.

The amounts classified in lines “1. Due to banks” and “2. Due to customers” are related primarily to those in lines “1. Debt securities” and “4. Loans” in table 2.1 of the assets “Financial assets held for trading”. Please also note that the sub-items “Due to banks” and “Due to customers”, mentioned above, also incorporate uncovered short positions. They are designated at fair value in line with the method applied for “long” positions.

Derivatives connected with fair value option instruments are also included in the trading book: these cover the risks of funding designated at fair value arising from possible interest rate fluctuations and from any embedded options in structured bonds issued (natural and systematic hedging). The fair value of these derivatives is shown in the table in line B1.1.2.

Note that for FVO derivatives with the subsidiary MPS Capital Services S.p.A. the relevant internal units responsible for risk management perform suitable tests at consolidated level in order to periodically test the effectiveness of the hedge established from the perspective of a “natural hedge”.

The fair value calculated on financial derivatives includes value adjustments owing to changes in the Group’s creditworthiness, Debit Value Adjustment (i.e. DVA), totalling EUR 6.1 mln (EUR 3.4 mln as at 31 December 2020).



Type of transaction/ Group item	NV	Total 31 12 2020				FV*
		FV				
		Level 1	Level 2	Level 3	Total	
A. Balance-sheet liabilities						
1. Due to banks	686,303	730,774	-	-	730,774	730,774
2. Due to customers	3,064,117	3,814,725	-	-	3,814,725	3,814,725
3. Debt securities issued	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	-	X
3.1.2 Other	-	-	-	-	-	X
3.2 Other securities	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	-	X
3.2.2 Other	-	-	-	-	-	X
Total A	3,750,420	4,545,499	-	-	4,545,499	4,545,499
B. Derivatives						
1. Financial derivatives		-	1,327,649	-	1,327,649	
1.1 Trading	X	-	1,327,640	-	1,327,640	X
1.2 Fair value option (FVO)	X	-	9	-	9	X
1.3 Other	X	-	-	-	-	X
2. Credit derivatives		-	128,872	-	128,872	
2.1 Trading	X	-	128,872	-	128,872	X
2.2 Fair value option (FVO)	X	-	-	-	-	X
2.3 Other	X	-	-	-	-	X
Total B	X	-	1,456,521	-	1,456,521	X
Total (A+B)	X	4,545,499	1,456,521	-	6,002,020	X

Key

NV = Nominal or Notional Value

FV = Fair value

FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

2.2 Details of item 20 “Financial liabilities held for trading”: subordinated liabilities

This table has not been completed as the Group has no such liabilities to report for either the current or the previous year.

2.3 Details of item 20 “Financial liabilities held for trading”: structured liabilities

This table has not been completed as the Group has no such liabilities to report for either the current or the previous year.



Section 3 - Financial liabilities measured at fair value - Item 30

3.1 Financial liabilities measured at fair value: breakdown

Type of transaction / Amount	Total 31 12 2021					
	NV	FV				FV*
		Level 1	Level 2	Level 3	Total	
1. Due to banks	-	-	-	-	-	-
1.1 Structured	-	-	-	-	-	X
1.2 Other	-	-	-	-	-	X
<i>of which commitments to disburse funds</i>	-	X	X	X	X	X
<i>of which financial guarantees issued</i>	-	X	X	X	X	X
2. Due to customers	-	-	-	-	-	-
2.1 Structured	-	-	-	-	-	X
2.2 Other	-	-	-	-	-	X
<i>of which commitments to disburse funds</i>	-	X	X	X	X	X
<i>of which financial guarantees issued</i>	-	X	X	X	X	X
3. Debt securities issued	68,849	-	113,989	-	113,989	135,796
3.1 Structured	-	-	-	-	-	X
3.2 Other	68,849	-	113,989	-	113,989	X
Total	68,849	-	113,989	-	113,989	135,796

Key

NV = Nominal or Notional Value

FV = Fair value

FV* = Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

The table shows the financial liabilities represented by fixed-rate and structured bonds which have been classified at fair value and are subject to hedging. Hedging occurs through derivative contracts and is used to cover the risk of interest rate fluctuations and the risk resulting from embedded options.

In the income statement, positive and negative spreads or margins relative to derivative contracts until the balance sheet date are recognised as interest income and expense, while valuation profits and losses are posted under item "80 - Net profit (loss) from trading". Profit/loss from financial liabilities measured at fair value is recognised:

- among other revenue items without reversal to the income statement for the amount referring to changes in own creditworthiness;
- in item 110 "Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss" of the income statement for the residual portion of the fair value change.

The above recognition method does not create nor expand accounting asymmetry in the profit (loss) for the year, as the effects of changes in the credit risk of the Group's liabilities are not offset in the income statement by a change in the fair value of another financial instrument measured at fair value through profit or loss for the year.



Type of transaction / Amount	Total 31 12 2020					
	NV	FV				FV*
		Level 1	Level 2	Level 3	Total	
1. Due to banks	-	-	-	-	-	-
<i>of which commitments to disburse funds</i>	-	X	X	X	X	X
<i>of which financial guarantees issued</i>	-	X	X	X	X	X
2. Due to customers	-	-	-	-	-	-
<i>of which commitments to disburse funds</i>	-	X	X	X	X	X
<i>of which financial guarantees issued</i>	-	X	X	X	X	X
3. Debt securities issued	150,365	-	193,332	-	193,332	226,190
3.1 Structured	48,878	-	47,058	-	47,058	X
3.2 Other	101,487	-	146,274	-	146,274	X
Total	150,365	-	193,332	-	193,332	226,190

Key

NV = Nominal or Notional Value

FV = Fair value

FV* = Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

3.1.a Financial liabilities measured at fair value: fair value option approach

All liabilities for which the fair value option was adopted refer to natural hedges through debt security derivatives for a book value of EUR 114.0 mln, as compared to EUR 193.3 mln in the previous year.

3.1.b Financial liabilities measured at fair value: structured debt securities

Items/Amount	31 12 2021				Total
	Structured loan to banks	Structured loan to customers	Structured securities	Total	31 12 2020
Index Linked	-	-	-	-	47,058
Total	-	-	-	-	47,058

As at 31 December 2021, the Group had not issued any structured bonds measured at fair value. The value as at 31 December 2020 refers to the issue of a certificate which expired in April 2021.

3.2 Details of “Financial liabilities measured at fair value”: subordinated liabilities

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.



Section 4 - Hedging derivatives - Item 40

4.1 Hedging derivatives: breakdown by type of contract and underlying asset

	Fair value 31 12 2021				NV
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	1,259,140	-	1,259,140	26,614,551
1) Fair value	-	1,259,140	-	1,259,140	26,614,551
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	1,259,140	-	1,259,140	26,614,551

Key

NV = Nominal or Notional Value

The table displays the negative book value (fair value) of hedging derivatives for hedges carried out through hedge accounting.

In 2021, compared to 2020, there was a decrease in the negative fair value of hedging derivatives due to the trend in market rates, which reflected the positive fair value of the hedged assets.

Information on the underlying strategies and objectives of hedge transactions can be found in Section 2 “Market risks” of Part E “Information on risks and hedging policies”.

	Fair value 31 12 2020				NV
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	1,797,049	-	1,797,049	25,779,188
1) Fair value	-	1,797,049	-	1,797,049	25,779,188
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	1,797,049	-	1,797,049	25,779,188

Key

NV = Nominal or Notional Value



4.2 Hedging derivatives: breakdown by hedged portfolios and type of hedging

Transaction/Type of hedge	Fair Value							Cash flow Hedge		Foreign investments	Total 31 12 2021
	Micro Hedge						Macro-hedge	Micro-hedge	Macro-hedge		
	Debt securities and interest rate	Equity instruments and stock indices	currencies and gold	Credit	Goods	Others					
1.Financial assets measured at fair value through other comprehensive income	14,953	-	-	-	X	X	X	-	X	X	14,953
2. Financial assets measure at amortised cost	516,760	X	37,409	-	X	X	X	-	X	X	554,169
3. Portfolio	X	X	X	X	X	X	648,660	X	-	X	648,660
4. Other transaction	-	-	-	-	-	-	X	-	X	-	-
Total assets	531,713	-	37,409	-	-	-	648,660	-	-	-	1,217,782
1. Financial liabilities	38,130	X	-	-	-	-	X	-	X	X	38,130
2. Portfolio	X	X	X	X	X	X	3,228	X	-	X	3,228
Total liabilities	38,130	-	-	-	-	-	3,228	-	-	-	41,358
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-
Total	569,843	-	37,409	-	-	-	651,888	-	-	-	1,259,140

The tables show the negative fair values of hedging derivatives, classified by hedged assets or liabilities and type of hedging implemented.

In particular, on the assets side, fair value micro-hedging was used to hedge against interest rate risk on bonds classified in the portfolio “Financial assets measured at fair value through other comprehensive income” and on securities and loans classified in the portfolio “Financial assets measured at amortised cost”, in order to protect them from unfavourable interest rate changes. Fair value macro-hedging was carried out on fixed-rate and cap/floor floating rate mortgage loan portfolios.

With reference to financial liabilities, fair value micro-hedging of the interest rate risk refers primarily to hedges of liabilities represented by securities, while fair value macro-hedging of the interest rate risk refers to hedges of liabilities represented by deposit accounts.

More information on hedged assets and liabilities can be found in the tables contained in Part B of the notes for each section of the balance sheet items to which the hedged items are posted.

Transaction/Type of hedge	Fair Value							Cash flow Hedge		Foreign investments	Total 31 12 2020
	Micro Hedge						Macro-hedge	Micro-hedge	Macro-hedge		
	Debt securities and interest rate	Equity instruments and stock indices	Currencies and gold	Credit	Goods	Others					
1. Financial assets measured at fair value through other comprehensive income	28,036	-	-	-	X	X	X	-	X	X	28,036
2. Financial asset measured at amortised cost	529,049	X	6,515	-	X	X	X	-	X	X	535,564
3. Portfolio	X	X	X	X	X	X	1,205,323	X	-	X	1,205,323
4. Other transaction	-	-	-	-	-	-	X	-	X	-	-
Total assets	557,085	-	6,515	-	-	-	1,205,323	-	-	-	1,768,923
1. Financial liabilities	27,560	X	-	-	-	-	X	-	X	X	27,560
2. Portfolio	X	X	X	X	X	X	566	X	-	X	566
Total liabilities	27,560	-	-	-	-	-	566	-	-	-	28,126
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-
Total	584,645	-	6,515	-	-	-	1,205,889	-	-	-	1,797,049



Section 5 - Changes in value of macro-hedged financial liabilities - Item 50

5.1 Change in value of hedged liabilities: breakdown by hedged portfolios

Fair value change of financial liabilities in hedged portfolios / Values	Total 31 12 2021	Total 31 12 2020
1. Positive fair value change of financial liabilities	15,875	45,428
2. Negative fair value change of financial liabilities	-	-
Total	15,875	45,428

The balance of changes in value of the liabilities subject to macro-hedging of interest rate risk is recognised in this item.

Section 6 – Tax liabilities – Item 60

For comments on tax liabilities please refer to “Section 10 - Tax assets and tax liabilities” of the balance sheet assets.

Section 7 – Liabilities associated with non-current assets held for sale and disposal groups– Item 70

For the details of the liabilities associated with assets held for sale, please refer to “Section 11 - Non-current assets and groups of assets held for sale and associated liabilities” of the balance sheet assets.

Section 8 – Other liabilities – Item 80

8.1 Other liabilities: breakdown

	Total 31 12 2021	Total 31 12 2020
Due to the Revenue and other tax levying authorities	135,326	122,241
Due to social security authorities	154,164	284,580
Amounts available to customers	103,968	90,476
Other amounts due to employees	20,812	21,086
Items in transit between branches	14,047	13,919
Items in processing	430,261	475,762
Payables in relation to the payment of supplies of goods and services	277,492	300,279
Accrued expenses and unearned revenues not attributable to other line items	48,411	61,078
Other	1,302,699	1,157,625
Total	2,487,180	2,527,046

Sub-items “Items in processing” and “Other” include transactions which were cleared during the first days of 2022.

For the disclosures pursuant to IFRS 15.116 and IFRS 15.118, please refer to section 13 of the assets.



Section 9 – Provision for employee severance pay – Item 90

9.1 Provision for employee severance pay: annual changes

	Total 31 12 2021	Total 31 12 2020
A. Opening balance	166,553	178,653
B. Increases	1,248	7,382
B.1 Provision for the year	1,009	813
B.2 Other increases	239	6,569
C. Decreases	8,470	19,482
C.1 Severance payments	5,407	19,086
C.2 Other decreases	3,063	396
D. Closing balance	159,331	166,553

9.2 Other information

Provision for employee severance pay is considered as a defined benefit fund for the purpose of international accounting standards.

The provision for the year, as clarified by the Bank of Italy, does not include amounts which, as a result of the reform introduced by Legislative Decree no. 252 of 5 December 2005, are paid directly by the Bank, depending on the various employee options, to complementary pension schemes or to the treasury fund managed directly by the Italian National Social Security Institute (INPS). These items are recognised in personnel expenses, as “contributions to external pension funds: defined contribution”.

9.2.a Changes in net defined benefit liabilities during the year: severance pay

Item/Amount	Present value of DBO	
	31 12 2021	31 12 2020
Opening balance	166,553	178,653
Current service cost	27	22
Interest income/expense	981	791
Remeasurement of net defined benefit liability (asset):	(2,113)	2,217
Actuarial gains (losses) arising from changes in demographic assumptions	-	1
Actuarial gains (losses) arising from experience adjustments	2,282	(1,412)
Actuarial gains (losses) arising from changes in financial assumptions	(4,395)	3,628
Payments from plan	(5,206)	(18,988)
Effect of any plan curtailments	(138)	92
Effect of any plan settlements	54	193
Other changes	(719)	3,959
Closing balance	159,331	166,553

The table above reports the information required by paragraphs 140 and 141 of IAS 19.

9.2.b Key actuarial assumptions used

Key actuarial assumptions/percentage	31 12 2021	31 12 2020
Discount rates	000% - 001%	-0.06% - 2.48%
Expected rates of salary increases	X	X

9.2.c Sensitivity of defined benefit obligation of severance pay to changes in key actuarial assumptions

Actuarial assumptions	31 12 2021		31 12 2020	
	Change in DBO	Change (%) in DBO	Change in DBO	Change (%) in DBO
Discount rates				
Increase of 0.25%	(3,046)	-1.91%	(3,185)	-1.91%
Decrease of 0.25%	2,862	1.80%	3,002	1.80%

Section 10 – Provisions for risks and charges – Item 100**10.1 Provisions for risks and charges: breakdown**

Item/Amount	Total 31 12 2021	Total 31 12 2020
1. Provision for credit risk on commitments and financial guarantees issued	136,893	143,429
2. Provision for other commitments and guarantee issued	7,101	10,652
3. Pensions and other post retirement benefit obligations	29,732	32,979
4. Other provisions for risks and charges	1,481,007	1,705,548
4.1 legal disputes	1,016,371	971,931
4.2 personnel charges	41,899	56,553
4.3 other	422,737	677,064
Total	1,654,733	1,892,608

For further details of the sub-item 4.3 “others”, please refer to table 10.6 below “Provisions for risks and charges - Other provisions”.



10.2 Provisions for risks and charges: annual changes

Item/Amount	Total 31 12 2021			
	Provisions for commitments and other guarantees issued	Pensions and other post retirement benefit obligations	Other provisions	Total
A. Opening balance	10,652	32,979	1,705,548	1,749,179
B. Increases	-	6,735	346,593	353,328
B.1 Provision for the year	-	2	345,632	345,634
B.2 Changes due to the time value of money	-	(7)	21	14
B.3 Changes due to discount rate changes	-	-	-	-
B.4 Other increases	-	6,740	940	7,680
C. Decreases	3,551	9,982	571,134	584,667
C.1 Use during the year	-	3,013	363,924	366,937
C.2 Changes due to discount rate changes	-	6,732	1,797	8,529
C.3 Other decreases	3,551	237	205,413	209,201
D. Closing balance	7,101	29,732	1,481,007	1,517,840

10.2-bis Other provisions for risks and charges: annual changes

Item/Amount	Total 31 12 2021			
	Provision for Tax and legal disputes	Provision for personnel changes	Other Provisions	Total
A. Opening balance	971,931	56,553	677,064	1,705,548
B. Increases	240,551	33,748	72,294	346,593
B.1 Provision for the year	240,530	33,748	71,354	345,632
B.2 Changes due to the time value of money	21	-	-	21
B.3 Changes due to discount rate changes	-	-	-	-
B.4 Other increases	-	-	940	940
C. Decreases	196,111	48,402	326,621	571,134
C.1 Use during the year	65,045	37,509	261,370	363,924
C.2 Changes due to discount rate changes	1,797	-	-	1,797
C.3 Other decreases	129,269	10,893	65,251	205,413
D. Closing balance	1,016,371	41,899	422,737	1,481,007

The provisions in line B.1 in line with the columns:

- “Provisions for legal and tax disputes” are mainly linked to the disputes related to financial information disclosed in the 2008-2015 period;
- “Other provisions” include the valuations relating to the risks associated with guarantees issued as part of the derisking of impaired loans and to the risks relating to transactions with customers, including those against expected future repayments associated with contracts falling within the scope of IFRS 15.

For further details, please refer to Section 5 “Operational risks” of Part E of the Notes to the consolidated financial statements.



10.3 Provisions for credit risk relative to commitments and financial guarantees issued

	Provisions for credit risk relative to commitments and other financial guarantees issued				
	1 Stage	2 Stage	3 Stage	purchased or originated credit impaired	Total
Commitments to disburse funds	5,586	5,198	-	-	10,784
Financial guarantees issued	7,941	11,852	104,877	1,439	126,109
Total 31 12 2021	13,527	17,050	104,877	1,439	136,893
Total 31 12 2020	7,184	8,725	142,884	-	158,793

10.4 Provisions on other commitments and guarantees issued

Provision on other commitments under IAS 37 and other guarantees issued under IFRS 4	Total 31 12 2021	
	Nominal Amount	Provision
Other commitments to disburse funds	7,101	7,101
Other financial guarantees issued	-	-
Total	7,101	7,101



10.5 Pensions and defined benefit obligations

10.5.1. Description of funds and related risks

The information provided below concerns defined benefit pension funds in favour of employees and terminated employees of the Parent Company and the Group companies, i.e. funds in which the obligation of future payment of retirement benefits is undertaken by the funds and indirectly by the companies, which may be required to increase the value of the obligation in the event of inadequate capital assessed in accordance with actuarial criteria.

For each definite benefit plan the Group relies on analyses carried out by an independent certified actuary.

In accounting for the plans, the surplus or deficit was determined using the “credit unitary projection” method; therefore, the fair value of the assets servicing the plan, if any, was deducted from the current value of the obligation, as shown in the statement of financial position (see Part A of the Notes - Accounting Policies).

The valuations concerned the participating employees, whether retired or active (who form a closed group) at the date of valuation, and were carried out on the basis of these groups of employees as measured in December 2021.

In accordance with IAS 19, revised by amendments issued by IASB on 16 June 2011 and approved by EU Regulation no. 475/2012 dated 5 June 2012, in determining the total cost of each defined benefit plan, which - as is well-known - may be influenced by many variables, objective and prudential technical bases were adopted in formulating both demographic and financial assumptions. As a further specification of the demographic technical bases, given the persistence of the health emergency due to the COVID19 pandemic and the deaths that this caused during the year 2020, the ISTAT 2020 tables are still showing estimated values; therefore, the ISTAT 2019 tables were used in the actuarial valuation at 31 December 2021. At the moment, this is a prudential approach that avoids the impact on the calculation of the mathematical reserves a hypothesis of a contraction in longevity which will have to be confirmed by future expert results.

In view of the evolutionary nature of the main relevant aggregates, actuarial valuations were performed under dynamic conditions, so as to subsume in the medium-long term both the average annual changes in the benefits defined in each plan, and the interest rate trends expected in the financial market.

Some of the main actuarial assumptions that were formulated and used as valuation bases are mentioned below:

- technical mortality basis: using death probability data as provided in ISTAT’s 2019 tables, broken down by gender and age, with mortality reduced by 20%;
- economic-financial basis: using as annual relative interest rate the interpolated EUR Composite AA rate curve (BFV) as at 31 December 2021.

For each defined benefit plan, the balance sheet equity resulting from valuations carried after reconciliation of actuarial assets and liabilities as at 31 December 2021 underwent a sensitivity analysis to examine the effects of changes in the key technical assumptions included in the calculation model (average annual discount rate and inflation rate), and the results were presented in specific tables.

The theoretical future increase in INPS pensionable earnings was not included in the sensitivity analysis because it is essentially irrelevant for the preparation of the technical financial statements as, given that all defined benefit pensions funds are closed to new participants and taking into account the progressive decrease in the active population due to retirements during the year, the ratio between active and retired participants has now reduced to a percentage of less than 0.1%.

The defined benefit plans, in which the Group companies are co-obliged within the limits set out in the respective by-laws or regulations, are either internal plans, divided in the description below between unfunded and funded, or independent external funds.

The activity aimed at the centralization and unification of defined benefit funds (with the exception of the MPS company pension fund) in a new Section B of the Monte dei Paschi di Siena Pension Fund, as authorized by the Commission, is underway. Pension Fund Supervisory Board (COVIP).

The following table summarizes the populations present in the various funds as of 31 December 2021.



Unfunded internal funds	Retired	Active	Deferred
Supplementary pension provision for staff in the former tax collection division of Banca Monte dei Paschi di Siena S.p.A. - (Register no. 9185)	291	0	0
Treatment of INPS (Italian state pension Institute) performance for former Banca Operaia di Bologna staff (Bank Register no. 9142)	60	3	0
Pension provision for employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia (Bank Register no. 9178)	10	0	0
Pension provision for employees of former Banca Popolare Veneta (Bank Register no. 9066).	15	0	0
Pension fund for MPS Capital Services Banca per le Imprese S.p.A. (Register no. 9134)	32	0	0
Funded internal funds	Retired	Active	Deferred
Pension provision for employees of former Banca Nazionale Agricoltura (Bank Register no. 9047)	195	0	3
Complementary pension provision for employees of former Banca Toscana (Bank Register no. 9110)	724	3	0
External funds	Retired	Active	Deferred
Pension Fund for personnel of former Banca Agricola Mantovana S.p.A. (Bank Register no. 1341)	28	0	1
Pension Fund for personnel of former Banca Antonveneta S.p.a. (Register no. 1033)	28	0	0

Unfunded internal funds

Supplementary pension provision for staff in the former tax collection division of Banca Monte dei Paschi di Siena S.p.A.

(Bank Register no. 9185)

This is a defined benefit plan designed to provide retired staff of the former Direct Management division of the Parent Company with supplementary pension in the form of annuity.

The entitled population, consisting of personnel of the former business unit divested in 2006, retired after the year 1982. For the purposes of the preparation of the technical financial statements, the liabilities were valued taking into account INPS pension payment regulations issued by Law no. 335/95 as amended and the Plan Regulations.

The valuations concerning participants were carried out on the basis of the positions of retirees, taking into account details on currently paid pensions, types of pension, personal data of the beneficiary and amount of the annuity paid by the Fund and that paid by INPS. In the event that the agreed benefits are costlier than expected, the Parent Company remains responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial loss of EUR 0.3 mln at 31 December 2021.



National insurance (INPS) for former Banca Operaia di Bologna staff

(Bank Register no. 9142)

The fund is intended to supplement benefits paid out under INPS pension schemes for retired employees of former Banca Operaia di Bologna.

The Plan's Regulations, signed on 23 September 1980, provide for supplementary benefit up to a certain percentage of the last salary earned. For pension calculation purposes, annual salary is understood as the set of items paid on a continuous basis; benefits are paid out to surviving dependants. For the purposes of the preparation of the technical financial statements, the liabilities were valued taking into account INPS pension payment regulations issued by Law no. 335/95 as amended.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS.

The valuations show an actuarial gain of EUR 0.29 mln at the date of 31 December 2021

Pension provision for employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia

(Bank Register no. 9178)

The sole aim of the fund is to supplement compulsory schemes in order to guarantee higher levels of insurance coverage for ex-employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia, as the direct beneficiaries of a life annuity or as the surviving spouse of a former employee.

The pension provision for employees participating in the Fund is governed by the Regulations issued in 1977 and later amended to reflect subsequent laws. It provides for payment of supplementary benefits so as to reach a certain percentage of the last salary earned.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. The obligation to pay the benefits lies with the Parent Company, which must provide the wherewithal to cover the liability over time.

The valuations show an actuarial gain of EUR 0.01 mln at the date of 31 December 2021.

Pension provision for employees of former Banca Popolare Veneta

(Bank Register no. 9066)

The pension plan, which applies to a residual population of 18 retirees, is aimed at supplementing the benefits paid out by INPS for employees already retired at 7 December 1989 and their assignees, under labour agreements signed on 4 February 1956 and on 1 January 1982 for executive staff, as amended and supplemented.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. In the event of deficit, the Parent Company is responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial loss of EUR 0.07 mln at the date of 31 December 2021.

Pension fund MPS Capital Services Banca per le Imprese S.p.A.

(Bank Register no. 9134)

This is a supplementary defined benefit pension fund.

The valuations show an actuarial gain of EUR 0.2 mln at the date of 31 December 2021.



Funded internal funds

Pension provision for employees of former Banca Nazionale Agricoltura

(Bank Register no. 9047)

The purpose of this Provision is to pay additional retirement benefits over and above those paid by INPS to employees of the former Banca Nazionale dell'Agricoltura, who retired before 1 October 2000 or whose employment was terminated after this date without their having exercised the right, provided under the agreement of 12 September 2000, to transfer their contributions to another individual capitalisation, defined contribution fund.

The Plan's Regulations, first approved in 1966, provide for supplementary benefit up to a certain percentage of the last salary earned, to be paid to the direct beneficiaries and their surviving dependants.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS. Although the Fund has its own separate and independent allocation capital, the guarantee of performance of the benefit payment obligation lies with the Parent Company, which must ensure the wherewithal to cover the liability over time.

At the valuation date of 31 December 2021, the actuarial calculations show that the capital adequacy of the Fund satisfies the obligation to pay benefits with respect to the participants.

Supplementary pension provision for employees of former Banca Toscana

(Bank Register no. 9110)

This defined benefit supplementary pension fund is reserved for employees of the former Banca Toscana who were already retired at 1 January 1999 and to active employees hired before 27 April 1993 who did not opt at the time to transfer their contributions to an individual capitalisation and defined contribution fund.

The current Fund Regulations set out the rules concerning the retirement benefits to be paid to eligible employees, distinguishing between old age, seniority and disability pensions. Calculation of the supplementary benefits is based on the average of the last three years of employment, taking into account only the items specified in the Regulations.

The guarantee of performance of the benefit payment obligation lies with the Parent Company, which must ensure the wherewithal to cover the liability over time, although the Fund has its own separate accounting and capital, with the effects set out in art. 2117 of the Italian Civil Code.

At the valuation date of 31 December 2021, the actuarial calculations show that the capital adequacy of the Fund satisfies the obligation to pay benefits with respect to the participants.

External funds

Cassa di Previdenza Aziendale for Monte dei Paschi di Siena employees

(Bank Register no. 1127)

The Fund has legal personality and full independence in terms of capital and operation.

It is reserved to employees and retirees of the Parent Company hired until 31 December 1990 who, following the agreement of 30 June 1989, opted to remain in the specific supplementary benefit Section under a defined benefit regime.

The Fund's governance consists of a Board of Directors and a Board of Statutory Auditors with joint membership (some of the members are appointed by the Parent Company and others are appointed by the participants) supported by the General Manager.

The Parent Company provides, free of charge, the employees, premises and other resources required for the autonomous management of the Cassa and incurs all the related costs and expenses, including those for the functioning of the governing and control bodies.

In terms of guarantees given, in accordance with art. 26 of the By-laws, any deficits in Section coverage which should be identified during actuarial checks will be made up by the Parent Company only to the extent necessary



to maintain tier 1 services, in accordance with the guarantee to the participants undertaken in compliance with Law no. 218/90 and referred to in the agreement of 24 June 1991.

The supplementary benefits, which are determined by subtracting the benefits paid out by INPS from the annual amount of the supplementary benefits, are made up of two components. The first component increases the benefits to be paid by the Cassa up to 70% of the fixed items of the salary of an employee of the same level, and the second component increases the supplementary benefits by a further 9%.

The assets that comprise the reference capital consist primarily of investments in securities, managed almost entirely under a financial management agreement, and properties.

The population is composed of 2,358 retirees, 128 active employees and 33 employees on deferred retirement.

The technical report prepared in accordance with IAS 19 criteria by the designated actuary shows the capital adequacy of the Supplementary Section which, against an asset fair value - calculated on the basis of the last available value (30 November 2021) - of EUR 300.4 mln, takes into consideration a defined benefit obligation (DBO) as at 31 December 2021 of EUR 85.7 mln.

Pension Fund for personnel of former Banca Agricola Mantovana S.p.A.

(Bank Register no. 1341)

The Fund, which operates on a defined benefit basis, has legal personality and full independence in terms of capital and operation, as its legal form is that of an unincorporated association under art. 36 of the Italian Civil Code.

The sole purpose of the Fund is to pay to eligible participants supplementary benefits over and above those paid out by INPS; the participants include 28 retirees and 2 employees on deferred retirement.

At the valuation date of 31 December 2021, actuarial calculations show a DBO (Defined Benefit Obligation) of EUR 0.8 mln against capital set aside to satisfy the pension obligation (Asset Fair Value) of EUR 0.8 mln.

Pension Fund for personnel of former Banca Antonveneta S.p.A.

(Bank Register no. 1033)

The Fund, whose legal form is that of an unincorporated association in accordance with article 36 of the Italian Civil Code, has the sole purpose of providing benefits in addition to AGO (General Compulsory Insurance) cheques, was established in 1966 and has continued to operate to date.

The currently limited group of pensioners entitled to benefits refers to those who at the time did not accept the proposal for the settlement in capital of the value of the position recognised.

At the valuation date of 31 December 2021, the value of the DBO (Defined Benefit Obligation) indicated by the actuarial calculations was EUR 1.7 mln against capital meant to satisfy the pension obligation of EUR 1.6 mln.

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The defined benefit pension fund for personnel of the London branch (BMPS UK Pension Fund) is designed to pay for the employees' benefits upon reaching normal retirement age as well as benefits to other surviving beneficiaries. The pension plan is administered by a Trustee, whose members also include active employees; the financial resources are managed by a specialised company. The technical report prepared in accordance with IAS 19 criteria by the designated actuary at the valuation date of 31 December 2021 shows the capital adequacy of the plan, with a DBO (Defined Benefit Obligation) of EUR 54.8 mln against an asset fair value of EUR 70.6 mln.

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IAS 19 was also applied to calculate the actuarial values that could be used to determine the liability relating to the supplementary benefits associated with the former Credito Lombardo S.p.A. Considering the contractual nature of the obligation, the economic costs are incurred directly by the Parent Company. The currently limited population



eligible for benefits includes a total of 83 immediate pensions, of which 52 direct and 31 indirect. The actuarial calculations show a DBO (Defined Benefit Obligation) of EUR 2.1 mln at the valuation date of 31 December 2021.

Finally, there is one position referring to a former General Manager of the Parent Company to whom specific economic benefits other than pension benefits are disbursed. In any event, they are assessed on the basis of actuarial parameters in order to determine the value of the Parent Company's obligation. This type of remuneration, known as *ex contractu*, consists of payment of monthly benefits revalued on the basis of automatic pension equalisation indexes.

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As required by the Bank of Italy, the internal fund statements can be found in the annexes to the financial statements.



10.5.2 Changes in net defined liability (asset) and reimbursement rights during the year

The following tables show movements for the year in internal and external funds which, according to international accounting standards, come under the heading of defined benefit funds.

10.5.2a Changes in net defined liability (asset) and reimbursement rights during the year: Internal Funds

Item/Amount	31 12 2021			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(98,933)	118,831	12,985	32,883
Current service cost	X	2	X	2
Interest income/expense	(10)	4	2	(4)
Remeasurement of net defined benefit liability (asset):	136	(986)	622	(228)
Return on plan assets excluding interest	136	X	X	136
Actuarial gains (losses) arising from changes in demographic assumptions	X	-	X	-
Actuarial gains (losses) arising from experience adjustments	X	82	X	82
Actuarial gains (losses) arising from changes in financial assumptions	X	(1,068)	X	(1,068)
Changes in effect of limiting net defined benefit asset to asset ceiling	X	X	622	622
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	-	-	-	-
Contributions to plan:	-	-	-	-
by employer	-	-	X	-
by employee	-	-	X	-
Payments from plan	7,724	(10,738)	X	(3,014)
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	19	-	(19)	-
Closing balance	(91,064)	107,113	13,590	29,639



Item/Amount	31 12 2020			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(106,207)	128,194	13,538	35,525
Current service cost	X	4	X	4
Interest income/expense	(156)	185	20	49
Remeasurement of net defined benefit liability (asset):	(706)	1,760	(573)	481
Return on plan assets excluding interest	(706)	X	X	(706)
Actuarial gains (losses) arising from changes in demographic assumptions	X	801	X	801
Actuarial gains (losses) arising from experience adjustments	X	(290)	X	(290)
Actuarial gains (losses) arising from changes in financial assumptions	X	1,249	X	1,249
Changes in effect of limiting net defined benefit asset to asset ceiling	X	X	(573)	(573)
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	-	-	-	-
Contributions to plan:	(19)	-	-	(19)
by employer	(19)	-	X	(19)
by employee	-	-	X	-
Payments from plan	8,155	(11,312)	X	(3,157)
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	-	-	-	-
Closing balance	(98,933)	118,831	12,985	32,883



10.5.2b Changes in net defined liability (asset) and reimbursement rights during the year: External Funds

Item/Amount	31 12 2021			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(372,662)	157,184	215,574	96
Current service cost	X	-	X	-
Interest income/expense	(1,401)	1,187	214	-
Remeasurement of net defined benefit liability (asset):	2,472	(10,158)	7,683	(3)
Return on plan assets excluding interest	2,472	X	X	2,472
Actuarial gains (losses) arising from changes in demographic assumptions	X	(96)	X	(96)
Actuarial gains (losses) arising from experience adjustments	X	(4,212)	X	(4,212)
Actuarial gains (losses) arising from changes in financial assumptions	X	(5,850)	X	(5,850)
Change in effect of limiting net defined benefit asset to asset ceiling	X	X	7,683	7,683
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	(4,520)	3,746	774	-
Contributions to plan:	(2,380)	-	-	(2,380)
by employer	(2,380)	-	X	(2,380)
by employee	-	-	X	-
Payments from plan	8,924	(8,924)	X	-
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	452	-	1,928	2,380
Closing balance	(369,115)	143,035	226,173	93



Item/Amount	31 12 2020			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(393,615)	194,227	199,997	609
Current service cost	X	-	X	-
Interest income/expense	942	2,572	(3,513)	1
Remeasurement of net defined benefit liability (asset):	11,038	(29,203)	18,235	70
Return on plan assets excluding interest	11,038	X	X	11,038
Actuarial gains (losses) arising from changes in demographic assumptions	X	154	X	154
Actuarial gains (losses) arising from experience adjustments	X	(36,421)	X	(36,421)
Actuarial gains (losses) arising from changes in financial assumptions	X	7,064	X	7,064
Change in effect of limiting net defined benefit asset to asset ceiling	X	X	18,235	18,235
Past service cost and gains (losses) arising from settlements	X	133	X	133
Changes in foreign exchange rates	3,304	(2,738)	(566)	-
Contributions to plan:	(2,636)	-	-	(2,636)
by employer	(2,636)	-	X	(2,636)
by employee	-	-	X	-
Payments from plan	7,807	(7,807)	X	-
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	498	-	1,421	1,919
Closing balance	(372,662)	157,184	215,574	96



10.5.2c Changes in net defined benefit liabilities (assets) and reimbursement rights during the year – Total

Item/Amount	31 12 2021			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Internal funds	(91,064)	107,113	13,590	29,639
External funds	(369,115)	143,035	226,173	93
Total defined benefit funds	(460,179)	250,148	239,763	29,732

Item/Amount	31 12 2020			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Internal funds	(98,933)	118,831	12,985	32,883
External funds	(372,662)	157,184	215,574	96
Total defined benefit funds	(471,595)	276,015	228,559	32,979

10.5.3 Information on the fair value of plan assets

Item	31 12 2021			
	Internal pension plans		External pension plans	
	Listed in active markets	Not listed in active markets	Listed in active markets	Not listed in active markets
Cash and cash equivalents	66,390	-	7,773	-
of which: used by the Group	66,390	-	2,433	-
Equity instruments	-	-	36,721	-
of which: issued by Group	-	-	-	-
Debt instruments	24,674	-	104,818	-
of which: issued by the Group	-	-	-	-
Real estate	-	-	-	49,535
of which: used by the Group	-	-	-	-
Derivatives	-	-	-	-
UCITS	-	-	156,224	14,044
Asset-backed securities	-	-	-	-
Structured debt	-	-	-	-
Total	91,064	-	305,536	63,579
<i>of which:</i>				
<i>own instruments/ assets used by the Group</i>	<i>66,390</i>	<i>-</i>	<i>2,433</i>	<i>-</i>

The table shows, for funded defined benefit plans, the total amount of plan assets. In particular, the assets refer to the following funds:

- Pension Fund for personnel of former Banca Agricola Mantovana S.p.A.,



- Pension Fund for personnel of former Banca Toscana S.p.A.,
- Pension Fund for personnel of former Banca Nazionale dell'Agricoltura S.p.A.,
- Pension Fund for personnel of former Banca Antonveneta,
- Cassa di Previdenza Aziendale for Monte dei Paschi di Siena employees, defined benefit section,
- Pension Fund for personnel of the Parent Company of the London branch,

With the exception of the pension fund for former Banca Antonveneta staff, all the senior funds are in excess of the existing obligations at the end of the year

Item	31 12 2020			
	Internal pension plans		External pension plans	
	Listed in active markets	Not listed in active markets	Listed in active markets	Not listed in active markets
Cash and cash equivalents	73,441	-	9,307	-
of which: used by the Group	73,441	-	2,667	-
Equity instruments	-	-	33,188	-
of which: issued by Group	-	-	-	-
Debt instruments	25,492	-	103,902	-
of which: issued by the Group	-	-	-	-
Real estate	-	-	-	51,596
of which: used by the Group	-	-	-	-
Derivatives	-	-	-	-
UCITS	-	-	174,669	-
Asset-backed securities	-	-	-	-
Structured debt	-	-	-	-
Total	98,933	-	321,066	51,596
<i>of which:</i>				
<i>own instruments/ assets used by the Group</i>	<i>73,441</i>	<i>-</i>	<i>2,667</i>	<i>-</i>

10.5.4 Key actuarial assumptions used

Key actuarial assumptions/percentages	31 12 2021		31 12 2020	
	Defined benefit funds		Defined benefit funds	
	Internal pension plans	External pension plans	Internal pension plans	External pension plans
Discount rates	0.33%	1.11%	-0.15%	0.58%
Expected rates of salary increases	0.00%	1.88%	0.00%	1.53%

A discount rate of 0.33% was used for internal plans and of 1.11% for external ones (a range of rates between 0.35% and 0.90% is envisaged for the Provision for severance pay, see table 9.2b), calculated as a weighted average of interest rates in EUR Composite AA yield curve as at 31 December 2020, using, as weights, the ratio between the amount paid/paid in advance for each maturity and the total amount to be paid/pay in advance to the exhaustion of the population considered. The EUR Composite AA curve is obtained daily through the Bloomberg information provider and refers to a basket of securities issued by "investment grade" corporate issuers included in the "AA" rating class resident in the Eurozone and belonging to different sectors.



10.5.5 Information on amount, timing and uncertainty of cash flows

31 12 2021

Actuarial assumption	Change in DBO	Change (%) in DBO
Discount rate		
Increase of 0.25%	(6,884)	-2.78%
Decrease of 0.25%	6,403	2.58%
Expected rates of salary increases		
Increase of 0.25%	4,122	1.66%
Decrease of 0.25%	(1,310)	-0.53%

31 12 2020

Actuarial assumption	Change in DBO	Change (%) in DBO
Discount rate		
Increase of 0.25%	(2,756)	-1.01%
Decrease of 0.25%	3,014	1.10%
Expected rates of salary increases		
Increase of 0.25%	(1,416)	-0.52%
Decrease of 0.25%	548	0.20%

With respect to pay increases, it is not possible to conduct any sensitivity analysis given the static nature of the benefits linked to the choice of participants to stay in the fund.

10.5.6 Plans covering multiple employers

10.5.7 Defined benefit plans sharing risks among entities under common control

Plans having these characteristics are not present for the Group.

**10.6 Provisions for risks and charges: other provisions**

Items/Amounts	Total	Total
	31 12 2021	31 12 2020
2.1 Legal disputes	1,016,371	971,931
- Revocatory	17,442	26,164
- Other legal disputes	990,251	928,595
- Tax disputes	8,678	17,172
2.2 Personnel charges	41,899	56,553
- Job disputes	33,896	47,276
- Leaving incentives	1,542	1,718
- Other	6,461	7,559
2.3 Other	422,737	677,064
- Risks related to the sale of assets/business units	23,700	23,700
- Charges due to corporate restructuring	915	3,169
- Payments to financial advisors	16,755	17,871
- Onerous contracts	195,524	207,598
- Charges for embezzlement	2,128	2,250
- Claims and out-of-Court agreements	6,660	8,723
- Compensation for diamonds	6,270	20,037
- Claw back clause (IFRS 15)	30,207	31,832
- Refunds to customers	10,161	11,420
- Charges for legal services	37,789	50,135
- Other	92,628	300,329
Total	1,481,007	1,705,548

The increase recorded in line 2.1 “Other legal disputes” is mainly linked to the dispute related to financial information disclosed in the 2008-2015 period.

The amount of EUR 195.5 mln recognized in the line “Onerous contracts” represents the provision allocated to cover risks related to contractual guarantees granted as part of the derisking transactions of non-performing loans.

The decrease of around EUR 14 mln recognised in line “Compensation for diamonds” is due to uses of the provision for transactions with customers.

Line 2.3 “Others-Others” records a decrease of over 200 million euro mainly due to the finalization of the settlement agreement with the Monte dei Paschi di Siena Foundation.



10.7 Contingent liabilities

Item/Type	31 12 2021	31 12 2020
Tax and legal disputes	722,009	667,425
Claw back actions	8,115	5,208
Other legal disputes	681,515	630,721
Tax disputes	32,379	31,496
Personnel charges	21,359	19,272
Job disputes	21,359	19,272
Others	622,270	24,726
Total	1,365,638	711,423

A contingent liability is defined as i) a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more future events not totally under control, or ii) a current obligation that arises from past events but is not recognised because use of resources aimed at producing economic benefits will likely not be required to settle the obligation or because the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not subject to recording but, if deemed “possible”, are solely subject to disclosure. Conversely, contingent liabilities that are deemed to be of “remote” likelihood do not require any disclosure, pursuant to the provisions of IAS 37. Hence, the table above shows only “possible” liabilities.

Similar to “possible” liabilities, contingent liabilities are also monitored because they may, over time, become “remote” or “probable”, with the need, in the latter case, to make the necessary provisions.

In this context, it should be noted that the classification of contingent liabilities and the relative amount is based on non-objective judgements that require recourse to sometimes extremely complex estimation procedures; therefore, they may be subject to redetermination over time.

Specifically, in reference to the dispute, the table shows the relief sought, where quantified; this value cannot be considered a measurement of the expected disbursement in accordance with IAS 37. In fact, the Bank does not deem it practical to provide an estimate of the expected disbursement, as the calculation would be complex and onerous.

The significant increase recorded in the line Other is attributable to the specific type of claims

For further details, please refer to Section 1.5 “Operational risks” of Part E in the Notes to the consolidated financial statements.

Section 11 – Insurance reserves – Item 110

The tables in this section have not been completed as no data is present for either current or previous year.

Section 12 - Redeemable shares - Item 120

The tables in this section have not been completed as no data is present for the current year or for the previous year.



Section 13 – Group equity – Items 120, 130, 140, 150, 160, 170 and 180

13.1 “Share capital” and “Treasury shares”: breakdown

13.1.a “Share capital”: breakdown

Items / Amounts	(in units of Eur)			
	31 12 2021		31 12 2020	
	Implied par value share (a)	Par value of fully paid shares	Par value per share	Par value of fully paid shares
Ordinary shares	9.17	9,195,012,197	9.17	9,195,012,197
Total		9,195,012,197		9,195,012,197

On 6 June 2011 the Bank's Extraordinary Shareholders' Meeting resolved that indication of the par value of the classes of shares be eliminated; accordingly, as at 31 December 2011, the so-called “Implied par value” is indicated, which is obtained by dividing the total share capital amount by the number of shares in the same category, outstanding at the reference date.

Ordinary shares are registered and indivisible. Each share entitles to one vote. Information on the number of fully paid-up shares can be found in the notes to Table “13.2 Share capital – Parent Company's number of shares: annual changes”.

At the reporting date, the Parent Company's share capital amounted to EUR 9,195,012,197, represented by 1,002,405,887 ordinary shares without a nominal value, all outstanding.

13.1.b “Treasury shares”: breakdown

At the date of these financial statements, this case is not present. The 36,280,748 treasury shares held by the Group up to 31 December 2021 for a value of EUR 313.71 mln were sold in full during the year 2021 and resulted in a negative trading result of EUR 270.7 mln recognized in the item “Reserves-other”.



13.2 Share capital - Parent company's number of shares: annual changes

Item/Type	31 12 2021	31 12 2020
	Ordinary	Ordinary
A. Shares outstanding as at the beginning of the year	1,002,405,887	1,140,290,072
- fully paid	1,002,405,887	1,140,290,072
- not fully paid	-	-
A.1 Treasury shares (-)	36,280,748	36,280,748
A.2 Shares outstanding: opening balance	966,125,139	1,104,009,324
B. Increases	36,280,748	-
B.1 New issuances	-	-
B.2 Sale of treasury shares	36,280,748	-
B.3 Other increases	-	-
C. Decreases	-	137,884,185
C.1 Cancellation	-	137,884,185
C.2 Purchase of treasury shares	-	-
C.3 Business transferred	-	-
C.4 Other decreases	-	-
D. Shares outstanding: closing balance	1,002,405,887	966,125,139
D.1 Treasury shares (+)	-	36,280,748
D.2 Shares outstanding as at the end of the year	1,002,405,887	1,002,405,887
- fully paid	1,002,405,887	1,002,405,887
- not fully paid	-	-

The increase in the number of shares in circulation equal to no. 36,280,748 ordinary shares of the Group is due to the full sale of treasury shares.

At the date of these financial statements, the share capital is fully paid in.



13.3 Share capital: other information

13.3a Equity instruments: breakdown and annual changes

As at 31 December 2021, the Group held no equity instruments.

13.4 Retained earnings: other information

See “Part F – Information on consolidated shareholders’ equity” of these Notes to the financial statements.

13.5 Equity instruments: breakdown and annual changes

See “Part F – Information on consolidated shareholders’ equity” of these Notes to the financial statements.

13.5 Other information

See “Part F – Information on consolidated shareholders’ equity” of these Notes to the financial statements.

Section 14 - Non-controlling interests - Item 190

14.1 Details of item 190 “Non-controlling interests”

Company name	31 12 2021	31 12 2020
Equity investments in consolidated companies with significant non-controlling interests	-	-
Other equity investments	1,346	1,310
Total	1,346	1,310

14.2 Equity instruments: breakdown and annual changes

No such instruments are present within the Group.



Other information

1 Commitments and financial guarantees given

Nominal Amount	31 12 2021				Total	Total 31 12 2020
	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired		
Irrevocable commitments to disburse funds	32,896,876	966,426	454,198	6,894	34,324,394	34,745,257
a) Central banks	6	-	-	-	6	6
b) Public entities	993,603	-	1,784	-	995,387	1,354,401
c) Banks	1,281,722	-	6,292	-	1,288,014	1,225,330
d) Other financial companies	7,927,116	9,542	12,706	-	7,949,364	6,852,872
e) Non-financial companies	20,371,433	843,126	412,823	6,894	21,634,276	22,674,862
f) Families	2,322,996	113,758	20,593	-	2,457,347	2,637,786
Financial guarantees given to	4,824,950	593,563	181,902	2,355	5,602,770	5,261,127
a) Central Banks	60	-	-	-	60	60
b) Public entities	22,546	15,358	-	-	37,904	40,684
c) Banks	721,694	-	701	-	722,395	567,481
d) Other financial companies	152,972	4,028	891	-	157,891	159,991
e) Non-financial companies	3,849,937	565,171	177,261	2,355	4,594,724	4,381,974
f) Families	77,741	9,006	3,049	-	89,796	110,937
Total	37,721,826	1,559,989	636,100	9,249	39,927,164	40,006,384

2 Other commitments and guarantees given

	Nominal value	
	31 12 2021	31 12 2020
Other guarantees given to	264,410	1,921,166
a) Central Banks	-	-
b) Public entities	-	-
c) Banks	-	20,965
d) Other financial companies	264,410	1,900,201
e) Non-financial companies	-	-
f) Families	-	-
Other commitments	733,646	990,344
<i>of which: non-performing exposures</i>	-	-
a) Central Banks	-	-
b) Public entities	-	-
c) Banks	-	-
d) Other financial companies	-	-
e) Non-financial companies	733,646	990,344
f) Families	-	-
Total	998,056	2,911,510



The table shows, at the line “Other guarantees given”, the maximum risk resulting from the failure to comply with the representations and warranties issued by the Group in the context of the transactions for derisking of non-performing loans, almost entirely maturing during 2021.

3 Assets pledged as collateral for liabilities and commitments

Portfolios	31 12 2021	31 12 2020
1. Financial assets measured at fair value through profit or loss	2,400,849	4,027,292
2. Financial assets measured at fair value through other comprehensive income	4,944,481	4,736,315
3. Financial assets measured at amortised cost	44,810,904	43,533,728
4. Tangible assets	-	-
<i>of which: tangible assets that constitute inventories</i>	-	-

The table summarises the assets pledged by the Group as collateral for its liabilities, mainly represented by repurchase agreements. The amount in line “3. Financial assets measured at amortised cost” includes approx. EUR 22.6 bn related to mortgage loans transferred to the vehicles MPS Covered Bond S.r.l. MPS Covered Bond 2 S.r.l. under the two programs for the issue of covered bonds and approximately EUR 10.6 bn relative to mortgage loans granted with guarantee at the Eurosystem (ABACO).



4 Investments in unit-linked and index-linked policies: breakdown

The Group does not hold any such investments since no company of the Group issues insurance policies.

5 Asset management and trading on behalf of third parties

	Amount 31 12 2021
1. Trading of financial instruments on behalf of third parties	
a) Purchases	8,873,175
1. Settled	8,859,211
2. Unsettled	13,964
b) Sales	8,818,777
1. Settled	8,802,690
2. Unsettled	16,087
2. Asset management accounts	-
a) individual	3,266,196
b) collective	-
3. Custody and administration of securities	-
a) third party securities on deposit associated with custodian bank transactions (excluding asset management)	-
1. Securities issued by companies included in consolidation	-
2. Other securities	-
b) Other third party securities on deposit (excluding asset management)	46,817,136
1. Securities issued by companies included in consolidation	76,144
2. Other securities	46,740,992
c) third party securities deposited with third parties	41,200,820
d) own securities deposited with third parties	21,858,345
4. Other transactions	22,861,668



6 Financial assets subject to offsetting, enforceable master netting arrangements and similar agreements.

Type	Gross amount of financial assets (a)	Amount of financial liabilities offset in balance sheet (b)	Net amount of financial assets recognised in the balance sheet (c=a-b)	Related amounts not subject to balance sheet offsetting		Net amount (f=c-d-e) 31 12 2021	Net amount 31 12 2020
				Financial instruments (d)	Deposits of cash collateral received (e)		
1. Derivatives	4,988,987	2,739,430	2,249,557	1,601,423	569,963	78,171	133,816
2. Repurchase agreements	5,939,207	-	5,939,207	5,929,968	7,859	1,380	1,007
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31 12 2021	10,928,194	2,739,430	8,188,764	7,531,391	577,822	79,551	X
Total 31 12 2020	15,935,002	3,668,180	12,266,822	11,280,372	851,627	X	134,823

7 Financial liabilities subject to offsetting, enforceable master netting arrangements and similar agreements.

Type	Gross amount of financial liabilities (a)	Amount of financial assets offset in balance sheet (b)	Net amount of financial liabilities recognised in the balance sheet (c=a-b)	Related amounts not subject to balance sheet offsetting		Net amount (f=c-d-e) 31 12 2021	Net amount 31 12 2020
				Financial instruments (d)	Deposits of cash collateral received (e)		
1. Derivatives	5,335,634	2,739,430	2,596,204	867,704	1,709,987	18,513	899,805
2. Repurchase agreements	5,767,134	-	5,767,134	5,764,453	1,844	837	408
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31 12 2021	11,102,768	2,739,430	8,363,338	6,632,157	1,711,831	19,350	X
Total 31 12 2020	19,633,791	3,668,180	15,965,611	13,852,652	1,212,746	X	900,213

IFRS 7 requires disclosure of information for all financial instruments that:

- were offset in the balance sheet pursuant to IAS 32;
- could potentially be offset, given certain conditions, but presented in the balance sheet as open balances as they are governed by “framework offsetting agreements or similar agreements” which do not meet the criteria established in IAS 32 for offsetting.

The amount offset in the financial statements refers to trading in OTC derivatives managed through central counterparties of the subsidiary MPS Capital Services S.p.A. and the Parent Company.

For the purposes of reconciliation of the amounts shown in the column (c) “net amount of financial assets/liabilities recognised in the balance sheet” with the opening balances shown in “Part B – Information on the consolidated balance sheet”, it should be noted that:

- the amount related to both trading and hedging derivative financial instruments, aided by netting agreements or similar, is represented in asset items 20 a) “Financial assets held for trading” and 50 “Hedging derivatives” and in liability items 20 “Financial liabilities held for trading” and 40 “Hedging derivatives”;
- the amount related to repurchase agreements subject to netting agreements or similar is shown in line “Repurchase agreements/Reverse repurchase agreements” in the tables containing a breakdown of asset item 40 “Financial assets measured at amortised cost” and liability item 10 “Financial liabilities measured at amortised cost”.

It should also be noted that:



- with regard to securities lending transactions, in these tables transactions involving the payment of cash collateral fully owned by the lender are included in the item “Repurchase agreements”;
- the repurchase agreements are recognised in the tables at amortised cost, while the financial collateral and derivative transactions are reported at their fair value.

8 Securities lending transactions

As borrower, the Group does not have securities lending transactions guaranteed by other securities.

9 Information on joint control activities

This paragraph was not completed as no such activities are present within the Group.



Part C – Information on the consolidated income statement

Section 1 - Interest income/expense and similar revenues/charges - Items 10 and 20.....	359
Section 2 - Fee and commission income/expense - Items 40 and 50.....	362
Section 3 - Dividends and similar income - Item 70.....	366
Section 4 - Net profit (loss) from trading - Item 80.....	367
Section 5 - Net profit (loss) from hedging - Item 90.....	368
Section 6 - Gains/(losses) on disposal/repurchase - Item 100.....	369
Section 7 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss - Item 110.....	370
Section 8 - Net impairment (losses)/reversals for credit risk - Item 130.....	371
Section 9 - Modification gains/(losses) without derecognition - Item 140.....	372
Section 10 – Net premiums – Item 150.....	372
Section 11 – Other net insurance income/expense – Item 170.....	372
Section 12 - Administrative expenses - Item 190.....	372
Section 13 - Net provisions for risks and charges – Item 200.....	375
Section 14 - Net adjustments to/recoveries on property, plant and equipment - Item 210.....	376
Section 15 - Net adjustments to/recoveries on intangible assets - Item 220.....	377
Section 16 - Other operating expenses/income - Item 230.....	377
Section 17 - Gains (losses) on investments - Item 250.....	378
Section 18 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value - Item 260.....	379
Section 19 - Impairment of goodwill - Item 270.....	379
Section 20 – Gains (losses) on disposal of investments – Item 280.....	380
Section 21 – Income taxes from continuing operations – Item 300.....	380
Section 22 - Profit (loss) after tax from discontinued operations - Item 320.....	382
Section 23 – Profit (loss) attributable to non-controlling interests – Item 340.....	382
Section 24 – Other information.....	382
Section 25 - Earnings per Share (EPS).....	382



Section 1 - Interest income/expense and similar revenues/charges - Items 10 and 20

1.1 Interest income and similar revenues: breakdown

Item/Type	Debt securities	Loans	Other transactions	Total 31 12 2021	Total 31 12 2020
1. Financial asset measured at fair value through profit or loss	40,133	3,275	4,671	48,079	50,365
1.1 Financial asset held for trading	32,333	-	4,671	37,004	35,633
1.2 Financial assets designated at fair value	-	-	-	-	-
1.3 Financial assets mandatorily measured at fair value	7,800	3,275	-	11,075	14,732
2. Financial asset measured at fair value through other comprehensive income	35,074	-	X	35,074	29,136
3. Financial assets measured at amortised cost	132,753	1,401,267	X	1,534,020	1,734,311
3.1. Loans to banks	7,632	6,669	X	14,301	15,346
3.2 Loans to customers	125,121	1,394,598	X	1,519,719	1,718,965
4. Hedging derivatives	X	X	(78,484)	(78,484)	(52,702)
5. Other assets	X	X	7,520	7,520	11,476
6. Financial liabilities	X	X	X	351,181	202,523
Total	207,960	1,404,542	(66,293)	1,897,390	1,975,109
<i>of which interest income on credit impaired assets</i>	-	55,157	-	55,157	160,705
<i>of which interest income on financial leasing</i>	X	72,752	X	72,752	77,154

The amount shown in line “1. Financial assets held for trading”, in the “Other transactions” column, represents the positive net balance of spreads relating to derivatives connected with financial liabilities measured at fair value (fair value option).

Line 4 “Hedging derivatives”, in the “Other transactions” column, includes the spread related to hedging derivatives rectifying the interest income recognised on the hedged financial instruments.

The amount in line “5. Other assets”, in the “Other transactions” column, shows mainly interest income accrued on tax credits.

Line 6 “Financial liabilities” includes EUR 278.8 mln (EUR 129 mln at 31 December 2020) of interest accrued on longer-term financing transactions (ILTRO-III) calculated at 1% for the “special interest period” starting from 24 June 2020 until 23 June 2021 and for the additional special interest period from 24 June 2021 until 31 December 2021. For the accounting treatment relating to the recognition of interest for the period, reference is made to what is illustrated in the paragraph “Other relevant accounting treatments” contained in Part A of the Explanatory Notes.

Interest income, calculated for financial assets measured at amortised cost under the effective interest rate method, is entered in different columns based on the original ‘technical form’. The amount accrued during the year for positions that are classified as “non-performing” as at the reporting date totalled EUR 55.2 mln (EUR 160.7 mln as at 31 December 2020). Interest on arrears is posted to interest income only for the portion actually collected.

For a trend analysis of the concerned items, reference should be made to the Consolidated Report on Operations.



1.2 Interest income and similar revenues: other information

1.2.1 Interest income from financial assets denominated in foreign currency

Interest income from financial assets denominated in foreign currency for 2021 amounted to EUR 20.6 mln as compared to EUR 26.7 mln in 2020.

1.3 Interest expense and similar charges: breakdown

Items	Debts	Securities	Other transactions	Total 31 12 2021	Total 31 12 2020
1. Financial liabilities measured at amortised cost	(181,303)	(338,421)	-	(519,724)	(611,397)
1.1 Due to Central banks	(54)	X	X	(54)	(623)
1.2 Due to banks	(31,157)	X	X	(31,157)	(56,650)
1.3 Due to customers	(150,092)	X	X	(150,092)	(215,909)
1.4 Debt securities issued	X	(338,421)	X	(338,421)	(338,215)
2. Financial liabilities held for trading	-	-	-	-	-
3. Financial liabilities designated at fair value	-	(5,842)	-	(5,842)	(7,324)
4. Other liabilities	X	X	(274)	(274)	(27)
5. Hedging derivatives	X	X	18,253	18,253	26,130
6. Financial assets	X	X	X	(172,755)	(111,045)
Total	(181,303)	(344,263)	17,979	(680,342)	(703,663)
<i>of which interest expense on leasing liabilities</i>	<i>(5,723)</i>	<i>X</i>	<i>X</i>	<i>(5,723)</i>	<i>(6,416)</i>

Lines “1.2 Due to banks” and “1.3 Due to customers”, in the “Debts” column, include interest on payables under repurchase agreements on: treasury securities recognised in the balance sheet or securities not recognised in the balance sheet obtained through repo transactions or from self-securitisations without derecognition.

Line “1.4 Debt securities issued” indicates the interest expense accrued during the year on bonds and certificates of deposit valued at amortised cost.

Line 5 “Hedging derivatives”, in the “Other transactions” column, includes the spread related to hedging derivatives rectifying the interest income recognised on the hedged financial instruments.

Line 6 “Financial assets” amounting to EUR 172.7 mln (EUR 111.0 mln as at 31 December 2020) shows the negative interest accrued on financial assets and includes EUR 92.9 mln (EUR 39.4 mln as at 31 December 2020) relating to the negative remuneration of the reserves excess with respect to the compulsory reserve deposited with the Eurosystem.

For a trend analysis of the concerned items, reference should be made to the Consolidated Report on Operations.



1.4 Interest expense and similar charges: other information

1.4.1 Interest expense on liabilities denominated in foreign currency

Interest expense on financial liabilities denominated in foreign currency for 2021 amounted to EUR 1.8 mln as compared to EUR 2.5 mln in 2020.

1.5 Spreads on hedging transactions

Items	Total	Total
	31 12 2021	31 12 2020
A. Positive spreads on hedging transactions	36,723	70,385
B. Negative spreads on hedging transactions	(96,953)	(96,957)
C. Balance (A+B)	(60,230)	(26,572)

In line with its hedging objectives and consequent minimisation of risks in the banking book, the Group carries out both fair value and cash flow hedging transactions.



Section 2 - Fee and commission income/expense - Items 40 and 50

2.1 Fee and commission income: breakdown

Type of service/Amount	Total 31 12 2021	Total 31 12 2020*
a) Financial instruments	123,130	119,964
1. Placement of securities	30,275	33,748
1.1 Underwriting on the basis of an irrevocable commitment	26,773	26,241
1.2 without irrevocable commitment	3,502	7,507
2. Reception and transmission of orders	27,446	28,269
2.1 Reception and transmission of orders of financial instruments	24,119	25,480
2.2 Execution of orders on behalf of customers	3,327	2,789
3. Other commission income related to activities linked to financial instruments	65,409	57,948
<i>of which: proprietary trading</i>	23,917	21,616
<i>of which: individual portfolio management</i>	41,481	36,332
b) Corporate Finance	23,754	22,808
1. M&A fees	5,244	6,605
2. Treasury services	6,045	5,232
3. Other fees and commission income related to Corporate finance activities	12,465	10,970
c) Investment advisory activities	8,358	7,394
d) Clearing and settlement	-	-
e) Collective portfolio management	41	-
f) Custody and administration of securities	6,052	7,152
1. Custodian bank	-	-
2. Other fees and commission income related to Custody and administration activities	6,052	7,152
g) Central administrative services for collective portfolio management	-	-
h) Trustee business	2,009	2,399
i) Payment services	494,225	486,988
1. Current account	233,126	241,974
2. Credit cards	67,378	64,890
3. Debit cards and other card payments	67,351	62,012
4. Transfers and other payment orders	59,973	56,086
5. Other fees and commission income related to payment services	66,397	62,025
j) Distribution of third-party services	705,392	588,524
1. Collective portfolio management	365,212	285,693
2. Insurance products	241,843	223,959
3. Other products	98,337	78,873
<i>of which: individual portfolio management</i>	2	-
k) Structured finance	-	-
l) Securitisation servicing activities	324	511
m) Loans commitments given	179,118	199,095
n) Financial guarantees	45,440	48,319
<i>of which: credit derivatives</i>	-	-
o) Lending transactions	57,739	65,120
<i>of which: factoring services</i>	12,417	9,559
p) Currency trading	4,776	4,001
q) Commodities	-	-
r) Other fees and commission income	46,254	43,466
<i>of which: management of foreign multilateral trading facilities</i>	-	-
<i>of which: management of organized trading systems</i>	-	-
Total	1,696,612	1,595,743

* The comparative data have been restated to take into account the indications envisaged by the 7th update of Circular 262 of the Bank of Italy



For an analysis of the fee and commission income and for the disclosure on disaggregation of revenues, as required by IFRS 15.114-115, the table below shows the trend in fees and commissions for each of the operating segments identified, for the services rendered and according to geographic area served.

SEGMENT REPORTING Primary segment	Operating Segments			Corporate Center	Total Montepaschi Group
	Retail banking	Wealth Management	Corporate banking		
	31/12/21	31/12/21	31/12/21	31/12/21	31/12/21
Assets under management fee	607,118	112,318	23,746	-	743,181
Product placement	237,479	10,770	5,754	-	254,003
Continuing fees	296,697	94,790	8,521	-	400,008
Placement of securities	33,411	6,533	1,735	-	41,679
Sales of Protection	39,531	224	7,736	-	47,491
Fee and commissions from traditional activities	367,876	6,400	524,092	-	898,367
Credit fees	79,924	1,828	311,440	-	393,192
Fees from foreign service	4,628	200	49,024	-	53,851
Fee from other services	283,324	4,372	163,628	-	451,325
Other fee and commission income	15,497	5,836	44,512	(10,782)	55,063
Net fees and commission income	990,491	124,553	592,350	(10,782)	1,696,612

43.5% of the Group's income from fees and commissions by Business Segment derives from products (management, placement and custody), 23.0% from loans (granting and utilisation) and 33.4% from services (account maintenance, payments, etc.). More specifically, 61.3% of Retail banking fee and commission income is attributable to product fees and commissions, 8.1% to income from loans and 30.6% to fees and commissions on services. Wealth Management commission income essentially refers to the product component (90.2%); on the other hand, Corporate banking fee and commission income is mainly concentrated on the credit (52.6%) and services (43.4%) components.

Fee and commission income is broken down based on the following geographical segmentation:

	North	Centre	South	Foreign countries	Total Montepaschi Group
	31 12 2021	31 12 2021	31 12 2021	31 12 2021	31 12 2021
Assets under management fee	339,964	272,781	129,129	1,307	743,181
Product placement	107,170	97,993	48,840	-	254,003
Continuing fees	193,022	144,054	61,819	1,114	400,008
Placement of securities	19,523	14,610	7,353	193	41,679
Sales of Protection	20,249	16,125	11,117	-	47,491
Fee and commissions from traditional activities	321,353	384,870	186,506	5,638	898,367
Credit fees	142,292	179,933	66,915	4,052	393,192
Fees from foreign service	24,681	23,096	6,062	12	53,851
Other services	154,380	181,840	113,530	1,574	451,325
Other fee and commission income	12,856	30,099	7,765	4,344	55,063
Net fees and commission income	674,173	687,750	323,400	11,289	1,696,612

The disclosure for performance obligations is provided for the main services offered by Group companies, in accordance with IFRS 15.113 and 15.119:

- collection and payment services, including the offer to customers of credit and debit cards issued by the Parent Company. For this services, the customer pays, for several products and services associated to the card, an annual fee in advance for the administrative management of the card, recognised over time, as well as fees calculated on the individual transactions linked to the card's configuration, which, if not included in the annual fee, are recognised at a point in time as linked to the individual performance obligation carried out at a specific time; collection and payment services also include all foreign currency trading services, as well as other generic collection services that entail the collection of fees against the performance obligation made at consumption and recognised at a point in time;



- administration of current accounts: this category includes fees received for various products offered to customers, which may include a periodic fee for the current account management service that may or may not include a package of services, as well as fees received on individual transactions performed by customers that are not included in the annual fee. The first type of fee is structured as a performance obligation over time, while the second, as it relates to services performed at a specific time and compensated separately from the quarterly fee, are structured as a performance obligation performed at a point in time;
- distribution of third-party products and services based on partnership agreements with external counterparties, for which placement commissions are collected, recorded at a point in time as they are compensation for the intermediation performance obligation provided by the Parent Company, and continuing commissions connected to the administrative management of the customer in the network, recorded over time, as they represent compensation for the performance obligation rendered over the course of the investment's duration. Some distribution agreements also include variable commissions (Rappel), recognised by external counterparties upon achieving certain annual placement volumes envisaged in the distribution agreements. Based on the various contractual provisions and in accordance with provisions contained in IFRS 15, if conditions apply in the interim periods, analyses are carried out in order to determine if there are conditions that allow the advance accounting of the revenue or a portion thereof. The advance recognition is carried out exclusively if it is highly likely that, once the uncertainty has been resolved, there is no downward adjustment of the recorded amount. Lastly, some contracts contain claw-back clauses, which entail, in the event certain conditions apply, the full or partial reimbursement of placement commissions previously recognised upon execution of the initial performance obligation (i.e. point in time): in this case, the claw-back clause represents a variable component of the transaction price, since the amount recognised upon product placement is not definitive, but will depend on future events that are beyond the control of the Parent Company. In such situations the amount of the commissions that could potentially be subject to restitution is estimated, charging the amount that is expected to be returned to the third party to a specific risk provision; the income that is posted to the income statement is equal to the amount recognised against the performance obligation for the placement activity carried out during the year, net of the amount set aside in the provision;
- individual portfolio management, in the context of assets linked to financial instruments, which mainly include management fees, calculated with a percentage proportional to the assets under management, recognised over time as they compensate a service rendered over time;
- complex financial services via the subsidiary MPS Capital Services, including consultancy, advisory/asseveration/underwriting and order collection. The contracts may provide for various types of fees and commissions associated with the various services offered by the Company. Some of these are linked to activities performed throughout the contract's duration (over time) and paid by the customer regardless of the outcome of the activities, while others are services for which the customer pays only if certain identified events occur, therefore, they are connected to services provided by the Company at a specific point in time. The first type of fee, associated with a performance obligation over time, is recognised throughout the contract's duration, while the second is recorded when the event occurs, as it represents compensation for a performance obligation carried out at a point in time;
- fiduciary services to customers via subsidiary MP Fiduciaria, including the confidential administration of money, financial instruments and unlisted equity investments, fiduciary mandates for guarantee purposes, family portfolio settlements and the intergenerational transfer of wealth. Since they are linked to performance obligations that are protracted and repeated over time, the fees for fiduciary services are measured over time for continuing commissions. Instead, commissions for opening the relationship are recognised at a point in time.

With regard to the breakdown in revenues (IFRS 15.116-118), it should be noted that EUR 2.3 mln was recorded as the adjustment price component accrued during the year on commissions collected for placement of third-party services carried out by the Parent Company in the previous year.

This line includes the reversal of revenues for EUR 14.2 mln made against the set-up of a risk provision pursuant to IFRS 15, in consideration of the claw-back clauses present in a third-party product placement contract.



2.1.a Fee and commission income: distribution channels of products and services

Channel/Sectors	31 12 2021	31 12 2020
a) Group branches	674,222	593,853
1. portfolio management	36,895	31,949
2. placement of securities	2,140	5,115
3. third party services and products	635,187	556,789
b) "Door-to-door" sales	68,740	56,986
1. portfolio management	4,586	4,388
2. placement of securities	177	358
3. third party services and products	63,977	52,240
c) Other distribution channels	34,185	27,957
1. portfolio management	-	-
2. placement of securities	27,958	19,968
3. third party services and products	6,227	7,989

2.2 Fee and commission expense: breakdown

Type of service/Amount	Total 31 12 2021	Total 31 12 2020*
a) Financial instruments	(15,427)	(12,862)
<i>of which: trading in financial instruments</i>	(15,427)	(12,277)
<i>of which: placement of financial instruments</i>	-	-
<i>of which: individual portfolio management</i>	-	(585)
- own portfolio	-	-
- third-party portfolio	-	(585)
b) Clearing and settlement	(5,584)	(5,899)
c) Collective portfolio management	-	-
- own portfolio	-	-
- third-party portfolio	-	-
d) Custody and administration	(4,712)	(4,705)
e) Collection and payment services	(64,713)	(56,439)
<i>of which: credit card, debit card and other payments cards</i>	(44,045)	(30,576)
f) Securitisation servicing activities	-	-
g) Loans commitment	-	-
h) Financial guarantees received	(35,788)	(5,993)
<i>of which: credit derivatives</i>	-	-
i) Door-to-door sales of financial instruments, products and services	(57,099)	(45,066)
l) Currency trading	-	(1)
m) Other commission expenses	(29,191)	(71,777)
Total	(212,514)	(202,741)

* The comparative data have been restated to take into account the indications envisaged by the 7th update of Circular 262 of the Bank of Italy



In line “e) collection and payment services” the increase is mainly due to the stipulation of contracts for the outsourcing of administrative servicing relating to card management.

Line “h) Financial guarantees received” includes commissions of EUR 26.7 mln paid by the Group for the purchase of credit risk protection as part of the existing synthetic securitisations.

Line “i) Door-to-door sale of financial instruments, products and services” includes fees and commissions paid to financial advisors of the Group.

For a trend analysis of the concerned items, reference should be made to the Consolidated Report on Operations.

Section 3 - Dividends and similar income - Item 70

3.1 Dividends and similar income: breakdown

Item/Income	31 12 2021			31 12 2020		
	Dividends	Similar Income	Total	Dividends	Similar Income	Total
A. Financial assets held for trading	4,125	531	4,656	916	632	1,548
B. Other financial assets mandatorily measured at fair value	-	18	18	47	-	47
C. Financial assets measured at fair value through other comprehensive income	9,043	-	9,043	8,669	-	8,669
D. Investments	-	-	-	-	-	-
Total	13,168	549	13,717	9,632	632	10,264

The table shows the amount of dividends received on shares traded within the trading book and non-controlling interest classified in the portfolio of “Financial assets measured at fair value through other comprehensive income”. Conversely, dividends relating to the Group’s subsidiaries and associates, consolidated line-by-line or under the equity method, are excluded.

Line “C. Financial assets measured at fair value through other comprehensive income” include the dividend of EUR 8.5 mln (EUR 8.7 mln at 31 December 2020) collected on the investment in the Bank of Italy.



Section 4 - Net profit (loss) from trading - Item 80

4.1 Net profit (loss) from trading: breakdown

Transactions / P&L items	Capital gains	Trading Profits	Capital losses	Trading Losses	Net Profit (Loss)	
					31 12 2021	31 12 2020
1. Financial assets held for trading	14,467	116,160	(71,611)	(115,743)	(56,727)	(3,573)
1.1 Debt securities	4,269	87,640	(68,091)	(106,615)	(82,797)	10,112
1.2 Equity instruments	6,849	26,506	(3,269)	(8,452)	21,634	(12,428)
1.3 Units of UCITS	3,349	1,687	(251)	(456)	4,329	(1,385)
1.4 Loans	-	-	-	-	-	-
1.5 Other	-	327	-	(220)	107	128
2. Financial liabilities held for trading	64,493	75,149	(2,063)	(34,065)	103,514	(51,317)
2.1 Debt securities	64,438	74,985	(56)	(31,376)	107,991	(47,447)
2.2 Deposits	-	-	-	-	-	-
2.3 Other	55	164	(2,007)	(2,689)	(4,477)	(3,870)
3. Other financial assets and liabilities: exchange differences	X	X	X	X	14,691	21,676
4. Derivatives	1,109,865	4,611,015	(1,123,036)	(4,630,663)	(41,709)	67,183
4.1 Financial derivatives:	1,107,527	4,520,140	(1,096,286)	(4,574,951)	(52,460)	78,379
- on debt securities and interest rates	1,001,066	3,697,376	(943,345)	(3,812,699)	(57,602)	(35,068)
- on equity instruments and stock indices	46,031	508,039	(90,756)	(431,960)	31,354	52,577
- on currency and gold	X	X	X	X	(8,890)	28,503
- other	60,430	314,725	(62,185)	(330,292)	(17,322)	32,367
4.2 Credit derivatives	2,338	90,875	(26,750)	(55,712)	10,751	(11,196)
<i>of which natural hedging connected with the fair value option</i>	X	X	X	X	-	-
Total	1,188,825	4,802,324	(1,196,710)	(4,780,471)	19,769	33,969

“Capital Gains” and “Capital Losses” also include the results of the measurement of derivatives connected operationally with financial liabilities measured at fair value through profit and loss (FVO).

The impact on this item deriving from the application of the Credit Value Adjustment (CVA) on OTC derivatives is a positive EUR 5.3 mln; likewise, the application of the Debt Value Adjustment (DVA) on OTC derivatives entailed a negative impact of EUR 2.7 mln.

The breakdown of write-downs and trading losses due to assets with poor credit quality of the debtor (issuer or counterparty) is provided below.

	31 12 2021		31 12 2020	
	Capital Losses	Trading Losses	Capital Losses	Trading Losses
Debt securities	-	-	-	375
Derivatives	-	-	1,598	-



Section 5 - Net profit (loss) from hedging - Item 90

5.1 Net profit (loss) from hedging: breakdown

P&L items/Values	Total 31 12 2021	Total 31 12 2020
A. Gains on:		
A.1 Fair value hedging instruments	575,074	136,778
A.2 Hedged financial assets (fair value)	165,684	574,341
A.3 Hedged financial liabilities (fair value)	88,910	33,864
A.4 Cash-flow hedging derivatives	-	-
A.5 Assets and liabilities denominated in foreign currency	-	-
Total gains on hedging activities (A)	829,668	744,983
B. Losses on:	251,383	614,621
B.1 Fair value hedging instruments	251,383	614,621
B.2 Hedged financial assets (fair value)	565,720	64,222
B.3 Hedged financial liabilities (fair value)	-	63,520
B.4 Cash-flow hedging derivatives	-	-
B.5 Assets and liabilities denominated in foreign currency	-	-
Total losses on hedging activities (B)	817,103	742,363
C. Net profit (loss) from hedging activities (A - B)	12,565	2,620
<i>of which: hedging result on Net position</i>	-	-

For information on hedging derivatives, the gains and losses on which are indicated in lines A.1 and A.4, B.1 and B.4 of this table, see Section 5 “Hedging derivatives – Item 50” of the Assets and Section 4 “Hedging derivatives – Item 40” of the liabilities in Part B of these Notes to the financial statements.

More information on hedged assets and liabilities can be found in the tables in Part B of the notes for each section of the accounts to which hedges are posted.



Section 6 - Gains/(losses) on disposal/repurchase - Item 100

6.1 Gains (losses) on disposal/repurchase: breakdown

Items / P&L items	Total 31 12 2021			Total 31 12 2020		
	Gains	Losses	Net Profit (Loss)	Gains	Losses	Net Profit (Loss)
Financial assets						
1. Financial assets measured at amortised cost	127,829	(4,492)	123,337	125,650	(12,185)	113,465
1.1 Loans to banks	5	(148)	(143)	-	-	-
1.2 Loans to customers	127,824	(4,344)	123,480	125,650	(12,185)	113,465
2. Financial assets measured at fair value through other comprehensive income	14,000	(2,567)	11,433	4,744	(4,570)	174
2.1 Debt securities issued	14,000	(2,567)	11,433	4,744	(4,570)	174
2.2 Loans	-	-	-	-	-	-
Total assets (A)	141,829	(7,059)	134,770	130,394	(16,755)	113,639
Financial liabilities measured at amortised cost						
1. Due to banks	228	(228)	-	102	(1,000)	(898)
2. Due to customers	-	-	-	-	-	-
3. Debt securities issued	5,073	-	5,073	5,783	(21)	5,762
Total liabilities (B)	5,301	(228)	5,073	5,885	(1,021)	4,864

The Gains column of item Financial assets measured at amortised cost, Line 1.2 Loans to customers refers, for EUR 0.1 mln to loans and for EUR 127.7 mln to debt securities; the Losses column of the same item refer almost fully to loans.



Section 7 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit or loss - Item 110

7.1 Net changes in other financial assets and liabilities measured at fair value through profit or loss: breakdown of financial assets and liabilities measured at fair value

Transaction/P&L items	Capital Gains	Realized profits	Capital losses	Realized losses	Net Profit (loss)	
					31 12 2021	31 12 2020
1. Financial assets	-	2,974	-	(67)	2,907	-
1.1 Debt securities issued	-	2,974	-	(67)	2,907	-
1.2 Equity instruments	-	-	-	-	-	-
2. Financial liabilities	10,123	654	-	(4,722)	6,055	195
2.1 Debt securities issued	10,123	654	-	(4,722)	6,055	195
2.2. Due to banks	-	-	-	-	-	-
2.3. Due to customers	-	-	-	-	-	-
3. Financial assets and liabilities in foreign currency: exchange differences	X	X	X	X	-	-
Total	10,123	3,628	-	(4,789)	8,962	195

The item includes solely the profit, loss, capital gains and capital losses from structured fixed-rate debt securities included in the fair value option. The balances of the economic valuations of derivatives through which said securities are subject to natural hedging are instead recognised under item 80 "Net profit (loss) from trading".

Note that the changes in fair value due to changes in own creditworthiness are recognised under other revenue items without reversal to the income statement.

7.2 Net changes in other financial assets and liabilities measured at fair value through profit and loss: breakdown of other financial assets mandatorily measured at fair value

Transaction/P&L items	Capital Gains	Realized profits	Capital Losses	Realized losses	Net Profit (loss)	
					31 12 2021	31 12 2020
1. Financial assets						
1.1 Debt securities issued	8,705	-	(57,786)	-	(49,081)	(4,320)
1.2 Equity instruments	251	45	(2,722)	-	(2,426)	1,475
1.3 Units of UCITS	17,054	11	(2,719)	(75)	14,271	(4,453)
1.4 Loans	1,599	13	(11,675)	-	(10,063)	(879)
2. Other financial assets: exchange differences	X	X	X	X	6,178	(6,638)
Totale	27,609	69	(74,902)	(75)	(41,121)	(14,815)

Line "1.1 Financial assets - Debt securities issued" includes in the "Capital gains" column the revaluation of certain equity financial instruments in full and in the "Losses" column mainly the valuation effects on exposures held in own securitisations and also those of third parties.

In line 1.2 "Financial assets - Equity securities", the column "Capital loss" equal to EUR 2.7 mln includes EUR 2.5 mln referring to the full impairment of the indirect investment in Banca Carige shares, which falls in the contributions to the FITD Voluntary Scheme.

The net result, corresponding to line "1.3 financial assets - UCITS units", includes revaluations of EUR 17.04 mln attributable for EUR 8.4 mln to the revaluation of the NPE Idea CRR I, II and new finance, Efesto and Back2Bonis credit funds, - classified in fair value level 3 - partly due to the revision of the discount rate used and for EUR 8.6 mln to revaluations of other investment funds.

Line "1.4 Financial assets - Loans" includes, in the "Capital losses" column, the write down of loans classified as "unlikely to pay".



Section 8 - Net impairment (losses)/reversals for credit risk - Item 130

8.1 Net impairment (losses)/reversals for credit risk on financial assets measured at amortised cost: breakdown

Transaction/P&L items	Net impairment (losses)						Reversals					Total 31 12 2021	Total 31 12 2020
	Stage 1	Stage 2	Stage 3		Purchased or originated credit impaired		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired			
			Write-off	Others	Write-off	Others							
A. Loans to banks	(2,634)	-	-	(317)	-	-	3,966	7	-	-	1,022	(1,155)	
- Loans	(2,614)	-	-	(317)	-	-	3,406	7	-	-	482	(837)	
- Debt securities	(20)	-	-	-	-	-	560	-	-	-	540	(318)	
B. Loans to customers	(36,276)	(150,687)	(16,571)	(610,285)	-	(3,977)	169,044	166,504	278,676	6,130	(197,442)	(748,181)	
- Loans	(34,104)	(150,687)	(16,571)	(610,285)	-	(3,977)	165,404	166,504	278,676	6,130	(198,910)	(743,668)	
- Debt securities	(2,172)	-	-	-	-	-	3,640	-	-	-	1,468	(4,513)	
C. Total	(38,910)	(150,687)	(16,571)	(610,602)	-	(3,977)	173,010	166,511	278,676	6,130	(196,420)	(749,336)	

8.1a Net impairment (losses)/reversals for credit risk on loans measured at amortised cost object of COVID-19 support measures: breakdown

Transactions/ P&L items	Net impairment (losses)						Total 31 12 2021	Total 31 12 2020
	Stage 1	Stage 2	Stage 3		Purchased or originated credit impaired			
			Write-off	Others	Write-off	Others		
1. EBA-compliant moratoria (legislative and non-legislative)	740	294	-	(1,704)	-	-	(670)	(96,442)
2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	4,838	(1,242)	-	(13,193)	-	-	(9,597)	-
3. 3. Loans subject to other forbearance measures	169	(11,929)	-	(16,902)	-	-	(28,662)	(21,584)
4. Newly Originated Loans	(1,367)	(17,615)	-	(21,515)	-	-	(40,497)	(7,508)
Total 31 12 2021	4,380	(30,492)	-	(53,314)	-	-	(79,426)	X
Total 31 12 2020	1,814	(90,877)	(152)	(36,437)	-	117	X	(125,534)

8.2 Net impairment (losses)/reversals on financial assets measured at fair value through other comprehensive income: breakdown

Transactions/ P&L items	Net impairment (losses)						Reversals				Total 31 12 2021	Total 31 12 2021
	Stage 1	Stage 2	Stage 3		Purchased or originated credit impaired		Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired		
			Write-off	Others	Write-off	Others						
A. Debt securities issued	(776)	(21)	-	-	-	-	3,387	260	-	-	2,850	158
B. Loans	-	-	-	-	-	-	-	-	-	-	-	-
- to banks	-	-	-	-	-	-	-	-	-	-	-	-
- to customers	-	-	-	-	-	-	-	-	-	-	-	-
Total	(776)	(21)	-	-	-	-	3,387	260	-	-	2,850	158

8.2.a Net impairment (losses)/reversal for credit risk on loans measured at fair value through other comprehensive income object of COVID-19 support measures: breakdown

This table has not been completed as the Group has no investments of this type.



Section 9 - Modification gains/(losses) without derecognition - Item 140

9.1 Modification gains/(losses): breakdown

This item, negative for EUR 7.6 mln as at 31 December 2021 (negative for EUR 18.8 mln as at 31 December 2020) includes the impacts related to contractual changes on medium/long term loans to customers which, without any substantial change, according to the provisions of IFRS 9, as well as the Group's accounting regulations, do not entail accounting derecognition of the assets but rather the recognition to profit and loss of the changes made to the contractual cash flows. The balance as at 31 December 2021 refers for EUR 4.7 mln to the effects of the moratoria granted under COVID-19. For further details, see Part A.2 - Par. paragraph 16 - "Other information - Renegotiations" and paragraph "Contractual changes deriving from COVID-19" in these Notes to the consolidated financial statements.

Section 10 – Net premiums – Item 150

10.1 Net premiums: breakdown

The section was not completed, as net premiums do not exist in the Group either in the current or in the previous year.

Section 11 – Other net insurance income/expense – Item 170

The tables of this section were not completed because there is no other net insurance income/expense in the Group, either in the current or in the previous year.

Section 12 - Administrative expenses - Item 190

12.1 Personnel expenses: breakdown

Type of Expense / Area	Total 31 12 2021	Total 31 12 2020
1. Employees	(1,445,047)	(1,519,518)
a) wages and salaries	(1,036,722)	(1,019,408)
b) social-welfare charges	(282,820)	(275,709)
c) severance pay	(65,628)	(65,220)
d) social security expenses	-	-
e) provision for staff severance pay	(1,009)	(813)
f) pension fund and similar obligations:	(620)	(654)
- defined contribution	(622)	(601)
- defined benefit	2	(53)
g) contributions to external pension funds:	(24,039)	(31,154)
- defined contribution	(24,039)	(23,910)
- defined benefit	-	(7,244)
h) costs related to share-based payments	3	4
i) other employee benefits	(34,212)	(126,564)
2. Other staff	20,677	18,075
3. Directors and Statutory Auditors	(2,888)	(2,780)
4. Retired personnel	(4,472)	(4,512)
Total	(1,431,730)	(1,508,735)

Line "f) pension fund and similar obligations" includes amounts set aside for internal funds, while line "g) contributions to external pension funds" includes contributions paid and adjustments made to external pension funds.

Line "h) costs related to share-based payments" reflects the reduction in provisions for performance shares assigned to the Group's "key employees" with regard to incentive plans in effect for the previous years.



Line “i) other employee benefits” of the 2020 financial year includes the provision recognised for the early retirement incentives/solidarity fund pursuant to the agreement of 6 August 2020 entered into with the trade unions, for EUR 93.6 mln.

Line 2 “Other staff” includes approximately EUR 17.3 mln as at 31 December 2021 relating to Fruendo and due to the reinstatement and subsequent secondment of some employees in 2020 (EUR 17 mln as at 31 December 2020) and EUR 4.6 mln relating to AMCO (EUR 0.5 mln as at 31 December 2020) for the recovery of the cost of seconded employees following the demerger that took place with effect from 1 December 2020.

12.2 Average number of employees by category

Category / Average Number	31 12 2021	31 12 2020
Employees:	20,309	20,400
a) executives	235	247
b) middle managers	8,101	8,145
c) remaining staff	11,973	12,008
Other personnel	10	3
Total	20,319	20,403

12.3 Defined benefit company pension funds: costs and revenues

Items/Amounts	31 12 2021			31 12 2020		
	Defined benefit company pension funds		Provision for staff severance pay	Defined benefit company pension funds		Provision for staff severance pay
	Internal pension plan	External pension plan		Internal pension plan	External pension plan	
Interest income/expense	4	-	(980)	(49)	(1)	(790)
Current service cost and gains (losses) arising from settlements [°]	(2)	-	(27)	(4)	-	(22)
Past service cost	-	-	-	-	(133)	-
Gains (losses) arising from settlements ^{°°}	-	-	-	-	-	-
Other operating costs	-	-	(2)	-	(7,110)	(1)
Total	2	-	(1,009)	(53)	(7,244)	(813)

[°] Pursuant to par. 100 of IAS 19, note that the past service cost and the amount of gains and losses arising from settlements need not be distinguished if they occur together.

^{°°} Only in the event of settlement not set out in the terms of the plan.

12.4 Other employee benefits

No information to report pursuant to sections 53, 158 and 171 of IAS 19.



12.5 Other administrative expenses: breakdown

Items/Amounts	31 12 2021	31 12 2020
Stamp duties	(172,678)	(166,058)
Indirect taxes and duties	(26,826)	(30,015)
Municipal real estate property tax	(21,373)	(23,621)
Property rentals	(2,349)	(2,722)
Cleaning service contracts	(26,243)	(32,524)
Insurance	(41,329)	(47,453)
Sundry lease payment and Rentals r	(113,783)	(118,971)
Remuneration of external professionals	(82,373)	(133,356)
Third-party data processing	(31,428)	(36,672)
Lease of equipment	(17,372)	(17,232)
Utilities	(21,806)	(28,332)
Maintenance of properties (used in the business)	(38,230)	(35,835)
Postage	(11,954)	(22,392)
Advertising, sponsorships and promotions	(3,459)	(5,448)
Membership dues	(3,208)	(3,298)
Reimbursement of employee car and travel expenses	(999)	(1,732)
Security services	(7,557)	(8,557)
Software	(63,524)	(58,504)
Expenses for personnel training	(3,542)	(3,784)
Corporate entertainment expenses	(364)	(810)
Expenses for non-rented investment real estate	(147)	(179)
Printing and stationery	(3,128)	(7,981)
Telephone, telefax and telegraph	(7,710)	(8,422)
Transportation	(16,539)	(23,652)
Sundry occupancy expenses and refunds for release of immovable property used in the business	(3,861)	(319)
Contributions Resolution Funds (SRF) and Deposits Guarantee Schemes (DGS)	(166,638)	(136,749)
DTA fee	(63,218)	(71,045)
Others	(18,277)	(16,474)
Total	(969,915)	(1,042,137)

The line “Sundry lease payments and rentals” includes EUR 75.6 mln (EUR 77.5 mln as at 31 December 2020) referring to costs for outsourced services regarding back office accounting and administrative activities related to the management and provision of specific services by the Group. These services entail decreasing considerations over the duration of the contract, against a constant volume of services received by the Group. In accordance with the accounting policies (see Part A, Other information - Costs for constant services and decreasing payments), the recognition of the afore-mentioned costs in the income statements follows a linear trend over the contract duration with the consequent necessity for the Group to recognise a prepayment. The cumulative figure as at 31 December 2021 amounted to EUR 230.5 mln (EUR 224.4 mln as at 31 December 2020) and is shown under item “Other assets”, line “Accrued income and prepaid expenses not attributable to its own separate item” of Part B of these Notes to the financial statements. The line also includes costs relating to short-term and low value lease contracts for EUR 3.2 mln (EUR 4.7 mln as at 31 December 2020).

Line “Contributions to resolution funds (SRF and NRD) and Deposit guarantee Systems (DGS)” of EUR 166.7 mln (EUR 136.7 mln as at 31 December 2020), includes charges linked to SRF for EUR 67.5 mln (EUR 58.2 mln as at 31 December 2020), to NRF for EUR 22.0 mln (EUR 18.4 mln as at 31 December 2020) and contributions paid to DGS for EUR 77.2 mln (EUR 60.1 mln as at 31 December 2020).



The line “DTA fee” includes the expenses related to the fee paid on DTAs that can be converted into tax credit as set forth in art. 11 of Law Decree no. 59 of 3 May 2016, converted into Law no. 119 of 30 June 2016.

The line “Compensation to external professionals”, equal to EUR 82.4 mln at 31 December 2021, shows a decrease of approximately EUR 51 mln compared to the previous year mainly due to the deconsolidation of the non-performing loans included in the “Hydra M” portfolio split at the end of 2020, and the loss of consultancy services for EUR 8.1 mln linked to the aforementioned demerger operation.

For a trend analysis of the remaining concerned items, reference should be made to the consolidated Report on Operations.

Section 13 - Net provisions for risks and charges – Item 200

13.1 Net provisions for credit risk relative to commitments to disburse funds and financial guarantees issued: breakdown

Transaction/P&L items	Stage 1	Stage 2	Stage 3	Total 31 12 2021	Total 31 12 2020
1) financial guarantees issued	(496)	(6,329)	(26,806)	(33,631)	(41,880)
Provision for the year	(4,164)	(8,857)	(32,380)	(45,401)	(50,708)
Write-backs	3,668	2,528	5,574	11,770	8,828
2) Commitments to disburse funds	15,074	(1,385)	26,474	40,163	57,249
Provision for the year	(4,291)	(4,398)	-	(8,689)	(5,806)
Write-backs	19,365	3,013	26,474	48,852	63,055
E. Totale	14,578	(7,714)	(332)	6,532	15,369

13.2 Net provisions relative to other commitments and guarantees issued: breakdown

Transaction/P&L items	Total 31 12 2021	Total 31 12 2020
1) financial guarantees issued	-	-
Provision for the year	-	-
Write-backs	-	-
2) Commitments to disburse funds	-	(10,652)
Provision for the year	-	(10,652)
Write-backs	-	-
E. Totale	-	(10,652)
<i>of which provision for Contributions Resolution Funds and Deposits Guarantee Schemes</i>	-	-



13.3 Other net provisions for risks and charges: breakdown

Items/Amount	31 12 2021			31 12 2020		
	Provisions for the year	Write-backs	Net Provisions	Provisions for the year	Write-backs	Net Provisions
Legal disputes	(240,655)	129,442	(111,213)	(606,988)	77,661	(529,327)
- cost	(240,634)	127,645	(112,989)	(606,988)	77,661	(529,327)
- discounting effect	(21)	1,797	1,776	-	-	-
Personnel expenses	(23,719)	10,935	(12,784)	(34,066)	17,094	(16,972)
Other risks and charges	(38,028)	63,051	25,023	(438,883)	11,901	(426,982)
Total	(302,402)	203,428	(98,974)	(1,079,937)	106,656	(973,281)

The provisions for the 2021 for:

- “Legal and tax disputes” are mainly linked to the dispute related to financial information disclosed in the 2008-2015 period;
- “Other risks and charges” include the valuations relating to the risks associated with the guarantees issued as part of the derisking of non-performing loans and to the risks relating to transactions with customers.

Section 14 - Net adjustments to/recoveries on property, plant and equipment - Item 210

14.1 Net adjustments to property, plant and equipment: breakdown

Assets / P&L items	Depreciation	Impairment losses	Recoveries	Net Profit (loss) 31 12 2021	Net Profit (loss) 31 12 2020*
A. Property, plant and equipment					
A.1 Used in the business	(132,060)	(2,139)	-	(134,199)	(159,147)
- Owned	(78,666)	-	-	(78,666)	(105,496)
- Leased	(53,394)	(2,139)	-	(55,533)	(53,651)
A.2 Held for investment	-	-	-	-	(294)
- used in the business	-	-	-	-	(294)
- Leased	-	-	-	-	-
3. Inventories	X	-	-	-	(1,262)
Total	(132,060)	(2,139)	-	(134,199)	(160,703)

* Comparative data were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).



Section 15 - Net adjustments to/recoveries on intangible assets - Item 220

15.1 Net adjustments to intangible assets: breakdown

Assets/P&L items	Depreciation	Impairment losses	Recoveries	Net profit (loss) 31 12 2021	Net profit (loss) 31 12 2020
A. Intangible assets					
<i>of which: software</i>	(65,303)	(1,138)	-	(66,441)	(74,292)
A.1 Owned	(66,313)	(1,138)	-	(67,451)	(75,429)
- generated internally by the company	(15,785)	(323)	-	(16,108)	(17,838)
- other	(50,528)	(815)	-	(51,343)	(57,591)
A.2 Leased	-	-	-	-	-
Total	(66,313)	(1,138)	-	(67,451)	(75,429)

Amortisation mainly relates to software held by the Consorzio Operativo di Gruppo MPS and finite life intangible assets identified during the PPA process for former subsidiary Banca Antonveneta.

Section 16 - Other operating expenses/income - Item 230

16.1 Other operating expenses: breakdown

Item/Values	Total 31 12 2021	Total 31 12 2020
Costs of robberies	(889)	(1,681)
Depreciations of leasehold improvements recognised as Other assets	(6,917)	(7,011)
Cost of financial lease transactions	(4,489)	(4,668)
Costs from judgments and settlement agreements	(43,113)	(35,287)
Other	(30,895)	(39,649)
Totale	(86,303)	(88,296)

16.2 Other operating income: breakdown

Items/Values	Total 31 12 2021	Total 31 12 2020
Insurance claims	-	-
Rents from investment real estate	9,501	12,412
Other revenues from real estate (real estate inventory)	-	-
Recovery of taxes	180,382	180,053
Recovery of insurance premiums	27,151	35,544
Income from financial lease transaction	6,756	3,534
Recovery of other expenses	32,672	42,066
Other	53,162	44,361
Totale	309,624	317,970

The amount of EUR 32.7 mln classified under "Recovery of other expenses" includes, among other things, the compensation of legal fees incurred for the enforced recovery of bad loans of EUR 3.0 mln (EUR 16.7 mln as at 31 December 2020).

The Group has no income deriving from the sublease of assets consisting in the right of use (IFRS 16.53 (f))

"Other operating income" does not include any revenues under the scope of IFRS 15.



The Group does not have any variable income not related to an index or a rate deriving from leasing activities (IFRS 16.90 b).

Section 17 - Gains (losses) on investments - Item 250

17.1 Gains (losses) on investments: breakdown

P&L items/Sectors	Total 31 12 2021	Total 31 12 2020
1) Jointly owned companies		
A. Income	-	11
1. Revaluations	-	11
2. Gains on disposal	-	-
3. Write-backs	-	-
4. Other income	-	-
B. Expense	(3,122)	(1,380)
1. Write-downs	(3,099)	(1,380)
2. Impairment losses	-	-
3. Losses on disposal	(23)	-
4. Other expenses	-	-
Net Profit (Loss)	(3,122)	(1,369)
2) Companies subject to significant influence		
A. Income	110,408	96,796
1. Revaluations	109,307	96,796
2. Gains on disposal	30	-
3. Write-backs	-	-
4. Other income	1,071	-
B. Expense	(708)	(404)
1. Write-downs	(708)	(404)
2. Impairment losses	-	-
3. Losses on disposal	-	-
4. Other expenses	-	-
Net Profit (Loss)	109,700	96,392
Total	106,578	95,023

The amount of EUR 109.3 mln recognised in line 2) A.1 "Revaluations" is predominantly due to the results of investments in associates AXA MPS Vita and AXA MPS Danni S.p.A.



Section 18 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value - Item 260

18.1 Net gains (losses) on property, plant and equipment and intangible assets measured at fair value (or revalued) or at presumed realisable value: breakdown

Assets/P&L items	Revaluations (a)	Write-downs (b)	Exchange difference		Net profit (loss) (a+b+c+d)	Net profit (loss) 31 12 2020*
			Positive (c)	Negative (d)		
A. Properties, plant and equipments	23,405	67,539	-	-	(44,134)	(19,113)
A.1 Used in the business	20,471	61,723	-	-	(41,252)	-
- owned	20,471	61,723	-	-	(41,252)	-
- right of use leasing	-	-	-	-	-	-
A.2 held for investment	693	5,766	-	-	(5,073)	(19,113)
- owned	693	5,766	-	-	(5,073)	(19,113)
- right of use leasing	-	-	-	-	-	-
A.3 Inventories	2,241	50	-	-	2,191	-
B. Intangible assets	-	-	-	-	-	-
B.1 Owned	-	-	-	-	-	-
- generated internally by the company	-	-	-	-	-	-
- other	-	-	-	-	-	-
B.2 Right of use leasing	-	-	-	-	-	-
Total	23,405	67,539	-	-	(44,134)	(19,113)

* Comparative data were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).

Section 19 - Impairment of goodwill - Item 270

19.1 Impairment of goodwill: breakdown

Owing to its indefinite or unlimited useful life, goodwill is tested at the end of each year to assess whether its book value is fairly stated or recoverable. The impairment test conducted in 2021 did not result in any impairment losses on goodwill allocated to the Widiba CGU (Cash Generating Unit), as it confirmed the recoverability of the book value.

For additional information concerning the methods for conducting impairment tests, see the appropriate section in Part B of the Notes to the financial statements, Section 10.1 of Assets "Intangible assets: breakdown by type".



Section 20 – Gains (losses) on disposal of investments – Item 280

20.1 Gains (losses) on disposal of investments: breakdown

P&L items / Sectors	Total	Total
	31 12 2021	31 12 2020*
A. Property	17,701	54,345
- Gains on disposal	17,818	39,830
- Losses on disposal	(117)	14,515
B. Other assets	(3,252)	1,166
- Gains on disposal	9	2,046
- Losses on disposal	(3,261)	(880)
Net Profit (Loss)	14,449	55,511

* Comparative data were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).

Gains from the sale of properties mainly refer to the sale of properties to Ardian, the completion of which took place during the year, following the fulfilment of the conditions precedent established in the preliminary sale contract stipulated in 2020.

The Group has not recognised any gains or losses deriving from sale and lease-back transactions (IFRS 16.53 letter i).

Section 21 – Income taxes from continuing operations – Item 300

21.1 Tax expense (recovery) on income from continuing operations: breakdown

P&L items / Sectors	Total	
	31 12 2021	31 12 2020*
1. Current tax (-)	(15,691)	(3,675)
2. Adjustments to current tax of prior years (+/-)	(46,110)	26,221
3. Reduction of current tax for the year (+)	2,872	-
3.bis Reduction in current tax for the period due to tax credits under Law 214/2011	182,262	112,921
4. Changes in prepaid taxes (+/-)	(70,922)	(465,601)
5. Changes in deferred taxes (+/-)	(1,244)	(9,273)
6. Tax expense for the year (-) (-1+/-2 +3+/-4+/-5)	51,167	(339,407)

* Comparative data were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).

The amount referred to in line 2. “Changes in current taxes of previous years” mainly refers to the partial write-down of EUR 46.4 mln of the IRAP credit deriving from conversions of ACE surpluses carried out by the Parent Company in previous years, pursuant to art. 1 paragraph 4 of Legislative Decree 201/2011 resulting from the estimate of future IRAP taxable income.

The amount at line 4. “Changes in deferred taxes” which, net of the reduction in deferred tax assets converted into tax credit of EUR 182.3 mln, equals EUR 114.3 mln and includes the overall effect of the valuation of DTAs deriving from the results of the probability test, of EUR 175.9 mln.



21.2 Reconciliation of theoretical to actual tax charge

Items/Amounts	31 12 2021	%	31 12 2020*	%
Pre-tax profit (loss) from continuing operations	258,164		(1,347,229)	
Profit(loss) before tax from assets and group of assets held for sale	-		-	
Profit (loss) before tax	258,164		(1,347,229)	
Theoretical IRES Payable	(70,995)	27.5%	370,488	27.5%
Permanent increases	(2,762)	1.1%	(7,848)	-0.6%
Losses on sale of equity instruments designated at fair value through other comprehensive income	14	0.0%	45	0.0%
Non-deductible administrative expenses (Municipal real estate property tax, vehicles, telephone, etc.)	(2,776)	1.1%	(7,893)	-0.6%
Permanent decreases	24,393	-9.4%	25,380	1.9%
Gains on sale of equity instruments designated at fair value through other comprehensive income	53	0.0%	2,381	0.2%
Gains on disposal of subsidiaries and associates	22	0.0%	472	0.0%
IRAP Deduction	(233)	0.1%	-	0.0%
ACE Deduction	24,551	-9.5%	22,527	1.7%
Reversal of impairment losses on subsidiaries and associates	33,145	-12.8%	30,768	2.3%
DTA write-downs related to prior tax losses	12,022	-4.7%	(170,158)	-12.6%
Other DTA write-downs	128,472	-49.8%	(311,167)	-23.1%
DTA ACE write-downs	22,698	-8.8%	(61,827)	-4.6%
Effect due to IRAP credit valuation rising from ACE surplus	(46,354)	18.0%	-	0.0%
Effect due to non-registration of DTA on tax loss of current year	(45,298)	17.5%	(213,802)	-15.9%
Other components (IRES relative to previous years, spreads between Italian and foreign tax rate, etc.)	5,990	-2.3%	9,323	0.7%
Effective IRES Payable	61,311	-23.7%	(328,844)	-24.4%
Theoretical IRAP payable	(12,005)	4.65%	62,646	4.65%
Economic items not relevant for IRAP purposes	(9,859)	3.8%	(54,427)	-4.0%
Non-deductible interest expense	(2,952)	1.1%	(4,124)	-0.3%
Value adjustments and credit losses	1,206	-0.5%	937	0.1%
Non-deductible costs of personnel	(528)	0.2%	(203)	0.0%
Profit (loss) on subsidiaries and associates	1,038	-0.4%	309	0.0%
Other non-deductible administrative expenses (10%)	(5,136)	2.0%	(5,506)	-0.4%
Amortization non-deductible (10%)	(542)	0.2%	(633)	0.0%
Provisions for risk and charges	(2,232)	0.9%	(44,462)	-3.3%
Other economic items not relevant	(713)	0.3%	(745)	-0.1%
Increase regional rates effect	(2,814)	1.1%	8,199	0.6%
Charges from not recognised tax loss carryforward IRAP	(10)	0.0%	(32,766)	-2.4%
Adjustments DTA	12,701	-4.9%	(4,826)	-0.4%
Tax refunds from previous years	-	0.0%	10,437	0.8%
Other components (IRAP relative to previous years, spreads between Italian and foreign tax rate, etc.)	1,843	-0.7%	173	0.0%
Effective IRAP payable	(10,144)	3.9%	(10,564)	-0.8%
Total effective IRES and IRAP tax expense	51,167	-19.8%	(339,407)	-25.2%

* The values as at 31 December 2020 were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).

The reconciliation relating to IRES includes, aside from the main tax at the rate of 24%, also the additional tax of 3.5% introduced by Law no. 208 of 28 December 2015, paragraphs 65-66.



Section 22 - Profit (loss) after tax from discontinued operations - Item 320

22.1 Profit (loss) after tax from discontinued operations: breakdown

The table has not been filled in as there are no Profits (losses) relating to discontinued operations for the current financial year and for the year being compared.

Section 23 – Profit (loss) attributable to non-controlling interests – Item 340

23.1 Details of item 340 “Profit (loss) attributable to non-controlling interests”

	Total 31 12 2021	Total 31 12 2020
Consolidated equity investments with significant non-controlling interests	-	-
Other equity investments	(176)	(129)
Total	(176)	(129)

Section 24 – Other information

No additional disclosure to that presented in accordance with the international accounting standards and Circular no. 262 of the Bank of Italy is required.

Section 25 - Earnings per Share (EPS)

25.1 Average number of diluted ordinary shares

25.2 Other information

Items / Amounts	31 12 2021		31 12 2020*	
Weighted average number of ordinary shares outstanding (no. of Shares)	986,050,580		1,092,298,612	
Ner Profit (loss) (euro th)				
Related to Parent Company continuing operations	309,507		(1,686,507)	
Related to Parent Company discontinued operations	-		-	
Attributable to Parent Company	309,507		(1,686,507)	
EPS (euros)	Base	Diluted	Base	Diluted
Related to Parent Company continuing operations	0.314	0.314	(1.544)	(1.544)
Related to Parent Company discontinued operations	-	-	-	-
Attributable to Parent Company	0.314	0.314	(1.544)	(1.544)

* The values as at 31 December 2020 were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly IAS 40).

Note that Basic EPS and Diluted EPS are the same, as there were no outstanding financial instruments with potential dilutive effects.

The net profit attributable to the Parent Company, equal to EUR 309.5 mln, is not reduced to take into account the remuneration theoretically due to FRESH 2008 as, among other things, the instrument is subject to the Burden Sharing Decree. FRESH 2008, a convertible bond issued by a third party vehicle, has not yet been converted into MPS shares, in application of the Burden Sharing decree, as a dispute is pending with the bondholders. For more details on this dispute, see Part E - Information on risks and related hedging policies - Operational risks.



Part D – Consolidated statement of comprehensive income



Consolidated Statement of Comprehensive Income

Items	Total 31 12 2021	Total 31 12 2020*
10. Profit (loss) for the year	309,331	(1,686,636)
Other income components without reversal to profit or loss	156,783	34,311
20. Equity instruments measured at fair value through other comprehensive income	2,792	1,973
a) changes in fair value	2,083	730
b) Transfer to other component of net equity	709	1,243
30. Financial liabilities measured at fair value with impact to profit or loss	(17,581)	(10,186)
a) changes in fair value	(17,581)	(10,186)
50. Tangible assets	242,030	-
70. Defined benefit plans	2,336	49,946
90. Share of valuation reserves of equity instruments valued at equity	795	(13,446)
100. Tax income related to other income components without reversal to profit or loss	(73,589)	6,024
Other income components with reversal to profit or loss	(110,496)	159,826
120. Exchange differences:	3,115	(2,214)
c) other changes	3,115	(2,214)
130. Cash flow hedges:	-	(247)
a) changes in fair value	-	-
b) reversal to profit & loss	-	(247)
c) other changes	-	-
150. Financial assets (other than equity instruments) measured at fair value through other comprehensive income	(49,203)	85,357
a) changes in value	(37,060)	47,035
b) reversal to profit & loss	(10,838)	1,177
-impairment provisions	-	504
-released net gains/losses	(10,838)	673
c) other changes	(1,305)	37,145
170. Share of valuation reserves of equity-accounted investments	(114,112)	151,444
a) changes in fair value	(113,041)	151,444
b) reversal to profit & loss	(1,071)	-
-impairment provisions	-	-
-released net gains/losses	(1,071)	-
180. Tax income related to other income components without reversal to profit or loss	49,704	(74,514)
190. Other income components	46,287	194,137
200. Total comprehensive income (Item 10 + 190)	355,618	(1,492,499)
210. Consolidated comprehensive income attributable to non-controlling interests	89	(129)
220. Consolidated comprehensive income attributable to Parent Company	355,529	(1,492,370)

* Comparative data were restated, with respect to those published in the 2020 Financial Statements, following the retrospective application of the change in the measurement criterion for investment property (formerly LAS 40).



Part E - Information on risks and hedging policies

Section 1 - Risks of accounting consolidation	392
Section 2 - Risks of prudential consolidation	397
Section 3 - Insurance companies risks	533
Section 4 - Other companies risks	533

Note: Public Disclosure (Basel III Pillar) is published on the Group's website: <https://www.gruppomps.it/investor-relations>.



Foreword

A summary of the organisation of the MPS Group's risk governance and the related processes and key functions is described below.

An estimate of the Overall Internal Capital and a description of the relative assessment models are also provided.

For more detailed information on the Group's Risk Governance and risk culture, please refer to the Consolidated Report on Operations.

Risk governance system

The risk governance system adopted by the Group is characterised by a clear-cut distinction of roles and responsibilities of the different functions at first, second and third level of control.

Policies relating to the assumption, management, coverage, monitoring and control of risks are defined by the statutory bodies of the Parent Company. In particular:

- the Parent Company's Board of Directors defines and approves strategic guidelines and risk management policies and, at least once a year, quantitatively expresses the Group's overall risk appetite in terms of economic capital (Risk Appetite);
- the Board of Statutory Auditors and the Risk and Sustainability Committee evaluate the level of efficiency and adequacy of the internal control system, with particular regard to risk control;
- the CEO/General Management is responsible for ensuring compliance with risk policies and procedures;
- the Director in charge of the internal control and risk management system, appointed in compliance with the Corporate Governance Code for listed companies, is responsible for creating and maintaining an effective system of internal control and risk management.

Specific Management Committees responsible for risk issues have been established in order to promote efficiency and flexibility in the decision-making process and facilitate interactions between the various company functions involved:

- the Risk Management Committee establishes Risk Management policies, evaluates the Group's risk appetite in accordance with annual and long-term Group value creation targets and ensures and monitors overall compliance with the limits defined for the various operating levels; evaluates the risk profile reached and therefore the capital consumption at both Group level and for each individual company of the Group;
- the Finance and Liquidity Committee formulates the principles and strategic guidelines relating to proprietary finance; it resolves upon and submits proposals regarding exposures to interest rate and liquidity risk in the banking book and defines capital management actions;
- the Credit Committee formulates policies in relation to credit processes and formulates an opinion, at least once per year, on credit policies by verifying their commercial sustainability and consistency with risk appetite levels. Based on the authorities assigned to it, it is also responsible for taking decisions with respect to lending and the management of problem receivables and assets.

As part of the Internal Control System, the Chief Audit Executive Department conducts third-level controls, the Chief Risk Officer Department and the Chief Compliance Executive Department carry out second-level controls and the Business Control Units (BCUs) carry out first-level controls.

The Chief Audit Executive Department performs an independent and objective "assurance" and advising activity, aimed both at monitoring operations compliance and risk trends (including through on-site audits) as well as assessing the efficiency of the overall internal control system in order to improve the effectiveness and efficiency of the organisation. It also acts as Internal Secondary Supervisor with a view to focusing on the main characteristics of the prudential supervision process adopted by the European Supervisory Authority and on the orientations/priorities outlined by the latter over time so as to evaluate the Group's positioning with respect to the expectations of the Single Supervisor.

The Chief Risk Officer (CRO) Department, which reports directly to the Board of Directors and functionally reports to the CEO, performs activities related to risk control, anti-money laundering and counter-terrorist financing (AML) and internal approval functions. The Head of the Chief Risk Officer (CRO) Department, in addition to being responsible for the risk control function has also been responsible for the AML function.



Moreover, the internal validation function reports to the CRO, as set forth in the Supervisory regulations and as internally transposed in the Group policy regarding the internal control system.

This Department therefore has the following tasks:

- to guarantee the overall functioning of the risk management system;
- to participate in the definition and control of the Risk Appetite Framework (RAF), as well as ensure that significant transactions are consistent with the RAF;
- to verify capital adequacy based on the ICAAP and liquidity adequacy based on the ILAAP;
- to monitor the Recovery Plan indicators;
- to ensure the necessary reporting flows to the Group's Top Management and Governance bodies;
- to guarantee proper and adequate control activities for the Group Companies that have outsourced the analogous corporate function;
- to perform the anti-money laundering duties envisaged by Law and the internal validation of risk management models;
- to guarantee proper and adequate control activities for the Group Companies that have outsourced the analogous corporate function;

In particular, within the *Chief Risk Officer* Department, the structure of the risk control function was restructured in June in favour of a simplification which provided for a shortening of the supply chains with the provision of a single Risk Management organizational unit which merged the previous ones (Financial, Lending and Operating) and envisaging 6 second level organizational units (Risk Integration and Reporting, Credit Risks, Rating, Operational Risks, Market Risks and Wealth Risk Management, Liquidity Risks).

The Chief Compliance Executive Department performs the function of monitoring compliance with the regulations for the Parent Company. The function is directly responsible for managing risks relating to the violation of the most significant rules in bank-customer relations and it periodically reports to the company's top management and supervisory authorities regarding the overall state of compliance of the Bank's systems and operations. The Compliance function reports directly to the CEO.

The outlying BCUs operating within the subsidiaries or main business areas, carry out compliance checks on the transactions which they are responsible for and are the first level of organisational supervision of transactions within the broader Internal Control System.

In compliance with the requirements of autonomy and independence of each participating function, there is also a Function Coordination Committee in place with control responsibilities. The Committee promotes and shares operational and methodological aspects to identify possible synergies in control activities carried out by second and third-level Functions, coordinate methods and timing for planning and reporting to the Corporate Bodies and project initiatives connected with the Internal Control System, and share areas for improvement identified by all Functions with control responsibilities as well as the Supervisory Authorities.

Requirements of autonomy and independence of the Risk Management Function

The Chief Risk Officer (CRO) is the head of the Parent Company's Risk Control Function.

The Function's autonomy and independence are ensured as it reports directly to the Corporate Body with strategic supervisory functions (the Board of Directors) and only functionally to the Management Body (CEO/GM). It has direct access to the Body with control functions (Board of Statutory Auditors) and may communicate continuously with no restriction or intermediation. The CRO is also entitled at his or her discretion to participate in Risk and Sustainability Committee meetings to intervene or propose discussions on specific topics.

In particular, the Board of Directors appoints and removes the Parent Company's Chief Risk Officer, upon proposal by the Risk and Sustainability Committee, with the assistance of the Nominations Committee, having consulted the Board of Statutory Auditors.

The remuneration of the Parent Company's Chief Risk Officer is determined and approved by the Board of Directors upon proposal by the Compensation Committee, having heard the opinion of the Risk and Sustainability Committee.



Activities relating to the international Regulatory framework

Pillar 1: since 2008, the Group has used internal models validated by the Bank of Italy for the measurement and management of credit risk (AIRB - Advanced Internal Rating Based) and operational risk (AMA - Advanced Measurement Approach). Over time, and in collaboration with the Supervisory Authorities, these models have been further enhanced and their scope of application extended to Group entities not originally included in the initial validation scope.

Pillar 2: efforts to ensure compliance with the Supervisory Review and Evaluation Process (SREP) framework and to further improve the Group's Internal Capital Adequacy Assessment Processes (ICAAP) and Internal Liquidity Adequacy Assessment Process (ILAAP) continued during the year, with the mandatory reporting provided to Supervisors.

The internal assessment of capital/liquidity adequacy are two processes that are part of the more general Risk Management macro-process, in direct connection with the Risk Appetite Framework (RAF) through the annual formulation of the Risk Appetite Statement (RAS) with related thresholds.

The overall internal capital/liquidity adequacy assessment process takes place periodically as part of the strategic ICAAP and ILAAP processes mainly through:

1. ICAAP/ILAAP Outcomes, or quantitative (inherent risk) and qualitative (risk management and controls) assessments on risk positioning prepared by the Risk Control Function and submitted to the Board of Directors for its own deliberations (Capital Adequacy Statement and Liquidity Adequacy Statement), i.e. the summary declarations prepared by the Board of Directors where it expresses its vision and awareness regarding the management of the adequacy of the capital situation and the current and future adequacy of liquidity;
2. ongoing ICAAP/ILAAP, which consists substantially of periodical analyses of capital and liquidity adequacy which are described in the periodical reports of the Risk Control Function to the corporate bodies.

In 2021, the Risk Appetite Framework (RAF), the overall internal reference framework for the determination of the Group's risk appetite, was further developed. In addition, the Group engaged in several improvement projects on the system for the management of the various risks.

Pillar 3: public disclosure is provided on a quarterly basis through the Group's internet site www.mps.it/investors and is continuously updated in accordance with regulatory developments.

Analysis of the Internal Capital

The Overall Internal Capital (or Overall Absorbed Capital) is the minimum amount of capital resources required to cover economic losses resulting from unforeseen events caused by the simultaneous exposure to different types of risk.

The main types of risks incurred by the Group in its day-to-day operations can be summarily described as follows:

- Credit risk;
- Market risk;
- Operational risk;
- Banking book interest rate risk;
- Counterparty risk;
- Real estate risk;
- Issuer risk;
- Concentration risk;
- Equity investment portfolio risk;
- Business/Strategic risk;
- Model risk;
- Liquidity risk;
- Reputational risk.



All of the types of risk mentioned above are involved in quantifying the Overall Internal Capital, with the exception of liquidity and reputational risk that, instead, are mitigated through organisational policies and processes.

Risk inherent in investment products/services for the Group's customers are also monitored, with a view to protecting the customer and preventing any potential reputational repercussions.

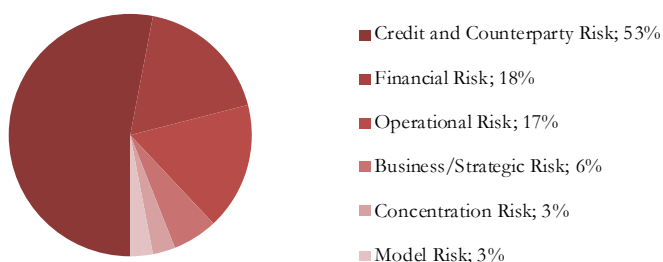
Risk assessment models

The Risk Management Function regularly quantifies the Group's Internal Capital for each type of risk and periodically reports these to the Risk Management Committee and to the Governing Bodies as part of the reporting flows prepared by the Chief Risk Officer Division.

The approach used to quantify and supplement the risks-to-capital with regard to which the Group is exposed is known in the literature as Pillar 1 Plus. This approach envisages that the Pillar 1 requirements for Credit and Counterparty Risk (which already include those relating to Issuer Risk on the Banking Book, Equity Investment Risk and Real Estate Risk) and Operational Risk, be increased (avoiding double counting) by the requirements from internal models relating to Market Risks, of both Trading Book and Banking Book, as well as the Banking Book Interest Rate Risk (Financial Risk), Concentration Risk, and the Business/Strategic Risk and Model Risk.

Overall Internal Capital is calculated without considering inter-risk diversification, therefore by directly adding together the internal capital contributions of the individual risks (Building Block approach). This approach aims to incorporate the indications in the SREP (Supervisory Review and Evaluation Process) Guidelines published by the EBA.

Internal Capital
MPS Group - 31.12.2021



The Group also manages and quantifies liquidity risk on an ongoing basis (risk-to-liquidity, as defined in the SREP Guidelines) through internal organisational methodologies and policies.

Governance of sustainability and ESG Risks

Since its origins, the Montepaschi Group has been characterized by attention to the issues of sustainability and proximity to the territory. The Group has always been committed to promoting sensitive management of all those issues that have recently been summarized with the acronym ESG (Environmental, Social, Governance), as evidenced also by the participation of Banca MPS as the first signatory of the UN protocol "Principles for Responsible Banking", in 2019.

The Board of Directors of the Parent Company, with the aim of redefining an integrated corporate strategy in terms of sustainability, in 2018 in fact redesigned the governance mechanisms and set up a permanent Working Group (WG) made up of delegates from all company Departments.

Subsequently, in 2020, the Board redesigned the mission of the Internal Board Risks Committee, transforming it into the Risks and Sustainability Committee, with the aim of giving even greater importance and impetus to the bank's governance-oriented strategies and the implementation of ESG logics, favouring its conscious integration into business objectives.

From a point of view of growing Group's attention to ESG issues, in December 2021 the Group's Sustainability Governance was reviewed, envisaging a specific session within the Management Committee for ESG and Sustainability issues, assigning the responsibility for this to the Chief Financial Officer and establishing the



Sustainability and ESG Staff within the CFO Department. The Sustainability and ESG Staff will be focused on coordinating all the Group's ESG issues, from the management of internal and external initiatives to the development of a model aimed at supporting the transition of the Bank and its customers towards a sustainable business model.

In consideration of the growing importance of ESG risk factors in regulation, in government policies, in the sensitivity of stakeholders and also following specific initiatives promoted by the ECB, in particular on Climate-related and Environmental Risks - C&E Risks (see. Guidelines on climate and environmental risks “, launch of the Climate Stress Test to be conducted at the beginning of 2022), in 2021 the Montepaschi Group launched a multi-year program of activities aimed at identifying areas for improvement in the policies and management methods of such risks, aimed at their progressive integration into traditional risks and the Risk Management Framework and the evolution of the business model in terms of financing the sustainable transition in the context of defining ESG strategies and policies consistent with the distinctive values of the Group.

In particular, during 2021 the risk identification process - in the context of emerging risks - explicitly examined C&E Risks as a further aspect for transversal analysis (transmission channels) to traditional “core” financial risks. The approach implemented led to identifying the areas of Credit Risks and Business / Strategic Risks as a priority.

A number of new ESG-specific Key Risk Indicators (KRIs) have been identified within the Group's Risk Appetite Framework, with particular reference to C&E Risks (physical and transition risks).

We provide below a summary of the analysis carried out by the Group during the year, aimed at identifying the exposure of loan portfolios to environmental/climate change factors; for details, we refer to the information in the Consolidated Non-Financial Statement (<https://www.gruppompis.it/en/sustainability/index.html>).

It should be noted that these activities do not represent a measurement of the level of risk (understood as financial impact) itself, an objective that, looking forward, characterises the subsequent developments of the Project *E-Risk ECB Action Plan*

With regard to transition risks (financial loss that a company may incur, directly or indirectly, as a result of the shift towards a low-carbon and more environmentally sustainable economy), for corporate customers, the Group in 2021 carried out a first “top-down” analysis on a perimeter of on- and off-balance sheet exposures identified by NACE sector (“*Statistical classification of economic activities in the European community*”), defined as “eligible” under the EU Taxonomy⁵¹ for a total of EUR 42.5 bn (equal to 48% of the total portfolio under analysis). The exposures thus identified were the object of analysis by management and have allowed the classification of approximately 56% of the perimeter as “aligned” activities, that is, activities that might be qualified as sustainable.

In regard to retail customers, to identify transition risk, the Group placed this risk in direct relation to the characteristics of the properties offered as mortgage security, being therefore able to provide a first proxy of alignment to the transition, through characteristics of energy efficiency.

For risks defined as physical, the Group has identified the exposure of credit portfolios to environmental/climate change factors⁵². The analysis has shown that approximately 10% of property security underlying individual loans are in areas where the risk of flooding and landslides is “very high/high”.

The new Credit Strategies are being released, also based on ESG criteria, in line with the strategic guidelines of the Group, which will make it possible to start the grounding in the ordinary management and on the commercial network of the sustainability practices outlined.

In terms of investment services for customers, the range of products with underlying strategies linked to sustainability expanded in 2021. With particular reference to Asset Management, from the first half of 2021 the strategic decision was taken to integrate ESG factors in all the main asset types that are the basis of the MPS Advice/Athena consultancy service in order to make them available from 2022 to all those customers who express a preference for sustainable investments. In order to monitor the risks and progress of the Asset Management's commitment to ESG, an internal model was created capable of analysing - on the basis of a series of qualitative / quantitative metrics - the portfolios of all the lines of Asset Management in their completeness. The focus is on material risks and the ESG Overall Risk evaluates the “unmanaged risk”. For further information on this area, see

⁵¹ The EU Regulation 2020/852 of the European Parliament and Council of 18 June 2020 on the Taxonomy creates a framework that encourages sustainable investments. The Taxonomy is a common EU-wide classification of economic activities that can be considered environmentally sustainable. It was conceived as a tool to guide the choices of investors and companies in view of the transition to a type of economic growth without negative impacts on the environment and, in particular, on the climate.

⁵² The risk factors currently included in the analysis are flooding and landslides risk for the types of risk related to climate change



the dedicated Sustainability section on the Montepaschi Group website (Information on sustainability in the financial services sector - Banca MPS (gruppomps.it)).

For more information on sustainability policies, please refer to the Consolidated Non-Financial Statement (<https://www.gruppomps.it/en/sustainability/index.html>).



Section 1 - Risks of accounting consolidation

Quantitative Information

A. Credit quality

For the purposes of quantitative information on credit quality:

- the term “on-balance sheet exposure” refers to all on-balance sheet financial assets with regard to banks or customers, regardless of their portfolio of accounting recognition (measured at fair value through profit or loss, measured at fair value through other comprehensive income, measured at amortised cost, non-current assets held for sale and disposal groups). Sight receivables from banks and central banks fall within the definition of on-balance sheet exposures but are conventionally excluded from the tables in Section 1, except in the cases expressly indicated in which they must be considered;
- the term “off-balance sheet exposure” refers to all financial transactions other than on-balance sheet ones (financial guarantees given, revocable and irrevocable commitments, derivatives, etc.) that involve the assumption of credit risk, regardless of the purpose for such transactions (trading, hedging, etc.). Off-balance sheet exposures also include the counterparty risk connected to securities lending transactions and repurchase agreements and to the granting or assumption of goods on a loan basis, as well as to transactions with margins included within the notion of Securities Financing Transactions as defined by prudential regulations.

Non-performing loans (on and off-balance sheet) do not include financial assets held for trading and hedging derivatives, which are therefore traditionally recognised among performing exposures.

Equity securities and units of UCITS are excluded.



A.1 Non-performing and performing loans: amounts, impairment (losses), changes, trend and breakdown by business sector

A.1.1 Breakdown of financial assets by portfolio and credit quality (book values)

Portfolio/Quality	Bad loans	Unlikely to pay	Past-due non performing exposures	Past-due performing exposures	Other performing exposures	Total
1. Financial assets measured at amortised cost	629,425	1,444,853	47,119	432,102	110,506,640	113,060,139
- of which forbore	124,262	708,203	1,501	15,976	2,017,201	2,867,143
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	5,205,673	5,205,673
- of which forbore	-	-	-	-	-	-
3. Financial assets designated at fair value	-	-	-	-	-	-
- of which forbore	-	-	-	-	-	-
4. Other financial assets mandatorily measured at fair value	2,009	10,782	68	21,716	214,194	248,769
- of which forbore	1,704	9,770	-	-	31,003	42,477
5. Financial asset held for sale	591	4,053	-	-	-	4,644
- of which forbore	-	1,969	-	-	-	1,969
Total 31 12 2021	632,025	1,459,688	47,187	453,818	115,926,507	118,519,225
Total 31 12 2020*	565,183	1,540,490	54,566	744,221	128,118,353	131,022,813

* The comparative data were reclassified to take into account the provisions envisaged by the 7th update of Circular 262 of the Bank of Italy

As at 31 December 2021, forbearance exposures amounted to EUR 2,911.6 mln (EUR 2,031.2 mln as at 31 December 2020), of which EUR 847.4 mln were non-performing (EUR 783.9 mln as at 31 December 2020) and EUR 2,064.2 mln performing (EUR 1,247.2 mln as at 31 December 2020), and are predominantly in the "Financial assets measured at amortised cost - Loans to customers" portfolio.



A.1.2 Breakdown of financial assets by portfolio and credit quality (gross and net values)

Portfolio/quality	Non performing assets				Performing assets			Total (Net exposure)
	Gross exposure	Impairment (loss)	Net exposure	Total Partial Write-off**	Gross exposure	Impairment (loss)	Net exposure	
1. Financial assets measured at amortised cost	4,063,117	1,941,720	2,121,397	41,199	111,381,893	443,151	110,938,742	113,060,139
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	5,209,834	4,161	5,205,673	5,205,673
3. Financial assets designated at fair value	-	-	-	-	X	X	-	-
4. Other financial assets mandatorily measured at fair value	58,665	45,806	12,859	5,170	X	X	235,910	248,769
5. Financial asset held for sale	15,647	11,003	4,644	2	-	-	-	4,644
Total 31 12 2021	4,137,429	1,998,529	2,138,900	46,371	116,591,727	447,312	116,380,325	118,519,225
Total 31 12 2020*	4,044,360	1,884,120	2,160,240	147,325	129,202,586	614,225	128,862,573	131,022,813

* The comparative data were reclassified to take into account the provisions envisaged by the 7th update of Circular 262 of the Bank of Italy

** Value to be presented for disclosure purposes

At the reporting date, the Group had 101 positions relating to creditors who had filed a “blank” request for a pre-insolvency creditor arrangement procedure (“*Concordato in bianco*”) for a net exposure of EUR 48.3 mln (EUR 58.5 mln as at 31 December 2020) and 5 positions relating to creditors who had filed a request for a pre-insolvency creditor arrangement with going concern for a net exposure of approx. EUR 0.5 mln (EUR 0.1 mln as at 31 December 2020).

As at 31 December 2021 the Group held some non-performing loans, acquired at the nominal value of EUR 18.1 mln, all classified in the “Financial assets measured at amortised cost” portfolio, at the price of EUR 1.8 mln.

Portfolio/quality	Low quality assets		Other assets
	Cumulative capital losses	Net exposure	Net exposure
1 Financial assets held for trading	63,447	2,256	9,056,277
2 Hedging derivatives	-	-	5,567
Total 31 12 2021	63,447	2,256	9,061,844
Total 31 12 2020*	72,524	2,066	8,172,730

Poor credit quality exposures, whose book value is equal to EUR 2.2 mln, refer exclusively to derivative instruments with customers.



B. Information on structured entities (other than securitisation vehicles)

B.1 Consolidated structured entities

This paragraph was not completed as no such entities are present.

B.2 Structured entities not consolidated for accounting purposes

B.2.1. Prudentially consolidated structured entities

This paragraph was not completed as no such entities are present.

B.2.2 Other structured entities

Qualitative Information

For disclosures pursuant to IFRS 12 please refer to the comments provided under the table below.

Quantitative Information

31 12 2021

Balance sheet item/Type of structured entity	Accounting portfolio: Assets			Total assets (A)	Accounting portfolio: Liabilities		Net book value (C=A-B)	Maximum exposure to loss (D)	Difference between exposure to loss and book value (E=D-C)
	Financial assets held for trading	Financial assets measured at fair value through profit or loss	Financial assets measured at amortised cost		Financial liabilities held for trading	Total liabilities (B)			
1. Special Purpose vehicles	-	-	-	-	-	-	-	-	-
2. UCITS	1,084,336	199,095	29,272	1,312,703	301,834	301,834	1,010,869	1,332,799	321,930
Total	1,084,336	199,095	29,272	1,312,703	301,834	301,834	1,010,869	1,332,799	321,930

UCITS

The aggregate includes, in the column 'Financial assets held for trading':

- EUR 45.1 mln (EUR 50.6 mln as at 31 December 2020) relating to the interests held by the subsidiary MPS Capital Services S.p.A in units of Open Ended Asset Funds and Exchange Traded Funds investing in stocks, bonds and derivatives. These units are purchased for the hedging of risks associated with the issue of structured bonds and funds placed through the network by the Parent Company or for repurchase on the secondary market of the structured funds that had been originally structured;
- EUR 1,039.2 mln (EUR 934.4 mln as at 31 December 2020) relating to exposures in financial derivatives with positive fair value to the counterparties Rainbow for EUR 79.8 mln (EUR 136.5 mln as at 31 December 2020), Anima for EUR 892.4 mln (EUR 687.6 mln as at 31 December 2020), Quaestio for EUR 6.7 mln (EUR 10.0 mln as at 31 December 2020) and AXS Im Deis property funds for EUR 60.3 mln (EUR 100.4 mln as at 31 December 2020). Rainbow, Anima and AXA Im Deis are funds under Irish law managed by Anima Asset Management and AXA Investment Managers, respectively. These funds are divided into subfunds purchased by MPS AXA Financial Limited, which are the funds to which are linked the services of the Unit Linked policies placed with the latter's customers with the name "AXA MPS Valore Performance". The Quaestio funds are under Luxembourg law, managed by Quaestio Capital and sold through the MPS network. The Bank operates with Rainbow, Anima, Axa Im Deis and Quaestio as counterparty with which the derivatives included in the Fund assets are negotiated.

The column financial assets measured at fair value through profit or loss includes:

- EUR 56.5 mln (EUR 60.2 mln as at 31 December 2020) relating to interests held by the Parent Company in private equity funds, whose purpose is to increase the value of the respective equity through mainly medium to long-term investments chiefly in the purchase and/or subscription of shares, units and securities in general representing the equity of target enterprises, exclusively in the best interest of the investors;
- EUR 133.0 mln (EUR 91.3 mln as at 31 December 2020) relating to units of a multi-segment closed-end Italian alternative real estate investment fund (Idea CCR I and II, Back2Bonis, Efestio, Clessidra) held by the Parent



Company and by the subsidiary MPS Capital Services S.p.A. These funds aim to contribute to the re-launch of medium-sized Italian companies in financial difficulty.

- EUR 7.8 mln (EUR 7.9 mln as at 31 December 2020) relating to units - held by the Parent Company and by the subsidiaries MPS Capital Services S.p.A. and MPS Leasing & Factoring S.p.A - of a closed-end private contribution real estate fund for qualified investors only (Athens RE Fund B). The fund, managed by Unipol Sai Investimenti SGR, holds prestigious tourism complexes located in Tuscany and Sicily.
- EUR 0.02 mln (EUR 0.2 as at 31 December 2020) relating to units of a closed-end real estate fund for qualified investors only (Fondo Cosimo I), held by the subsidiary MPS Capital Services S.p.A. The objective of the fund is to maximise income for its investors through a growing dividend yield as well as increased value of portfolio assets.
- EUR 0.02 mln (EUR 0.1 mln as at 31 December 2020) include interests of the Parent Company in hedge funds, particularly side pockets and funds under liquidation.

The column "Financial assets measured at amortised cost" includes loans granted to the counterparty Fondo Athens RE Fund B of EUR 29.2 mln (EUR 30.0 mln as at 31 December 2020)

The column 'Financial liabilities held for trading' includes:

- EUR 301.8 mln (EUR 278 mln as at 31 December 2020) relating to the negative fair value of financial and credit derivatives with the counterparties Rainbow for EUR 9.7 mln (EUR 16.6 mln as at 31 December 2020), Anima for EUR 271 mln (EUR 247.5 mln as at 31 December 2020), Quaestio for EUR 5.2 mln (EUR 3.6 mln as at 31 December 2020) and with the AXA IM DEIS property funds managed by AXA Investment Managers for EUR 11 mln (EUR 10.3 mln as at 31 December 2020) and Ksac for EUR 4.9 mln (not present as at 31 December 2020).

The entities in question raise funds through the issue of units, making recourse to the capital that investors committed to paying upon placement and forms of borrowing in line with their respective management regulations.

Maximum exposure to the risk of loss was determined to be equal to book value for exposures to units of UCITS other than the financial and credit derivatives for which reference is made to positive fair value plus the add-on (calculated also taking into account positions with a negative fair value). For UCITS, the maximum risk exposure also includes the Group's commitments not yet called up by the funds, to subscribe additional units.

During the year under review, the Group did not provide and does not intend to provide financial or other support to the non-consolidated structured entities referred to above.

There are no sponsored non-consolidated structured entities for which the Group holds no interests at the reporting date.



Section 2 - Risks of prudential consolidation

1.1 - Credit risk

Qualitative Information

1 General

Within the guidelines approved by the Parent Company's Board of Directors, and in line with the evolution of the supervisory regulatory framework, the Group pursues the primary objective of improving the quality of the managed loan book and consequently reducing the cost of credit.

The Group's credit activity is managed with a view to strong proactive behaviour in risk monitoring and enhancement of growth opportunities, through the development of credit policies and systems aimed at making the most of trend data in connection with individual borrowers, against a background of in-depth knowledge and strategic management of positions.

Impacts deriving from the COVID-19 pandemic

The MPS Group, in order to identify and measure the credit risk in the context of the COVID-19 pandemic emergency, adopted an approach based on the following guidelines: (i) provide prompt support to households and businesses in the country; (ii) ensure a clear and accurate view of risks; (iii) adopt specific credit standards for assessing the solvency of counterparties; (iv) integrate the methods and information used in management monitoring; (v) allocate adequate operational capacity.

At the reference date of these consolidated financial statements, the residual debt of the loans supported by state guarantees is equal to approximately EUR 10.4 bn while, on the payment suspension front, there are now active moratoria in the performing state only to the extent of approximately EUR 1.9 bn. For more information, see the following tables:

- "4.4a Loans measured at amortised cost object of COVID-19 support measures: gross value and overall value adjustments" of "Section 4 - Financial assets measured at amortised cost", contained in "Part B - Information on the balance sheet" of these Notes to the consolidated financial statements;
- "8.1a Net impairment (losses)/reversal for credit risks on loans measured at amortised cost object of COVID-19 support measures: breakdown" of "Section 8 - Net impairment (losses)/reversals for credit risk" included in "Part C - Information on the Consolidated Income Statement" of these Notes to the Consolidated Financial Statements;
- "A.1.3a Prudential Consolidation - Loans subject to COVID-19 support measures: transfers between the different stages of credit risk (gross values)" and "A.1.5a Prudential consolidation - Loans subject to COVID-19 support measures: gross and net values", contained in the quantitative information in the section dedicated to credit risk of "Part E - Information on risks and related hedging policies" of these Notes to the Consolidated Financial Statements.

Reference is also made to the information provided by the "Guidelines on reporting and disclosure of exposures subject to measures applied in response to the COVID 19 crisis" published by the EBA (EBA/GL/2020/07) contained in section 5.4 of the Public Information (Pillar III).

During the 2021 financial year, in continuity with 2020, the entire process for granting moratoria and forbearance detection was considerably affected by the EBA guidelines relating to the implementation of policies for managing the suspension measures granted to customers in difficulty due to COVID-19 (EBA/GL/2020/02).

Please note that, starting from April 2021, the ordinary process for the assignment of loans to the forborne category was reactivated following the end of the EBA waiver which made it possible to avoid assessing the financial difficulties of the borrower - for forbearance detection purposes - for the moratoria granted from September 2020 to March 2021 with a duration not exceeding nine months. In order to be able to manage the different risk profiles, the Group has paid constant attention to the correct feeding of the classification variables of the information and to the enrichment of data to trace the characteristics of individual transactions and causal factors. For more details, please refer to section 2 General accounting standards, paragraph "Accounting policies relevant to the preparation of the consolidated financial statements in the context of the COVID-19 pandemic" in Part A of these Notes to the consolidated financial statements and paragraph "Financial assets subject to commercial renegotiations and exposures subject to forbearance".



During 2021, the credit standards for assessing the prospective repayment capacity of customers were refined and specific credit strategies were identified based on the sector impact and resilience characteristics of individual customers and consequently the estimated evolution of the rating of each individual counterparty; in addition, the counterparties in the household sector were also subject to segmentation analyses using external data to verify the presence of critical issues not detected by internal information sources.

These elements constitute the framework adopted both in the origination activity and in the proactive management of the riskiest portfolio.

Also, given the reduced representativeness of the financial information of companies and, more generally, the reduced capacity of systems based on performance data to promptly identify elements of risk temporarily hidden by the General Payment Moratoria umbrella, the early warning system was integrated with new data and indicators on the basis of which activities for assessing the solvency of debtors were prioritised in order to define the best management strategy.

The new selected early warning indicators made it possible to diversify the portfolio according to the type of counterparty (business vs. individuals) by drawing both from external databases (individual scoring from SIC, activation of the CIGS in the last 3 months, rating with COVID-19 impact) and from internal information (reduction in credit movements, absence of salary channelling, etc.).

The information deriving from the aforementioned indicators was used to plan and complete two extraordinary revision plans for the Covid portfolio ("crash program"), within which the activities of qualified screening and credit assessment made it possible to define the best management strategy to be adopted towards selected customers.

The first audit activity, implemented in the first half of 2021, involved approximately 25.7 thousand customers with exposures of EUR 12.8 bn showed a rate of classification as non-performing equal to approximately 2% in exposure terms and about 3% in customer terms; moreover 16% of all the exposures considered (16% in customer terms) were identified as in need of additional support through a payment holiday or new liquidity, in some cases together with the consolidation of previous exposures; on the remaining portion of the crash perimeter, in-depth analysis has shown the conditions for the continuation of the relationship without further initiatives with respect to the set of measures applied from the outbreak of the pandemic and up to the date of assessment of the position. The crash perimeter identified above, as notified to the Supervisory Authority, also involved a limited number of counterparties on which, following an update of the COVID Score during the second quarter, a significant increase in the risk index had been observed, which has suggested the opportunity of their inclusion in the portfolio to be reviewed.

The second audit activity was launched in the fourth quarter on a perimeter of approximately 6.5 thousand customers, for a total of EUR 3.2 bn of exposure, considered riskier in order to initiate a review on the basis of updated information or based on requests for remediation addressed by the corporate control functions. The intervention involved a critical review of the positions to assess their financial difficulty and define the most effective intervention to be finalized according to the risk profile of the counterparty in order to prevent the potential cliff effect that could have been determined with the expiry of the Covid moratoria.

Overall, the two aforementioned review programs put in place in 2021 concerned a total credit exposure of approximately EUR 15 bn, of which approximately EUR 1 bn was the subject of in-depth analysis in both crash initiatives. The overall default rate on the total portfolio was around 3%.

Starting from 2022, the activities to strengthen and refine the Early Warning systems continued in order to make the management approach more timely in reducing credit risk.

2 Credit risk management policies

2.1 Organisational aspects

As its distinctive mission, the Chief Lending Officer Department performs activities of credit risk taking and operational monitoring of credit quality, giving guidance and support to the network in credit activities, directly managing impaired loans, including financial restructuring transactions, and monitoring the impacts of various credit transactions on the cost of credit.

The Chief Lending Officer Department is sub-divided, among other things, into 2 First Level Functions specialized in the management of Performing and Non-Performing Credit.



The Performing Function exercises its decision-making autonomy in line with the objectives of credit policies and prepares operational credit plans aimed at preserving the quality of exposures and promptly resolving anomalies in the relationship with debtor customers.

To this end, two second-level structures report to the aforementioned function: High Risk & Advisory which, by monitoring the *default detection* and deterioration indicators, aims to adequately activate the process of granting forbearance measures and/or reclassification; *Credit Origination*, which exercises responsibilities in the area of credit disbursement with particular attention to resolution times and to monitoring delays in reviewing credit lines.

Furthermore, the Performing Function is sub-divided into 5 Territorial Credit Areas which, organized in a mirror image of the commercial functions, are also committed to the mission of developing credit flows and monitoring credit quality.

The Non-Performing Function, on the other hand, includes the responsibilities relating to non-performing loans, the latter followed and managed by level II chains specialized in Mid and Big Ticket Anomalous Risk, in Corporate Restructuring and in the recovery of Bad Loans through judicial proceedings or with out-of-court settlement methods. A function called NPE Workshops is added to the aforementioned structures which, through the use of external recovery companies, manages industrialized collection or forbearance processes on small NPE tickets, as well as starts early collection activities on small-sized performing customers who are overdrawn in order to prevent the default flows.

Within the Non-Performing Function there are, among others, two Level III Structures that carry out relevant activities such as the Post Sale management of all non-performing loans subject to asset disposal and the operational management of revolving credit lines and current accounts, in Fronting Bank mode, to support customers who are part of the demerger transaction in favour of Amco.

the Chief Lending Officer (CLO) also relies on another two Level 1 functions reporting directly to him:

- The Credit Portfolio Governance Area, which oversees the lending information base on a unitary basis and develops machine learning approaches, defines lending operational and management strategies, both ordinary (credit policies) and of an extraordinary nature (disposal of portfolios); the Function also carries out support/operations activities such as accounts payable, document management, operational requirements on disposed loans and management of collateralisable bank assets, as well as development of data intelligence/enrichment approaches to support the management of credit portfolios;
- Credit Control, as the function responsible for supporting the CLO in monitoring, supervision and management reporting activities, both in terms of key performance indicators (KPIs) and key risk indicators (KRIs), as well as carrying out type-262 credit controls in compliance with the New Provisions on Default.

2.2 Management, measurement and control systems

Starting in 2008, statistical models aimed at creating the Internal Rating Model and rating assignment processes were authorised by the Supervisory Authority for the calculation of capital requirements using the Advanced IRB approach (AIRB).

Those subjects who did not obtain authorisation for an Internal Rating Model, must comply with prudential regulations for the identification of the respective Risk Weight, according to the standard model.

The prudential regulation requires the Group to adopt the following credit risk measures needed to calculate regulatory capital (AIRB approach): Probability of Default (PD), Loss Given Default (LGD), Exposures at Default (EAD). The “Probability of Default”, which is a reflection of the borrower’s rating, represents the likelihood that the borrower will not be able to meet the obligations assumed over a time horizon of one year. Thus, a rating is a probability-based approach to risk assessment, and represents a projection of portfolio quality that forms a part of daily processes of credit facility assessment, loan management and pricing, as well as of the procedures used to determine loan loss provisions and reports used by management.

The counterparty risk, which corresponds to special cases of credit risk, is substantially the risk that the counterparty of a transaction concerning certain financial instruments such as derivatives, Security Financial Transactions (SFT) and Long Settlement Transactions - LST) becomes insolvent before the transaction is settled. In determining the level of Supervisory Capital, according to prudential regulations, the Group determines the contribution of the counterparty risk, using for the determination of the EAD the method of the “market value” and “volatility adjustments”, respectively for the positions in derivatives and LST, and for SFT transactions. The Group adopts the IRB approach for the identification of PD and LGD levels for subjects of the corporate retail



portfolio, the Slotting Criteria method for Specialised Lending exposure whereas, for the remaining part of the portfolio, it identifies the risk weight levels according to the standard model.

The statutory adoption of risk criteria has made it possible for the Group to obtain significant operational advantages, both in terms of a higher accuracy in budgeting forecasts of the credit risk and counterparty risk cases, in terms of a more effective monitoring of credit aggregates. Based on the risk criteria, the Group sets the process for the yearly budgeting of credit items and makes accurate and sustainable forecasts in relation to the loan book, unlikely to pay and bad loan flows and loan-loss provisions.

Forecast sustainability, as regards credit risk, is ensured by the definition of concrete loan book actions which are communicated to the outlying networks through an internal regulatory document as well as by amending the credit disbursement and management processes and criteria.

The sustainability of the estimates related to counterparty risk cases is ensured through a process for the definition and monitoring of the operational limits assigned to the reference business units.

All credit processes use the borrower rating as a decision-making driver, and they are defined as a function of the specific nature of various customer segments in order to optimise the use of resources employed in loan management/monitoring and to achieve the right balance between the push for sales and an effective loan management system. The internal rating system, which affects corporate and retail portfolios, is based on the development of several statistical models specialised by customer type with the aim of assigning a solvency rating for prospective borrowers (first-time lending models based on financial and demographic information taken from external databases) and for existing borrowers (for which behavioural models have also been used, which incorporate internal performance and risk data).

In order to increase efficiency levels in managing internal ratings, the Internal Rating Agencies operating in local areas have become the single point of reference for all units on rating issues. The role of the Rating Agencies allows for a closer interaction with the Network to make assistance more effective, generate more synergies and enable a more efficient transfer of knowledge.

Furthermore, with regard to Credit risk in the accounting management area, the Group has defined a macro-economic regression model to estimate the changes in the PD as a function of the main macro-economic variables. The drivers that explain in a more significant manner the changes in PD are identified first, and on the basis of the regression model, credit driver disturbances are then estimated according to the current and prospective economic situation. The shock applied to the macro-economic factors determines the change in credit portfolio PD, triggering the simulation of a hypothetical counterparty downgrading, with consequent risk variations in terms of Expected Loss, Unexpected Loss and input from new Defaults.

Impacts deriving from the COVID-19 pandemic

The pandemic did not impact on management processes, measurement methods and risk control.

In response to the effects of the pandemic for the Group, also for the year 2021 the update of the Risk Appetite Statement 2021 took into account the expected trend of the external scenario and the related impacts in terms of risk with subsequent updating of the operational limits on credit risks based on the RAS.

2.3 Methods to measure expected losses

Credit risk is analysed in-house for management purposes using the Credit Portfolio Model, which was developed internally by the Parent Company and produces detailed outputs in the form of traditional risk measures such as operational Expected Loss and Unexpected Loss (intra-risk diversified with a representative period of one year and a confidence interval calibrated to the target rating assigned to the Group). Several inputs are considered: probability of default (PD), obtained through validated and non-validated models, LGD rates (management and regulatory), number and types of guarantees supporting the individual credit facilities, regulatory and management CCF on the basis of which the regulatory and management EAD are estimated respectively.

The internal PD, LGD and EAD models for credit risk measurement are one of the main elements of assessment for all Group units involved in the credit industry, both at Head Office level (Risk Management, Credit Department, Chief Financial Officer, General Management, Risk Committee, Board of Directors) and at branch level (Rating agencies and Relationship Managers). The Group is currently authorised to use the Advanced Internal Rating Based (AIRB) models to determine capital requirements against credit risk, according to PD and LGD



parameters, on business portfolios and retail exposures of the Parent Company, MPS Capital Services and MPS Leasing & Factoring, and is waiting for validation, on these counterparties, of the EAD parameter.

The development of the internal rating systems involved the adoption of strict and advanced statistical methodologies in compliance with the requirements set out in the regulations; at the same time, models were selected in such a way as to make results consistent with the historical experience of the Group in credit management. Lastly, in order to optimise the proper use of these new instruments, the rating models were shared with a top-down approach – from Risk Management down to individual client managers. Estimation of the LGD model was based on internal data relative to capital flows, recoveries and expenses actually incurred on positions transferred to the bad loan portfolio. Results obtained from model application were then compared with data recorded by the Workout Area which is dedicated to the management and recovery of non-performing loans.

The main characteristics of the advanced rating systems are as follows:

- for all validated regulatory portfolios, the rating is calculated with a counterparty-based approach for each individual borrower, in line with the accepted management practice which provides for the assessment of credit risk, both in the disbursement and monitoring phases;
- each individual counterparty is assigned a single rating at banking Group level, based on the set of information pertaining to all lending banks within the AIRB scope; the LGD is different for each company given the diversity of products issued and the type of customers to whom they are offered;
- the rating model segmentation is defined in such a way as to make the individual model clusters consistent with commercial objectives, credit processes and regulatory portfolios set out in the regulations;
- the calculation of the final rating is differentiated by type of counterparty. The credit process envisages a level of in-depth analysis proportional to counterparty risk: the assessment of loan disbursements is based on a complex multi-level structure for medium-large corporate counterparties, whose exposure and concentration risks are higher, and a simplified structure for Small Business and Retail clients;
- in line with this process, the final rating for medium-large corporations is the result of a number of different factors: statistical rating, qualitative rating, overrides and valuation of the ‘economic group’ which businesses belong to.
For Small Business and Retail counterparties the rating is calculated only on the basis of statistical factors;
- the rating has a 12-month internal validity period and is usually reviewed on a yearly basis, except for rating reviews following well-structured codified practices or that are brought forward on client managers’ request or following serious counterparty deterioration;
- LGD reflects the economic (and not only the accounting) loss incurred; for this reason, LGD estimates must also include the costs incurred for the recovery process and a time factor;
- loss given default is differentiated by type of loans and the assignment takes place at each individual transaction level; it is also differentiated by geographical area, since historical and current recovery rates are different for Northern Italy, Central and Southern Italy and the Islands;
- loss on defaulted positions other than bad loans is estimated with a Danger Rate approach. With regard to counterparties whose exposures are administratively classified as unlikely to pay and non-performing past due, the percentage of migration was calculated and used to adjust the estimated LGD, starting from bad loans.

The Group has adopted a single Master Scale for all types of exposures; this enables all units involved in credit management to immediately compare the risk level associated with different counterparties or portfolios; furthermore, the probabilities of default of internal rating classes were mapped against Standard&Poor’s external rating scale so as to make internal risk measurements comparable to those available on the financial market.

The development and monitoring of rating systems has been functionally assigned to Risk Management and is subject to control by the Internal Validation and Internal Control functions.

The Group has used PD, LGD and EAD parameters, estimated for regulatory purposes to calculate Risk Weighted Assets, also for other operational and internal management purposes. These provide the basis of calculation for different systems of measurement and monitoring, and specifically for the:

- measurement of economic and regulatory capital for credit risk;
- calculation of risk-adjusted performance and measurement of value creation;
- risk-adjusted pricing processes;
- credit direction processes (credit policies);
- across all credit processes (disbursement, review, management and follow-up) which are fully “engineered” in the Electronic Loan File application (*Pratica Elettronica di Fido* or PEF), under which the



borrower's rating is the result of a process which evaluates - in a transparent, structured and consistent manner - all the economic-financial, behavioural and qualitative information regarding customers with whom the bank has credit risk exposures.

To calculate the expected losses as required by IFRS 9, specific adjustments must be made to the aforementioned parameters, including in particular:

- the adoption of a Point in Time (PIT) PD, appropriately supplemented with forward-looking information, against the Through the Cycle (TTC) PD used for regulatory purposes;
- the removal of the regulatory components from the LGD described below in detail;
- use of multi-year PDs and, where necessary, LGDs in order to determine the expected loss for the entire residual life of the financial instrument (stages 2 and 3);
- use of the effective interest rate of the individual transaction in the process of discounting expected future cash flows, as opposed to that which is set forth in regulatory models, in which individual cash flows are discounted using rates determined in accordance with prudential regulations.

For additional details on the methods to determine impairment losses under IFRS 9, definition of default and the methods used by the Group to classify financial assets among non-performing assets, see the paragraph "Methods for calculating impairment on IFRS 9 financial instruments" of Part A "Accounting policies", as well as the paragraph below "Non-performing loans" of these consolidated notes to the financial statements.

Starting from September 2021, the PD and LGD models, recalibrated in order to include the new definition of default (EBA/GL/2016/07) in the reference time series, went into production for regulatory purposes. Furthermore, during the first half of 2021 an integral review of the aforementioned models (2021 Model Change) was started, in order to align the Group's IRB system with the EBA Guidelines in the area of estimation and application of the models (EBA/GL/2017/16) ("EBA's IRB Repair program").

Below is an examination of the main characteristics underlying the regulatory models under review, the "2021 Model Change", and an analysis of the PD, LGD and EAD models used for accounting valuation purposes.

2021 Model Change AIRB Models

In the first half of 2021, the PD, LGD e EAD regulatory models were completely re-estimated: in addition to taking into account the new definition of default, they now include, in the specification of the methodological approach to model development, a series of measures to ensure compliance with the requirements of EBA/GL/2017/16 (effective 2022) and to address the findings made by the Supervisory Authority during previous inspections. The main innovations introduced by the 2021 Model Change in context of the regulatory PD, LGD and EAD models are described below.

PD models:

- change in the segmentation of PD models to identify perimeters appropriate to the different customer categories in the portfolio. For this purpose, specific thresholds were identified using statistical approaches on some analytical risk drivers such as customer turnover and/or product type on the estimate perimeter;
- the model design must include certain stages (Risk differentiation-score model estimate, Risk Quantification-Calibration and introduction of the Margin of Conservatism (MoC);
- definition of different cluster scales for each calibration segment to meet all regulatory requirements;
- the long-term default rate on which the PD model calibration is based must be specified based on the Likely range of variability;
- change in the methodology used for the Risk Quantification, which can be carried out in two different ways: at the level of calibration segment or at the level of individual class on the reference cluster scale. The current Risk Quantification methodology uses an approach at the level of calibration segment; with the 2021 Model Change, the better methodology is chosen according to the characteristics of the analysis segment and/or the backtesting results obtained with the two available approaches;
- following the introduction of the new definition of default, estimate of the MoCs, that is, the downward adjustments aimed at addressing weaknesses in terms of data and/or changes in internal processes that may have an impact (negative or positive) on PD and/or the selected estimation approach.



Model LGD Before and After Classification as Bad Loan (jointly LGD) and EAD:

- the estimate sample includes all customers in default not classified as Bad Loans until 1 January 2020 for the models of EAD and LGD Before Classification as Bad Loans, and all Bad Loans until 31 December 2019 for the model of LGD Bad Loan;
- to calculate LGD rates and EAD values appropriate to the different types of customers in the portfolio, specific analysis axes were identified to sub-segment the estimate sample;
- a special treatment was specified for anomalous values of LGD and EAD;
- the LGD and EAD estimate process was integrated with specific statistical and econometric tests to guarantee more robust results;
- estimate of a downturn adjustment to include in the LGD and EAD a worsening due to the occurrence of recessions;
- estimate of MoCs,
- analysis of model performance (i.e. backtesting) through specific statistical tests that compare the LGD and EAD values estimated with those actually observed;
- introduction for the LGD of a specific approach to manage Incomplete Workouts (i.e. customers for which the recovery process is still ongoing) and Art. 500 CRR2 (i.e. securitised customers);
- cashflows (recoveries and costs) of LGD Before Classification as Bad Loan are discounted using the 3-month Euribor rate + a prudential spread equal to 5%;
- management of multiple defaults (i.e. default that reoccur within 9 months from the end of the previous default) for the LGD Before Classification as Bad Loan;
- estimate of the expected loss for the exposures in default (LGD Expected Loss Best Estimate);
- segregation of the interest portion and calculation of the loss on the principal amount only (for LGD Before Classification as Bad Loan);
- for the LGD Bad Loan alone, a time factor (MRP) is estimated to identify those recovery processes for which, despite being still in progress, no further and significant recoveries are expected.

The application package for the 2021 Model Change, which includes the measures described above, was sent to the Supervisory Authority in the fourth quarter of 2021; the inspection report is expected to be released in the second half of 2022.

Accounting models

IFRS9 LGD

In 2020, the Group had already updated the IFRS 9 LGD model, adjusting it into line with the new definition of default, which entered into force on 1 January 2021. During 2021, the IFRS 9 LGD models were re-estimated following the same methodologies as the regulatory models developed for the purposes of the 2021 Model Change. In the development of the 2021 IFRS 9 LGD models, some precautions are implemented that differentiate them from the AIRB models: the objective is to estimate predictive parameters of the loss that could affect the Group in the event of customer insolvency. In order to comply with the provisions of IFRS 9 and therefore implement a more predictive LGD measure, it was necessary to remove specific regulatory (prudential) requirements, including in particular:

- for the LGD of non -performing customers prior to the Bad loan status the treatment of multiple default does not apply, i.e. default events of the same client that occur within nine months from their reclassification as performing are considered only once, and thereby entail lower cure rates;
- there is no downturn effect; i.e. LGD estimates do not include downward factors related to any recessionary periods observed in the Bank's history;
- MoC are not considered;
- there was no deduction of interest following entry into default, therefore the exposure on which the Bank's expected credit loss is calculated considers the principal and interest;
- Indirect costs, i.e. the expenses that the Bank incurs to manage the entire recovery process and not directly attributable to the single customer (i.e. personnel costs, legal expenses etc...) are not considered for the calculation of LGD;
- The final LGD is discounted at the effective interest rate (EIR) in order to take into account the time effect in the management of the recovery process;
- In order to obtain a reactive LGD to (theoretical) future macroeconomic conditions, a forward looking factor is estimated starting from specific econometric analyses conducted on forecasting macroeconomic scenarios;



- Any type of guarantee associated with the customer in portfolio is taken into consideration to determine the LGD;
- In order to estimate the LGD of customers with bad loans, a shorter time series is considered (first quarter 2009-fourth quarter 2019) than that used in the regulatory model (first quarter 1999-fourth quarter 2019). The objective is to capture the actual riskiness of the recent historical period, in which changes are observed in the methods of the recovery process with higher average LGD rates;
- For Unlikely to Pay and past due non-performing exposures, within the development of the AIRB models, the legislation requires particular precautions, including the representativeness over time of the risk drivers selected for the purposes of the final grid. The aggregation of the Past Due (PD) and Unlikely To Pay (UTP) risk classes arises from the evidence observed in more recent years that currently UTP cases are much more frequent than historical averages, while PD cases are less relevant and limited to vintage origins only. For accounting purposes, the separation between PD and UTP is maintained in order to identify the intrinsic risk between the different default statuses. For UTP counterparties, the loss rates were estimated considering only the positions that closed in UTP. On the other hand, given the lesser importance of the PD counterparties, which can make the process of estimating the contextual loss parameters less robust, the estimation approach was maintained which envisages the use of the sample made up of both PD and UTP.

The update of the LGD models described above caused an increase in the 2021 ECL estimates for an amount of approx. EUR 99 mln.

IFRS 9 EAD

Again in the context of the 2021 Model Change, the Group updated the regulatory model for the Exposure at the time of default (EAD) and at the same time also the EAD IFRS 9 model. The latter differs from the regulatory model for the exclusion of the downturn component, potentially the MoCs and the inclusion of expectations on future trends (forward-looking expectations) already described.

IFRS 9 PD

In the first half of 2021, the Group also updated the multi-period PD models to reflect the new definition of default.

The re-estimation of the multi-period PD curves was characterised by a statistical analysis on the available drivers through a segmentation process of the estimation database, followed by a parametric modelling of the survival data to obtain multi-period default probability curves. The database used for the estimation was obtained from the historical data of observed Group relationships for the estimate period, which goes from January 2012 to January 2020. Compared to the model previously used, the most significant changes to the estimation perimeter are: the introduction of lump-sum products and the inclusion of the return to performing status, that is, a counterparty that goes in default during the observation period is again included in the estimation sample on its return to performing status and takes part in the estimate process from that time onwards. The segmentation process is based on the analysis of the survival curves, which consists in finding the rates of survival to the default event within the pre-set drivers, and the degree of separation between the survival curves for the modes of each driver is calculated through a statistical test (LogRank Test). Following the definition of the clusters through the segmentation process, we chose the type of survival models to be used for the construction of the cumulative PD curves and estimated them. The re-estimation of the model adopted since June 2021 has therefore involved the identification of specific curves differentiated by segment, product, rating class, seniority of the loan, geographical area of counterparty, legal form and Ateco class. In the model used previously, the drivers used to estimate the multi-period PD curves were the segment, the presence/absence of guarantee, the duration of the loan, the rating class and the ageing of the loan.

The re-estimation of the multi-period PD models has also involved the re-calculation of new quantitative thresholds of significant deterioration in credit risk for staging purposes. For details, we refer to the section “Valuation of significant increase in credit risk (SICR)” below.

The application of the new multi-period PD curves has resulted in an increase in the expected loss estimated for 2021 approximately equal to EUR 37 mln.

For an analysis of these impacts on the cost of customer credit, we refer to the Consolidated Report on Operations



Changes due to COVID-19

The current context, heavily impacted by the COVID-19 pandemic, was acknowledged as part of the use of forward looking parameters that include the effects of the current crisis and the potential future recovery. The approach adopted by the Group is consistent with the main indications of international institutions that have recognised in the presence of public guarantees and moratoria the main elements impacted by the COVID-19 pandemic in macroeconomic scenarios. Below are the assumptions made by management as well as the changes in the valuation and measurement models of the financial instruments associated with the pandemic crisis, with particular reference to the assessment of the significant increase in credit risk (SICR) and the measurement of expected losses.

Measurement of significant increase in credit risk (SICR)

As is known, IFRS 9 requires that if a significant increase in credit risk is detected (Significant Increase in Credit Risk - SICR, which involves the need to include the exposures in “stage 2”), it is necessary to assess the expected long-term losses over the entire residual life of the credit exposure. In the other cases (absence of a significant increase in credit risk), the expected loss must be calculated with reference to the time horizon of 12 months (exposure included in “stage 1”).

In the approach adopted by the Group, the parameter that measures the change in credit risk and, therefore, any “significant” increase in risk, is the risk of default, expressed by changes in the probability of lifetime default over the entire residual duration of the financial asset (hereinafter, “Delta PD lifetime”), recorded between the date of first registration of the relationship, or tranche if a debt security, and that of observation, with respect to a threshold value, specific for each relationship, determined in function of the relevant risk characteristics.

In addition to the lifetime PD, in identifying the SICR, the MPS Group takes into consideration three other elements: i) days past due as an indicator of deterioration of the creditworthiness of the counterparty which becomes “significant” in an assumptive way if the days past due exceed 30 days; (ii) the concessions of forbearance measures; (ii) belonging to the High Risk management portfolio.

In addition, the Group has decided to: (i) exercise the “Low Credit Risk Exemption” during the FTA also when fully operational, and only limited to the securities portfolio. Accordingly, the instruments that are characterized by low credit risk, in this case identified with the “investment grade” rating level, are classified in stage 1. Subsequently, if these securities lose the “Investment grade” level, they will be transferred to another stage solely on the basis of any significant increase in credit risk compared to the initial recognition date; (ii) use the FIFO (*First In-First Out*) method, in order to compare, for each individual tranche of debt securities purchased, the original creditworthiness of the same with that attributed to it at the reporting date.

With particular reference to the quantitative indicator, it should be noted that the attribution of the lifetime PD to the individual relationships is carried out according to the segment, product, initial rating class, vintage, geographical area and legal form, both at the date of first recognition and at the reporting date. The PDs used in the evaluation of the SICR are the same ones used for the calculation of the ECL, which include the forecast of future macro-economic factors. The above described relative change in lifetime PD represents the quantitative indicator of the change in credit risk found in the reference period compared to the origination. In order to establish whether an increase is to be considered significant, and therefore entail a different allocation to the stages, specific thresholds are defined:

- if the relative change in lifetime PD observed on the position is lower than the significance threshold, then the increase in credit risk is considered insignificant and the position is classified in stage 1 with assessment of the expected loss over the next 12 months;
- if the relative change in lifetime PD observed on the position is higher than the significance threshold, then the increase in credit risk is considered significant and the position is classified in stage 2 with assessment of the expected loss over the residual life of the instrument;

This threshold value is determined using statistical models deriving from the analysis of the distribution of changes in lifetime PD in the portfolio. The calibration of the threshold is defined at a level for which the significant increase in credit risk is at least equal to the level of long-term deterioration of the portfolio, which is observed by the historical migration matrices of the ratings.

For example, a table is shown below highlighting the maximum values of the transfer thresholds for the Group’s main loan portfolios constituted by cash loans to customers belonging to the corporate and retail segments of the 4 banks (Banca MPS, MPS Capital Services, MPS Leasing & Factoring and Widiba). It should be noted that the table constitutes an aggregation with respect to the drivers represented by the rating at origination and by the vintage. In particular, the table shows a lower maximum threshold value equal to 9.71% for the “*Large Corporate* -



Corporate - SME - Small SME” segment for the “Other” product and the highest value equal to 171.42 % for the “Retail” segment for the “Instalment” product.

Segment	Product (*)	Legal form	Ateco	Area	Threshold (max)
Retail	Other	Joint headings	All	All	53.39%
Retail	Other	Individuals	All	All	40.02%
Retail	Mixed	All	All	Other	145.12%
Retail	Mixed	All	All	North	146.59%
Retail	Instalment	All	All	All	171.42%
Large Corporate – Corporate - SMEs-Small SMEs	Other	All	All	All	9.71%
Large Corporate – Corporate - SMEs – Small SMEs	Leasing – Instalment - Mixed	All	All	All	10.59%
Multiannual Company	All	All	Other	All	12.32%
Multiannual Company	All	All	Builders	All	12.32%
Small Business. Partnerships - Sole traders	Other	All	All	All	24.32%
Small Business. Partnerships - Sole traders	Leasing – Instalment - Mixed	All	All	All	24.32%

(*) The Product variable is given a value only for the Retail, Large Corporate - Corporate - SMEs - Small SMEs and Small Business - Partnerships - Sole Traders counterparties. The variable indicates whether a customer has only instalment products (Instalment), only current accounts and/or self-liquidating products, etc. (Other), or a mix of several types of products (Mixed), therefore both instalment and non-instalment.

It should be noted, although not very significant in terms of impact, the mandatory classification in stage 2 in the event of increase of PD lifetime of more than 200%. It should be noted, in fact, that the above thresholds are lower than the 200% trigger.

Having said this, as regards the stage allocation deriving from the “Lifetime Delta PD” component - which is the main case for determining the exposures in stage 2 - the forward-looking conditioning based on the scenarios in production at 31 December 2021, is already an important element for explaining the migration from stage 2 to stage 1 of the performing portfolio observed during the 2021 financial year.

On the other hand, as regards the “30 days past due” and “forbearance” triggers which in any case represent a marginal portion of the classification reasons at Stage 2; the various initiatives regarding the moratorium on payments that characterized 2020 determined a weakening of their significance for the purposes of staging allocation, for which the extraordinary triggers defined by the Group for sliding to Stage 2 had intervened. At 31 December 2021, the substantial extinction of the government measures together with the restoration of the ordinary classification rules on concessions - on such subject, it should be recalled that the facilitation framework envisaged by the EBA Guidelines on moratoria no longer applies after 31 March of last year - have restated their ordinary classificatory validity. On the forbearance front, it should be noted that the permanence in *Stage 2* is anchored to the duration of the probation period, consequently any return to *Stage 1* is subject to the passing of at least two years from the date of the concession and to the absence, in case of return to the *fully performing* status, of additional qualitative and quantitative indicators of significant increase in credit risk.

It should be noted that, at the date of these financial statements, the forced classification in Stage 2 carried out during 2020 was removed for (i) the company counterparties which, against a sector cluster analysis, had a policy of “selective management” credit policy; given that the credit policies of 2021 led to classify these customers directly in the High Risk category already included in the ordinary staging criteria, and (ii) for the private counterparties benefiting from moratoria with an external “very high risk” Experian score, given the substantial expiry of moratoria for this type of customer. In fact, it should be noted that the Italian government with the Sostegni-bis decree has granted the possibility to benefit from a further extension of the moratoriums under the law until 31



December 2021 only for applicant companies already admitted to the benefit of a previously granted moratorium pursuant to the Cura Italia Decree (expiring on 30 June).

Finally, a further element to be considered for the purposes of *staging* derives from the vulnerability factors originating from the pandemic situation and the related economic consequences that are not adequately intercepted by the *Lifetime* PD estimation methodologies. This aspect was identified, in continuity with what was already done in 2020, in consideration of the specific micro-sectors. Therefore, some specific ad hoc adjustments, not incorporated in the models, were made based on a bottom-up analysis that takes into account the sensitivity to the scenario of the economic and financial outlook of counterparties in the different micro-sectors. In particular, with regard to performing corporate loans, “adjustments” were made to the expected default rates at one year to factor the same forecast score (CGS) adopted as part of the credit strategies. The table below shows the forward looking shock applied to the multi-period PD curves for the 30 sectors of economic activity for the purpose of determining the significant increase in the credit risk of corporate counterparties, the impact in terms of higher stage 2 (EUR 585.4 mln) and ECL (EUR 39.1 mln) volumes.

Business sector	EUR/thousand		
	Shock Cerved	Delta stage 2	Delta ECL
ACCOMMODATION AND RESTAURANT SERVICES	105.28%	110,989	10,519
RENTAL, TRAVEL AGENCIES, SUPPORT. SERVICES TO COMPANIES	80.95%	100,418	3,055
CONSTRUCTION COMPANIES	12.43%	41,739	3,790
TRANSPORT AND STORAGE	27.70%	39,184	2,038
METAL PRODUCTS, EXCEPT MACHINERY AND EQUIPMENT	15.59%	29,664	725
TEXTILE PRODUCTS, LEATHER AND FOOTWEAR, CLOTHING	34.11%	29,026	1,135
INFORMATION AND COMMUNICATION SERVICES	50.60%	28,966	1,616
REAL ESTATE ACTIVITIES	10.96%	26,867	2,702
WHOLESALE OF INDUSTRIAL GOODS	10.05%	19,421	1,102
FOOD PRODUCTS, BEVERAGES AND TOBACCO-BASED PRODUCTS	6.75%	16,918	689
NEC EQUIPMENT AND MACHINERY	25.19%	16,619	906
DETAIL OF MEDIUM / LOW PURCHASE FREQUENCY PRODUCTS	19.31%	16,286	1,454
AGRICULTURE, FORESTRY AND FISHING	9.73%	15,862	1,388
RESIDUAL ACTIVITIES (SECTIONS O P Q R S T)	27.48%	13,597	1,739
WHOLESALE OF CONSUMER GOODS	11.25%	12,570	791
UTILITIES	3.83%	12,290	846
TRADE AND REPAIR OF CARS AND MOTORCYCLES	19.37%	9,394	668
PROFESSIONAL, SCIENTIFIC AND TECHNICAL ACTIVITIES	11.23%	8,263	1,150
RESIDUAL MANUFACTURING ACTIVITIES (DIVISIONS 16,32,33)	9.47%	8,253	374
DETAIL OF PRODUCTS WITH HIGH PURCHASE FREQUENCY	5.46%	6,007	480
MEANS OF TRANSPORT	7.40%	5,386	330
NON-METALLIC MINERAL PROCESSING PRODUCTS	9.16%	3,827	213
ELECTRICAL ENGINEERING AND ELECTRONICS	4.06%	3,690	168
INTERMEDIATE PRODUCTS	5.52%	3,378	288
CIVIL ENGINEERING	-0.04%	3,023	466
FURNISHINGS	21.19%	2,115	263
METALLURGY	-2.46%	761	109
FINANCIAL AND INSURANCE ACTIVITIES	10.76%	550	86
CHEMICAL AND PHARMACEUTICAL PRODUCTS	3.92%	363	101
ENERGY PRODUCTS AND EXTRACTION	-11.93%	-	42
TOTAL		585,427	39,149

At 31 December 2021, for the counterparties benefiting from a COVID moratorium still in place, in order to assess any signs of deterioration and consequent changes to Stage 2, the Group introduced a floor on the pit rating used for accounting purposes, thus preventing improvements compared to the reference rating in December 2020. The impacts referable to the adoption on the cost of credit (EUR 29.0 mln) and on staging (EUR 721.7 mln) are shown below.



<i>EUR/thousand</i>	ECL	Stage 2
of which Retail	8,138	187,509
of which Corporate	20,853	534,168
<i>of which Agriculture</i>	<i>2,134</i>	<i>50,323</i>
<i>of which Commerce</i>	<i>2,485</i>	<i>82,851</i>
<i>of which Construction</i>	<i>2,422</i>	<i>30,341</i>
<i>of which Industry</i>	<i>3,846</i>	<i>157,425</i>
<i>of which Services</i>	<i>9,966</i>	<i>213,228</i>
TOTAL	28,991	721,677

The effects of the aforementioned overlays (CGS and floor rating pit), together with the asymmetry of the macroeconomic scenarios adopted more broadly described in the following paragraph, act through the SICR logic of the Delta lifetime PD, therefore with an increase in the steps to stage 2 and Expected Credit Loss (ECL) totalling approximately EUR 1,646 mln and EUR 130 mln respectively.

Measurements of expected losses

The methodology for estimating the Expected Credit Loss (ECL) adopted for the purposes of the determination of value losses on loans in accordance with the IFRS 9 international standard is carried out, as previously indicated, at the level of individual transaction or security tranche, starting from IRB modelling for the parameters of Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD), to which appropriate adjustments are made, in order to ensure compliance with the requirements of the standard.

In particular, the measurement of financial assets reflects the best estimate of the effects of future conditions, especially in relation to the economic context, on which the forward-looking PD and LGD are dependent. In the context of IFRS 9, also based on indications from international Regulators, importance is given in particular to information on future macroeconomic scenarios in which the Group may operate and clearly affects the situation of borrowers in reference to both the “riskiness” that exposures migrate to lower quality classes (thus referring to “staging”) as well as recoverable amounts (thus the calculation of expected loss on exposures). From a methodological perspective, in compliance with the provisions of IFRS 9, based on which the ECL estimate must result from the weighting of a range of possible forward-looking scenarios (“probability weighted”), the impairment model adopted by the Group provides for the use of a baseline scenario, i.e. the use of the scenario that is believed to be most likely, together with two alternative scenarios.

The scenarios are developed internally by the Study and Research Function, also on the basis of forecasts contributed by a leading external supplier, they are approved by the Board of Directors and are also adopted in other processes of the Group that use forward looking elements such as the Risk Appetite Framework (RAF), Recovery Plan, budget, forecast, impairment tests of goodwill and investments, and finally DTA recovery tests. A detailed description of the scenarios adopted by the Group is provided in Part A - Section “A. 2 - The main items of the accounts” and in particular in paragraph “Risks, uncertainties and impacts of the COVID-19 epidemic - The quantification of impairment losses on loans”, to which reference is made.

It should be noted that in 2020 the Group had suspended the periodic updating of the scenarios, remaining anchored to the Jan 20-Dec 22 three-year period (and not Jan 21-Dec 23 as per the usual update), believing that the recession and the consequent defaults had not yet occurred due to the moratoria in place and the outdated financial statements of the corporate counterparties. This overlay was therefore used as it was intended to “correct” the estimate of the expected default flows to incorporate the effect that the moratoria had on the passages into default during the period of their validity. This overlay was discontinued in the current year, in fact, starting from September 2021, the forward looking estimates (2022-2024) were updated due to the gradual disappearance of the support measures and the updating of the financial statements of the corporate counterparties.

In particular, as at 31 December 2021 for the purposes of estimating the ECL, given the persisting uncertainties on the trend of the pandemic and the potential emerging risks (military aggression by Russia against Ukraine, commodity prices, inflationary pressures and interest rate trends), the Group has revised the approach with respect to “multiple” scenarios. Instead of the traditional approach that involves the use of a baseline scenario, an improving scenario and a worsening scenario, weighed on the basis of the reference percentiles (it should be



remembered that in 2020 the weightings were as follows: baseline (42.62%), improvement (36.07%), worsening (21.31%), for the purposes of estimating the ECL the most probable scenario (baseline) and two alternatives scenarios, both worsening (“extreme worst” and “severe but plausible”), were taken into consideration, all three with the same weighting and therefore combined via a simple average.

This overlay acts through the SICR logic of the lifetime PD Delta, thus increasing the steps to Stage 2 and ECL. The following table shows the details by macro-branch.

<i>EUR/ thousand</i>	ECL			
	Stage 2	Performing	Non-Performing	Total
Of which Retail	57,367	5,014	9,908	14,922
of which Corporate	281,226	31,836	15,780	47,616
<i>of which Agriculture</i>	13,951	1,891	768	2,659
<i>of which Commerce</i>	61,480	4,530	3,604	8,135
<i>of which Construction</i>	21,377	5,072	1,910	6,982
<i>of which Industry</i>	91,822	7,343	3,487	10,830
<i>of which Services</i>	92,596	13,000	6,009	19,009
Total	338,592	36,850	25,688	62,538

Information is provided below on the main macro-economic and financial indicators used in the “baseline”, “extreme worst” and “severe but plausible” scenarios for the 2022-2024 three-year period, whose estimate was developed in October 2021.

- the “baseline” scenario appears to be a robust growth scenario characterized by an expansion of Italy’s GDP of 3.83% in 2022, 2.79% in 2023 and 1.97% in 2024 and an unemployment rate decreasing from 10.37% in 2022 to 9.44% in 2024. The price of property in Italy is expected to grow within a range between 1.37% and 1.79%, with reference to residential properties and between 0.81% and 1.80% with regard to non-residential properties;
- the “severe but plausible” scenario is also a growth scenario, however, characterized by a more moderate expansion of Italy’s GDP of 2.39% in 2022, 1.90% in 2023 and 1.49% in 2024 and an expected unemployment rate increasing from 10.88% in 2022 to 11.71% in 2024. The trend in property prices in Italy is expected to increase, but to a lesser extent than in the baseline scenario;
- the “extreme worst” scenario is characterized by a very moderate growth in Italy’s GDP, by an unemployment rate expected to rise, from 11.52% in 2022 to 14.02% in 2024 and by a trend in property prices in Italy expected to decrease in the case of residential properties.



		GDP	Italian residential Property Price Index	Italian non residential Property Price Index	EUR 3M	Unemployment rate	Consumer Price Index
Baseline	2022	3.83%	1.37%	0.81%	-0.49%	10.37%	1.51%
	2023	2.79%	1.77%	1.64%	-0.38%	10.28%	1.42%
	2024	1.97%	1.79%	1.80%	-0.14%	9.44%	1.70%
Severe but plausibile	2022	2.39%	0.58%	-0.16%	-0.50%	10.88%	1.59%
	2023	1.90%	0.40%	0.01%	-0.39%	11.72%	1.05%
	2024	1.49%	0.61%	0.60%	-0.16%	11.71%	1.42%
Extreme Worst	2022	0.58%	-0.74%	-1.81%	-0.52%	11.52%	1.59%
	2023	0.83%	-0.95%	-1.33%	-0.41%	13.05%	1.01%
	2024	0.46%	-1.58%	-0.88%	-0.19%	14.02%	1.15%

The most significant macroeconomic variable for the purposes of determining the ECL is GDP and, therefore, it is the representative variable that drives all the others: the average value in the 2022-2024 three-year period is equal to 2.86%, 1.93% and 0.62 % respectively in the baseline, severe but plausible and extreme worst scenarios.

Inclusion of government guarantees

The acquisition of these guarantees, also in consideration of what was declared by ESMA, does not impact the calculation of the SICR of credit exposures, as the latter is not connected to the guarantees, but to the creditworthiness that remains specific to the counterparty, observing, however, for the purpose of measuring the expected loss to the extent that the guarantees are not subject to separate recognition in the financial statements and are considered an integral part of the contractual conditions governing the loans.

Starting already from the first half of 2021, a methodology refinement was introduced as part of the calculation of collective impairment of the exposures backed by state guarantees, through the application of an LGD parameter that took into account the mitigations attributable to the State, introduced and expanded with the “Cura Italia” and “Liquidity” decrees and in line with the ESMA and EBA guidelines. In detail, the Expected Credit Losses parameter was calculated using an LGD defined as a function of the probability of default (0.46%) and the recovery risk associated with Italy.

Sensitivity analysis of expected losses

As represented in the paragraph “Risks, uncertainties and impacts of the COVID-19 pandemic - The quantification of impairment losses on loans” contained in “Part A - Accounting policies”, the determination of expected losses on receivables involves significant elements of judgment, with particular reference to the model used to measure losses and the related risk parameters, to the triggers deemed to express significant credit deterioration and the selection of macroeconomic scenarios.

In particular, the inclusion of forward looking factors is particularly complex because it requires the formulation of macroeconomic forecast, the selection of scenarios and its relative probability of occurrence, as well as the definition of a model that is able to show the relationship between the aforementioned macroeconomic factors and the default rates of exposures subject to evaluation, as illustrated in the previous paragraph.

In order to assess how forward looking factors may influence expected losses, it is considered reasonable to carry out a sensitivity analysis in the context of different scenarios based on forecasts consistent with the evolution of the various macroeconomic factors. The innumerable interrelations between the individual macroeconomic factors are such as to render a sensitivity analysis of expected losses based on the individual macroeconomic factor of little significance.

The table below highlights the sensitivity for the main credit portfolios of the Group consisting of cash loans to customers, belonging to the corporate and retail segments of the 4 banks (Banca MPS, MPS Capital Services, MPS Leasing & Factoring and Widiba, which represent around 96% of the Group’s total gross exposure) net of credits classified in the portfolio of non-current assets held for sale and disposal groups. In line with the same approach adopted for the 2020 financial year, the analysis shows the impact from each level of risk on gross exposures, on the adjustments and on the coverage ratio in the cases where a weight equal to 100% of the baseline, severe but plausible and extreme worst scenarios, respectively, is used instead of the scenario defined as weighted - i.e. based



on the weighting (33.3%) that the Group has attributed to each scenario - used by the Group for estimating the level of risk and valuation adjustments as at 31 December 2021.

The weighted scenario used for the accounting valuations at 31 December 2021 is placed, in terms of adversity, between the severe plausible and the extreme worst. In particular for performing exposures:

- the sensitivity of the portfolio to the extreme worst scenario would see i) a sliding of counterparties into Stage 2, whose exposure would undergo an increase of EUR 581 mln (+5%), with a consequent increase in the 2021 ECL estimated at around 13% (approximately EUR 45 mln), and a higher average coverage of around 22 bps, ii) a moderate reduction into stage 1, whose exposure would undergo a decrease of EUR 581 mln (-1%) with an increase in ECL of around 4% (around EUR 3 mln) and an average coverage that is substantially stable;
- the sensitivity of the portfolio to the severe but plausible scenario would see i) a decrease in counterparties into Stage 2, whose exposure would undergo a decrease of around EUR 185 mln (-1.5%), with a consequent decrease in the 2021 ECL estimated at around 1.4% (approximately EUR 5 mln), with an average coverage substantially unchanged, ii) a moderate increase both in terms of exposures equal to around EUR 185 mln (+0.3%) and related ECL equal to approximately EUR 0.6 mln (0.7%) for stage 1 and an unchanged average coverage;
- vice versa, the sensitivity analysis of the portfolio to the baseline scenario would see i) a more marked reduction in the stock of positions in Stage 2 equal to EUR 418 mln (-3.3%) with a potential economic benefit on 2021 ECL down by 10% (approximately EUR 36 mln), and consequent decrease in the coverage ratio of around 20 bps, ii) a slight increase in counterparties in stage 1 whose exposure would undergo a growth of EUR 418 mln (+1%), a decrease in ECL of around 4% (around EUR 3 mln) and an average coverage substantially unchanged.

Expected credit loss- Stage 3

With reference to the models used to determine the expected losses on exposures classified in stage 3, i.e. on non performing exposures, please refer to the paragraph “Methods for determining impairment of IFRS 9 financial instruments (impairment)” contained in Part “A.2 - The main items of the accounts”.

As represented in paragraph “Use of estimates in preparing the financial statements” contained in “Part A Accounting policies”, the determination of expected losses on non-performing loans involves significant elements of judgment, with particular reference to the estimate of the cash flows deemed recoverable and the relative recovery time.

More specifically, at 31 December 2021 the expected losses on non-performing loans are determined analytically on the basis of the recovery forecasts, developed by the manager or resulting from the application of statistical calculation methods, discounted according to the original effective interest rates and the related recovery timing.

The sensitivity analysis of the adjustments to non performing exposures would see an increase in the extreme worst scenario of around EUR 41 mln (+2.2%) and a decrease of around EUR 3 mln (-0.2%) and EUR 38 mln (-2.0%) respectively in the severe but plausible scenario and in the baseline scenario

However, it is not possible to exclude that a deterioration in the debtor’s credit situation, also as a consequence of the possible negative effects on the economy related to the uncertainty of the international spread of COVID-19, as well as Russia’s military invasion of Ukraine, could lead to the recognition of further losses, even significant ones, compared to those considered as at 31 December 2021 on the basis of the conditions existing at the balance sheet date.



	Scenario (Delta in EUR/Mln)			
	Weighting	Extreme worst	Severe but plausible	Baseline
STAGE 1 Gross exposure	62,369.10	(581.06)	184.89	418.16
of which CORPORATE	34,747.80	(505.50)	154.60	294.06
of which RETAIL	27,621.30	(75.56)	30.29	124.10
STAGE 1 Value Adjustments	76.26	2.79	0.55	(3.31)
of which CORPORATE	54.27	1.24	0.19	(2.60)
of which RETAIL	21.99	1.55	0.36	(0.71)
STAGE 1 coverage ratio (%)	0.12%	0.01%	0.00%	-0.01%
of which CORPORATE	0.16%	0.01%	0.00%	-0.01%
of which RETAIL	0.08%	0.01%	0.00%	0.00%
STAGE 2 Gross Exposure	12,649.63	581.06	(184.92)	(418.16)
of which CORPORATE	9,766.43	505.50	(154.63)	(294.06)
of which RETAIL	2,883.20	75.56	(30.29)	(124.10)
STAGE 2 Value Adjustments	357.62	45.28	(4.92)	(35.72)
of which CORPORATE	278.65	39.72	(4.10)	(29.82)
of which RETAIL	78.97	5.56	(0.82)	(5.90)
STAGE 2 coverage ratio (%)	2.83%	0.22%	0.00%	-0.20%
of which CORPORATE	2.85%	0.25%	0.00%	-0.23%
of which RETAIL	2.74%	0.12%	0.00%	-0.09%
STAGE 3 Gross Exposure	3,940.23	-	-	-
of which CORPORATE	3,052.82	-	-	-
of which RETAIL	887.41	-	-	-
STAGE 3 Value Adjustments	1,868.87	41.24	(2.94)	(38.32)
of which CORPORATE	1,593.94	32.30	(2.11)	(30.20)
of which RETAIL	274.93	8.94	(0.83)	(8.12)
STAGE 3 coverage ratio (%)	47.43%	1.05%	-0.07%	-0.97%
of which CORPORATE	52.21%	1.06%	-0.07%	-0.99%
of which RETAIL	30.98%	1.01%	-0.09%	-0.91%
TOTALE Value Adjustments	2,302.75	89.31	(7.31)	(77.35)
of which CORPORATE	1,926.86	73.26	(6.02)	(62.62)
of which RETAIL	375.89	16.05	(1.29)	(14.73)



2.4 Credit risk mitigation techniques

Risk mitigation techniques include those instruments that help reduce the loss that the Bank would incur in the event of a counterparty default, that is the Loss Given Default described in the previous paragraph; they include, in particular, guarantees and some contracts which lead to a reduction in credit risk.

The assessment of these mitigating factors is carried out by associating a Loss Given Default with each individual exposure which assumes higher values in the case of ordinary unsecured loans and is reduced, on the other hand, according to the incremental strength of any mitigating factors present.

The main forms of real guarantees for credit protection used by the Group include pledges, mortgages and other collaterals (insurance, guarantee funds).

As at today, the pledge of sums and the pledge of securities and mutual funds deposited with the Parent Company and mortgages on properties account for essentially all of the nominal amount of collateral received and all of them ensure full compliance with regulatory/legal/organisational requirements set out by the Supervisory Regulations for the enforcement of credit risk mitigation standards.

The Group has developed one single process for the acquisition of collaterals which is at the same time a working instrument and the expression of the Group's management policies. The management of collaterals is activated after loan disbursement is approved and its process is organised into a number of different stages:

- acquisition (including multiple acquisition): the controls of (formal and amount) consistency with the guarantees proposed during the authorisation phase are performed in this stage;
- adjustment/change/amendment: useful to amend the characteristics of a guarantee without interrupting loan protection;
- query: gives information about the present data and the historical trend of guarantees received;
- repayment/cancellation.

If the measures for monitoring collaterals on loans show operational irregularities during the acquisition phase or any inadequacies/losses of the values received as a pledge, events falling within the scope of credit monitoring policies are put in place, which trigger operational obligations of credit risk assessment.

The Group uses various credit protection instruments that can be summarised in the following categories: (i) Sureties (including omnibus sureties and personal guarantees given by third parties); (ii) endorsement; (iii) surety policy; (iv) credit mandate; (v) strong/binding letter of patronage; (vi) blank bills; (vii) independent warranty agreement; (viii) debt delegation; (ix) expromission; (x) takeover; (xi) personal guarantees under foreign law; (xii) credit derivatives: credit default swaps; total return swaps; credit linked notes.

The main lenders are listed below: (i) sovereign states and central banks; (ii) public sector entities and local authorities; (iii) multilateral development banks; (iv) supervised intermediaries; (v) guarantee institutions (Confidi); (vi) companies and individuals.

Nearly all personal guarantees refer to companies and individuals as guarantors. Only to a limited portion of these customers can an internal rating be assigned, since these guarantors are not borrowers of Group companies.

The main concentration of collaterals is linked with retail mortgage loans. However, it cannot be referred to as risk concentration by virtue of the principle of risk fragmentation which is implicit in this type of customers.

More generally, as regards mortgage collateral, an IT platform integrated within the Parent Company's systems has been introduced which is used to automatically transfer information about the property acquired from appraisers directly to those systems. The platform automatically updates all of the Parent Company's loan management applications and digitally archives the appraiser's documentation. It is also capable of standardising the set of information provided.

Appraisers are selected based on an individual analysis of their abilities, professional skill and experience, and are placed on a dedicated list of accredited professionals; their work is monitored continuously, including by checking any divergence between surveyed values and benchmark market data. Appraisers are required to prepare their estimates using valuation methods consistent with the Italian Banking Association's Guidelines for the appraisal of properties backing credit exposures.

For the phase of monitoring the assets pledged, the Group has a policy establishing the amounts of the secured exposure and the age of the appraisal, beyond which the properties are appraised again. For exposures lower than the thresholds defined, the Group in any event conducts half-yearly monitoring of the property value based on market data.



Moreover, in order to guarantee eligibility of the guarantees in the Credit Risk Mitigation process, a specific function within the Chief Lending Officer Department activates reappraisal processes when materiality thresholds are exceeded, processes that are consistent with the policy guidelines, with particular reference to the criteria for the age of the appraisal, exposure values, loan to value and deviations from geo-referenced assessments.

The disbursement of loans secured by collaterals is subject to specific control measures, differentiated by type of guarantee pledged, which are applied during the phase of disbursement and monitoring.

The general requirements for ensuring the legal certainty and enforceability of guarantees are verified by checking compliance with the following relevant conditions:

- binding nature of the legal obligation entered into by the parties and enforceability in the event of legal proceedings;
- documented evidence and enforceability of the instrument against third parties in all relevant jurisdictions for the purpose of its exercise and execution;
- timely liquidation in case of non-fulfilment;
- compliance with organisational requirements.

With reference to compliance with organisational requirements, mitigation of risk is ensured by:

- the presence of an IT system in support of the life cycle phases of the guarantees (acquisition, valuation, management, re-valuation and enforcement);
- the existence of regulated policies for the management of guarantees (principles, practices, processes), available to all users.

The presence of collateral or personal guarantees is reflected in the quantification of Expected Credit Losses (ECLs) of the financial statements. With regard to collective valuations, the main “transmission” channel is the Loss Given Default (LGD), one of the input parameters used for valuations: for this purpose, each exposure is divided into tranches, determined according to the different types of collateral that back the exposure and a specific LGD is calculated for each tranche.

With regard to analytical valuations, the presence and updating of the value of collateral is directly reflected in the case of a gone concern valuation approach, applied, beyond certain thresholds, to all bad loans and unlikely to pay exposures in which the going concern scenario is excluded, but also indirectly in a going concern scenario, where the change in the value of the company’s real estate assets may also impact historic and expected income flows. In the gone concern approach, specific haircuts are applied, calculated within historic series of the Group which contain the results of contracts awarded in real estate execution.

The system of controls set up to monitor impairment processes guarantees the substantial absence of cases relating to financial instruments for which no provision has been made to cover losses due to the collateral.

With regard to counterparty risk mitigation for OTC derivatives (unregulated) and for SFT (Securities Financing Transactions), the Group uses bilateral netting agreements that allow, in the event of default of the counterpart, the offsetting of credit and debit positions. This takes place through the signing of ISDA (International Swap Derivatives Association) and ISMA / PSA (International Securities Market Association/Public Securities Association) type agreements, which allow, in compliance with supervisory regulations, also the reduction of regulatory capital absorption. In addition, the Group has collateral agreements in place, mainly with daily margins, to hedge operations in OTC derivatives (Credit Support Annex), also by virtue of the obligation to marginalize derivatives that cannot be centrally cleared, provided for by EMIR regulations; for SFTs, the Bank puts in place daily margin agreements (GMRA - Global Master Repurchase Agreements and GMSLA - Global Master Securities Lending Agreement).

During 2021, within the regulatory framework set out by the Law Decree of 8 April 2020, the “Liquidity Decree”, the Group continued throughout 2021 in the grounding of consolidation measures for unsecured exposures and their transformation into medium/long-term loans guaranteed by SACE, with the simultaneous disbursement of additional credit in compliance with the provisions in place within letter E of Article 13 of the aforementioned decree.

With a view to optimizing capital absorption, in July 2021, the Group finalized two synthetic securitization transactions “Siena 2021-RegCap-1” and “Siena 2021-RegCap-Specialized Lending”, respectively for a portfolio of exposures mainly classified in Stage 2 and originating from the Parent Company, and a portfolio of exposures belonging to the Specialized Lending sector of the subsidiary MPS Capital Services S.p.A. For the details of the



transactions carried out in 2021, please refer to the contents of this chapter in paragraph C. Securitization transactions.

The significant transfer of risk (SRT) to investors was achieved for both transactions through the acquisition by a third-party investor of a financial guarantee in the form of a pledge on a term deposit. For the sake of completeness, it should be noted that, as at 31 December 2021, the transaction originated by the subsidiary MPS Capital Services S.p.A. did not meet the SRT criteria provided for by the prudential regulations and therefore the consequent equity benefit was not recognized in February 2022 the transaction was the subject of a restructuring and therefore of a further request to the Supervisory Authority.

3. Non-performing loans

3.1 Management strategies and policies

Non-performing financial assets include loans which, following the occurrence of events subsequent to their disbursement, show objective evidence of a possible loss in value.

Non-performing exposures (e.g. bad loans, unlikely to pay and non-performing past due; together, non-performing exposures) are classified into different risk categories by the Group in accordance with the regulations issued by the Bank of Italy, supplemented with internal provisions which set automatic criteria and rules for the transfer of loans between different risk categories. In particular, classification is carried out by bodies within the loan decision-making chain based on a process that provides for a series of codified controls aimed at guaranteeing proper asset classification, except for loans more than 90 days past due, which are measured using automated procedures. To activate the controls, default detection parameters have been integrated within the Group's business procedures (Credit Monitoring) so as to subject the most critical positions to assessment, including for any reclassification if required.

In 2021, the procedural mechanisms for the automatic default classification of counterparties with overdue forborne exposures were reinstated; the aforementioned automatisms had been temporarily suspended during 2020 in order to reduce in the most appropriate and efficient way the support initiatives for the benefit of customers in financial difficulty due to COVID-19.

As part of the definition of the 2021 credit strategies on companies, all customers were placed within the High Risk category that on the basis of sector forecasts and internal trend scores were part of a cluster with prevalent deleverage objectives ("Selective Management"); a dynamic strategic approach was defined on consumers based on internal and external risk profiles (Experian score).

The Group's procedures also manage the phases for transfer to non-performing categories, in particular forborne positions. A "forborne exposure" (as defined in Bank of Italy Circular 272) is a debt agreement for which measures of tolerance have been applied (otherwise identifiable as "forbearance measures"). The measures of tolerance consist of concessions - in terms of the amendment and/or refinancing of the pre-existing debt agreement - to the borrower who has or is on the verge of having difficulty in meeting its financial commitments (in other words, the borrower is in financial difficulty).

Forborne exposures are broken down into:

- "non-performing exposures with forbearance measures", pursuant to the Implementing Technical Standards (ITS) issued by the EBA. These exposures represent a sub-category of, depending on the case, bad loans, unlikely to pay or non-performing past due loans; therefore, they do not make up their own category of non-performing exposures;
- "forborne performing exposures", pursuant to the ITS.

If a new credit facility or a change in a credit line which amounts to a forbearance is requested, the manager is asked to evaluate the counterparty's financial difficulties. The manager, supported by the procedure, establishes whether the borrower is in financial difficulty and how severe it is. If the financial difficulties are deemed to be serious, the manager should decide, in addition to the forbearance, on whether to change the counterparty's classification from performing to unlikely-to-pay position.

Starting from 2021, in line with the regulatory provisions relating to the new definition of default, serious financial difficulty is always presumed when, after the concession measurement, a reduced financial obligation is determined beyond the 1% threshold.



Positions are classified into the various categories of non-performing assets at the proposal of the regional network responsible for the commercial relationship as well as peripheral and central specialised functions responsible for loan control and management.

For non-performing past due loans, classification as non-performing takes place via automatic procedures if specific objective conditions of default have been satisfied, with particular reference to overrunning days.

The return of non-performing exposures to performing status occurs at the initiative of the above-mentioned functions responsible for loan control and management, after it is verified that the critical conditions and state of insolvency during the “cure period” no longer apply; for positions affected by total moratoria measures for payments, the “cure” period runs from the expiry date of the suspension period.

With regard to non-performing past due loans, they are returned to performing status automatically when the exposure is paid up, after the expiry of a 90-days observation period during which the credit relations must not be affected by risk factors such as further past due events or the activation of default detection parameters.

Active management of loans begins at the first signs of impairment, with the support of the Credit Monitoring procedure, which, within the scope under ordinary management, first identifies non-performing positions (Pre-Interception Phase and Interception Phase) and subsequently routes them to dedicated management processes (Routing phase). More specifically:

Pre-Interception Phase: Outsourcing Customer Care

Retail and Small Business positions within certain amount limits and overdue thresholds, which have arrears of more than 5 days, are directed to an outsourced recovery path (soft phone collection) in order to resolve the payment anomaly and prevent the interception of the counterpart within the Risk List.

Interception phase: identification of high insolvency risk positions

The positions at ordinary risk that show worsening in the risk indicators such as, but not limited to, the performance risk indicator beyond certain thresholds (High IRA), the activation of default detection parameters, the presence of continuous overruns up to a maximum tolerance threshold of 20 days (7 days for forborne relationships), are intercepted weekly by means of a specific engine within the Risk List in order to be promptly routed into management paths created ad hoc for the follow-up of riskier positions (routing)

Routing phase: customer-type differentiated treatment of positions

This choice was based on the need for differentiating, even during the management approach phase, the processes by customer segment, in accordance with the customer service models, which envisage that a corporate client cannot be treated in the same way as a retail client and that specific client management needs should be met with ‘ad hoc’ processes. Ordinary-risk positions, reported as higher risk by the ‘screening’ engine, are routed to specific processing queues depending on the type of customer and credit facility involved:

1. ‘Mass Retail’ procedure, dedicated to Retail clients for which it is possible to activate mass debt collection;
2. ‘Standard Retail’ procedure, dedicated to the remaining Retail customers with more limited exposures and small-sized businesses with limited exposure;
3. a dedicated Corporate procedure for corporate customers.

As regards assessment, bad loans and unlikely to pay positions with a gross exposure exceeding a given threshold value (currently EUR 1 mln) are valued analytically. For all remaining non-performing exposures, the valuation is carried out statistically on the basis of parameters determined by Risk Management.

The evaluation is carried out at the time of their classification, when significant events take place, such as the shift of the counterparty towards another decision-making chain and, in any event, reviewed periodically. In particular, the loan valuation is subject to review any time knowledge is gained of significant events that could change prospects for recovery. For such events to be promptly taken into consideration, all borrower information is periodically monitored.

During 2021, the achievement of annual objectives regarding both for ordinary destocking (collections, balances on accounts and partial payments) and restatement to performing status have allowed to maintain a Gross NPE Ratio at around 4%. The NPE Strategy envisages for 2022, as it did in 2021, a strong commitment on portfolio management with a view to calendar provisioning, through constant monitoring of compliance with management strategies in order to accelerate returns, through out of court settlements, or alternatively proceed with a timely management reallocation from a workout perspective; the strategies defined follow on also from an update of the Group’s accounting policies with regard to allocations for fully unsecured exposures to unlikely-to-pay where minimum coverage floors are envisaged in the presence of exceeding specific vintage NPE thresholds.



In order to contain the Gross NPE Ratio within the limits reached, the 2022 non-performing strategies also provide for the activation of a competitive process for the on-the-market disposal of a perimeter of NPE loans through a “beauty contest”, in order to proceed with a deconsolidation that does not have a significant impact on the book value of the target loans.

Although in the context of difficulty identified following the COVID-19 emergency, the tracking of forborne exposures schedule remains a valuable tool for planning care activities.

Lastly, it should be noted that, starting from 1 January 2021, the Group adopted the New Definition of Default. The new regulations, while confirming the bases of default in the concepts of late payments and probable default of the debtor, introduces some significant changes mainly in relation to:

- “relative” and “absolute” materiality thresholds for the identification of the past due for the verification of the default which is calculated automatically if two thresholds (relative and absolute) are exceeded jointly for 90 continuous days; in particular, the relative threshold is equal to 1% of the exposure (previously 5%), to be compared with the ratio between the total amount past due and/or overrun and the total amount of all exposures recorded in the financial statements towards the same debtor; the absolute threshold is set at EUR 100 for Retail and EUR 500 for non-Retail, to be compared with the total amount past due and/or overrun by the debtor;
- the impossibility for the bank to offset the past due and/or overdue exposures existing on some of the debtor’s credit lines with the available margins existing on other credit lines granted by the same debtor;
- introduction of a probation period of 3 months (starting from the moment in which the positions no longer meet the conditions to be classified, as the case may be, among the Past due and/or unlikely to pay exposures) before returning the loan to the non-default status;
- specific thresholds as a trigger for classification among non-performing loans relating to:
 - costly restructuring (default is assumed if the loss from renegotiation exceeds 1%);
 - transfer with loss (default is assumed if the loss related to the deterioration of the counterparty’s credit risk exceeds 5%).

Despite the more stringent nature of the new significance thresholds and the elimination of the compensatory effect of credit lines overdue or overrun with the margins available on other credit lines of the same debtor, limited flows to Default of Past Due Impaired were recorded in 2021, also thanks to the strengthening of the preventive actions implemented during the year aimed at promptly detecting the signs of deterioration in the credit relationship. The stock of past due impaired at the end of 2021 settles at around 50 million euros, down by around 30% compared to the figure at the end of 2020.

Based on the new rules, the LGD applicable to this portfolio was also recalibrated for the purpose of analytical/statistical valuations. In this regard, reference is made for further details to paragraph “2.3 Methods of measuring expected losses” of these Notes to the consolidated financial statements.

3.2 Write-offs

As regards non-performing loans, the Group resorts to the write-off/cancellation - in whole or in part - of uncollectable bad debt (“write-offs”) and proceeds to the consequent allocation to losses of the residual not yet adjusted in the following cases:

- as a result of a voluntary waiver, when freely evaluating the financial condition of one’s debtors it is decided to write off part of the exposure towards them due to ascertained non-collectability, or
- when it is believed that the gross value is no longer fully or partially recoverable: this valuation does not imply the waiver of the credit or condition the recovery initiatives but it is an acknowledgment that at least part of the credit is not recoverable

The assumptions underlying an unrealistic assessment of recoverability, in relation to which it is considered appropriate to abandon interruption of the limitation period, occur when the composition, bankruptcy, enforcement and even inheritance procedures have come to an end, together with the absence of joint owners or guarantors to be enforced, as well as in cases of documentary verification of impossible and/or infeasible recovery from debtors/guarantors and, lastly, upon conclusion of out-of-court settlements.

The control process aimed at identifying the lack of realistic recovery prospects focuses on the counterparties with a given coverage level as well as a certain vintage.



Finally, it should be noted that the Group proceeds to totally/partially write-off, in compliance with the provisions of IFRS 9, at least the aged non-performing loans (understood as a period of permanence in the state of “non-performing” of more than 3 years) and with a write-down level of over 95%.

At the reporting date, the total exposures subject to write-offs relating to counterparties for which enforcement procedures (insolvency and/or executive) are still in progress is approximately EUR 34 mln, based on operational data.

3.3 Purchased or originated impaired financial assets

The purchased or originated financial assets (POCI) include financial instruments, acquired or originated, which were already credit impaired at their initial recognition, that is, they showed some signs of impairment in credit quality.

The accounting rules relating to POCIs apply to financial instruments measured at amortised cost or at fair value through other comprehensive income; that is, SPPI-compliant financial instruments in the HTC and HTC&S business models. For further details on the accounting treatment of this type of financial asset, refer to the paragraph “Purchased or originated credit-impaired (POCI) financial assets” in Part A - “Accounting policies” of the Notes to the consolidated financial statements.

The Group includes the following cases as POCI financial assets.

1. substantial changes to the loans (other than those that result in failure of the SPPI test), agreed with non-performing customers, to which derecognition accounting is applied, in accordance with accounting policy;
2. new credit facility to a non-performing counterparty;
3. acquisition of a portfolio of non-performing loans as part of business combinations;
4. purchase of individual financial instruments.

In particular, the first two refer to “Originated credit-impaired financial assets (OCI)” and the others to “Purchased credit-impaired financial assets (PCI)”.

Originated credit-impaired financial assets are identified as part of the lending procedure. Specifically, the PEF application used by the Credit function was appropriately supplemented for certain specific purposes of the credit facility: their selection and the presence of a non-performing status for the counterparty result in an “OCI flag” being raised on a single credit line. This reporting is passed on to summary systems for the necessary measurements, both for amortised cost as well as impairment.

For purchased credit-impaired financial assets, the event is processed by the respective business functions and reported through appropriate reporting systems to management.

The credit risk measurement, management, and control systems for these financial assets envisage, firstly, the definition of the estimated plan, that is, the contractual plan adjusted for expected credit losses. The latter is prepared by the Risk Management function or the Credit function, which, based on the forecasts, may also review it during the life of the credit transaction. This plan is used to calculate CEIR (credit-adjusted effective interest rate), that is, the rate that equates the present value of expected cash flows to the fair value at initial recognition in financial statements.

Based on the contractual plan, the operational services are also calculated including:

- outstandings on the estimated plan, by comparing contractual outstandings and the cash flows effectively expected by the estimated plan (these outstandings are, in fact, a component used in the impairment calculation for POCI instruments);
- adjustments to CEIR that allow contractual interest due, recorded by the various operational services, to be applied to the effective interest at the CEIR calculated in the estimated plan.

Credit risk is monitored on a monthly basis: information on contractual outstandings and outstandings on estimated cash flows are summarised in a report used by the various functions for the resulting measurements.

At the reporting date of these consolidated financial statements, the POCI portfolio of the Group, equal to a gross book value of EUR 20.7 mln (EUR 47.5 mln as at 31 December 2020), is mainly made up of transactions falling within the OCI category for approximately EUR 18.9 mln (EUR 47.5 mln as at 31 December 2020).



With regard to the OCI sub-perimeter, it should be noted that the Group did not implement further new disbursements and/or substantial credit changes in 2021 (other than those that led to the failure of the SPPI test) granted to already customers with non-performing exposures.

It should be noted that as at 31 December 2021, 43.9% of POCI exposures were reclassified as performing and 56.1% remained in the non-performing category, of which approximately 94% classified as bad loans.

4. Financial assets subject to commercial renegotiations and exposures subject to forbearance

Financial assets subject to commercial renegotiations

This category includes renegotiations of credit exposures - by changing the original contractual conditions - granted by the Group for commercial reasons to performing customers, with the objective of maintaining the relationship with the customer. The changes in question are divided into the two categories set out below, depending on the purposes and effects of the amended contracts agreed between the parties:

1. transactions that entail a change in the original payment schedule (re-scheduling), to the benefit of the borrower;
2. transactions that do not entail a change in the original payment schedule and that seek to adjust the debt burden to market conditions. These transactions result in a change in the original contract conditions, usually at the customer's request, which regard aspects associated with the debt burden.

Requests to reschedule the loan entail, in any event, the assessment of whether the customer is experiencing financial difficulties - in line with the preliminary review process for the loan - which is carried out based on predominantly objective assumptions to avoid errors in assigning the forbore classification and is also governed from a subjective/qualitative perspective by specific Group guidelines.

The Group's processes do not envisage massive initiatives aimed at renegotiation, but one-to-one evaluation approaches for the requests received, always managing the latter with a view to retention. This phenomenon is primarily attributable to the residential mortgages sector, using qualitative/quantitative metrics (based both on the risk-adjusted profitability and the market benchmark, or the level of pricing expressed by the banking system), appropriately associated with commercial valuations, such as the expected benefits deriving from maintaining or achieving the reference status with the individual customer.

Forborne exposures

Forbearance measures are activated, both on the retail as well as corporate segment, when a financial criticality emerges that may impact the counterparty's capacity to satisfy their financial commitments in relation to debt repayment.

To determine the sustainable forbearance measure, it is essential to verify the impacts of financial difficulty compared to debt: the forbearance measure is only implemented if the aforementioned impacts are deemed as being possible to overcome through use of said forbearance measure.

The degree of financial difficulty in which the customer finds themselves (serious or not) must be identified in order to determine the measure (suspension of payments or mere rescheduling of debt) and to allow the measure to be credibly aimed at solving the customer's difficulty.

To reach this objective in the corporate world, an analysis of historic data is not sufficient. Forecast and medium to long-term strategy information on the company must also be obtained; at the individual level, it is essential to assess the instalment/income ratio, the employment situation and the future commitments of the household.

The assessment of the financial difficulties of the counterparties that requested support measures with regard to the health emergency, with the consequent assignment of the forbore attribute, was carried out in 2021 through extraordinary portfolio revision plans, to which top-down level analyses were added with the common objective of ascertaining the existence, at the level of the single counterparty, of a situation of non-temporary financial difficulty. The analyses carried out led to the activation of the aforementioned attribute for approximately EUR 740 mln of total exposures; about 16% of the exposure was found to be in serious financial difficulty with consequent classification in the non-performing category.

A COVID-19 questionnaire was also prepared during the year to be submitted to customers in order to correctly define the financial needs of the counterparty in such a way as to calibrate the most appropriate measure.



Outside of the context of moratoria compliant with the EBA Guidelines, the preparation of concession measures (moratoria, rescheduling, changes in interest rate, etc.) taken by the Group was made by the High Risk function or other functions responsible for the management of non-performing loans and, as in 2020, the credit strategy pursued with customers in difficulty was aimed at the proposal of tailor-made forbearance measures, that are sustainable as regards the financial requirements of the counterparty in difficulty, privileging solutions of contractual changes that commit the customers to make payments already in the short term, as opposed to simply granting debt moratorium measures.

The Group is evolving in the way it generates new forbearance measures, acquiring a specific product portfolio that provides for legal acts of recognition, rescheduling and amortisation of debt, both for retail and corporate customers, differentiating the offer according to the type of secured/unsecured loans being measured, the duration of rescheduling and the Loan-to-Value of mortgage loans.

In general, these same products also envisage that the rate used in forbearance does not exceed the original contractual rate.

Furthermore, in compliance with the new rules on *default detection*, with particular reference to the quantification of the reduced financial obligation that is generated following a *forborne* measure, a calculation tool for verification has been integrated into the *origination* processes for checking that the threshold of 1% reduction in the Net *Present Value* is exceeded, which leads to the system requiring the classification as Unlikely to Pay of the beneficiary counterpart of the contractual amendment.

The dynamics recorded in 2021 in relation to the stock of forborne exposures was significantly influenced by the assessments of financial difficulty carried out on the COVID-19 portfolio⁵³. The increase in performing stock currently equal to EUR 2.2 bn (EUR 1.6 bn at 31 December 2020) is mainly attributable to the crash plans and the top-down revision analyses of the Covid portfolio aimed at assessing the financial difficulties described above. It should be noted that this impact is partially offset by the outflows to the fully performing state for approximately EUR 274 mln - down by approximately 52% compared to 31 December 2020- and by collections equal to approximately EUR 427 mln down by 6% compared to 2020.

In 2021, the default rate on positions subject to forbearance measures - equal to 12.8% and up compared to 8% in 2020 - was determined by the NPE classification carried out on the highest risk portfolio with a view to prevent the “cliff effect” that could have occurred at the time of the expiry of the suspension measures pursuant to the law and similar to such (ABI).

The performing stock thus detected at the end of 2021 is also characterized by a greater weight of the guaranteed component, equal to 90%, of which the majority are collaterals.

The amount of gross cash credit exposures to customers (performing and non-performing) subject to concessions is shown in the following table A.1.7bis, in the section Quantitative information - A. Credit quality, to which reference should be made for more details. With regard to the influence, in the process of assessing the SICR and measuring expected losses, of the measures to support the economy through payment moratoriums, please refer to the previous Paragraph 2.3 “Methods for measuring expected losses” of the previous Section.

With specific reference to impairment, note that all forborne exposures other than non-performing are classified in stage 2 and are valued, similarly to the exposures in stage 3, for an amount equal to the expected losses throughout the life of the loan. Any decrease in credit risk and the resulting classification in stage 1 and measurement of impairment for an amount equal to expected credit losses in the subsequent 12 months, is linked, in the absence of further indicators of significant increases in the risk of credit, to the return to the fully performing status of the exposure or to the loss of the forborne classification.

⁵³For further details, please refer to Section 2 “Risks of prudential consolidation -impacts deriving from the COVID-19 pandemic” of this Part E of the Notes to the consolidated financial statements.



Quantitative Information

A. Credit quality

A.1 Non-performing and performing loans: amounts, impairment (losses), changes, trend and breakdown by business sector

A.1.1 Prudential consolidation - Breakdown of financial assets by past due ranges (book values)

Portfolio/staging	Stage 1			Stage 2			Stage 3			Purchased or originated credit impaired		
	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days
1. Financial assets measured at amortised cost	129,206	-	-	114,862	91,339	96,695	66,030	94,474	1,096,402	-	-	1,781
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-	-	-	-	-	-	-
3. Financial assets held for sale	-	-	-	-	-	-	-	54	3,575	-	-	-
Total 31 12 2021	129,206	-	-	114,862	91,339	96,695	66,030	94,528	1,099,977	-	-	1,781
Total 31 12 2020*	209,604	-	-	171,746	140,783	221,943	42,824	55,140	1,321,370	-	-	3,922

* The comparative data have been restated to take into account the indications envisaged by the 7th update of Circular 262 of the Bank of Italy



A.1.2 Prudential consolidation – Financial assets, commitments to disburse funds and financial guarantees given: changes in overall impairment (losses) and total allocations

	Total impairment losses										Provisions for credit risk relative to commitments to disburse funds and financial guarantees given																				
	Stage 1 financial assets			Stage 2 financial assets			Stage 3 financial assets			Purchased or originated financial assets		Impaired financial guarantees given																			
	Current accounts with central bank and banks	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	Financial assets measured at amortised cost	Current accounts with central bank and banks	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and disposal groups	Financial assets measured at amortised cost	of which: portfolio adjustments	of which: specific write-downs	of which: portfolio adjustments	Stage 1	Stage 2	Stage 3	Purchased or originated impaired commitments to disburse funds and financial guarantees given	Total									
Opening balance of overall impairment (losses)*	366	87,771	7,289	-	-	95,425	-	517,625	600	-	-	-	-	518,225	8,996	1,779,893	-	13,537	1,129,384	673,041	12,106	-	-	11,510	596	12,269	11,190	114,221	5,748	2,571,611	
Increases from purchased or originated financial assets	-	9,767	751	-	21,534	-	-	-	-	-	-	-	-	21,534	-	38	-	-	-	-	-	-	-	-	-	-	1,637	1,189	-	42,606	
Derecognitions other than write-off	(1)	(8,597)	(895)	-	(41,875)	-	(9,493)	-	(170)	-	-	-	-	(42,045)	(8,996)	(117,285)	-	(13,537)	(118,241)	(21,577)	(5,669)	-	-	(5,667)	(3)	(828)	(1,023)	(8,821)	(54)	(207,751)	
Net impairment (losses) reversals for credit risk (+/-)	(167)	(141,772)	(3,048)	-	71,35	(367)	-	6,768	-	364,672	-	(500)	83,361	280,811	3,626	-	-	-	-	-	-	-	-	-	3,854	(228)	(23,397)	9,910	6,816	1,247	223,255
Modification gains/losses	-	(16)	-	-	(94)	-	(16)	-	(94)	-	(288)	-	-	(41)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(398)	
Change in evaluation methodology	-	(188)	-	-	-	(188)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(188)	
Write-off not recognised through profit or loss	-	(2)	-	-	(325)	-	(2)	-	(325)	-	-	-	-	(325)	-	(125,495)	-	-	(60,161)	(65,334)	-	-	-	-	-	-	-	-	-	-	(125,822)
Others	-	138,538	(24)	-	-	138,537	-	(146,595)	25	-	-	-	11,503	16,716	25,134	-	-	-	-	-	-	-	-	-	-	17,793	(3,765)	(8,528)	(5,503)	33,811	
Closing balance of overall impairment (losses)	198	85,521	4,073	-	-	89,793	-	357,405	88	-	-	-	-	357,494	-	1,931,882	-	11,003	1,051,056	891,828	10,063	-	-	-	9,697	365	13,527	17,049	104,877	1,438	2,537,124
Recoveries from collections of financial assets subject to write-off	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	7,520	
Write-off recognised through profit or loss	-	(14)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(16,585)	



The provision on trade receivables amounts to EUR 0.1 mln (EUR 0.8 mln at the beginning of the year); the decrease mainly refers to the reduction in the amount of these receivables, to the collection of EUR 93 mln of the operating receivable recorded in 2020 for EUR 103.9 mln as part of the property sale transaction to the counterpart Ardian.

During the 2021 financial year, total impairment provisions posted a total reduction, compared with 1 January 2021, of around EUR 34.5 mln - of which EUR 4.3 mln related to commitments to disburse funds and guarantees given - due almost entirely to value adjustments of financial assets measured at amortised cost classified in stage 3 (EUR +152.0 mln) and in stage 1 and 2 (EUR -162.4 mln). In particular, with reference to this accounting portfolio, the following elements contributed to this trend:

- the exposures classified in stage 1 and 2 recorded a net change of EUR -134.6 mln under the item "Net reversals for credit risk", this trend together with that recorded in the line "Increase from acquired financial assets originated" (EUR +31.3 mln) and in the line "Cancellations other than write-offs" (EUR -50.5 mln) equal to a total of EUR -153.8 mln finds correspondence in the net value reversals reported in the item "Loans to customers - loans" of table 8.1 "Net impairment (losses) for credit risk relating to financial assets valued at amortized cost" equal to EUR 147.1 mln. The difference of EUR 6.7 mln is attributable to costs recognized among the "Net impairment (losses)/reversals for credit risk" which have not found a counterpart in a movement in the adjustment provisions. The amount of EUR 147.1 mln of net write-backs is mainly attributable to the improvement in the quality of loans subject to the COVID-19 moratorium, which have regularly resumed payments, and updating the macroeconomic scenarios;
- the exposures classified in stage 3 recorded a net change of EUR +364.7 mln under the item "Net write-backs for credit risk", this sum of this amount and of the value and collection reversal of EUR -34.8 mln - included in the line "Cancellations other than write-offs" (whose overall value amounts to EUR -117.3 mln) -, the losses from sales of EUR +0.4 mln - reported in line "Other Changes" (total value of EUR 30.5 mln) - and "Net adjustments for collections on written off financial assets" for EUR +7.5 mln, is equal to a total of EUR 337.8 mln. The difference of EUR 6.2 mln compared to the amount of EUR 331.6 mln of net adjustments reported in the item "loans to customers - loans" of table 8.1 "Net impairment (losses)/reversal for credit risk on financial assets measured at amortised cost" is attributable to value reversal recognized under "Net impairment (losses)/reversals for credit risk" which have not found a counterpart in a movement in the adjustment provisions. The amount of EUR 331.6 mln of net adjustments includes, among other things, (i) releases on significant positions for which certain corporate events have improved the risk profile, (ii) adjustments linked to the aforementioned update of the scenarios, update of the LGD models and to certain methodological refinements relating to probable defaults of unsecured loans with a vintage date;
- reduction of provisions for "Write-offs" for EUR 125.8 mln. It should be noted that the cancellations not covered by the provision generated an impact on the income statement of EUR 16.6 mln corresponding to the amount shown in table 8.1 "Net impairment (losses) for credit risk relating to financial assets valued at cost"
- the line "Other changes" equal to EUR +22.3 mln is mainly attributable to the combined effect of a change of EUR +138.5 mln recorded at stage 1 and EUR -146.5 mln at stage 2. This trend is attributable to the migration of exposures from stage 2 to 1 which occurred in the context of performing loans following the updating of the macroeconomic scenarios;



4.1.3 Prudential consolidation – Financial assets, commitments to disburse funds and financial guarantees given: transfers among the different stages of credit risk (gross and nominal values)

Portfolio/Staging	Gross value / nominal value					
	Transfers between Stage 1 and Stage 2		Transfers between Stage 2 and Stage 3		Transfers between Stage 1 and Stage 3	
	From Stage 1 to Stage 2	From Stage 2 to Stage 1	From Stage 2 to Stage 3	From Stage 3 to Stage 2	From Stage 1 to Stage 3	From Stage 3 to Stage 1
1. Financial assets measured at amortis	4,564,607	6,074,710	811,258	131,830	349,478	97,582
2. Financial assets measured at fair value through other comprehensive income	9,057	-	-	-	-	-
3. Financial assets held for sale	983,652	2,454,880	64,385	7,663	62,969	376,181
4. Commitments to disburse funds and financial guarantees issued	983,652	2,454,880	64,385	7,663	62,969	376,181
Total 31 12 2021	5,557,316	8,529,590	875,643	139,493	412,447	473,763
Total 31 12 2020	7,584,794	2,899,579	755,401	177,601	376,896	17,240

4.1.3a Prudential consolidation – Loans subject to COVID-19 support measures: transfers between the different stages of credit risk (gross values)

Portfolio/Staging	Gross value / nominal value					
	Transfers between Stage 1 and Stage 2		Transfers between Stage 2 and Stage 3		Transfers between Stage 1 and Stage 3	
	From Stage 1 to Stage 2	From Stage 2 to Stage 1	From Stage 2 to Stage 3	From Stage 3 to Stage 2	From Stage 1 to Stage 3	From Stage 3 to Stage 1
A. Loans measured at amortised cost	1,117,573	1,041,428	208,182	2,243	88,677	1,970
A 1. EBA-compliant moratoria (legislative and non-legislative)	2,873	22,520	5,990	87	-	240
A 2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	109,272	241,539	38,076	445	17,629	840
A.3. Loans subject to other forbearance measures	114,980	1,777	115,128	784	24,631	-
A 4. Newly Originated Loans	890,448	775,592	48,988	927	46,417	890
B. Loans measured at fair value through other comprehensive income	-	-	-	-	-	-
B 1. EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-
B 2. Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	-	-	-	-	-	-
B 3. Loans subject to other forbearance measures	-	-	-	-	-	-
B 4. Newly Originated Loans	-	-	-	-	-	-
Total 31 12 2021	1,117,573	1,041,428	208,182	2,243	88,677	1,970
Total 31 12 2020	2,364,968	536,391	82,526	42,917	25,264	1,277

The data refer to loans subject to “moratoria” or other COVID-19 support measures in place at the reporting date, when the risk stage in which the exposures are included at the end of the year is different from the stage in which the exposures were included at the time of the concession.



A.1.4 Prudential consolidation – Balance sheet and off-balance sheet credit exposure to banks: net and gross values

31 12 2021

31.12.2021

Portfolio/quality	Gross exposures				Impairment (losses) and total provisions						Net Exposure	Total Partial Write-off*
	Total gross exposure	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Total impairment (losses) and total provisions	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired		
A. Balance-sheet exposure												
A.1 Demand												
a) Performing	-	X	-	-	-	-	X	-	-	-	-	-
B) Non Performing	1,018,088	1,018,088	-	X	-	198	198	-	X	-	1,017,890	-
A.2 Others												
a) Bad loans	12,181	X	-	12,181	-	12,168	X	-	12,168	-	13	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
b) Unlikely to pay	-	X	-	-	-	-	X	-	-	-	-	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
c) Past-due non performing exposures	527	X	-	527	-	237	X	-	237	-	290	-
- of which forborne	-	X	-	-	-	-	X	-	-	-	-	-
d) Past-due performing exposures	547	395	153	X	-	10	-	10	X	-	537	-
- of which forborne	-	-	-	X	-	-	-	-	X	-	-	-
e) Other assets not impaired	25,933,489	25,498,860	12,094	X	-	2,361	2,301	61	X	-	25,931,128	-
- of which forborne	-	-	-	X	-	-	-	-	X	-	-	-
Total A	26,964,832	26,517,343	12,247	12,708	-	14,974	2,499	71	12,405	-	26,949,858	-
B. Off-balance-sheet exposure												
a) Performing	6,993	X	-	6,993	-	267	X	-	267	-	6,726	-
b) Non performing	3,143,971	1,997,661	-	X	-	354	354	-	X	-	3,143,617	-
Total B	3,150,964	1,997,661	-	6,993	-	621	354	-	267	-	3,150,343	-
Total (A+B)	30,115,796	28,515,004	12,247	19,701	-	15,595	2,853	71	12,672	-	30,100,201	-

* Value to be presented for disclosure purposes

At the reporting date for these financial statements, the table does not include purchased or originated impaired financial assets.



4.1.5 Prudential consolidation – Balance sheet and off-balance sheet credit exposure to customers: net and gross values

31 12 2021

Portfolio/ quality	Gross exposures					Impairment (losses) and total provisions					Net Exposure	Total Partial Write-off*
	Total gross exposure	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired	Total impairment (losses) and total provisions	Stage 1	Stage 2	Stage 3	Purchased or originated credit impaired		
A. Balance-sheet exposure												
a) Bad loans	1,759,366	X	-	1,720,120	11,032	1,127,354	X	-	1,091,381	9,768	632,012	8,540
- of which forborne	332,189	X	-	323,317	-	183,805	X	-	176,637	-	148,384	1,548
b) Unlikely to pay	2,304,648	X	-	2,273,672	600	844,959	X	-	825,295	70	1,459,689	36,582
- of which forborne	1,202,657	X	-	1,173,193	600	427,960	X	-	408,796	70	774,697	32,870
c) Past due non performing exposures	60,708	X	-	60,633	-	13,811	X	-	13,803	-	46,897	72
- of which forborne	1,693	X	-	1,693	-	324	X	-	324	-	1,369	-
d) Past-due performing exposures	459,297	129,164	308,418	X	-	9,326	305	9,020	X	-	449,971	74
- of which forborne	17,836	-	17,836	X	-	1,015	-	1,015	X	-	16,821	-
e) Other assets not impaired	97,066,815	78,270,710	12,362,834	X	9,103	435,615	86,989	348,402	X	225	96,631,200	3,806
- of which forborne	2,222,374	19,612	2,164,106	X	7,653	132,756	88	132,446	X	222	2,089,618	1,487
Total A	101,650,834	78,399,874	12,671,252	4,054,425	20,735	2,431,065	87,294	357,422	1,930,479	10,063	99,219,769	49,074
B. Off-balance-sheet exposure												
a) performing	637,172	X	-	629,108	8,064	106,049	X	-	104,610	1,439	531,123	-
b) Non performing	43,293,881	35,584,725	1,559,989	X	1,186	43,939	13,139	17,049	X	-	43,249,942	-
Total B	43,931,053	35,584,725	1,559,989	629,108	9,250	149,988	13,139	17,049	104,610	1,439	43,781,065	-
Total (A+B)	145,581,887	113,984,599	14,231,241	4,683,533	29,985	2,581,053	100,433	374,471	2,035,089	11,502	143,000,834	49,074

* Value to be presented for disclosure purposes

Please see the Report on operations for quantification of and reporting on capital ratios for coverage of lending relationships.

For the detailed disclosure on originated impaired financial assets, please refer to Section 1 “Credit risk - Qualitative information” in the Notes to the consolidated financial statements.

As at 31 December 2021 the Group held some acquired non-performing loans - classified in the “Financial assets measured at amortised cost”. The receivables were recognized at the purchase price of EUR 1.8 mln, fully written down in order to adjust the net book value to the initial recognition fair value.



A.1.5a Prudential consolidation – Balance sheet credit exposures to customers object of COVID-19 support measures: net and gross values

31 12 2021

Tipologie finanziamenti/valori	Esposizione lorda					Retifiche di valore complessive e accantonamenti complessivi						Write-off parziali complessivi *
	Totale esposizioni lorde	Primo stadio	Secondo stadio	Terzo stadio	Impaired acquisite o originate	Totale rettifiche di valore e accantonamenti complessivi	Primo stadio	Secondo stadio	Terzo stadio	Impaired acquisite o originate	Esposizione Netta	
A. Finanziamenti in sofferenza:	7,680	-	-	7,680	-	1,375	-	-	1,375	-	6,305	-
a) EBA-compliant moratoria (legislative and non-legislative)	-	-	-	-	-	-	-	-	-	-	-	-
b) Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	768	-	-	768	-	318	-	-	318	-	450	-
c) Loans subject to other forbearance measures	210	-	-	210	-	17	-	-	17	-	193	-
d). Newly Originated Loans	6,702	-	-	6,702	-	1,040	-	-	1,040	-	5,662	-
B. Finanziamenti in inadempienze probabili:	386,397	-	-	386,397	-	90,819	-	-	90,819	-	295,578	282
a) EBA-compliant moratoria (legislative and non-legislative)	6,153	-	-	6,153	-	1,972	-	-	1,972	-	4,181	-
b) Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	57,331	-	-	57,331	-	15,294	-	-	15,294	-	42,037	-
c) Loans subject to other forbearance measures	207,200	-	-	207,200	-	52,300	-	-	52,300	-	154,900	282
d). Newly Originated Loans	115,713	-	-	115,713	-	21,253	-	-	21,253	-	94,460	-
C. Finanziamenti scaduti deteriorati:	3,971	-	-	3,971	-	368	-	-	368	-	3,603	-
a) EBA-compliant moratoria (legislative and non-legislative)	25	-	-	25	-	10	-	-	10	-	15	-
b) Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	661	-	-	661	-	110	-	-	110	-	551	-
c) Loans subject to other forbearance measures	416	-	-	416	-	97	-	-	97	-	319	-
d). Newly Originated Loans	2,869	-	-	2,869	-	151	-	-	151	-	2,718	-
D. Finanziamenti scaduti non deteriorati:	12,960	1,260	11,700	-	-	296	2	293	-	-	12,664	-
a) EBA-compliant moratoria (legislative and non-legislative)	610	-	610	-	-	6	-	6	-	-	604	-
b) Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	1,497	504	993	-	-	20	1	18	-	-	1,477	-
c) Loans subject to other forbearance measures	1,817	-	1,817	-	-	123	-	123	-	-	1,694	-
d). Newly Originated Loans	9,036	756	8,280	-	-	147	1	146	-	-	8,889	-
E. Altri finanziamenti non deteriorati:	12,101,641	8,672,395	3,424,506	-	137	75,056	7,915	67,131	-	9	12,026,585	97
a) EBA-compliant moratoria (legislative and non-legislative)	115,291	82,049	33,242	-	-	1,242	182	1,060	-	-	114,049	3
b) Loans subject to existing moratorium measures no longer compliant with GLs and not assessed as being subject to forbearance measures	1,278,895	825,858	453,037	-	-	13,696	2,084	11,612	-	-	1,265,199	6
c) Loans subject to other forbearance measures	497,436	15,478	477,218	-	137	32,574	50	32,514	-	9	464,862	88
d). Newly Originated Loans	10,210,019	7,749,010	2,461,009	-	-	27,544	5,599	21,945	-	-	10,182,475	-
Totale (A+B+C+D+E)	12,512,649	8,673,655	3,436,206	398,048	137	167,914	7,917	67,424	92,562	9	12,344,735	379

* Value to be presented for disclosure purposes

The table shows, in line with the Bank of Italy communication of 21 December 2021, the loans disbursed, subject to moratoria or other forbearance measures in place at the reporting date, or which constitute new liquidity granted with the support of public guarantees.

“EBA-compliant moratoria (legislative and non-legislative)” amount to EUR 122.0 mln in terms of gross value and mainly refer to concessions to performing customers granted in the context of the “Cura Italia” Decree and ABI agreements.

The “loans subject to existing moratorium measures no longer compliant with GL and not not assessed as being subject to forbearance measures” amount to a total of EUR 1,339.1 mln and refer to moratoria for which the analysis of the financial difficulty carried out by the Group did not result in the classification at forborne.

The “loans subject to other forbearance measures” amounted to a total of EUR 707.0 mln and refer to i) moratoria which - following the lapse of the EBA subsidy framework - were classified as forborne and ii) loans subject to COVID-19 support that meet the conditions of “exposure subject to concession”

“Newly Originated loans” outstanding as at 31 December 2021 were approximately equal to EUR 10,344.3 mln in terms of gross value; almost all of them were classified as performing loans.

A.1.6 Prudential consolidation - Balance-sheet credit exposure to banks: changes in gross non-performing loans

31 12 2021

Source/Categories	Bad loans	Unlikely to pay	Non-performing Past due
A. Gross exposure, opening balance	12,181	-	-
- of which: transferred but not derecognised	-	-	-
B. Increases	1	-	527
B.1 Transfers from performing loans	1	-	322
B.2 Transfers from purchased or originated credit impaired financial assets	-	-	-
B.3 Transfers from other non performing loans	-	-	-
B.4 Modification gains/losses	-	-	-
B.3 Other increases	-	-	205
C. Decreases	1	-	-
C.1 transfers to performing loans	-	-	-
C.2 write-offs	-	-	-
C.3 collections	1	-	-
C.4 amounts realised upon disposal of positions	-	-	-
C.5 Losses from disposal	-	-	-
C.6 transfers to other categories of non performing exposure	-	-	-
C.7 Modification gains/losses	-	-	-
C.8 other decreases	-	-	-
D. Gross exposure, closing balance	12,181	-	527
- of which: transferred but not derecognised	-	-	-

At the reporting date, there are no impaired financial assets purchased during the year through either business combination transactions or other types of acquisitions.

A.1.6-bis Prudential consolidation – Balance-sheet credit exposure to banks: changes in gross forborne exposures broken down by credit quality

This table is not used as the Group does not hold exposures subject to concession to banks for both the current and the previous year.



A.1.7 Prudential consolidation - Balance-sheet credit exposure to customers: changes in gross non-performing loans

31 12 2021

Source/Categories	Bad loans	Unlikely to pay	Non-performing Past due
A. Gross exposure, opening balance	1,517,504	2,439,085	75,589
- of which: transferred but not derecognised	84,200	181,471	2,068
B. Increases	512,269	1,164,871	63,307
B.1 Transfers from performing loans	51,606	1,016,167	52,846
B.2 Transfers from purchased or originated credit impaired financial assets	1,744	-	-
B.3 Transfers from other non performing loans	408,242	27,138	628
B.4 Modification gains/losses	1	261	3
B.5 other increases	50,676	121,305	9,830
C. Decreases	270,407	1,299,308	78,188
C.1 transfers to performing loans	15,167	196,797	23,659
C.2 write-offs	154,272	31,218	379
C.3 collections	66,448	538,838	24,558
C.4 amounts realised upon disposal of positions	3,371	6,708	-
C.5 Losses from disposal	1,856	173	-
C.6 transfers to other categories of non-performing exposure	1,686	405,196	29,126
C.7 Modification gains/losses	13	2,250	40
C.8 other decreases	27,594	118,128	426
D. Gross exposure, closing balance	1,759,366	2,304,648	60,708
- of which: transferred but not derecognised	86,341	70,803	6,816

In reference with bad loans, total revenues consist, by 20%, of judicial recoveries, 62% in extra-judicial transactions and the remaining 18% in payments from Guarantee Institutions; as regards income from disposal, about 42% comes from single name transactions.

It should also be noted that EUR 6.7 mln was collected during the 2021 financial year as a result of transactions involving the sale of non-performing loans.



A.1.7-bis Prudential consolidation – Balance-sheet credit exposure to customers: changes in gross forborne exposure broken down by credit quality

31 12 2021

Source/Categories	Non performing forborne exposures	Performing forborne exposures
A. Gross exposure, opening balance	1,282,756	1,578,449
- of which: transferred but not derecognised	48,564	28,739
B. Increases	628,232	1,603,718
B.1 Transfers from performing loans	292,560	1,299,996
B.2 Transfers from performing forborne exposures	201,884	X
B.3 Transfers from Non-performing forborne exposures	X	74,141
B.4 Transfers from Non-performing exposures	73,469	3,963
B.5 Other increases	60,319	225,618
C. Decreases	374,449	941,957
C.1 Transfers to performing loans	X	274,331
C.2 Transfers to performing forborne exposures	51,449	X
C.3 Transfers to non-performing forborne exposures	X	201,884
C.4 Write-offs	40,578	143
C.5 Collections	204,958	453,423
C.6 Amounts realised upon disposal of positions	5,008	-
C.7 Losses from disposal	173	-
C.8 Other decreases	72,283	12,176
D. Gross exposure, closing balance	1,536,539	2,240,210
- of which: transferred but not derecognised	48,186	64,296



A.1.8 Prudential consolidation - Non-performing balance-sheet credit exposures to banks: changes in overall impairment (losses)

Source/Categories	Bad loans		Unlikely to pay		Non-performing Past due	
	Total	of which forborne	Total	of which forborne	Total	of which forborne
A. Opening balance of overall adjustments	12,089	-	-	-	-	-
- of which: transferred but not derecognised	-	-	-	-	-	-
B. Increases	81	-	-	-	237	-
B.1 Net impairment of purchased or originated impaired financial assets	-	X	-	X	-	X
B.2 Other value adjustments	81	-	-	-	237	-
B.3 Loss from disposal	-	-	-	-	-	-
B.4 Transfers from other categories of non-performing exposures	-	-	-	-	-	-
B.5 Modification gains/losses	-	-	-	-	-	-
B.6 Other increases	-	-	-	-	-	-
C. Decreases	2	-	-	-	-	-
C.1 Write-backs from valuation	2	-	-	-	-	-
C.2 Write-backs from collection	-	-	-	-	-	-
C.3 Profit from disposal	-	-	-	-	-	-
C.4 Write-offs	-	-	-	-	-	-
C.5 Transfers to other categories of non performing exposure	-	-	-	-	-	-
C.6 Modification gains/losses	-	-	-	-	-	-
C.7 Other decreases	-	-	-	-	-	-
D. Closing balance of overall adjust	12,168	-	-	-	237	-
- of which: transferred but not derecognised	-	-	-	-	-	-

At the reporting date, there are no impaired financial assets purchased during the year through either business combination transactions or other types of acquisitions.



A.1.9 Prudential consolidation - Non-performing balance-sheet credit exposure to customers: changes in overall impairment (losses)

31 12 2021

Source/Categories	Bad loans		Unlikely to pay		Non-performing Past due	
	Total	of which forborne	Total	of which forborne	Total	of which forborne
A. Opening balance of overall adjustments	952,413	137,837	898,595	359,987	21,023	2,475
- of which: transferred but not derecognised	36,062	6,114	56,581	8,207	594	39
B. Increases	405,300	102,162	461,414	249,570	11,643	334
B.1 Net impairment of purchased or originated impaired financial assets	1,360	X	-	X	-	X
B.2 Other value adjustments	226,877	42,307	409,897	205,144	9,468	233
B.3 Loss from disposal	326	-	209	183	-	-
B.4 Transfers from other categories of non-performing exposures	174,262	58,151	8,758	4,129	198	12
B.5 Modification gains/losses	-	X	72	X	-	X
B.6 Other increases	2,475	1,704	42,478	40,114	1,977	89
C. Decreases	230,359	56,194	515,050	181,597	18,855	2,484
C.1 Write-backs from valuation	54,296	12,156	134,617	39,539	5,958	43
C.2 Write-backs from collection	12,465	5,013	102,664	21,759	2,337	205
C.3 Profit from disposal	82	55	13	-	-	-
C.4 Write-offs	154,818	35,057	31,218	5,511	379	9
C.5 Transfers to other categories of non-performing exposure	718	99	173,081	57,750	9,420	2,190
C.6 Modification gains/losses	1	X	376	X	5	X
C.7 Other decreases	7,979	3,814	73,081	57,038	756	37
D. Closing balance of overall adjustments	1,127,354	183,805	844,959	427,960	13,811	325
- of which: transferred but not derecognised	47,384	8,241	22,976	8,949	1,505	13

At the reporting date, there are no impaired financial assets that were purchased during the year through business combination transactions.



Exposure to sovereign debt risk

Below are the net sovereign credit risk exposures in government bonds, loans and credit derivatives held by the Group as at 31 December 2021, pursuant to the criteria of the European Securities and Markets Authority (ESMA).

The exposure is broken down by accounting categories. For securities classified as “Financial assets measured at amortised cost” and “Loans”, the book value (amortised cost) is also reported.

COUNTRY	DEBT SECURITIES					LOANS	CREDIT DERIVATIVES
	Financial assets measured at fair value through profit or loss		Financial assets measured at fair value through other comprehensive income		Financial assets measured at amortised cost	Financial assets measured at amortised cost	Financial assets held for trading
	Nominal	Fair value=book value	Nominal	Fair value=book value	Book value	Book value	Nominal
Argentina	0.3	-	-	-	-	-	-
Belgium	-	-	8.0	6.6	-	-	-
France	-	-	15.0	14.0	14.5	-	-
Italy	2,729.6	2,546.4	4,461.0	4,504.2	5,491.7	1,655.4	3,147.1
Mexico	0.1	0.1	15.0	14.0	-	-	-
Perù	-	-	2.0	1.9	-	-	-
Portugal	-	-	20.0	21.2	3.4	-	-
Romania	-	-	30.0	29.4	-	-	-
Spain	29.7	35.3	10.0	10.2	1,379.9	-	-
Sud Africa	-	-	5.0	5.5	-	-	-
Other Countries	4.9	5.1	-	0.1	(0.1)	-	-
Totale 31 12 2021	2,764.6	2,586.9	4,566.0	4,607.1	6,889.4	1,655.4	3,147.1
Totale 31 12 2020	158.7	42.0	4,796.5	4,897.7	7,241.0	1,749.9	3,415.9

Details on the Group's exposure is presented taking into consideration that, according to instructions from the European Securities and Markets Authority (ESMA), “sovereign debt” is defined as bonds issued by central and local Governments and by government Entities, as well as loans disbursed to aforementioned entities.

These financial instruments were measured according to the standards applicable to the category to which they belong.

As at 31 December 2021, the residual duration of the exposure to sovereign debt was 5.43 years. The overall exposure to loans and debt securities amounted to EUR 15,738.8 mln, almost entirely in Italian debt, and is concentrated in the portfolio of financial assets measured at amortised cost. Exposures to Italy are nearly exclusively level 1, with the exception of EUR 1,004 mln under level 2, attributable for EUR 776 mln to government bonds.



Following are the details of reserves on securities measured at fair value through other comprehensive income and of Italian credit derivatives (in EUR/mln):

AFS securities: Italy	31 12 2021	31 12 2020
Book value	4,504.2	4,859.9
O.C.I. reserve (after tax)	22.7	45.5
of which: hedging effect (after tax)	(53.6)	(90.5)

Credit derivatives - Italy	31 12 2021	31 12 2020
Purchase of protection		
Nominal	(150.0)	(208.1)
Positive fair value	-	-
Negative fair value	(7.0)	(5.7)
Sale of protection	-	-
Nominal	3,297.1	3,619.3
Positive fair value	3.5	2.8
Negative fair value	(100.6)	(119.4)



A.2 Classification of exposure by external and internal ratings

A.2.1 Prudential consolidation – Breakdown of financial assets, commitments to disburse funds and financial guarantees given by external rating class (gross values)

Exposures	External rating classes						No Rating	Total 31.12.2021
	Class 1	Class 2	Class 3	Class 4	Class 5	Class 6		
A. Financial assets measured at amortised cost	933,253	2,511,544	7,946,685	468,395	127,927	270,813	103,186,395	115,445,012
- Stage 1	933,253	2,511,089	7,946,185	450,144	112,636	240,106	86,515,480	98,708,893
- Stage 2	-	455	500	18,128	5,991	83	12,638,742	12,663,899
- Stage 3	-	-	-	123	9,300	30,624	4,011,439	4,051,486
- purchased or originated impaired financial assets	-	-	-	-	-	-	20,734	20,734
B. Financial assets measured at fair value through other comprehensive	32,384	-	4,950,306	227,140	-	-	4	5,209,834
- Stage 1	32,384	-	4,950,306	207,540	-	-	4	5,190,234
- Stage 2	-	-	-	19,600	-	-	-	19,600
- Stage 3	-	-	-	-	-	-	-	-
- purchased or originated impaired financial assets	-	-	-	-	-	-	-	-
C. Financial assets held for sale	-	-	-	-	-	967	14,680	15,647
- Stage 1	-	-	-	-	-	-	-	-
- Stage 2	-	-	-	-	-	-	-	-
- Stage 3	-	-	-	-	-	967	14,680	15,647
- purchased or originated impaired financial assets	-	-	-	-	-	-	-	-
Total (A+B+C)	965,637	2,511,544	12,896,991	695,535	127,927	271,780	103,201,079	120,670,493
D. Commitments to disburse funds and financial guarantees issued	116,423	463,121	772,936	1,556,138	101,463	20,165	36,897,568	39,927,814
- Stage 1	116,423	463,121	772,936	1,555,640	78,828	20,165	34,715,361	37,722,474
- Stage 2	-	-	-	498	22,635	-	1,536,857	1,559,990
- Stage 3	-	-	-	-	-	-	636,100	636,100
- purchased or originated impaired financial assets	-	-	-	-	-	-	9,250	9,250
Total (A+B+C+D)	1,082,060	2,974,665	13,669,927	2,251,673	229,390	291,945	140,098,647	160,598,307

class 1=AAA/AA-, class 2=A+/A-, class 3=BBB+/BBB-, class 4=BB+/BB-, class 5=B+/B-, class 6=lower than B-

The external rating categories used to complete the table are from Standard & Poor' s. The cash exposures taken into account are those of the Financial Statements reported in Table A.1.2 " Breakdown of financial assets by portfolio category and credit quality" while the off balance exposures are those in tables A.1.4 (exposures to banks) and A.1.5 (exposures to customers). If multiple external ratings are assigned, the rating is selected based on Bank of Italy' s criteria (when two ratings are available, the lower of the two is used, and when three or more ratings are assigned, the second highest rating is selected). To ensure relevance of information, internal cross-reference tables were used to convert classification by various rating agencies into classification by Standard & Poor' s.



A.2.2 Prudential consolidation – Breakdown of financial assets, commitments to disburse funds and financial guarantees given per internal rating class (gross values)

Exposures	Internal rating classes						Total 31.12.2021
	High quality	Average quality	Fair quality	Mediocre quality	Poor quality	Default	
A. Financial assets measured at amortised cost	4,572,393	19,503,575	29,314,850	11,147,302	853,367	3,704,238	46,081,337
- Stage 1	4,545,070	18,920,442	25,367,554	4,538,732	1,274	57	45,332,512
- Stage 2	27,323	583,133	3,945,901	6,600,817	851,889	426	648,690
- Stage 3	-	-	-	122	67	3,693,830	257,332
- purchased or originated impaired financial assets	-	-	1,335	7,631	137	9,925	1,706
B. Financial assets measured at fair value through other comprehensive income	-	10,425	486	-	-	-	5,198,923
- Stage 1	-	10,425	486	-	-	-	5,179,323
- Stage 2	-	-	-	-	-	-	19,600
- Stage 3	-	-	-	-	-	-	-
- purchased or originated impaired financial assets	-	-	-	-	-	-	-
C. Commitments to disburse funds and financial guarantees issued	-	-	-	-	-	15,647	-
- Stage 1	-	-	-	-	-	-	-
- Stage 2	-	-	-	-	-	-	-
- Stage 3	-	-	-	-	-	15,647	-
- purchased or originated impaired financial assets	-	-	-	-	-	-	-
Total (A+B+C)	4,572,393	19,514,000	29,315,336	11,147,302	853,367	3,709,885	51,280,260
D. Commitments to disburse funds and financial guarantees issued	3,967,533	9,616,659	10,834,435	2,549,006	89,317	643,405	3,267
- Stage 1	3,960,964	9,561,801	10,226,287	1,756,609	38,960	-	133
- Stage 2	6,569	54,858	607,844	791,515	50,357	-	2,430
- Stage 3	-	-	-	-	-	635,341	684
- purchased or originated impaired financial assets	-	-	304	882	-	8,064	-
Total (A+B+C+D)	8,539,926	29,130,659	40,149,771	13,696,308	942,684	4,363,290	63,504,452
							160,598,307

High Quality customers (Master Scale categories AAA and A1) Good Quality Customers (Master Scale categories A2, A3 and B1) Fair Quality customers (Master Scale categories B2, B3, C1 and C2) Mediocre Quality customers (Master Scale categories C3, D1, D2 and D3) Poor Quality customers (Master Scale categories E1, E2 and E3)

The table provides a breakdown of customers of the MPS Group by risk categories assigned on the basis of ratings arising from internal models. For this purpose, account is given only of exposures (borrowers) for which an internal ratings is periodically recorded for models/legal entities/portfolios which have been subject to a validation process with the regulatory authorities without any cross-reference from official ratings to internal ratings, especially with regard to the following customer segments: “ Banks,” “ Non-banking financial institutions,” and “ Governments and Public Administration” . Thus, based on this provision, exposures related to the latter segments, even if covered by official ratings, were reported as “ unrated” in the internal rating models.

As at 31 December 2021 the Group had outstanding trade receivables for a gross value of approx. EUR 35.3 mln. With regard to these receivables, the Group valued has assigned values to the loss coverage provision, using a benchmark rating (C2), equivalent to the average rating of the AIRB portfolio and a loss rate of 45%.



A.3 Breakdown of secured credit exposures by type of collateral

A.3.1 Prudential consolidation – Balance sheet and off-balance sheet secured credit exposure to banks

31.12.2021

31.12.2021															
	Gross exposures	Net exposures	Collaterals				Personnel guarantees								Total collaterals and personnel guarantees
							Credit derivatives					Unsecured signature loans			
			Real estate mortgages	Real estate leasing	Securities	Other collaterals	CLN	Other derivatives			Public Entities	Banks	Other financial entities	Other entities	
Central counterparties	Banks	Other financial entities						Other entities							
1. Secured balance-sheet exposures	813,830	813,824	981	-	807,168	-	-	-	-	-	-	-	-	-	808,149
1.1 totally secured	813,830	813,824	981	-	807,168	-	-	-	-	-	-	-	-	-	808,149
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1.2 Partially secured	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1. Secured off-balance sheet exposures	10,592	10,592	-	-	10,068	524	-	-	-	-	-	-	-	-	10,592
1.1 totally secured	10,592	10,592	-	-	10,068	524	-	-	-	-	-	-	-	-	10,592
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1.2 Partially secured	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

In addition to balance-sheet exposures, the table shows the amount of off-balance-sheet exposures to banks (including derivative contracts with banks) which are fully or partially secured. As regards personal guarantees, the economic segments to which guarantors and sellers of protection belong (in the case of unsecured loans and credit derivatives, respectively) are identified making reference to the classification criteria provided for in the brochure “classification of customers by segments and groups of economic activity” published by the Bank of Italy.

Exposures are classified as either “totally secured” or “partially secured” by comparing the gross exposure with the amount of the guarantee established in the contract; for that purpose, any supplemental guarantees are also considered.

The fair value of collaterals estimated as at the balance sheet date is shown in the columns “Real guarantees” and “Personal guarantees” or, if such information is not available, the contractual value is reported. Please note that both values may not be higher than the book value of secured exposures, in line with Bank of Italy Circular 262.



A.3.2 Prudential consolidation – Balance sheet and off-balance sheet secured credit exposure to customers

		Personal guarantees														Total collaterals and personnel guarantees 31 12 2021
		Collaterals		Credit derivatives			Unsecured signature loans									
				Other derivatives			Other financial entities									
Gross Exposure	Net Exposure	Real estate mortgages	Real estate leasing	Securities	Other collaterals	CLN	Central counterparties	Banks	Other financial entities	Other entities	Public entities	Banks	Other financial entities	Other entities		
1. Secured balance-sheet exposures:		68,533,950	66,765,403	39,301,188	2,171,277	5,622,817	1,828,815	-	-	-	-	26,384	2,466	688,321	14,771,894	64,413,162
1.1 Totally secured		60,074,225	58,450,075	39,270,317	2,087,123	5,499,904	1,678,315	-	-	-	-	26,113	983	600,320	9,144,066	58,307,141
- of which non perform		3,028,969	1,737,528	1,126,580	229,147	13,062	58,196	-	-	-	-	5,139	-	49,856	236,991	1,718,971
1.2 Partially secured		8,459,725	8,315,328	30,871	84,154	122,913	150,500	-	-	-	-	271	1,483	88,001	5,627,828	6,106,021
- of which non perform		254,405	139,533	3,831	-	8,727	1,041	-	-	-	-	-	-	4,680	97,680	115,959
2. Secured off-balance sheet exposures:		14,551,616	14,524,636	230,640	66,553	6,929,192	332,111	-	-	-	-	54	415	410,326	5,930,505	13,899,796
2.1 Totally secured		13,103,249	13,078,711	219,797	65,538	6,912,051	297,707	-	-	-	-	-	415	385,286	5,087,980	12,968,774
- of which non perform		147,471	130,826	3,531	966	2,000	1,819	-	-	-	-	-	-	9,102	107,458	124,876
2.2 Partially secured		1,448,367	1,445,925	10,843	1,015	17,141	34,404	-	-	-	-	54	-	25,040	842,525	931,022
- of which non perform		20,567	19,767	-	-	694	1,797	-	-	-	-	-	-	93	13,474	16,058

In addition to balance-sheet exposures to customers, the table shows the amount of off-balance-sheet exposures, including derivative contracts with customers, which are fully or partially secured. As regards personal guarantees, the economic segments to which guarantors and sellers of protection belong (in the case of unsecured loans and credit derivatives, respectively) are identified making reference to the classification criteria provided for in the brochure “classification of customers by segments and groups of economic activity” published by the Bank of Italy. Exposures are classified as either “totally secured” or “partially secured” by comparing the gross exposure with the amount of the guarantee established in the contract; for that purpose, any supplemental guarantees are also considered.

The fair value of collaterals estimated as at the balance sheet date is shown in the columns “Real guarantees” and “Personal guarantees” or, if such information is not available, the contractual value is reported. Please note that both values may not be higher than the book value of secured exposures, in line with Bank of Italy Circular 262.



A.4 Prudential consolidation – Financial and non-financial assets obtained through enforcement of guarantees received

	Derecognised credit exposure	Gross Value	Impairment (losses)	Book value	
					<i>of which: obtained during the year</i>
A. Property, plant and equipment	38,705	38,528	18,984	19,544	-
A.1. Used in the business	-	-	-	-	-
A.2. Held for investments	37,845	37,829	18,613	19,216	-
A.3. Inventories	860	699	371	328	-
B. Equity instruments and Debt securities	79,264	48,216	15,271	32,945	-
C. Other assets	-	-	-	-	-
D. Non current assets and group of assets held for sale	-	-	-	-	-
D.1. Property, plant and equipment	-	-	-	-	-
D.2. Other assets	-	-	-	-	-
Total 31 12 2021	117,969	86,744	34,255	52,489	-
Total 31 12 2020	269,658	81,273	27,863	53,411	1,246

The “Financial and non-financial assets obtained through enforcement of guarantees received” shown in the table above include assets:

- purchased in judicial auctions of Real Estate Owned Companies (REOCOs) consolidated for prudential purposes;
- resulting from non-redemption of assets in leasing and termination of non-performing finance lease contracts contributed by the subsidiary MPS Leasing & Factoring S.p.A.;
- from the subsidiary MPS Capital Services S.p.A. following “acceptance in return”.

As at 31 December 2021, the Group held financial instruments with a book value of EUR 32.9 mln (EUR 29.6 mln as at 31 December 2020), mainly pertaining to the Parent Company and classified in the accounting portfolio of “Financial assets mandatorily measured at fair value”, which represent financial assets not previously granted by the debtor as collateral for pre-existing loans granted, but acquired as part of bilateral agreements with the same, as a result of which the Parent Company arranged for the derecognition of the related credit exposure.



B. Breakdown and concentration of credit exposures

B.1 Prudential consolidation - Breakdown of balance sheet and off-balance sheet credit exposures to customers by business segment

Exposure/ Customers	Public entities		Financial companies		Financial companies of which insurance companies		Non-financial companies		Families	
	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)
A. Balance-sheet exposure										
A.1 Bad loans	395	333	1,652	26,625	-	-	391,343	851,478	238,622	248,917
- of which forbore	-	-	974	5,378	-	-	76,544	125,022	70,866	53,405
A.2 Unlikely to pay	38,043	8,921	14,738	6,342	-	-	912,258	656,107	494,650	173,589
- of which forbore	-	-	4,522	1,932	-	-	495,975	351,302	274,201	74,726
A.3 Past-due non-performing	1,440	524	21	10	-	-	21,085	5,135	24,351	8,142
- of which forbore	-	-	-	-	-	-	605	124	764	200
A.4 Other Performing	18,993,881	10,609	9,195,088	8,488	78,529	-	34,200,278	286,472	34,691,924	139,372
- of which forbore	11,706	136	36,896	111	-	-	1,282,568	91,767	775,270	41,757
Total A	19,033,759	20,387	9,211,499	41,465	78,529	-	35,524,964	1,799,192	35,449,547	570,020
B. Off-balance-sheet exposures										
B.1 Non-performing exposures	1,784	-	13,212	385	-	-	494,034	104,115	22,093	1,550
B.2 Performing exposures	5,044,136	30	9,772,047	222	27,775	-	25,909,232	40,890	2,524,528	2,796
Total B	5,045,920	30	9,785,259	607	27,775	-	26,403,266	145,005	2,546,621	4,346
Total (A+B) 31 12 2021	24,079,679	20,417	18,996,758	42,072	106,304	-	61,928,230	1,944,197	37,996,168	574,366
Total (A+B) 31 12 2020	25,087,139	139,162	21,939,053	38,944	109,106	-	62,627,901	1,972,996	38,109,478	493,930



B.2 Prudential consolidation - Breakdown of on- and off-balance-sheet exposures to customers by geographic area

Exposure/Geographic Areas	ITALY		OTHER EUROPEAN COUNTRIES		AMERICA		ASIA		REST OF THE WORLD	
	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)
A. Balance-sheet exposures										
A.1 Bad loans	602,722	1,075,013	27,964	51,711	1,010	169	165	72	151	388
A.2 Unlikely to pay	1,404,508	830,438	11,786	7,922	25,918	4,693	17,476	1,893	-	13
A.3 Past-due non-performing	42,779	13,409	3,927	369	2	12	1	16	188	4
A.4 Other performing exposures	93,531,251	439,898	3,194,660	4,029	230,913	402	70,929	451	53,418	161
Total A	95,581,260	2,358,758	3,238,337	64,031	257,843	5,276	88,571	2,432	53,757	566
B. Off-balance-sheet exposures										
B.1 Non-performing exposures	526,774	106,049	2,438	-	105	-	1,803	-	3	-
B.2 Performing exposures	41,808,283	43,890	1,335,989	32	48,896	16	24,068	-	32,706	-
Total B	42,335,057	149,939	1,338,427	32	49,001	16	25,871	-	32,709	-
Total (A+B) 31 12 2021	137,916,317	2,508,697	4,576,764	64,063	306,844	5,292	114,442	2,432	86,466	566
Total (A+B) 31 12 2020	142,432,484	2,551,596	4,819,679	70,496	315,406	12,681	122,366	9,783	73,634	476



B.3 Banking Group – Breakdown of on- and off-balance-sheet exposures to banks by geographic area (book values)

Exposure/Geographic Areas	ITALY		OTHER EUROPEAN COUNTRIES		AMERICA		ASIA		REST OF THE WORLD	
	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)	Net exposure	Total impairment (losses)
A. Balance-sheet exposures										
A.1 Bad loans	-	-	-	-	13	12,168	-	-	-	-
A.2 Unlikely to pay	-	-	-	-	-	-	-	-	-	-
A.3 Past-due non-performing	-	-	290	237	-	-	-	-	-	-
A.4 Other performing exposures	23,642,098	536	2,917,503	814	170,619	145	165,243	1,025	54,092	50
Total A	23,642,098	536	2,917,793	1,051	170,632	12,313	165,243	1,025	54,092	50
B. Off-balance-sheet exposures										
B.1 Non-performing exposures	-	-	3,554	267	3,172	-	-	-	-	-
B.2 Performing exposures	789,892	68	1,276,186	71	231,368	26	690,630	40	155,540	149
Total B	789,892	68	1,279,740	338	234,540	26	690,630	40	155,540	149
Total (A+B) 31 12 2021	24,431,990	604	4,197,533	1,389	405,172	12,339	855,873	1,065	209,632	199
Total (A+B) 31 12 2020	32,760,759	3,266	5,399,797	1,712	453,706	12,576	783,893	1,026	161,630	397



B.4 Large exposures

Item/Amount	31 12 2021	31 12 2020
a) Book value	78,526,181	93,444,237
b) Weighted value	1,107,091	3,666,974
c) Number	7	13

The legislation defines a position as “large exposure”, the exposure of an institution to a client or a group of connected clients when its unweighted value is equal to or greater than 10% of the Tier 1 capital of the institution same.

The increase over the year for the “Book value” is mainly due to the positive change in the deposit held with the Central Bank and in transactions with Central Counterparties, assets both excluded from the weighted value as per CRR art. 400 (1) letters a) and j) respectively; the decrease in the “Weighted value” for 2021 compared to 2020 is essentially attributable to the reduction in deposits with bank counterparties.



C. Securitisation transactions

Qualitative Information

Structures, processes and goals

Law 130/99 “Provisions on the securitisation of receivables” introduced in the Italian legal system the possibility of carrying out, through specifically established Italian companies, so-called SPV - Special Purpose Vehicle, securitisation transactions that allow to “transform” illiquid financial assets, capable of generating cash flows, such as loans, in tradable assets, i.e. in bonds called Asset Backed Securities (ABS).

The structure of a securitisation envisages the sale of the assets, recorded in the financial statements of a party (called Originator), to the Special Purpose Vehicle, which, to finance the purchase, issues bonds then placed on the market, paying the amount collected back to the transferor. The return and repayment of the securities issued are dependent on the cash flows generated by the assets sold.

With reference to securitisation transactions, the Montepaschi Group operates both as Originator of own securitisations, and as investor, through the subscription of third-party securitisations. To date, the Group has not promoted any securitisation activities as a sponsor.

In the context of own securitisations, a distinction can be made between:

- securitisation transactions placed entirely or in part on the market and originated with the aim of achieving economic benefits regarding the optimisation of the loan portfolio, the diversification of funding sources, the reduction of their cost and the matching of natural maturities for assets with those for liabilities (strictly speaking securitisations). In this context, the Group currently has two securitisation transactions “with derecognition”, i.e. that substantially transfer all the risk and return of the portfolio sold, and two transactions without derecognition;
- securitisation transactions in which the originator subscribes at the time of issue the set of liabilities issued and that are aimed at diversifying, strengthening and enhancing the available funding instruments, through the transformation of the transferred loans into securities that can be refinanced (self-securitisations). These transactions are part of the more general policy of strengthening the Group’s liquidity position and are not included in the disclosure of this section but in the “Liquidity risk” section.

The execution of securitisation transactions, keeping with the organisational model established at Group level for the governance and management of risks, is governed by specific internal regulations.

The Parent Company’s Structural Liquidity Service establishes general practices and coordinates activities in relation to securitisation transactions. The criteria and rules for managing securitisation transactions are instead determined by the Credit Portfolio Governance Area.

More specifically, for the securitisation of performing loans, the Credit Guarantees function, within the Credit Portfolio Governance structure, is responsible for managing aspects and obligations associated with servicing activities and for monitoring the performance of existing transactions through monthly and quarterly reports on collections of residual principal, positions in arrears and disputed positions arising from securitisation transactions. The same function prepares the summary statements containing the data of the portfolio sold and, as part of the management of critical issues, it reports cases that may pose potential risks for noteholders to the relevant functions.

For securitisations of non-performing loans, the servicing and debt collection performance control services are handled by market operators outside the Group.

Existing traditional securitisations, as they are carried out with consolidated SPVs, are described in paragraph “C.6 Prudential consolidation - Consolidated securitisation SPVs”.

Synthetic securitisation transactions

A synthetic securitisation has the main objective of creating value and optimising the use of capital by reducing the level of credit risk of the underlying portfolio (Significant Risk Transfer). In general, it is envisaged, through the stipulation of guarantee contracts, the purchase of protection of the credit risk underlying a loan portfolio, of which the Originator retains full ownership and the relative servicing management.

Synthetic securitisations are therefore aimed at transferring the credit risk from the *Originator* to an external counterparty. This transfer does not entail the derecognition of assets and, therefore, assets remain in the



Originator's financial statements. The reference legislation for these transactions is Regulation (EU) 575/2013 (Capital Requirements Regulation, "CRR"); in art. 245, it establishes the conditions under which the Significant Risk Transfer (SRT) criterion is met, i.e. the significant transfer of risk to third parties through real or personal credit protection. In particular, the SRT must be constantly monitored during the life of the transaction, in order to verify that the criteria envisaged by the regulations are respected.

Again in compliance with regulatory provisions (art. 405 CRR), the *Originator* must retain (*Retention*) a portion of the net economic interest equal to at least 5% of the nominal value of the securitized portfolio. In the structure of the transactions chosen by the Group, this means that at least 5% of each securitized loan is considered "unsecured" (Vertical slice or Vertical Retention).

The transaction is structured with a tranching (normally *Junior-J*, *Mezzanine-M* and *Senior-S* tranches) which is a function of the portfolio risk.

In 2021, the Group carried out two synthetic securitisation transactions, completed in July and named "Siena 2021 - RegCap-1" and "Siena 2021 - RegCap-Specialised Lending". For the first, starting from the accounting date of 30 September 2021, the significant transfer of risk was carried out, while the second was being restructured as of 31 December 2021 following the dialogue with the ECB. The restructuring process of the transaction was concluded in February 2022 and the significant transfer of the risk is expected starting from the accounting date of 31 March 2022.

The following table illustrates the characteristics of the synthetic securitization transactions carried out by the Group and outstanding at 31 December 2021.

Securitisation name	Securitistion Siena 2020 – FEI Transaction			Securitisation Siena 2020-RegCap-1	
1. Transaction characteristics					
Type of operation	Synthetic securitisation			Synthetic securitisation	
Originator/Service/Arranger/Calculation agent	Banca Monte dei Paschi di Siena S.p.a.			Banca Monte dei Paschi di Siena S.p.a.	
Purpose of the operation	Credit risk hedging			Credit risk hedging	
Guarantee Provider	European Investment Fund "EIF"			Private Investor	
Type of securitised assets	Loans to SMEs			Loans to SMEs	
Quality of securitised assets	performing			performing	
Closing date	18/12/20			18/12/20	
Portfolio nominal value	1,564,825,141.04			1,858,581,288.77	
Retention rate (%)	5% of securitised loans			5% of securitised loans	
Guarantees received	Personal unfunded guarantee			Guarantee in the form of pledge on a term deposit	
Legal expiring date	31/01/2041			31/12/2046	
Early termination clauses	Regulatory Event, Time Call, Clean-up Call, Tax Event			Regulatory Event, Time Call, Clean-up Call, Tax Event	
Rating Agency	N.a.			N.a.	
2. Tranching value and conditions					
	Senior	Mezzanine	Junior	Senior	Junior
- Guaranteed portfolio at the closing date	1,389,955,931.53	55,746,895.65	40,881,056.81	1,642,052,224.33	123,600,000.00
- % of the portfolio guaranteed	93.50%	3.75%	2.75%	93.00%	7.00%
- Total guaranteed	-	55,746,895.65	17,226,718.33	-	122,800,441.26
- Not guaranteed portfolio at the reporting date	768,283,698.73	-	17,226,718.33	832,660,623.27	-
Breakdown of the securitised asset by geographical area					
- North Italy	50.77%			58.25%	
- Center	21.05%			27.55%	
- South and Islands	28.18%			14.20%	
Total	100.00%	0.00%	0.00%	100.00%	0.00%
Major clients of securitised portfolio					
- Corporate				63.55%	
- SME	100.00%			36.45%	
- OTHER					
Total	100.00%	0.00%	0.00%	100.00%	0.00%



Securitisation name	Securitisation Siena2021-RegCap-1			Securitisation Siena 2021-Specialised Lending		
1. Transaction characteristics						
Type of operation	Synthetic securitisation			Synthetic securitisation		
Originator/Service/Arranger/ Calculation agent	Banca Monte dei Paschi di Siena S.p.a.			Banca Monte dei Paschi di Siena S.p.a.		
Purpose of the operation	Credit risk hedging			Credit risk hedging		
Guarantee Provider	European Investment Fund "EIF"			Private Investor		
Type of securitised assets	Loans to SMEs			Loans to SMEs		
Quality of securitised assets	performing			performing		
Closing date	23/07/21			23/07/21		
Portfolio nominal value	755,386,943.72			602,735,073.46		
Retention rate (%)	5% of securitised loans			5% of securitised loans		
Guarantees received	Guarantee in the form of pledge on a term deposit			Guarantee in the form of pledge on a term deposit		
Legal expiring date	31/12/2040			31/12/2036		
Early termination clauses	Regulatory Event, Time Call, Clean-up Call, Tax Event			Regulatory Event, Time Call, Clean-up Call, Tax Event		
Rating Agency	N.a.			N.a.		
2. Tranching value and conditions						
	Senior	Mezzanine	Junior	Senior	Mezzanine	Junior
- Guaranteed portfolio at the closing date	650,161,596.53	51,310,000.00	16,146,000.00	480,984,319.79	31,492,000.00	60,122,000.00
- % of the portfolio guaranteed	90.60%	7.15%	2.25%	84.00%	5.50%	10.50%
- Total guaranteed	-	51,310,000.00	-	-	28,450,560.77	54,315,528.22
- Not guaranteed portfolio at the reporting date	650,161,596.53	-	16,146,000.00	434,531,742.00	-	-
Breakdown of the securitised asset by geographical area						
- North Italy	37.99%			77.16%		
- Center	34.00%			16.29%		
- South and Islands	28.01%			6.55%		
Total	100.00%	0.00%	0.00%	100.00%	0.00%	0.00%
Major clients of securitised portfolio						
- Corporate	13.81%					
- SME	86.19%					
- OTHER	0.00%			100.00%		
Total	100.00%	0.00%	0.00%	100.00%	0.00%	0.00%

It should be pointed out, with reference to the “Siena 2020 – FEI transaction”, that the transaction was carried out by participating in the “SME Initiative Italy” launched by the European Investment Fund (EIF). Given an initiative co-financed by the European Union, with the contribution of various Member States and by the EIF itself, its objective is to allow member banks to reduce RWAs generated by the portfolio and, at the same time, provide support to companies located in eight Mezzogiorno regions, in Southern Italy (Abruzzo, Basilicata, Calabria, Campania, Molise, Puglia, Sardinia and Sicily), through the disbursement of loans under subsidised financial terms, giving them a benefit in terms of lower remuneration. Therefore, within the next three years, the Group will disburse an additional portfolio of loans with respect to the guaranteed one, under subsidised terms and allocated to SMEs located in the South of Italy.

To complete what is indicated in the previous pages, it should be noted - in relation to the organizational aspects and internal control systems - that the Group positively assessed the structuring of the synthetic securitization transactions described above as a capital optimization and value creation manoeuvre. In particular, the preparatory activities carried out by the competent Parent Company structures made it possible to assess their feasibility, economic convenience as well as the expected benefits in terms of capital.

The main organizational units responsible for managing synthetic securitization transactions are the Chief Financial Officer (CFO) and Chief Risk Officer (CRO) structures. Also thanks to the adoption of specific internal regulations, the roles and tasks relating to the performance of the activities relating to the various phases of the structuring activity as well as those relating to the monitoring and “on going” management of the operations are defined within these structures.

The Significant Risk Transfer (SRT) must be constantly monitored during the life of each transaction, in order to verify that the criteria envisaged by the regulations are respected.

Each operation is monitored by the Structures in charge also with regard to the economic convenience it offers for the Group. If critical issues or significant changes with respect to forecasts are found, information will be given to the Top Management. In this regard, it should be noted that early termination clauses have been formalized in the



contracts (“early termination”, such as “time call”, “clean up call” and others that can be applied in the event of significant changes in the regulatory and/or legislative provisions).

Lastly, as regards the accounting treatment, it should be noted that the aforementioned transactions were classified as financial guarantees; please refer to paragraph “Other significant accounting treatments - Purchase of protection from credit risk through financial guarantee contracts” of Part A of these Notes to the consolidated financial statements. It is also specified that the premium paid by the Group to the Investor for the protection of the credit risk is recognised under commission expense of the income statement. The enforcement of the financial guarantee received by the Investor upon the manifestation of the contractual conditions (“credit event”) and referring to the loans subject to securitization contributes to the overall determination of the income statement item “Net impairment(losses)/ reversals for credit risk”.



Quantitative Information

C.1 Banking Group – Exposures arising from major own securitisation transactions broken down by type of securitised assets and type of exposure

Quality of underlying assets/Exposures	Balance-sheet exposure						Guarantee issued						Lines of credit					
	Senior		Mezzanine		Junior		Senior		Mezzanine		Junior		Senior		Mezzanine		Junior	
	Book value	Impairment (losses)/reversals	Book value	Impairment (losses)/reversals	Book value	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals	Net exposure	Impairment (losses)/reversals
A. Fully derecognised	1,584,475	(1,040)	41,028	(5,214)	20,701	(24,914)	-	-	-	-	-	-	-	-	-	-	-	-
Non-performing loans	1,584,475	(1,040)	41,028	(5,214)	555	(9,836)	-	-	-	-	-	-	-	-	-	-	-	-
Mortgages Loans	-	-	-	-	456	(754)	-	-	-	-	-	-	-	-	-	-	-	-
Shipping loans	-	-	-	-	19,690	(14,324)	-	-	-	-	-	-	-	-	-	-	-	-
B. Partially derecognised	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
C. Not derecognised	2,362,811	-	1,606,718	2	270,169	-	-	-	-	-	-	-	-	-	-	-	-	-
Residential Mortgages	-	-	921,023	2	62,453	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporate Loans	-	-	685,695	-	180,734	-	-	-	-	-	-	-	-	-	-	-	-	-
SME and Corporate mortgages (synthetic)	2,362,811	-	-	-	26,982	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	3,947,286	(1,040)	1,647,746	(5,212)	290,870	(24,914)	-	-	-	-	-	-	-	-	-	-	-	-
<i>of which non-performing</i>	1,584,475	(1,040)	92,078	(5,214)	16,408	(17,968)	-	-	-	-	-	-	-	-	-	-	-	-
<i>Others</i>	2,362,811	-	1,555,668	2	274,462	(6,946)	-	-	-	-	-	-	-	-	-	-	-	-

In relation to securitisation transactions with own underlying assets, the table indicates balance sheet exposures, unsecured exposures, and other forms of credit enhancement.

The table shows, for synthetic securitisations, the amount of risk retained among the transactions not derecognised from the financial statements.



C.2 Prudential consolidation - Exposures arising from major ‘third-party’ securitisation transactions broken down by type of securitised asset and type of exposure

31 12 2021

Type of securitised asset/Exposure	Balance-sheet exposure						Guarantees issued						Lines of credit					
	Senior		Mezzanine		Junior		Senior		Mezzanine		Junior		Senior		Mezzanine		Junior	
	Book value	Impairment (losses)/reversals	Book value	Impairment (losses)/reversals	Book value	Impairment (losses)/reversals	Book value	Impairment (losses)/reversals	Book value	Impairment (losses)/reversals	Book value	Impairment (losses)/reversals	Book value	Impairment (losses)/reversals	Book value	Impairment (losses)/reversals	Book value	Impairment (losses)/reversals
Other assets	5,955	(45)	6,960	(40)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Consumer credit	36,790	(135)	44,923	(400)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non performing loans	59,868	413	1,292	78	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Shipping loans	-	-	-	-	24,674	(18,842)	-	-	-	-	-	-	-	-	-	-	-	-
First mortgages real estate	-	-	-	-	614	(1012)	-	-	-	-	-	-	-	-	-	-	-	-
Residential mortgages	54,909	60	33,562	(59)	9,855	50	-	-	-	-	-	-	-	-	-	-	-	-
Non residential mortgages	37,295	247	22,403	1,976	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	194,817	540	109,140	1,555	35,143	(19,804)	-	-	-	-	-	-	-	-	-	-	-	-

The table provides the exposures taken by the Group for each third-party securitisation transaction as well as reporting the contractual type of assets sold. The column “Impairment (losses)/reversals” indicates the amount of any impairment (losses) and reversals during the year as well as depreciations and revaluations posted to the income statement or directly to equity reserves, in the case of securities in the portfolio “Financial assets measured at fair value through other comprehensive income”.

**C.3 Prudential consolidation - Stakes in special purpose securitisation vehicles**

31 12 2021

Securitisation/Vehicle company name	Registered office	Consolidation	Assets			Liabilities		
			Credit	Debt securities	Other	Senior	Mezzanine	Junior
2017 Popolare Bari RMBS S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	383,362		8,541	210,259	58,264	92,516
A-Best Fifteen S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	166,789		31,800	80,981	73,000	31,000
Argo Mortgage 2 S.r.l.	Via Cassa di Risparmio, 15 Genova	NO	30,163				813	29,350
Arrow CMBS 2018 - 1	3 George's Dock IFSC Dublin 1	NO	254,225			151,668	115,165	-
Aurium CLO VIII	32 Molesworth Street, Dublin 2, Ireland	NO	1,193,000			818,400	343,200	31,400
Aurorus 2020 BV	Prins Bernhardplein 200, Amsterdam (1097 MC)	NO	303,736		2,748	220,800	106,437	0
AutoFlorence 1 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	481,224			409,040	55,341	16,843
AutoFlorence 2 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	799,668			700,000	84,000	16,000
Autonoria 2019	1 Boulevard Haussmann, 75009 Paris	NO	472,587			335,537	113,421	23,630
Belvedere SPV	Via Vittorio Betteloni 2, Milan	NO	2,322,693		10,484	254,609	70,000	95,000
Berg Finance 2021 Designated Activity Company	5th Floor, 125 Old Broad Stt, London EC2N 1AR	NO	280,613			158,091	107,996	25,737
Berica ABS 3 S.r.l.	Via Battaglione Framarin, 18 Vicenza	NO	274,140		9,293		84,382	115,012
BlackRock European Clo	3rd Floor Kilmore House, Park Lane, Spancer Dock, Dublin 1, Ireland	NO	272,937			239,000	137	33,800
Brignole CO 2021-1 S.r.l.	Piazza Lina Bo Bardi 3, 20124 Milano	NO	264,484		2,728	237,000	48,200	20
Brignole CQ 2019-1 S.r.l.	Canada Square, Canary Wharf London, E14 5LB	NO	101,737		1,726	65,631	61,600	17,020
Bruegel 2021 DAC-Anleihe	5th Floor, The Exchange, George's Dock, Dublin 1, Ireland	NO	209,143			136,377	78,680	
Cartesian Residential Mortgages 5 SA	6, Rue Eugène Ruppert, Luxembourg (L-2453)	NO	285,120			254,722	26,400	4,850
Civitas SPV S.r.l.	Via Senatore Guglielmo Pelizzo 8-1, 33043 Cividale del Friuli	NO	226,061		17,253	59,818		
Cordusio RMBS Securitisation	Piazzetta Monte, 1 Verona	NO	475,716			937,483	236,400	
Deco 2019 - Valdi S.r.l.	Via Vittorio Betteloni 2, Milan	NO	222,230			122,000	81,000	19,230
Delft 2020 BV	Prins Bernhardplein 200, Amsterdam (1097 MC)	NO	191,785			70	500	202,199
Dilosk RMBS No. 4 DAC	Winchester House, 1 Great Winchester St, London EC2N 2DB	NO	297,338		3,776	244,479	49,920	17,258
Domi 2020-2 BV	Stadsplateau 10, 3521 AZ Utrecht, Netherlands	NO	202,533			171,493	31,040	10,695
Domi 2021-1 BV	Prins Hendriklaan 26, 1075BD Amsterdam, Netherlands	NO	322,959		4,418	284,219	38,740	19,307
Dutch Property Finance 2020-2 BV	125 Old Broad Street, London EC2N 1AR	NO	301,808		6,500	245,743	46,311	16,254
Dutch Property Finance 2021-1 B.V.-Anleihe	5th Floor, 125 Old Broad Stt, London EC2N 1AR	NO	512,877		10,455	434,769	66,390	26,142
Dutch Property Finance 2021-2 BV	125 Old Broad Street, London EC2N 1AR	NO	468,135		9,500	392,134	61,749	29,174
E-Carat 10	1 Boulevard Haussmann, 75009 Paris	NO	393,666			372,314	43,703	8,477
Eridano II SPV	Via V.Alfieri, 1 Conegliano (TV)	NO	287,416			246,536	25,400	83,520
Erna S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	262,634			190,071	56,775	15,790
European Residential Loan Securitisation 2019 - F-E Mortgages S.r.l.	125 Old Broad Street, London EC2N 1AR	NO	434,495		16,195	190,077	102,579	151,587
	Piazzetta Monte, 1 Verona	NO	63,544			28,880		7,630
Finance Ireland RMBS No.3	1-2 Victoria Buildings Haddington Road, Dublin 4, Ireland	NO	292,354			241,117	53,446	25
Fino 1 Securitisation S.r.l.	Viale Luigi Majno, 45 Milan	NO	372,000		7,963	141,388	69,640	50,311
Ft Santander Consumer Spain Auto 2020-1 Futura 2019	c/ Juan Ignacio Luca De Tena 13, 28027 Madrid	NO	363,852		4,274	312,622	48,630	2,600
	Via San Prospero 4, Milan	NO	164,218		5,365	108,795	37,000	8,000
Gedesco Trade Receivables 2020-1 DAC	C/Principe de Vergara, 131 planta 3ª, 28002 Madrid	NO	280,437			208,188	60,000	15,000
Glenbeigh 2 Issuer 2021-2 DAC	Canada Square, Canary Wharf London, E14 5LB	NO	572,172		10,526	387,395	155,560	1,010
Grand Canal Securities 2 Dac	Kilmore House, Park Lane Dublin 1	NO	397,199		5,131	123,787	67,809	218,839
Harmony French Home	3, Rue d'Antin, 75002 Paris	NO	565,963			468,539	95,500	25
InterMoney Titulization, SGTF, S.A.	C/Principe de Vergara, 131 planta 3ª, 28002 Madrid	NO	285,642		4,372	150,000		
Last Mile Logistics Pan Euro Finance DAC	5th Floor, 125 Old Broad Stt, London EC2N 1AR	NO	484,702			239,362	254,561	20
Mars 2006 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	109,468			8,061		67,700
Miravet S.r.l.	Rue Eugène Ruppert 6, L-2453 Luxembourg	NO	581,860		30,300	370,515	131,993	96,906
Mulcair Securities Designated Activity Company	28 Fitzwilliam Place, Dublin 2, D02 P282, Ireland	NO	286,402			140,129	98,100	41,500
Noria 2021	1 Boulevard Haussmann, 75009 Paris	NO	899,984		8,100	648,000	171,000	40,500
Norma Spv S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	62,415			6,639		55,776
Pearl Finance 2020	3, Rue d'Antin, 75002 Paris	NO	318,600			158,500	128,100	32,000
Pelmo S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	193,171			163,612	21,144	10,500
Pepper Iberia Unsecured 2019 DAC	1-2 Victoria Building, Haddington Road, Dublin 4, D04 XN32, Ireland	NO	105,365		1,487	42,453	42,500	14,000
Pietra Nera Uno S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	394,964		3,776	205,400	170,097	19,767
Pixel 2021	9, rue du Débarcadère, 93500 Pantin, France	NO	391,409			380,000	109	11,300
Primrose Residential 2021-1	5th Floor, 125 Old Broad Stt, London EC2N 1AR	NO	811,640		12,546	620,844	211,100	4,000
Progetto Quinto S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	321,784			278,058		53,071
Red & Black Auto Italy Srl	Via V.Alfieri, 1 Conegliano (TV)	NO	925,047			884,434	55,000	5,000
Sabadell Consumo 1 Fondo de Titulizacion	C/Lagasca 120, 28006 Madrid	NO	356,499		44,758	353,321	52,495	26,372
Sestante Finance 1 S.r.l.	Via M. Carucci 131, Rome	NO	79,133		7,637	26,958	40,080	20,997
Sestante Finance 2 S.r.l.	Via M. Carucci 131, Rome	NO	141,766		1,324	45,436	50,496	6,253
Sestante Finance 3 S.r.l.	Via M. Carucci 131, Rome	NO	243,043		2,517	111,613	89,502	8,610
Sharmrock Residential 2021- 1 DAC	5th Floor, 125 Old Broad Stt, London EC2N 1AR	NO	409,179		5,502	271,112	100,800	28,200
Siena Mortgages 10-7 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	YES	1,010,269		48,413	178,629	817,600	62,453
Siena Npl 2018 S.r.l.	Via Piemonte, 38 Rome	NO	3,226,192			1,583,168	874,464	768,560
Siena PMI 2016 Serie 2 Srl	Via V.Alfieri, 1 Conegliano (TV)	YES	890,370		93,723	58,093	745,300	180,700
Sunrise SPV Z80 S.r.l.	Via Vittorio Betteloni 2, Milan	NO	693,715		17,343	329,600	298,100	66,300
Tagus Sociedade de Titularizacao de Creditos S.A.	Rua Castilho, 20 Lisbon	NO	474,005		4,766	397,979	150	5,000
Taurus 2018-1 IT S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	218,758			121,717	99,055	
Total			29,682,396		- 455,242	17,928,875	7,335,752	3,060,736



Liabilities of third-party securitisation transactions do not have the remaining items different from the financial instruments issued, including cumulative profit (loss) for the year.

C.4 Prudential consolidation - Non-consolidated special purpose securitisation vehicles

The table shows the interests held by the Group in non-consolidated securitisation vehicles used for transactions in which the Group is an originator or investor. It also shows assets, liabilities and any off-balance sheet exposures, non-revocable credit lines and financial guarantees (in the column "Difference between exposure to risk of loss and carrying amount").

31 12 2021

Balance-sheet item/Type of structured entity	Accounting Portfolio Assets				Total Assets (A)	Accounting Portfolio Liabilities				Net book value (C=A-B)	Maximum exposure to loss (D)	Difference between exposure to loss and book value (E=D-C)
	Financial assets held for trading	Financial assets mandatorily measured at fair value	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income		Financial liabilities held for trading	Financial liabilities measured at amortised cost	Total Liabilities (B)				
Own Securitisation vehicle (originator)	-	86,824	1,579,163	-	1,665,987	-	20	20	1,665,967	1,665,967	-	-
ABS issuing Vehicle company (Investor)	278,720	-	16,262	18,828	313,811	-	-	-	313,811	313,811	-	-
Total	278,720	86,824	1,595,425	-	1,979,797	-	20	20	1,979,777	1,979,777	-	-

In the role of investor, we note the interests the Group (especially the subsidiary MPS Capital Services S.p.A.) holds in securitisation vehicles of the Italian banking system of performing and non-performing residential mortgages as well as those in vehicles with underlying consumer loans.

The interests held by the Parent Company and by the subsidiary MPS Capital Services SpA, as originator, relate to the following vehicles:

- Norma SPV: on 1 July 2017, as part of a securitisation of non-performing loans, also originated by banks outside the Group, Banca MPS and MPS Capital Services completed the sale of a portfolio of non-performing loans issued in the real estate and shipping sectors, consisting of 19 loans for a total of EUR 284.9 mln, of which:
 - no. 12 loans disbursed by the Parent Company for EUR 24.0 mln in the real estate sector and EUR 145.3 mln in the shipping sector;
 - no. 7 loans disbursed by the subsidiary MPS Capital Services for EUR 28.8 mln in the real estate sector and EUR 86.8 mln in the shipping sector.

To fund the acquisition of this portfolio, on 21 July 2017 the Vehicle issued Class A1, B, C and D ABS securities (the "securities") for the real estate sector and Class A1, B, C1, C2 and D ABS securities for the shipping sector. The senior classes of both the real estate and shipping transactions were placed with institutional investors, while the mezzanine and junior classes were subscribed by each transferring bank in proportion with the transferred loans. In particular, the MPS Group subscribed the following classes:

- Real Estate: Class B for a nominal amount of EUR 31.2 mln; Class C for a nominal amount of EUR 4.2 mln; Class D for a nominal amount of EUR 15.8 mln.
- Shipping: Class B for a nominal amount of EUR 75.5 mln; Class C1 for a nominal amount of EUR 32.7 mln; Class C2 for a nominal amount of EUR 10.4 mln; Class D for a nominal amount of EUR 105.6 mln.

During the first quarter of 2020, the Group carried out the derecognition of the loans underlying the securitization because, following the approval of the proposal for composition with creditors with RBD Armatori S.p.A., there were no risks or benefits linked to the ownership of the loans. As at 31 December 2021, the nominal value of the classes subscribed by the MPS Group is as follows:

- Real Estate: Class B EUR 10.6 mln; Class C EUR 4.2 mln; Class D EUR 15.8 mln.
- Shipping: Class B EUR 76.5 mln; Class C1 EUR 33.2 mln; Class C2 EUR 10.6 mln; Class D EUR 107.1 mln.

- Siena NPL 2018 S.r.l. In 2017, the Parent Company, together with other Group companies, completed a securitisation transaction on a portfolio of bad loans. The portfolio was sold on 20 December 2017 to the vehicle Siena NPL 2018 S.r.l., established for this purpose. The SPV financed the purchase of the portfolio through the issue of asset-backed securities with limited recourse of the Senior A1, Senior A2, Mezzanine and Junior class, centralized in dematerialized form at Monte Titoli S.p.A. and initially not listed on any regulated market in Italy and/or abroad.

On 9 January 2018, the transfer of 95% of the mezzanine notes to Quaestio Capital SGR on behalf of the Italian Recovery Fund (formerly Fondo Atlante II) was completed. In May 2018, at the end of the rating assignment process, the senior



notes were restructured into a single class, obtaining an investment grade rating from the 3 ratings agencies involved. The securities issued by the vehicle following the restructuring are therefore the following:

- (i) Senior A notes for EUR 2,918 mln, initial rating A3/BBB+/BBB (Moody's/Scope Ratings/DBRS). The outstanding amount as at 31 December 2021 was EUR 1,583 mln. The rating as at 31 December 2021 is Baa2/BBB+/BB high (Moody's/Scope Ratings/DBRS);
- (ii) Mezzanine B notes for EUR 847.6 mln, without rating and sold to the Italian Recovery Fund, for a portion of 95% of the issue. The outstanding amount as at 31 December 2021, also due to the capitalisation of the interest (payment-in-kind), was about EUR 874 mln;
- (iii) Junior notes for EUR 565.0 mln, without rating.

In June 2018, the sale of 95% of the junior notes made it possible to achieve, in addition to the sale of the mezzanine notes, the deconsolidation of the entire securitised portfolio. The remaining 5% of the junior and mezzanine notes was retained for the purpose of compliance with the "retention rule".

Lastly, in July 2018, the MEF granted, with a decree, the government guarantee (GACS) on the senior tranche of the securitisation. Obtainment of the GACS completed the entire securitisation process.

C.5 Prudential consolidation - Servicer activities - own securitisations: collections of securitised loans and redemptions of securities issued by the special purpose vehicle

As at 31 December 2021, the Group does not carry out servicer activities in its own securitisation transactions in which the assets sold have been derecognised in the financial statements pursuant to IFRS 9.

C.6 Prudential consolidation - Consolidated special purpose securitisation vehicles

The Group carried out securitisation transactions chiefly to optimise its liquidity profile; besides placing the available securities on the market, they were used to perform refinancing transactions with the ECB and repurchase agreements with the market.

The paragraphs below describe the characteristics of the Group's securitisation transactions originated in previous years and ongoing as at 31 December 2021 for which issued securities were, at least in part, placed on the market, as well as the information on the nature of the risks associated with the interests in consolidated securitisation vehicles.

In view of these transactions, the Parent Company allocated reserves in support of the vehicles, should such funds be needed upon occurrence of certain events. As at 31 December 2021, these reserves amounted to EUR 116.8 mln.

Own securitisations without derecognition of the underlying assets

The "own" securitisation transactions without derecognition, outstanding at the date of these financial statements, are Siena Mortgages 10-7 and Siena PMI 2016 Series 2.

Siena Mortgages 10-7 S.r.l.

On 30 September 2010, a portfolio of 34,971 performing residential mortgages originated by MPS was sold for the securitisation transaction to the vehicle Siena Mortgages 10-7 S.r.l., for approx. EUR 3,479.5 mln. As at 31 December 2021, the remaining debt balance (gross exposure in the financial statements) of the portfolio amounted to EUR 1,043.0 mln (14,461 outstanding mortgages).

To finance the acquisition of this portfolio, the Vehicle issued ABS notes in the classes hereinafter indicated (in parenthesis the rating attributed by the Fitch and DBRS agencies as at 31 December 2021):

- (i) Class A1 notes for a nominal amount of EUR 595.0 mln, repaid in full
- (ii) Class A2 notes for a nominal amount of EUR 400.0 mln, redeemed in full;
- (iii) Class A3 notes (AA/Aa3) for a nominal amount of EUR 1,666.9 mln, of which EUR 1,488.3 mln were redeemed;
- (iv) Class B notes (NR/Baa3) for a nominal amount of EUR 817.6 mln;
- (v) Class C notes (NR/NR) for a nominal amount of EUR 106.6 mln, repaid for EUR 44.2 mln.



A cash reserve of EUR 104.4 mln was established through the issue of Class C notes, the amount of which is equal to the target value as at 31 December 2021, i.e. EUR 104.4 mln.

Class A1 and A2 notes - now fully repaid - were sold on the market, whereas the remaining classes of notes issued were initially underwritten by the Bank; subsequently, this sold on the market also the Class A3 notes (as at 31 December 2021, a minimum share of the class A3 notes was repurchased on the market by the subsidiary MPS Capital Service). Market placement of these classes did not entail the derecognition of the underlying assets from the balance sheet of the Parent Company (transferor), which has substantially retained all risks and rewards associated with the ownership of the assets sold.

Siena PMI 2016 Serie 2 S.r.l.

In 2019, the Group finalised, through the vehicle called Siena PMI 2016 S.r.l., a securitisation transaction of a portfolio of performing loan agreements granted to Italian small to medium sized enterprises, in the amount of EUR 2,258.4 mln for a total of 21,595 loan agreements. As at 31 December 2021, the remaining debt was EUR 906.7 mln, for a total of 11,384 loan agreements.

Following the acquisition of the portfolio, which occurred on 12 April 2019, the Vehicle issued, on 19 June 2019, ABS notes in the classes hereinafter indicated (in parenthesis the rating attributed by the Fitch and DBRS agencies as at 31 December 2021):

- Class A1 notes for a nominal amount of EUR 519.4 mln, repaid in full;
- Class A2 notes (AA- and AAA) for a nominal amount of EUR 813.0 mln, repaid for EUR 754.9 mln;
- Class B notes (AA and AAH) for a nominal amount of EUR 225.8 mln;
- Class C (A- and AL) notes for a nominal amount of EUR 271.0 mln;
- Class D notes (CCC and C) for a nominal amount of EUR 248.5 mln;
- Class J notes (not rated) for a nominal amount of EUR 180.7 mln.

The Class A2 notes were placed with institutional investors for a total of EUR 720 mln; the remaining senior notes, together with the mezzanine and junior notes, were instead underwritten by the Parent Company that can dispose them with the next sale on the market or can use them as collaterals for loan transactions.

The partial sale of the notes of Class A2 on the market did not entail the derecognition of the underlying assets from the balance sheet of the Parent Company (transferor), which has substantially retained all risks and rewards associated with the ownership of the assets sold.

For all securitisations specified above, during the period under review the Parent Company and its subsidiaries have not provided any financial or other support without being obliged under the contract. There are also no cases of financial or other support to a previously non-consolidated structured entity as a result of which the structured entity was controlled by the Group.

The Group does not intend to provide financial or other support to consolidated securitisation vehicles, nor to assist entities in obtaining financial support.



D. Transfers

A. Financial assets sold and not fully derecognised

Qualitative Information

As at 31 December 2021, all the conditions were met for which the Group can consider substantially all the risks and benefits associated with the loan transfer transaction, completed in September 2019, to be transferred to a Fund managed by Clessidra SGR SpA for which the Group had not initially carried out the accounting derecognition of the assigned receivables. Therefore, in December 2021 the Group cancelled the receivables sold from the financial statements and recorded the shares of the Clessidra fund. For more details, please refer to paragraph "C. Financial assets sold and fully derecognised" of these Notes to the Financial Statements.

Quantitative Information

D.1 Prudential consolidation - Financial assets sold and fully recognised and associated financial liabilities: book values

	Financial assets sold and fully recognised				Associated financial liabilities		
	Book value	of which: subject to securitization transactions	of which: subject to repurchase agreement	of which: non-performing	Book value	of which: subject to securitization transactions	of which: subject to repurchase agreement
Financial assets held for trading	2,383,035	-	2,383,035	X	2,380,862	-	2,380,862
1. Debt securities	2,383,035	-	2,383,035	X	2,380,862	-	2,380,862
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	X	-	-	-
4. Derivatives	-	-	-	X	-	-	-
Financial assets mandatorily measured at fair value	12	12	-	12	-	-	-
1. Debt securities	-	-	-	-	-	-	-
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	12	12	-	12	-	-	-
Financial assets designated at fair value	-	-	-	-	-	-	-
1. Debt securities	-	-	-	-	-	-	-
2. Loans	-	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	143,635	-	143,635	-	130,540	-	130,540
1. Debt securities	143,635	-	143,635	-	130,540	-	130,540
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	-	-	-	-
Financial assets measured at amortised cost	2,813,605	1,894,677	918,929	58,429	946,976	225,204	721,772
1. Debt securities	918,929	-	918,929	-	721,772	-	721,772
2. Loans	1,894,677	1,894,677	-	58,429	225,204	225,204	-
Totale 31 12 2021	5,340,287	1,894,689	3,445,599	58,441	3,458,378	225,204	3,233,174
Totale 31 12 2020	8,321,534	2,449,835	5,803,410	133,084	6,213,769	795,544	5,418,224

D.2 Prudential consolidation - Financial assets sold and partially recognised and associated financial liabilities: book values

This table was not created as the Group did not have any financial assets sold and partially recognised in the current year or previous year.



D.3. Prudential consolidation - Sales transactions relating to financial liabilities with repayment exclusively based on assets sold and not fully derecognised: fair value

	Fully recognised	Partially recognised	Total	
			31 12 2021	31 12 2020
Financial assets held for trading	-	-	-	-
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	-	-	-	-
4. Derivatives	-	-	-	-
Financial assets mandatorily measured at fair value	12	-	12	15
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	12	-	12	15
Financial assets designated at fair value	-	-	-	-
1. Debt securities	-	-	-	-
2. Loans	-	-	-	-
Financial assets measured at fair value through other comprehensive income	-	-	-	-
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	-	-	-	-
Financial assets measured at amortised cost	2,016,578	-	2,016,578	2,706,578
1. Debt securities	-	-	-	-
2. Loans	2,016,578	-	2,016,578	2,706,578
Total financial assets	2,016,590	-	2,016,590	2,706,593
Total financial associated liabilities	225,204	-	225,204	795,544
Net value 31 12 2021	1,791,386	-	1,791,386	X
Net value 31 12 2020	1,911,049	-	X	1,911,049

Note that all amounts reported in the item “Financial assets measured at amortised cost - Loans” refer exclusively to the fair value of loans sold with own securitisations without derecognition, which continue to be fully recognised in the Group’s balance sheet assets. The amount of EUR 225.2 mln reported under associated liabilities refers to the fair value of the portion of senior notes sold to market counterparties as part of the same securitisation. The Group recognised a liability with the notes-issuing vehicles as an offsetting entry for the cash flows arising from these disposals. Against this liability, the creditor’s entitlement to repayment is limited to the cash flows from the assets underlying the senior notes sold.

B. Financial assets sold and fully derecognised with assessment of continuing involvement

Qualitative Information

Quantitative Information

None to report as at 31 December 2021.

C. Financial assets sold and fully derecognised

Following are multi-originator sales, regarding loan portfolios, to a mutual investment fund with the attribution of the related units to the originator intermediaries. The transactions outlined below led to the derecognition of the receivables sold pursuant to IFRS 9 (“derecognition”), as the Group did not substantially retain the risks and



rewards of the transferred assets and also did not retain any substantial control over these assets, which were instead assumed by the fund management company (hereinafter also SGR). In particular, the risks and benefits that the Group could achieve from the units held in exchange for the contribution of receivables, are not anchored in the an, nor the quantum or the timing, to events affecting the assigned loans, given that the economic and financial trends related to individual receivables will not automatically and directly affect the returns of individual shareholders, which will instead depend on the general performance of the fund managed by the SGR.

Qualitative and quantitative Information

Efesto Fund

In November 2020, the MPS Group finalised a sale of a multi-originator type portfolio of loans classified as “unlikely to pay”, issued to industrial and service companies located in Italy and with an average turnover of EUR 20 mln in the last 3 years, to a Fund managed by Finanziaria Internazionale Investments S.G.R. S.p.A. The price settlement was determined by offsetting the loan owed by the Fund with the concurrent underwriting of freed up units of the Fund.

As at the sale date, the portfolio consisted of loans payable to the MPS Group and other banking groups by 51 target companies (for the MPS Group, 11 debtors) for a total gross exposure of EUR 432.5 mln (for the MPS Group, EUR 126.2 mln - of which 57% secured - for EUR 66.7 mln referring to the Parent Company and EUR 59.5 mln to the subsidiary MPS Capital Services S.p.A.) at a total price of EUR 197.2 mln (for the MPS Group, about EUR 55.8 mln). The net book value of the loans as at the sale date for the MPS Group was EUR 53.3 mln.

As at 31 December 2020, the sold loans were fully derecognised from the assets in the financial statements of the Group, and units in the amount of EUR 50.9 mln, of which EUR 28.3 mln by the Parent Company and EUR 22.6 mln by the subsidiary MPS Capital Services S.p.A., were recognised, equal to a participation to the fund of approx. 28.3%.

As at 31 December 2021, the Group held approximately 13.14% of the Fund's units for a book value of EUR 35.6 mln. The reduction in percentage ownership is mainly due to new contributions made to the Fund by unitholders other than the Group. For more information on the criteria for determining the fair value of the units, please refer to Part A of these Notes to the Financial Statements.

For more information on the criteria for calculating the fair value of units, please refer to Part A of these Notes to the Consolidated financial statements.

Back2Bonis Fund

On 27 December 2019, the MPS Group, UBI Banca and Banco BPM finalised with AMCO and the Prelios Group a transaction named Cuvée which provided for the creation of a multioriginator platform to manage UTP (Unlikely to pay) loans, from EUR 3 mln to EUR 30 mln, issued to companies of the real estate sector that are in a restructuring phase or in financial difficulties.

In detail, the transaction consisted of the following steps:

- a) sale of all UTP loans by the banks to a securitisation company established pursuant to Law no. 130/1999 (SPV 130), not a subsidiary of AMCO; with the disposal of the loans, each assignor bank acquired a credit from SPV 130 equal to the sale price;
- b) sale by the assignor banks to AMCO of the contractual relationships underlying the loans being sold to the SPV 130, which provide for residual commitments to disburse funds (case not applicable to the first phase for the MPS Group);
- c) contribution/sale to the Fund of the loan owed to the assignor banks by SPV 130 for the sale transaction described in point a). The assignor banks, following the contribution/sale, received from the Fund an amount equal to the sale price;
- d) subsequent issuance by the SPV 130 of untranching notes, fully subscribed by the Fund.

Within the scope of this complex transaction, AMCO took a role as Master and Special Servicer of the securitisation and the Prelios Group the role as Real Estate partner as well as manager of the Fund through Prelios SGR. The partnership enabled to combine financial management skills with specific skills in the real estate sector, creating synergies and greater possibilities for credit collection. Furthermore, the fund is expected to be able to disburse new financing to assist the companies in achieving a turnaround as well as to complete attractive real estate projects.

The first step of this transaction was completed in December 2019 when the positions of 46 debtors were transferred to the Fund (for the MPS Group, 7 debtors) for a total of about EUR 453 mln (of which EUR 11 mln for the MPS Group) at a price of about EUR 242 mln (EUR 43 mln for the MPS Group). The assignor banks received as payment for the sale units of the Fund; the MPS Group totally holds 17.7% of this Fund.



As at 31 December 2019, the sold loans were fully derecognised from the assets in the financial statements of the Group, and units in the amount of EUR 32.3 mln, of which EUR 16.3 mln by the Parent Company and EUR 16.0 mln by the subsidiary MPS Capital Services S.p.A., were recognised.

As at 31 December 2021, the Group held approximately 8.8% of the Fund's units for a book value of EUR 35.0 mln (EUR 31.6 mln as at 31 December 2020). The reduction in percentage ownership is mainly due to new contributions made to the Fund by unitholders other than the Group. For more information on the criteria for calculating the fair value of units, please refer to Part A of these Notes to the Consolidated financial statements.

Clessidra Fund

As at 31 December 2021, the Bank was in the process of completing the sale of a multi-originator type portfolio of loans classified as "unlikely to pay", completed in September 2019; these are loans granted to industrial and service companies located in Italy and with a turnover of no less than EUR 50 mln, to be sold to a Fund managed by Clessidra SGR S.p.A. The price was settled by offsetting the receivable to the Fund with the concurrent underwriting of freed-up units of the Fund itself.

The Fund was established for the purpose of improving the performance for the recovery of the loans acquired, thanks to the value increase of the target companies through:

- inputs of a managerial nature, made possible through the substantial addition of the Fund to the net financial positions of the companies and to any conversion of the acquired loans into equity instrument of the same companies;
- contribution of financial resources aimed at improving the industrial and financial turnaround.

The Fund has issued four categories of units with different economic rights:

- units A reserved to the transferring banks;
- units B and C intended for two categories of institutional investors who contribute a "new finance";
- units D reserved to the Fund management team.

At the date of sale, the portfolio consisted of receivables from the MPS Group and other banking groups from 13 target companies (for the MPS Group, 8 debtors) for a gross total exposure of approx. EUR 274 mln (for the MPS Group, EUR 102 mln - of which EUR 91.2 mln referring to the Parent Company and EUR 10.7 mln to the subsidiary MPS Capital Services S.p.A.) at a total price of EUR 196 mln (for the MPS Group, approx. EUR 78 mln for a percentage ownership of 39.8%). The net book value of the loans as at the sale date by the MPS Group was EUR 71 mln.

At the date of sale, the Group, given the high exposure to credit risk with respect to the loans sold, had not carried out the accounting derecognition of the loans sold, thus not recording the UCITS units of the Fund.

As at 31 December 2021, as the conditions preventing derecognition of the underlying loans, the Group proceeded to recognise the receivables sold and to recognise the Fund's units for a book value of EUR 44.6 mln. For more information on the criteria for determining the fair value of the units, please refer to Part A of these Notes to the Financial Statements.

As at 31 December 2021, the Bank held 39.5% of the Fund's units, the reduction in percentage ownership is mainly due to new contributions made to the Fund by unitholders other than the Group.

Idea I and Idea II Fund

In 2016 and 2017, the Group carried out two multioriginator sale transactions concerning loan portfolios (with full derecognition in the financial statements) to a mutual investment fund, with attribution of the related units to the assignor intermediaries. This refers to a project of Idea Capital Fund S.g.r., a management company that has established two multi-segment mutual investment funds called Fondo IDEA CCR I (2016) and Fondo IDEA CCR II (2017). These funds are closed-end real estate funds reserved to qualified investors and their purpose is to maximise the recovery rate of acquired non-performing loans and of new loans granted through the business and financial restructuring of medium sized companies.

With regard to the Idea CRR I Fund, the Bank contributed 6 positions to the fund for a total of EUR 20.0 mln against a total of EUR 217 mln at a price of EUR 14.3 mln. At the sale date, the Group derecognised loans for a net value of EUR 9.2 mln and received as consideration for the sale 8.1% of the Idea CCR I Fund's units.



On the other hand, with regard to the Idea CRR II Fund, the Group contributed 5 positions to the fund for a total of EUR 51.5 mln against a total of EUR 328.9 mln at a price of EUR 32.7 mln. At the sale date, the Group derecognised loans for a net value of EUR 29.8 mln and received as consideration for the sale 14.1% of the Idea CRR II Fund's units.

As at 31 December 2021, the Group held 6.39% and 6.32% of the segment A notes respectively for Idea CCR I Fund and Idea CCR II Fund. The reduction in percentage ownership is mainly due to new contributions made to the Fund by unitholders other than the Group. The book value of these shares is respectively EUR 4.2 mln (EUR 3.5 mln euros as at 31 December 2020) and EUR 14.8 mln (EUR 16.2 mln as at 31 December 2020).

For more information on the criteria for calculating the fair value of units, please refer to Part A of these Notes to the Consolidated financial statements.

D Covered bond transactions

Characteristics of the Covered Bond Issuance Programmes

The Group has two Covered Bond Issuance Programmes.

The first Programme, meant for institutional investors, was launched in 2010 for an amount of EUR 10,000 mln. The programme is intended to place a secured product on the market, offering covered bonds as a preferred instrument for financial profile improvement in the mid and long term. In light of the developments in the financial markets, the Programme should be considered as part of a wider strategy, aimed at:

- curbing the costs of funding: covered bonds are widely preferred, inasmuch as they are issued directly by the Bank and their repayment is also guaranteed by a segregated pool of assets (in this case, residential mortgage loans); in the event of issuer bankruptcy, covered bond holders enjoy a right of recourse on a portfolio of segregated high-quality assets and are, therefore, willing to accept a lower yield than the one offered by similar uncovered bonds;
- diversifying the Bank's funding sources on the international market;
- lengthening its average debt maturity profile.

On 26 June 2015, the First Programme's meeting of the covered bond holders approved the proposed amendments in order to:

- amend the Programme, to obtain a rating from DBRS (in addition to Moody's and Fitch) for the covered bonds issued and to be issued as part of the Programme; and
- activate, if specific cases of default take place pursuant to the Programme, a "conditional pass through" type mechanism for the repayment of the bonds issued.

At the time of the annual renewal of the Programme, on 23 December 2017, its maximum amount was increased from EUR 10,000 mln to EUR 20,000 mln.

With a view to strengthen the Group's Counterbalancing Capacity, in 2012 a second Covered Bond Issuance Programme was authorised, collateralised by separate assets consisting of residential and commercial mortgage loans for a maximum of EUR 20,000 mln. The programme is not intended for the market but for instruments eligible as collateral in refinancing transactions through the European Central Bank. The programme, which did not have an explicit rating at its launch, was rated by DBRS in 2013.

The structure of the Group's Covered Bond programmes requires fulfilment of the following activities:

- a) the Parent Company, or another Group company, transfers, without recourse, a pool of assets consisting of appropriate assets (real-estate backed, residential and commercial mortgage loans), to the vehicles MPS Covered Bond S.r.l. and MPS Covered Bond 2 S.r.l., thereby forming a segregated Cover Pool;
- b) the Transferor grants a subordinated loan to the vehicle, for the purpose of financing payment of the assets' purchase price by the vehicle;
- c) the Parent Company issues Covered Bonds secured by an autonomous, irrevocable and unconditional first-demand guarantee issued by the vehicle for the exclusive benefit of the bond-holding investors and senior creditors in the Programme (the guarantee involves limited recourse to the assets of the Cover Pool owned by the vehicle which acts as Guarantor).



Accounting treatment

Pursuant to IFRS 9, the derecognition of a financial instrument from the balance sheet of the transferor is determined on the basis of the substance of the contract, not its legal form. Having said this, the deal is recognised as follows:

- transferred mortgage loans continue to be reported in the Parent Company's balance sheet under item 40b) of assets "Financial assets measured at amortised cost: loans to customers", sub-item "Mortgages", inasmuch as the Parent Company retains the risks and rewards of ownership of the loans transferred;
- the loan disbursed by the Parent Company to the Vehicle is not classified as a separate item in the balance sheet, since it is offset with the amount due to the Vehicle linked to the initial transfer price. The loan, therefore, is not subject to credit risk assessment, because this risk is entirely reflected in the assessment of transferred mortgage loans, which continue to be reported in the Parent Company's balance sheet.
- mortgage loans are subject to movements based on own events (figures and assessment); instalments collected by the Parent Company (which also acts as a servicer) are reallocated daily to the Vehicle's "Collection Account" and accounted for by the Parent Company as follows:
 - collection of principal from borrower is recognised as an offsetting entry to the reduction in the loan to the borrower;
 - reallocation of principal to the Vehicle is recognised as an offsetting entry to the recognition of a loan to the Vehicle;
 - this loan is paid off upon repayment of the subordinated loan;
 - interest from the borrower is recognised as an offsetting entry to Item 10 of the Income Statement "Interest income: loans to customers" (interest on mortgage loans continues to be recognised on an accrual basis);
 - reallocation of interest to the Vehicle is recognised as an offsetting entry to the recognition of a loan to the Vehicle;
 - this loan is paid off upon collection of interest on the subordinated loan.
- the vehicles MPS Covered Bond S.r.l. and MPS Covered Bond 2 S.r.l. are invested in by the Parent Company for a control stake of 90%, recognised under Item 70 "Equity Investments" and included in the Group's financial statements consolidated on a line-by-line basis;
- bonds issued are posted to Item 10c) "Financial liabilities measured at amortised cost: debt securities issued" on the liabilities side, and related interest expense is recognised on an accrual basis.

In consideration of the characteristics and accounting treatment of the deal, the swaps associated with the transaction are not recognised in the balance sheet, since their recognition would entail, pursuant to par. B3.2.14 of IFRS 9, a duplication of rights and obligations already recognised due to mortgage loans transferred being maintained on the balance sheet.

Risks and Control Measures

In order to allow the transferee to meet the obligations of the collateral pledged, the Parent Company uses appropriate Asset & Liability Management techniques to secure a trend of substantial balance between the maturities of cash flows arising from the assets sold and maturities of payments due in relation with the covered bonds issued and other costs of the transaction.

The Programmes were structured in compliance with applicable rules and regulations which authorise the issuance of covered bonds only if the transferring and issuing banks meet certain capital requirements.

The structure of the issuance programmes of the Parent Company (in the role of transferor and servicer) is subject to stringent regulatory requirements and requires continuous calls, on a regular basis and for each transaction, by the Credit Portfolio Governance, Finance, Treasury & Capital Management and Risk Management functions, as well as supervision by the Credit Audit function and an external auditor (Deloitte & Touche) as Asset Monitor. In particular, these actions include:

- assessment of capital requirements mandated by Supervisory Instructions when it comes to covered bond issuance programmes;
- assessment of the quality and integrity of assets transferred with regard, in particular, to the estimated value of properties, both residential and commercial, on which a mortgage in relation with the asset-backed loans is placed; this assessment may result in repurchases, integrations and additional transfers of supplemental assets;



- assessment of an appropriate ratio being maintained between bonds issued and assets transferred as collateral (Cover Pool - mortgage and residential assets for the first programme and residential and commercial assets for the second programme);
- assessment of transfer limits and integration practices;
- assessment on whether risks are effectively and adequately hedged by derivative contracts in relation to the transaction.

In the course of 2013, the mitigation strategy for interest rate risk on the first Programme was restructured in order to minimise the Vehicle's exposure to market counterparties. In particular, the newly-defined strategy aims to only cover the Vehicle's net exposure to interest rate risk, as opposed to the nominal amount. At the same time, the outsourcing of some Covered Bond Swaps outstanding with market counterparties was carried out.

The paragraphs below provide information on the nature of the risks associated with the interest in the MPS Covered Bond S.r.l. vehicle, whose assets are pledged as collateral of bond issues of the Parent Company partly placed with the market. In particular, the terms of the agreements that could require the Group to provide financial support to the vehicle MPS Covered Bond S.r.l. are as follows:

- the Parent Company undertakes, in accordance with the programme's terms, to ensure compliance over time with the regulatory and contractual tests determined according to the methodologies set by the rating agencies from time to time;
- if the Parent Company's rating is below "BBB (low)" from DBRS, "BBB-" from Fitch and "Baa3" from Moody's, the repayment of each subordinated loan will be delayed by 6 months after the original expiry (unless early loan repayment is necessary to allow for compliance with the maximum limit of cash that may be accumulated by the vehicle, established by the regulation as 15% of the total of the cover pool, to the extent to which it is not possible for the vehicle to acquire new suitable assets to replace cash, pursuant to the Framework Transfer Agreement);
- in accordance with the Master Definition Agreement, the Parent Company must allocate and change the amount of the variable liquidity reserve according to criteria agreed upon with the rating agencies.

As concerns the second programme, the terms of the agreements that could require the Group to provide financial support to the vehicle MPS Covered Bond 2 S.r.l. are as follows:

- the Parent Company undertakes, in accordance with the programme's terms, to ensure compliance over time with the regulatory and contractual tests determined according to the methodologies set by the rating agency from time to time;
- in accordance with the Master Definition Agreement, the Parent Company must allocate and change the amount of the variable liquidity reserve according to criteria agreed upon with the rating agency.

During the period under review the Parent Company and its subsidiaries have not provided any financial or other support without being obliged under the contract.

There are no cases of financial or other support to a previously non-consolidated structured entity as a result of which the structured entity was controlled by the Group.

The Group does not intend to provide financial or other support to the vehicle, nor to assist the entity in obtaining financial support.

Description of individual disposals and issuances

In the context of the first Programme, on 18 May 2021 15,074 performing residential mortgage loans was sold, with no outstanding payments at the date of portfolio valuation and meeting selection criteria substantially comparable to those used for previous disposals, for an amount of EUR 1,665.9 mln.



Here follows a summary of the main characteristics regarding transfers in the First Programme:

Cover Pool transfer date	Type of securitised assets	Transferor	Total value of asset transferred (in units of eur)	N° of mortgage loans transferred	Breakdown of transferred debtors by business sectors
25/05/10	Residential mortgage loans	Banca MPS	4,413,282,561	36,711	100% natural persons
19/11/10	Residential mortgage loans	Banca MPS	2,400,343,584	19,058	100% natural persons
25/02/11	Residential mortgage loans	Banca MPS	3,887,509,799	40,627	100% natural persons
25/05/11	Residential mortgage loans	Banca MPS (ex Banca Antonveneta)	2,343,824,924	26,804	100% natural persons
16/09/11	Residential mortgage loans	Banca MPS	2,323,368,355	27,973	100% natural persons
14/06/13	Residential mortgage loans	Banca MPS	415,948,266	4,259	100% natural persons
18/09/15	Residential mortgage loans	Banca MPS	1,529,531,983	15,080	100% natural persons
31/10/16	Residential mortgage loans	Banca MPS	775,933,585	7,630	100% natural persons
22/12/16	Residential mortgage loans	Banca MPS	237,758,336	1,903	100% natural persons
03/05/18	Residential mortgage loans	Banca MPS	1,311,870,107	12,401	100% natural persons
27/02/19	Residential mortgage loans	Banca MPS	1,809,753,193	16,880	100% natural persons
16/10/19	Residential mortgage loans	Banca MPS	1,262,890,758	12,008	100% natural persons
15/06/20	Residential mortgage loans	Banca MPS	1,433,158,855	13,107	100% natural persons
18/05/21	Residential mortgage loans	Banca MPS	1,665,859,006	15,074	100% natural persons
Total			25,811,033,311	249,515	

The remaining debt balance on the portfolio as at 31 December 2021 amounted to EUR 12,098.1 mln for 152,127 mortgage loans.

As part of the first Programme, the Parent Company completed a total of 31 issuances⁵⁴, 12 of which had not yet matured or been repaid early for a nominal amount, as at 31 December 2021, of EUR 8,200.0 mln, of which EUR 5,265.5 mln are on the market, while EUR 2,934.5 mln are held by the Parent Company and by the subsidiaries MPS Capital Services Banca per le Imprese S.p.A and Monte Paschi Banque S.A.

As part of the second Covered Bond Programme, the following issue was made in 2021:

Date of issue	Notional Amount	Coupon	Frequency	Date of maturity
10/06/21	1,000,000,000	3mE + 0.28%	Quarterly	July 2025

As part of the second Programme, on 19 April and 30 November 2021, two portfolios for a total of 27,562 performing residential and commercial mortgage loans was sold, with no outstanding payments at the date of portfolio valuation and meeting selection criteria substantially comparable to those used for previous disposals, for a total amount of EUR 3,271.2 mln.

Here follows a summary of the main characteristics regarding transfers in the Second Programme:

⁵⁴ This number of issues includes 3 registered covered bonds, private issues under the program.



Cover Pool transfer date	Type of securitised assets	Transferor	Total value of asset transferred (in units of eur)	N° of mortgage loans transferred	Breakdown of transferred debtors by business sectors
30/04/12	Residential mortgage loans	Banca MPS	2,384,995,478	27,047	100% persone fisiche
26/06/12	Residential and commercial mortgage loans	Banca MPS	2,478,270,455	13,993	Mixed
28/08/12	Residential and commercial mortgage loans	Banca MPS	1,401,965,498	17,353	Mixed
24/09/12	Residential and commercial mortgage loans	Banca MPS	2,473,677,574	9,870	Mixed
18/02/13	Residential and commercial mortgage loans	Banca MPS	1,286,740,404	9,033	Mixed
24/06/13	Residential and commercial mortgage loans	Banca MPS	2,147,692,217	12,771	Mixed
25/03/14	Residential and commercial mortgage loans	Banca MPS	1,464,170,335	5,645	Mixed
20/10/15	Residential and commercial mortgage loans	Banca MPS	977,548,353	5,671	Mixed
18/07/16	Residential and commercial mortgage loans	Banca MPS	2,010,907,195	24,162	Mixed
29/08/16	Residential and commercial mortgage loans	Banca MPS	813,253,156	7,211	Mixed
31/03/17	Residential and commercial mortgage loans	Banca MPS	789,153,182	5,799	Mixed
11/05/18	Residential and commercial mortgage loans	Banca MPS	685,537,103	4,718	Mixed
14/11/18	Residential and commercial mortgage loans	Banca MPS	470,369,358	3,002	Mixed
30/09/19	Residential and commercial mortgage loans	Banca MPS	727,237,065	4,549	Mixed
26/02/20	Residential and commercial mortgage loans	Banca MPS	1,034,517,196	8,625	Mixed
19/04/21	Residential and commercial mortgage loans	Banca MPS	1,519,843,073	12,916	Mixed
30/11/21	Residential and commercial mortgage loans	Banca MPS	1,751,398,674	14,646	Mixed
Totale			24,417,276,317	187,011	

The remaining debt balance on the portfolio as at 31 December 2021 amounted to EUR 10,718.3 mln for 110,052 mortgage loans.

As part of the second programme, the Parent Company completed thirty-nine issuances, of which fourteen not yet matured or redeemed early, which were not intended for the market but repurchased by the Parent Company and used as collateral for refinancing transactions in the Eurosystem, for a total as at 31 December 2021 of EUR 8,450.0 mln.

As part of the second Covered Bond Programme, the following issues were made in 2021:

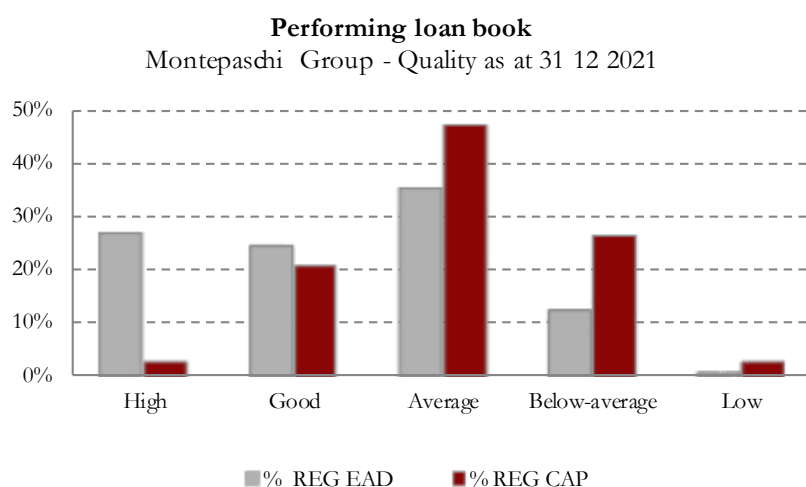
Date of issue	Notional Amount	Coupon	Frequency	Date of maturity
19/01/21	700,000,000	3mE + 0.30%	Quarterly	july 2024
14/05/21	700,000,000	3mE + 0.28%	Quarterly	October 2024
22/07/21	700,000,000	3mE + 0.27%	Quarterly	January 2025
01/10/21	700,000,000	3mE + 0.21%	Quarterly	apr-25
09/11/21	500,000,000	3mE + 0.24%	Quarterly	July 2025
Total	3,300,000,000			



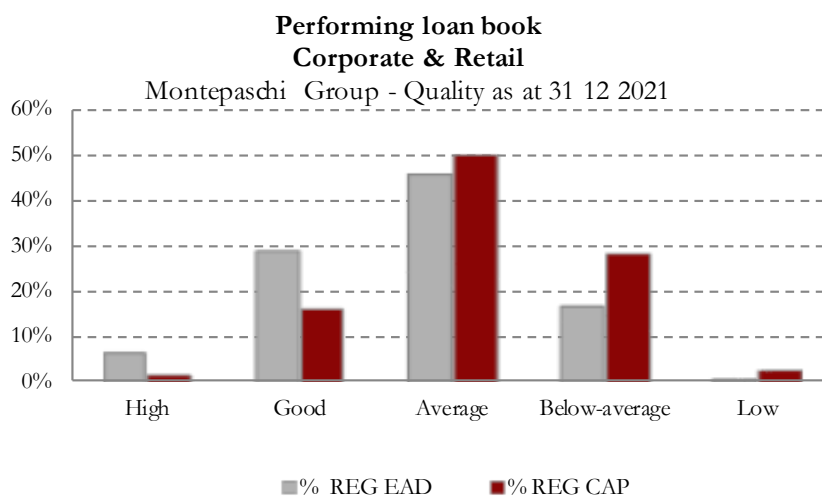
E. Prudential consolidation - Credit risk measurement models

This paragraph provides information of a quantitative nature related to the models for the measurement of credit risk, the qualitative characteristics of which have been described in Chapter 2 “Policies for risk management” of Section 2 “Prudential consolidation risk” of these Notes to the consolidated financial statements.

The chart below provides a credit quality breakdown of the Group portfolio as at 31 December 2021 by Exposure to Risk (REG EAD) and Regulatory Capital (REG CAP). It can be seen that about 51% (60% as at 31 December 2020) of risk exposure relates to high- and good-quality customers (positions in financial assets are excluded). It should be noted that the ranking below also includes exposure to banks, government agencies and non-regulated financial and banking institutions, which are not included in the AIRB approaches. Quality is measured in terms of probability of default assigned to customers through the AIRB models of the MPS Group, subject to recalibration, in the course of 2021, to the new definition of default. Non-AIRB counterparties are nevertheless subject to a credit standing assessment using official ratings where available or appropriate internally determined benchmark values.



On the other hand, the following chart provides a breakdown of credit quality only for Corporate and Retail portfolios (which are largely validated by regulatory authorities for the use of internal PD and LGD models). As at 31 December 2021, high or good quality exposure accounted for approximately 36% of total exposure (44% as at 31 December 2020).

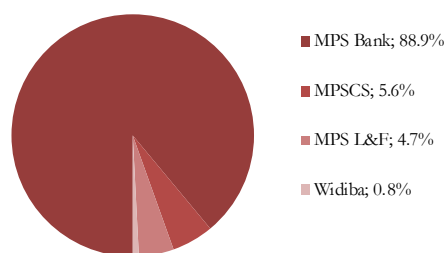




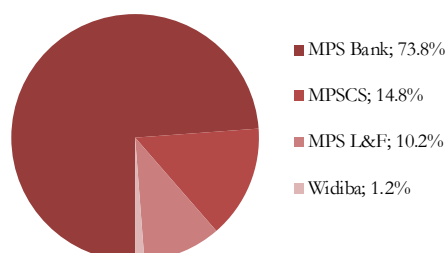
The Parent Company covers 89% of the Group's total Risk Exposure, while MPS Capital Services, MPS L&F and Widiba jointly cover the remaining 11%.

The Regulatory Capital for credit risk is absorbed mainly by the Parent Company (73.8%), followed by MPS Capital Services (14.8%), MPS Leasing e Factoring (10.2%) and Widiba (1.2%).

Risk Exposure
Montepaschi Group - 31 12 2021



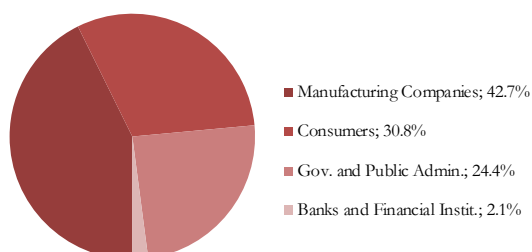
Regulatory Capital
Montepaschi Group - 31 12 2021



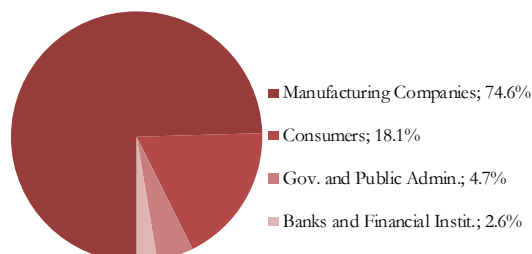
Analyses conducted at the end of 2021 show that the Group's risk exposure is mainly toward "Manufacturing Companies" (42.7% of total loans disbursed), "Consumers" (30.8%), "Government and Public Administration" (24.4%) and "Banks and Financial institutions" (2.1%).

In terms of Regulatory Capital, 74.6% is absorbed by the "Manufacturing Companies" customer segment. The "Consumers" segment stands at 18.1%; followed by "Government and Public Administration" and "Banks and Financial Institutions" with 4.7% and 2.6% respectively:

Risk Exposure
Montepaschi Group - 31 12 2021



Regulatory Capital
Montepaschi Group - 31 12 2021

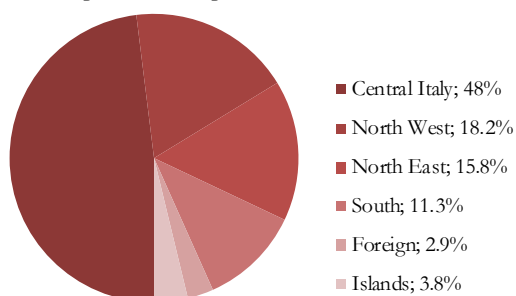


An analysis of the geographical breakdown of Group customers shows that exposure to risk is primarily concentrated in Italy's Central regions (48%), followed by the North West (18.2%), the North East (15.8%), Southern Italy (11.3%), Italy's Islands (3.8%) and Foreign Countries (2.9%).

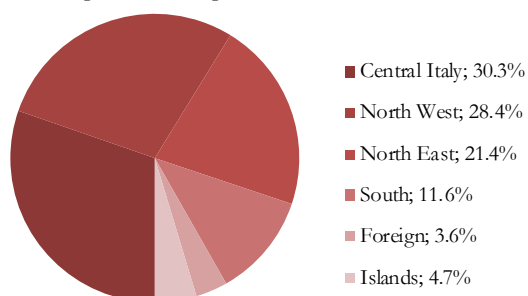
Regulatory Capital absorption is also higher in Central Italy (30.3%), in North West Italy (28.4%) and North East Italy (21.4%) due to the greater concentration of loans in those areas. These are followed by Southern Italy (11.6%), Italy's Islands (4.7%) and Foreign Countries (3.6%):



Risk Exposure
Montepaschi Group - 31 12 2021



Regulatory Capital
Montepaschi Group - 31 12 2021

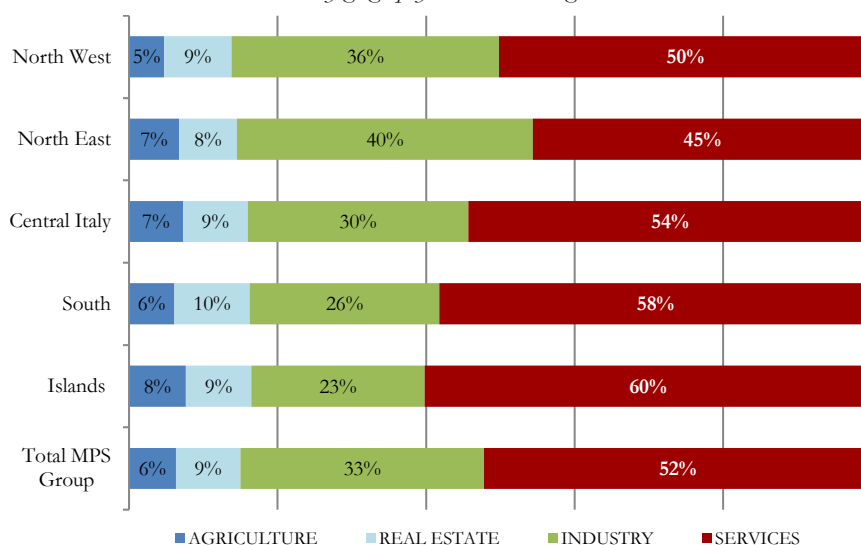


Lastly, the following graphs show, solely for Italian corporate customers, the percentage breakdown of Default Exposure by individual Geographic Area and Regulatory Capital absorption by Business Sector.

The largest share of Default Exposure for businesses in all Geographic Areas is accounted for by the “Services” sector. Out of the Group’s total exposure, the share of Services accounts for 52% and is followed by Industry (33%), Building (9%) and Agriculture (6%):

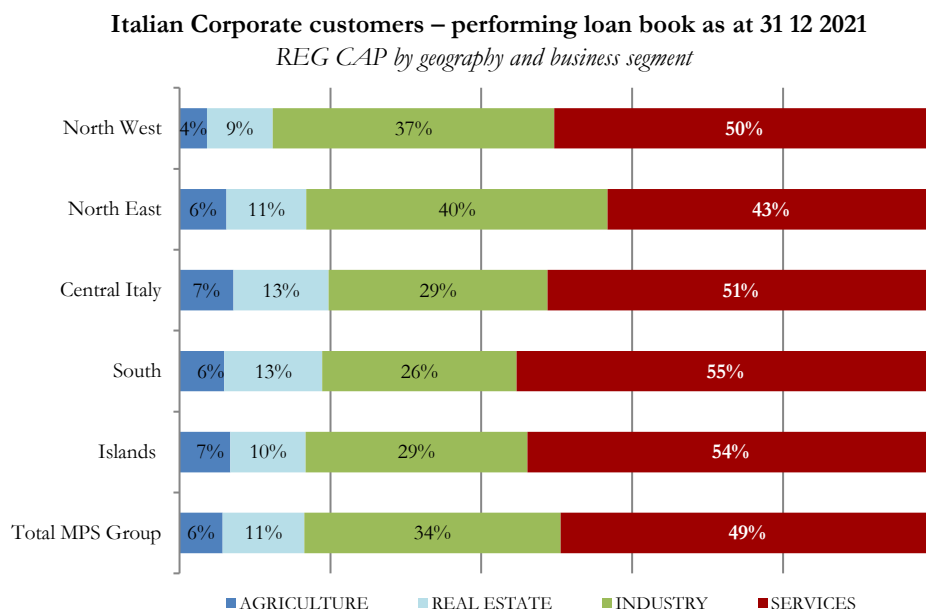
Italian Corporate customers – performing loan book as at 31 12 2021

REG EAD by geography and business segment





Also as regards Regulatory Capital (REG CAP), the greater concentration relates to the Services sector:



The comparison between expected loss and actual loss is performed on an annual basis by the internal control function as part of PD and LGD back testing procedures.



1.2 – Market risks

1.2.1 Interest rate and price risk – Regulatory trading book

Market risks relating to the Trading Book

Market risk management model for the Trading Book

The Group's Regulatory Trading Book (RTB) is made up of all the Regulatory Trading Books managed by the Parent Company (BMPS) and by the subsidiary MPS Capital Services (MPSCS). The Trading Books of the other subsidiaries are immune to market risk. Trading in derivatives, which are brokered on behalf of customers, is centralised at MPSCS.

The market risks in the trading book are monitored in terms of Value-at-Risk (VaR) for operational purposes. The Group's Finance and Liquidity Committee is responsible for directing and coordinating the overall process of managing the Group's proprietary finance thereby ensuring that the management strategies of the various business units are consistent.

The Group's Trading Book is subject to daily monitoring and reporting by the Risk Management Structure of the Parent Company, on the basis of proprietary systems. VaR for management purposes is calculated separately from the operating units, using the internal risk measurement model implemented by the Risk Management function in keeping with international best practices. The Group uses the standardised methodology in the area of market risks solely for reporting purposes.

Operating limits defined for trading activities are expressed by level of delegated authority in terms of VaR, which is diversified by risk factors and portfolios, monthly and annual stop losses, and stress. Furthermore, the trading book's credit risk, in addition to being included in VaR computations and in the respective limits for the credit spread risk component, is also subject to specific operating limits for issuer and bond concentration risk which specify maximum notional amounts by type of guarantor and rating class.

VaR is calculated with a 99% confidence interval and a holding period of one business day. The Group adopts the method of historical simulation with daily full revaluation of all basic positions, out of 500 historical entries of risk factors (lookback period) with daily scrolling. The VaR calculated in this manner takes account of all diversification effects of risk factors, portfolios and types of instruments traded. It is not necessary to assume, a priori, any functional form in the distribution of asset returns, and the correlations of different financial instruments are implicitly captured by the VaR model on the basis of the combined time trend of risk factors. The trend-based scenarios used in the model are constructed as the daily change, in terms of the ratio, of the individual risk factors; the shock is applied to the current market level, making the VaR measure reactive to changes in market conditions.

Periodically, information on market risks is transmitted to the Risk Management Committee and to the Top Bodies as part of the information flows with which Top Management and the Governing Bodies are informed about the Group's overall risk profile.

The macro-categories of risk factors covered by the Internal Market Risk Model are IR, EQ, CO, FX and CS as described below:

- IR: interest rates on all relevant curves, inflation curves and related volatilities;
- EQ: share prices, indexes, baskets and relative volatilities;
- CO: commodity prices, indexes and baskets;
- FX: exchange rates and related volatilities;
- CS: credit spread levels.

VaR (or diversified or net VaR) is calculated and broken down daily for internal management purposes, even with respect to other dimensions of analysis:

- organisational/management analysis of portfolios;
- analysis by financial instrument;
- analysis by risk family.

It is then possible to assess VaR along each combination of these dimensions in order to facilitate highly detailed analyses of events characterising the portfolios.



In particular, with reference to risk factors the following are identified: Interest Rate VaR (IR VaR), Equity VaR (EQ VaR), Commodity VaR (CO VaR), Forex VaR (FX VaR) and Credit Spread VaR (CS VaR). The algebraic sum of these items gives the so-called Gross VaR (or non-diversified VaR), which, when compared with diversified VaR, makes it possible to quantify the benefit of diversifying risk factors resulting from holding portfolios on asset class and risk factor allocations which are not perfectly correlated. This information can also be analysed along all the dimensions referenced above.

The model enables the production of diversified VaR metrics for the entire Group in order to get an integrated overview of all the effects of diversification that can be generated among the Group entities on account of the specific joint positioning of the various business units.

Moreover, scenario and stress-test analyses are regularly conducted on various risk factors with different degrees of granularity across the entire tree structure of the Group's portfolios and for all categories of instruments analysed. Stress tests are used to assess the Group's capacity to absorb large potential losses in extreme market situations, so as to identify the measures necessary to reduce the risk profile and preserve assets.

Stress tests are developed on the basis of discretionary and trend-based scenarios. Trend-based scenarios are defined on the basis of previously-registered real situations of market disruption. Such scenarios are identified based on a time frame in which risk factors were subjected to stress. No particular assumptions are required with regard to the correlation among risk factors since trend-based data for the stress period identified has been measured.

Stress tests based upon discretionary scenarios assume extreme changes occurring to certain market parameters (interest rates, exchange rates, stock indices, credit spreads and volatility) and measure the corresponding impact on the value of portfolios, regardless of their actual occurrence in the past. Simple discretionary scenarios are currently being developed (variation of a single risk factor) as are multiple ones (variation of several risk factors simultaneously). Simple discretionary scenarios are calibrated to independently deal with one category of risk factors at a time, assuming shocks do not spread to the other factors. Multiple discretionary scenarios, on the other hand, aim to assess the impact of global shocks that simultaneously affect all types of risk factors.

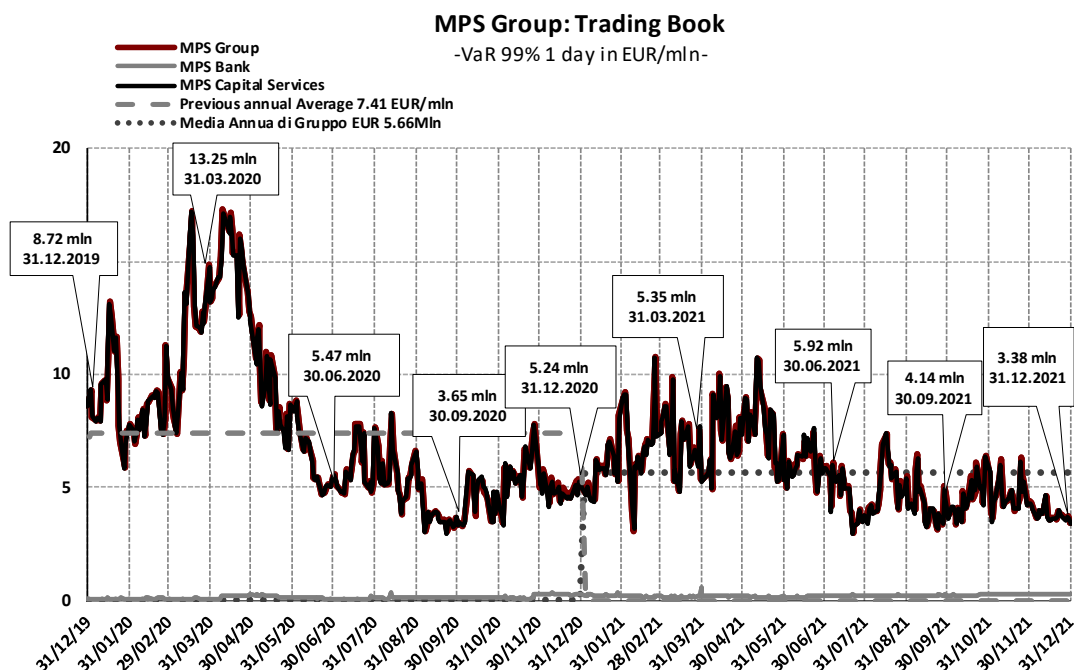
It should be noted that the VaR methodology described above is, for operational purposes, also applied to the portion of the Banking Book consisting of financial instruments that are similar to trading instruments (e.g. Equity / bond securities held in portfolios classified among "*financial assets mandatorily measured at fair value*", "*financial assets measured at fair value with an impact on comprehensive income*" and "*financial assets measured at amortized cost*"). The measurements and charts below refer to the Regulatory Trading Book.

During 2021, the market risks of the Group's Regulatory Trading Book showed, in terms of VaR, a performance essentially determined by that of the subsidiary MPS Capital Services, mainly for own trading activities in the CS-IR segment (transactions in Italian government bonds and long futures) and, to a lesser extent, for client-driven assets in the EQ segment (options and equity futures on the main market indices) linked to the structuring of bancassurance products. The Parent Company's portfolio contribution to total VaR was negligible.

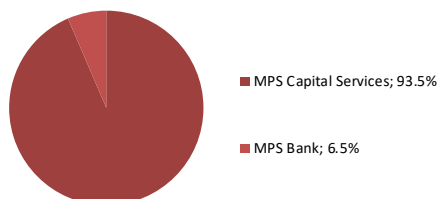
Compared to the tensions that affected the first half of the previous year, triggered by the COVID-19 pandemic, in 2021 the financial markets benefited from the accommodating policies of central banks and from the economic support plans from the United States and the European Union. The favourable context resulted in a settlement of the risk factors underlying the VaR model, contributing to greater stability of the risk metrics.

VaR volatility during the year resulted from the activities at the auctions on Italian government securities carried out by the subsidiary MPS Capital Services as primary dealer, with temporary changes in the exposure to the Italy CS risk, mainly in the short-term.

Despite some temporary increases in exposure during the already mentioned auctions of Italian government securities as primary dealer, the average Italian sovereign bonds held in the Group's trading portfolios remained essentially stable during the year (EUR 4.1 bn in nominal value terms), with a contraction in December to lower levels, resulting in a contraction in the CS factor to the overall VaR, settling at the end of 2021 on the average levels of the previous year.

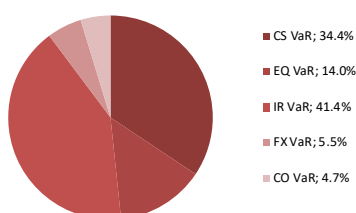


MPS Group: Trading Book
VaR by Bank as at 31/12/2021



With regard to the legal entities, MPS Capital Services accounted for 93.5% and the Parent Company for 6.5% of overall risk as at 31 December 2021

MPS Group: Trading Book
VaR by Risk Factor as at 31/12/2021



A breakdown of VaR by risk factors shows that 41.4% of the Group's portfolio was allocated to interest rate risk factors (IR VaR), 34.4% was absorbed by credit spread risk factors (CS VaR), 14.0% by equity risk factors (EQ VaR), 5.5% by foreign exchange risk factors (FX VaR), and the remaining 4.7% by commodity risk factors (CO VaR).

■ MPS Group: Trading Book
VaR 99% 1 day in EUR/mln

	VaR	Date
End of Period	3.38	31/12/2021
Min	2.96	22/07/2021
Max	10.79	25/02/2021
Average	5.66	

In 2021, the Group's VaR in the RTB ranged between a low of EUR 2.96 mln recorded on 22 July 2021 and a high of EUR 10.79 mln recorded on 25 February 2021, with an average value of EUR 5.66 mln. The Regulatory Trading Book VaR as at 31 December 2021 amounted to EUR 3.38 mln.



VaR model back testing

The Group has implemented a back testing procedure compliant with current regulations governing Market Risk as part of its own risk management system.

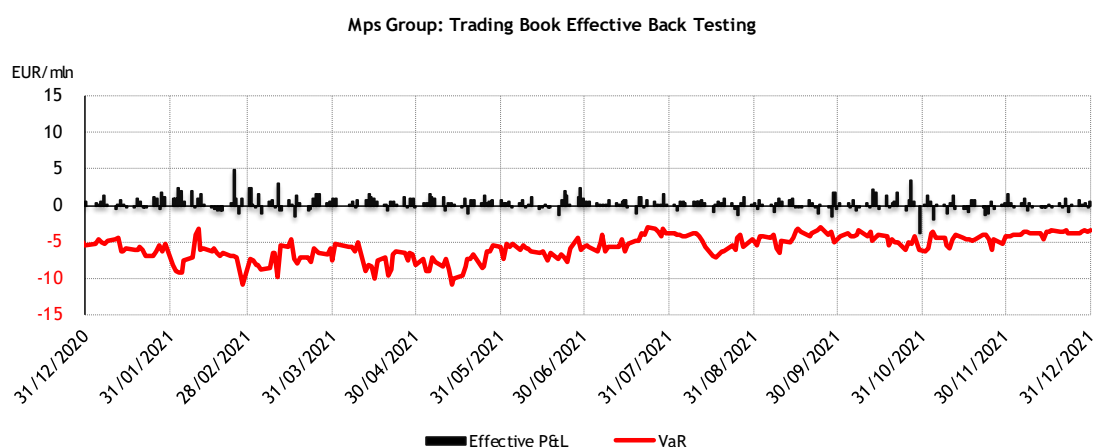
Back testing refers to a series of tests conducted on VaR model results against day-to-day changes in the trading book value, with a view on assessing the model's forecasting capacity as regards the accuracy of the calculated risk metrics. If the model is robust, by periodically comparing the estimated daily VaR in t-1 against the results of the trading activity in t, it should be possible to determine that the actual losses are greater than the VaR with a frequency consistent with that defined by the confidence level.

Based on current supervisory instructions, the Risk Management considered it appropriate to apply the test following effective back testing methods, integrating these into the Group's management reporting system.

1) the actual back testing meets the need for verifying the VaR model's forecasting reliability in reference to the actual Group operations (daily trading profit and losses) less the effect of any interest accrued between trading days t-1 and t on bonds, and less the effect of fees and commissions.

These "clean" P&L results (the "actual P&L") are compared with the previous trading day VaR. If the losses are greater than those forecast by the model an "exception" is recorded.

The chart below shows the actual backtesting results of the internal Market Risks model in relation to the Group's Regulatory Trading Book for 2021:



The backtesting shows no exceptions in 2021.

Structured credit product

As at 31 December 2021, the Group did not have a particularly significant portfolio of structured credit products compared to its total financial assets or its total assets.

These investments are subject to risk limits set by the Board of Directors and monitored daily by the Parent Company's Risk Management Structure; stop Loss, risk and nominal limits are defined for maximum exposure for major issuer categories, broken down by rating.

The data reported in this section refer to the entire Group. Note that no Structured Credit Products considered in this disclosure have embedded credit derivatives that need to be separated from their host contract for IFRS 9 purposes.

As at 31 December 2021, there were no direct or indirect exposures to US sub-prime mortgage loans, Alt-A or monoline insurers.



Positions in Securitisations of third-party issuers

As at 31 December 2021, the securities positions on structured credit products other than own securitisations had a total book value of EUR 313.5 mln, compared to EUR 397.7 mln as at 31 December 2020.

This section does not analyse the securitisations issued by Siena Npl from the disposal of bad loans on 22 December 2017 (deconsolidated in June 2018) since, although they are a vehicle in which the Group has no stake and were not originated and held for liquidity requirements (self-securitisations), the loans transferred belonged to the MPS Group. Likewise, the ABS issued by the Norma SPV as part of a securitisation of non-performing loans, also originated by banks outside the MPS Group, are not considered.

From an economic point of view, the following was recorded: “Net profit (loss) from trading - Item 80” of EUR 2.5 mln and a positive component “Interest income and similar income - Item 10” for EUR 3.6 mln. In the context of the portfolio of financial assets measured at amortised cost component, there was also a negligible write-down of “Net impairment (losses)/reversals for credit risk - item 130”.

With regard to the regulatory classification, the positions are primarily held by the subsidiary MPS Capital Services (94.8%) and allocated to the Trading Book (88.8% in terms of book value); the instruments are classified from an accounting viewpoint in FVTPL (88.8%), AC (5.2%) and FVOCI (6.0%).

With regard to the types of underlying assets transferred as part of the securitisation transaction, the main types are residential mortgages (31.4%), non-performing loans (19.5%), commercial loans (19.0%) and personal loans (15.6%). It is to be noted that, for the type of underlying NPL, 41% of the positions held have benefited from the public guarantee on securitisations (so-called Gacs).

Geographically speaking, the loans transferred were granted in: Italy 53.8%, Ireland 10.8% and the Netherlands 7.8%. Overall, 87.1% of the exposures in terms of book value consists of Investment Grade securities (with rating up to and including BBB-). The senior tranche accounts for 62.1% of the exposures in terms of book value, the mezzanine tranche for 34.8%, while the junior tranche accounts for the remaining 3.1%.

Credit Derivative Positions

All exposures analysed in this section are standardised credit indices, synthetic tranches, options on credit indices and single-name CDS.

As at 31 December 2021, net exposures to this type of derivatives have a book value (with accounting as a CDS derivative) of EUR -113 mln; net of consolidation activities these financial instruments are all held by MPS Capital Services and are all included in the Trading Book.

In terms of profit and loss, there was a negative component in “Item 80 - Net profit (loss) from trading” for EUR 10.62 mln.

Qualitative Information

A. General aspects

Each bank of the MPS Group which is relevant as a market risk-taking centre contributes to the generation of interest rate risk and price risk in the overall Trading Book.

Impacts deriving from the COVID-19 pandemic

The favourable market context recorded in 2021, compared to the tensions triggered by the pandemic in March 2020, contributed to greater stability of the risk metrics relating to the Trading Portfolio (the detailed narrative on the performance of the VaR metric and the retrospective tests on the model are reported in the paragraph “The market risk management model inherent to the trading book”).

In consequence of this, during the year no overshooting of the operating limits on market risk metrics due to the effects deriving from the pandemic were recorded, with confirmation of the validity of the underlying framework for monitoring risks with regard to measurement and control systems.



A.1 Interest rate risk

With reference specifically to the Parent Company, the Finance, Treasury & Capital Management Area (FTCMA) is the Business Area in charge of trading. The Global Markets Department carries out trading activities for the subsidiary MPSCS.

The FTCMA manages a proprietary portfolio which takes trading positions on interest rates and credit. In general, interest rate positions are taken by purchasing or selling bonds, and by creating positions in listed derivatives (futures) and OTCs (e.g. IRS, swaptions). Trading is carried out exclusively on the Bank's own behalf, with objectives of absolute return, in compliance with the delegated limits of monthly and yearly VaR and stop loss.

In particular, the FTCMA operates in the short-term portion of the main interest rate curves, mostly through bonds and listed derivatives.

With regard to credit risk in the trading book, the equity positions are generally managed through the purchase or sale of bonds issued by companies or by creating synthetic positions in derivatives. The activity is oriented to achieve a long or short position on individual issuers, or a long or short exposure on specific market sectors. The activity is carried out solely on the Bank's own behalf with objectives of absolute return and in compliance with other specific issuer and concentration risk limits.

A.2 Price risk

With reference specifically to the Parent Company, the Business Area in charge of the trading activity with respect to price risk is the FTCMA, which manages a proprietary portfolio and takes trading positions on equities, indexes and commodities. In general, positions on equity securities are taken both through the purchase/sale of equities and through the positions created in listed derivatives (e.g. futures) and OTC (e.g. options). Trading is carried out exclusively on the Bank's own behalf, with objectives of absolute return, in compliance with the delegated limits of monthly and yearly VaR and stop loss. The Global Markets Department also carries out trading activities for the subsidiary MPSCS.

B. Interest rate risk and price risk: operational processes and measurement methods

With regard to the market risk management process concerning the management and methods for measuring interest rate and price risk, see the above paragraph entitled "Market risk management model for the trading book".

Impacts deriving from the COVID-19 pandemic

As already previously indicated, the pandemic did not impact management processes, measurement methods and risk control.

In terms of income objectives and capital impacts, the 2021 Risk Appetite process incorporated the favourable market context, partly evident already at the end of 2020, in the assumptions relating to the forward-looking scenarios, with subsequent updating of the operating limits on the resulting market risks deriving from the Risk Appetite Statement.

Quantitative Information

1. Regulatory Trading Book: breakdown of balance sheet financial assets/liabilities and financial derivatives by residual life (repricing date)

This table was not prepared since an analysis of the Regulatory Trading Book's sensitivity to interest rate risk and price risk is produced based on internal models.

2. Regulatory Trading Book: breakdown of exposures in equity instruments and stock indices by major countries of the listing market.

This table was not prepared since an analysis of the Regulatory Trading Book's sensitivity to interest rate risk and price risk is produced based on internal models.

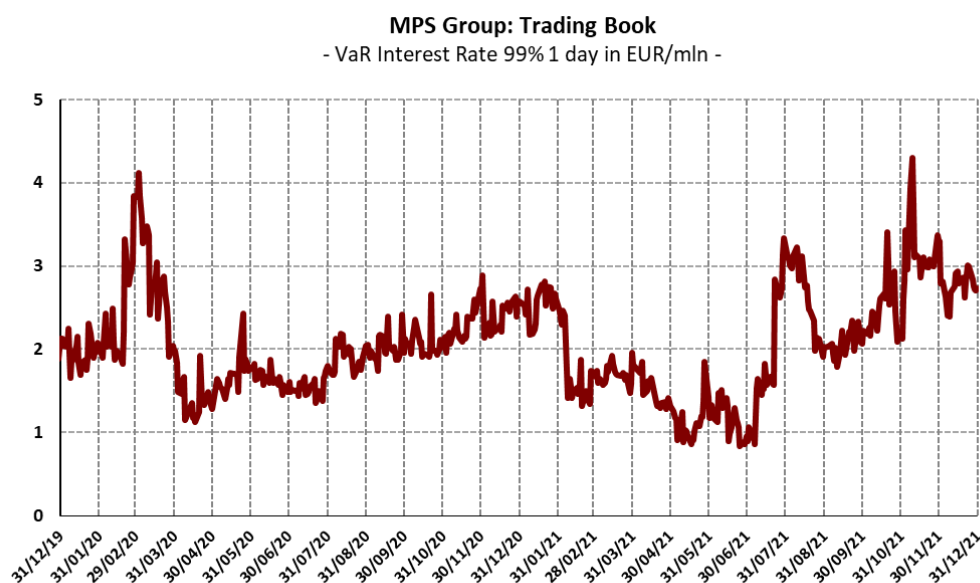


3. Regulatory Trading Book: internal models and other sensitivity analysis methods

The rate and price risk of the Trading Book is monitored in terms of VaR and scenario analysis.

3.1 Interest rate risk

Each business unit within the Group operates independently on the basis of the objectives and powers it has been assigned. The positions are managed by special desks provided with specific operational limits. Each desk adopts an integrated risk management approach (covering more than rate risk, when allowed) in order to benefit from the natural hedge resulting from simultaneously holding positions on risk factors that are not perfectly correlated. The VaR by risk factor (specifically, Interest Rate VaR) has operational relevance for the purpose of risk management analyses, even though it is the global VaR diversified among risk factors and portfolios that is used by the operating units. Below is information on the Group's diversified Interest Rate Regulatory Trading Book VaR:



The trend in Interest Rate VaR during 2021 was influenced by the trading activities of the subsidiary MPSCS, primarily in bonds and derivatives.

■ **MPS Group: Trading Book**
VaR Interest Rate 99% 1 day in EUR/mln

	VaR	Date
End of Period	2.73	31/12/2021
Min	0.83	25/06/2021
Max	4.30	09/11/2021
Average	2.06	

Simulations include the following interest rate risk scenarios:

- +100 bps parallel shift for all interest rate and inflation curves;
- -100 bps parallel shift for all interest rate and inflation curves;
- +1 point parallel shift for all volatility surfaces of interest rate curves.

All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses.

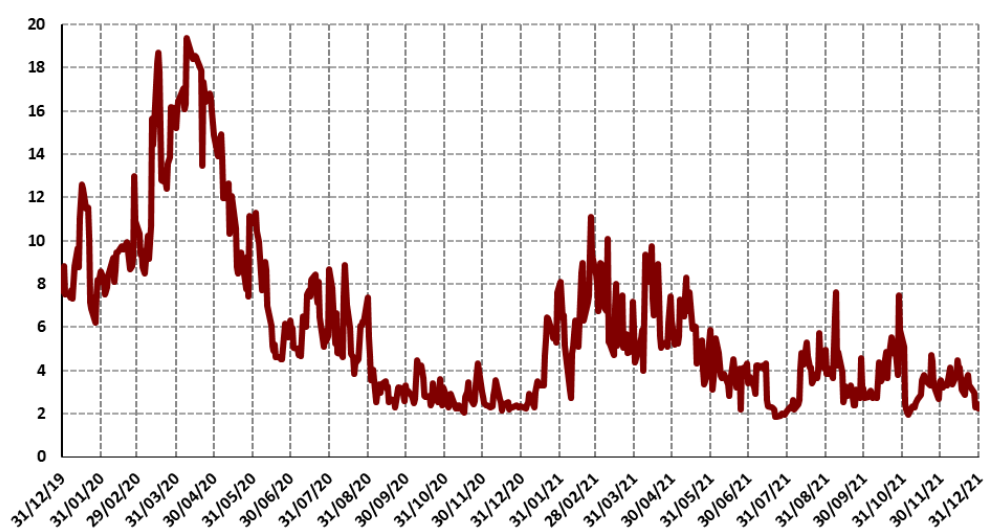
**■ MPS Group: Trading Book**

EUR/mln

Risk Family	Scenario	Global Effect
Interest Rate	+100bp all Interest Rate Curves	19.13
Interest Rate	-100bp all Interest Rate Curves	16.92
Interest Rate	+1% all Interest Rate Volatility	0.07

To complete the interest rate risk analysis, details are also provided on the credit spread risk of the Group's Trading Book associated with the volatility of issuers' credit spreads. The VaR by risk factor (specifically, Credit Spread VaR) has operational relevance for the purpose of risk management analyses, even though the operating units use the overall VaR diversified among all risk factors and portfolios.

MPS Group: Trading Book
- VaR Credit Spread 99% 1 day in EUR/mln -



In 2021, the trend in Credit Spread VaR was mainly affected by trading activities of the subsidiary MPSCS, primarily in Italian short-term government bonds, linked to cycles of auctions, with partial derivatives hedging (medium BTTP futures).

At the end of December, the Credit Spread VaR came to EUR 2.27 mln, the lowest levels of the year.

■ MPS Group: Trading Book
VaR Credit Spread 99% 1 day in EUR/mln

	VaR	Date
End of Period	2.27	31/12/2021
Min	1.85	22/07/2021
Max	11.11	25/02/2021
Average	4.51	

For the purposes of sensitivity analysis, the simulation scenario is as follows:

- +1 bp parallel shift for all credit spreads.

All positions related to the Trading Book are classified as "Financial assets held for trading" for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses.



■ MPS Group: Trading Book

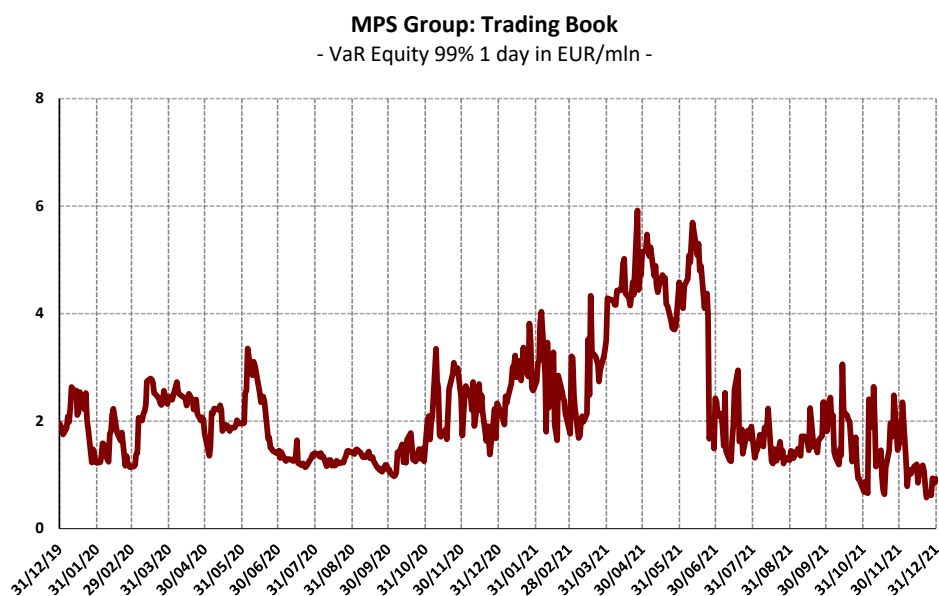
EUR/mln

Risk Family	Scenario	Global Effect
Credit Spread	+1bp all Curves	(0.14)

3.2 Price risk

Each business unit within the Group operates independently on the basis of the objectives and powers it has been assigned. The positions are managed by special desks provided with specific operational limits. Each desk adopts an integrated risk management approach (covering more than price risk, when allowed) in order to benefit from the natural hedge resulting from simultaneously holding positions on risk factors that are not perfectly correlated. The VaR by risk factor (specifically, Equity VaR and Commodity VaR) has management relevance for the purpose of risk management analyses, even though it is the global VaR diversified among risk factors and portfolios that is used by the operating units.

Below is information on the Group's diversified Equity VaR.



In 2021 the Equity VaR was influenced by the subsidiary MPSCS' activities related to the structuring and coverage of bancassurance products and, to a lesser extent, by the trading activity, mostly on options and futures with key market indexes as underlying. At the end of December, the Equity VaR came to EUR 0.92 mln, the lowest levels of the year.

■ MPS Group: Trading Book

VaR PNV EQ 99% 1 day in EUR/mln

	VaR	Date
End of Period	0.92	31/12/2021
Min	0.58	23/12/2021
Max	5.92	26/04/2021
Average	2.53	

The simulated price scenarios are as follows:

- +1% of each equity or index price;
- -1% of each equity or index price;
- +1 point of all volatility surfaces of all equity risk factors.



All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses for the equity component:

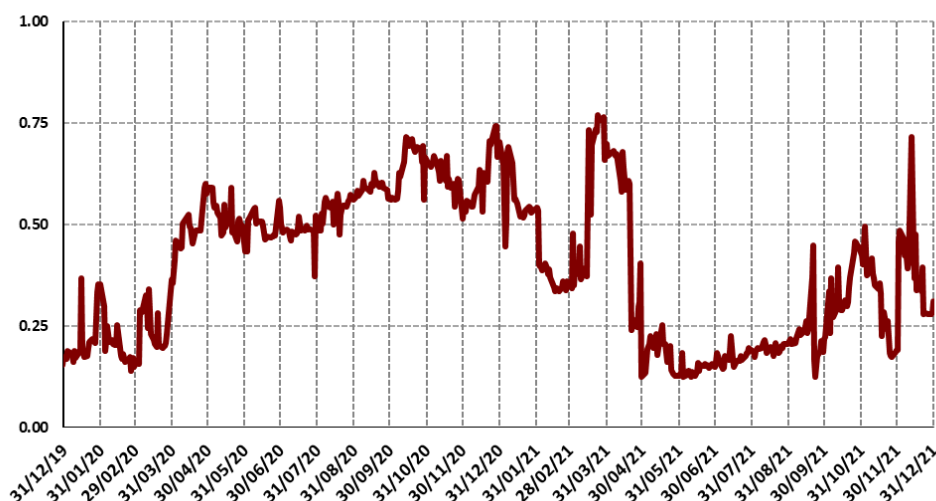
■ MPS Group: Trading Book

EUR/mln

Risk Family	Scenario	Global Effect
Equity	+1% Equity Prices (prices, indices)	(0.04)
Equity	-1% Equity Prices (prices, indices)	0.03
Equity	+1% Equity Volatility	0.33

In terms of exposure to commodity risk, in 2021 trends in the Commodity VaR were affected by the subsidiary MPSCS due to activities carried out in support of customers, primarily on commodity swaps and futures where the main commodity indexes are underlying. At the end of December, the Commodity VaR came to EUR 0.31 mln, in line with the average for the year.

MPS Group: Trading Book
- VaR Commodity 99% 1 day in EUR/mln -



■ MPS Group: Trading Book

VaR PNV CO 99% 1 day in EUR/mln

	VaR	Data
End of Period	0.31	31/12/2021
Min	0.12	23/09/2021
Max	0.77	24/03/2021
Average	0.33	

The simulated price scenarios are as follows:

- +1% of each commodity price;
- -1% of each commodity price;
- +1 point of all volatility surfaces of all commodity risk factors.

All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement.

The scenario analyses for the Commodity sector are not reported as they are not material.



1.2.2 Interest rate and price risk - Banking Book

Qualitative Information

A. General aspects, operational processes and measurement methods for interest rate risk and price risk

A.1 Interest rate risk

The Banking Book consists of all exposures not included in the Trading Book and, in accordance with international best practices, identifies the set of the Group's commercial trades connected to the transformation of maturities in the assets and liabilities and ALM financial activities (treasury and risk hedging derivatives).

The strategic Banking Book rate risk choices are defined periodically in the IRRBB Strategy document approved by the Board of Directors and made operational within the Group's Finance and Liquidity Committee; these choices are based on interest rate risk measures expressed in terms of changes in economic value as well as interest margin.

With reference to the sensitivity test on economic value, the Montepaschi Group applies a predefined set of interest rate scenarios in line with the Basel guidelines, which envisage non-parallel movements of the curve aside from parallel shifts of 25 bps, 100 bps and 200 bps. As interest margin analyses focus on the short term, they consider exclusively the application of parallel scenarios. The economic value sensitivity measures are determined by clearing the origination of the cash flows of the components not directly relating to interest rate risk.

The Group is committed to the continual updating of risk measurement methodologies by gradually fine-tuning the estimation models so as to include all major factors that progressively modify the interest rate risk profile of the banking book.

Risk metrics are calculated by using a model for the valuation of demand items (Non-Maturity Deposits, NMDs) whose characteristics of stability and partial insensitivity to interest rate changes are described in the systems with a statistical approach which takes into consideration the time series of customer behaviours.

- To take into account the phenomenon of prepayment on the Parent Company's mortgages, the Montepaschi Group uses a scenario dependent behavioural model, based on survival analysis, for the cluster of fixed-rate residential performing retail mortgages and a simplified CPR (Constant Prepayment Rate) approach for the complementary part of the overall portfolio. The Group also uses a simplified CTDRR (Constant Time Deposits Redemption Rate) model to factor in the early repayment phenomenon on the Parent Company's fixed rate time deposits and an approach for the treatment of non-performing loans, net of their credit impairment.

The Group adopts an interest rate risk governance and management system known as the IRRBB Framework which avails itself of:

- a quantitative model, which provides the basis for monthly calculation of the exposure of the Group and the individual companies to interest rate risk in terms of risk indicators;
- risk monitoring processes, aimed at periodically verifying compliance with the operational limits (risk limits and risk tolerance) assigned to the Group overall and to the individual legal entities within the Risk Appetite Statement;
- risk control and management processes, geared toward bringing about adequate initiatives for optimising the risk profile and activating any necessary corrective actions in the case of exceptions from and/or misalignments with the IRRBB Strategy.

Within the above system, the following responsibilities are centralised in the Parent Company:

- definition of strategic and operational policies for managing the Group's Banking Book and controlling its interest rate risk;
- coordination of Group policies' implementation by the companies included in the scope;
- governance of the Group's short-, medium- and long-term rate risk position, both overall and at individual company level, through centralised operational management.



In its governance function, the Parent Company therefore defines criteria, policies, responsibilities, processes, limits and instruments for rate risk management.

The Group Companies included in the scope of application are responsible for abiding by the rate risk policies and limits defined by the Parent Company and the requirements set by the relevant Supervisory Authorities.

Within the defined model, the Finance, Treasury and Capital Management Area (FTCMA) of the Parent Company is responsible for the operational management of the Group's overall rate and liquidity risk.

Specifically, within FTCMA, it is the Proprietary Finance, Forex and Call Desk structure that manages the short-term rate risk and the structural rate risk. In addition, FTCMA carries out hedge monitoring and management activities consistent with accounting policies, involving centralised oversight for definition of the network's internal rates (BMPS and other Group companies) for Euro and foreign currency transactions with maturities beyond the short term.

A.2 Price risk

The Group's Banking Book, subject to price risk, consists primarily of equity investments, equities and UCITS, measured at fair value. Trading in UCITS is carried out exclusively through the direct purchase of the funds/SICAVs, with no use being made of derivative contracts. Exposure to commodities of the Group's Banking Book was equal to zero.

Price risk measurement is carried out on positions held primarily for strategic or institutional/instrumental purposes.

The instrument used for measuring price risk applied to equity securities and UCITS, other than equity investments, is the Value at Risk (VaR), the methodology of which is described in Section 2 - "Market risks" of this Part E of the Notes to the financial statements.

Stress tests are conducted regularly as part of price risk governance strategies for the banking book in order to assess the Group's ability to absorb potential losses resulting from extreme events.

With reference to the equity investments component, the internal measurement system uses, for determining the Internal Capital, a metric borrowed from the Supervisory approach according to the standard method. This method calls for exposures to equity instruments to be assigned a risk weighting factor of 100% or 150% if high risk, unless they need to be deducted from Own Funds. The Own Funds deduction mechanisms according to current supervisory rules (CRD4/CRR) further expand the perimeter of deductions to also include non-significant investments in financial sector entities (<10%) and provide for deduction exemptions. It is worth noting that the most significant portion of the MPS Group's investment portfolio is included within the aggregate of significant investments in other financial sector entities (mainly the equity investment in the AXA Group).

Quantitative Information

1 Banking Book: breakdown of financial assets and liabilities by residual life (repricing date)

This table has not been prepared since an analysis of the banking book's sensitivity to interest rate risk and price risk is produced based on internal models.

2 Banking Book: internal models and other sensitivity analysis methods

2.1 Interest rate risk

The Group's sensitivity, at the end of 2021, was indicative of exposure to rate reduction risk. The amount of economic value at risk in the event of a +100 bps parallel shift of the rate curve came to EUR +42.86 mln at the end of 2021 (vs. EUR -163.57 mln for a shift of -100 bps). However, if benchmarked against Own Funds, these values are below the level considered as the attention threshold by the Bank of Italy.

The sensitivity of net interest income of the Italia Group (Margin Sensitivity) if rates increase by 25 bps amounts to EUR -6.11 mln at the end of 2021 (EUR -14.12 mln for -25 bps).



The internal measurement system is independently developed by the Risk Control Function of the Parent Company, which periodically reports on the extent of portfolio risks and their changes over time. The results are regularly brought to the attention of the Parent Company's Risk Management Committee and governing bodies.

2.2 Price risk

Shown below is a scenario analysis which includes all directional positions assumed by the Group in equity securities and UCITS, measured at fair value (e.g. securities classified as "Financial assets measured at fair value through other comprehensive income" and as "Financial assets mandatorily measured at fair value"):

■ Montepaschi Group: trading book

EUR/mln

Risk Family	Scenario	Impact on Net interest income and Profit or Loss	Impact on shareholder's equity	Global effect
Equity	+1% Equity prices (prices, indices)	1.58	2.55	4.13
Equity	-1% Equity prices (prices, indices)	(1,58)	(2,55)	(4,13)
Equity	+1 point Equity Volatility	0.00	0.00	0.00

The shareholding in the Bank of Italy represents approximately 74% of the effect on the Shareholders' Equity relating to the scenario analysis described above.

1.2.3 Foreign exchange risk

Qualitative Information

A. Foreign exchange risk: general aspects, operational processes and measurement methods.

Foreign exchange operations are mainly based on short-term trading, with the systematic balance of the transactions originated by the franchise and the retail banks which automatically feed into the Group's position.

Trading activities are carried out primarily by the Finance, Treasury and Capital Management (FTCM) Area of the Parent Company and, on the forex options segment, by the subsidiary MPSCS, with a direct management of the exchange rate risk. The foreign branches of the Parent Company maintained modest forex positions exclusively originated by funds available for commercial purposes. The turnover in cash allocated to Group portfolios and OTC derivatives for MPSCS remained stable in terms of risk, with ongoing and careful use of delegated powers. Foreign currency equity investments are typically financed by funds denominated in the same currency, with no assumption of foreign exchange risk.

For a description of stress tests used in the risk governance strategy on exchange rates and the model applied, please refer to the section "Market risk management model for the Trading Book".



B. Hedging of exchange rate risk

Quantitative Information

1. Breakdown by currency of assets, liabilities and derivatives

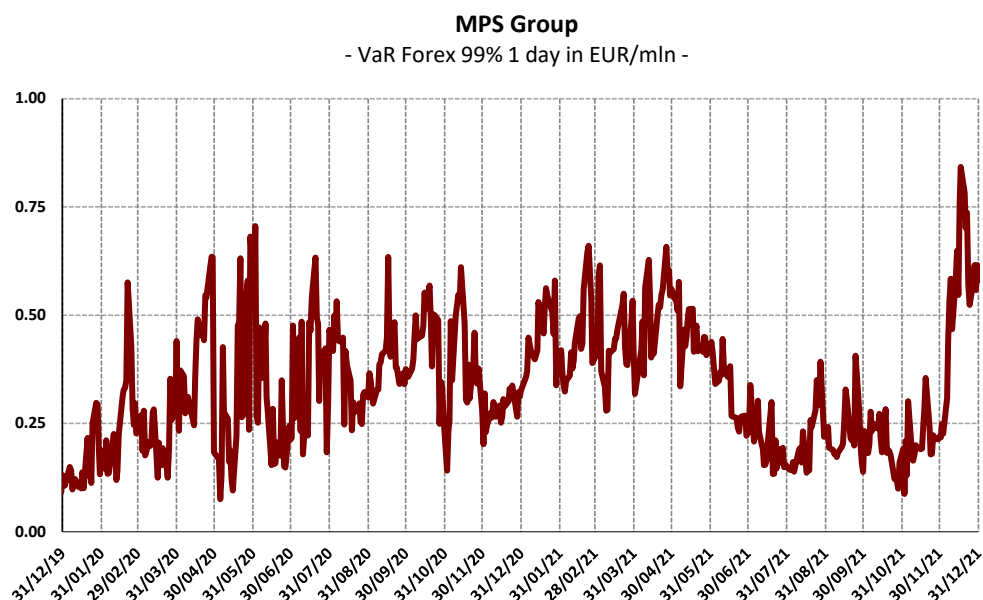
31.12.2021

Items	Currencies					
	US dollar	Pound sterling	Yen	Canadian Dollars	Swiss Franc	Other currencies
A. Financial assets	1,502,520	25,658	5,174	5,166	13,399	60,934
A.1 Debt securities	647,703	1,607	-	-	-	3,955
A.2 Equity securities	71,886	1,728	1,479	1,938	3,541	7,716
A.3 Loans to banks	339,983	6,623	5	-	2,936	12,186
A.4 Loans to customers	442,948	15,700	3,690	3,228	6,922	37,077
A.5 Other financial assets	-	-	-	-	-	-
B. Other assets	127,867	5,818	3,539	887	3,204	12,992
C. Financial liabilities	803,203	22,981	11,586	2,098	4,139	37,924
C.1 Deposits from banks	268,908	1,863	109	243	563	5,482
C.2 Customer accounts	534,295	21,118	11,477	1,855	3,576	32,442
C.3 Debt securities	-	-	-	-	-	-
C.4 Other financial liabilities	-	-	-	-	-	-
D. Other liabilities	12,717	208	73	30	5	5,114
E. Financial derivatives						
- Options						
+ Long positions	102,447	2,863	2,447	-	-	20,485
+ Short positions	81,840	-	8,929	-	-	113,547
- Other						
+ Long positions	816,163	141,161	52,814	9,691	9,948	154,742
+ Short positions	1,884,340	159,074	41,408	8,019	152	94,562
Total assets	2,548,997	175,500	63,974	15,744	26,551	249,153
Total liabilities	2,782,100	182,263	61,996	10,147	4,296	251,147
Difference (+/-)	(233,103)	(6,763)	1,978	5,597	22,255	(1,994)



2. Internal models and other sensitivity analysis methods

Exchange risk is monitored in terms of VaR and scenario analysis (for the methodology see the paragraph “Market risk management model for the Trading Book”). Shown below is information concerning the Group’s diversified Forex VaR.



The Group’s Forex VaR in 2021 is represented by the Parent Company’s exposure to bonds in foreign currency (USD), mainly in the financial category, recognised under “Financial assets measured at amortised cost”. Forex VaR volatility in 2021 was affected by temporary variations in the exposure of the Trading Book of the subsidiary MPSCS, due primarily to activities on foreign exchange EUR/USD derivatives. In December, an increase in the Forex VaR attributable to the Parent Company’s banking book and a portion of MPSCS was highlighted due to the write-down of tranches of securitisations in foreign currency (USD) classified as “financial assets mandatorily measured at fair value”.

At the end of December, Forex VaR stood at EUR 0.58 mln, lower than the average for the year:

■ MPS Group VaR Forex 99% 1 day in EUR/mlin		
	VaR	Date
End of Period	0.58	31/12/2021
Min	0.09	02/11/2021
Max	0.84	17/12/2021
Average	0.35	

The following scenarios were used for foreign exchange rate simulations:

- +1% for all foreign exchange rates to the Euro;
- +1% for all foreign exchange rates to the Euro;
- +1 point for all volatility surfaces of all foreign exchange rates.



The impact on net interest and other banking income and on profit/loss for the year was estimated taking account of positions classified as “Financial assets held for trading” and “Financial assets mandatorily measured at fair value”; market value changes are recognised directly in the income statement. Instead, the effect on equity is estimated with reference to all positions classified as “Financial assets measured at fair value through other comprehensive income” and related fair value hedges (FVH). The total effect is the result of the algebraic sum of the two components. Below is a summary of the scenario analyses.

■ **MPS Group**

EUR/mln

Risk Family	Scenario	Impact on net interest and other banking income and net profit	Impact on shareholders' equity	Global Effect
Forex	+1% Exchange rate against EUR	(0.23)	0.01	(0.22)
Forex	-1% Exchange rate against EUR	0.39	(0.01)	0.38
Forex	+1% Forex Volatility	0.48	0.00	0.48



1.3 - Derivatives and hedging policies

1.3.1 Derivatives for trading

A. Financial derivatives

A.1 Financial derivatives for trading: end of period notional amounts

Underlying asset/Type of derivative	Total 31 12 2021				Total 31 12 2021			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements			Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements	
1. Debt securities and interest rate	-	189,388,545	7,292,046	-	-	232,401,632	7,982,967	-
a) Options	-	11,675,636	1,789,893	-	-	13,988,232	1,781,080	-
b) Swaps	-	173,103,743	4,718,268	-	-	216,381,535	4,418,775	-
c) Forward	-	-	783,885	-	-	-	1,783,112	-
d) Futures	-	4,609,166	-	-	-	2,031,865	-	-
e) Other	-	-	-	-	-	-	-	-
2. Equity securities and stock indices	-	7,565,000	9,459	247,253	-	8,026,936	6,383	172,992
a) Options	-	4,591,191	9,459	218,769	-	5,767,506	6,383	148,316
b) Swaps	-	2,650,232	-	-	-	1,892,934	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	323,577	-	28,484	-	366,496	-	24,676
e) Other	-	-	-	-	-	-	-	-
3. Exchange rates and gold	-	454,824	2,697,837	-	-	1,114,452	2,053,694	-
a) Options	-	189,955	557,465	-	-	44,210	529,942	-
b) Swaps	-	29,984	-	-	-	732,888	-	-
c) Forward	-	234,885	2,140,372	-	-	337,354	1,523,752	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
4. Commodities	-	218,433	220,126	-	-	334,303	176,944	-
5. Other underlying	-	-	-	-	-	-	-	-
Total	-	197,626,802	10,219,468	247,253	-	241,877,323	10,219,988	172,992



A.2 Financial derivatives for trading: gross positive and negative fair value - breakdown by products

Underlying asset/Type of derivative	Total 31 12 2021				Total 31 12 2021			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements			Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements	
1. Positive Fair value								
a) Options	-	123,112	15,533	10,398	-	179,058	18,169	9,626
b) Interest rate swap	-	4,643,767	111,783	-	-	5,995,167	180,515	-
c) Cross currency swap	-	-	-	-	-	7,022	-	-
d) Equity swap	-	59,106	-	-	-	29,333	-	-
e) Forward	-	9,600	18,913	-	-	8,762	53,845	-
f) Futures	-	1,672	-	-	-	4,206	-	-
g) Other	-	19,879	35,269	-	-	15,959	11,235	-
Total	-	4,857,136	181,498	10,398	-	6,239,507	263,764	9,626
2. Negative fair value								
a) Options	-	173,093	25,826	7,855	-	209,087	10,216	3,842
b) Interest rate swap	-	3,584,981	4,764	-	-	4,523,209	22	-
c) Cross currency swap	-	72	-	-	-	32,787	-	-
d) Equity swap	-	62,558	-	-	-	30,468	-	-
e) Forward	-	2,838	23,142	-	-	8,878	20,578	-
f) Futures	-	780	-	-	-	1,971	-	-
g) Other	-	24,417	36,152	-	-	13,006	18,227	-
Total	-	3,848,739	89,884	7,855	-	4,819,406	49,043	3,842



A.3 Financial OTC derivatives for trading: notional amounts, gross positive and negative fair value for counterparties

31.12.2021

Underlying assets	Central Counterparties	Banks	Other Financial Companies	Other entities
Contracts not subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	X	595,890	537,782	6,158,374
- positive fair value	X	473	3,280	113,999
- negative fair value	X	3,134	521	16,871
2) Equity securities and stock indices				
- notional value	X	-	4,753	4,706
- positive fair value	X	-	5,233	2,127
- negative fair value	X	-	-	19
3) Exchange rates and gold				
- notional value	X	862,937	76,555	1,758,345
- positive fair value	X	914	71	20,102
- negative fair value	X	4,102	863	28,222
4) Commodities				
- notional value	X	-	-	220,126
- positive fair value	X	-	-	35,299
- negative fair value	X	-	-	36,152
5) Other underlying				
Contracts subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	64,271,197	123,656,324	1,461,024
- positive fair value	-	1,298,778	3,253,021	147,992
- negative fair value	-	1,173,899	2,407,390	31,427
2) Equity securities and stock indices				
- notional value	-	1,271,328	6,293,672	-
- positive fair value	-	49,347	75,347	-
- negative fair value	-	20,363	186,722	-
3) Exchange rates and gold				
- notional value	-	354,143	100,682	-
- positive fair value	-	10,830	270	-
- negative fair value	-	3,670	72	-
4) Commodities				
- notional value	-	-	218,433	-
- positive fair value	-	-	21,551	-
- negative fair value	-	-	25,196	-
5) Other underlying				

A.4 Residual life of financial OTC derivatives for trading: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
A.1 Financial derivatives on debt securities and interest rates	39,489,787	89,348,289	67,842,515	196,680,591
A.2 Financial derivatives on equity securities and stock indices	4,166,537	3,146,029	261,893	7,574,459
A.3 Financial derivatives on exchange rates and gold	2,977,533	175,128	-	3,152,661
A.4 Financial derivatives on other underlying assets	382,178	56,381	-	438,559
A.5 Other financial derivatives	-	-	-	-
Total 31 12 2021	47,016,035	92,725,827	68,104,408	207,846,270
Total 31 12 2020	85,782,815	95,838,142	70,476,354	252,097,311

B. Credit derivativesB.1. Credit derivatives for trading: end of period notional amounts

Transaction categories	Trading book	
	single name	with multiple counterparties (basket)
1. Purchases of protection		
a) Credit default products	105,307	235,000
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Others	-	-
Total 31 12 2021	105,307	235,000
Total 31 12 2020	194,194	150,000
2. Sales of protection	-	-
a) Credit default products	3,222,092	-
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Others	-	-
Total 31 12 2021	3,222,092	-
Total 31 12 2020	3,535,442	95,000



B.2. OTC credit derivatives: gross positive and negative fair value - breakdown by products

	Total 31 12 2021	Total 31 12 2020
1. Positive fair value	-	-
a) Credit default products	195	3,258
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	195	3,258
2. Negative fair value	-	-
a) Credit default products	113,361	131,856
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	113,361	131,856

B.3. OTC credit derivatives for trading: notional amounts, gross fair value (positive and negative) by counterparties

31 12 2021				
Contracts not subject to netting agreements	Central counterparties	Banks	Other financial companies	Other entities
Contracts not subject to master netting agreements				
1) Purchase of protection				
2) Sales of protection				
Contracts subject to master netting agreements				
1) Purchase of protection				
- notional value	-	20,244	320,063	-
- positive fair value	-	-	195	-
- negative fair value	-	306	12,472	-
2) Sales of protection				
- notional value	-	-	3,222,092	-
- positive fair value	-	-	-	-
- negative fair value	-	-	100,582	-

B.4 Residual life of OTC credit derivatives for trading: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
1. Sales of protection	-	1,696,249	1,525,843	3,222,092
2. Purchase of protection	-	265,307	75,000	340,307
Total 31 12 2021	-	1,961,556	1,600,843	3,562,399
Total 31 12 2020	134,811	1,579,674	2,260,151	3,974,636

B.5 Credit derivatives related to the fair value option: annual changes

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.



1.3.2 Hedges

Qualitative Information

The Group, during the first time adoption of IFRS 9, has exercised the option provided by the standard to continue to fully apply IAS 39 for all types of hedging (micro and macro). Therefore, the provisions of IFRS 9 in terms of hedging do not apply.

A. Fair value hedging

The purpose of interest rate risk hedging is to protect the banking book from changes in the fair value of deposits and loans caused by movements in the interest rate curve or to reduce the variability of cash flows linked to a particular asset/liability.

At Group level, the risk predominantly hedged is the interest rate risk with fair value hedges, for a total of approximately EUR 27 bn in nominal amount of hedging derivatives.

The Group uses the following hedges to manage interest rate risk:

- fair value micro hedges: hedging of trading assets (loans/mortgage loans), security portfolio and bonds;
- fair value macro hedges: hedging of commercial assets (loans/mortgage loans) and commercial funding (time deposits);

The fair value hedges at Group level regard both micro hedges of assets and liabilities, identified specifically and represented by government bonds in the Banking Book and bonds issued by the Parent Company, as well as macro hedges (macro hedge - version with bottom layer approach) of retail fixed-rate deposits.

The derivatives used for this purpose are primarily interest rate swaps (IRS) and options on rates realised with third parties or with other companies of the Group which, in return, hedge the market risk so that the requirements for outsourcing hedging with counterparties, necessary to qualify the hedging at the consolidated financial level, are complied with.

Derivatives are not listed in regulated markets, but are traded within the scope of OTC circuits. OTC agreements also include those brokered through Clearing Houses.

B. Cash-flow hedging

The Group does not have any such hedging in place.

C. Hedging of foreign investments

The Group does not have any such hedging in place.

D. Hedging instruments

The sources of ineffectiveness of a hedging relationship are generally and primarily ascribable to the following aspects:

- trading of derivatives based on non-market parameters;
- incorrect estimate of the hedging percentage;
- plan for the amortisation of the notional amount that is not aligned with that recognised on the hedged instrument.

The ineffectiveness of the hedging is recognised in the Income Statement and measured according to the possibility of continuing to apply the hedge accounting rules.



E. Hedged items

At the Group level, the main types of hedged items are:

- debt securities under assets;
- debt securities issued;
- fixed-rate commercial loans;
- optional component implicit in the floating-rate mortgage loans;
- fixed-rate commercial funding.

E.1 Debt securities under assets

Hedging relationships of these assets are especially of a micro fair value hedge type; derivatives used for this purpose are mainly IRS and the hedged risk is the interest rate risk.

In order to verify the efficacy of the hedge the Dollar Offset Method is used. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item.

E.2 Debt securities issued

These are securities covered by hedges in the fair value micro hedge category; derivatives used as hedging instruments are primarily IRS. The hedged risk is the interest rate risk.

In order to verify the efficacy of the hedge the Dollar Offset Method is used. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item.

E.3 Fixed-rate commercial loans

In these cases, the hedging relationships in place are of a macro fair value hedge type and the derivatives used as hedging instruments are primarily IRS. The hedged risk is the interest rate risk.

The effectiveness of the macro hedging on fixed-rate loans is verified through specific forward- and backward-looking tests aimed at demonstrating that the hedged portfolio contains an amount of assets for which the sensitivity profile and the changes in the fair value for the interest rate risk can be said to match those of the hedging derivatives. It should be noted that for the purpose of the forward- and backward-looking tests, the hedged portfolio takes into account the prepayment estimates, determined on the basis of the model used from time to time to manage interest rate risk.

E.4 Optional component implicit in the floating-rate mortgage loans;

The optional components implicit in mortgage loans with floating interest rate are hedged with a fair value macro hedge using, as hedging instruments, cap/floor derivatives.

The effectiveness of the hedging is verified by using the resilience of the capacity test.

E.5 Fixed-rate commercial funding

Fixed-rate commercial funding is subject to hedging relationships in the fair value macro hedge category, mainly through the use of hedging instruments such as IRS derivatives. The hedged risk is the interest rate risk.

The effectiveness of the macro hedges on the commercial funding with fixed interest rate is verified using the Dollar Offset Method. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item. The effectiveness is verified through a capacity test that compares the amount of the hedged items and the amount of the hedging instrument.



Other information

Following, as required in IFRS 7.24H, is the table containing details, by nominal amounts, of the hedging according to the reference index of the interest rates.

Interest rate	Assets		Liabilities		Total
	Nominal hedging		Nominal hedging		
	Micro-FVH	Macro FVH	Micro-FVH	Macro FVH	
EURIBOR 1M		1,809,686	1,250,000	1,991,402	5,051,088
EURIBOR 3M	1,326,448	2,762,520	1,150,000		5,238,968
EURIBOR 6M	4,083,489	7,251,233	3,500,000	1,324,197	16,158,920
USD LIBOR 3M	356,692				356,692
EURIBOR 30Y CMS	80,097				80,097
	5,846,726	11,823,439	5,900,000	3,315,600	26,885,765

The table shows the notional amounts of hedging derivatives inclusive of the netting carried out pursuant to IAS 32.

The Group does not show any significant hedging index-linked to Eonia/Libor, therefore:

- the significant reference index for the Group hedging is the Euribor;
- the risk exposure impacted by the index reform is not substantial;
- the Group has used a regulatory internal document where the actions to be undertaken are described in the case of a substantial change to, or discontinuation of, an index;
- the Group has set out a specific project intervention regarding the reform of financial indexes and the transition to new risk free rates, and it monitors any regulatory changes.
- with a view to the transition to the new risk-free rates, during 2021, the Group had adjusted all hedging derivatives to the new Euro short-term rate curve (€STR).



Quantitative Information

A. Financial hedging derivatives

A.1 Financial hedging derivatives: end of period notional amounts

Underlying asset/Type of derivative	Total 31 12 2021				Total 31 12 2020			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to master netting agreements	Contracts not subject to master netting agreements			Contracts subject to master netting agreements	Contracts not subject to master netting agreements	
1. Debt securities and interest rate	-	26,324,634	-	-	-	27,529,288	-	-
a) Options	-	6,175,828	-	-	-	6,865,845	-	-
b) Swaps	-	20,148,806	-	-	-	20,663,443	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
2. Equity securities and stock indices	-	-	-	-	-	-	-	-
a) Options	-	-	-	-	-	-	-	-
b) Swaps	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
3. Exchange rates and gold	-	341,692	-	-	-	356,450	-	-
a) Options	-	-	-	-	-	-	-	-
b) Swaps	-	341,692	-	-	-	356,450	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
4. Commodities	-	-	-	-	-	-	-	-
5.Other underlying	-	-	-	-	-	-	-	-
Total	-	26,666,326	-	-	-	27,885,738	-	-



A.2 Financial hedging derivatives: gross positive and negative fair value - breakdown by products

Underlying asset/Type of derivative	Total 31 12 2021				Total 31 12 2021			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to master netting agreements	Contracts not subject to master netting agreements			Contracts subject to master netting agreements	Contracts not subject to master netting agreements	
1. Positive fair value								
a) Options	-	-	-	-	-	58	-	-
b) Interest rate swap	-	121,258	-	-	-	169,877	-	-
c) Cross currency swap	-	-	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-
g) others	-	-	-	-	-	-	-	-
Total	-	121,258	-	-	-	169,935	-	-
2. Negative fair value								
a) Opzioni	-	136,796	-	-	-	223,470	-	-
b) Interest rate swap	-	1,191,476	-	-	-	1,685,881	-	-
c) Cross currency swap	-	37,409	-	-	-	8,250	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-
g) Others	-	-	-	-	-	-	-	-
Total	-	1,365,681	-	-	-	1,917,601	-	-



A.3 Financial OTC hedging derivatives: notional amounts, gross positive and negative fair value for counterparties

31 12 2021

Contracts not subject to netting agreements	Central counterparties	Banks	Other financial companies	Other entities
Contracts not subject to master netting agreements				
1) Debt securities and interest rates				
2) Equity securities and stock indices				
3) Exchange rates and gold				
4) Commodities				
5) Other underlying				
Contracts subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	25,782,900	541,735	-
- positive fair value	-	120,421	836	-
- negative fair value	-	1,225,768	102,504	-
2) Equity securities and stock indices				
3) Exchange rates and gold				
- notional value	-	341,692	-	-
- positive fair value	-	-	-	-
- negative fair value	-	37,409	-	-
4) Commodities				
5) Other underlying				



A.4 Residual life of financial OTC hedging derivatives: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
A.1 Financial derivatives on debt securities and interest rates	2,138,801	10,650,694	13,535,140	26,324,635
A.2 Financial derivatives on equity securities and stock indices	-	-	-	-
A.3 Financial derivatives on exchange rates and gold	341,692	-	-	341,692
A.4 Financial derivatives on other underlying assets	-	-	-	-
A.5 Other financial derivatives				
Total 31 12 2021	2,480,493	10,650,694	13,535,140	26,666,327
Total 31 12 2020	3,345,228	10,486,090	14,054,420	27,885,738

B. Credit hedging derivatives

B.1 Credit hedging derivatives: end of period notional amounts

B.2 Credit hedging derivatives: gross positive and negative fair value - breakdown by products

B.3 OTC credit hedging derivatives: notional amounts, gross positive and negative fair value for counterparties

B.4 Residual life of OTC credit hedging derivatives: notional amounts

The table above was not completed as the Group had no outstanding credit hedging derivatives for either the current or the previous year.

C. Non-derivative hedging instruments

C.1 Hedging instruments other than derivatives: breakdown by accounting portfolio and type of hedging

D. Hedged instruments

D.1 Fair value hedging

D.2 Cash-flow and foreign investment hedging

E. Effects of hedging transactions on equity

E.1. Reconciliation of equity items

The tables for Sections C, D and E were not completed, as the Group exercised the option, envisaged on first-time application of IFRS 9, to continue to use, as regards “hedge accounting”, the provisions of IAS 39.



1.3.3 Other information on derivatives (trading and hedging)

A. Financial and credit derivatives

A.1 OTC financial and credit derivatives: net fair values for counterparties

31.12.2021

Underlying assets	Central counterparties	Banks	Other financial companies	Other entities
A. Financial derivatives				
1. Debt securities and interest rates				
- notional value	-	64,088,271	107,497,669	-
- positive fair value	-	-	81,144	-
- negative fair value	-	662,095	86,842	-
2. Equity securities and stock indices				
- notional value	-	-	3,427,377	-
- positive fair value	-	-	37,659	-
- negative fair value	-	-	-	-
3. Exchange rates and gold				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
4) Commodities				
- notional value	-	-	176,362	-
- positive fair value	-	-	893	-
- negative fair value	-	-	-	-
4. Other underlying				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	504,837	-	-
B. Credit derivatives				
1. Purchase of protection				
- notional value	-	-	235,000	-
- positive fair value	-	-	-	-
- negative fair value	-	-	8,849	-
2. Sales of protection				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-

The table shows the positive or negative fair values of the derivatives subject to offsetting pursuant to IAS 32.42.



1.4 - Liquidity risk

Qualitative Information

A. Liquidity risk: general aspects, operational processes and measurement methods

In 2021, the Montepaschi Group continued to strengthen and boost the efficiency of its strategic and operating liquidity risk management processes, placing particular attention to the regulatory developments affecting the Net Stable Funding Ratio.

Group Liquidity Risk Framework

The Montepaschi Group has used a Liquidity Risk Framework for many years now, intended as the set of tools, methodologies, organisational and governance set-ups which ensures both compliance with national and international regulations and adequate liquidity risk governance in the short (Operating Liquidity) and medium/long (Structural Liquidity) term, under business as usual and stress conditions.

The reference Liquidity Risk model for the Montepaschi Group is “centralised” and calls for the management of short-term liquidity reserves and medium/long-term financial balance at Parent Company level, guaranteeing solvency on a consolidated and individual basis for the subsidiaries.

The internal assessment of liquidity adequacy is a process that is part of the more general Risk Management macro-process, in direct connection with the Risk Appetite Framework (RAF) through the annual formulation of the Risk Appetite Statement (RAS) with related thresholds.

The overall internal liquidity adequacy assessment takes place periodically as part of the strategic ILAAP (Internal Liquidity Adequacy Assessment Process) process consisting mainly of:

- ILAAP Outcomes, or quantitative (inherent risk) and qualitative (risk management and controls) assessments on risk positioning prepared by the Risk Control function and submitted to the Board of Directors, the document accompanied by the so-called Liquidity Adequacy Statement (LAS), i.e., the summary statement of the Board of Directors which expresses its vision and awareness for the purposes of liquidity adequacy management.
- ILAAP ongoing, which consists substantially of periodical analyses of liquidity adequacy which are described in reports to the corporate bodies.

Liquidity Risk Management

The management of the Group’s Operational Liquidity aims at ensuring the capacity of the Montepaschi Group to meet the cash payment obligations within a short-term time frame. The essential condition for a normal course of business in banking is the maintenance of a sustainable imbalance between cash inflows and outflows in the short term. From the operational perspective, the benchmark metric in this respect is the difference between net cumulative cash flows and Counterbalancing Capacity, i.e. the reserve of liquidity in response to stress conditions over a short time horizon, in addition to the Liquidity Coverage Ratio (LCR) regulatory measure - Delegated Act. From the extremely short-term perspective, the Group adopts a system for the analysis and monitoring of intraday liquidity, with the goal of ensuring normal development during the day of the bank’s treasury and its capacity to meet its intraday payment commitments.

Management of the Group’s Structural Liquidity is intended to ensure the structural financial balance by maturity buckets over a time horizon of more than one year, both at Group and individual company level. Maintenance of an adequate dynamic ratio between medium/long-term assets and liabilities is aimed at preventing current and prospective short-term funding sources from being under pressure. The benchmark metrics are gap ratios which measure the ratio of total collection and loans over more-than-1-year and more-than-5-year maturity, and the ratio between collection and commercial loans, in addition to the regulatory measurement of the Net Stable Funding Ratio (NSFR) in accordance with the requirements of CRR2⁵⁵, entered into force in June 2021. The Montepaschi Group also defined and formalised:

- the asset encumbrance management and monitoring framework with the goal of analysing:
 - the overall degree of encumbrance of total assets;

⁵⁵ Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019, amending Regulation (EU) no. 575/2013 as regards the leverage ratio, the net stable funding ratio, the requirements for own funds and eligible liabilities, counterparty risk, market risk, exposures to central counterparties, exposures to collective investment undertakings, large exposures, reporting and disclosure obligations and Regulation (EU) no. 648/2012.



- the existence of a sufficient quantity of assets that may be encumbered but which are free;
- the Montepaschi Group's capacity to transform bank assets into eligible assets (or in an equivalent manner, to encumber non-eligible assets in bilateral transactions);

and

- the monitoring framework of the Concentration Risk, with the goal of analysing:
 - the concentration of the funding sources, by counterparty and by type of channel;
 - the concentration of the assets composing the liquidity reserves of the Montepaschi Group.

The liquidity position is monitored under business-as-usual conditions and under specific, system-wide and/or combined stress scenarios (with adverse and extreme intensity) according to the Liquidity Stress Test Framework. The purposes of these exercises are:

- to show, in a timely manner, the main Montepaschi Group's vulnerability to liquidity risk;
- to calculate the survival time frame of the Montepaschi Group under stress conditions;
- to enable a prudential determination of surveillance levels, to be applied to the Liquidity Risk measurement metrics within the scope of the annual Risk Appetite Statement.

Within the scope of Risk Appetite Framework, the Liquidity Risk Framework identifies the tolerance thresholds for liquidity risk, that is to say the maximum risk exposure deemed sustainable in a business-as-usual scenario and under stress conditions. The short/medium and long-term liquidity risk limits derive from the setting of these risk appetite thresholds.

The system of operating limits, known as Liquidity Risk Limits, is defined so as to make it possible to promptly identify approaches to the risk tolerance threshold as defined in the annual Risk Appetite Statement process.

In order to immediately identify the emergence of vulnerabilities in the liquidity's position, the Group Montepaschi has developed a range of Early Warnings, classified as generic or specific depending on whether the individual indicator is designed to detect potential vulnerabilities in the overall economic context of reference or in the Montepaschi Group structure.

Group's Liquidity Management

Operating and Structural Liquidity management is governed by the Parent Company's Liquidity Management Department, which is responsible for defining and implementing funding strategies in the short and medium/long-term.

With reference to the management of Operating Liquidity, the Liquidity Management functions manages the Montepaschi Group's "liquidity reserves" so as to guarantee the Bank's capacity to deal with expected and unexpected outflows, to that end making recourse to various interbank market instruments (unsecured deposits, collateralised deposits, repos) as well as transactions with the Central Bank.

With reference to the management of Structural Liquidity, the Liquidity Management Function pursues the objectives detailed in the annual Funding Plan, which operationally implements the medium-long term strategies defined in the "Liquidity and Funding Strategy". The Group's Liquidity and Funding Strategy defines the funding activity guidelines of the Montepaschi Group in terms of risk appetite, with a three-year time horizon, in compliance with the long-term risk tolerance thresholds on operating and structural liquidity indicators, internal and regulatory, defined within the Group's Risk Appetite Statement (RAS).

In addition, to complete the Funding Plan, Liquidity Management prepares the Contingency Funding Plan, which represents the operational tool for liquidity risk management intended to define intervention strategies in the case of liquidity tensions, laying out procedures and actions that may be promptly activated to obtain sources of funds under a stress scenario.

Liquidity position: regulatory indicators

The Montepaschi Group uses the following main indicators to assess its liquidity profile:

- Liquidity Coverage Ratio (LCR), which is the short-term liquidity indicator corresponding to the ratio between the amount of high quality liquid assets and the total net cash outflows in the subsequent 30 calendar days. Starting from 2018, the indicator has been subject to a minimum regulatory requirement of 100%;



- Net Stable Funding Ratio (NSFR), which is the structural 12-month liquidity indicator corresponding to the ratio between the available stable funding amount and the compulsory stable funding amount. This indicator, whose minimum regulatory requirement is 100% (starting from the report referring to 30 June 2021), is subject to supervisory reporting on a quarterly basis;
- Loan to Deposit Ratio, representing the ratio between loans to customers and direct funding, excluding transactions with central counterparties.

The three indicators in the reference year are shown below in comparison with the previous year

	Regulatory requirement	31 12 2021	31 12 2020
LCR	100%	172.7%	196.7%
NSFR	100%	129.6%	123.8%
<i>Loan to Deposit Ratio *</i>	n.a	87.9%	79.7%

(*) Calculated as the ratio between loans to customers and the sum of customer deposits including bonds issued (deposits from customers, debt securities issued and financial liabilities designated at fair value).

The short-term liquidity indicator, the Liquidity Coverage Ratio (LCR), was 172.7% as at 31 December 2021, higher than the minimum regulatory requirement for 2021 even though lower compared to December 2020 (196.7%).

The medium/long-term liquidity indicator, the Net Stable Funding Ratio (NSFR), was 129.6% as at 31 December 2021, higher than the minimum regulatory requirement for 2021, up from December 2020 (123.8%).

As at 31 December 2021, the operating liquidity position showed an unencumbered counterbalancing capacity level of EUR 25.4 bn, down compared to 31 December 2020 (EUR 33.1 bn).

The trend of the regulatory liquidity indicators in 2021 was mainly influenced by the trend of commercial dynamics driven, in particular, by the reduction in direct deposits with wholesale counterparties, in turn determined by the actions taken by the Parent Company, for the optimization of the cost of funding.

With respect to not particularly significant institutional maturities (mainly represented by EUR 1 bn of public *Covered Bonds* and EUR 2.7 bn of bilateral funding), despite an initial situation of excess liquidity, the 2021 *Funding Plan* envisaged significant volumes of senior public issues, due to the Parent Company's need to meet the MREL targets which, from 1 January 2022, would become "binding" for the banking system. From this point of view, in addition to the capital strengthening of EUR 2.5 bn, the funding plans provide for the issue of senior public bonds for a total of EUR 2 bn, of which:

- EUR 1.4 bn in senior "non preferred" format.
- EUR 0.6 bn in senior "preferred" format.

These amounts have regularly been revised during the year, in light of RWA and Leverage Exposure trends and of the Leverage Exposure, based on which the MREL targets to be achieved are set. In particular, considering a better than expected trend in RWAs and capital ratios, the estimate of the issues to be carried out in 2021 has been gradually reduced, to almost zero, assuming the expected capital increase is carried out. Taking into account the delay in the capital increase, on 1 January 2022, breaches of the Combined Capital Reserve Requirement (CBR) were recorded, considered in addition to the MREL requirement based on RWAs (equal to EUR -407 mln) and the Subordination Requirement, the latter determined both for RWAs and inclusive of CBR (EUR -325 mln) and for Leveraged Exposures (EUR -429 mln).

The new public bond issuance plans, aimed at satisfying the MREL requirements, will be defined in accordance with the Group's strategic plans and, in this sense, their operational declination will be fully defined only following the approval of the 2022- 2026 Strategic Plan, currently subjected to the required information, approval and regulatory procedures that the Bank has initiated with the relevant Authorities.

During the year the Montepaschi Group was also able to continue to benefit from the extraordinary monetary policy measures approved by the ECB in 2020, with particular reference to the increase in the access ceiling of



TLTRO III refinancing operations, the improvement of the related economic conditions and the expansion for the criteria for the use of collateral. In particular, during 2021 the Montepaschi Group had access to the TLTRO III auction in March 2021 for EUR 2.5 bn, and that of June 2021 for EUR 3 bn, bringing the total amount of TLTRO III outstanding for the Montepaschi Group to EUR 29.5 bn.

Impacts deriving from the COVID-19 pandemic

It should be noted that the Montepaschi Group did not need to resort to the temporary reliefs on liquidity, granted by the ECB following the stress induced by the COVID-19 pandemic.

As already found in 2020, liquidity indicators remained at levels well above the regulatory levels, also thanks to the effects of the extraordinary monetary policies implemented by the Central Bank to deal with the effects of the COVID -19 pandemic.



Quantitative Information

1. Breakdown of financial assets and liabilities by residual contractual duration - Currency: Euro

Account / Maturity											31 12 2021
	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	1 to 5 years	over 5 years	Unspecified maturity	
Balance-sheet assets											
A.1 Government securities	816	-	5,354	26,295	216,774	889,061	3,112,811	5,472,145	6,201,129	-	
A.2 Other debt securities	288,119	44	176	9,609	27,415	56,953	62,932	752,786	3,403,310	1,127	
A.3 Units of UCITS	227,940	-	-	-	13	-	-	-	-	-	
A.4 Loans	10,879,634	3,358,540	525,946	1,243,413	4,018,641	3,988,746	4,796,535	25,060,421	30,513,975	20,781,784	
- Banks	3,292,107	43,982	110,854	120,897	439,959	152,314	12,894	21,925	636	20,744,761	
- Customers	7,587,527	3,314,558	415,092	1,122,516	3,578,682	3,836,432	4,783,641	25,038,495	30,513,338	37,023	
Balance-sheet liabilities											
B.1 Deposits and current accounts	65,852,714	24,053	44,082	131,675	234,771	280,820	981,667	4,595,000	62,000	-	
- Banks	94,527	-	-	-	-	-	-	4,750	62,000	-	
- Customers	65,758,187	24,053	44,082	131,675	234,771	280,820	981,667	4,590,250	-	-	
B.2 Debt securities	372,772	28	14,297	853,909	1,206	28,593	683,060	6,781,099	1,982,003	225,204	
B.3 Other liabilities	4,332,955	3,673,519	111,245	472,572	81,438	353,394	4,561,174	26,626,586	630,093	-	
Off-balance-sheet transactions											
C.1 Financial derivatives with exchange of principal	-	-	-	-	-	-	-	-	-	-	
- long positions	136,399	971,157	279,666	798,353	1,479,291	355,534	353,504	546,837	405,269	-	
- short positions	544,470	526,873	171,379	513,439	1,075,469	673,493	554,407	228,156	357,328	-	
C.2 Financial derivatives without exchange of principal	-	-	-	-	-	-	-	-	-	-	
- long positions	4,647,757	-	243	1,088	20,575	9,572	23,802	-	-	-	
- short positions	3,743,085	-	1,663	842	22,565	14,016	54,964	-	-	-	
C.3 Deposits and borrowings to be received	-	-	-	-	-	-	-	-	-	-	
- long positions	-	7,507,813	-	-	362,304	155,509	-	-	-	-	
- short positions	-	6,871,999	-	-	635,813	-	-	517,813	-	-	
C.4 Irrevocable commitments to disburse funds	-	-	-	-	-	-	-	-	-	-	
- long positions	317,766	5,671,612	-	-	654,205	11,704	34,115	742,721	828,798	-	
- short positions	1,462,813	6,335,725	-	-	312,510	149,875	-	-	-	-	
C.5 Financial guarantees given	8,366	38	24	5,748	835	2,867	9,408	952	515	28	
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-	
C.7 Credit derivatives with exchange of principal	-	-	-	-	-	-	-	-	-	-	
- long positions	-	-	-	-	-	-	-	1,706,249	1,600,843	-	
- short positions	-	-	-	-	-	-	-	1,706,249	1,600,843	-	
C.8 Credit derivatives without exchange of principal	-	-	-	-	-	-	-	-	-	-	
- long positions	-	-	-	-	-	-	-	-	-	-	
- short positions	8,849	-	-	-	-	-	-	-	-	-	



2. Breakdown of financial assets and liabilities by residual contractual duration - Currency: Other

		31 12 2021							
Account / Maturity	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	1 to 5 years	Unspecified maturity
Balance-sheet assets	199,438	87,532	23,875	118,161	281,817	122,661	95,412	158,984	663,127
A.1 Government securities	5	-	-	-	808	473	1,253	23,838	25,244
A.2 Other debt securities	3,277	-	6	763	30,967	3,558	79,838	66,130	611,180
A.3 Units of UCITS	19,575	-	-	-	-	-	-	-	-
A.4 Loans	176,581	87,532	23,869	117,400	250,042	118,630	14,321	69,016	26,703
- Banks	79,763	78,089	5,818	59,541	115,747	26,840	4,248	3,004	-
- Customers	96,818	9,443	18,051	57,859	134,295	91,790	10,073	66,012	26,703
Balance-sheet liabilities	538,667	6,103	8	309,381	10,913	16,854	19	-	-
B.1 Deposits and current accounts	509,981	6,103	8	90,206	882	16,854	19	-	-
- Banks	31,258	5,064	-	-	-	-	-	-	-
- Customers	478,723	1,039	8	90,206	882	16,854	19	-	-
B.2 Debt securities	-	-	-	-	-	-	-	-	-
B.3 Other liabilities	28,686	-	-	219,175	10,031	-	-	-	-
Off-balance-sheet transactions	-	-	-	-	-	-	-	-	-
C.1 Financial derivatives with exchange of principal	-	-	-	-	-	-	-	-	-
- long positions	27,863	283,945	64,163	320,020	219,395	154,897	185,167	45,049	44,157
- short positions	14,594	395,744	219,275	474,852	774,562	236,442	145,132	29,059	2
C.2 Financial derivatives without exchange of principal	-	-	-	-	-	-	-	-	-
- long positions	248,501	-	-	-	-	19	-	-	-
- short positions	159,379	-	-	-	442	-	391	-	-
C.3 Deposits and borrowings to be received	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-
C.4 Irrevocable commitments to disburse funds	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	-	6,114	778	36	692	-
- short positions	7,619	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	54	-	-	-	6	-	-	11	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of principal	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	-	-	-	-	20,307	-
- short positions	-	-	-	-	-	-	-	20,307	-
C.8 Credit derivatives without exchange of principal	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-



Self-securitisations

The securitisation transactions whereby the Group underwrites securities issued by vehicle companies (self-securitisations) are not shown in the tables of Part E of the Notes to the Financial Statements, section “C. Securitisation and asset disposal transactions”, pursuant to the provisions of Bank of Italy Circular 262.

Self-securitisations of assets are transactions aimed at improving liquidity risk management by optimising the amount of assets readily available to cover liquidity requirements.

Although the Group’s direct and full underwriting of the notes issued by the vehicles does not make it possible to obtain direct liquidity from the market, it still provides the Group with securities that could be used for ECB refinancing (limited to the senior tranches as ECB eligible) and for reverse purchase agreements by increasing the availability of disposable assets, thus improving the MPS Group safety margin against liquidity risk (counterbalancing capacity). These transactions had no economic impact on the financial statements: loans continue to be reported under item 40b) “Financial assets measured at amortised cost: loans to customers” on the assets side, while underwritten notes are not reported.

As at 31 December 2021, this category includes the self-securitisations completed in December 2007 (Siena Mortgages 07–5), April 2008 (Siena Mortgages 07-5 II series), April 2009 (Siena Mortgages 09-6) and January 2016 (Siena Lease 2016-2)⁵⁶. In May 2021, the Siena PMI 2016 transaction, structured in 2016, was repaid early through the repurchase of the securitized portfolio.

Siena Mortgages 07-5, I and II series

On 21 December 2007, through the vehicle Siena Mortgages 07-5 S.p.a., the Parent Company finalised a securitisation of performing loans consisting of a portfolio of 57,968 residential mortgage loans for a total of EUR 5,162.4 mln, of which a balance of EUR 785.5 mln (16,013 mortgage loans) outstanding as at 31 December 2021.

In order to fund the acquisition, the Vehicle issued Residential Mortgage Backed Floating Rate Notes (RMBS) in the following classes, rated by Moody’s and Fitch as at 31 December 2021:

- Class A notes (Aa3 and AA-) for a nominal amount of EUR 4,765.9 mln, of which EUR 4,388.3 mln redeemed;
- Class B notes (Aa3 and AA-), for a nominal amount of EUR 157.4 mln;
- Class C notes (B3 and B-), for a nominal amount of EUR 239.0 mln.

A cash reserve was also set up to support the transaction for an initial amount of EUR 124.0 mln, through the issuance of class D notes, which was posted under asset item 40 b) “Financial assets measured at amortised cost: loans to customers”. The transaction reached the Protection Ratio (ratio between total Class B and C notes and total Class A, B and C notes) which allowed for the gradual reduction of the cash reserve: EUR 23.9 mln as at 31 December 2021.

Through the same vehicle (Siena Mortgages 07-5 S.p.A.), on 24 April 2008 a second transaction was finalised (Siena Mortgages 07-5 second series), collateralised by a separate pool of assets consisting of an additional sale of a portfolio of performing loans composed of 41,888 residential mortgage loans for a total of EUR 3,461.0 mln and with a residual life of about 20 years.

This portfolio, as at 31 December 2021, has a residual debt of EUR 607.2 mln (9,945 mortgages).

To fund the acquisition of loans, the Vehicle issued RMBS notes in the following classes, rated by Moody’s and Fitch as at 31 December 2021:

- Class A notes (Aa3 and AA-) for a nominal amount of EUR 3,129.4 mln, of which EUR 2,820.5 mln redeemed;
- Class B notes (Aa3 and AA-), for a nominal amount of EUR 108.3 mln;
- Class C notes (NR and B-), for a nominal amount of EUR 178.3 mln.

⁵⁶The Siena Lease 2016-2 transaction, following redemption of the securities initially placed on the market, became a self-securitisation in 2019 since the outstanding securities were entirely underwritten by the originator MPS Leasing & Factoring



A cash reserve was also set up to support the transaction for an initial amount of EUR 81.9 mln, through the issuance of class D notes, and posted under asset item 40 b) "Financial assets measured at amortised cost: loans to customers". The transaction reached the Protection Ratio (ratio between total Class B and C notes and total Class A, B and C notes) which allowed for the gradual reduction of the cash reserve equal to EUR 15.8 mln as at 31 December 2021.

Siena Mortgages 09-6, I series

On 22 April 2009 the Parent Company finalised a securitisation through the vehicle Siena Mortgages 09 – 6 Srl of a portfolio of performing mortgage loans in real estate and building for a total of EUR 4,436.5 mln. As at 31 December 2021, the remaining debt balance stands at EUR 857.6 mln, for a total of 14,647 mortgage loans.

In order to fund the acquisition of the portfolio sold, the Vehicle issued Residential Mortgage Backed Floating Rate Notes (RMBS) in the following classes, rated by Moody's and Fitch as at 31 December 2021:

- Class A notes (Aa3 and AA) for a nominal amount of EUR 3,851.3 mln, of which EUR 3,627.1 mln redeemed;
- Class B notes (NR and AA), for a nominal amount of EUR 403.7 mln;
- Class C notes (NR and A+), for a nominal amount of EUR 181.4 mln.

A cash reserve was also set up to support the transaction for an initial amount of EUR 106.5 mln, through the issuance of class D notes, and posted under asset item 40 b) "Financial assets measured at amortised cost: loans to customers". As at 31 December 2021, the reserve amounted to EUR 139.5 mln.

Siena Lease 2016-2 Srl

On 3 December 2015, the subsidiary MPS Leasing & Factoring sold to the vehicle company "Siena Lease 2016-2 S.r.l." a portfolio consisting of 13,181 performing finance leases totalling EUR 1,619.8 mln. As at 31 December 2021, the remaining debt balance amounted to EUR 411.9 mln (2,502 lease transactions).

In order to fund the acquisition of this portfolio, on 28 January 2016 the Vehicle issued Asset-Backed Securities (ABS) in the following classes, rated by Moody's and Fitch as at 31 December 2021:

- Class A notes for a nominal amount of EUR 761.3 mln, redeemed in full;
- Class B notes for a nominal amount of EUR 202.5 mln, redeemed in full;
- Class C notes (Aa3 and A+), for a nominal amount of EUR 202.5 mln, of which EUR 157.6 mln redeemed;
- Class D notes (Ba1 and NR) for a nominal amount of EUR 251.0 mln.
- Class J notes (not rated) for a nominal amount of EUR 202.5 mln.



1.5 – Operational risk

Qualitative Information

A. Operational risk: general aspects, operational processes and measurement methods

General aspects and Framework structure

By an administrative ruling dated 12 June 2008, the Bank of Italy authorised the Group to use internal models for the determination of capital requirements for credit and operational risks.

The adoption of the advanced model (AMA) calls for banks to:

1. adopt an internal organisation which defines the roles of the corporate bodies and functions involved in the operational risk management process;
2. establish a control function for data gathering and storing, capital requirement calculation, risk profile assessment and reporting;
3. perform ongoing checks on the quality of the management system and its compliance with regulatory provisions;
4. delegate the internal auditing body to perform periodic audits on the operational risk management system;
5. guarantee over time that the system is actually used by the corporate management (use test).

For this purpose, the Group has adopted an integrated system for operational risk management, i.e. an internal framework built around a governance model that involves all companies included in the AMA model scope of application. The approach defines the standards, methods and instruments that make it possible to measure risk exposure and the effects of mitigation by business area.

The advanced approach is designed to integrate all major qualitative and quantitative (LDA-Scenario mixed model) information sources (information or data).

The quantitative Loss Distribution Approach (LDA) component is based on the collection, analysis and statistical modelling of internal and external time series of loss data (the latter supplied by the Italian Database of Operational Losses, DIPO).

The qualitative component focuses on the evaluation of the risk profile of each unit and is based on the identification of relevant scenarios. In this framework, the companies included in the AMA scope area are involved in the: identification of the processes and risks to be assessed; assessment of risks by process managers in charge; identification of possible mitigation plans; discussion of priorities and technical-economic feasibility of mitigating actions with General Management functions.

Next is a phase for monitoring progress on the implementation of actions scheduled and compliance with objectives and deadlines.

The Framework identifies in the Group Risk Management unit the operational risk control function (within the Parent Company's Chief Risk Officer Department).

The Parent Company's Risk Management unit calculates the capital required to hedge operational risks through the use of different components of the model (internal data, external data, contextual and control factors, qualitative analyses), supports decision-making by Top Management from the standpoint of creating value by containment, mitigation and transfer of the risks detected and, as it does for other companies included in the scope, it gathers internal loss data and identifies the risks to be evaluated in qualitative analyses.

The Advanced Measurement Approach (AMA) is applied to all domestic financial and banking entities, while the foundation model is used for remaining components and foreign companies. As at 31 December 2021 internal model coverage in terms of the relevant indicator exceeded 95%.

The Risk Management unit has also set up a reporting system which ensures timely information on operational risks for the Top Management, which transposes the strategic principles of the management system into specific operating policies. Reports are regularly submitted to the Risk Committee and governing bodies.

Over time, the adoption of the AMA model has ensured better-informed management of operational risk, guaranteeing a material progressive reduction of the Group's operational risk.



As of 30 June 2017, the Advanced Measurement Model was changed to increase the historical depth of internal loss data from 5 to 10 years and to introduce the scaling of external data in order to discourage unexpected requirement fluctuations.

Impacts deriving from the COVID-19 pandemic

The COVID-19 health emergency required, in order to guarantee operational continuity and to support the country and protect its production fabric in accordance with legislative provisions, a timely review and/or extension by the Group of some existing processes, such as those relating to digital services, web collaboration tools, smart working and the provision of “in derogation” methods, for example for contract formalisation processing.

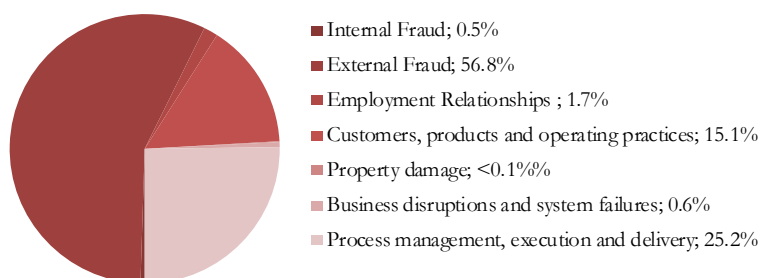
Operating in this context could inevitably lead to an increase in exposure to operational risks to which the Group is potentially exposed as a result of possible legal disputes, potential fraud, cyber attacks also due to the increased dependence on infrastructures and network equipment to guarantee user access to information systems and business continuity.

Therefore, during 2020, among other things, the Group revised certain objectives of the risk strategy and adopted numerous measures to mitigate the associated risks, providing for the strengthening of the IT access authentication system, the identification of customers in branch office processes and control and monitoring systems for cyberattacks.

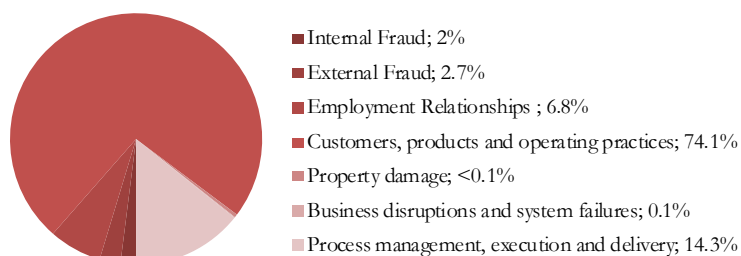
Quantitative Information

Following is the percentage breakdown of the number of events and operating losses recognised in 2021, broken down into risk classes:

Events breakdown
Montepaschi Group - 31 12 2021



Losses breakdown
Montepaschi Group - 31 12 2021



As at 31 December 2021, the number of operational risk events and the losses decreased compared to December 2020.

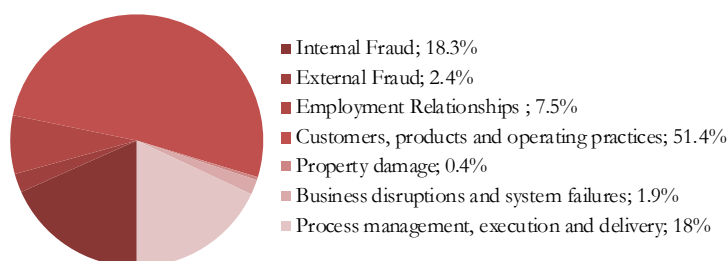


The types of event with the greatest impact on the income statement remain attributable to non-fulfilment of professional obligations with customers (under “Customers, products and operating practices”: approximately 74% of the total) and operational and process management shortfalls (under “Process management, execution and delivery”: approximately 14% of the total).

With regard to “non-fulfilment of professional obligations with customers”, events are mainly associated with legal disputes for share capital increases transactions in previous years.

By contrast, the graph below shows the breakdown of regulatory requirements by risk class:

Regulatory Capital Requirements
Montepaschi Group - 31 12 2021



The Regulatory Requirement as at 31 December 2021 was down compared to the requirement of December 2020, following the updating of historical internal losses and the decrease in operating losses recognised in the year compared to the previous year.

The breakdown of operating losses differs from the breakdown of the requirement in that the latter is calculated using a 10-year time series of internal and external losses and was predominantly due to the unexpected loss component.



Main types of legal, employment and tax risks

The Group carefully reviews and monitors the risks associated with or connected to legal disputes, i.e. disputes brought before judicial authorities and arbitrators, and out-of-court claims, making specific allocations to provisions for risks and charges for disputes and out-of-court claims considered to have a “likely” risk, using statistical or analytical criteria.

Legal disputes and out-of-court claims

The risks associated with legal disputes – i.e. disputes brought before judicial authorities and arbitrators – are carefully reviewed by the Group.

In case of disputes and out-of-court claims for which the disbursement of financial resources to perform the underlying legal obligation is believed to be “probable” and the relevant amount can be reliably estimated, allocations are made to the Provisions for risks and charges using statistical or analytical criteria.

The following were pending as at 31 December 2021:

- legal disputes with total relief sought, where quantified, equal to EUR 4.7 bn. In particular:
 - approx. EUR 2.3 bn relief sought in disputes for which the risk of losing the case is deemed “likely” and provisions of EUR 1.0 bn have been made;
 - approx. EUR 0.7 bn in claims attributable to disputes for which there is a “possible” risk of losing the case;
 - approx. EUR 1.7 bn relief sought in the remaining disputes, for which the risk of losing the case is deemed “remote”;
- out-of-court claims with total relief sought, where quantified, equal to EUR 0.75 bn. Specifically:
 - approx. EUR 0.74 bn in relief sought from claims for which there is a “likely” risk of losing the case;
 - approx. EUR 0.01 bn as relief sought in disputes for which there is a “potential” risk of losing the case.

Note the Group has exercised the possibility granted by IAS 37 of not providing detailed disclosures on the provisions allocated in the financial statements if such information may seriously jeopardise its position in disputes and in potential settlement agreements.

The main information of the most significant cases, by macro-category or individually, is provided below.

Disputes regarding compound interest, interest rates and conditions

Following the change in orientation by the Supreme Court of Cassation (Corte di Cassazione) on the legitimacy of the practice of capitalising on a quarterly basis the interest payable accrued on current accounts, as of 1999 there has been a progressive increase in claims for the return of interest expense resulting from quarterly compound interest. In these lawsuits, the plaintiffs also contest the legitimacy of the interest rate and the methods to determine the commissions applied to the accounts. In this regard, the interpretation introduced since 2010 by the Supreme Court on usury - according to which overdraft fees (Commissioni di Massimo Scoperto), even before Italian Law no. 2/2009 was enforced, should have been calculated on the basis of the effective global rate (Tasso Effettivo Globale - TEG), contrary to Bank of Italy guidelines - is frequently the pretext for the actions brought by customers. The plaintiffs most often claim irregularities in current account balances; however, claims concerning compound interest are also increasingly frequent: these cases are based on the alleged illegitimacy of the so-called “French-style amortisation” in mortgage loans, and violation of Italian Law no. 108/1996 on usury in term loans. Aware that the jurisprudential interpretation is often disadvantageous (although not unanimous), at least with respect to certain issues, the Group is committed to maximising the arguments in its defence - which do exist, particularly concerning the statute of limitations - identifiable in the regulatory and interpretative framework. For this type of dispute, provisions for risks of EUR 122.7 mln were allocated (against a total relief sought amount of EUR 293.1 mln), compared to EUR 127.2 mln recognised as at 31 December 2020 (against a relief sought of EUR 303.1 mln).

Dispute regarding bankruptcy rescindments

The reform implemented from 2005 has reduced and limited the scope of bankruptcy rescindments, particularly those relating to current account remittances. For those that can still be filed, or already pending at the effective date of the reform, the Group is giving maximum emphasis to all the arguments available in defence. The provisions for risks recognised for this type of dispute as at 31 December 2021 amounted to EUR 17.4 mln (total relief sought of EUR 116.9 mln), compared to EUR 26.2 mln as at 31 December 2020 (against a relief sought of EUR 131.4 mln).



Disputes concerning bonds issued by countries or companies that have subsequently defaulted, and financial plans

The considerable defensive efforts made in this type of lawsuit resulted over the years in the emergence of some favourable jurisprudential orientations, at least with respect to certain specific cases, which are allowing balanced risk control. It should be noted that starting from 2015, several unfavourable rulings were issued by the Supreme Court – with its latest order no. 6252 published on 14 March 2018 by the Civil Cassation Section 1[^] - pursuant to which “the financial product called 4You does not entail an interest worthy of protection, under the regulatory framework, as it does not comply with the general principles set forth in articles 38 and 47 Cost.”, due to the evident synallagmatic unbalance. Following these judgements, it is considered established that the judicial decisions are likely to be unfavourable with regard to the Parent Company’s reasons. For this type of dispute, provisions for risks have been made equal to EUR 6.6 mln (against total relief sought of EUR 20.2 mln), compared with EUR 8.1 mln recognised as at 31 December 2020 (against relief sought of EUR 24.0 mln).

Dispute with purchasers of subordinated bonds issued by Group companies

Following the burden-sharing plan implemented in 2017 in application of Law-Decree no. 237/2016, some investors who had purchased subordinated bonds issued by Group companies (later becoming shareholders as a result of the aforementioned measure, with resulting losses compared to the amount initially invested) sued the Parent Company, claiming that, at the time of the investment, it did not inform customers regarding the nature and characteristics of the financial instruments purchased, also raising objections on the proper fulfilment of obligations with which the Parent Company must comply as a financial intermediary.

This dispute is primarily related to investments in Lower Tier II bonds; indeed, in the majority of the cases the investors had their securities converted into ordinary shares pursuant to the law, without being able to benefit from the public offering for settlement and exchange promoted by the Parent Company pursuant to Decree no. 237/2016 (known as Burden Sharing Decree).

However, for the sake of comprehensiveness, we would like to point out other cases in which although the counterparties purchased Upper Tier II securities, they claim that they were unable to participate in the public offering due to mis-selling by the Parent Company, or in any event they had objections relating to the Upper Tier II securities purchased after 31 December 2015 (cut-off date).

Lastly, a limited number of disputes concerns cases in which investors sold their bonds prior to the Burden Sharing pursuant to Decree no. 237/2016.

The focus of the opposing claims is concentrated on the alleged lack of disclosure and/or in any case violations of specific regulations on financial intermediation.

The total relief sought in these disputes as at 31 December 2021 was equal to EUR 33.7 mln (EUR 49.9 mln as at 31 December 2020), while the provisions made were equal to EUR 15.8 mln (down by EUR 13.8 mln compared to 31 December 2020).

Disputes and out-of-court claims related to financial information distributed in the 2008-2015 period

The Parent Company is exposed to civil action, to the consequences of decisions arising from criminal proceedings (29634/14 and 955/16), and to out-of-court claims with regard to the financial information disclosed during the 2008-2015 period.

As at 31 December 2021, the total relief sought for this type of dispute amounted to around EUR 1.7 bn, subdivided as follows (data in EUR mln):

Type of dispute	31/12/21	30/09/21	30/06/21	31/03/21	31/12/20
Civil dispute	738	703	677	676	662
Filed civil claim cp 29634/14*	125	137	137	137	137
Filed civil claim cp 955/16**	158	159	158	159	177
Out-of-court claims ***	713	4,721	4,693	4,672	4,698
Total relief sought	1,734	5,720	5,665	5,644	5,674



(*) The reduction of the relief sought, with reference to the claims of civil action in PP no. 29634/14, is attributable to the conclusion of settlement agreements with several hundred civil parties.

(**) The decrease in relief sought compared to 31 December 2020 is due to the fact that, following the conviction handed down by the Court of Milan on 15 October 2020, the justifications of which were filed on 7 April 2021, about a hundred civil parties were excluded from the proceedings. The relief sought had been considered to be at likely risk.

(***) On 19 October 2021, in execution of the settlement agreement reached with Fondazione Monte dei Paschi di Siena on 21 July 2021 and approved by the Board of Directors of the Parent Company on 5 August 2021, Banca MPS proceeded to payment of EUR 150 mln. Considering the effects related to the completion of the transaction after 30 September 2021, the total relief sought was reduced by EUR 3.8 bn. In addition, out-of-court agreements were reached with particular reference to the issue of alleged disclosure differences in the AUCAP, which led to the reduction of the relief sought by a further EUR 211 mln.

The main relevant lawsuits are outlined below.

Banca Monte dei Paschi di Siena S.p.A. vs. Alken Fund Sicav and Alken Luxembourg S.A.

On 22 November 2017, the counterparties (the “Funds”) served a complaint on the Parent Company, as well as Nomura International (Nomura), Giuseppe Mussari, Antonio Vigni, Alessandro Profumo, Fabrizio Viola and Paolo Salvadori, before the Court of Milan, requesting that the court confirm and declare: (i) the alleged liability of the Parent Company pursuant to art. 94) of the Consolidated Law on Finance (TUF), as well as for the deeds of defendants Mussari, Vigni, Profumo and Viola pursuant to art. 2935 of the Italian Civil Code due to the offences perpetrated against the plaintiffs; (ii) the alleged liability of defendants Mussari and Vigni in relation to investments made by the Funds in 2012 on the basis of false information; (iii) the alleged liability of defendants Viola, Profumo and Salvadori in relation to investments made by the Funds subsequent to 2012; and (iv) the alleged liability of Nomura pursuant to art. 2043 of the Italian Civil Code and, as a result, order BMPS and Nomura jointly and severally to provide compensation for financial damages equal to EUR 423.9 mln for Alken Funds Sicav and EUR 10 mln for lower management fees and reputational damage to the management company Alken Luxembourg SA, as well as jointly and severally with Banca MPS and Nomura the defendants Mussari and Vigni for damages resulting from the investments made in 2012, and Viola, Profumo and Salvadori for damages subsequent to 2012. The counterparties also requested that the defendants be ordered to provide compensation for non-financial damages upon confirmation that they were guilty of the offence of providing false corporate disclosures. The Parent Company duly appeared and set out its defence. In the alternative, for the denied possibility of granting the opposing applications, the Parent Company applied for recourse against Nomura. The first hearing, initially set for 18 September 2018, was deferred to 11 December 2018, in order to allow discussion between the parties on the transversal issues formulated by a number of defendants. It should be noted that in the judgement, four individuals intervened, separately and independently, claiming damages for a total of approx. EUR 0.7 mln. At the hearing of 11 December, the Judge reserved his decision on the preliminary objections raised by the parties. Upon lifting the reservation and accepting the objections raised by all the defendants, the Judge declared Alken’s summons null and void, due to failure to specify the dates of the share purchases and the nullity of the powers of attorney, assigning the plaintiffs a deadline of 11 January 2019 to supplement the applications and rectify the defects of the powers of attorney. On the other hand, the judge considered Alken’s claims concerning the alleged incorrect accounting of the claims to be sufficiently specific and rejected the plea of nullity of the acts of intervention. Following the plaintiff’s additions, the defendants insisted on the objections of nullity of the summons and powers of attorney. At the end of the discussion on these objections, which took place at the hearing of 30 January 2019, the Judge reserved his decision. Upon lifting the reservation, the Judge - considering that these preliminary questions must be decided together with the merit - granted the preliminary terms pursuant to art. 183, paragraph six of the Italian Code of Civil Procedure and adjourned the hearing for discussion of the preliminary requests to 2 July 2019. At that hearing, the Parent Company requested and obtained a deadline of 8 July to object to the demands submitted by an intervener (whose intervention the Parent Company acknowledged at the hearing), after the parties discussed and illustrated their respective preliminary briefs and the relative petitions. At the end of the discussion, the Judge reserved the right to decide on the preliminary evidence. By order of 24 July 2019, the Investigating Judge (Giudice Istruttore, G:I) rejected the request for a court-appointed expert witness submitted by Alken, deeming that the case was ready for a decision considering the subjective characteristics of the plaintiff (professional investor) and the operations of Alken on the BPMS shares (with acquisitions which extended “after October 2014, after 16 December and after 13 May 2016”, as reported in the order of 24 July 2019).

At the hearing of 7 July 2020, the Judge rejected Alken’s request to refer the case to the preliminary investigation and admitted the new documents produced by Alken (reserving all assessment of their relevance to the panel). With ruling issued on 7 July 2021, the Court of Milan rejected all requests made by the Funds, which were ordered to refund the legal costs of the Parent Company. The request of an intervener was partially accepted, in relation to which the Parent Company was ordered to pay the sum of approximately EUR 52 thousand (for principal and



interest) jointly with Nomura and in part with Messrs. Antonio Vigni and Giuseppe Mussari. Both the Parent Company and Nomura and the Funds have appealed against the ruling before the Milan Court of Appeal.

York and York Luxembourg Funds vs Banca MPS S.p.A.

On 11 March 2019, the York and York Luxembourg Funds served a writ of summons to the Parent Company's registered office, bringing an action before the Court of Milan (Section specialised in corporate matters) against Banca MPS S.p.A., Messrs. Alessandro Profumo, Fabrizio Viola, Paolo Salvadori as well as Nomura International PLC, ordering the defendants, jointly and severally, to pay damages amounting to a total of EUR 186.7 mln and - subject to an incidental finding that the offence of false corporate communications has been committed - to compensation for non-monetary damages to be paid on an equitable basis, pursuant to art. 1226 of the Italian Civil Code, plus interest, revaluation, interest pursuant to art. 1284, para. IV of the Italian Civil Code, and interest compound pursuant to art. 1283 of the Italian Civil Code.

The plaintiffs' claim is based on alleged losses incurred as part of its investment transactions in MPS totalling EUR 520.30 mln, carried out through the purchase of shares (investment of EUR 41.4 mln by York Luxembourg) and derivative instruments (investment of EUR 478.9 mln by York Funds). The plaintiffs' quantified their comprehensive losses at EUR 186.7 mln.

The investment transactions challenged began in March 2014, when Messrs. Fabrizio Viola and Alessandro Profumo held the offices of CEO and Chairman, respectively, of Banca MPS S.p.A. The plaintiffs charge alleged unlawful behaviour by top management of the Parent Company in falsifying the financial representation in financial statements, substantially modifying the assumptions used in measurements of financial instruments issued by the Parent Company.

The first hearing, initially scheduled for 29 January 2020, was deferred to 4 February 2020. The Parent Company duly appeared before the court. On 3 February 2020, a voluntary intervention pursuant to art. 105, paragraph 1 of the Italian Code of Civil Procedure was filed, whereby the intervener demanded compensation for the full loss of its investment equal to EUR 14 thousand, made in the course of 2014 in equity securities. The Judge ordered the separation of the case introduced by the intervener. In the meantime the proceedings continued with a hearing on 1 March 2022 during which the judge reserved his position regarding the preliminary requests made by the parties.

Banca Monte dei Paschi di Siena S.p.A./ Civil action and third-party action of the Parent Company as civilly liable party

The investors submitted claims for compensation against the Parent Company as part of the criminal proceedings no. 29634/14 r.g.n.r. (General Criminal Records Registry) (a total of 1,240) pending before the Court of Milan, in which the Parent Company was involved as a civilly liable party, as well as the other criminal proceedings no. 955/16 r.g.n.r. (there are a total of 2,272 civil parties) with reference to the financial statements, reports and other corporate communications of the Parent Company from 31 December 2012 to 31 December 2014 and with reference to the half-yearly report as at 30 June 2015, in which the Parent Company, which was found guilty in the first instance pursuant to Legislative Decree 231/01, also had civil liability.

Criminal proceeding no. 29634/14

With reference to the criminal proceedings in relation to "Alexandria", after the service of the order of closing of the preliminary investigations, the Office of the Public Prosecutor at the Court of Milan sought the committal for trial of the former Top Management of the Parent Company and two members of the Management of Nomura for false corporate disclosures and market manipulation. Note that the criminally liable conduct ascribed to the various parties under investigations refer to the financial statements closed on 31 December in 2009, 2010, 2011 and 2012, and to the balance sheet as at 31 March 2012, 30 June 2012, and 30 September 2012.

As regards the offences allegedly committed by the above-mentioned individuals, the Public Prosecutor also sought the committal for trial of the Parent Company and Nomura in relation to the administrative offences pursuant to Legislative Decree 231/2001.

In March 2016 this proceeding was combined with the other legal action pending before the Court of Milan in relation to the investigations concerning the Santorini, FRESH 2008 and Chianti Classico transactions.

By an order of 13 May 2016, the Preliminary Hearing Judge (in Italian, the "GUP") authorized the lodging and admissibility of the claims for damages of the offended parties against the entities already involved in the proceedings as defendants pursuant to Legislative Decree 231/2001.



On 2 July 2016, with the approval of the Public Prosecutor, the Parent Company filed a request for plea bargain in the criminal proceedings, in relation to the objections made against the Bank in accordance with Legislative Decree 231/2001.

After the request for plea bargain, the Parent Company's position was closed. With the plea bargain, accepted by the Preliminary Hearing Judge on 14 October 2016, the Parent Company exits the proceedings as defendant in the administrative offence following crimes committed by its own former executives, limiting the consequences to an administrative financial penalty of EUR 600 thousand and a confiscation, for EUR 10 mln, without exposing itself to the risk of higher penalties.

Lastly, with regard to the above, on 1 October 2016 the Preliminary Hearing Judge ordered the committal for trial of the defendants other than the Parent Company. At the hearing on 15 December 2016, the civil parties, those already admitted in the previous "Alexandria" proceedings as well as the new civil parties, requested that the Parent Company, Nomura and Deutsche Bank be summoned as civilly liable parties in relation to the offences with which the former directors and executives committed for trial were charged.

Following an extensive closed session meeting, the Court summoned the banks as civilly liable parties, providing the notification deadline to the parties of 10 January 2017, allowing for the completion of notifications at the latest by 31 January 2017 and scheduling the hearing for 21 February 2017.

At the hearing on 21 February 2017, the Parent Company appeared before the court as a civilly liable party.

During the proceedings, by order of 6 April 2017 the Court of Milan decided on the requests for the exclusion of civil parties submitted by the defence teams of the defendants and the civilly liable parties, excluding several civil parties.

In addition, the claim of damages as a civil party by the Parent Company with respect to Giuseppe Mussari, Antonio Vigni, Daniele Pironcini and Gian Luca Baldassarri was also excluded on the assumption of its contributory liability with respect to the defendants.

At the hearing on 16 May 2019, once the public prosecutor's indictment was completed, requests for sentencing for nearly all of the defendants were formulated and convictions were requested pursuant to Italian Legislative Decree 231/01, as well as seizures for the two foreign banks involved, Deutsche Bank AG and Nomura International PLC.

At the hearings on 23 and 30 May 2019, the civil parties that summoned the Parent Company as a civilly liable party formulated their demands for compensation in writing.

The MPS Foundation, which had not cited the Parent Company as civilly liable, made no direct request to it, but instead formulated demands against the natural person defendants and executives/former executives, as well as the representatives of Nomura. These requests, following the transaction made with the Parent Company, were waived in October 2021.

The Bank of Italy which, like the MPS Foundation, did not summon the Parent Company as a civilly liable party, asked for the defendants to be sentenced to pay a sum to be settled on an equitable basis.

As regards CONSOB, which summoned the Parent Company as a civilly liable party, for nearly all damage items it requested a quantification on an equitable basis, except for that relating to supervisory costs quantified as a total of roughly EUR 749 thousand. The provisional amount is requested alternatively, to the extent of roughly EUR 298 thousand.

At the hearings on 3 June 2019 the lawyer of Banca Monte dei Paschi di Siena as a party bearing civil liability presented arguments; at the subsequent hearings on 6, 13, 17, 20 and 27 June 2019, the lawyers of the defendants presented their arguments.

At the hearings on 4, 11 and 18 July 2019, the lawyers of the other defendants and those of the civilly liable Deutsche Bank presented their arguments.

Furthermore, the hearing on 18 July 2019, the defence attorneys of some civil parties declared on the record that they revoked their actions against the Deutsche and Nomura defendants, as well as the requests for compensation from such banks as civilly liable parties, revocations that were subsequently filed at the next hearings on 11 and 19 September 2019.

At the same hearing on 19 September, 2 civil actions against the defendants, former representatives of the Parent Company, were revoked, with consequent waivers of the requests for compensation as a civilly liable party, which



resulted in a decreased total amount of the claim intended as the sum of the requested monetary and non-monetary damages, from around EUR 191 mln to around EUR 137 mln.

On 30 September 2019, the discussions of the foreign defendant entities pursuant to Italian Legislative Decree 231/01, Deutsche Bank and Nomura, were concluded.

The trial continued on 31 October 2019 to incorporate possible new revocations of civil party actions, as well as on 8 November, when the final hearing was held.

On 8 November 2019, the Court read the conclusion of the ruling in first instance by convicting all defendant natural persons, and pursuant to Legislative Decree 231/2001, the legal persons of Deutsche Bank AG and Nomura International PLC. The reasons were filed on 12 May 2020.

The Parent Company, as civilly liable person (not accused pursuant to Legislative Decree 231/2001 as a result of a previous plea bargaining) was convicted – jointly with the accused natural persons and the two foreign banks – and ordered to pay damages to the civil parties still making an appearance, to be settled in separate civil proceedings, having the Court rejected the request to make available an amount on a provisional and immediately enforceable basis, pursuant to art. 539 of the Italian Code of Criminal Procedure.

The Parent Company filed an appeal before the Court of Appeal of Milan against the first instance judgment, as the civilly liable party, found jointly and severally liable with the defendants. The first hearing of the appeal judgment was held on 2 December 2021 where some civil parties revoked their appearance as a result of the transactions that took place with the Parent Company.

At the hearing of 3 February 2022 the appeal in the interest of the Parent Company was discussed. The case is therefore continuing with the arguments of the defendants' counsel and the related hearings which will be held, unless adjourned, indicatively until March 2022.

Criminal proceeding no. 955/16

On 12 May 2017 the committal for trial of the representatives Alessandro Profumo, Viola Fabrizio and Salvadori Paolo was requested within new criminal proceedings before the Court of Milan, in which they were charged with false corporate disclosures (art. 2622 of the Italian Civil Code) in relation to the accounting of the "Santorini" and "Alexandria" transactions with reference to the Parent Company's financial statements, reports and other corporate communications from 31 December 2012 to 31 December 2014 and with reference to the half-yearly report as at 30 June 2015, as well as market manipulation (art. 185 of the Consolidated Law on Finance) in relation to the disclosures to the public concerning the approval of the financial statements and the balance sheets specified above.

In relation to these proceedings, in which the Parent Company is identified as the injured party, the first hearing was held on 5 July 2017, during which several hundred natural persons and a number of trade associations asked to appear before the court as civil parties. The Preliminary Hearing Judge postponed the proceedings to 29 September 2017 for the deliberation of the requests as well as for consolidation with the proceedings pending against the Parent Company, as the defendant entity pursuant to Italian Legislative Decree 231/01 for the same actions with which Mr Profumo, Mr Viola and Mr Salvadori are currently charged. At the hearing on 29 September 2017, 304 of the 337 who requested were admitted as civil parties. The remaining parties were excluded due to lack of legitimatio ad causam. At the same hearing, the proceedings pending against the Parent Company, as the party liable under administrative law, were joined with those pending against the natural persons. Therefore, the Judge admitted the summons of the Parent Company as a civilly liable party and adjourned the proceedings to the hearings of 10 November 2017 and 24 November 2017 to allow for the service of the related notifications.

At the hearing on 10 November 2017, the defence attorney of Mr Salvadori objected on the basis of the alleged nullity of the committal for trial request against his client as the compulsory charge against the client should have been formulated only for the offence pursuant to art. 2622 of the Italian Civil Code and not also for that pursuant to art. 185 of the Consolidated Law on Finance. In connection with this issue, this defence attorney also objected on the grounds of the Milan A.G.'s lack of jurisdiction.

At the hearing on 24 November 2017, the Preliminary Hearing Judge handed down an order:

- declaring the nullity of the request for committal for trial with respect to Mr Salvadori;
- ordering the separation of the relative position from the main proceedings (pending against Mr Viola and Mr Profumo, as well as the Parent Company) with reference to the section relating to the alleged offence pursuant to art. 185 of the Consolidated Law on Finance;



- reserving any decision concerning issues of jurisdiction until such time as the public prosecutor makes his own determinations in this regard.

The Public Prosecutor then served the notice of conclusion of the investigations to Mr Salvadori for the offence pursuant to art. 185 of the Consolidated Law on Finance and filed the (new) request for committal for trial against Mr Salvadori for such offence and, lastly, request the (new) preliminary hearing (again for the crime of market manipulation).

At the hearing on 9 February 2018, the Preliminary Hearing Judge acknowledged the filing in the meantime of:

- the Parent Company's defence brief concerning jurisdiction;
- the documents submitted by the defence attorney of Mr Viola and Mr Profumo;
- the briefs of Mr Bivona and Mr Falaschi; as well as
- a request for an order for attachment submitted by the latter against Mr Viola and Mr Profumo.

After which time, the Preliminary Hearing Judge convened the proceedings against Mr Salvadori following his removal from the proceedings ordered during the previous hearing with regard to the charge pursuant to art. 185 of the Consolidated Law on Finance.

The civil parties readmitted again requested the summons of Banca MPS as civilly liable party. Therefore, the Preliminary Hearing Judge adjourned the case - also for the proceedings against Mr Viola and Mr Profumo - to the hearing of 13 March 2018 which was not held by abstention and was therefore postponed to 6 April 2018 for the appearance before the court of the liable party and for the discussion of and decision on the matter of jurisdiction.

Following the formalisation of the appearance before the court by the Parent Company, the Public Prosecutor requested the issue of a pronouncement of acquittal because there is no case to answer or because the act does not constitute an offence depending on the charge in question. On the outcome of the hearing, the schedule was updated on 13, 20 and 27 April 2018 for the continuance of discussion and the possible issue of the final ruling of the preliminary hearing.

Following the outcome of the preliminary hearing, the Preliminary Hearing Judge found no grounds for a decision not to proceed to judgement and ordered the committal for trial of the defendants, natural persons (Messrs. Viola, Profumo and Salvadori) and Banca MPS (as entity liable pursuant to Italian Legislative Decree 231/01). Only Mr Salvadori was found not to be subject to proceedings for the charge pursuant to Article 185 of the Consolidated Law on Finance.

At the hearing of 17 July 2018, 2,243 civil parties joined the lawsuit. Some of these have formally requested the mention of the Parent Company as party with civil liability, while most of the defence attorneys only requested the extension of the lawsuit to their clients with regard to the Parent Company, as a party with civil liabilities already called in the lawsuit. Some civil parties brought a lawsuit to the ultimate Parent Company as responsible party in pursuant to Italian Legislative Decree no. 231/2001. At the outcome, the Court adjourned to the hearings of 16 October and 6, 13 and 19 November 2018. Only the preliminary questions relating to the civil parties joining the lawsuit were heard at the hearing of 16 October 2018.

On 16 October 2018, the hearing for discussion of the civil parties joining the lawsuit was regularly held, as per the last hearing of 17 July 2018, with the addition of another 165 civil parties. The defendants and the Parent Company pleaded that the latter were late. At the hearing of 6 November 2018, the Court, upon lifting of the reservation, ordered the exclusion of some civil parties, which consequently amounted to 2,272 (349 of which had quantified the alleged damages), and the extension of the cross-examination between the Parent Company and the new civil parties admitted, without further formalities and rejecting the request for summons by CONSOB (Italian national commission for listed companies and the stock exchange), the Bank of Italy and EY S.p.A. as civilly liable parties.

At the hearing of 19 November 2018, the Court rejected by order the objections relating to the issue of lack of territorial jurisdiction previously raised by the defence. Consequently, the proceedings were declared open and the hearing was scheduled for 18 March 2019, with reservation of the decision on the request for an order of attachment against Mr Profumo and Mr Viola, submitted by a number of parties. The reserve was lifted with decision dated 3 December 2018, through which the Court rejected the request for an order of attachment against the aforementioned executives.

At the hearing on 16 June 2020, following the indictment, the representatives of the Public Prosecutor's office requested the acquittal of the defendants.



On 9 July 2020, the first hearing dedicated to the conclusions of the civil parties started and at the subsequent hearing on 16 July 2020, the discussion of the civil parties was concluded. The proceedings continued with the discussions of the defendants' attorneys in September 2020.

On 15 October 2020, the Court of Milan read the conclusion of the ruling of first instance, registered under number 10748/20, sentencing all accused natural persons and the Parent Company pursuant to Italian Legislative Decree 231/01. The reasons were filed on 7 April 2021.

In its reasons, the Court analysed the conduct with which the defendants were charged with reference to the incriminating circumstances pursuant to art. 2622 of the Italian Civil Code (false disclosure) and pursuant to art. 185 of the Consolidated Law on Finance (market manipulation) and confirmed the grounds of the administrative offences with which the Parent Company was charged pursuant to arts. 5, 6, 8 and 25 ter, letter b) of Italian Legislative Decree 231/01, limited to the offence of false disclosure in relation to the 2012 financial statements and the 2015 half-yearly report, as well as pursuant to arts. 5, 8 and 25 sexies of Italian Legislative Decree 231/01 due to market manipulation relating to press releases concerning the approval of the financial statements as at 31 December 2012, 31 December 2013, 31 December 2014 and the half-yearly report as at 30 June 2015, imposing an administrative fine of EUR 0.8 mln.

With reference to the Parent Company's position as civilly liable party, the grounds for the ruling explained the reasons for the generic sentencing to provide compensation for damages based on which demands for relief from civil parties may be accepted, on the basis of art. 2049 of the Italian Civil Code, in separate civil proceedings.

In the grounds for the ruling, the exclusion from the criminal proceedings of approx. 100 civil parties was confirmed, as already announced in the operative part of the judgement.

The Parent Company filed an appeal before the Court of Appeal of Milan against the ruling of first instance, as the civilly liable party, jointly and severally liable with the defendants, having administrative liability under Italian Legislative Decree 231/2001.

Banca Monte dei Paschi di Siena S.p.A./Caputo + 25 other names

On 4 December 2020, Giuseppe Caputo + 25 other names sued the Parent Company before the Court of Milan to challenge the investments made by them in compliance with the share capital increases ordered by the same, or through purchases on the electronic market between 2014 and 2015.

The plaintiffs complain that they have suffered serious damage as a result of the disclosure discrepancy disclosed on the market by the Parent Company, and also dispute the incorrect accounting of non-performing loans starting from the 2013 financial statements, referring to criminal proceedings 33714/16 underway at the Court of Milan; they also contest the unfair commercial practices put in place by the Parent Company, the investments in diamonds, a completely unreasonable business plan and non-compliant business organization.

On these grounds, also recalling art. 185 of the Italian Criminal Code, they ask for full compensation for the damage suffered, equal to the entire amount paid for the purchase of MPS shares, with a final quantification of the relief sought of approximately EUR 25.8 mln.

At the first hearing on 7 February 2022, the parties reiterated their conclusions and, as regards the Parent Company, the preliminary objections on which the Judge reserved their decision.

Investigations on the 2012, 2013, 2014 financial statements and the 2015 half-yearly report with reference to "non-performing loans"

In relation to criminal proceedings no. 955/16, in 2019, with a special order of removal, the Parent Company was involved, as the party bearing administrative liability pursuant to Italian Legislative Decree no. 231/2001, with reference to an allegation pursuant to art. 2622 of the Italian Civil Code concerning the 2012, 2013 and 2014 financial statements and the 2015 half-yearly report formulated with reference to an alleged overvaluation of non-performing loans.

On 25 July 2019, the Preliminary Investigations Judge of the Court of Milan ruled, on one hand, to dismiss the proceedings against the Parent Company, as a party liable pursuant to Italian Legislative Decree no. 231/2001, but on the other hand, ordered the continuation of the investigations of the defendant natural persons (chairman of the Board of Directors, CEO and pro-tempore Chairman of the Board of Statutory Auditors) thus rejecting the request for dismissal presented by the public prosecutor and also supported by an expert witness report assigned by the Attorney General's office.



The investigations continued in the form of an evidence gathering procedure for which the Preliminary Investigations Judge has appointed two experts who have delivered their reports on 6 May 2021. The questions posed to the experts highlight the need to verify whether the adjustments recognised by the Bank in the period from 2012 to 2017 were recognised on an accrual basis and in accordance with the accounting principles in force at the time of the events.

The Parent Company acknowledged of the content of the report and will follow the developments of the proceedings in question with the utmost attention, also to assess any effect on the civil disputes already pending, the subject matter of which is substantially overlapping with the facts described in the report.

The proceedings – even though dismissed as regards the Parent Company as an administrative liable party – continues to be important due to the very likely recognised liability for damages that the credit institution would be called on to assume, should criminal proceedings be initiated.

At the hearing on 8 June 2021, the evidence gathering procedure ended and the Preliminary Investigations Judge sent the documents to the Public Prosecutor's Office, setting a 45-day indicative term for the Public Prosecutor to carry out any other investigations and make a decision. On 25 February 2020, the Judge for preliminary investigations, upon a request of the Public Prosecutor, ordered the extension of the terms of investigation until 31 May 2022.

Out-of-court claims for the repayment of sums and/or compensation for damages by Shareholders and Investors of Banca Monte dei Paschi di Siena S.p.A. in relation to the 2008, 2011, 2014 and 2015 share capital increases

In relation to capital increases and the allegedly incorrect financial information contained in the prospectuses and/or in the financial statements and/or in the price sensitive information for the period 2008-2011, as at 31 December 2021, the Parent Company has received out-of-court claims for a total of EUR 582.7 bn in quantified claims, net of those converted into judicial initiatives

These claims – brought individually or collectively – although naturally heterogeneous, are mostly justified by generic references to the Parent Company's alleged violation of the industry legislation governing disclosure and, therefore, were rejected by the Parent Company in that they were considered generic, unfounded, not backed by suitable documentary evidence, and in some cases past the statute of limitations.

Out-of-court claims relating to the share capital increases in 2014-2015 must be added to the ones indicated above, for a claim amount of approximately EUR 129.5 mln, net of those converted into judicial initiatives.

The grand total amount claimed as at 31 December 2021 is therefore EUR 713 mln.

Initiative Promoted by the Fondazione Monte dei Paschi di Siena ("Fondazione MPS")

The out-of-court claims related to the share capital increases include the claims filed by the Fondazione MPS, which, on 31 July 2020, sent three letters of formal notice to the Parent Company regarding three different issues that can be summarized as follows in reverse chronological order:

- (i) letter relating to the 2014 and 2015 share capital increases - and, in particular, the alleged incorrect accounting of the Santorini and Alexandria transactions in the 2012-2015 period - by which the Parent Company is requested to pay compensation for damages of no less than EUR 171 mln approximately;
- (ii) letter concerning the 2011 share capital increase - referring to the issues identified in the context of proceeding No. 29634/14, relating to the alleged incorrect accounting of the Santorini and Alexandria transactions in the 2008-2012 period - with which damages are requested from the Parent Company for a total of EUR 496.4 mln plus EUR 93.9 mln for reputational damage;
- (iii) the third and final letter refers to the acquisition of Banca Antonveneta resolved in November 2007 and completed the following year upon completion of the authorization process by the Bank of Italy, as well as disclosure errors and accounting errors relating to the FRESH transaction. This letter demands compensation for a loss resulting from the participation in the 2008 capital increase (EUR 2,667 mln for the option component, to which EUR 366 mln must be added for the reserved share capital increase component). The letter also demands compensation for damages (not yet quantified) resulting from having subscribed the 2011 capital increase based on false information on the FRESH transaction.

With respect to these initiatives, which overall result in a claim for damages totalling EUR 3.8 bn, the Parent Company has expressed a critical position. In addition to a series of preliminary findings (including the expiry of the statute of limitations with regard to the most remote events), there are a number of arguments on a 'substantive'



level that can be opposed to the requests of the Fondazione. Among these, by way of example only, the following should be noted:

- a. Fondazione MPS at the time of the events held approx. 49% of the Parent Company's ordinary capital and appointed half of the members of the Board of Directors. Fondazione MPS was therefore the majority shareholder of BMPS and was able to guide its decisions, especially the strategic ones;
- b. with reference to the Antonveneta transaction and the financial transactions carried out to obtain the necessary funding, Fondazione MPS (which had never in the past formulated objections or reservations with respect to BMPS), according to what has emerged from documents acquired as part of the proceedings pursuant to art. 2395 of the Italian Civil Code, promoted by the same entity, has already initiated a series of actions (incompatible with the objections made to BMPS) aimed at challenging the liability of the members of its Board of Directors, as well as of the lending banks and its advisors (in the latter case without obtaining satisfaction, since, on the contrary, it was established that the Fondazione MPS had unreservedly agreed to the strategic decision to acquire Banca Antonveneta). These initiatives are also relevant in terms of the connection between the conduct currently charged to the Parent Company and the damage suffered by the Fondazione;
- c. the key role of Fondazione MPS, in the context of the acquisition of Banca Antonveneta, also has been brought to light at the case law level, as can be seen also by reading the grounds of judgment 29634/14, which devotes an entire paragraph to the role of the Fondazione.

On 19 October 2021, in execution of the settlement agreement reached with Fondazione Monte dei Paschi di Siena approved by the Parent Company's Board of Directors on 5 August 2021, Banca MPS paid the amount of EUR 150 mln. As a result of the finalisation of this transaction, the Parent Company has conclusively defined the request for compensation for a total of EUR 3.8 bn, with effect on the overall out-of-court claims in the fourth quarter of 2021. For further details on the content of the transaction, please refer to paragraph "Transaction with Fondazione MPS" included in the section "Other Matters - Application of the Group's accounting policies to transactions completed or events that occurred during the year deemed significant to the financial and economic situation" of part A of these Explanatory Notes.

Generally speaking, and in application of the provisions of international accounting standard IAS 37, with regard to legal disputes, the civil action filed in the criminal proceedings 29634/14 and out-of-court claims relating to disputes regarding the 2008-2011 period, the Parent Company has assessed from the arising of this first disputes the risk of losing as "probable" and has therefore set aside provisions for risks and charges in the financial statements. The assessments made regarding the risk of losing the case reflect the decision of the Parent Company itself in March 2013 to initiate liability actions against the Chairman and General Manager at the time and the foreign banks involved, and they also take into account the positions taken on the subject - in addition to those of the Milan Public Prosecutor's Office - by the Supervisory Authorities, the relative decisions to bring civil action and the sanctions imposed by them.

Also for disputes concerning the 2012-2015 period, following the ruling of 15 October 2020 concerning the criminal proceedings 955/2016, the positions are assessed as being at risk of "likely" losing and therefore the Parent Company has made provisions for risks and charges in the financial statements. Furthermore, for the civil proceedings relating to the 2012-2015 period, the risks associated with what are known as non-performing loans, indicated starting from the half-yearly financial statements as at 30 June 2021 as having a "likely" risk of being lost. In this regard, it should be noted that, at the moment, the risks for this kind of disputes largely overlap with those relating to the Alexandria and Santorini transactions.

In reference to the criminal proceedings 29634/14 and 955/2016, no disbursement is anticipated in favour of the parties who entered an appearance since, due to the afore-mentioned rulings of 8 November 2019 and 15 October 2020 which rejected their request for granting a provisional amount immediately enforceable pursuant to article 539 of the Italian Code of Criminal Procedure, the damage compensation in their favour can take place in a separate civil proceeding to be initiated by the civil parties themselves.

However, with reference to criminal proceedings no. 29634/14, settlement agreements were reached with 591 civil parties for a relief sought, where quantified, of approximately EUR 12 mln.

Therefore, for civil and criminal disputes concerning the information disclosed solely in the period 2008-2015, the provisions for risks were determined in such a way as to take into account the amount invested by the counterparty in specific periods of time characterised by the disputed information alterations (net of any disinvestments made during these same periods). The damage subject to compensation was then determined on the basis of the "differential damage" criterion, which identifies the damage as the lowest price that the investor would have had



to pay if he had had access to complete and correct information. For the purposes of this determination, econometric analysis techniques have been adopted - with the support of qualified experts - suitable to eliminate, among other things, the component inherent in the performance of the equity securities belonging to the banking sector during the reference period. More in detail, the total damage caused by each event potentially capable of generating information alterations was first quantified and then the amount abstractly attributable to the individual Plaintiff/Civil Party was calculated, taking into account the share of capital held from time to time. From a prudential standpoint, along with the differential damage, the different criterion of “full compensation” was also taken into account (of a minor importance in the prevailing law, including the one that is currently taking shape on this specific subject matter), and that is based on the argument that false or incomplete information may have a causal impact on the investment choices of the investors to such an extent that, in the presence of correct information, they would not have made the investment in question; in this case, the damage is therefore commensurate to the invested capital, net of the amounts recovered from the sale of shares by the Plaintiff/Civil Party.

Instead, with reference to out-of-court claims relating to the 2008-2011 period and, from October 2020, also for those referred to the 2014-2015 period, in order to take into account the probability of their transformation into real disputes, the provisions were determined by applying an experiential factor, in line with the Parent Company policies for similar cases, to requests made by counterparties. In any case, the Parent Company has exercised the possibility granted by IAS 37 of not providing disclosures on the provisions allocated in the balance sheet if it believes that such information could seriously jeopardise its position in disputes and in potential settlement agreements.

As at 31 December 2021, again with regard to civil disputes, settlement agreements were reached, involving the closure of 31 disputes against total relief sought of around EUR 366 mln (including “Marangoni + 123 shareholders and investors”, “Coop Centro Italia s.c.p.a.” and “Coofin s.r.l.”).

On 19 October 2021, as highlighted above, in execution of the preliminary agreement between the Parent Company and Fondazione MPS, MPS Bank proceeded to pay the amount of EUR 150 mln. As a result of the finalisation of this transaction, Banca MPS has reached a final settlement on claims equal to EUR 3.8 bn in total. Again in the out-of-court area, as at 31 December 2021, in execution of the resolutions of the Board of Directors of 30 September 2021, 12 October 2021 and 4 November 2021, settlement agreements were reached and finalized, with particular reference to the issue of alleged information discrepancies, which led to the closure of 21 complaints against a total relief sought of approximately EUR 211 mln.

Dispute Fondazione MPS, “Alexandria” transaction

Fondazione MPS has brought legal proceedings against Mr Mussari, Mr Vigni and Mr Nomura, based on their alleged liability pursuant to article 2395 of the Italian Civil Code for the direct damage suffered by MPS following the subscription of a share capital increase of the Parent Company, resolved on in 2011, at a price different from the one that should have been correctly subscribed if the “Alexandria” restructuring had been duly represented in the Financial Statements of the Parent Company. Subsequently, it has petitioned for the conviction of the liable parties with order to pay EUR 268.8 mln for a financial loss and EUR 46.4 mln for non-financial damages, subsequently reduced to EUR 230.3 mln.

In this judgement, Mr Vigni was authorised to take action against the Parent Company because of an indemnity obligation (with respect to third parties claims) allegedly undertaken by the latter towards him within the consensual termination of his executive position; Mr Mussari was authorised to take action against the Parent Company as the liable party, pursuant to article 2049 of the Italian Civil Code, due to some executives allegedly liable for the transaction carried out with Nomura. The Parent Company received later a writ of summons in its capacity as a third party called on by the afore-mentioned defendants independently promoted by Fondazione MPS and has entered an appearance disputing the claims filed against it. In addition, with a subsequent authorised pleading, Nomura broadened its claims against the Parent Company, asking to determine the share of liability attributable to the latter and to be kept harmless from it based on its share of liability exceeding the one attributed thereto. However, the settlement agreement entered into by the Parent Company and Nomura on 23 September 2015 provides, inter alia, that this claim is withdrawn. Mr Vigni has waived the legal actions brought against the Parent Company following a plea of lack of jurisdiction of the Court of Florence, whereas the action under the right of recourse/indemnity from the attorney Mussari continued against the Parent Company. Subsequent to the technical expert opinion formally obtained, the case was adjourned to the hearing on 20 September 2021 for the oral arguments.



In this regard, it should be noted that the court-appointed experts recognized only the “damage from unveiling of the truth” and the reputational damage, excluding that the Fondazione is also entitled to “damage from subscription” (and also excluding any compensation for loss of profit). Therefore, the court-appointed experts estimated the “damage from unveiling of the truth” incurred by FMPS at EUR 52.8 mln and the reputational damage at approximately EUR 8 mln, for a total of approximately EUR 60.8 mln, against an initial claim of EUR 320 mln, later reduced, in the concluding arguments, to approximately EUR 230 mln.

Following the settlement agreement reached with Fondazione MPS on 7 October 2021 which provided for the specific waiver of any mutual compensation request between the Bank and the Foundation, the judgment in question was declared extinct on 29 November 2021 by the Court of Florence pursuant to art. 306 of the Italian Code of Civil Procedure.

Banca Monte dei Paschi di Siena S.p.A. vs. FRESH 2008 Bondholders

Some holders of FRESH 2008 securities maturing in 2009, with writ of summons served on 19 December 2017, initiated proceedings against the Parent Company MPS, the company Mitsubishi UFJ Investors Services & Banking Luxembourg SA (which replaced the Parent Company in issuing the bond loan Banca di New York Mellon Luxembourg), the British company JP Morgan Securities PLC and the American company JP Morgan Chase Bank NA (which entered into a swap agreement with the bond loan issuer) before the Court of Luxembourg to request confirmation of the inapplicability of the Burden Sharing Decree to the holders of FRESH 2008 securities and, as a result, to have it affirmed that such bonds cannot be forcibly converted into shares, as well as that such bonds will continue to remain valid and effective in compliance with the issue terms and conditions, in that they are governed by the laws of Luxembourg and, finally, to establish that MPS is not entitled, in the absence of the conversion of the 2008 FRESH securities, to obtain from JP Morgan the payment of EUR 49.9 mln to the detriment of the holders of the FRESH 2008 securities. The Court of Luxembourg with an order of 5 October 2021, notified to the Bank on 12 January 2022, rejected the requests of the Parent Company aimed at obtaining the suspension of the proceedings pending the decisions of the international justice bodies on the preliminary objections formulated by the Parent Company, while, on the other hand, it accepted the objection formulated by the same on the incompetence of the seized Court in relation to the request relating to the usufruct contract stipulated by the Parent Company with JP Morgan Securities PLC and JP Morgan Chase as part of the 2008 Aucap transaction. In relation to the aforementioned usufruct contract, the Court reserved its judgement pending the decision of the “internationally competent” Court, while it declared its jurisdiction in relation to the swap contract similarly stipulated by the Parent Company with the same counterparties in the context of the 2008 Aucap transaction.

In view of completeness it is noted that, following the start of the proceedings in question, the Parent Company, on 19 April 2018, tabled a dispute before the Court of Milan against JP Morgan Securities Ltd, JP. Morgan Chase Bank n.a. London Branch, as well as the representative of the Fresh 2008 securities holders and Mitsubishi Investors Services & Banking (Luxembourg) S.A. to ascertain that the Italian Judge is the only one with jurisdiction and competence to decide about the usufruct contract and the company swap agreement signed by the Parent Company with the first two defendants in the context of the operation of the share capital increase in 2008. Consequently the Parent Company asks for: (i) the determination of the ineffectiveness of the usufruct contract and the company swap agreement which anticipate obligations of payment in favour of JP Morgan Securities PLC and JP Morgan Chase Bank Na in relation to the entry into force of Decree 237; (ii) the determination of the intervened ineffectiveness and/or resolution and/or termination of the usufruct contract or, alternatively, (iii) the determination of the intervened resolution of the usufruct contract relating to the capital deficiency event of 30 June 2017. The first hearing was held on 18 December 2018 and the Investigating Judge, considering the prejudicial nature of the issue of jurisdiction raised by the defendants, in view of the fact that a dispute is pending before the Luxembourg Court involving the same relief sought and the same cause, granted the parties terms to reply only to the procedural objections and adjourned the hearing to 16 April 2019 for assessment of the disputed issue. At the next hearing on 2 July 2019, the decision in the case was deferred to a later date. With order dated 2 December 2019, the Court of Milan has ordered the suspension of the proceedings pending a decision by the afore-mentioned Luxembourg district court. Against this order, the Parent Company has filed a petition with the Supreme Court of Cassation for the referral to a different competent court.

The court has rejected the petition of the Parent Company with ruling dated 31 March 2021.

In the event of a favourable outcome of the dispute, the FRESH 2008 Securities will be converted into the shares, already issued, of the Parent Company which will also collect the amount of EUR 49.9 mln, recording a corresponding economic income. In the event of an unfavourable outcome of the dispute, the principle of burden



sharing cannot be applied and therefore the bondholders will retain the right to receive the coupon (equal to Euribor 3M + 425bps on a notional amount of EUR 1 bn) provided that the Bank generates distributable profits and pays dividends. Since the Bank has not paid dividends since the date of the burden sharing, any unfavourable outcome of the dispute will only produce prospective effects and only in the event of dividend distribution.

Other disputes

Criminal proceeding 2112/2017 Court of Siena

On 4 January 2021, the Parent Company received a writ of summons as civilly liable party, from the liquidator in the bankruptcy proceeding of Siena Calcio, in the criminal proceedings involving, together with Massimo Mezzaroma, Giuseppe Mussari with two other former executives and one current employee of the Group.

The dispute object of these criminal proceedings, pursuant to art. 223 par. 2 no. 2 of the Italian Bankruptcy Law, concerns the transaction, carried out between the end of 2011 and the beginning of 2012, for the sale of the trademarks of A.C. Siena S.p.A. to Newco B&W Communication s.r.l., a transaction that was in turn conditional to the disbursement of a EUR 22 mln loan by the Parent Company to enable B&W to pay the price.

A claim is made against the Parent Company for monetary and non-monetary damages jointly and severally with these representatives and employees pursuant to art. 2049 of the Italian Civil Code. The relief sought is not exactly quantified, however, the liquidator has stated that the damage to the company assets amounts to at least EUR 65.1 mln, given by the difference between the liabilities in bankruptcy and the recoverable assets.

At the hearing on 18 February 2021, the Parent Company has appeared as the civilly liable party, choosing as legal representative Prof. Vittorio Manes of the Bar of Bologna. At the aforementioned hearing, the public and private prosecutions asked for the indictment of the accused, while the defence mainly argued the duplication of disputes for the same fact, qualified as “unlawful granting of credit” in the connected and prior criminal proceedings and as “corporate bankruptcy” in these proceedings.

At a later hearing on 25 March 2021, all defendants were indicted and the hearing was scheduled for 15 June 2021.

At the hearing on 5 October 2021, preliminary questions were raised and the Court, after rejecting all questions, declared the hearing open. For the sake of completeness, it should be noted that, on 22 February 2022, was executed the agreement between the Parent Company and the Trustee of the Bankruptcy, which settling the dispute as an amicable settlement. The Trustee will withdraw the claim against the defendants of the Parent Company (and not also against Mr. Massimo Mezzaroma), with the consequent exclusion of the Parent Company from the criminal proceeding as the party responsible under civil law.

Banca Monte dei Paschi di Siena S.p.A. vs. Fatrotek

This case, where the Parent Company was sued together with other credit institutions and companies with the summons of 27 June 2007, seeks the assessment of alleged monetary and non-monetary damage suffered by the plaintiff, as a result of an alleged unlawful report filed with the Italian Central Credit Register. The relative relief sought amount is EUR 157 mln. The plaintiff also asks that the defendant banks be found jointly liable, each proportionately to the seriousness of its behaviour. The Parent Company's defence was based on the fact that the company's extremely severe financial situation fully justified the Parent Company's initiatives.

At the hearing on 31 May 2018, the Judge reserved his decision on the challenges raised by the convened parties. On 5 June 2018, the Company declared bankruptcy. On 25 July 2018, upon lifting of the reservation made during the hearing of 31 May 2018, the case was adjourned to 31 October 2018, for the court-appointed expert to take the oath. In the meantime, the receivership of the Fatrotek S.r.l. bankruptcy again took up the case. The proceedings were adjourned first to the hearing on 4 December 2019 and then to the hearing on 13 February 2020, where a court-appointed expert investigation was ordered and an expert was appointed. At the hearing of 25 November 2020 an extension was granted to the court-appointed expert for the filing of the expert opinion and the case was postponed to 5 May 2021.

At this hearing, the Court set a deadline for the court-appointed expert to respond to the objections made by the plaintiff and at the same time scheduled the hearing for the closing arguments for 4 November 2021. At this hearing, the case was adjourned pending decision and legal terms were set for the filing of written counterarguments.



Banca Monte dei Paschi di Siena S.p.A. vs Marcangeli Giunio S.r.l.

With a writ of summons, notified on 28 November 2019, the claimant Marcangeli Giunio S.r.l. asked the Court of Siena to assess, first and foremost, the contractual liability of the Parent Company for not issuing a loan of EUR 24.2 mln - necessary to the purchase of land and the construction of a shopping mall with spaces to be leased or sold – and subsequently the conviction of the Parent Company with order to pay compensation for damages and loss of profit in the amount of EUR 43.3 mln. As an alternative, in view of the facts specified in the writ of summons, a request is made for the Parent Company to be found pre-contractually liable for having interrupted the negotiations with the company without disbursing the agreed loan, and to be ordered to pay compensation in the same amount asked first and foremost.

The proceedings are ongoing; at the end of the first hearing - held on 8 July 2020 - the Judge reserved the decision on the claims of the parties. The preliminary phase was opened, witness evidence was carried out and the accounting expert witness was admitted. The judge has scheduled a hearing on 10 November 2021 for the closing arguments. At this hearing, the case was adjourned pending decision and legal terms were set for the filing of written counterarguments.

Banca Monte dei Paschi di Siena S.p.A. vs. Riscossione Sicilia S.p.A.

On 15 July 2016, Riscossione Sicilia S.p.A. served a writ of summons on the Parent Company before the Court of Palermo, asking the Court to order it to pay a total amount of EUR 106.8 mln.

The claim of Riscossione Sicilia S.p.A. falls within the realm of the complex dealings between the Parent Company and the plaintiff, originated from the disposal to Riscossione Sicilia S.p.A. (pursuant to Law-Decree 203/05, converted into Law 248/05) of the stake held by the Parent Company in Monte Paschi Serit S.p.A. (later Serit Sicilia S.p.A.).

Specifically, Riscossione Sicilia, in relation to the contractual provisions involved in said disposal, now asks that the Parent Company be ordered to pay, under its contractual liability, for alleged contingent liabilities of Monte Paschi Serit S.p.A./Serit Sicilia S.p.A.

The Parent Company duly appeared before the court with a cross-action against Riscossione Sicilia S.p.A. The preliminary investigation was recently completed with the filing and examination of the report of the court-appointed expert, the results of which were favourable to the Parent Company. In fact, the court appointed expert not only concluded that the Parent Company owes nothing to Riscossione Sicilia S.p.A., but also identified a receivable of the Parent Company of roughly EUR 2.8 mln, equal to the balance of the price for the sale of 60% of Serit Sicilia S.p.A. to Riscossione Sicilia S.p.A. by the Parent Company (dating back to September 2006), a sum that has to date been retained by Riscossione Sicilia S.p.A. by way of escrow account. The expert witness also identified a further receivable of the Parent Company, linked to the obligation of Riscossione Sicilia S.p.A. to collect on notices of default, no higher than around EUR 3.3 mln, the exact quantification of which was referred to the Court. The counterparty's petitions aiming to call the court-appointed expert back to provide clarifications and to change his conclusions were rejected, and the case was adjourned for concluding arguments to 8 March 2021. At this hearing, the case was adjourned pending decision and legal terms were set for the filing of written counterarguments and the filing of the judgment is awaited.

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On 17 July 2018, the Finance Department of the Sicily Region notified the Parent Company by means of an order of injunction pursuant to art. 2 of Italian Royal Decree no. 639/1910 and of repayment, pursuant to art. 823, paragraph 2 of the Italian Civil Code of the above amount of around EUR 68.6 mln, assigning the Parent Company the term of 30 days to make the payment with the warning that, on the back of the failure to do so, it would proceed with the forced recovery through entry of the action in the list of cases. This followed the Parent Company's decision to suspend the credit line granted to Riscossione Sicilia, which, in the period between 18 October and 9 November 2017, would fail to pay the amount of EUR 68.6 mln to the Sicily Region. The Parent Company filed notice of opposition, with first hearing set for 12 December 2018, to said injunction, and applied to obtain the suspension of the enforceability of said injunction (or execution if launched in the meantime) with the request for a provision without prior hearing of the other side. After reserving its right to consider its verdict at the hearing of 21 August, the Court, by order of 24 August, rejected the suspension request, specifying, however, that the injunction may be enforced on the positive current account balances held by Riscossione Sicilia. The Sicily Region requested the summon of Riscossione Sicilia, leading to the Court of Palermo's postponement of the first hearing - already scheduled for 12 December 2018 - to 20 March 2019. This first hearing, postponed again to 17 July 2019 due to the unavailability of the Judge, was then rescheduled for 26 September 2019. At the first hearing, upon



acknowledging the statements provided by the parties, the Judge set out the terms for lodging the statements pursuant to art. 183 of the Italian Code of Civil Procedure and adjourned to an evidentiary hearing scheduled for 26 November 2020. On that occasion, the Parent Company asked for the hearing for the statement of the conclusions to be scheduled, requesting the Court to verify the action had become devoid of purpose, as Riscossione Sicilia during the proceedings had proved that the receivable claimed by the Sicily Region had been fully cancelled. The Judge then postponed the judgement to 29 April 2021 for the hearing for closing arguments. At the hearing on 29 April 2021, the case was adjourned pending decision and legal terms were set for the filing of written counterarguments.

With ruling no. 3649/2021, published on 4 October 2021 and notified on 5 October 2021, the Court of Palermo rejected the Bank's opposition against the aforementioned order with simultaneous condemnation of the Bank to pay the litigation costs. The Bank filed an appeal against this decision before the Palermo Court of Appeal with a request to suspend the provisional enforceability of the injunction order and the first instance sentence. With an order dated 21 December 2021, the Court of Appeal of Palermo rejected the application for suspension, postponing the hearing of the first appearance of 11 February 2022 for the discussion of the appeal. With an order filed on the same date, the Court of Appeal ordered the integration of the cross-examination against the Revenue Collection Agency (*Agenzia delle Entrate-Riscossione* - ADER), as successor of Riscossione Sicilia S.p.a., setting the collegial hearing for the new appearance on 1 July 2022. In the event that the Bank, given the confirmation of the enforceability of the injunction order, in response to the request of the Region of Sicily, proceeds to the payment of the amount of approximately EUR 68.6 mln subject of the dispute, it is entitled to request the ADER, as the universal successor of Riscossione Sicilia S.p.a., the payment of the same amount.

With an order filed on 11 February 2022, the Court of Appeal ordered the integration of the cross-examination against the ADER, in its restate capacity, setting the collegial hearing for the new appearance on 1 July 2022.

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For the sake of completeness, it should be noted that the Parent Company has also filed an administrative case before the Regional Administrative Court of Sicily - Palermo office for the declaration of nullity and/or annulment of the injunction order pursuant to art. 2 of Italian Royal Decree no. 639/1910, notified by the Department on 17 July 2018.

The appeal concerns the challenging of the Order of injunction in the part in which, "alternatively, pursuant to art. 823, paragraph 2 of the Italian Civil Code, it orders the Parent Company Monte dei Paschi di Siena (...) to return to the Sicily Region, within the same period of 30 days from receipt of the present, the amount of EUR 68.6 mln plus interest at the rate established by special legislation for late payment in commercial transactions, as provided for in paragraph 4 of art. 1284 of the Italian Civil Code."

Following notification of the appeal on 16 October 2018, the appeal itself was filed by the Parent Company on 12 November 2018. The Department appeared via the *Avvocatura dello Stato* (office of the State Attorney) on 15 November 2018. The decree scheduling the hearing requested by the Parent Company on 28 October 2019 has not yet been issued.

Dispute Banca Monte dei Paschi di Siena S.p.A. vs. Nuova Idea

With a writ of summons notified on 21 December 2021, Nuova Idea S.r.l. summoned the Parent Company before the Court of Caltanissetta in order to have it declare that it was obliged to compensate all the damages, financial and non-financial, suffered by the company as a consequence of the protest of a bill of EUR 2,947 domiciled at the Caltanissetta Branch, which according to the plaintiff's prospect would have been raised due to the Bank's exclusive deed and fault.

The plaintiff argues that the illegitimate protest constituted the only causal antecedent of a chain of events described in the writ of summons which resulted in the net reduction of its shareholdings in a Temporary Grouping of Companies awarded a service contract with ASL Napoli 1 Centro, consequently requesting, principally, that the Parent Company was ordered to pay in its favour the amount of EUR 57.3 mln by way of loss of earnings as well as an amount of EUR 2.8 mln by way of loss of profit, and thus a total of EUR 60.1 mln, in addition to compensation for damage to the corporate image and commercial reputation to be paid on an equitable basis.

The date of the first appearance hearing indicated in the summons is 29 April 2022.



MPS Capital Services Banca per le Imprese S.p.A. vs. Etika Esco S.p.A.

The joint-stock company Etika Esco (hereinafter “Plaintiff” or “Company”) sued MPS Capital Services S.p.A. (hereinafter “MPSCS”) before the Court of Florence, contesting the illegitimacy of the bank conduct which, upon resolution of a loan of EUR 20 mln in favour of a company to be formed (hereinafter “Newco Sviluppo Marina Velca”) which should have been wholly-owned by the Plaintiff, did not proceed with the stipulation of the contract and the consequent disbursements.

It should be noted that the transaction, which was the subject of analysis that concluded with the resolution of 7 September 2016, was structured to allow Newco Sviluppo Marina Velca to complete the project for the construction of a real estate complex of about 300 small villas, as well as renovation and expansion of a golf course, in an area owned by Sviluppo Marina Velca S.r.l., located in the municipality of Tarquinia (hereinafter “Real Estate Project”).

The Real Estate Project involved an Italian closed-end investment fund which, through a vehicle company incorporated under Luxembourg law, held 100% of the capital of Sviluppo Marina Velca S.r.l.

MPS Capital Services S.p.A. had already intervened in support of this project by granting a loan of EUR 9.4 mln to Sviluppo Marina Velca S.r.l in 2012 (hereinafter the “2012 Loan”), which expired on 31 July 2014. In September 2016, the period of the resolution on the subject loan of approximately EUR 11 mln remained, comprising principal, overdue interest, arrears and accessories.

The Company’s takeover of the Real Estate Project assumed the acquisition by Etika Esco of a special purpose vehicle (identified as Rell’s Risorse s.r.l.) which should have purchased the shares of Sviluppo Marina Velca S.r.l. and then proceeded with the merger by incorporation. Purchasing the shares of Sviluppo Marina Velca S.r.l. would have required the Bank’s intervention as guaranteed creditor, in order to authorise the transfer of the shares subject to pledge as collateral for the 2012 Loan.

Given the context of the scenario indicated by the Company, the objections raised with regard to the Bank’s conduct are briefly illustrated below.

The Plaintiff claims that, upon scheduling an appointment with a Notary Public to transfer the quotas of Sviluppo Marina Velca S.r.l., MPS Capital Services S.p.A. notified that it would not be able to participate only the day before said meeting, due to alleged internal delays.

Having missed said appointment, without justification, MPS Capital Services S.p.A. subsequently adopted a closed attitude towards the Plaintiff, no longer responding to the many requests to proceed with the financing transaction until 15 March 2017, date in which MPS Capital Services S.p.A. communicated, with arguments and justifications deemed by the Company to be entirely insufficient, the forfeiture and/or revocation of the resolution of 7 September 2016.

The Plaintiff maintains that the conditions set by the Bank for the effectiveness of the resolution of 7 September 2016 were all met and, for those not met, should have been considered as having been fulfilled pursuant to Article 1359 of the Italian Civil Code due to the fact and fault of the Bank.

Failure to complete the acquisition of the quotas of Sviluppo Marina Velca s.r.l., and then the loan agreement with consequent failure to pay the sums, caused enormous damage to the Company, quantified at approximately EUR 96 mln, of which i) approximately EUR 46 mln as loss of profit for not having been able to achieve, as General Contractor, the revenues from implementation of the Real Estate Project and damage from requests for payment of penalties provided for in the contracts signed in view of the above activity and ii) EUR 50 mln in additional damage that will accrue in arrears, namely with regard to the sum decided by the court.

MPS Capital Services S.p.A. duly appeared before the court, replying that none of the conditions detailed in the letter of participation in the loan resolution had been satisfied. It was also pointed out that a few days after the resolution of the transaction (17 October 2016) the Company had asked the Bank for an advance on the first disbursement of EUR 2.6 mln, to be secured by a mortgage issued by the same company incorporating Sviluppo Marina Velca S.r.l. This request indicated a worrying lack of liquidity by the Company, which, however, would have had to inject a significantly higher equity during implementation of the Real Estate Project.

The change in creditworthiness revealed following the aforementioned request for pre-financing not only led MPS Capital Services S.p.A. to reject said new loan, but also to re-examine, in light of the Company evident lack of liquidity, the transaction already approved, leading to the final decision not to confirm and, therefore, to revoke said resolution granting the loan, also given the failure to comply with the conditions for the stipulation of the loan.



Further investigation by MPS Capital Services S.p.A. revealed that a hidden promoter of the transaction was a person with a very unfavourable track record and who had previously been refused financing by MPS Capital Services S.p.A. for the same project.

In conclusion, MPS Capital Services S.p.A. filed a counterclaim asking for the conviction of the Plaintiff for vexatious litigation, pursuant to art. 96 of the Italian Code of Civil Procedure.

The parties filed all the pleadings allowed by the Investigating Judge pursuant to art. 183, VI paragraph of the Italian Code of Civil Procedure.

With the statement referred to in art. 183, paragraph VI, no. 1 of the Italian Code of Civil Procedure filed by Etika Esco on 21 February 2019, it was specified that the total relief sought is not EUR 96 mln, as the damages suffered as a result of the facts presented in the summons amount to about EUR 46.2 mln, *“or in any case to an amount not less than EUR 50 mln or higher, due to the additional damages that will accrue in the meantime for the plaintiff due to the stated reasons, or, in the alternative, the payment of a different amount, even lower, that will be reached over the course of the litigation and/or which the Judge should determine on an equitable basis, as necessary”*.

At the hearing for the examination of the pieces of evidence, pursuant to art. 184 of the Italian Code of Civil Procedure, the Investigating Judge reserved the decision on the claims of the parties. With an order dated 26 January 2020, the Judge stated that the “evidence adduced, based on the allegations, the objections and the documentation presented by the parties, is superfluous for the purpose of a decision. *Therefore, a hearing must be scheduled for the presentation of closing arguments.*”

The Judgment was adjourned to 22 March 2022 for the closing arguments.

Dispute MPS Capital Services Banca per le Imprese S.p.A. vs. EUR S.p.A.

The company EUR S.p.A. has sued MPS Capital Services S.p.A. before the Court of Rome, together with three other lending banks, primarily in order to obtain a declaration of invalidity or, in the alternative, the cancellation and/or ineffectiveness of the following contracts: 1) *Interest rate swap* (IRS) concluded on 24 April 2009; 2) IRS of 29 July 2010; 3) the *Novation Confirmation* of 15 July 2010 with which the IRS sub 2 was transferred from Eur Congressi S.p.a. to Eur S.p.a.; 4) the *close out* contract dated 29 July 2010 relating to IRS sub 1; 5) the *Termination Agreement* of 18 December 2015 relating to IRS sub 2. Again primarily, the plaintiff asks for the conviction of the banks in the pool, jointly and severally, by way of restitution of the debt and compensation for pre-contractual and/or contractual and/or non-contractual damage, to the payment of the amount of approximately EUR 57.7 mln representing the relief sought indicated by the plaintiff.

Since this amount relates to all the derivatives concluded by the 4 banks in the pool with EUR S.p.A., it should be noted that in the unlikely event of losing the case, MPS Capital Services S.p.A. sentenced to pay the compensation will be able to distribute the amount paid with the other banks in the pool of its stake in the loan, which for MPS Capital Services S.p.A. is 12.61%.

With regard to the first IRS, Eur SpA complains about the lack of the hedging purpose as the derivative would have been concluded in the absence of the disbursement of the loan caused by failure to comply with the conditions precedent for the issue. Furthermore, on the basis of the ruling of the Supreme Court, United Sections n.8770 / 2020 the plaintiff asks for the nullity of derivatives due to lack of agreement on the subject of the contract and on the extent of the risk, complaining in this regard the perception by the banks of implicit commissions (not quantified in the writ of summons) and in the failure to indicate the probabilistic scenarios and the *mark to market* formula in the contracts.

The annulment of the derivative due to “essential error” into which EUR SpA would have fallen in relation to the nature and object of the contract, the annulment of MPS Capital Services SpA for “fraudulent intent” pursuant to art. 1349 of the Italian Civil Code are also contested for not having clarified the nature and characteristics of the IRSs offered for subscription, as well as the violation of art. 21 of TUF for failing to comply with the obligation to safeguard the customer’s interests.

Among the observations raised by the plaintiff, the arguments expressed by the well-known ruling of the United Sections of the Supreme Court no. 8770/2020 are used, pursuant to which it appears necessary to verify - for the purposes of the lawfulness of derivative contracts - whether there is an agreement between intermediary and investor on the measure of the risk, calculated according to scientifically recognized and objectively shared criteria, because the legislator authorizes this kind of “rational bets” where the customer is made aware of all the elements useful for evaluating the convenience of the risk, therefore the formula of the mark to market and probabilistic scenarios. Although the ruling in question was pronounced on issues relating to derivative transactions stipulated



by local authorities, it is not uncommon for it to carry out the nomophilactic guiding function in the courts of merit also in relation to derivatives concluded between intermediaries and its customers.

MPS Capital Services SpA appeared in court to have the full validity of its actions recognized and to request the rejection of the plaintiff's claims. In the appearance of the constitution and reply, MPS Capital Services S.p.A. objected in *limine litis* the lack of jurisdiction of the court seized, given that the contracts regulating the operations in derivatives between the bank and Eur S.p.A. consist of ISDA Master Agreements governed by English law and subject to the jurisdiction of the British courts. According to the plaintiff, the Italian Court, would have the jurisdiction because of the contractual link of the IRS to the loan agreements, regulated by Italian law, as well as the public nature of EUR SpA "as a company wholly owned by public bodies", arguments that appear unfounded.

As shown above, having examined the arguments and documents produced by the counterparty, it was considered, also supported by the assessment made by the appointed legal adviser, that the risk of losing the case for MPS Capital Services SpA can be classified as "possible" given the current status of case before the Supreme Court.

In the only hearing held so far, on 22 November 2021, the judge held that, before entering into the merits, the preliminary objections presented by the defendant banks, concerning: 1. the suspension of this judgment, by virtue of the provisions referred to in art. 7 paragraph 1 of Law 218/1995, pending the definition of the separate judgment brought by a bank of the *pool* against EUR S.p.A. in the United Kingdom concerning the assessment of the validity and effectiveness of derivative contracts concluded between the parties; 2) the *lis pendens* between the two judgments; 3) the lack of jurisdiction of the Italian judge in favour of the English one by virtue of the exclusive jurisdiction clauses of the English courts contained in the ISDA Agreements between EUR S.p.A. and the defendant banks.

To this end, the judge assigned the parties time limits for briefs on these preliminary questions with expiry for the defendant banks on 22 January 2022 and reserving the decision upon the expiry of the terms assigned.

Dispute Banca Monte dei Paschi di Siena S.p.A. vs. Barbero Metalli S.p.A.

The first appearance hearing, already scheduled for 23 November 2021, was postponed in writing to 25 January 2022.

The proceedings, with relief sought equal to EUR 37.5 mln, were brought by Barbero Metalli 124 S.R.L. - transferee of the action pertaining to BARBERO METALLI S.P.A. (operating under bankruptcy laws) by virtue of designation pursuant to art. 1401 of the Italian Civil Code operated by Energetyca S.r.l., acting as assumpor in the composition in bankruptcy related to the same procedure - against the directors and auditors of the company, as well as the different credit institutions jointly and severally, for having contributed to the insolvency of the company through the illegal granting of credit. In particular, with reference to the Parent Company, the complaint concerns the connivance with the acts of maladministration of the directors for having advanced sums to the company from 2009 onwards (RI.BA.) without underlying invoices, fictitiously indicated on future issues for a total of approximately EUR 8.8 mln.

The plaintiff asks for the directors, auditors and banks to be found jointly and severally liable for approximately EUR 37.4 mln as additional loss incurred by the company, and in the alternative liable for EUR 22.9 mln, as the value of individual detrimental transactions carried out by the company and expressly listed in the summons.

Given the content of the claims, the share of the risk pertaining to the Bank, jointly and severally summoned with the other defendants to pay the entire amount requested in relief, has not been quantified.

Dispute MPS Capital Services Banca per le Imprese S.p.A. vs. Parrini S.p.A.

The first hearing scheduled for 29 July 2021 before the Court of Rome was postponed to 31 January 2022.

The lawsuit, with relief sought equal to EUR 42.2 mln, is brought against different credit institutions jointly and severally alleged to have contributed to the insolvency of the company through the illegal granting of credit.

Notably, in regard to the position of MPS Capital Services S.p.a., the complaint concerns the connivance with the acts of maladministration of the directors, who made use of credit at a time when the state of crisis of the company was no longer remediable, not in view of a corporate restructuring, but for the sole purpose of continuing the business activity and management, without letting this state of crisis become public, thus delaying the declaration of insolvency, and causing damage to the Company and its creditors by granting mortgage loan No. 503259901 on 4 August 2011.



The plaintiff asks for MPS Capital Services S.p.a. (originator of the assigned loan) and the other banks Intesa-UniCredit-B.co Desio to be found liable jointly and severally and to pay damages to the liquidator of the insolvent company, in the amount of approximately EUR 42.3 mln, or in the different amount, greater or lesser, that the Court will deem appropriate, also pursuant to art. 1226 of the Italian Civil Code, as well as interest and revaluation.

Given the content of the claims, the share of the risk pertaining to the subsidiary MPS Capital Services S.p.a. jointly and severally summoned with the other defendants to pay the entire amount requested in relief, has not been quantified.

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It should be noted that the dispute “Banca Monte dei Paschi di Siena S.p.A. / Impresa S.p.A. under Extraordinary Administration”, presented in the 2020 financial statements (to which reference should be made for more details) is not illustrated herein as it was assessed during 2021 at “remote” risk of losing the case.

Employment law disputes

As at 31 December 2021, employment law disputes against the company were pending for which the relief sought, where quantified, was equal to approximately EUR 81.8 mln. In particular:

- approx. EUR 43.0 mln in relief sought for which there is a “likely” risk of losing the case, for which provisions of about EUR 33.1 mln have been made;
- approx. EUR 21.4 mln in relief sought for which there is a “possible” risk of losing the case;
- approx. EUR 17.5 mln in relief sought for other claims, for which there is a “remote” risk of losing the case.

We provide below the summary information on the most significant dispute pending at 31 December 2021.

Banca Monte dei Paschi di Siena S.p.A. vs. Fruendo

Following the transfer of the business unit, 634 workers (later reduced to 247 due to waivers and settlements) initiated legal proceedings against the Parent Company before the Courts of Siena, Rome, Mantua and Lecce to demand the continuation of the employment relationship with Banca MPS, upon the declaration of ineffectiveness of the transfer agreement entered into with Fruendo.

As of today, first and / or second instance rulings unfavourable to the Parent Company have already been passed for all the workers involved (these rulings have been or are about to be challenged before the competent offices); of these for no. 198 workers the judgment was defined with the unfavourable ruling of the Supreme Court.

The consequent obligation of the Parent Company to readmit into service arising from the rulings was fulfilled with effect from 1 April 2020 for the 452 applicants for service at that date, with the simultaneous secondment in Fruendo and without waiving the appeals filed.

During 2017, pending this dispute, some workers pursuant to the aforementioned rulings served a writ of precept with which they asked to be registered in the payroll ledger of the Parent Company and to restore their insurance and contributory position, which the Parent Company opposed with appeal to the Court of Siena Labour Section. Following the decision of the Parent Company to readmit into service, starting from 1 April 2020, all the workers concerned, the counterparties requested the cessation of the matter in the dispute; request accepted by the Judge with rulings of 3 December 2021.

It should also be noted that in the case of a sale of a business unit considered to be unlawful, the Supreme Court with reference to the remuneration obligations of the transferor, has recently handed down a ruling that was not aligned with the case law confirmed over time by the Supreme Court itself: in fact, with its recent rulings, issued in 2019 and 2020, it affirmed that the transferring employer would bear remuneration obligations in addition to those fulfilled by the transferee employer, since the principle that the payment made by the latter would discharge the former is considered not applicable to the case in question.

Based on this change in case law (“double remuneration”), as of today 160 workers involved in the transfer of the business unit and recipient of the above rulings in their favour, have sued the Parent Company in order to request



the remuneration allegedly due. These actions were appealed by the Parent Company before the Courts of Siena, Mantua and Rome, with hearings currently scheduled between February 2022 and February 2023.

For this line of litigation, 19 first instance rulings have been issued so far:

- 4 issued by the Court of Siena, partially unfavourable (the Labour Judge in fact sentenced the Parent Company to pay only 5 months of the last total de facto salary);
- 10 issued by the Court of Rome, unfavourable (the Labour Judge sentenced the Parent Company to pay all remuneration claimed by the workers);
- 2 issued by the Court of Mantua, unfavourable (the Labour Judge sentenced the Parent Company to pay all remuneration claimed by the workers);
- 3 issued by the Court of Rome, favourable (the Labour Judge accepted the appeal of the Parent Company and rejected all claims by the workers);

The partially unfavourable rulings issued by the Court of Siena, which partially accepted the request relating to the “double remuneration”, ordering the Parent Company to pay only 5 months of the last overall salary due to the parties involved, also gave impetus at the start of negotiations for the settlement of disputes which, to date, have led to the completion of 236 transactions.

Please also note that the Court of Siena, Labour Section, with ruling of 25 January 2019, rejected the appeals of 52 Fruendo workers (later reduced to 32 following waivers/settlement) which sued the Parent Company before the Court to request the continuation of the employment relationship with the Parent Company, upon declaration of the unlawful interposition of labour (“unlawful contract”) as part of the services outsourced by the Parent Company to Fruendo. The aforementioned ruling was challenged by 16 workers before the Florence Court of Appeal.

The appeal judgment, which saw the plaintiffs reduced from 16 to 14, ended in an unfavourable ruling for the Parent Company, since the Court declared the contract to be illegitimate, with reconstitution of the plaintiffs’ employment relationship with the Parent Company from 1 January 2014.

Furthermore, further legal actions were initiated to ascertain the illegality of the contract from n. 32 workers of Fruendo:

- a) 13 plaintiffs initiated proceedings before the Court of Padua - Labour Section; for the first group of 12, the first hearing was held on 18 January 2022, while for the single case of 1 worker the hearing will be called on 8 March 2022;
- b) 19 workers also initiated proceedings before the Court of Siena, Labour Section. We summarize below the situation of the related cases:
 - for two groups of plaintiffs (18 in total) who have introduced collective disputes, the judgments of inadmissibility of the judicial request have intervened, therefore the Parent Company records favourable outcomes in the first instance;
 - for the only plaintiff who has filed an individual case, the issue is still under the advisement of the Labour Judge after the first hearing.

Tax disputes

As at 31 December 2021, tax disputes were pending for which the total claim, where quantified, was equal to approximately EUR 81.0 mln. In particular:

- approx. EUR 9.4 mln in relief sought regarding disputes for which there is a “likely” risk of losing the case, for which provisions of about EUR 8.7 mln have been made;
- approx. EUR 32.4 mln in relief sought attributable to disputes for which there is a “possible” risk of losing the case;
- approximately EUR 39.2 mln in relief sought attributable to the remaining disputes, for which there is a “remote” risk of losing the case.

Risk linked to representations and warranties given in the sale and demerger of non-performing loans

In execution of the 2017-2021 Restructuring Plan, the Group has launched an important destocking plan for non-performing loans with the aim of significantly reducing its NPE ratio. As part of these transactions, indemnities are envisaged to be paid to the transferee counterparties of non-performing loan portfolios if the representations and warranties (R&W) issued are not true. In this regard, note the securitization transaction carried out by the



Group in December 2017 in favour of Siena NPL which resulted in the cancellation of bad loans for a gross exposure of over EUR 22 bn, whose R&W expired on 31 July 2021. By that date, 10,175 claims were received for a relief of approximately EUR 0.7 bn; of those analysed, a limited percentage was assessed as well-founded. Also of note is the “Hydra-M” demerger in 2020 concerning EUR 7.2 bn of gross non-performing loans whose R&W expires in November of the current year, the “Morgana” transaction in 2019 which concerned EUR 400 mln in gross exposure of lease-secured bad loans, whose R&W expired in October 2021 and finally some transactions involving the sale of portfolios of unlikely to pay loans, which took place between 2018 and 2020, with a maximum expiry in May 2023. As of 31 December 2021, approximately 40 claims for EUR 24.1 mln for “Hydra M” and approximately 450 claims for EUR 3.3 mln for Morgana had been received and analysed, of which minority stakes were deemed to be founded.

The risk provisions for this type of transaction, if the claims are not fully analysed and/or the expiry date has not yet matured, are also determined through the use of statistical techniques to take into account the overall expected risk.

Compensation for transactions in diamonds

In 2012, Banca Monte dei Paschi di Siena signed a cooperation agreement with Diamond Private Investment (DPI) to regulate the modalities for the reporting of the offer of diamonds by the company to the customers of Banca MPS. This activity generated total purchase volumes of EUR 344 mln, mainly in 2015 and 2016, with a significant drop already from 2017.

The Antitrust Authority (Autorità Garante della Concorrenza e del Mercato - AGCM), with the resolution adopted at the meeting of 20 September 2017, established the existence of behaviours in violation of the provisions relating to unfair trade practices on the part of DPI and of the banks that had signed agreements with them. With regard to the Parent Company, a sanction of EUR 2 mln was imposed.

This measure was challenged before the Lazio Regional Administrative Court which, with ruling of 14 November 2018, rejected the Parent Company appeal. No appeal has been lodged against the judgement and it has therefore become final.

The Parent Company had in any case suspended the reporting activity to DPI of its customers starting from 3 February 2017, as soon as they became aware of the opening (25 January 2017) of the formal AGCM investigation with regard to DPI (later extended to the banks with which it had agreements). On 19 March 2018 the Parent Company terminated the cooperation agreement with DPI (the activity had in practice already been terminated from the date of suspension) and started a compensation process for its customers who had received recommendations and intended to exit their diamond investment.

The compensation process, agreed by Board of Directors since January 2018, envisaged the payment to customers a consideration up of an amount equal to that originally paid to DPI for the purchase of stones, with the simultaneous transfer of the same to the Parent Company and completion of the transaction.

Once the necessary authorisations were obtained, the initial transactions with customers were completed in the second half of 2018.

Following the launch of the initiative for a compensation to the customer process by the Parent Company, AGCM, given also the importance of the measures adopted for the mitigation of the financial impact of the communication of the offer of diamonds to the customers, requested to be kept updated on the progress of this initiative. The most recent report on the progress of the compensation process was sent to AGCM by the Parent Company on 15 July 2020, with an update of the data as at 26 June 2020.

On 19 February 2019, the Parent Company was served a preventive seizure order from the Judge's Office for the Preliminary Investigations of the Court of Milan in relation to this case. The order was served to several natural persons, two diamond-producing companies (Intermarket Diamond Business S.p.A. and Diamond Private Investment S.p.A.), as well as 5 banks, including the Parent Company, and resulted, for Banca MPS, in the preventive seizure order of the profit from the crime of continued aggravated fraud, in the amount of EUR 35.5 mln. In addition, a preventive seizure order was served by equivalence pursuant to art. 53 of Italian Legislative Decree 231/2001, for EUR 0.2 mln for the crime of self-money laundering.

In the seizure order, the Parent Company – as an administrative liable party – is challenged, at point 14), with the administrative unlawful act related to an offence pursuant to article 5, paragraph 1, letter b) and 25 octies of Italian Legislative Decree 231/2001 as regards the self-money laundering offence pursuant to article 648 ter 1 of the Italian Criminal Code.



The Parent Company, in order to have access to the investigation documentation, proposed a request for a review against this precautionary measure.

On 28 March 2019, the notice was served with the hearing before the Court of Review scheduled for 2 April 2019.

Following acquisition of the documentation of the proceedings, the Parent Company deemed appropriate to waive the appeal for re-examination before the Court of Review and to propose instead, for a later time a request for release from seizure pursuant to article 321, paragraph 3 of the Italian Code of Criminal Procedure.

On 15 April 2019, a notice for the request of an extension of the duration of the preliminary investigations was served.

On 28 September 2019, the notice for the completion of the investigations against the investigated parties (and their defenders) deemed liable and co-labile of the alleged fraud against diamond investors, was filed.

The provision, containing the information for guaranteeing the right to a defence, involves 87 natural persons and 7 legal persons including the Parent Company.

The representatives of the Parent Company involved are 8, 5 of whom are executives, 4 no longer employed (who are attributed the criminal conduct under article 648 ter 1, 2 and 5 of the Italian Criminal Code) and 3 are Heads of subsidiaries. The Parent Company remains involved in the proceedings pursuant to the alleged administrative offence under art. 25 octies of Italian Legislative Decree 231/01 related to art. 648 ter 1 of the Italian Criminal Code.

On 10 September 2020, a new notice of conclusion of the investigations was issued pursuant to art. 415 bis of the Code of Criminal Procedure by the Public Prosecutor of Milan, as part of a new criminal proceeding removed from the original proceedings.

This would be an additional notice compared to the previous one as it refers to new reports of criminal offences. Together with the 5 executives of the Parent Company mentioned in the previous notice, another 5 employees are being investigated for the offence pursuant to art. 640 first and last paragraph of the Italian Criminal Code (multiple aggravated and continuous fraud). In the new notice, the Parent Company is not involved as having administrative liability pursuant to Italian Legislative Decree 231/01. These proceedings are now joined with those referred to in the first notice of indictment.

On 11 March 2021, the Public Prosecutor's Office at the Court of Milan issued a new notice of indictment and conclusion of preliminary investigations referred to other criminal proceedings regarding 3 former executives of the Parent Company as well as an executive still employed. The crimes subject to the proceedings are those of aggravated fraud (art. 640, par. 1, par. 2 bis in connection to art. 61 no. 5, Italian Criminal Code), self-laundering (art. 648 ter, par. 1, 2 and 5, Italian Criminal Code) and obstruction of regulators (art. 2638, par. 2 and 3, Italian Civil Code). In these proceedings, the Parent Company is not involved as having administrative liability pursuant to Italian Legislative Decree 231/01.

On 6 April 2021, the request for committal for trial was submitted by the Public Prosecutor's Office at the Court of Milan, against 110 parties, including previous representatives and employees of the Parent Company who had received the first two notices of conclusion of investigations in the aforementioned criminal proceedings. It was requested that the Parent Company also be called before the court in relation to the administrative offences pursuant to Italian Legislative Decree 231/01. At the preliminary hearing on 19 July 2021 and the subsequent one on 20 September 2021, numerous parties appeared before the Courts as civil parties.

At the hearing of 20 October 2021, the Judge for the preliminary hearing ordered the exclusion of all the civil parties who had joined the proceedings against the administrative liable parties (including the Bank) as well as many natural persons who had filed a civil action even though not falling within the category of offended persons identified by the Public Prosecutor in the request for indictment.

At the same hearing, the Judge, at the request of the civil parties remaining in the trial, ordered the civil liable offenders to be summoned.

The Bank was not summoned as civil liable party.

Preliminary issues were discussed at the hearing held on 20 December 2021.

The Judge postponed the hearing to 21 January 2022 for concluding arguments.

On 22 June 2021, the Public Prosecutor's Office with the Court of Milan, as part of the mentioned third criminal proceedings, issued a new notice of conclusion of preliminary investigations regarding executives and



representatives of the Parent Company. The new notice of conclusion of the investigations concerned 1 former executive and 1 former representative not included in the previous notice. The offences prosecuted are the same as those referred to in the notice of 11 March 2021. In the new notice too, the Parent Company is not involved as a party with administrative liability pursuant to Italian Legislative Decree 231/01.

Furthermore, on 12 July 2021, a further notice of closure of preliminary investigations was served, against 4 former Executives and no. 1 executive already included in the main line of litigation. These parties were charged, with this notice of indictment, with the offence of aggravated fraud.

On 28 September 2021 the Public Prosecutor made a request for referral to judgment, against no. 7 former executives and the Chief Executive Officer and pro tempore General Manager of the Parent Company.

The crimes subject to the proceedings are those of aggravated fraud (art. 640, par. 1, par. 2 bis in connection to art. 61 no. 5, Italian Criminal Code), self-laundering (art. 648 ter, par. 1, 2 and 5, Italian Criminal Code) and obstruction of regulators (art. 2638, par. 2 and 3, Italian Civil Code). In these proceedings, the Parent Company is not involved as having administrative liability pursuant to Italian Legislative Decree 231/01.

In this request for indictment, the Public Prosecutor requested the joinder of this proceeding within the main line, still being in the same phase of the proceedings.

Lastly, it should be noted that, on 4 December 2019 and 2 April 2021, the Parent Company, with reference to the preventive seizure order issued on 13 February 2019 by the Preliminary Investigations Judge of the Court of Milan in the amount of EUR 35.2 mln, filed with the Public Prosecutor's Office at the Court of Milan 2 petitions for partial restitution, equal to the total amount reimbursed to most customers. The Parent Company is waiting for the outcomes of these petitions.

Against the claims made, the Parent Company has set aside provisions which take into account, among other things, the expected number of claims and the current wholesale value of the stones to be taken back.

As at 30 December 2021, more than 23 thousand claims had been received for a total value of EUR 315 mln; while the settlements carried out were equal to a total of EUR 310 mln (of which EUR 22 mln in 2021, covered for the countervalue net of the market value of the stones by the provision for risks and charges made in previous years) and represent 90% of the total volume of diamond offers reported by the Parent Company. Residual provisions for risks and charges recognised against the compensation initiative were equal to EUR 6.3 mln at the end of December 2021.

As at 31 December 2021 the stones returned were recognised for a total value of EUR 64.8 mln.



Financial risks of investment services

Foreword

The following section on financial risks of investment services was written as part of the “Operational Risk” section in line with the compulsory framework for preparation of the Notes to the Financial Statements, even though this subject presents specific characteristics and involves organisational levels of authority that are not directly traceable to operational risk management.

Wealth risk management process and methods

The Group pays particular attention to the governance of risks regarding investment services that are a direct and indirect result of the risks incurred by customers in relation to the performance of investment services.

Governance of these risks is aimed at protecting customers and at preventing any potential negative impacts on the Group in terms of operational and reputational risk.

Organisational responsibility at Group level for supervising financial risk measurement, monitoring and control activities and for mapping investment products/services for the purposes of MiFID adequacy is an integral part of the Group’s integrated risk management responsibilities, and is assigned centrally to the Market Risk and Wealth Risk Management Service, within the Risk Management Area of the Parent Company’s Chief Risk Officer Division. This is to ensure centralised governance of the direct and indirect risks which the Group incurs during the course of its operations.

“Wealth risk management” focuses on the overall set of operational and management processes as well as measurement and monitoring tools/methods used to ensure overall consistency between customers’ risk profiles and the risk of investment products and portfolios offered to - or in any case held by - customers.

The investment products (of the Group and of third parties), whether or not included in the overall offering to the Group’s customers, are mapped for risk on the basis of quantitative measurements of market and credit risk factors; liquidity and complexity assessments are also conducted on these products. Product mapping is one of the guiding criteria for carrying out investment adequacy checks as part of the consulting service offered.

For the sake of simplicity, investment product risk mapping, performed with reference to individual risk macro-factors, is grouped under specific risk categories.

A special focus is given by the Group to the monitoring and prevention of potential financial and reputational risks which investment services, particularly in contexts of financial crisis, may generate as a consequence of increased market volatility. The fast-moving and not always predictable market trends may result in rapid changes in product risks and generate potential financial losses, as well as prompting a changing attitude by customers towards their own financial investments.

Customers have regularly been informed of changes in the risk of financial instruments held, so as to ensure timely disclosure transparency and facilitate possible decisions aimed at rebalancing the risk profile of their investments.

Advisory services on offer, customer risk profile and risk of investment products/portfolios

The strategic choice of the Parent Company is to systematically combine the placement of financial products with advisory so as to ensure the highest level of protection for the investor and, at the same time, enhance the role played by relationship managers. Again, with a view to protecting customers, the obligation to verify appropriateness has also been extended to the trading activities on the secondary market of the certificates issued by the Group.

The advisory service is offered by the Parent Company on the basis of two different methods:

- a “basic” advisory, aimed at verifying the suitability of a single specific investment recommendation, or several investment transactions or several disinvestment transactions in relation to the risk of the customer’s investment portfolio as a whole. In this regard, the adequacy model adopts a multivariate control approach to the individual risk factors, taking the risk of the customer’s portfolio, including the recommended investment product(s), as a reference.



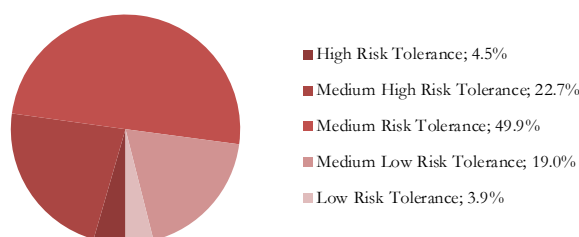
- an “advanced” advisory, aimed at verifying the suitability of the overall set of advised transactions based on a range of investment/disinvestment transactions targeted at the construction of one or more portfolios of advanced advisory, consistent with the respective investment objectives, in reference with an optimal asset allocation that aims at obtaining maximised future returns, based on the investment portfolio risk given the customer’s risk profile. In this regard, the adequacy model adopts a multivariate control approach to the individual risk factors, taking the risk of the customer’s portfolio, including the recommended investment product(s), as a reference.

Wealth risk management activities cover the entire distribution perimeter of the network of Group branches, the investment services operated by Banca Widiba and by MPS Capital Services.

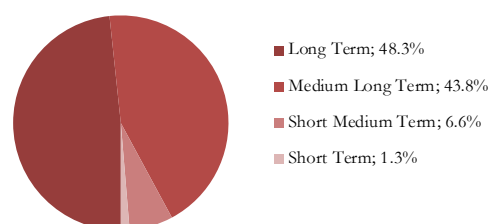
From 3 January 2018, the MiFID II directive (2014/65/EU) came into force in the entire European Union. Together with MiFIR or Markets in financial instruments regulation (EU Regulation 600/2014), this has changed the reference framework of European legislation. By adopting a new MiFID questionnaire introduced on 2 January 2018, the Parent Company and Banca Widiba have revised the methods of customer profiling and the rules for determining the indicators underlying a customer’s risk profile (particularly on: investment objectives, experience, knowledge and time horizon).

At the end of 2021, the analysis of the questionnaires completed by customers in the “Private” macro-segment, namely retail customers which represent almost the entire customer base of the Group, and which hold investment products, showed for 23% a “low” or “medium low” risk tolerance, 50% a “medium” risk tolerance and the remaining 27% a positioning in higher risk tolerance classes. In addition, mainly long-term investment time horizons were preferred.

Retail Clients - Investment Objective
Montepaschi Group - 31/12/2021

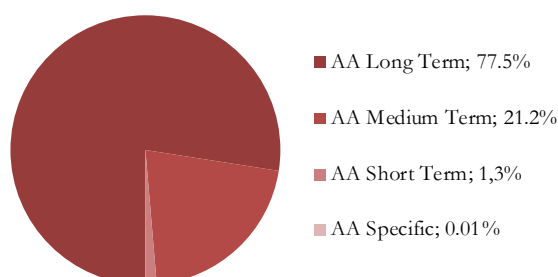


Retail Clients - Investment Horizons
Montepaschi Group - 31/12/2021



At the end of 2021, the portfolios held by Consumer/Retail customers on the basis of formalised “advanced” advisory proposals to obtain optimum asset allocation, were mainly distributed into the recommended, especially long-term, Asset Allocation macro-classes.

Retail Clients - Portfolio Management Advisory
Preferred Asset Allocations
Montepaschi Group - 31/12/2021





Section 3 - Insurance companies risks

Neither the Group nor its subsidiaries perform insurance activities. However, the Group has holdings in the share capital of insurance companies, such as “AXA MPS Assicurazioni Danni S.p.A.” and “AXA MPS Assicurazioni Vita S.p.A.”. These holdings are carried at equity and are recognised under consolidated assets, item 70 “Equity investments”. Against the risk of loss from these investments, the Group holds a specific equity requirement calculated in accordance with supervisory methodologies.

Section 4 - Other companies risks

There are no significant additional risks for the remaining companies included in the scope of consolidation that are not part of the Banking Group or insurance companies. With regard to the company MPS Tenimenti Poggio Bonelli and Chigi Saracini Società Agricola SpA, it should be noted that the book value at which the properties, plant and vineyards are recognised is consistent with the values inferred from specific appraisals and valuations. The risk of impairment loss from the real estate assets is in any case covered by a specific equity requirement calculated by the Group in accordance with supervisory methodologies.



Part F – Information on consolidated shareholders' equity

Section 1 - Consolidated shareholders' equity.....	535
Section 2 – Regulatory banking capital and ratios	539
Section 3 - Insurance regulatory capital and ratios	539
Section 4 – Capital adequacy of the financial conglomerate	539



Section 1 - Consolidated shareholders' equity

A. Qualitative Information

The Group pursues strategic objectives focused on quantitative and qualitative strengthening of capital, structural rebalancing of liquidity and achievement of sustainable profitability levels, compatible with the undertaken risks.

In this perspective, capital management, planning and allocation activities play a crucial role in ensuring compliance over time with the minimum capitalisation requirements set by the regulations and the supervisory authorities, as well as with the risk appetite level approved by the Group's strategic supervision body.

To this end, within the Risk Appetite Framework (RAF), the target capitalisation levels are estimated on a yearly basis and the capital is allocated to the business units according to the expected development, returns and estimated risk levels, making sure that the allocated capital is sufficient to ensure compliance with minimum requirements. In the context of the RAF it is used to perform prospective capital adequacy assessments over a multiyear period, under both normal and stress conditions.

Capital management is understood as a dynamic activity aimed at constantly seeking to optimise the capital components (ordinary shares and other capital instruments) in order to achieve objectives and implement identified strategies.

The Parent Company exercises coordination and guidance activities over the Banks and Companies belonging to the Group, monitoring the regulatory capital requirements in each individual Legal Entity and issuing appropriate guidelines.

The Group uses methodologies for the correct measurement of profitability, based on risk, by adopting these indicators also within the RAF framework, with related monitoring and management of the total expected risk/return profile

In this context, RAPM metrics are used to allow appropriate assessments to be made and to provide the necessary indications, to the Parent Company functions and business units, for an accurate and detailed measurement of the actual absorption of allocated capital resources and for the orientation of future distribution choices.

Monitoring of the achievement of objectives and compliance with minimum regulatory requirements is carried out constantly throughout the year.

The formal corporate processes to which the RAF is applied at least on an annual basis are the budget, the Risk Appetite Statement and the ICAAP. These processes, in line with the indications of the Supervisory Authorities, require the involvement of several structures and the contribution of the Group's Subsidiaries, in order to internally assess the strengths and weaknesses of the risk profile and the management and control processes thereof.

Furthermore, these processes are also consistent with the Recovery Plan process, in particular by ensuring the consistence between the Recovery plan indicators and RAS indicators.

The definitions of equity applied are those used in Supervisory Regulations: Common Equity Tier 1, Tier 1 and Own Funds; moreover, the RAPM metrics also include Invested Capital, i.e. the amount of Shareholders' equity needed to achieve Common Equity Tier 1 values, whether determined ex ante as target levels or realised ex post.

As capital at risk, the regulatory requirements are used which correspond to risk weighted assets (RWA), determined on the basis of the provisions set out in the supervisory regulations (regulatory RWA) and internal capital (internal RWA), defined by the Group in line with the Risk Management methodologies. Both measures are used in the RAPM metrics.

According to the ECB final decision regarding capital requirements, from 1 March 2022 the Group shall be compliant with a Total SREP Capital Requirement (TSCR) of 10.75%, which includes:

- a minimum own funds capital requirement -Pillar 1 –("P1R) of 8% (of which 4.50% in term of CET1);
- an additional Pillar 2 ("P2R) requirement of 2.75% which is at the same level that was required for 2021, to be held at least 56.25% in the form of CET1 and 75% in the form of Tier 1.

The overall minimum requirement in terms of Total Capital Ratio, obtained by add a CBR (Combined Buffer Requirement) of 2.75%⁵⁷ to TSCR is 13.50% (13.44% in 2021).

⁵⁷ The Combined Buffer Requirements (CBR) includes the Capital Conservation Buffer (2.50%) + O-SII Buffer (0.25% compared to 0.19% in 2021) + Countercyclical Capital Buffer (0.003% compared to 0.001% in 2021).



The overall minimum CET1 ratio is 8.80% which is the sum of P1R (4.50%), P2R(1.55%⁵⁸) and CBR (2.75%); the overall minimum Tier 1 ratio is 10.82%, including P1R of 6.0%, P2R of 2.06%⁵⁹ and CBR of 2.75%.

On the basis of the capital ratios as at 31 December 2020, in the context of SREP decision the ECB confirmed for the Parent company the decision – already in place – to restrict dividends.

The capital adequacy is primarily pursued through the generation of income as well as through the optimisation of RWA.

In addition, the compliance with capital requirements is also ensured through specific actions such as the issue of Subordinated Bonds.

⁵⁸ Calculated considering 56.25% coverage of P2R with CET 1

⁵⁹ Calculated considering 75% coverage of P2R with Tier 1



B. Quantitative Information

B.1 Consolidated shareholders' equity: breakdown by business areas

31.12.2021

Net equity items	Prudential Consolidation	Insurance companies	Other companies	Consolidation cancellations and adjustments	Total	of which Group	of which minority interests
Shareholders' equity	9,195,719	304,317	111,435	(415,752)	9,195,719	9,195,012	707
Share premium	2	-	-	-	2	-	2
Reserves	(3,639,130)	535,358	74,330	(609,688)	(3,639,130)	(3,638,638)	(492)
Equity instruments	-	-	-	-	-	-	-
Treasury shares (-)	-	-	-	-	-	-	-
Valuation reserves	308,075	168,279	4,222	(172,501)	308,074	306,771	1,304
- Equity instruments measured at fair value through other comprehensive income	(13,164)	-	-	-	(13,164)	(13,164)	-
- Finciale assets (other than equity instruments) measured at fair value through other comprehensive income	30,068	-	-	-	30,068	30,068	-
- Property, plant and equipment	162,879	-	5,017	(5,017)	162,879	162,614	265
- Intangible assets	-	-	-	-	-	-	-
- Exchange difference	3,321	-	-	-	3,321	3,321	-
- Financial liabilities measured at fair value through profit and loss (changes in own credit worthiness)	14,642	-	-	-	14,642	14,642	-
- Actuarial gains (losses) on defined benefit plans	(61,068)	-	(25)	25	(61,068)	(61,068)	-
- Share of valuation reserves of equity investments valued at equity	163,880	164,650	(770)	(163,881)	163,879	163,880	-
- Special revaluation laws	7,517	3,629	-	(3,629)	7,517	6,478	1,039
Profit (loss) for the year - Group and minority interests	309,331	104,352	1,389	(105,741)	309,331	309,507	(176)
Net equity	6,173,997	1,112,306	191,376	(1,303,682)	6,173,996	6,172,650	1,346



B.2 Valuation reserves for financial assets measured at fair value through other comprehensive income: breakdown

Asset/Amount	Prudential Consolidation		Insurance companies		Other companies		Consolidation cancellations and adjustments		TOTAL	
	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve
1. Debt securities	236,375	(8,196)	198,920	-	-	(809)	(198,920)	809	236,375	(8,196)
2. Equity instruments	15,168	(62,287)	3,990	(37,945)	-	-	(3,990)	37,945	15,168	(62,287)
4. Loans	-	-	-	-	-	-	-	-	-	-
Total 31 12 2021	251,543	(70,483)	202,910	(37,945)	-	(809)	(202,910)	38,754	251,543	(70,483)
Total 31 12 2020	357,061	(68,613)	279,807	(37,209)	-	(809)	(279,807)	38,018	357,061	(68,613)

B.3 Valuation reserves for financial assets measured at fair value through other comprehensive income: annual changes

	31 12 2021		
	Debt securities	Equity instruments	Loans
1. Opening balance	339,696	(51,248)	-
2. Increases	5,409	5,588	-
2.1 Increases in fair value	5,169	3,945	-
2.2 Net losses (recoveries) on impairment	-	X	-
2.3 Reversal to profit and loss of negative reserves	169	X	-
2.4 Transfers to other component of equity (equity instruments)	-	732	-
2.5 Other increases	71	911	-
3. Decreases	116,926	1,459	-
3.1 Decreases in fair value	108,405	1,399	-
3.2 impairment provisions	-	-	-
3.3 Reversal to profit and loss of positive reserves: following disposal	7,582	X	-
3.4 Transfers to other component of equity	-	60	-
3.5 Other decreases	939	-	-
4. Closing balance	228,179	(47,119)	-



B.4 Valuation reserves for defined benefit plans: annual changes

	Internal funds	External funds	Provisions for employees severance pay	31 12 2021
Opening balance	(36,737)	(225)	(25,963)	(62,925)
Remeasurement of net defined benefit liability (asset):	165	3	1,533	1,701
Return on plan assets excluding interests	(99)	(1,793)	-	(1,892)
Actuarial gains (losses) arising from changes in demographic assumptions	-	70	-	70
Actuarial gains (losses) arising from experience adjustments	35	3,054	(1,581)	1,508
Actuarial gains (losses) arising from changes in financial assumptions	680	4,242	3,114	8,036
Changes in effect of limiting net defined benefit asset to asset ceiling	(451)	(5,570)	-	(6,021)
Gains (losses) on settlements	-	-	-	-
Others	21	-	(141)	(120)
Closing balance	(36,551)	(222)	(24,571)	(61,344)

Section 2 – Regulatory banking capital and ratios

See the information on own funds and capital adequacy contained in the public disclosure (Pillar 3).

Section 3 - Insurance regulatory capital and ratios

The Group does not include exclusively or jointly controlled companies subject to insurance supervision.

Section 4 – Capital adequacy of the financial conglomerate

The MPS Group is not a financial conglomerate.



Part G – Business combinations

Section 1 – Business combinations during the year	541
Section 2 – Business combinations completed after the period	541
Section 3 – Retrospective adjustments	541



Section 1 – Business combinations during the year

1.1 Business combinations

1.1.1 Transactions included in the scope of application of the international accounting standard IFRS 3 “Business combinations”

No business combinations, as defined by IFRS 3, were carried out in 2020.

1.1.2 Business combinations between entities under common control

In 2021, no business combinations were carried out between entities under common control.

Section 2 - Business combinations completed after the period

There are no transactions to report.

Section 3 – Retrospective adjustments

No retrospective adjustments are reported.



Part H – Related-party transactions

1 Compensation of key management personnel.....	543
2 Related-party transactions	543



1 Compensation of key management personnel

Items / Amounts	Total	Total
	31 12 2021	31 12 2020
Short-term benefits	6,312	6,919
Termination benefits	1,098	-
Total compensation paid to key management personnel	7,410	6,919

In compliance with the instructions provided by accounting standard IAS 24 and in light of the current organisational structure, the Group has opted for the disclosure scope to include not only the Directors, Statutory Auditors, the General Manager and the Deputy General Managers, but also other Key Management Personnel.

The information regarding remuneration policies is contained in the 'Remuneration Report pursuant to art. 123 ter of the Consolidated Law on Finance', available on the Parent Company's internet site, which contains the following data:

- a detailed breakdown of compensation paid to the Administration and Control Bodies, General Managers and, in aggregate form, to Key Management Personnel;
- quantitative information on the remuneration of "Key employees";
- monetary incentive plans in favour of members of the Administration and Control Body, the General Managers, the Deputy General Managers and other Key Management Personnel;
- information on the equity investments of members of the Administration and Control Bodies, the General Managers and other Key Management Personnel.

In 2021, there were 4 terminations of employment of executive personnel, for which amounts or indemnities equal to EUR 1.1 mln in total were recognised.

2 Related-party transactions

In compliance with the provisions of Consob Resolution no. 17221, 12 March 2010, last updated with the amendments made by Consob resolution no. 21624, 10 December 2020, which came into force on 1 July 2021, as well as art. 53 Consolidated Banking Law (TUB) and its implementing provisions (Bank of Italy Circular 285/2013, Part Three, Chapter 11 "Risk assets and conflicts of interest with respect to associated parties"), the "Committee for Related-party Transactions" was established, composed of between three and five independent directors, carrying out the functions envisaged by the Articles of Association and the current legislative and regulatory provisions on transactions with related and associated parties.

Following the coming into force of the aforementioned Consob resolution no. 21624 of 10 December 2020 (the "Consob Regulation"), the Board of Directors of the Parent Company in the meeting held on 6 July 2021, with the preliminary favourable opinions of the Committee for Transactions with Related Parties and the Board of Statutory Auditors, resolved to adopt a new updated version of the "Group Directive concerning Management of regulatory obligations on related parties, associated parties and obligations of bank representatives" (hereinafter the "Group Directive", accompanied by a "Group Regulation concerning Management of regulatory obligations on related parties, associated parties and obligations of bank representatives" (hereinafter the "Group Regulations"), which include all the obligations envisaged by the regulations applicable to the Bank from 1 July 2021 to 31 December 2021. These internal provisions and procedures have been revised to implement the new provisions of the Consob Regulation in force since 1 July 2021, which introduce, among other things, a new definition of a Consob related party and the need to define thresholds of small amounts, differentiated at least according to the nature of the counterparty.

The Group Directive defines the organisational model adopted by the MPS Group (principles and responsibilities) for the management process of the provisions applicable to related parties, associated parties and obligations of the bank representatives, and in particular, governs, at the MPS Group level, the principles and rules for the control of risks arising from situations of possible conflicts of interest with some subjects close to the decision making centres of the Parent Company.

Within the Group Directive, the following is also defined:

- the formulation of the responsibilities assigned within the MPS Group (tasks and responsibilities of the top management bodies and corporate functions of the Parent Company and Subsidiaries);



- the scope of the related parties, associated parties (“Group Scope”) and other subjects in a potential conflict of interest;
- the criteria for the identification of transactions, level of relevance of the transactions;
- the decision-making procedures and exemption cases;
- the internal policies in the area of control.

For the purpose of the Group Directive, significance is attributed to the transactions carried out with the subjects operating within the Group Scope which involve the performance of risk activities, the transfer of resources, services and obligations, regardless of the requirement of a consideration.

As for the type of transactions, they are classified in detail in the aforementioned Group Regulation, as:

- “most significant transactions”: transactions where at least one of the following indicators, applicable according to the specific transaction, exceeds the 5% threshold (greater relevance threshold);
 - countervalue relevance index: the ratio of the countervalue of the transaction to the total of the own funds resulting from the most recent published consolidated balance sheet;
 - relevance index of the assets: the ratio of the total assets of the entity to which the transaction refers, to the total assets of Banca MPS;
 - relevance index of the liabilities: the ratio of the total liabilities of the acquired entity to the total assets of the BMPS;
- “transactions of lesser significance”: transactions for an amount greater than a small amount and up to the threshold of greater significance; in the context of transactions of lesser significance, transactions in which the amount exceeds EUR 100.0 mln and up to the threshold of greater significance (significance index of the equivalent value) are considered to be of lesser significance as a “significant amount”, or, in the case of acquisitions, mergers and demergers for an amount equal to or less than EUR 100.0 mln, the significance index of the assets and/or liabilities is equal to or greater than the ratio of EUR 100.0 mln and own funds at a consolidated level.
- “transactions for a small amount”: transactions for an amount equal to or less than EUR 250.0 thousand, in the event that the counterparty is a legal person; transactions for an amount equal to or less than EUR 100.0 thousand, in the event that the counterparty is a natural person.

The provisions and procedures concerning transactions with related parties, in the versions in force at the time, are published on the website www.gruppomps.it, in the section “Corporate governance – Related party transactions”.

From 2016, the Parent Company’s Board of Directors formally resolved to approve inclusion of the Ministry of Economy and Finance (MEF) and of the relevant directly and indirectly controlled companies within the scope of related parties on a discretionary basis pursuant to the provisions of the Group Directive, excluding the prudential regulation.

Following completion of the Parent Company’s precautionary recapitalisation procedure, after which the MEF became the controlling shareholder from August 2017, the Parent Company received notification on 18 December 2017 from the Supervisory Authorities with regard to the methods for the resulting application of limits to risk assets laid out in prudential regulations, pursuant to art. 53 of the Consolidated Law on Banking (TUB) and its implementing provisions (Bank of Italy Circ. 263/06 Title V Section 5), through application to the Parent Company of the “silo” approach for calculation of the reference limits.

With reference to the MEF scope, the Parent Company has availed itself of the exemption provided by paragraph 25 of IAS 24 on the disclosure of transactions and balances of existing transactions with government-related entities. The main transactions carried out with the MEF and with its subsidiaries, in addition to financing transactions, include Italian government securities recorded in the portfolios “Financial assets measured at fair value through other comprehensive income” for a nominal amount of EUR 4,461.0 mln and “Financial assets measured at fair value through profit or loss” for a nominal amount of EUR 2,729.6 mln as well as “Financial assets measured at amortised cost” for a nominal amount of EUR 4,770.6 mln.

Information is provided below regarding the most significant transactions, in terms of amount, carried out by the Parent Company with related parties in 2021.



MEF related-party transactions

On 5 January 2021, the Information Document was published, drawn up pursuant to art. 5 of Consob Regulation no. 17221/2010, to which reference should be made for more details, concerning a significant transaction with SACE S.p.A., approved on 17 December 2020 by the Board of Directors, after favourable opinion of the Committee for Transactions with Related Parties. The transaction is described in the Consolidated Financial Statements as at 31 December 2020, to which reference is made for further details.

On 9 February 2021, the Board of Directors, subject to the favourable opinion of the Committee for Transactions with Related Parties, resolved to renew the “SACE/2019 framework resolution” (in force 29.11.2019 - 28.11.2020), already commented on in Part H on the Bank’s financial statements at 31 December 2019, approving the new “SACE/2021 framework resolution”, up to the maximum amount of EUR 380 mln, in force until 9 February 2022. The “SACE/2021 framework resolution”, like the previous one, is aimed at completing homogeneous and sufficiently determined transactions, attributable to the acquisition by SACE S.p.A. of insurance policies, financial guarantees, according to standardized formats at the level of the Italian Banking Association (“ABI”), against credit lines for loans or endorsement credits granted to customers of the Bank or of the subsidiaries MPSCS and MPSTL&F. Compared to the previous one, the “SACE/2021 framework resolution”, in addition to reducing the ceiling amount from EUR 400 mln to EUR 380 mln, provides for an increase in the exemption threshold from EUR 30 mln to EUR 70 mln limitedly to buyer’s credit operations, as well as the inclusion among the transactions covered by the framework resolution also of the appendices to documentary credit policies and the appendices to buyer credit policies within the terms specified therein. Like its predecessor, also the “SACE/2021 framework resolution” includes a master risk participation agreement with SACE S.p.A., which provides for the option of sharing risks on certain transactions (“risk-sharing”), through the transfer to SACE S.p.A. of portions of the overall risk previously agreed. The non-significant transaction for a significant amount falls within the scope of application of Consob Regulation no. 17221/2020, as SACE S.p.A. is a wholly-owned subsidiary of Cassa Depositi e Prestiti S.p.A., in which the MEF has a controlling interest.

On 25 February 2021 the Board of Directors resolved to approve in favour of ENEL S.p.A.: (i) subject to the favourable opinion of the Committee for Transactions with Related Parties, the review with confirmation of the multiple and mixed credit line of EUR 200 mln (valid until February 2022), which can be used up to the full amount for the opening of a current account credit facility; forward drawing transactions with a maximum duration of 6 months and provision of a clean-down mechanism at least every 6 months, for a minimum of 5 working days; foreign currency loans; issuance of sureties with duration that may exceed 60 months; granting of letters of credit. The credit line can be used in multiple form by the companies included in the consolidation perimeter of ENEL S.p.A., after issue of a mandate letter providing for the joint and several liability of the delegating/beneficiary party; (ii) the granting of a Revolving Credit Facility equal to EUR 100 mln, with a duration of 5 years, representing the Bank’s stake in a pooled loan equal to a total of EUR 10 bn, aimed at providing financial support for current operations; (iii) the cancellation of a credit line equal to EUR 100 mln, to ensure the overall risk on ENEL S.p.A. does not exceed the limit of EUR 300 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since the MEF has a controlling interest in ENEL S.p.A.

In February 2021, in execution of the aforementioned “SACE/2021 framework resolution”, two risk-sharing transactions, for 70% and 50%, were concluded with SACE S.p.A. in favour of the Bank’s customers, in execution of master risk participation agreements, for the confirmation of documentary credit issued by a foreign correspondent bank for the respective amounts of two credit lines of EUR 13.4 mln each, with reference to the aforementioned 70% share, and EUR 11.3 mln, with reference to the aforementioned 50% share, against SACE S.p.A. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as SACE S.p.A. is a wholly-owned subsidiary of Cassa Depositi e Prestiti S.p.A., in turn a subsidiary of the MEF.

On 22 June 2021, the Information Document was published, drawn up pursuant to art. 5 of Consob Regulation no. 17221/2010, to which reference should be made for more details, concerning a significant transaction with CDP S.p.A., approved on 15 June 2021 by the Board of Directors, after favourable opinion of the Committee for Transactions with Related Parties. The transaction concerns the approval of the “CDP/2021 framework resolution”, aimed at finalising, among other things, loan agreements, credit transfer agreements, supplementary loan agreements and the related requests for use (“drawdowns”), on the maximum amounts provided for by the agreements in force, concluded by CDP S.p.A. and ABI, and which the Bank has taken part in, up to a cumulative amount of EUR 700 mln, valid from 15 June 2021 to 14 June 2022. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since the MEF has a controlling interest in CDP S.p.A.

In the first half of 2021, the “Postal Services 2021” agreement with POSTE ITALIANE S.p.A. was formalised, for a total annual amount of EUR 12.3 mln (including VAT), for the 2021/2022 period, in execution of a framework agreement. The services provided are necessary to guarantee the regular delivery to customers of the



mandatory paper communications provided for by Legislative Decree no. 385/1993 (Consolidated Banking Law). The agreement is valid for one year with automatic renewal at the same terms and conditions for another year, unless cancelled before the expiration date. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since the MEF has a controlling interest in POSTE ITALIANE S.p.A.

On 18 August 2021, a 50% risk-sharing transaction was concluded with SACE S.p.A. in favour of the Bank's customers for operations with a foreign bank for a value of approximately EUR 10.6 mln, in execution of the "SACE/2021 framework resolution", as described above. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as SACE S.p.A. is a wholly-owned subsidiary of CDP S.p.A., in turn a subsidiary of the MEF.

On 30 September 2021, the Board of Directors resolved in favour of LEONARDO S.p.A.: (i) the ordinary revision with a reduction from EUR 120 mln to EUR 27.5 mln of the mixed and multiple bilateral credit line for the issuance of an unsecured loan on Italian/foreign sureties; (ii) confirmation with a reduction from EUR 180 mln to EUR 162.5 mln of the mixed credit line with revocation that can be used up to the maximum amount of EUR 20 mln for opening a current account credit and up to the entire amount for forward traction operations; (iii) the cancellation of the mixed credit line of EUR 10 mln for interest rate/exchange risk hedging operations, and (iv) the granting of a Revolving Credit Facility (RCF) up to a maximum of EUR 150 mln, divided into two tranches of EUR 112.5 mln (duration 5 years) and EUR 37.5 mln (duration 3 years), as the Bank's investment in a Sustainability-linked RCF pool for a total of EUR 2.4 bn. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as CASSA DEPOSITI E PRESTITI S.p.A. is a direct subsidiary of the MEF, controlling shareholder of the Bank.

On 25 October 2021, the ordinary review of the credit lines was authorized in favour of HOTELTURIST S.p.A., with an increase in the credit lines in place for a total of approximately EUR 12.2 mln, through the disbursement of two new loans as shareholding in new pool loan for a total of EUR 25 mln, with a duration of 8 years, aimed at consolidating existing exposures and backed by an explicit, irrevocable first demand guarantee by SACE S.p.A. equal to 90%, in compliance with the provisions of Legislative Decree no. 23/2020 "Liquidity" (converted into Law no. 40/2020). The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as TERNA RETE ELETTRICA NAZIONALE S.p.A. is indirectly controlled by CASSA DEPOSITI E PRESTITI S.p.A., which is in turn a direct subsidiary of the MEF, controlling shareholder of the Bank.

On 2 November 2021, the reduction of the credit line usable for financial advances from EUR 39.5 mln to EUR 20 mln was resolved with regard to the FOF PRIVATE DEBT fund. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since the MEF has a controlling interest in CDP S.p.A.

On 23 November 2021, the Credit Committee resolved to authorize in favour of the Bank's customers loans for a total of EUR 15.75 mln, of which EUR 9,262 mln secured by a SACE S.p.A. guarantee at 80% of the amount, to be issued as part of the SACE initiatives aimed at achieving the objectives of the Green New Deal and EUR 5,738 mln backed by a guarantee from SACE S.p.A. at 50% of the amount, in addition to a credit line of EUR 750 thousand for related risk coverage. This significant transaction falls within the scope of application of Consob Regulation no. 17221/2020, since SACE S.p.A. is a wholly-owned subsidiary of Cassa Depositi e Prestiti S.p.A. ("CDP S.p.A."), in which the MEF has a controlling interest.

On 7 December 2021, the Credit Committee resolved to authorize ANSALDO ENERGIA SpA the extension of the existing credit lines for a total amount of approximately EUR 20 mln, which can be used both for opening credit against documents, including those not representative of goods and issuance of letters of credit, both for the issue of commercial and / or financial sureties both in Italy and abroad, in euro and foreign currency, as well as for hedging exchange rate risks. This significant transaction falls within the scope of application of Consob Regulation no. 17221/2020, since SACE S.p.A. is a wholly-owned subsidiary of Cassa Depositi e Prestiti S.p.A. ("CDP S.p.A."), in which the MEF has a controlling interest.

On 10 December 2021, the Information Document was published, drawn up pursuant to art. 5 of Consob Regulation no. 17221/2010, to which reference should be made for more details, concerning a significant transaction with SACE S.p.A., approved on 25 December 2021 by the Board of Directors, after favourable opinion of the Committee for Transactions with Related Parties. The transaction concerns the approval of the Framework Resolution ("DQSACEGREEN 2021"), equal to EUR 1 bn, valid for 12 months from the date of signing of the general SACE guarantee conditions, for the Bank's operations with SACE S.p.A., aimed at obtaining financial guarantees issued by SACE in the context of "Green New Deal" projects. The approved amount is to be understood as the maximum amount of financial guarantees issued by SACE against credit lines that may be approved by the Bank during the 12 months of validity of the aforementioned Framework Resolution. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as SACE S.p.A. is a wholly-owned subsidiary of CDP S.p.A., in turn a subsidiary of the MEF.



On 17 December 2021 the Board of Directors, after obtaining the favourable opinion of the Committee for Transactions with Related Parties, approved a transaction relating to the participation of BMPS in favour of the Bank's customers, up to a maximum of EUR 200 mln overall, to a Buyer's Creditpool operation, totalling approximately EUR 1.35 bn, with CDP S.p.A. and another banking counterpart, assisted, *inter alia*, by an insurance policy SACE S.p.A. to cover 100% of the loan and with the intervention of SIMEST S.p.A. for the purposes of any stabilization of the interest rate. The transaction falls within the scope of application of Consob Regulation no. 17221/2010 for the involvement of CDP SpA (related party of BMPS as a direct subsidiary of the MEF, controlling shareholder of BMPS) as co-financier, of SACE SpA (related party of BMPS as a direct subsidiary of CDP SpA, which in turn is a direct subsidiary of the MEF, the controlling shareholder of BMPS), as guarantor; and (iii) SIMEST SpA (direct subsidiary of the aforementioned SACE SpA), as a party that could intervene to stabilize the interest rates for the benefit of the financed party.

On December 17, 2021, the Board of Directors resolved to authorize in favour of WEBUILD S.p.A. a total amount of approximately EUR 212 mln: (i) the granting of the Revolving Credit Facility (RCF) of EUR 70 mln for a duration of 3 years, (ii) the transformation into credit lines for disposal of the credit lines previously granted at maturity to another counterparty of the Bank involved in the transaction, (iii) the consent to the modification of the contractual clauses in relation to the aforementioned credit lines and (iii) the consent to the waiver on the covenant holiday with reference to further two loans (RCF of EUR 29.9 mln and bilateral BMPS loan of EUR 50 mln). The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since the MEF has a controlling interest in ENEL S.p.A.

On 30 December 2021, the agreement with the health care fund assignee of coverage of the health plans of the staff of BMPS and some banking companies of the Group was extended, which provides for a specific insurance policy contracted by the fund with POSTE ASSICURA S.p.A., for a value of EUR 20.62 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since POSTE ASSICURA S.p.A. is directly controlled by POSTE ITALIANE S.p.A., in turn controlled by the MEF.

In December 2021, in execution of the DQSACEGREEN 2021, two transactions supported by this SACE guarantee for amounts exceeding EUR 10 mln were approved in favour of two customers of the Bank, namely: (i) for an amount of EUR 12 mln, with reference to the granting of an unsecured loan for a maximum of EUR 15 mln, and (ii) for an amount of EUR 10.6 mln for the granting of a loan of EUR 15 mln, aimed at supporting a plan of investments in group renewable energy and divided into two tranches, one of which is unsecured, for EUR 1.7 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as SACE S.p.A. is a wholly-owned subsidiary of CDP S.p.A., in turn a subsidiary of the MEF.

Also in December 2021, insurance policies were stipulated with SACE SpA under the "SACE / 2021 framework resolution" to cover 50% of the risk of non-payment relating to two documentary credit confirmation operations, concluded by its customers with a bank foreign for a value of EUR 10.6 mln and EUR 16.6 mln euros respectively. This significant transaction falls within the scope of application of Consob Regulation no. 17221/2020, since SACE S.p.A. is a wholly-owned subsidiary of Cassa Depositi e Prestiti S.p.A. ("CDP S.p.A."), in which the MEF has a controlling interest.

Transactions with other related parties

On 23 March 2021 the Credit Committee resolved in favour of FIDI TOSCANA S.p.A. a new framework resolution concerning the operations of all the banks and companies of the MPS Group, for the amount of EUR 30 mln, as the total maximum value of the guarantees issued by FIDI TOSCANA S.p.A. against loans to be finalised in the next 12 months (calendar year starting from the aforementioned resolution date). The guarantees may be considered in execution of the framework resolution for loans falling within the ordinary operations of the Bank, towards retail, small business and corporate customers, not falling within the perimeter of related/associated parties as well as within the scope of art. 136 Consolidated Banking Law (TUB). At the same meeting, the Credit Committee also resolved in favour of FIDI TOSCANA S.p.A. the renewal with decrease of the ceiling granted from EUR 430 mln to EUR 170 mln at MPS Group level, as the maximum operating limit, relevant exclusively for internal purposes and equal to the total amount of the loans that can be taken out, including the transactions already in place and the flows expected for 2021. The transaction falls within the scope of application of CONSOB Regulation no. 17221/2010, as FIDI TOSCANA S.p.A. is subject to significant influence by the Bank, which holds a 27.46% interest in this.



The following tables summarise the relationships and economic effects of transactions carried out in the year with associates, key management personnel and other related parties.

The “MEF Scope” column highlights the balances⁶⁰ of the balance sheet and income statement items as at 31 December 2021 relating to the transactions carried out with the MEF and the companies controlled by the MEF, namely companies controlled directly or indirectly by the MEF and their associates.

2.a Related-party transactions: balance sheet items

	Value as at 31 12 2021						
	joint venture	Associated companies	key management personnel	Other related parties	MEF Scope	Total	% FS items
Financial assets held for trading	-	-	-	37,969	5,820,680	5,858,649	63.56%
Financial assets mandatorily measured at fair value	-	3,000	-	-	30,530	33,530	7.39%
Financial assets measured at fair value through other comprehensive income	-	-	-	-	4,561,342	4,561,342	83.53%
Loans to banks measured at amortised cost	-	-	-	-	181,581	181,581	0.73%
Loans to customers measured at amortised cost	73,485	62,641	2,911	4,465	6,554,398	6,697,900	7.61%
Other assets	-	-	-	102	204,123	204,225	11.89%
Total assets	73,485	65,641	2,911	42,536	17,352,654	17,537,227	
Financial liabilities measured at amortised cost	4,496	220,335	3,360	50,787	3,092,969	3,371,947	2.78%
Financial liabilities held for trading	-	-	-	4,322	93,640	97,962	2.16%
Other liabilities	311	857	1	525	5,225	6,919	0.28%
Total liabilities	4,807	221,192	3,361	55,634	3,191,834	3,476,828	
Guaranties issued and Commitmen	26,171	27,600	197	127	2,137,911	2,192,006	n.a.

⁶⁰ The criteria to fill out the two tables are different from those of the European Securities and Markets Authority (ESMA) used for the table “Exposure to sovereign debt risk”.



2.b Related-party transactions: income statement items

	Value as at 31 12 2021						% FS items
	joint venture	Associated companies	key management personnel	Other related parties	MEF Scope	Total	
Interest income and similar revenues	1,609.0	174.0	25.0	125.0	145,004.0	146,937.0	7.74%
Interest costs and similar charges	-	(12.0)	(2.0)	(58.0)	(23,491.0)	(23,563.0)	3.46%
Fee and commission income	172.0	208,219.0	10.0	453.0	234,979.0	443,833.0	26.16%
Fee and commission expense	-	(490.0)	(1.0)	(4.0)	(32,023.0)	(32,518.0)	15.30%
Net profit (loss) from fair value measurement of assets/liabilities	-	(289.0)	-	-	4,884.0	4,595.0	14.29%
Net adjustments/impairments	(45.0)	10.0	-	-	1,298.0	1,263.0	-0.65%
Dividends	-	-	-	1,716.0	273.0	1,989.0	14.50%
Operating costs	6.0	(26,116.0)	(5,387.0)	(19.0)	(14,939.0)	(46,455.0)	1.88%

For the list of joint venture and associated as at 31 December 2021, see the tables of the Notes to the consolidated financial statements - Part B - Information on the consolidated balance sheet - Section 7.

The securitisation transactions are described in Part E of the Notes to the financial statements.

With regard to the balances shown in Table 2.b shown above, please note the following:

- Fee and commission income from associates refers almost entirely to the insurance investees AXA MPS Assicurazioni Vita SpA and AXA MPS Assicurazioni Danni SpA;
- Net profit (loss) of the other assets and liabilities measured at fair value through profit or loss refers to capital losses on units of the SME Italia II Fund for EUR 0.3 mln;
- Dividends mainly relate to Assicurazioni Generali;
- Operating costs relating to associates also include insurance costs incurred with the investees AXA MPS Assicurazioni Vita SpA and AXA MPS Assicurazioni Danni SpA;

With regard to the MEF scope, the following is noted:

- Financial assets predominantly comprise government bonds, which generated interest income for EUR 127.7 mln;
- the other assets are represented by tax credits from the tax authorities claimed by the Group for various reasons following the measures introduced by various legislative provisions, attributable for EUR 167.8 mln to tax credits for building bonuses purchased by the Parent Company, which had a positive impact of EUR 1.2 mln euros on the interest margin;
- commission expense is almost entirely represented by commissions paid to Sia S.p.A. for collection and payment services. It should be noted that on 31 December 2021 the company, a former joint subsidiary of the MEF, was merged by incorporation into the company Nexi SpA, an associated company of the MEF. Fee and commission income mainly refer to the distribution contract with Anima (associate in the MEF scope) and for the placing service for government securities;
- the profit (loss) from other assets and liabilities measured at fair value through profit or loss mainly relate to capital gains on units of Italian investment funds;
- Net write-downs / write-backs for credit risk mainly concern write-backs on loans with the counterparty Webuild SpA (EUR 0.6 mln).
- Operating costs are almost entirely attributable to postage and shipping costs.



Part I – Share-Based Payment Agreements

Qualitative Information	551
Quantitative Information.....	551



Qualitative Information

Description of share-based payment agreements

To pursue the objective of encouraging alignments of the interests of management with those of shareholders, Supervisory Provisions on pay and incentive policies and practices establish that at least 50% of variable remuneration provided to “key employees” should be paid in the form of shares or associated financial instruments over a period of at least 3-5 years. “Variable remuneration” refers to both variable components linked to the performance or other parameters and amounts paid as incentives for the early termination of the employment relationship exceeding the amount due by law (“severance”).

In accordance with the aforementioned regulatory provisions, the Montepaschi Group adopted annual Performance Shares Plans up to the 2017 financial year and in 2020 annual Treasury Shares plans for the 2018 and 2019 financial years. In the session of 6 April 2021, the Shareholders’ Meeting of the Parent Company approved a Performance Shares Plan for 2021, designated exclusively to the payment of any severance for personnel of the Montepaschi Group. The contents and the methods for the functioning of the afore-mentioned plans are described in the “Remuneration policies” posted on the web site of the Parent Company <https://www.gruppomps.it/corporate-governance/remunerazione.html>.

The correspondence of the performance shares for the Plans up to 2017 and for Plans from 2020 do not require the material assignment of shares, but rather the payment of an amount pegged to the share value reported over time, for accounting purposes it is considered a cash settled share based payment pursuant to IFRS 2 “Share-based payments”. The debt corresponding to the amounts to be recognised will be paid off in cash and recorded at the end of the service period; the total amount will depend on the price of the instruments representative of the capital (performance shares) which will be measured at fair value, calculated as the best estimate of the amount due in consideration of the different conditions established by the plans, valued with regard to the fair value of the shares of the Bank assigned from year to year and the value of the Parent Company’s shares. The estimate of the fair value of the share, at the measurement date, will not take into account any expected vesting conditions (e.g. condition of permanence in service or conditions for the achievement of results), except for market conditions. The vesting conditions should be taken into consideration by adjusting the number of assignments included in the assessment of the liability arising from the transaction; the market conditions (as with any other non-accrual-related conditions) should instead be considered in the estimate of the liabilities fair value arising from the transaction and of the related cost attributed to the Income Statement.

The 2018 and 2019 plans, providing for the assignment of shares of the Parent Company at the accrual time of the vesting conditions, fall within the scope of the application of the IFRS 2 accounting standard as equity settled share-based payments, in the context of which instruments representative of the capital are attributed as an offsetting entry to an equity reserve. Within this scope, the severance cost set forth in the Plans and the corresponding increase in net equity are measured at the fair value of the shares that will be assigned; the estimate of the fair value of the share at the measurement date will not need to take into account any expected vesting conditions (e.g. condition of permanence in service or conditions for the achievement of results), except for market conditions. The vesting conditions should be taken into consideration by adjusting the number of financial instruments included in the measurement of the amount of the transaction so that the value recognised in the financial statements for the services received as a payment for the financial instruments will be based on their number which, at the end, will actually be accrued; the market conditions should instead be considered in the estimate of the fair value of the assigned shares.

The fair value of the Performance Shares and of the treasury shares assigned is determined - pursuant to art. 9, paragraph 4 of the Income Tax Act (TUIR) - on the basis of the arithmetic average of the MPS share prices reported in the thirty days leading up to the assignment date.

Quantitative Information

With regard to the 2016 Plan, of the original 32,806 deferred performance shares, 1,220 were settled in the course of 2021; the remaining 11,906 Performance Shares continue to be accounted for, following the settlements and cancellations taking place to date, and will be settled each year over a five-year time horizon starting one year after the relative assignments. These assignment is subject to the verification of certain malus conditions.



With reference to the plans approved from 2017 to 2019 and the plan approved in 2020 and 2021, as at this reporting date, no amount is recognised since no instruments representative of the capital nor shares were accrued, due the non-occurrence of the accrual conditions.



Part L – Segment reporting

Group operations by business segment	554
Reclassified income statement criteria by operating segment	556
Reclassified balance sheet criteria by operating segment	556
Transactions between operating segments	556
Basis for preparation.....	557



This section of the Notes to the Consolidated Financial Statements is prepared in accordance with the IAS/IFRS international accounting standards, with particular reference to IFRS8 “Operating Segments”.

The aforementioned accounting standard, applied as of 1 January 2009 to replace IAS14 “Segment reporting” and the adoption of which has no effect on the valuation of balance sheet items, requires reports to be drafted in relation to operating segments on the basis of the internal reporting actually used by management to take decisions on the allocation of resources to various segments and to conduct performance analyses.

Group operations by business segment

The Montepaschi Group operates in the following business areas:

- Retail and commercial banking: includes lending activities, traditional banking services, financial advisory and digital banking services, the offering of banking and insurance products through the strategic partnership with AXA, wealth management and investment products;
- Leasing and Factoring: includes the offering of leasing and factoring packages for businesses, artisans and professionals;
- Corporate finance: mid- and long-term lending, corporate finance, capital markets and structured finance;
- Investment banking: trading and global markets;
- Foreign banking: products and services in support of market expansion and investments of Italian companies abroad.

Operations in the business areas are conducted by the following operating units of the Group:

- Distribution network, comprising the branches and specialised centres of Banca Monte dei Paschi di Siena;
- Banca Widiba S.p.A., which includes the business of the Financial Advisory Network and Digital Banking;
- product companies, represented by the Group’s banks and companies expressly dedicated to the development of specialised financial instruments to be offered to the market, in particular: MPS Capital Services (specialized in corporate finance, capital market and structured finance), MPS Leasing & Factoring (specialized in offering leasing and factoring services for businesses);
- foreign network⁶¹.

The Group also includes service operations dedicated to the management of IT and telecommunications (Group Operating Consortium).

For the purpose of identifying the Operating Segments provided for by IFRS 8, the Montepaschi Group has adopted the business approach. Consolidated income statement and balance sheet data are broken down and re-aggregated based on criteria including: business area monitored, reference operating structure, relevance and strategic importance of activities carried out, and customer clusters served.

In the organizational structure of the Parent Company, following the reorganization of the General Management carried out in June 2021, a specialised commercial organizational model was introduced on two first level units within the Chief Commercial Officer Department: “Private Business” and “Companies and Private Banking Business”.

The Private Business is in charge of Retail customers (Value and Premium service models).

The Companies and Private Banking Business is in charge of Corporate customers and companies (SME, Small Business, Key Clients and Large Groups service models), Private customers and the foreign segment.

⁶¹ So articulated: 1 operational branch in Shanghai; 8 Representative Offices (in target areas in Europe, North Africa, India and China); 1 bank under foreign law, specifically Monte Paschi Banque S.A., operating in France, for which the Parent Company resolved in 2018 to launch the orderly winding-down process by drafting a plan in compliance with the indications contained in Commitment no. 14 “Disposal of participations and businesses”, i.e., (i) progressive deleveraging of the current loan portfolio, (ii) acceptance of deposits only from existing customers, excluding the possibility of development of new business and access to new markets, (iii) compared to other current regulatory restrictions. The performance of the subsidiary in 2021 is substantially in line with the provisions of the Commitment.



In July 2021, another change was made to the commercial organisational model, which provided for the reclassification of customers pertaining to the Institutions service model to the other service models based mainly on their complexity, with a prevailing impact, in terms of volumes of deposits and loans, on the SME service model.

Based on the Group's reporting criteria, which also take into account organisation structures, the following operating segments were identified:

- Retail Banking, which includes the income statement/balance sheet results of Retail customers (Value and Premium segments) and Banca Widiba S.p.A. (Network of financial advisors and Self channel);
- Wealth Management, which includes the income statement/balance sheet results of Private customers (Private and Family Office segments) and the subsidiary MPS Fiduciaria;
- Corporate Banking, which includes the economic and financial results of Corporate customers (SME, Small Business and Key Clients segments), Large Groups, Foreign Branches and the MPS Capital Services subsidiaries, MPS Leasing & Factoring and the foreign bank MP Banque;
- Corporate Centre, which in addition to the offsetting of intragroup entries, incorporates the results of the following business centres:
 - ✓ service units supporting the Group's business, dedicated in particular to the management and development of IT systems (Consorzio Operativo Gruppo MPS);
 - ✓ companies consolidated with the equity method and those held for sale;
 - ✓ operating units, such as proprietary finance, treasury and capital management activities.

The algebraic sum of the four sectors thus identified represents the economic and equity data of the consolidated financial statements of the Montepaschi Group at 31 December 2021.

The paragraph "Basis for preparation" shows the income statement and balance sheet results for each identified operating segment.

Following the changes described above, for the purposes of reporting by operating segment:

- the Small Business service model, which was included in "Retail Banking", was reclassified, as of 30 June 2021, to "Corporate Banking". The comparative values have been consistently restated: therefore, the comparison involves homogeneous data;
- starting from 30 September 2021, the Institutions service model is no longer included. The comparative values have been consistently restated by allocating the economic and financial results of former Institution customers to the SME service model.

Balance sheet and income statement figures as at 31 December 2020 have been restated, compared to those published at the respective reporting dates, following the retrospective application of the change in valuation criteria for investment properties (pursuant to IAS 40). In addition, for the purposes of greater comparability, the write-downs of properties for business use (IAS 16) referring to 31 December 2020 were reclassified from the item "Net adjustments to property, plant and equipment and intangible assets" to the item "Net gains (losses) on property, plant and equipment and intangible assets measured at fair value". The restatement also concerned the economic effects of securities deriving from sale/securitization transactions of non-performing loans, which were reclassified to the item "Cost of customer credit".



Reclassified income statement criteria by operating segment

Main economic aggregates criteria are described below:

- Net interest income: in relation to the business centres of Banca Monte dei Paschi di Siena, it is calculated by way of contribution on the basis of internal transfer rates broken down by products and maturities. With reference to non-divisionalised entities, net interest income is the difference between “interest income and similar revenues” and “interest expense and similar charges”.
- Net fee and commission income: determined by direct allocation of commissions to the operating segments.
- Operating expenses: the aggregate includes personnel expenses, other administrative expenses (after recovery of expenses) and net value adjustments to property, plant and equipment and intangible assets. The operating expenses of non-divisionalised entities (mono-segments) are directly allocated to their corresponding operating segments while, for Banca Monte dei Paschi di Siena, they are allocated to their respective Segments of reference by using a “cost allocation” model. For Personnel expenses, the model allocates costs directly to business centres on the basis of the unique functional position of the resources, or, indirectly on the basis of specific drivers. With regard to other administrative expenses and net value adjustments to property, plant and equipment and intangible assets, the model allocates external and intragroup cost components to the business centres either directly or by means of specific drivers.
- Cost of customer credit / Net impairment (losses)/reversals on securities and loans to banks: analytically allocated to the individual operating segments.

Reclassified balance sheet criteria by operating segment

Balance sheet aggregates were developed by precisely surveying the balances on individual customers and subsequently aggregating them by service model/operating segment. In particular:

- gross interest-bearing loans to customers: the interest-bearing assets used for the operations of a business segment, which are directly attributable to the segment itself;
- direct deposits include the onerous liabilities arising from the operations, which are directly attributable to the segment itself.

Transactions between operating segments

Each segment's income and results include transfers between operating segments (Internal Transfer Rates). These transfers are reported in accordance with the best practices accepted by the market (i.e. the fair value method or cost method increased by a proper margin) both with respect to commercial and financial transactions.

The income of each operating segment is determined before intragroup balances and intragroup transactions are eliminated during the process of consolidation. In line with the internal reporting system used by the Montepaschi Group, balances of intragroup transactions are not shown separately.



Basis for preparation

In accordance with the recommendations of IFRS 8, the table below presents the Group's income statement and balance sheet results as at 31 December 2021, developed according to the Operating Segments defined above:

SEGMENT REPORTING		Business Segments			Corporate Center	Total MPS Group
Primary segment		Retail banking	Wealth Management	Corporate banking		
(EUR mln)		31/12/21	31/12/21	31/12/21	31/12/21	31/12/21
PROFIT AND LOSS AGGREGATES						
Net interest income		335.5	1.5	587.9	296.5	1,221.5
Net fee and commission income		913.3	123.6	535.1	(88.0)	1,484.0
Other income		78.4	23.2	27.6	181.6	310.8
Other operating expenses/income		(10.8)	(1.3)	(16.0)	(8.5)	(36.5)
Total Income		1,316.5	147.1	1,134.7	381.6	2,979.8
Operating expenses		(1,298.8)	(103.2)	(650.9)	(53.0)	(2,106.0)
Pre Provision Profit		17.6	43.8	483.8	328.6	873.8
Net impairment losses (reversals) on loans and financial assets		(91.1)	(2.4)	(109.2)	(41.9)	(244.7)
Net Operating Income		(73.5)	41.4	374.6	286.7	629.2
BALANCE SHEET AGGREGATES						
Gross Interest-bearing loans to customers		31,036	581	41,144	7,280	80,041
Direct funding		42,656	3,151	26,818	17,676	90,301

(*) The value shown in the Group as well as that in the operating segments is represented by gross interest-bearing loans to customers, therefore not including loss provisions.



The following table summarises the values relating to the year 2020.

SEGMENT REPORTING		Business Segments			Corporate Center	Total MPS Group
Primary segment		Retail banking	Wealth Management	Corporate banking		
(EUR mln)		31/12/20	31/12/20	31/12/20	31/12/20	31/12/20
PROFIT AND LOSS AGGREGATES						
Net interest income		617.4	7.1	669.4	(3.3)	1,290.6
Net fee and commission income		817.2	109.9	554.4	(51.4)	1,430.1
Other Revenues from Banking and Insurance Business		68.6	20.8	56.3	126.5	272.2
Other operating expenses/income		(10.6)	(1.1)	(25.3)	(13.5)	(50.5)
Total Revenues		1,492.6	136.6	1,254.8	58.3	2,942.4
Operating expenses		(1,352.5)	(114.2)	(674.7)	(43.3)	(2,184.6)
Pre Provision Operating Profit		140.0	22.5	580.1	15.1	757.8
Cost of customer loans/Net impairment (losses)-reversals on securities and loans to banks		(203.6)	0.1	(540.1)	(34.6)	(778.1)
Net Operating Income		(63.5)	22.6	40.1	(19.5)	(20.3)
BALANCE SHEET AGGREGATES						
Gross Interest-bearing loans to customers		30,839	529	40,722.0	11,489	83,579
Direct funding		42,686	3,157	28,534.0	29,341	103,719

(*) The value shown in the Group as well as that in the operating segments is represented by gross interest-bearing loans to customers, therefore not including loss provisions.



Part M – Leasing Information

Section 1 - Lessee	560
Section 2 - Lessor	562



Section 1 - Lessee

Qualitative Information

In the capacity of lessee, the Parent Company stipulates lease agreements of properties to be primarily used for business. Therefore, these leased properties are used as branches and as spaces intended to accommodate ATMs or internal offices.

The leasing activity also includes the stipulation of leasing agreements related to residential property used by employees during transfers to other work locations. The flats are subsequently subject to sub-lease agreements between the Parent Company and the employees, considered out-of-scope of the standard in first application.

In reality, the leasing activities of the Parent Company is related to the need to relocate branches and offices. Particular attention is paid to the identification of the properties that are more suitable for the intended use, in line with the cost effectiveness criteria set forth by the company.

As at 31 December 2021, the Parent Company had approximately 1,213 lease contracts in place as lessee.

The Group companies undertake the role of lessee primarily in the leasing contracts of properties hosting their offices.

The following specificities apply to the companies of the Group:

- Widiba executes lease agreements concerning properties to be used for business (e.g., financial shops, spaces used for offices) and residential use, as in the case of flats sub-leased to employees who have transferred to other business locations. As for the Parent Company, the execution of new contracts is necessary in the case of relocations. As at 31 December 2021, the subsidiary is the lessee in 116 contracts for business use and 7 contracts for hospitality purposes.
- MPS Capital Services S.p.A. executes lease agreements concerning properties for business and residential use; in the latter case, they are flats sub-leased to employees who have transferred to other business locations. As at 31 December 2020, the subsidiary is the lessee in 8 contracts for business use and 20 contracts for hospitality purposes.
- The Consorzio Operativo Gruppo MPS is the lessee in an outstanding financial leasing contract for infrastructural (mainframe) services in addition to 2 contracts for properties for business use of operating offices.

Leases relating to vehicles mainly refer to long-term leases of company cars and cars given as a fringe benefit to employees. In view of the marginal relevance of car leasing contracts with respect to the total values of the assets consisting of rights of use recognized in the financial statements pursuant to IFRS 16, no further disclosure is provided on this contract category.

The Group is not usually exposed to cash outflows not included in the lease liability. The exposures deriving from extension options are included in the lease liabilities since, in order to provide business continuity to the Branch offices, the Group considers the first renewal to be certain, except in special cases. The rent due on the leases is updated in line with ISTAT data, the impact of which is in any case insignificant. No contracts entered into as lessee falls into the other categories referred to in the standard (residual value guarantees, commitments on leases not yet operational).

The purpose of the leaseback transactions stipulated during the year and to be stipulated in future years is to allow the Group units currently housed in these properties to continue to use them.

The Parent Company and the Group companies recognise as costs:

- short-term leases in the case of assets such as properties and technologies (in particular in reference with the mainframe hardware module) when the related contracts have a maximum term of twelve months and do not provide for any extension options.
- the leasing of assets of a modest value, i.e. characterised by a value that is under EUR 5 thousand, related mainly to cell phones.



Quantitative Information

The following table shows amortisation costs for the assets comprising the right of use, broken down by the underlying asset class.

	31 12 2021	31 12 2020
Amortization costs on Right of Use acquired through leasing	53,393	51,747
a) Land	-	-
b) Buildings	46,940	45,454
c) Furniture and Furnishings	15	4
d) Electronic systems	5,120	5,153
e) Other	1,318	1,136



Section 2 - Lessor

Qualitative Information

The Parent Company executes, in its capacity as the lessor, leasing contracts of properties for business and residential use.

The properties for business use are leased to both third parties and to intragroup companies. In the latter case, the properties and spaces occupied by the administrative offices of the companies of the Group are the subject matter of these contracts. As regards the properties for residential use, these are primarily owned flats leased to third parties. The contracts for residential use have generally a duration of 4+4 years, the ones for business use a duration of 6+6 years. The leasing contracts executed as lessor are protected by a deposit paid by the lessee, as set forth in the applicable laws. This amount can be used to repair any damage that the tenant may cause.

In addition to this, the Parent Company does not apply any specific contractual clause regarding the management of any risk associated with the rights held on the underlying assets.

MPS Leasing & Factoring S.p.A. is the company of the Group that carries out marketing activities on financial leasing in the capacity of lessor. The Company operates in the market by executing contracts intended for the most part to companies and offering products from the real estate, business, vehicles, energy and aircraft sectors.

In carrying out its activities, it avails itself of the MPS Network and single-firm agents.

As at 31 December 2021, MPS Leasing & Factoring S.p.A. had in its portfolio about 33,590 contracts for a gross value of EUR 3,969.3 mln, of which EUR 2,324.6 mln in the real estate leasing sector (6,649 contracts), EUR 992.2 mln in the business segment (15,200 contracts), EUR 303.7 mln in the vehicle sector (10,717 contracts), EUR 267.2 mln in the energy sector (695 contracts) and EUR 81.6 mln in the aircraft sector (329 contracts). The value of the lease agreements executed during the year amounted to EUR 943 mln (no. 4,068) up by 38.2% compared with the previous year. The trend by segment of the subsidiary in terms of volumes shows growth compared to the previous year for property (+7.0%; EUR +20 mln), instrumental (+58.2%; EUR +170 mln), targeted (+54.6%; EUR 53 mln) and energy (EUR +20 mln) while only the aeronautical sector decreased (-8.3%; EUR -1 mln). MPS Leasing & Factoring S.p.A. recognises financial leases in compliance with the accounting standard IFRS 16 and classifies the transactions under financial assets measured at amortised cost.

The other companies of the Group do not have outstanding contracts in the capacity of Lessor.

Quantitative Information

1. Information on the balance sheet and income statement

For information on loans for leasing and assets transferred under operating leasing, see tables 4.2, 9.1 and 9.6 of Section 4 and Section 9, Part B, Assets; for the information on interest income on loans for leasing and on other income from financial and business leasing, see tables 1.1 and 16.2 respectively in Section 1 and in Section 16, Part C.



2. Quantitative information - Financial leases

2.1 Quantitative information - Financial leases

Time bands	31 12 2021	31 12 2020
	Total lease payments receivable	Total lease payments receivable
Up to 1 year	828,417	779,530
from 1 to 2 years	603,154	591,227
from 2 to 3 years	501,766	500,352
from 3 to 4 years	407,069	392,934
from 4 to 5 years	322,434	308,346
over 5 years	1,248,952	1,354,862
Total lease payments receivable	3,911,792	3,927,251
Reconciliation with investments	-	-
Not accrued gains	(489,806)	(543,476)
Unguaranteed residual values	(551,972)	(545,425)
Finance lease	2,870,014	2,838,350
<i>explicit credit</i>	241,114	308,259
<i>Net impairment on lease finance</i>	(485,784)	(561,462)
<i>Redemption fee on lease finance</i>	551,972	545,425
Book value of finance lease	3,177,316	3,130,572

The table shows the classification by time bands of payments to be received for leasing and the reconciliation between the payments to be received and the loans for leasing referring to MPS L&F in the capacity of lessor. The amounts are not discounted (IFRS 16.94).

2.2 Other information

Financial leasing contracts, executed with customers, allow for a risk management on the underlying assets in line with the policies of the Group but they do not provide for repurchase agreements, guarantees on the residual value or variable payments.



3. Quantitative information - Operating leases

3.1 Classification by time bands of payments to be received

Time bands	31 12 2021		31 12 2020	
	year	Total lease payments receivable (excluding VAT)	year	Total lease payments receivable (excluding VAT)
Up to 1 year	2021	5,961	2020	6,352
from 1 to 2 years	2022	4,653	2021	5,504
from 2 to 3 years	2023	4,394	2022	3,747
from 3 to 4 years	2024	4,216	2023	3,982
from 4 to 5 years	2025	4,088	2024	3,856
over 5 years	starting from 2026	18,208	starting from 2025	37,765
Total		41,520		61,206

The table shows the classification by time bands of payments to be received for the leasing by the Parent Company (IFRS 16.97). The amount of payments shown are not discounted.

MPS Leasing & Factoring S.p.A. is not currently active in the operating leasing market.

The other companies of the Group do not have outstanding contracts in the capacity of Lessor.

3.2 Other information

No other information to report.



Public disclosure pursuant to art. 89 - Communication by country - of Directive 2013/36/EU (“CRD IV”)

From the 4th update of the Bank of Italy Circular no. 285/2013, Part One (Title III, Chapter 2) the public disclosure set out in art. 89 - Communication by country - of Directive 2013/36/EU (“CRD IV”) is transposed into the Italian legal framework and introduces the obligation to disclose information concerning banking activities, subdivided by country where each bank is based; the disclosure is to be provided in the financial statements or posted on the entity’s website.

In particular, the Parent Companies of banking groups are required to provide on a consolidated basis the following information, subdivided by country:

- a) Names of the companies based in the country and nature of the business
- b) Turnover
- c) Number of Full-time equivalent employees
- d) Profit or loss before tax
- e) Tax on profit or loss
- f) Public subsidies received

The tables below present the required information for the Group, with reference to the situation as at 31 December 2021.

The term “Turnover” refers to the total banking income as recorded in item 120 of the consolidated income statement.

The term “Number of full-time equivalent employees” refers to an average number representing the ratio between the total number of hours worked by all employees, excluding overtime, and the total annual number of hours contractually required of full-time employees.

“Profit or loss before tax” means the sum of items 290 and 320 (the latter net of taxes) of the consolidated income statement.

“Tax on profit or loss” means the sum of taxes recorded in item 300 of the consolidated income statement and income taxes on groups of assets held for sale.

The item “Public subsidies received” should indicate any grants received directly from the public administrations. This item does not include transactions performed by central banks for purposes of financial stability or transactions carried out to facilitate the monetary policy transmission mechanism. Similarly, transactions included in government aid schemes approved by the European Commission should not be taken into consideration.



31.12.2021					
Country	Turnover (€/1000)	Number of FTEs	Profit or loss before tax (€/1000)	Tax on profit or loss (€/000)	Public subsidies received (€/000)
Algeria	-	2	-	-	-
China	1,555	16	(717)	(12)	-
Egypt	-	2	-	-	-
France	23,478	159	(1,679)	(242)	-
India	-	1	-	-	-
Italy	2,889,194	20,134	195,529	74,246	153
Morocco	-	1	-	-	-
Russia	-	1	-	-	-
Tunisia	-	1	-	-	-
Turkey	-	3	-	-	-
Total Group companies	2,914,227	20,319	193,133	73,992	153
Companies under significant influence valued at equity	-	-	105,500	-	-
Consolidation adjustments	(59,348)	-	(40,469)	(22,825)	-
Total Montepaschi's Group	2,854,879	20,319	258,164	51,167	153

It is to be noted that the subsidiary MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI SOCIETA' AGRICOLA S.p.A. has received EUR 0.2 mln in 2021 as subsidies, grants and bonuses to support agricultural production in EU countries.



List of Montepaschi Group companies by location and business type

Country	Company name	type of business	
Algeria	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail & Corporate banking service	Representative office in Algeria
China	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail & Corporate banking service	Shanghai and Hong Kong branches, representative office in Guangzhou and Beijing
Egypt	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail & Corporate banking service	Representative office in Cairo
France	MONTE PASCHI BANQUE S.A.	Retail & Corporate banking service	
India	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail & Corporate banking service	Representative office in Mumbai
Italy	AIACE REOCO S.r.l.	Real estate	
Italy	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail & Corporate banking service	
Italy	CIRENE FINANCE S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	CONSORZIO OPERATIVO GRUPPO MONTEPASCHI	IT Services	
Italy	ENEA REOCO S.r.l. in liquidazione	Real estate	
Italy	G.I.M.M. ASTOR S.r.l.	Real estate leasing	
Italy	MAGAZZINI GENERALI FIDUCIARI DI MANTOVA S.p.a.	Warehousing	
Italy	MONTE PASCHI FIDUCIARIA S.p.a.	Trust management	
Italy	MPS CAPITAL SERVICES BANCA PER LE IMPRESE S.p.a.	Retail & Corporate banking service	
Italy	MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI SOCIETA' AGRICOLA S.p.a.	Winery	
Italy	MPS COVERED BOND 2 s.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	MPS COVERED BOND S.R.L.	Financial services for business	Special Purpose Entity (SPE)
Italy	MPS LEASING & FACTORING BANCA PER I SERVIZI FINANZIARI	Retail & Corporate banking service	Leasing and factoring
Italy	SIENA MORTGAGES 10-7 S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA LEASE 2016 2 SRL	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA MORTGAGES 07-5 S.p.a.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA MORTGAGES 09-6 S.R.L.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA PMI 2016 SRL	Financial services for business	Special Purpose Entity (SPE)
Italy	WISE DIALOG BANK S.p.a. - WIDIBA	Retail & Corporate banking service	Digital banking
Morocco	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail & Corporate banking service	Representative office in Casablanca
Russia	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail & Corporate banking service	Representative office in Moscow
Tunisia	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail & Corporate banking service	Representative office in Tunis
Turkey	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Retail & Corporate banking service	Representative office in Instabul



CERTIFICATION OF THE CONSOLIDATED FINANCIAL STATEMENTS PURSUANT TO ART. 81-TER OF CONSOB REGULATION NO. 11971 OF 14 MAY 1999, AS SUBSEQUENTLY AMENDED AND SUPPLEMENTED

1. The undersigned, Luigi Lovaglio, as Chief Executive Officer, and Nicola Massimo Clarelli, as Financial Reporting Officer of Banca Monte dei Paschi di Siena S.p.A., also having regard to article 154-bis, paragraphs 3 and 4 of Italian Legislative Decree no. 58 of 24 February 1998, do hereby certify the:
 - appropriateness with respect to the company's profile, and
 - effective application of administrative and accounting procedures used in the preparation of the consolidated financial statements for fiscal year 2021.
2. The verification of the adequacy and effective application of administrative and accounting procedures for the preparation of the consolidated financial statements during 2021 was based on methods defined by the MPS Group in line with the COSO model, and for the IT component, COBIT, which constitute the reference framework for the internal control system generally accepted internationally.
3. It is also certified that:
 - 3.1 the consolidated financial statements:
 - were prepared in accordance with the international accounting standards recognised by the European Union pursuant to European Parliament and Council Regulation No. 1606/2002 of 19 July 2002;
 - are consistent with the underlying documentary evidence and accounting records;
-are suitable to provide a true and fair representation of the capital, economic and financial situation of the issuer and group of companies included within the scope of consolidation.
 - 3.2 the Report on Operations includes a reliable analysis of the trends and results of operations as well as of the position of the issuer and of all entities included within the scope of consolidation, together with a description of the main risks and uncertainties they are exposed to.

Siena, March 2, 2022

Signed by
On behalf of the Board of Directors
The Chief Executive Officer
Luigi Lovaglio

Signed by
The Financial Reporting
Officer
Nicola Massimo Clarelli



Independent Auditors' report on the financial statements



Independent auditor's report

*in accordance with article 14 of Legislative Decree No. 39 of 27 January 2010
and article 10 of Regulation (EU) No. 537/2014*

Banca Monte dei Paschi di Siena SpA

***Consolidated financial statements
as of 31 December 2021***



Independent auditor's report

in accordance with article 14 of Legislative Decree No. 39 of 27 January 2010 and article 10 of Regulation (EU) No. 537/2014

To the Shareholders of
Banca Monte dei Paschi di Siena SpA

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Banca Monte dei Paschi di Siena SpA and its subsidiaries (the “Monte dei Paschi di Siena Group” or the “Group”), which comprise the consolidated balance sheet as of 31 December 2021, the consolidated income statement, the consolidated statement of comprehensive income, the consolidated statement of changes in equity, the consolidated cash flow statement for the year then ended, and the notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as of 31 December 2021, and of the results of its operations and cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union, as well as with the regulations issued to implement article 9 of Legislative Decree No. 38/2005 and article 43 of Legislative Decree No. 136/2015.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA Italia). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of this report. We are independent of Banca Monte dei Paschi di Siena SpA (the “Bank” or the “Parent Company”) pursuant to the regulations and standards on ethics and independence applicable to audits of financial statements under Italian law. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty over going concern

We draw attention to what is reported in paragraphs “Going concern, Section 5 – Other matters” and “Use of estimates and assumptions when preparing financial statements, Section 16 – Other information” of “Part A – Accounting policies” in the notes to the consolidated financial statements,

PricewaterhouseCoopers SpA

Sede legale: **Milano** 20145 Piazza Tre Torri 2 Tel. 02 77851 Fax 02 7785240 Capitale Sociale Euro 6.890.000,00 i.v. C.F. e P.IVA e Reg. Imprese Milano Monza Brianza Lodi 12979880155 Iscritta al n° 119644 del Registro dei Revisori Legali - Altri Uffici: **Ancona** 60131 Via Sandro Totti 1 Tel. 071 2132311 - **Bari** 70122 Via Abate Gimma 72 Tel. 080 5640211 - **Bergamo** 24121 Largo Belotti 5 Tel. 035 229691 - **Bologna** 40126 Via Angelo Finelli 8 Tel. 051 6186211 - **Brescia** 25121 Viale Duca d'Aosta 28 Tel. 030 3697501 - **Catania** 95129 Corso Italia 302 Tel. 095 7532311 - **Firenze** 50121 Viale Gramsci 15 Tel. 055 2482811 - **Genova** 16121 Piazza Piccapietra 9 Tel. 010 29041 - **Napoli** 80121 Via dei Mille 16 Tel. 081 36181 - **Padova** 35138 Via Vicenza 4 Tel. 049 873481 - **Palermo** 90141 Via Marchese Ugo 60 Tel. 091 349737 - **Parma** 43121 Viale Tanara 20/A Tel. 0521 275911 - **Pescara** 65127 Piazza Ettore Troilo 8 Tel. 085 4545711 - **Roma** 00154 Largo Fochetti 29 Tel. 06 570251 - **Torino** 10122 Corso Palestro 10 Tel. 011 556771 - **Trento** 38122 Viale della Costituzione 33 Tel. 0461 237004 - **Treviso** 31100 Viale Felissent 90 Tel. 0422 696911 - **Trieste** 34125 Via Cesare Battisti 18 Tel. 040 3480781 - **Udine** 33100 Via Poscolle 43 Tel. 0432 25789 - **Varese** 21100 Via Albuzzi 43 Tel. 0332 285039 - **Verona** 37135 Via Francia 21/C Tel. 045 8263001 - **Vicenza** 36100 Piazza Pontelandolfo 9 Tel. 0444 393311

where the directors report the existence of a material uncertainty which may cast significant doubt on the Group's ability to continue as a going concern. The directors, taking into account the state of actions put in place and having considered the material uncertainty with regard to the capital strengthening of the Parent Company, believe that the Group has a reasonable expectation to continue as a going concern in the foreseeable future; accordingly, they have prepared the consolidated financial statements under the going-concern assumption.

Because of the significance of what is set out above, we considered that the assessment of the going-concern assumption represents a key audit matter. As part of the audit activities, the following main audit procedures were also carried out with the support of PwC network's experts:

- Analysis of management's evaluation process regarding the Group's ability to continue as a going concern;
- Obtainment and analysis of evidence related to (i) the commitments taken by the Italian Government as part of the 2017-2021 Restructuring Plan and in the context of the rules for State aid measures and (ii) the discussions with the Directorate General for Competition ("DG-COMP") regarding the contents of the 2022-2026 Strategic Plan approved by the Board of Directors on 17 December 2021 (the "Plan") and presented to the European Central Bank, to the Single Resolution Board and to DG-COMP for the various disclosures, approvals and regulatory procedures the Plan is subject to; these aspects were the subject of discussions with the representatives of the Ministry of Economy and Finance;
- Analysis and understanding, also through discussions with management, of the Plan and the progress of the Capital Plan under preparation to be sent to the European Central Bank;
- Obtainment and analysis of evidence related to the planned capital strengthening, including any market feedback obtained by the Bank;
- Obtainment and analysis of evidence related to the possible future scenario around the "structural solution" intended as a merger with another bank, or the divestiture in the market and / or to Italian and international investors of the shares held by the Ministry of Economy and Finance, in consideration of the applicable regulatory framework;
- Discussions with the representatives of the Joint Supervisory Team of the European Central Bank, management and the Board of Statutory Auditors;
- Analysis of the correspondence exchanged and of the reports of the discussions held with the Supervisory Authorities and with the Ministry of Economy and Finance;
- Reading of the minutes of the corporate governance bodies' meetings;
- Performance of audit procedures on subsequent events;
- Acquisition of specific written representations by management;

- Critical examination of the disclosures provided by the directors, of the consistency and adequacy with respect to the elements considered by them in assessing the Group's ability to continue as a going concern and to those obtained by us.

Our opinion is not qualified with regard to this matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

In addition to what is set out in the *Material uncertainty over going concern* section above, we have identified the following key audit matters to communicate in this report.

Key Audit Matters	Auditing procedures performed in response to key audit matters
Valuation of loans to customers measured at amortised cost <i>Notes to the consolidated financial statements:</i> <i>Part A – Accounting Policies;</i> <i>Part B – Information on the consolidated balance sheet, Section 4 – Financial assets measured at amortised cost;</i> <i>Part C – Information on the consolidated income statement, Section 8 – Net impairment losses/reversals for credit risk;</i> <i>Part E – Information on risks and hedging policies, Section 2 – Risks of prudential consolidation, paragraph 1.1 – Credit risk.</i> As at 31 December 2021, loans to customers represent the predominant part of line item 40 b) “Financial assets measured at amortised cost – loans to customers” which shows a balance of Euro 88,056 million, equal to 64 per cent of total consolidated assets. Of these, the part backed by a public guarantee and /or affected by moratorium measures is considerable. Net impairment losses on loans to customers recognised in the year amounted to Euro 196 million (line item 130 a) in the income statement). Special attention was paid to the evaluation of the	In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances. In this respect, we also considered the evolution of the adjustments that became necessary in applying the methods already in use to assess the loan portfolio (management overlays) in order to better reflect the economic and financial risks emerging at the reporting date and those related to the persisting uncertainty due to the continuation of the Covid-19 pandemic. In order to address this key audit matter, the following main activities were performed also with the support of PwC network's experts: • understanding, evaluation and verification of the operating effectiveness of relevant controls over the IT systems and applications used; • understanding and evaluation of the design of relevant controls as part of

Key Audit Matters

above-said loans as part of the audit because of the materiality of the value of loans in relation to the financial statements, as a whole, as well as because the related impairment losses consist of estimates made by the directors which incorporate elements of subjectivity and complexity connected with the complex evaluation processes, methods and assumptions utilised.

The use of significant estimates specifically regards, beside the verification of the significant increase in credit risk for the allocation of the portfolios to the various risk stages, the determination of hypotheses and data feeding the models to calculate the expected loss on a collective basis and, for loans being assessed on an individual basis, for the estimation of the expected future cash flows, of the related timing and realisable value of the underlying guarantees, if any.

Furthermore, for the current year these estimation processes were far more complex following the evolution of the adjustments that became necessary in the application of the methods already in use for the valuation of the loan portfolio (management overlays) in order to better reflect the economic and financial risks emerging at the reporting date and those related to the persisting uncertainty due to the continuation of the Covid-19 pandemic, as well as with the government measures in support of the economy, including, in particular, payment moratoria and provision or renegotiation of loans for guarantees granted by the Government. These circumstances entailed, as pointed out in the notices and recommendations of the Supervisory Authorities and the International Accounting Standard Setters, the review of the processes and methods to measure loans, with reference to both the determination of the significant increase in credit risks and to the determination of the main estimation variables and parameters of the expected loss on a collective basis.

Auditing procedures performed in response to key audit matters

- the monitoring, classification and evaluation of loans and testing of the operating effectiveness of such controls;
- understanding and verification of the appropriateness of policies, procedures and models used to measure the significant increase in credit risk, for the allocation of the portfolios to the various risk stages and for measuring the expected loss on a collective basis, taking also into account the results of back-testing implemented by the Group in this area, as well as on an individual basis;
- understanding and verification of the methods to determine the main estimation parameters in the context of the models used to measure the expected loss on a collective basis, taking into account the changes made during the year. Specifically, we verified the reasonableness of the estimates related to the update of the expected macroeconomic scenarios and the weighing of such scenarios given the economic and financial risks emerging at the reporting date and those related to the persisting uncertainty due to the continuation of the Covid-19 pandemic;
- verification, on a sample basis, of the reasonableness of the classification among performing loans (stage 1 and stage 2) and non-performing loans (stage 3) based on the available information on the status of the borrower and other pieces of information available, including external ones and with particular reference to borrowers affected by moratorium measures on their debts;
- verification of the correct application of the measurement criteria established for loans classified as performing (stage 1 and stage 2), of the completeness and accuracy of the model input data used to determine

Key Audit Matters

Auditing procedures performed in response to key audit matters

- the expected loss on a collective basis;
- with specific regard to non-performing loans (stage 3), taking into account the financial statement classification according to the categories under the applicable regulatory framework and the currently assumed recovery scenarios (sale or internal recovery), for loans assessed on an individual basis, we checked, on a sample basis, the reasonableness of the assumptions made to estimate the expected credit loss with particular reference to the identification and quantification of the expected future cash flows from the recovery activities, to the evaluation of the guarantees backing these exposures and to the estimate of the recovery times;
- for non-performing loans valued on a collective basis, we verified the correct determination of the main estimation parameters within the model used, as well as the completeness and accuracy of the model's input data;
- benchmark analysis procedures on the customer loan portfolio and related coverage levels and analysis of more significant discrepancies, taking into consideration loss forecasts within and outside the Group (such as the Stability Report of the Bank of Italy) and discussing the most significant changes and the elements marking the loan portfolio with the Bank's management;
- performance of audit procedures on subsequent events, including events regarding the conflict between Russia and Ukraine;
- check of the completeness and adequacy of the disclosures provided in accordance with the provisions of the international accounting standards, the applicable regulatory framework, as well as with the notices and recommendations issued by the Supervisory Authorities and the

Key Audit Matters

Auditing procedures performed in response to key audit matters

International Accounting Standard Setters in the wake of the Covid-19 pandemic.

Evaluation of legal risks

Notes to the consolidated financial statements:
Part A – Accounting policies;
Part B – Information on the consolidated balance sheet, Section 10 – Provisions for risks and charges;
Part C – Information on the consolidated income statement, Section 13 – Net provisions for risks and charges;
Part E – Information on risks and hedging policies, Section 2 – Risks of prudential consolidation, paragraph 1.5 – Operational risk.

The Parent Company is exposed to significant civil disputes, to the effects of the rulings due to criminal proceedings and to out-of-court claims, with reference to the financial information publicly disseminated in the period from 2008 to 2015, as well as to risks linked to representations and warranties given in the sale and demerger of impaired loans.

Net provisions for risks and charges amounted in the year to Euro 99 million (line item 200 b) in the income statement).

The evaluation process on these legal risks that the Group performed with the support also of its legal counsels and other external experts, is considered a key audit matter for the aggregate high value of these risks, as well as because estimating the associated charges requires management to make use of estimates marked by a high degree of subjectivity.

In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances.

In order to address this key audit matter, the following main activities were performed also with the support of PwC network's experts:

- understanding and assessment of the design of relevant controls implemented by the Group in relation to the assessment of legal risks and verification of the operating effectiveness of such controls;
- obtainment and analysis of the written confirmation from the Group's legal advisors about their considerations on the evolution of the pending lawsuits, the possibility of loss, as well as the main information used;
- analysis of the reasonableness of the directors' assumptions for estimating provisions accrued, in addition to the methods and conclusions included in the reports prepared by the Bank's external experts;
- performance of validity procedures on the completeness and accuracy of the data used to determine the provisions for risks and charges;
- special attention was devoted to provisions for civil and criminal disputes and to the out-of-court claims deriving from information publicly disseminated from 2008 to 2015, as well as to provisions linked to representations and warranties given in the sale and demerger of impaired loans;

Key Audit Matters

Auditing procedures performed in response to key audit matters

Recoverability of deferred tax assets

Notes to the consolidated financial statements:

Part A – Accounting policies;

Part B – Information on the consolidated balance sheet, Section 11 – Tax assets and liabilities;

Part C – Information on the consolidated income statement, Section 21 – Income taxes from continuing operations.

As of 31 December 2021, the Group recorded Euro 469 million in the asset line item 110 "Tax assets" for net deferred tax assets ("DTA") related to tax losses that cannot be converted into tax credits and other deductible temporary differences, whose recoverability depends on the availability of taxable income in the future.

Assessment of the recoverability of these assets is a key audit matter because they are significant in value with respect of the financial statements, taken as a whole, and because their evaluation is based on an estimation process (probability test), which entails using assumptions and parameters presenting a high degree of subjectivity.

More specifically, such estimation process relies on prospective balance sheet and P&L projections of the Group which include assumptions such as (i) the determination of taxable income that is expected to be realised in the time-period considered for the DTA recovery, (ii) the growth rates used for the projection of future taxable income and the probability that there will be future taxable income, (iii) the extent of the foreseeable time-period for the recovery of DTA; (iv) the correct interpretation of the applicable tax legislation.

- performance of audit procedures on subsequent events;
- verification of the completeness and adequacy of disclosures purely connected with the key audit matter in question, with reference also to the IFRS requirements.

In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances.

Specifically, in order to address this key audit matter, the following main activities were performed also with the support of PwC network's experts:

- understanding and evaluation of the process and methodology adopted by the directors to carry out the probability test;
- check of the consistency of the methodology adopted with the provisions of the applicable international financial reporting standard, taking account the professional practices and the recent notices and recommendations of the Supervisory Authorities and International Accounting Standard Setters issued following the spread of the Covid-19 pandemic;
- assessment, including through a check of external data, where available, of the reasonableness of the main qualitative and quantitative assumptions (revenue flows, discount and growth rates) and of the different types of deductible temporary differences based on the applicable tax legislation, used to prepare the probability test;
- analysis of the reasonable use of the prospective balance sheet and P&L projections of the Group;

Key Audit Matters

Auditing procedures performed in response to key audit matters

- verification of the mathematical accuracy of calculations underlying the probability test and the correctness of the calculations performed;
- check of the completeness and adequacy of disclosures provided by the directors in the notes to the consolidated financial statements in accordance with the IFRS requirements and the applicable regulatory framework, as well as with the notices and recommendations issued by the Supervisory Authorities and the International Accounting Standard Setters in the wake of the Covid-19 pandemic.

Change in policy for property valuation

Notes to the consolidated financial statements:
Part A – Accounting policies;
Part B – Information on the consolidated balance sheet,
Section 9 – Property, plant and equipment;
Part C – Information on the consolidated income statement,
Section 14 – Net adjustments to/recoveries on property, plant and equipment and Section 18 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value.

Starting from 31 March 2021, the Group changed its accounting policy for the valuation of property, adopting, instead of the cost criterion, the revaluation model for properties used for business purposes and the fair value model for properties held for investment.

The property valuation process was carried out by the directors also on the basis of appraisals prepared by an independent third-party expert. As part of our audit activity, we paid special attention to such matter given the significance of the values recognised following the change in accounting policy, the number, location and concentration of properties held, as well as the complexity and high degree of professional

In performing the audit, we considered the internal control system relevant to the preparation of the financial statements in order to design audit procedures that were appropriate in the circumstances.

Specifically, in order to address this key audit matter, the following main activities were performed also with the support of PwC network's experts:

- understanding and evaluation of the activities planned and performed by the Group for the implementation of the new accounting policy;
- understanding and analysis of the reasonableness of the criteria adopted in determining the fair value of the property, the related methodological choices made and their consistency with prevailing market practices, including through meetings with the expert engaged by the Group;
- performing, on a sample basis, specific validation procedures, in particular (i) check the mathematical accuracy of the valuation model; (ii) critically exam the significant assumptions, as well as the data feeding the models

Key Audit Matters

judgement required for the estimation of fair value also taking into account the different characteristics of the properties and their relevant markets.

Furthermore, the valuation models, though well-established and recognised in prevailing practice, can be extremely sensitive to the input data, the assumptions used and the specific characteristics and peculiarities of the property being valued and, by their nature, have a high degree of subjectivity.

Auditing procedures performed in response to key audit matters

- (inflation rates, discount rates, capitalisation rates and market rents), also through the comparison with public market information and comparable transactions; (iii) performing sensitivity analyses, where necessary, in order to verify the reasonableness of the main assumptions used and the values calculated;
- verifying the correct recognition of the effects deriving from the change in accounting policy in light of the provisions of the applicable accounting standards, as well as of the determination of the related deferred taxes;
 - check of the completeness and adequacy of disclosures provided by the directors in the notes to the consolidated financial statements in accordance with the IFRS requirements and the applicable regulatory framework.

Responsibilities of the Directors and the Board of Statutory Auditors for the Consolidated Financial Statements

The directors are responsible for the preparation of consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union, as well as with the regulations issued to implement article 9 of Legislative Decree No. 38/2005 and article 43 of Legislative Decree No. 136/2015 and, in the terms prescribed by law, for such internal control as they determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

The directors are responsible for assessing the Group's ability to continue as a going concern and, in preparing the consolidated financial statements, for the appropriate application of the going concern basis of accounting, and for disclosing matters related to going concern. In preparing the consolidated financial statements, the directors use the going concern basis of accounting unless they either intend to liquidate Banca Monte dei Paschi di Siena SpA or to cease operations, or have no realistic alternative but to do so.

The board of statutory auditors is responsible for overseeing, in the terms prescribed by law, the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with International Standards on Auditing (ISA Italia) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the consolidated financial statements.

As part of our audit conducted in accordance with International Standards on Auditing (ISA Italia), we exercised professional judgement and maintained professional scepticism throughout the audit. Furthermore:

- We identified and assessed the risks of material misstatement of the consolidated financial statements, whether due to fraud or error; we designed and performed audit procedures responsive to those risks; we obtained audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- We obtained an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control;
- We evaluated the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors;
- We concluded on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern;
- We evaluated the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- We obtained sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion on the consolidated financial statements.

We communicated with those charged with governance, identified at an appropriate level as required by ISA Italia regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identified during our audit.

We also provided those charged with governance with a statement that we complied with the regulations and standards on ethics and independence applicable under Italian law and communicated with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determined those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We described these matters in our auditor's report.

Additional Disclosures required by Article 10 of Regulation (EU) No. 537/2014

On 11 April 2019, the shareholders of Banca Monte dei Paschi di Siena SpA in general meeting engaged us to perform the statutory audit of the Bank's financial statements and consolidated financial statements for the years ending 31 December 2020 to 31 December 2028.

We declare that we did not provide any prohibited non-audit services referred to in article 5, paragraph 1, of Regulation (EU) No. 537/2014 and that we remained independent of the Bank in conducting the statutory audit.

We confirm that the opinion on the consolidated financial statements expressed in this report is consistent with the additional report to the board of statutory auditors, in its capacity as audit committee, prepared pursuant to article 11 of the aforementioned Regulation.

Report on Compliance with other Laws and Regulations

Opinion on compliance with the provisions of Commission Delegated Regulation (EU) 2019/815

The directors of Banca Monte dei Paschi di Siena SpA are responsible for the application of the provisions of Commission Delegated Regulation (EU) 2019/815 concerning regulatory technical standards on the specification of a single electronic reporting format (ESEF - European Single Electronic Format) (hereinafter the "Commission Delegated Regulation") to the consolidated financial statements, to be included in the annual report.

We have performed the procedures specified in auditing standard (SA Italia) No. 700B in order to express an opinion on the compliance of the consolidated financial statements with the provisions of the Commission Delegated Regulation.

In our opinion, the consolidated financial statements have been prepared in XHTML format and have been marked up, in all significant respects, in compliance with the provisions of the Commission Delegated Regulation.



Opinion in accordance with Article 14, paragraph 2, letter e), of Legislative Decree No. 39/10 and Article 123-bis, paragraph 4, of Legislative Decree No. 58/1998

The directors of Banca Monte dei Paschi di Siena SpA are responsible for preparing a report on operations and a report on the corporate governance and ownership structure of the Monte dei Paschi di Siena Group as of 31 December 2021, including their consistency with the relevant consolidated financial statements and their compliance with the law.

We have performed the procedures required under auditing standard (SA Italia) No. 720B in order to express an opinion on the consistency of the report on operations and of the specific information included in the report on corporate governance and ownership structure referred to in article 123-bis, paragraph 4, of Legislative Decree No. 58/98, with the consolidated financial statements of the Monte dei Paschi di Siena Group as of 31 December 2021 and on their compliance with the law, as well as to issue a statement on material misstatements, if any.

In our opinion, the report on operations and the specific information included in the report on corporate governance and ownership structure mentioned above are consistent with the consolidated financial statements of the Monte dei Paschi di Siena Group as of 31 December 2021 and are prepared in compliance with the law.

With reference to the statement referred to in article 14, paragraph 2, letter e), of Legislative Decree No. 39/2010, issued on the basis of our knowledge and understanding of the company and its environment obtained in the course of the audit, we have nothing to report.

Statement in accordance with article 4 of Consob's Regulation implementing Legislative Decree No. 254 of 30 December 2016

The directors of Banca Monte dei Paschi di Siena SpA are responsible for the preparation of the non-financial disclosure pursuant to Legislative Decree No. 254 of 30 December 2016.

We have verified that the directors approved the non-financial disclosure.

Pursuant to article 3, paragraph 10, of Legislative Decree No. 254 of 30 December 2016, the non-financial disclosure is the subject of a separate statement of compliance issued by ourselves.

Florence, 18 March 2022

PricewaterhouseCoopers SpA

Signed by

Lorenzo Pini Prato
(Partner)

This report has been translated into English from the Italian original solely for the convenience of international readers.



Annexes

Disclosure of Independent auditors' fees	584
PENSION FUNDS – Defined benefit pension funds without plan assets	585
PENSION FUNDS – Defined benefit and defined contribution pension funds with plan assets.....	588



Disclosure of Independent auditors' fees

Pursuant to the provisions of art. 149-duodecies of the Consob Issuers' Regulation, the table below provides information on the fees paid to the Independent Auditors PricewaterhouseCoopers SpA and to the companies belonging to the same network for the services detailed below:

		31.12.2021
Type of services	Service provider	Total
Auditing	Pricewaterhousecoopers S.p.a.	1,782
Other attest services	Pricewaterhousecoopers S.p.a.	292
Other services	Pricewaterhousecoopers S.p.a.	560
Total		2,634

Amounts are exclusive of V.A.T., ancillary expenses and CONSOB contribution.



PENSION FUNDS – Defined benefit pension funds without plan assets

“Supplementary Pension Fund for personnel of former Concessioni Riscossioni”

Accounting statement as at 31 12 2021	(in units of Eur)
Opening balance as at 01 01 2021	17,010,966
Increases	305,867
- provisions for the year	1,624
- Other	304,243
Decreases	1,540,128
- Benefit paid	1,540,128
- Other	-
Closing balance as at 31 12 2021	15,776,705

“Supplementary Pension Fund for personnel of former Banca Operaia di Bologna”

Accounting statement as at 31 12 2021	(in units of Eur)
Opening balance as at 01 01 2021	5,370,602
Increases	2,649
- provisions for the year	2,649
- Other	-
Decreases	641,165
- Benefit paid	347,221
- Other	293,944
Closing balance as at 31 12 2021	4,732,086

“Supplementary Pension Fund for personnel of former Banca di Credito Popolare e Cooperativo di Reggio Emilia”

Accounting statement as at 31 12 2021	(in units of Eur)
Opening balance as at 01 01 2021	644,571
Increases	340
- provisions for the year	340
- Other	-
Decreases	47,290
- Benefit paid	38,153
- Other	9,137
Closing balance as at 31 12 2021	597,621

**“Supplementary Pension Fund for personnel of former Banca Popolare Veneta”**

Accounting statement as at 31 12 2021	(in units of Eur)
Opening balance as at 01 01 2021	797,082
Increases	69,257
- provisions for the year	72
- Other	69,185
Decreases	161,621
- Benefit paid	161,621
- Other	-
Closing balance as at 31 12 2021	704,718

Obligation for “Supplementary Pension Fund for personnel of former Provveditori”

Accounting statement as at 31 12 2021	(in units of Eur)
Opening balance as at 01 01 2021	2,507,319
Increases	61,817
- provisions for the year	-
- Other	61,817
Decreases	251,030
- Benefit paid	251,030
- Other	-
Closing balance as at 31 12 2021	2,318,106

“Supplementary Pension Fund for personnel of former MPS Capital Services Banca per le Imprese S.p.A.”

Accounting statement as at 31 12 2021	(in units of Eur)
Opening balance as at 01 01 2021	3,629,422
Increases	-
- provisions for the year	-
- Other	-
Decreases	690,277
- Benefit paid	446,779
- Other	243,498
Closing balance as at 31 12 2021	2,939,145



“Supplementary Pension Fund for personnel of former Credito Lombardo”

Accounting statement as at 31 12 2021	(in units of Eur)
Opening balance as at 01 01 2021	2,483,749
Increases	237
- provisions for the year	237
- Other	-
Decreases	352,141
- Benefit paid	228,137
- Other	124,004
Closing balance as at 31 12 2021	2,131,845

“Supplementary Pension Fund for personnel of former Banca Toscana”

Accounting statement as at 31 12 2021	(in units of Eur)
Opening balance as at 01 01 2021	438,427
Increases	-
- provisions for the year	-
- Other	-
Decreases	-
- Benefit paid	-
- Other	-
Closing balance as at 31 12 2021	438,427



PENSION FUNDS – Defined benefit and defined contribution pension funds with plan assets

“Supplementary Pension Fund for personnel of former BNA” – Defined benefit section

BALANCE SHEET

(in units of Eur)				
	Assets	31 12 2021	31 12 2020	Changes
10	Direct investments	21,392,572	22,656,116	(1,263,544)
	a) Deposits	176,562	320,381	(143,819)
	b) Receivables from repo transactions	-	-	-
	c) Securities issued by Governments and other international institutions	-	-	-
	d) Listed debt securities	21,118,317	22,229,685	(1,111,368)
	e) Listed equity securities	-	-	-
	f) Unlisted debt securities	-	-	-
	g) Unlisted equity securities	-	-	-
	h) Units of UCITS	-	-	-
	i) Options purchased	-	-	-
	l) Accrued income and prepayments	97,693	106,049	(8,356)
	m) Profit guarantees released to pension fund	-	-	-
	n) Other assets from financial activities	-	-	-
	o) Accrued income not yet received	-	-	-
20	Managed investments	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Assets from administrative activities	-	-	-
50	Tax receivables	20,306	-	20,306
	TOTAL ASSETS	21,412,878	22,656,116	(1,243,238)
	Liabilities	31 12 2021	31 12 2020	Changes
10	Liabilities from social security	-	-	-
20	Liabilities from financial activities	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Liabilities from administrative activities	-	-	-
50	Tax payables	-	89,159	(89,159)
	b) tax payables for current period	-	-	-
	a) tax credit for prior period	-	89,159	(89,159)
	TOTAL LIABILITIES	-	89,159	(89,159)
100	Net assets available for payment of benefits	21,412,878	22,566,957	(1,154,079)
	Net assets available for payment of benefits in previous year	22,566,957	22,997,710	(430,753)
	Changes in net assets available payment of benefits	(1,154,079)	(430,753)	(723,326)



INCOME STATEMENT

(in units of Eur)			
	31 12 2021	31 12 2020	Changes
10 Balance of social security management	(1,011,937)	(1,054,865)	42,928
a) Contributions for benefits	-	-	-
b) Advances	-	-	-
c) Transfers and redemptions	-	-	-
d) Transfers to annuities	-	-	-
e) Payments in capital	-	-	-
f) Premiums for additional benefits	-	-	-
g) Payments in annuities	(1,011,937)	(1,054,865)	42,928
h) Other payments	-	-	-
20 Profit (loss) from direct financial activities	(162,448)	713,271	(875,719)
a) Interest and profit on bonds and government securities	425,922	425,426	496
b) Interest on cash equivalents	-	-	-
c) Profits and losses from financial transactions	(588,370)	287,845	(876,215)
d) Interest (expense) from repo transactions	-	-	-
e) Pension fund profit guarantee difference	-	-	-
f) Contingent assets	-	-	-
g) Forfeitures charged to the participants	-	-	-
h) Kickbacks from UCITS	-	-	-
i) Commission expense	-	-	-
30 Profit (loss) from indirect financial activities	-	-	-
40 Operating expenses	-	-	-
a) Management companies	-	-	-
b) Custodian bank	-	-	-
c) Insurance policy	-	-	-
d) "State supervision" contribution	-	-	-
50 Financial and insurance income (loss) (20+30+40)	(162,448)	713,271	(875,719)
60 Balance from administrative activities	-	-	-
a) General and administrative expenses	-	-	-
70 Changes in net assets available for payment of benefits before substitute tax (10+50+60)	(1,174,385)	(341,594)	(832,791)
80 Substitute tax	20,306	(89,159)	109,465
Changes in net assets available for payment of benefits (70+80)	(1,154,079)	(430,753)	(723,326)



“Supplementary Pension Fund for personnel of former Banca Toscana” - Defined benefit section

BALANCE SHEET

		(in units of Eur)		
Assets		31 12 2021	31 12 2020	Changes
10	Direct investments	69,650,602	76,366,612	(6,716,010)
	a) Deposits	66,193,293	72,797,838	(6,604,545)
	b) Receivables from repo transactions	-	-	-
	c) Securities issued by Governments and other international institutions	-	-	-
	d) Listed debt securities	3,393,964	3,505,429	(111,465)
	e) Listed equity securities	-	-	-
	f) Unlisted debt securities	-	-	-
	g) Unlisted equity securities	-	-	-
	h) Units of UCITS	-	-	-
	i) Options purchased	-	-	-
	l) Accrued income and prepayments	63,345	63,345	-
	m) Profit guarantees released to pension fund	-	-	-
	n) Other assets from financial activities	-	-	-
	o) Accrued income not yet received	-	-	-
20	Managed investments	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Assets from administrative activities	-	-	-
50	Tax receivables	-	-	-
	TOTAL ASSETS	69,650,602	76,366,612	(6,716,010)
Liabilities		31 12 2020	31 12 2020	Changes
10	Liabilities from social security	-	-	-
20	Liabilities from financial activities	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Liabilities from administrative activities	-	-	-
50	Tax payables	-	-	-
	TOTAL LIABILITIES	-	-	-
100	Net assets available for payment of benefits	69,650,602	76,366,612	(6,716,010)
	Net assets available for payment of benefits in previous year	76,366,612	83,209,339	(6,842,727)
	Changes in net assets available payment of benefits	(6,716,010)	(6,842,727)	126,717



INCOME STATEMENT

(in units of Eur)			
	31 12 2021	31 12 2020	Changes
10 Balance of social security management	(6,731,582)	(7,080,583)	349,001
a) Contributions for benefits	(19,068)	19,068	(38,136)
b) Advances	-	-	-
c) Transfers and redemptions	-	-	-
d) Transfers to annuities	-	-	-
e) Payments in capital	-	-	-
f) Premiums for additional benefits	-	-	-
g) Payments in annuities	(6,712,514)	(7,099,651)	387,137
h) Other payments	-	-	-
20 Profit (loss) from direct financial activities	15,572	237,856	(222,284)
a) Interest and profit on bonds and government securities	127,038	127,211	(173)
b) Interest on cash equivalents	-	-	-
c) Profits and losses from financial transactions	(111,466)	110,645	(222,111)
d) Interest (expense) from repo transactions	-	-	-
e) Pension fund profit guarantee difference	-	-	-
f) Contingent assets	-	-	-
g) Forfeitures charged to the participants	-	-	-
h) Kickbacks from UCITS	-	-	-
i) Commission expense	-	-	-
30 Profit (loss) from indirect financial activities	-	-	-
40 Operating expenses	-	-	-
a) Management companies	-	-	-
b) Custodian bank	-	-	-
c) Insurance policy	-	-	-
d) "State supervision" contribution	-	-	-
50 Financial and insurance income (loss) (20+30+40)	15,572	237,856	(222,284)
60 Balance from administrative activities	-	-	-
a) General and administrative expenses	-	-	-
70 Changes in net assets available for payment of benefits before substitute tax (10+50+60)	(6,716,010)	(6,842,727)	126,717
80 Substitute tax	-	-	-
Changes in net assets available for payment of benefits (70+80)	(6,716,010)	(6,842,727)	126,717